

AMENDMENT A01 TO THE UNIVERSAL REGISTRATION DOCUMENT

2020

WORKING

EVERY DAY IN THE INTEREST OF
OUR CUSTOMERS AND SOCIETY

CRÉDIT AGRICOLE GROUP FINANCIAL STATEMENTS



CRÉDIT AGRICOLE
S.A.

CRÉDIT AGRICOLE GROUP PROFILE	2
1 ABOUT CRÉDIT AGRICOLE GROUP	4
Rankings and key figures	5
Our universal customer-focused banking model – a global relationship bank for all	9
Our business model serving sustainable value creation	10
The business lines of Crédit Agricole S.A. at 31 December 2020	12
2 MANAGEMENT REPORT	18
Operating and financial information	19
3 RISKS AND PILLAR 3	42
Risk factors	43
Risk management	56
Pillar 3 disclosures	102
4 CONSOLIDATED FINANCIAL STATEMENTS	200
General framework	201
Consolidated financial statements	205
Notes to the consolidated financial statements	212
Statutory Auditors' report on the consolidated financial statements	371
5 GENERAL INFORMATION	380
Information on Crédit Agricole Group entities	381
Material changes	394
Transactions with related parties	394
Person responsible for the Universal registration document and its amendments	395
Cross-reference table	397

AMENDMENT OF THE 2020 UNIVERSAL REGISTRATION DOCUMENT

CRÉDIT AGRICOLE GROUP FINANCIAL STATEMENTS 2020

WORKING EVERY DAY IN YOUR INTEREST
AND FOR SOCIETY



The English version of this Amendment A01 to the Universal registration document was filed on 1st April 2021 with the AMF, as competent authority under Regulation (EU) 2017/1129, without prior approval pursuant to Article 9 of the said regulation. The Universal Registration Document may be used for the purposes of an offer to the public of securities or admission of securities to trading on a regulated market if completed by a securities note and, if applicable, a summary and any amendments to the Universal Registration Document. The whole is approved by the AMF in accordance with Regulation (EU) 2017/1129.

This is a translation into English of the Amendment A01 to the Universal registration document/Annual Financial Report of the Company issued in French and it is available on the website of the Issuer.

CRÉDIT AGRICOLE GROUP'S RAISON D'ÊTRE⁽¹⁾

2020, Our Raison d'Être⁽¹⁾ in action

2020 was marked by an unprecedented and unforeseen global health crisis, the significant economic effects of which are continuing into 2021. The crisis has demonstrated the significance and strength of the Group's Raison d'Être⁽¹⁾.

WORKING

EVERY DAY IN THE INTEREST
OF OUR CUSTOMERS AND SOCIETY

Crédit Agricole's end purpose

**is to be a trusted partner
to all its customers:**

Its solid position and the diversity of its expertise enable CA to offer all its customers ongoing support on a daily basis and for their projects in life, in particular by helping them to guard against uncertainties and to plan for the long term.

CA is committed to seeking out and protecting its customers interests in all it does. It advises them with transparency, loyalty and pedagogy.

It places human responsibility at the heart of its model: it is committed to helping all its customers benefit from the best technological practices, while guaranteeing them access to competent, available local teams that can ensure all aspects of the customer relationship.

**Proud of its cooperative
and mutualist identity**

and drawing on a governance representing its customers, Crédit Agricole:

Supporting the economy, entrepreneurship and innovation in France and abroad: it is naturally committed to supporting its regions.

It takes intentional action in societal and environment fields by supporting progress and transformations.

It serves everyone: from the most modest to the wealthiest households, from local professionals to large international companies.

This is how Crédit Agricole demonstrates its usefulness and availability to its customers, and the commitment of its 142,000 employees to excellence in customer relations and operations.

(1) Please refer to the glossary of Crédit Agricole S.A.'s Universal registration document for the definition of *Raison d'Être*.

Crédit Agricole Group

Crédit Agricole Group includes Crédit Agricole S.A., as well as all of the Regional Banks and Local Banks and their subsidiaries.

FLOAT

30.9%
INSTITUTIONAL INVESTORS

8.0%
INDIVIDUAL SHAREHOLDERS

5.8%
EMPLOYEE SHARE OWNERSHIP PLANS (ESOP)

N-S⁽¹⁾
TREASURY SHARES

HOLDING **44.7%**

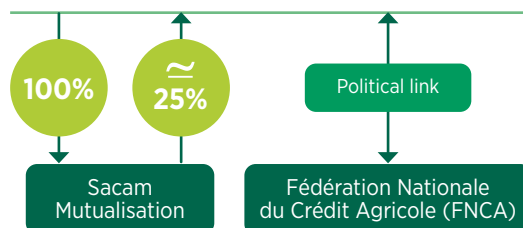
REGIONAL BANKS

10.9 Million
MUTUAL SHAREHOLDERS
who hold mutual shares in

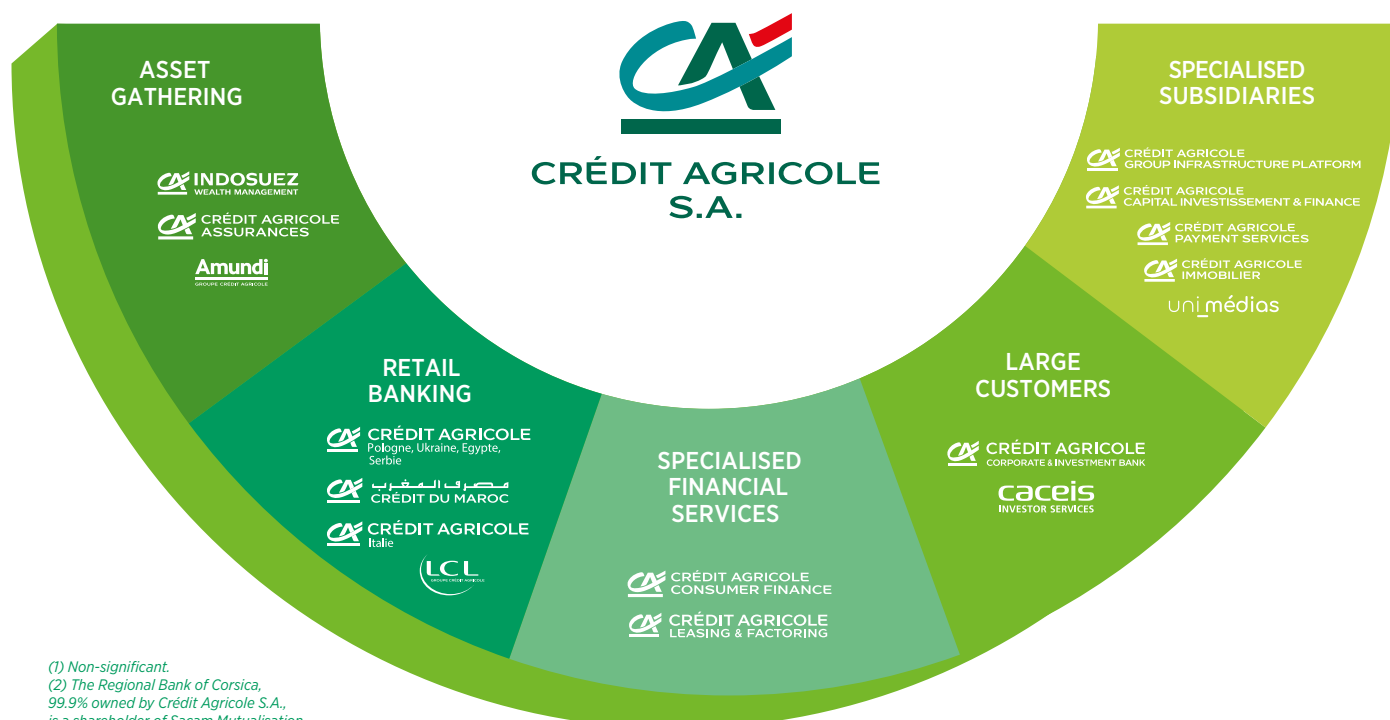
2,410
LOCAL BANKS

39
REGIONAL BANKS

jointly holding the majority
of CRÉDIT AGRICOLE S.A.'S
share capital through SAS Rue La Boétie⁽²⁾



HOLDING **55.3%**



(1) Non-significant.

(2) The Regional Bank of Corsica, 99.9% owned by Crédit Agricole S.A., is a shareholder of Sacam Mutualisation.

ABOUT CRÉDIT AGRICOLE GROUP

Rankings and key figures

Business at 31 December 2020	6
Breakdown of revenues in 2020	6
Trends in earnings	7
Ratings at 14 December 2020	8
Index presence and CSR ratings	8

Our universal customer-focused banking model – a global relationship bank for all

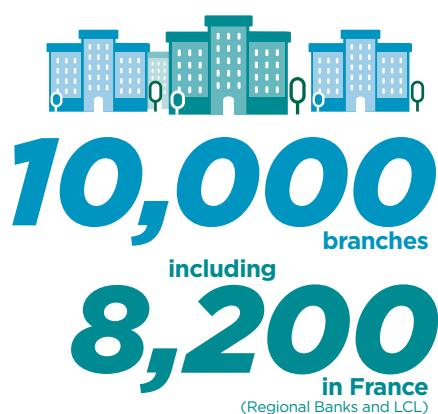
Activities and organisation of the Regional Banks	9
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Our business model serving sustainable value creation

The business lines of Crédit Agricole S.A. at 31 December 2020

Retail Banking – Regional Banks	14
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RANKINGS AND KEY FIGURES



(1) Crédit Agricole was already the 10th largest bank based on 2018 balance sheet size (source: the Banker, July 2019).

(2) Amundi was already the 1st european asset manager based on assets under management as of 31 december 2018 (source: IPE "Top 400 asset managers" June 2019).

(3) Crédit Agricole was already the 1st provider of financing to the French economy in 2019. Unchanged source.

(4) CAA was already the 1st insurer in France based year-end 2018 data (source: L'Argus de l'assurance, December 2019).

BUSINESS AT 31 DECEMBER 2020

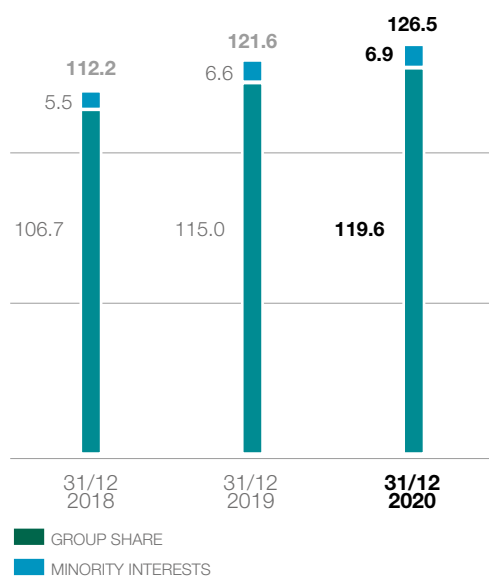
(in billions of euros)	31/12/2020
Total assets	2,217.5
Gross loans ⁽¹⁾	1,075.4
Customer deposits ⁽²⁾	1,135.2

(1) Gross value of loans and receivables due from credit institutions and due from customers.

(2) Including debt instruments issued to customers.

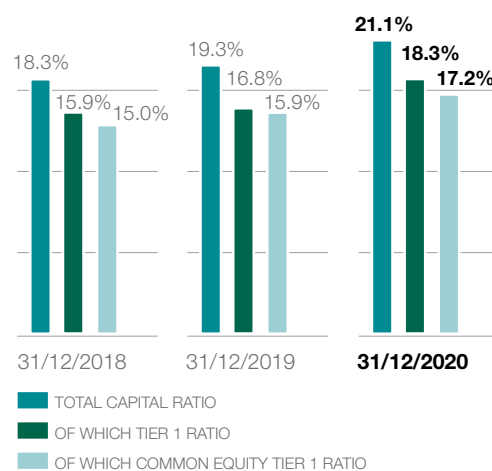
Total equity

(in billions of euros)



Fully loaded solvency ratios

(as a percentage)

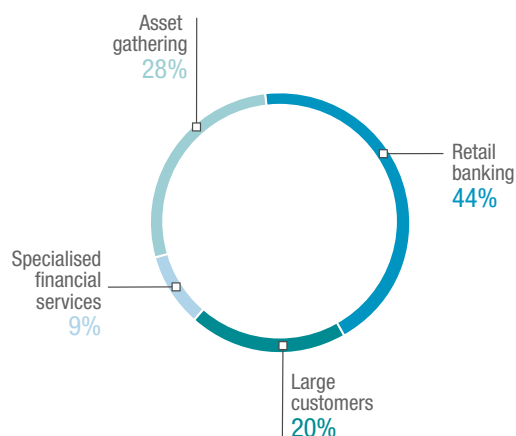


TRENDS IN EARNINGS

Condensed income statement

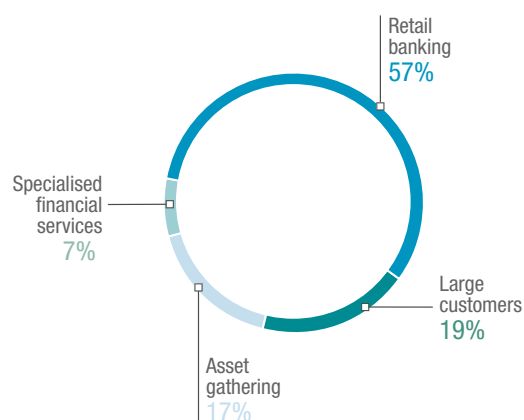
<i>(in millions of euros)</i>	2018	2019	2020
Revenues	32,839	33,297	33,596
Gross Operating Income	11,385	11,485	11,768
Net income	7,369	7,704	5,193
Net income Group share	6,844	7,198	4,689

Breakdown of net income Group share⁽¹⁾ by business line

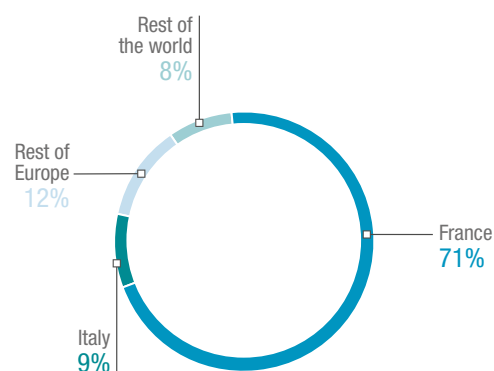


BREAKDOWN OF REVENUES IN 2020

By business line⁽²⁾



By geographic area



(1) Excluding Corporate Centre.

(2) Excluding the Corporate Centre division.

RATINGS AT 31 MARCH 2021

Ratings	LT/ST counterparty	Issuer/LT senior preferred debt	Outlook/ Review	ST senior preferred debt	Date of last review	Rating action
S&P Global Ratings	AA-/A-1+ (RCR)	A+	Negative outlook	A-1	21/10/2020	■ LT/ST ratings affirmed; outlook unchanged
Moody's	Aa2/P-1 (CRR)	Aa3	Stable outlook	P-1	19/09/2019	■ LT ratings upgraded (1 notch); outlook changed from positive to stable; ST ratings confirmed
Fitch Ratings	AA- (DCR)	A+/AA-	Negative outlook	F1+	10/11/2020	■ LT/ST ratings affirmed; outlook unchanged
DBRS	AA (high)/ R-1 (high) (COR)	AA (low)	Stable outlook	R-1 (middle)	28/09/2020	■ LT/ST ratings affirmed; outlook unchanged

INDEX PRESENCE AND CSR RATINGS⁽¹⁾

Crédit Agricole S.A. relies on its ESG strategy and the measures implemented by the entities to strengthen its non-financial performance. Its inclusion in the main global socially responsible investment indices was confirmed in 2020:



- Rated A- by CDP in 2020;
- Rated A by MSCI (Morgan Stanley Capital International) since 2017;
- Rated 63 by Vigeo Eiris since 2019 and included in the NYSE-Euronext indices since May 2013;
- Rated Prime by ISS-ESG since December 2015;
- Included in the UK's FTSE4Good index for several years, confirmed again in 2020;
- PRI⁽²⁾: Highest rating A+ for Amundi.

Signatory:

- United Nations Global Compact since 2003;
- Principles of Responsible Investment since 2006;
- Diversity Charter since 2008;
- Responsible Purchasing Charter since 2010;
- Charter for the energy efficiency of commercial buildings since 2013;
- Science Based Targets since 2016;
- RE100 since 2016;
- Principles for Responsible Banking and Collective Commitment to Climate Action since 2019;
- Business For Inclusive Growth (B4IG) since 2019;
- Poseidon Principles since 2019;
- One Planet Sovereign Wealth Fund Asset Manager Initiative since 2019;
- Tobacco-Free Finance Pledge since 2020.

Co-founding member:

- Equator Principles since 2003;
- Green Bonds Principles since 2014;
- Portfolio Decarbonization Coalition since 2014;
- Mainstreaming Climate Action Within Financial Institutions since 2015;
- Catalytic Finance Initiative since 2015;
- French Business Climate Pledge since 2015;
- Association BBCA (development of low-carbon buildings) since 2015;
- Finance for Tomorrow since 2017.

Participant:

- Call for carbon pricing initiated by the World Bank Group in 2014;
- Montreal Carbon Pledge since 2015;
- Paris Appeal on Climate Change since 2015;
- IIRC (International Integrated Reporting Council) since 2016;
- Task Force on Climate Disclosure since 2017;
- Climate Action 100+ since 2017;
- AIGCC (Asia Investor Group on Climate Change) since 2020.

Other positions:

- Statement on modern slavery since 2017;
- Contribution to the Human Resources Without Borders endowment fund since 2018.

(1) See other CSR ratings in Chapter 2 of this document.

(2) Principles for responsible investment.

OUR UNIVERSAL CUSTOMER-FOCUSED BANKING MODEL – A GLOBAL RELATIONSHIP BANK FOR ALL

Crédit Agricole Group's universal customer-focused banking model is based on the close association of its retail banks with its specialised business lines. The Regional Banks are at the heart of this model, based on recognised know-how in the distribution of all the financial products and services developed by the Group to all types of customers in France and internationally.

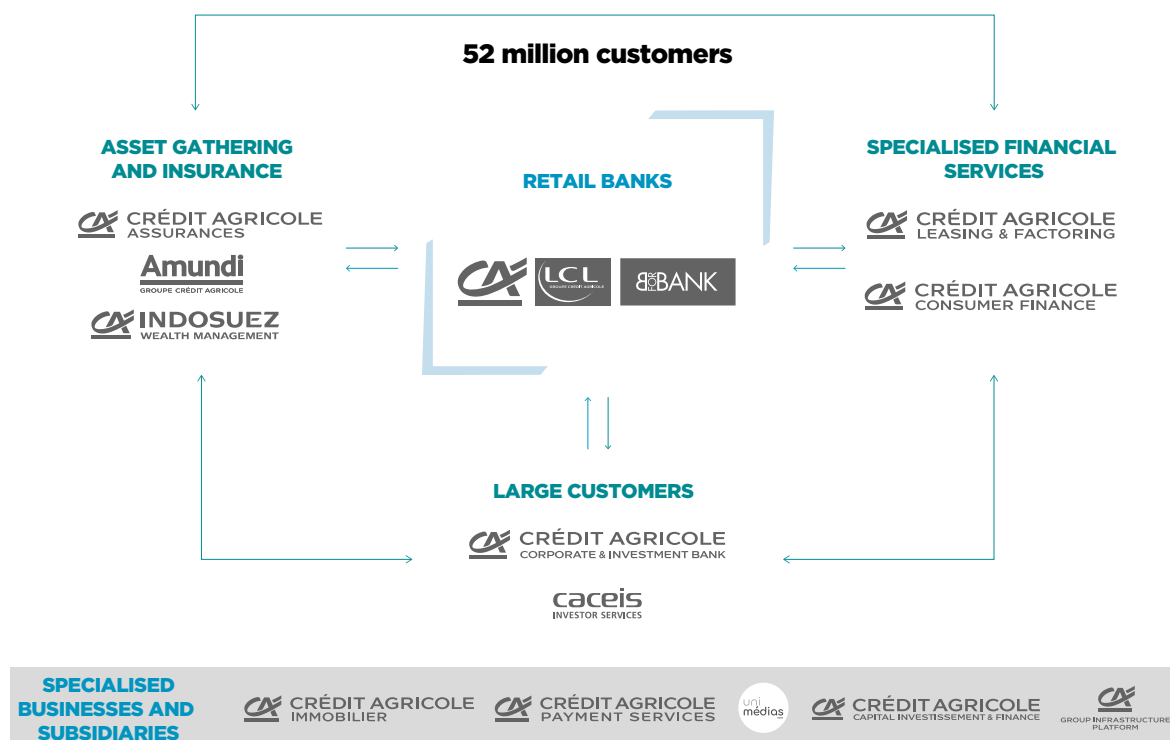
This model underscores Crédit Agricole Group's commitment to be the trusted partner of all of its customers and to cover the full breadth of their financial and wealth management needs, namely: payment instruments, insurance, savings management, financing, real estate and international support.

All of these services and skills are offered in a close relationship based on the Group's retail banks in France (Regional Banks, LCL, BforBank) and internationally (Crédit Agricole Italia, CA Bank Polska, Crédit du Maroc, CA Egypt, CA Ukraine, etc.). The contacts maintained by employees and elected representatives of Local and Regional Banks in the field ensure

good knowledge of customers and their problems throughout their lives. This understanding of the expectations and needs of customers, together with the size of the Group's networks, enable Crédit Agricole S.A.'s specialised business lines to constantly improve their offerings and their competitiveness.

With its specialised subsidiaries (insurance, asset management, real estate, wealth management, corporate and investment banking, financial services for institutional investors and issuers, specialised financial services, payment instruments), the Group is able to offer comprehensive and customised solutions to all its customers, in good times and bad times, within the framework of an enduring relationship.

This universal and customer-focused model demonstrated its strength, resilience and usefulness to all stakeholders in 2020. The Group was able to support all its customers through these unparalleled times and accelerate on the three pillars of the "Group project" presented in 2019, namely Clients, Human and Societal.



ACTIVITIES AND ORGANISATION OF THE REGIONAL BANKS

The Crédit Agricole Regional Banks are co-operative entities and fully-fledged banks that have a leading position in all their retail banking markets in France. With 21 million individual customers, the Regional Banks account for 23.3% of the household bank deposit market and 23.5% of the household credit market (source: Banque de France, September 2020). They are leaders in the agricultural market (81% share; source: Adéquation 2018), professionals market (35% share; source: Pépites CSA 2019-2020) and corporate market (36% share, tied with Banques Populaires; source: Kantar TNS 2019).

The marketing of products and services covering the financial and wealth management needs of their customers is based on a network of nearly 6,600 branches, about 6,000 in-store servicing points installed at small retailers and a full range of remote banking services.

Our business model serving sustainable value creation

OUR RESOURCES



OUR DNA

Mutualist and cooperative Group serving all.



OUR TALENTS

142,000
Crédit Agricole Group employees.



OUR GOVERNANCE

Solid majority shareholder ensuring long-term commitment.



OUR GEOGRAPHIC FOOTPRINT

In France:

- **39** Regional Banks, LCL and BforBank
- **8,200** retail banking branches

Abroad:

- **48** countries
- **52%** of Crédit Agricole S.A. employees



OUR CAPITAL

Shareholders' equity
Group share:

- Group: **€119.6bn**
- Crédit Agricole S.A.: **€65.2bn**



OUR MULTI-PARTNERSHIP MODEL

An organic growth model reinforced by external expertise and distribution partnerships in France and abroad.



OUR TECHNOLOGICAL CAPITAL

Single centre of IT expertise serving all of the Group's business lines.

OUR ACTIVITIES



OUR FOUNDATION THE REGIONAL BANKS

SOLID COMMITMENTS

Utility
at the service
of everyone

• **Sound**
and diverse range
of expertise

• **Protecting**
our customers'
interests and assets

Human responsibility
at the heart
of our model

• **Supporting**
the economy and
social cohesion

• **Supporting** the
transition to other
sources of energy

« Working every day in the interest of our customers and society. »



SUPPORTING AND ADVISING
OUR CUSTOMERS DURING
THEIR KEY LIFE MOMENTS

ELABORATING
INVESTMENT
SOLUTIONS

PROPOSING
COMPLEMENTARY
FINANCIAL SERVICES,
PAYMENT SERVICES, REAL ESTATE, ETC.

PROVIDING FINANCING,
SAVINGS AND
INSURANCE SOLUTIONS

OUR 3 STRATEGIC PILLARS

Excellence
in customer relations
•
Empowered
teams
•
Commitment
to society

OUR VALUE CREATION

CUSTOMERS

- 1st provider of financing to the French economy (€707bn loans outstanding in retail banking)
- 1st European asset manager (€1,729bn assets under management)
- 1st insurer in France

SHAREHOLDERS AND INVESTORS

- Crédit Agricole Group revenues: **€34bn⁽¹⁾**
- Crédit Agricole S.A. market capitalisation: **€30.1bn**
- Crédit Agricole S.A. net income: **€3.8bn⁽²⁾**
- **€0.80/share** distributed to shareholders, with a script dividend option ⁽³⁾

EMPLOYEES

- **80%⁽⁴⁾** participation rate in the Engagement and Recommendation Index (ERI)
- **5,383⁽⁴⁾** hired on permanent contracts
- Capital increase reserved for employees with an exceptional 30% discount

PUBLIC AUTHORITIES AND PARTNERS

- Group procurement: **€7.6bn⁽⁵⁾**
- Group taxes and social security expenses: **€6.8bn**

CIVIL SOCIETY AND THE ENVIRONMENT

- **€355.9bn** of outstanding ESG multi-criteria solutions⁽⁶⁾
- **+57%** outstanding green loans portfolio for **€11.4bn**
- Patronage: almost **€34.4m** for local and regional initiatives
- Almost **192,000** subscriptions to EKO and LCL Essentiel (entry-level offers)⁽⁷⁾

2020 data.

(1) Underlying revenues. (2) Underlying net income Group share. (3) Subject to the approval of the General Meeting of 12 May 2021. (4) Crédit Agricole S.A. scope. (5) External expenses. (6) Assets under management invested by Amundi in funds with an "ESG integration" investment process. (7) Cumulative data at end-2020.

THE BUSINESS LINES OF CRÉDIT AGRICOLE S.A. AT 31 DECEMBER 2020



ASSET GATHERING

INSURANCE

MISSION: as France's leading insurer⁽¹⁾, Crédit Agricole Assurances is highly focused on the needs of its customers, whether they are individuals, SMEs and small businesses, corporates or farmers.

GOAL: to be useful and effective, from designing solutions and services to handling claims.

OUR OFFERING: a full and competitive range, tailored to customers' needs in terms of savings/retirement, death & disability/creditor/group and property & casualty insurance, and backed by the efficiency of the largest banking network in Europe and international partnerships outside the Group.

KEY FIGURES:

Turnover
€29.4bn

Life insurance
outstandings
€308bn

Number of property
and casualty
insurance contracts
14.6 million



RETAIL BANKING

REGIONAL BANKS

MISSION: with locations throughout the country, the 39 Regional Banks are co-operative entities and fully-fledged banks that provide support for the plans of their customers: individuals, high-net-worth customers, farmers, SMEs and small businesses, corporates and those working in the public sector and the social economy.

OUR OFFERING: an advisory approach based on a full range of products and services, available in-branch or remotely, that are designed to meet our customers' needs in terms of banking (payments, savings, financing, corporate finance, international), insurance (property and casualty and personal risk) and real estate (including advisory and valuation of real estate assets, real estate management and lease management).

KEY FIGURES:

24.8 million
customers,
including 21 million
individual customers

10.9 million
mutual
shareholders

23.5%⁽⁴⁾
Market share
of household
credit

ASSET MANAGEMENT

MISSION: Amundi is the leading European asset manager in terms of assets under management and ranks in the top 10 worldwide⁽²⁾. The Group manages €1,729 billion and has six main management platforms (Boston, Dublin, London, Milan, Paris and Tokyo).

OUR OFFERING: Amundi offers its customers in Europe, Asia Pacific, the Middle East and the Americas a full range of savings and investment solutions in active and passive management, in traditional or real assets. It constantly strives to have a positive impact on society and the environment. Amundi's customers can also access a full range of high added value services.

KEY FIGURES:

Assets under
management
€1,729bn

No. 1 European
asset management
company⁽²⁾

Present in more than
35 countries

LCL

MISSION: LCL is the only domestic network bank in France to focus exclusively on retail banking and insurance. It covers all markets: individual customers, SMEs and small businesses, and private and corporate banking.

OUR OFFERING: a complete range of banking products and services covering finance, insurance, savings and wealth management, payments and flow management. With branches nationwide and an online banking service, the aim is to develop a close customer relationship (mobile app and website).

KEY FIGURES:

Loans outstanding
€143bn
(including €86bn
in home loans)

Total customer assets
€220bn

≈ 6 million individual
customers

WEALTH MANAGEMENT

MISSION: Indosuez Wealth Management comprises Crédit Agricole Group's wealth management activities⁽³⁾ in Europe, the Middle East, Asia-Pacific and the Americas. Renowned for the breadth of its offering and its international reach on a human scale, it operates in 13 territories around the world.

OUR OFFERING: the tailored approach of Indosuez Wealth Management allows individual customers to create, manage, protect and pass on their wealth in a manner which best fits their aspirations. Embracing a global vision, its multidisciplinary teams draw on excellence, experience and expertise to provide customers with appropriate, sustainable solutions.

KEY FIGURES:

Assets under
management⁽³⁾
€128bn

3,060 employees

Present in
13 countries

INTERNATIONAL RETAIL BANKING

MISSION: Crédit Agricole's international retail banks are primarily located in Europe (Italy, Poland, Serbia, and Ukraine), and in selected countries of the Mediterranean basin (Morocco and Egypt), where they serve all types of customers (individuals, small businesses, corporates – from SMEs to multinationals), in collaboration with the Group's specialised business lines and activities.

OUR OFFERING: the international retail banks offer a range of banking and specialised financial services as well as savings and insurance products, in synergy with the Group's other business lines (Crédit Agricole CIB, CAA, Amundi, CAL&F, etc.).

KEY FIGURES:

Loans outstanding
€57.2bn

On-balance sheet
deposits
€58.5bn

5.3 million
customers

(1) Source: *L'Argus de l'Assurance*, 18 December 2020 (data at end-2019). CAA was already the 1st insurer in France based year-end 2018 data (source: *L'Argus de l'assurance*, December 2019).

(2) Source: IPE "Top 500 Asset Managers" published in June 2020 and based on assets under management at 31 December 2019. Amundi was already the 1st European asset manager based on assets under management as of 31 December 2018 (source: *palmarès IPE "Top 400 asset managers"* June 2019).

(3) Excluding LCL Private Banking Regional banks activities within international retail banking.

(4) Source: *Banque de France*, September 2020.



SPECIALISED FINANCIAL SERVICES

CONSUMER FINANCE

MISSION: a major player in consumer finance in Europe, Crédit Agricole Consumer Finance offers its customers and partners a range of flexible, responsible solutions, tailored to their needs. Digital is a strategic priority, particularly through investments, in order to build with the client a credit experience which meets their expectations and new consumption trends.

OUR OFFERING: a complete multi-channel range of financing and insurance solutions and services available online, in branches of CA Consumer Finance subsidiaries and within its banking, institutional, distribution and automotive partners.

KEY FIGURES:

Assets under management €91bn	Including €21bn on behalf of the Crédit Agricole Group	Present in 19 countries
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LEASING, FACTORING AND FINANCE FOR ENERGIES AND REGIONS

MISSION: Crédit Agricole Leasing & Factoring (CAL&F) provides solutions for businesses of all sizes for their investment plans and the management of their trade receivables, through its offering of lease financing and factoring services in France and Europe. CAL&F is also one of France's leading providers of finance for energies and regions.

OUR OFFERING: in lease financing, CAL&F offers financing solutions to meet property and equipment investment and renewal requirements. In factoring, CAL&F provides trade receivable financing and management solutions for corporates, both for their day-to-day operations and for their expansion plans. Lastly, CAL&F, via its subsidiary Unifergie, helps corporates, local authorities and farmers to finance renewable energy and public infrastructure projects.

KEY FIGURES:

1 out of 3 mid-caps funded by CAL&F in France	Over 50 years' experience in leasing and factoring	No. 2 in the financing of renewable energy ⁽¹⁾
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LARGE CUSTOMERS

CORPORATE AND INVESTMENT BANKING

MISSION: Crédit Agricole Corporate and Investment Bank is the corporate and investment bank of the Crédit Agricole Group and which has chosen to focus more financing activities and corporate clients, and which is based on a powerful and well-coordinated in France and abroad in the major countries of Europe, Americas, Asia-Pacific and Middle East.

OUR OFFERING: products and services in investment banking, structured finance, international trade finance and commercial banking, capital market activities and syndication, and known worldwide "green" finance expertise.

KEY FIGURES:

2nd largest bookrunner worldwide for green, social and sustainability bonds (all currencies), both in volume and market share <i>(source: Bloomberg)</i>	3rd largest bookrunner in syndicated loans for the EMEA region ⁽²⁾ <i>(source: Refinitiv)</i>	8,604 employees
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ASSET SERVICING

MISSION: CACEIS, a specialist back-office banking group, supports management companies, insurance companies, pension funds, banks, private equity and real estate funds, brokers and companies in the execution of their orders, including custody and management of their financial assets.

OUR OFFERING: thanks to its presence in Europe, in North America, in South America following the combination with Santander Securities Services and in Asia, CACEIS offers asset servicing solutions throughout the full life cycle of investment products and for all asset classes: execution, clearing, forex, security lending and borrowing, custody, depositary bank, fund administration, middle-office solutions, fund distribution support and services to issuers.

KEY FIGURES:

Assets under custody €4,198bn	Assets under administration €2,175bn	Assets under depositary €1,585bn
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SPECIALISED BUSINESSES AND SUBSIDIARIES

Crédit Agricole Immobilier

- €1 billion in annual fees
- 3 million sq. m. under management at end-2020
- 1,553 homes sold

Crédit Agricole Capital Investissement & Finance (IDIA CI, SODICA CF)

- IDIA Capital Investissement: €1.8 billion in assets under management – Approximately 100 companies supported by the Group's equity capital
- SODICA CF: 26 M&A transactions (SME/mid-caps) in collaboration with the Group's networks in 2020

Crédit Agricole Payment Services

- France's leading payment solutions provider with a 30% market share
- More than 11 billion payment transactions processed in 2020
- 21.9 million managed bank cards

Crédit Agricole Group Infrastructure Platform

- 1,600 employees at 17 sites in France
- 6 data centres
- 60,000 open servers + 6 mainframe servers
- 194,000 workstations

Uni-médias

- 13 market-leading publications with nearly 2 million subscribers
- 10 million readers, 12 websites

(1) CAL&F is No. 2 on the Sofergie market (source: CAL&F at end-2019). CAL&F was already No. 2 on the Sofergie market based on end 2018 data.

(2) Crédit Agricole CIB was the second largest bookrunner in syndicated loans for the EMEA regions in 2019 (source: Refinitiv).

RETAIL BANKING – REGIONAL BANKS

Business and organisation

The Crédit Agricole Regional Banks (*Caisses régionales de Crédit Agricole* – CRCA) are co-operative entities and fully-fledged banks that have a leading position in retail banking markets in France: large individual customers with a market share of 27.9% (source: Sofia Kantar 2020), small individual customers with a market share of 25.6% (source: *Baromètre Jeunes* 2019 CSA), SMEs and small businesses, farmers and corporates.

Drawing on the Group's business lines, they market a range of products and services designed to meet the financial and asset management needs of their customers: payment instruments, insurance, savings, financing, equity financing, real estate and international support. They have a network of nearly 6,600 branches, reinforced by about 6,000 in-store servicing points at retailers, and provide their customers with a full range of remote banking services.

With almost 21 million individual customers, the Regional Banks account for 23.3% of the household bank deposit market and 23.5% of the household credit market (source: Banque de France, September 2020).

As the business bank for 81% of farmers (source: *Adéquation 2018*), the Regional Banks have a network of over 2,000 advisers dedicated to the farmers and are by far the leader among this group of customers for personal banking.

The Regional Banks are also a leader in the SMEs and small businesses market, both in assisting personal and professional needs with a market share of 35% (in global banking, source: *Pépites* CSA 2019-2020). Every day, Crédit Agricole's 4,400 professional advisers and experts help our self-employed customers take their business to new heights.

In the corporates market, the Regional Banks also rank first, tied with the Banque Populaire banks, with a 36% market penetration rate (source: Kantar TNS 2019). Thanks to more than 2,000 corporate account managers, the Regional Banks are specifically organised to advise and support all the companies in their region (start-ups, SMEs and mid-caps) and provide support to local authorities and, more broadly, to players in the local public sector and the social economy.

2020 highlights

The year 2020 was marked by the COVID crisis, which underscores the importance and power of our Customer Project, one of the three key pillars of our strategic plan and of our global relationship model. The fact that Crédit Agricole is the only banking player among the 25 brands cited as useful by French people is proof of this. We have delivered our *Raison d'Être*⁽¹⁾ – “Working every day in the interest of our customers and society”.

Customer Project

The Customer Project, the maximum amount of digital technology augmented and secured by human effort available and accessible locally, will enable us to become the preferred bank for individuals, the self-employed and corporates.

To achieve this and be first in the NPS (Net Promoter Score) rankings, Crédit Agricole mobilises around three main targets:

1. **Collectively managing relational excellence;**
2. **Becoming a leading digital bank;**
3. **Offering our customers a wide range of banking and non-banking services.**

Collectively managing relational excellence

Human banking: offering our customers access to an adviser to guarantee a responsible, locally based relationship.

The Group has chosen to make customer satisfaction and the culture of excellence the guiding thread of its actions to establish or maintain a solid relationship with its customers based on closeness, responsibility, support at every stage, and trust.

- The ninth national-level NPS survey was carried out across all markets in 2020. Regional NPS surveys have also been completed: 39 Regional Banks have a retail banking NPS mechanism, 27 Regional Banks have an asset NPS (+2 compared to 2019), 30 Regional Banks have a professional NPS (+6 compared to 2019), 23 Regional Banks have an agricultural NPS (+2 compared to 2019), and 28 Regional Banks

have a corporate NPS (+2 compared to 2019). At the national level, the Regional Banks are currently ranking third among the private network banks in France.

- During the lockdowns, the Regional Banks mobilised to ensure **continuity of service** and stand by their customers, with around 90% of branches open physically or remotely during the spring lockdown (80% in the first days of lockdown) and 99% of branches open physically during the second lockdown at the end of 2020.
- The aim of the “**Relationship Model**” project is to improve the customer experience whatever the point of contact, both within the branches and through digital tools, and to make Crédit Agricole's promises clearer. In line with its digital transformation, Crédit Agricole deploys practices and postures that show its close attentiveness to customers and employees. Work is also under way on multi-channel consulting for excellence and priorities for excellence, such as availability and support, proactiveness and recognition of loyalty.
- The **Group's plan to tackle pain points**, which is based on continuous improvement through the implementation of Zero-Irritant procedures in all entities, has now identified 100 major pain points for analysis, prioritisation and treatment. Special attention is given to handling of complaints and reviewing of customer correspondence.
- To support Group entities in the enhancement of the “culture of relationship excellence by CA”, the **Académie de l'Excellence Relationnelle** now has 81 Customer Champions to promote the collective management of relationship excellence at all the Group's banks in France and abroad and all subsidiaries, business lines and divisions.

(1) Please refer to the glossary of Crédit Agricole S.A.'s Universal registration document for the definition of *Raison d'Être*.

Becoming a leading digital bank

Omni-channel banking allows our customers to access our solutions digitally or through any channel of their choice for the entire relationship. For the Group, this means raising its tools and applications to the highest standards in all markets, being present where customers and prospects are (social networks, e-commerce sites and search engines) and capitalising on data to better serve our customers.

- Faced with the economic emergency linked to the lockdown, Crédit Agricole was able to adapt quickly and strongly with the digitalisation of the **State Guaranteed Loans (PGEs)**. The Group has played a major role in their distribution, with a 28% market share of the total number of loans and a total amount granted of €27 billion at the end of December 2020. This support was especially welcomed by its customers, with 90% of Crédit Agricole's corporate customers feeling supported and three-quarters of them feeling "fully" supported (source: quantitative survey conducted by 18 Regional Banks among 1,000 corporate customers between 15 April and 15 May 2020).
- In addition, a **series of measures** was quickly put in place to help our customers get through this exceptional period, including repayment of e-banking subscriptions that had become inactive, payment holidays (for mortgages and consumer loans), kick start loans, maintenance of insurance coverage in cases of late payment and special measures for customers weakened by the crisis.
- With **Digiconso**, Crédit Agricole offers a new digitalised consumer credit process. The customer/advisor experience is streamlined and simplified, the multi-channel offering can be accessed from any device at the customer's leisure, and the whole application process now takes only 15 minutes.
- The **New Customer Portal (NCP)** is a unique new website adapted to all types of terminals that Regional Banks can regionalise and customise. It is now deployed by all Regional Banks. This multi-market site (individuals, wealth management, SMEs and small businesses, corporates, associations and farmers) offers a new ergonomic interface with an improved, smooth customer experience. It makes it easier to personalise editorial content to be closer to customers and enables a remote customer service approach thanks to the green button.
- In 2020, the **websites** of the Regional Banks and the national website www.credit-agricole.fr had 897 million annual visits. This was down -9% compared to 2019, due mainly to automatic redirection of customers to their Regional Bank's website. Conversely, the number of users of the MaBanque application continued to grow strongly over the months, with 5.9 million customers now using the MaBanque application, 16% more than in 2019.
- On **social networks** (Facebook, Twitter and Instagram), Crédit Agricole is followed by 1.167 million people, making it the number one French bank in terms of number of followers. With a monthly average of 700,000 interactions on these three networks, Crédit Agricole also became the bank with the highest engagement rate in 2020. A second YouTube channel designed to showcase our *Raison d'Être*⁽¹⁾ was also launched. In six months, the channel generated 28.7 million minutes of time spent with the Crédit Agricole brand, making Crédit Agricole a leading banking player on the channel.

Offering our customers a wide range of banking and non-banking services

Universal banking provides answers to all of our customers' day-to-day concerns, whether wealth-related or entrepreneurial in nature. Our offering and service strategy focuses on two dimensions: (i) adapting our offerings to new uses and societal concerns and (ii) providing services and usefulness to customers around a universe of needs.

- Strong mobilisation to support our small retailers:
 - The **J'aime mon territoire** platform was launched to support our local retailers, with a 100% local community for sharing, a free social network open to all and a platform to foster social links and boost local commerce.
 - **J'aime mon producteur local** is a short-circuit platform that supports local producers, artisans and retailers, buying directly from them through this solidarity-based online market.
 - Through **Click & Collect** (online ordering, in-store pick-up), Crédit Agricole promotes the local economy and the continued activity of local shops by facilitating digitalisation and helping them to adapt to new methods of consumption.
 - For our SME and small business customers that are currently operating, the promotion of **distance selling** has offered them the possibility of continuing their business remotely, with Pay by Link or Up2Pay Mobile for click and collect and home delivery.
- Platforms dedicated to a universe of needs:
 - **Youzful**, the platform for young people, a space for guidance and job searches where young people can get information, find out about job offers in their region, talk with professionals and access Crédit Agricole solutions to help them make their plans a reality.
 - **BLANK**, a new kind of banking for the self-employed, a digital bank with a simple offering (a payment account, a card) and management tools at a reasonable price, to manage your activity and finances independently, instantly and simply.
 - **KLS**, a marketplace for those who finance the economy. KLS aims to offer a unique meeting place and expert, useful and risk-free solutions to players in financing so that they can support more corporates and public authorities in their high-impact transactions.
- Support for new uses:
 - As part of the CA Group's societal project, CAL&F offers **Green Solutions** to support Professionals, Farmers and Corporates in their energy transition and help them to combine economic performance and environmental impact. Three equipment lease financing offers are currently being offered: (i) the LED offer is for improving the energy performance of buildings and reducing energy bills through renovation of the lighting system, (ii) the green mobility offer is for reducing the environmental impact of travel and means of transport through electric vehicles, hybrids and recharging stations, and (iii) the solar self-consumption offer is for producing and consuming one's own electrical energy locally. Educational and digital content is also made available to provide new ideas and support our customers in the preparation of their projects.

(1) Please refer to the glossary of Crédit Agricole S.A.'s Universal registration document for the definition of *Raison d'Être*.

– **Financing** to support the **transition and economic development of regions:**

- Climate Action financing with EIB funding, a €200 million package for farmers to refinance projects that favour customers (methanisation, photovoltaic, more energy-efficient buildings, etc.).
- IDIA Transition Fund, a Crédit Agricole proprietary fund with a target size of €200 million that supports regional transition in energy, agriculture and food processing.
- EIF – Transition guarantee scheme, a €625 million package for farmers to finance so-called agricultural transition projects and diversify farms.
- EIB *Déserts Médicaux*, a €250 million package granted by the EIB to Regional Banks to support self-employed health professionals in their financing of regional health projects.

– The ***Bien Vivre à Domicile*** initiative supports elderly people and their caregivers via an approach that is 100% human and 100% digital. This new approach is based on a free assessment performed by a bank advisor using a tablet application.

– With **Globe Trotter**, for just €2 per month, Crédit Agricole supports young people aged 18-30 who travel, offering total exemption from transaction fees worldwide.

■ New features are always being added to core offerings.

In addition, in the form of a film, a declaration of love to the French people and a tribute to great people everywhere, Crédit Agricole revealed its **new signature “Working every day in your interest and in the interest of society”**. This commitment, which took on its full meaning in 2020, has generated emotion and launched an in-depth discourse.

■ **Transformations related to the crisis in the different markets**

In the individual customers market, the health crisis has led to a deepening of divisions, uncertainty, changes in behaviour and priorities, with a refocusing on the essential, whether it is experienced or chosen.

The acceleration in digital usage observed this year will not be reversed and is accompanied by new appreciation for the value of human beings. Even though consumption and credit (consumer goods and housing) are declining, savings are on the rise with increased expectations of security and liquidity.

In 2020, the NPS in this market went up 7 points, putting Crédit Agricole in the lead.

The high-net-worth customers market is a growing market, always concentrated and coveted by multiple players, especially online and neo-banks. This attack is more pronounced among the younger portion of this market.

In an environment that weighs on margins and sees an acceleration of generational changes and changes in behaviour, demands are reinforced: very personal remote advice, a dedicated advisor, fluidity/stability and sustained relational intensity.

Due to the COVID crisis, with no ability to consume and uncertainty about the future, record levels of demand deposits and bank savings were recorded in 2020.

The professional market has been heavily affected by the health crisis. Between massive loss of activity in certain sectors (shops, tourism, out-of-home catering), a fall in revenues or rapid changes in the profession (teleconsultations, e-commerce, take-away sales), resilience will be selective.

Crédit Agricole stood out from its competitors when it came to structural aspects of the relationship, such as the proportion of customer contacts and support in the event of difficulties (distribution of €27 billion in State-guaranteed loans).

As for the agricultural market, alongside the impact of the COVID crisis on many sectors, fundamental trends remain unchanged or are even stronger, such as demand for local consumption and short circuits, the dynamism of organic farming, the agricultural transition encouraged on a European scale by the Green Deal, as well as violent movements (wine, beef, sugar) and the emergence of a debate on agricultural and food sovereignty.

On the corporate market, almost the entire economy was affected by the supply and demand shock, with strong sectoral disparities. Faced with the global recession that is impacting consumer markets, production and supply chains and with political tensions (US/China and post-Brexit negotiations), the corporate market is experiencing a climate of anxiety and mistrust. Faced with this unprecedented shock, Crédit Agricole is amplifying its role as a leading bank by proposing sector- and industry-specific approaches.

As regards the public sector and the social economy, Crédit Agricole is in contact with two in three local authorities, 45% of public health establishments and one in two social housing organisations. Crédit Agricole supports over 450,000 associations, or nearly one in three.

The 2020 business line presentation of the other subsidiaries and divisions is taken from page 16 of the 2020 Universal registration document.

2



MANAGEMENT REPORT

Operating and financial information

19

Presentation of Crédit Agricole Group's consolidated financial statements	19
Economic and financial environment	19
Group activity and consolidated results of the Crédit Agricole Group	21
Operations and results by business segment	25
Consolidated balance sheet of the Crédit Agricole Group	36
Recent trends and outlook	38

OPERATING AND FINANCIAL INFORMATION

PRESENTATION OF CRÉDIT AGRICOLE GROUP'S CONSOLIDATED FINANCIAL STATEMENTS

Changes to accounting policies and principles

Changes to accounting policies and principles are described in Note 1 to the consolidated financial statements for the year ended 31 December 2020.

Changes in the scope of consolidation

Changes in the scope of consolidation are described in Notes 2 and 12 to the consolidated financial statements for the year ended 31 December 2020.

ECONOMIC AND FINANCIAL ENVIRONMENT

Overview of 2020

The year 2020, initially marked by an orderly slowdown in the global economy, financial markets made to feel optimistic by the reduction in uncertainties (including a China-US trade agreement) and lasting accommodative monetary policies, will obviously be marked by the effects of the COVID-19 epidemic. COVID-19 is a shock unprecedented in nature firstly due to its disruption of the real economy: an external event that has impacted the economy globally and affects both supply and demand by forcing entire business sectors into inactivity, while at the same time causing consumption to contract with the resulting unintentional accumulation of extensive savings. The magnitude of the shock is another point of difference, being much greater than the 2008-2009 crisis. As early as April, the IMF thus delivered a forecast of a contraction of world GDP of -3% in 2020 (compared to a -0.1% decline in 2009). In June, the IMF stated that it expected a recession of -4.9% in 2020 followed by a recovery of 5.4% in 2021. In October, the forecasts of a recession followed by global recovery were both slightly revised (-4.4% followed 5.2%) to finally be revised favourably in January 2021 (-3.5% and 5.5%).

To cushion the anticipated recession and prevent the public health and economic crisis from being coupled with a financial crisis, we have thus witnessed the rapid and generalised implementation of monetary and budgetary support policies unprecedented in terms of size and capacity to overcome constraints. In monetary matters, central banks have had recourse to diverse combinations of various tools, while pursuing similar targets: easing of financing conditions, efficient transmission of monetary policy, better functioning of the financial and credit markets and, in the case of the ECB, easing of tensions on the most vulnerable sovereign bond spreads in the Eurozone. Thanks to massive support plans (partial unemployment, aid to the most vulnerable populations, temporary reduction in social contributions, deferral of tax charges and social security costs, public guarantees on loans to companies, government equity investments), the budgetary policies have sought to soften the shock by limiting the destruction of jobs and production capacities in order to ensure the best possible restart, once the pandemic has passed. While monetary and budgetary policies have made it possible to avoid a financial crisis and attenuate the recessionary effect of the pandemic, its effect has nonetheless been considerable but of varying magnitude by country depending, notably, on the countries' structural features (structure of GDP, employment, weight of different sectors), how robust they were pre-crisis, their public health strategies and how much leeway they had.

In the United States, in mid-March, the Federal Reserve took a series of radical easing measures⁽¹⁾, some of which were then extended and supplemented in order to ensure a supply of liquidity to banks and markets (unlimited asset buying, expansion of the universe of purchasable securities). This accommodative stance was also reinforced by the adoption of average inflation targeting which explicitly allows the inflation target to be exceeded after periods in which inflation has been consistently below 2%. After its December meeting, the Federal Reserve made it clear that it would maintain an accommodative stance and its key rates at zero for an extended period as evidenced by the "dot plot", in which the median projection of members of the FOMC shows unchanged rates until at least 2023. While feeling comfortable with the current set up, the Fed has said it was ready to do more (more bond purchases and/or maturity extensions) if necessary.

The US budgetary response was also rapid (March) and massive, in the form of a support plan known as the Coronavirus Aid, Relief, and Economic Security (CARES) Act (totalling nearly \$2,200 billion (i.e. 10% of GDP) aimed at providing financial assistance or relief to households and businesses, but also to hospitals and states. The flagship measures included the direct stimulus payment to low and moderate income households, an unemployment insurance assistance plan (authorising the extension of unemployment benefits which normally fall under the competence of the states), financial support to SMEs (\$350 billion), loans to large corporates, to states and local governments (\$500 billion), the release of loans to hospitals (\$150 billion). An additional budget plan (\$484 billion i.e. just over 2% of GDP), aimed at strengthening the CARES Act of March and "lengthening" the loan program for SMEs, was adopted in April.

In 2020⁽²⁾, the US budget deficit therefore widened by nearly 10 points to 14.9% of GDP, while the debt grew by +20 percentage points to reach 100% of GDP. Activity nonetheless fluctuated throughout the year. After a decline of -1.3% in the first quarter (non-annualised quarterly change), the decline in GDP in the second quarter was violent (-9%) but followed by a more sustained rebound than expected (+7.5% in the third quarter). Owing to the resurgence of the pandemic, the improvement in the labour market came to a halt in December (after peaking at 14.8% in May, the unemployment rate reached 6.7% against 3.5% before the crisis). In the fourth quarter, economic activity grew only +1%. **Despite massive monetary and budgetary support, the recession in the end stood at -3.5% (-2.5% in 2009); GDP was 2.5% below its pre-crisis level (end of 2019) and inflation reached 1.4% at end December.**

(1) Rate cut of 100 basis points (Fed funds range at [0; 0.25%]) of the marginal lending facility rate (discount window of 1.5% to 0.25%), lower reserve requirement rate, asset purchase program (\$500 billion in Treasuries and \$200 billion in mortgage-backed securities, MBS), liquidity for specific segments (Commercial Paper Funding Facility, Money Market Mutual Fund Liquidity Facility), forward guidance (no interest rate hike until the public health crisis is overcome and the economy evolves in line with its inflation and employment targets).

(2) 2020 fiscal year ended in September.

In the Eurozone, from March onwards, the ECB deployed aggressive accommodative measures which it then adapted to prevent any undesirable tightening of financial conditions: increase in Quantitative Easing (additional envelope of €120 billion), launch of a new temporary purchasing program (Pandemic Emergency Purchase Program or PEPP of €750 billion, initially until the end of 2020, purchases not constrained by the limit of holding no more than 33% of any one bond or issuer, which makes for easier compliance with the capital distribution key), introduction of transitional Long Term Refinancing Operations (LTRO) until June 2020 (with more favourable conditions as well as less stringent rules for collateral), easing of the TLTRO III conditions, new long-term refinancing operations Pandemic Emergency Longer-Term Operations (PELTRO) and, lastly, measures to alleviate the solvency and liquidity constraints on the banking sector. At the end of December, faced with the more severe impact of the second wave of the pandemic on the short-term scenario and the high uncertainties about growth (for which it revised the 2021 forecast downwards from 5% to 3.9%), the ECB sent a very clear signal of substantial and, above all, lasting presence; it renewed its incentive to lend to banks and its commitment to limit pressure on the risk premiums of vulnerable sovereigns: recalibration of the third series of targeted longer-term refinancing operations (TLTRO III, extension until June 2022 of the period during which very favourable conditions adopted in terms of interest rates⁽¹⁾ and easing of collateral apply), three additional operations planned for 2021 (June, September, December), increase in the total amount that the counterparties will be authorised to borrow during TLTRO III, four additional refinancing operations (PELTRO, from March to December 2021 for a period of one year), additional budget of €500 billion dedicated to the PEPP (a total of €1,850 billion), extension of the horizon for net purchases to the end of March 2022, reinvestment of principal repayment of maturing securities extended at least until the end of 2023.

The Eurozone's fiscal policy also quickly took an expansionary turn with national measures (support for the healthcare system, businesses and employment, public guarantees on new business loans). By easing constraints on national policies through the suspension of budgetary rules, the European Commission enabled the countries to respond immediately to the crisis. Faced with such diverse national latitudes that posed the risk of a detrimental fragmentation to the market and to the single currency, the pooling of resources was essential. The existing funds were first mobilized⁽²⁾. **As the scale of the crisis became clear, new pooled resources financed by debt emerged:** the SURE fund (support to mitigate unemployment risks, €100 billion), investment guarantees by the EIB (€200 billion), **a proposal from the European Commission in favour of a recovery and reconstruction support fund, redistributing in favour of the poorest countries and those most affected by the crisis: the Recovery Fund** (i.e. €750 billion raised by bond issue guaranteed by the EU budget).

In 2020, the boost to the economy provided by fiscal policy was slightly less than 4 percentage points of GDP on average in the Eurozone. Coupled with the cyclical deterioration of the budget balance (4 percentage points of GDP), the public deficit widened by almost 9.3% on average in the Eurozone and led to a sharp increase in public debt (almost 18 points on average to reach just over 104% of GDP). Despite monetary and fiscal arrangements, the economy nonetheless evolved with the pandemic and the mobility restriction measures it imposed. After an already substantial decline in the

first quarter (-3.7% quarter-on-quarter), GDP fell by -11.7% in the second quarter before recording a spectacular rebound that was more robust than expected (+12.5%). In the last quarter, the decline was less severe than expected (-0.7%). **While inflation fell back (-0.3%, year-on-year in December; 0.3% on average), the recession thus reached 6.8% in 2020 (compared to -4.5% in 2009), leaving GDP down -5.1% on its level at end 2019 and showing significant differences between the large Eurozone countries.** For example, in Germany, after almost zero growth in the fourth quarter, GDP recorded an average contraction of 5.3% over 2020, which remains "limited" notably in view of the financial crisis of 2009 (a -5.7% decline).

In France, after a sharp rebound, the lockdown in November led to a smaller-than-expected contraction in GDP (-1.3% in the fourth quarter), less than estimated. Over full year 2020, GDP fell by -8.3%, a shock much greater than that of the 2009 crisis (-2.9%), but ultimately lower than what had been anticipated in the scenario of December or by the economists' scenario which planned a contraction by around 9%. With a less maturity and extent, the second lockdown has been less negative for the economy than the spring's one. Thus, the level of activity in the fourth quarter is lower by 5% compared to the fourth quarter 2019, last quarter with a "normal" level of activity, whereas the second quarter 2020 was lower by 18.8%. In the fourth quarter, the contraction of activity is mainly due to the decline in consumption, caused by administrative closures and curfew measures. On the other hand, the investment continues its recovery thanks to the continuation of the activity in sectors such as building, and capital goods production.

By posting even moderate growth (around 2.3%), China was ultimately the only G20 economy not to have suffered a recession in 2020. After a historically low first quarter, Chinese activity was revived thanks to a policy focused on supply (support for companies through public orders and lines of credit). A two-speed recovery has thus started with, on the one hand, a V-shaped recovery for industrial production, exports and public investment and, on the other hand, a more gradual rebound in consumption, private investment and imports. Despite the recovery, almost a year after the public health crisis, some stigmas are still visible: retail sales, just like certain service activities (requiring a physical presence) have not caught up to their 2019 level and job creation is still insufficient to offset the destruction that took place in early 2020 and absorb new entrants.

In 2020, monetary activism made it possible to prevent the economic crisis from being coupled with a financial crisis: a clear success in view, on the one hand, of the shock to the real economy and, on the other hand, of the threats that hovered at the beginning of the year, particularly within the Eurozone. In the wake of a powerful wave of risk aversion, in March, the German ten-year interest rate plunged to -0.86%, a low quickly followed by a violent widening of risk premiums paid by the other countries. Risk premiums offered by France, Spain and Italy peaked at 66 basis points (bp), 147 bp and 280 bp, respectively, in mid-March. Completed by the European Recovery Fund, the monetary policy measures rolled out by the ECB made it possible, if not to significantly raise German rates, then to avoid a fragmentation of the Eurozone and to encourage the appreciation of the euro against the dollar (9% over the full year). At end December, while the Bund stood at -0.57%, French, Italian and Spanish spreads were only 23 bp, 62 bp and 111 bp respectively. US rates (10-year

(1) 50 basis points (bp) below the refinancing rate for all outstandings and 50 bp below the deposit rate for any net outstandings equal to the level of outstandings granted between October 2020 and December 2021. The precondition for benefiting from this strong incentive to lend is therefore clear: the existing support must not be reduced.

(2) Reorientation of unused cohesion funds from the EU budget in the amount of €37 billion, guarantees to SMEs provided by the European Investment Bank (EIB), use of funds still available from the European Stability Mechanism (ESM) in the amount of €240 billion (or 2% of the area's GDP).

US Treasuries), which started from 1.90% at the beginning of the year, fell back to 0.50% in March and then moved within a relatively narrow range (0.60%-0.90%). At its 15-16 December meeting, the Fed opted for the *status quo* but confirmed that it was still possible, if necessary, to increase its bond purchases and extend their maturity. Rates therefore rose slightly before quickly easing off. Having followed a slow upward trend since the summer, rates ended the year at 0.91%. Finally, the abundance

of liquidity and the commitment to maintain accommodative monetary conditions provided by central banks supported riskier markets. Thus, for example, while American and European equities posted declines of respectively -30% and -37% in mid-March compared to their level at the beginning of January, they ended the year with a respectable rise (+14%) and a limited decline (-6.5%).

GROUP ACTIVITY AND CONSOLIDATED RESULTS OF THE CRÉDIT AGRICOLE GROUP

In full-year 2020, reported net income, Group share reached €4,689 million, compared with €7,198 million in 2019, representing a decrease of -34.9%.

Specific items in 2020 had a significant negative impact of -€1,440 million on reported net income group share. They include the impairment of goodwill on the acquisition of CA Italia (-€884 million), Crédit Agricole Consumer Finance NL (-€55 million), the reclassification of assets held for sale and the transition to IFRS 5 of Crédit Agricole Consumer Finance NL (-€135 million), Bankoia (-€42 million), CA Bank Romania (-€7 million), Nacarat (-€5 million), and the ongoing disposal project in Private Banking (-€24 million), the reversal of the provision for the FCA Bank fine for +€89 million, the liability management balance of -€28 million, support for business insurance policyholders related to COVID-19 for -€163 million, the extraordinary contribution on supplementary health insurance contributions of -€15 million, solidarity donations under COVID-19 for -€62 million, the integration costs of Kas Bank and Santander Securities Services (S3) for -€9 million. In addition to these items, there are specific recurring items *i.e.*, the DVA for +€8 million, hedges of the loan books of the Large Customers business line for +€7 million, and the changes in provisions for home purchase savings plans for -€53 million.

Specific items in 2019 had a limited impact of +€6 million on reported net income Group share. This includes the favourable decision of the French Council of State on the dispute over the tax treatment of Emporiki shares for +€1,038 million, the costs of the integration and acquisition by CACEIS of Santander and Kas Bank (-€15 million in net income Group share), a write-down of assets in the process of being sold of -€46 million in income from discontinued or held-for-sale operations. The acquisition of Kas Bank by CACEIS resulted in goodwill of +€22 million and the goodwill of LCL was partially impaired for -€664 million. In addition, there are recurring accounting volatility elements, namely DVA (Debt Valuation Adjustment, *i.e.*, gains and losses on financial instruments related to changes in the Group's issuer spread), plus the Funding Valuation Adjustment (FVA) portion associated with the change in the issuer spread, which is not hedged, for -€16 million in net income Group share, the hedge on the Large Customers loan book for -€32 million, and the change in the provision for home purchase savings for -€280 million net income Group share.

Excluding these specific items, **underlying net income Group share** reached **€6,129 million**, down **-14.8%** compared to 2019.

(in millions of euros)	2020 stated	Specific items	2020 underlying	2019 stated	Specific items	2019 underlying	Δ 2020/2019 stated	Δ 2020/2019 underlying
Revenues	33,596	(439)	34,035	33,297	(493)	33,790	+0.9%	+0.7%
Operating expenses excluding SRF	(21,266)	(96)	(21,169)	(21,386)	(15)	(21,371)	(0.6%)	(0.9%)
SRF	(562)	-	(562)	(426)	-	(426)	+31.9%	+31.9%
Gross operating income	11,768	(536)	12,304	11,485	(508)	11,993	+2.5%	+2.6%
Cost of risk	(3,651)	0	(3,651)	(1,757)	-	(1,757)	x2.1	x2.1
Equity-accounted entities	419	89	330	356	-	356	+17.6%	(7.5%)
Net income on other assets	52	-	52	36	(6)	42	+46.0%	+24.3%
Change in value of goodwill	(968)	(965)	(3)	(642)	(642)	-	+50.8%	n.m.
Income before tax	7,620	(1,411)	9,031	9,478	(1,156)	10,634	(19.6%)	(15.1%)
Tax	(2,165)	152	(2,317)	(1,737)	1,208	(2,945)	+24.7%	(21.3%)
Net income from discontinued or held-for-sale operations	(262)	(268)	6	(38)	(46)	8	x6.9	(21.2%)
Net income	5,193	(1,528)	6,720	7,704	6	7,697	(32.6%)	(12.7%)
Non controlling interests	(504)	87	(591)	(506)	-	(506)	(0.4%)	+16.9%
NET INCOME GROUP SHARE	4,689	(1,440)	6,129	7,198	6	7,191	(34.9%)	(14.8%)
COST/INCOME RATIO EXCLUDING SRF (%)	63.3%		62.2%	64.2%		63.2%	-0.9 pp	-1.0 pp

Underlying revenues were slightly up (+0.7%) compared to 2019, with a significant positive contribution from the Large Customers division (+10.8%) and relative resilience of all other business lines: French Retail banking (-0.9%), Asset Gathering (-2.4%), International Retail banking (-6.0%, penalised by lower interest rates in the various markets), and Specialised Financial Services (-7.0% underlying and 4.3% at constant scope⁽¹⁾).

Underlying operating expenses were slightly down by -0.9%, excluding the contribution to the Single Resolution Fund (SRF)⁽²⁾. The contribution to the SRF increased sharply, however, by 31.9% to €562 million in 2020. As a sign of the Group's characteristic operational agility, all of the business lines that recorded a decline in revenues recorded a decrease in their operating expenses excluding SRF. As a result, the Asset Gathering division recorded a -2.4% decline in expenses, International Retail banking -2.6%, Retail banking in France -1.8%, Specialised Financial Services -5.6% (and stable at constant scope⁽¹⁾). Conversely, the Large Customers business line reported a +6.0% increase in expenses, mainly due to a scope effect (with Kas Bank and S3 integrated into Institutional financial services). The underlying cost/income ratio excluding SRF of Crédit Agricole Group stood at 62.2%, an improvement of 1.0 percentage point compared to 2019.

The cost of credit risk is multiplied by 2.1x, i.e. a -€1,895 million increase compared to 2019 at -€3,651 million. This 93% increase is linked to the rise in provisions for performing loans in the context of the COVID-19 crisis for all business lines. The cost of risk on outstandings of the Group stands at 38 basis points⁽³⁾. Asset quality is good: the doubtful loans ratio is down to 2.4% at end-December 2020 (-0.1 percentage point compared to December 2019) while the coverage ratio⁽⁴⁾, at 84.0%, was further strengthened over the year 2020 (+1.4 percentage point). The diversified loan book is mainly geared towards home loans (47% of gross outstandings

at Group level) and corporates (32% of gross outstandings at Group level). Loan loss reserves amounted to €19.6 billion at end-December 2020, of which 34% related to performing loans (Stages 1 and 2). Starting in the first quarter of 2020, the context and uncertainties relating to the global economic conditions were gradually taken into account and the expected effect of public measures were incorporated to anticipate future risks. Provisioning levels were established to reflect the sharp deterioration in the environment, taking into account several weighted economic scenarios and applying flat-rate adjustments for the retail banking portfolios and corporates portfolios and specific additions for some targeted sectors, namely tourism, automotive, aerospace, retail textile, energy.

The **underlying share of net income from equity-accounted entities** showed a decrease of **-7.5%** between 2019 and 2020, at €330 million for the year 2020. This is particularly due to certain CA Consumer Finance partnerships, as consumer credit is a short-term activity that is sensitive to economic fluctuations.

Underlying pre-tax income before discontinued operations and non-controlling interests decreased by **-15.1%** to €9,031 million. The underlying tax charge amounted to €2,317 million in 2020, a decrease of -21.3% compared to 2019. The **underlying effective tax rate** (excluding the contribution of equity-accounted entities, already subject to tax, and non-specific legal provisions, which are not deductible) decreased to 26.6% in 2020 compared with 28.7% in 2019.

These developments combined led to a decrease in underlying net income before non-controlling interests of -12.7% compared to 2019.

Underlying net income Group share thus decreased by **-14.8%** and stood at **€6,129 million**.

(1) Excluding Crédit Agricole Consumer Finance NL.

(2) The Single Resolution Fund (SRF) was created in 2014. It is a supranational fund financed by Eurozone member states, notably enabling the pooling of financial resources to be used for banking resolution. The Single Resolution Fund will be gradually built up by contributions from national resolution funds for a period of eight years from 2016, to reach a target of at least 1% of the covered deposits of all approved credit institutions of the participating member states combined by 2023.

(3) The cost of risk on outstandings is calculated on the basis of the cost of risk of the year over the average of the outstandings recorded at the start of all four quarters of the year.

(4) Provisioning rate calculated with outstandings in Stage 3 as denominator, and the sum of the provisions recorded in Stages 1, 2 and 3 as numerator.

The specific elements that had an impact on the Crédit Agricole Group accounts in 2020 and 2019 are as follows:

	2020		2019	
	Gross impact ⁽¹⁾	Impact on net income	Gross impact ⁽¹⁾	Impact on net income
<i>(in millions of euros)</i>				
DVA (LC)	11	8	(21)	(16)
Loan portfolio hedges (LC)	10	7	(44)	(32)
Home Purchase Savings Plans (LCL)	(14)	(9)	(31)	(20)
Home Purchase Savings Plans (CC)	(64)	(44)	(90)	(59)
Home Purchase Savings Plans (RB)	(81)	(55)	(307)	(201)
Liability management upfront payment (CC)	(41)	(28)	-	-
Support to insured clients COVID-19 (AG)	(2)	(1)	-	-
Support to insured clients COVID-19 (AG)	(143)	(97)	-	-
Support to insured clients COVID-19 (RB)	(94)	(64)	-	-
Exceptional contribution on supplementary health insurance premiums (AG)	(22)	(15)	-	-
Total impact on revenues	(439)	(298)	(493)	(329)
COVID-19 donation (AG)	(38)	(38)	-	-
COVID-19 donation (IRB)	(8)	(4)	-	-
COVID-19 donation (CC)	(10)	(10)	-	-
COVID-19 donation (RB)	(10)	(10)	-	-
S3/Kas Bank integration costs (LC)	(19)	(9)	(15)	(11)
Exceptional contribution to the Italian banks rescue plan (IRB)	(11)	(7)	-	-
Total impact on operating expenses	(96)	(79)	(15)	(11)
Triggering of the Switch 2 (AG)	65	44	-	-
Triggering of the Switch 2 (RB)	(65)	(44)	-	-
Adjustment on Switch 2 activation (GEA)	(28)	(19)	-	-
Adjustment on Switch 2 activation (RB)	28	19	-	-
Better fortune adjustment on Switch 2 (AG)	(38)	(26)	-	-
Better fortune adjustment on Switch 2 (RB)	38	26	-	-
Total impact on cost of credit risk	0	0	-	-
Impairment LCL goodwill (CC)	-	-	(664)	(664)
Badwill Kas Bank (LC)	-	-	22	22
Impairment CA Italia goodwill (CC)	(965)	(884)	-	-
Total impact on change of value of goodwill	(965)	(884)	(642)	(642)
Emporiki litigation (CC)	-	-	-	1,038
Total impact on tax	-	-	-	1,038
Provision recovery on FCA bank fine (SFS)	89	89	-	-
Total impact equity-accounted entities	89	89	-	-
Santander/Kas Bank integration costs (LC)	-	-	(6)	(5)
Total impact on Net income on other assets	-	-	(6)	(5)
Impairment on goodwill (SFS)	(55)	(55)	-	-
Reclassification of held-for-sale operations (IRB)	(7)	(7)	(46)	(46)
Reclassification of held-for-sale operations (SFS)	(135)	(135)	-	-
Reclassification of held-for-sale operation Bankoia (IRB)	(42)	(42)	-	-
Reclassification of held-for-sale operations (IRB)	(5)	(5)	-	-
Ongoing sale project (WM)	(24)	(24)	-	-
Total impact on Net income from discounted or held-for-sale operations	(268)	(268)	(46)	(46)
TOTAL IMPACT OF SPECIFIC ITEMS	(1,679)	(1,440)	(1,202)	6
Asset Gathering	(227)	(174)	-	-
French Retail banking	(206)	(145)	(338)	(222)
International Retail banking	(68)	(60)	(46)	(46)
Specialised Financial Services	(45)	(45)	-	-
Large Customers	3	6	(65)	(42)
Corporate Centre	(1,136)	(1,021)	(754)	315

(1) Impacts before taxes and before non controlling interests.

Solvency

At 31 December 2020, the financial position of the Crédit Agricole Group remained very solid, reflected by its phased-in CET1 ratio of 17.2%, up 1.3 percentage point compared to 31 December 2019. The non-phased CET1 ratio at 31 December 2020 was 16.9%.

- Crédit Agricole S.A. did not pay a dividend in 2020 on 2019 earnings, in accordance with the ECB's requirement. Accordingly, putting these dividends in reserves had a positive impact of +16 basis points on Crédit Agricole Group's CET1 ratio in Q1 2020. In Q4 2020, Crédit Agricole S.A. set up a scheme for a dividend payment in 2021 in respect of the 2020 financial year, adapted to the exceptional circumstances and taking account of the absence of a dividend payment for 2019. As Crédit Agricole Group and Crédit Agricole S.A. have very comfortable levels of capital, the Board of Directors of Crédit Agricole S.A. proposed to the General Meeting of 12 May 2021 a dividend of 80 euro cents per share from 2020 earnings, with the option of a payment in shares, totalling €2.3 billion, of which €0.9 billion in cash⁽¹⁾. The nominal amount is higher than it would have been on the basis of our traditional dividend policy of 50% in cash, and thus partially compensates for the absence of payout on 2019 earnings. This amount was made possible thanks to the commitment of SAS Rue La Boétie to opt for the dividend paid in shares. This scheme complies strictly with the ECB recommendation of 15 December 2020. The overall impact of the dividend distribution on Crédit Agricole Group's CET1 ratio is therefore -18 basis points. Retained earnings (after distribution) had a +78 basis points positive impact on the CET1 ratio over the year.
- At the same time, the OCI reserves contributed -1 basis point to the decrease in CET1. The stock of OCI reserves in the CET1 ratio at end-December 2020, net of the effect of the risk-weighted assets of insurance reserves, thus stands at 22 basis points.
- Furthermore, the CET1 ratio also recorded positive regulatory impacts in 2020 of a total of +65 basis points, notably including a positive effect from the application of the IFRS 9 phasing (+31 basis points), additional factors on SMEs (+35 basis points), the deduction of irrevocable payment commitments to the SRF and DRGF⁽²⁾ (+14 basis points), taking into account the measures relating to software (+9 basis points) and the SME supporting factors (+5 basis points), partially offset by a negative effect linked to the targeted review of internal models (TRIM) (-15 basis points).
- Lastly, M&A transactions contributed negatively to CET1 by -5 basis points, with in particular the acquisition of Sabadell AM (-6 basis points).

At end-December 2020, risk-weighted assets were €562 billion, compared to €559 billion at end-December 2019.

At 17.2%, the CET1 ratio remains above the target set at 16% in the framework of the Group's 2022 Medium-Term Plan and contains a substantial buffer of 8.3 percentage points compared to the SREP requirements.

The **phased-in Tier 1 ratio** was 18.3% and the **phased-in total capital ratio** was 21.1% at 31 December 2020.

Lastly, the **phased-in leverage ratio** stood at 6.1% at end-December 2020.

Liquidity

Liquidity is measured at Crédit Agricole Group level.

The liquidity position of Crédit Agricole Group is solid. Standing at €1,500 billion at 31 December 2020, the Group's banking cash balance sheet shows a surplus of stable funding resources over stable application of funds of €265 billion, up €139 billion compared to December 2019.

In the context of the COVID-19 crisis, the Group took part in the TLTRO 3 refinancing transactions of the European Central Bank in 2020, which contributed to increasing its level of stable resources. Total TLTRO 3 outstandings for the Crédit Agricole Group came to €133 billion⁽³⁾ at 31 December 2020.

The Group's liquidity reserves, at market value and after haircuts, amounted to €438 billion at 31 December 2020, up by +€140 billion compared with end-December 2019. They covered short-term debt more than four times over (excluding the replacements with central banks).

At end-December 2020, the numerator of the LCR ratio (including the HQLA securities portfolio, cash and Central Bank deposits, excluding mandatory reserves), calculated as an average over 12 months, stood respectively at €314.3 billion for Crédit Agricole Group and at €283.1 billion for Crédit Agricole S.A.⁽⁴⁾. The denominator of the ratio (representing net cash outflows), calculated as an average over 12 months, stood respectively at €211.0 billion for Crédit Agricole Group and at €191.0 billion for Crédit Agricole S.A.

The average LCR ratios over 12 months of Crédit Agricole Group and of Crédit Agricole S.A. stood at 149.0% and 148.2%, respectively, at end-December 2020. They exceeded the Medium-Term Plan target by around 110%. The LCR ratios at 31 December 2020 were 178.5% for Crédit Agricole Group and 169.4% for Crédit Agricole S.A. respectively. Credit Institutions are subject to a threshold for this ratio, set at 100% from 1 January 2018.

The Group continues its prudent MLT funding policy, with highly diversified market access, in terms of investor base and products.

In 2020, the Group's main issuers raised the equivalent of €31.0 billion in medium/long-term debt on the markets⁽⁵⁾⁽⁶⁾, 41% of which was issued by Crédit Agricole S.A. Note that:

- Crédit Agricole next bank (Switzerland) completed an inaugural issue in September of CHF 200 million nine-year in Covered bond format;
- Crédit Agricole Assurances (CAA) issued a €1 billion 10-year Tier 2 bond in July to refinance intra-group subordinated debt.

In addition, €4.4 billion was also borrowed from national and supranational organisations or placed in Crédit Agricole Group's retail networks (Regional Banks, LCL and CA Italia) and other external networks in 2020.

In 2020, Crédit Agricole S.A. completed 105% of its €12 billion medium-to-long-term market funding programme for the year. The bank had raised the equivalent of €12.6 billion⁽⁵⁾⁽⁶⁾, of which €6.2 billion in senior non-preferred debt and €2.2 billion in Tier 2 debt, as well as €4.0 billion in senior collateralised debt and €0.2 in senior preferred debt. The financing is diversified in both format and currency (EUR, USD, AUD, JPY, CNY, CHF):

- To be noted the inaugural Social bond issuance in senior non-preferred format of €1 billion for seven years in December 2020.

(1) With a formal commitment from SAS Rue La Boétie to receive payment in shares, and on the assumption that the employee shareholding funds (FPECs) will also opt for the dividend paid in shares.

(2) Judgment of the General Court of the European Union of 9 September no longer requiring the deduction of payment commitments to the SRF and DRGF.

(3) Excluding Bankoia and FCA Bank.

(4) The numerator of the LCR ratio at the end of the period was €332.7 billion for Crédit Agricole Group and €296.1 billion for Crédit Agricole S.A.

(5) Gross amount before redemption and amortisation.

(6) Excluding AT1 EUR issuance.

Crédit Agricole S.A. also repurchased €3.4 billion of preferred senior notes denominated in EUR, USD and GBP via a public offer launched at the end of May 2020, in order to optimise its balance sheet structure and debt management and to provide liquidity to holders of these bonds.

Furthermore, in October 2020 Crédit Agricole S.A. completed a €750 million PNC7.5 AT1 issuance at the initial rate of 4% to allow Crédit Agricole Group to maintain its high flexibility in the management of its Tier 1 capital.

OPERATIONS AND RESULTS BY BUSINESS SEGMENT

Crédit Agricole Group's business is structured in five business lines:

- French Retail Banking;
- International Retail Banking;
- Asset Gathering;
- Specialised Financial Services;

■ Large Customers;

plus the Corporate Centre.

The Group's business lines are described in Note 5 to the consolidated financial statements for the year ended 31 December 2020 – "Operating segment information". The organisation and activities are described in section 1 of this document.

Contribution of business lines to net income Group share of the Crédit Agricole Group

(in millions of euros)	2020	2019
French Retail Banking	2,658	2,991
International Retail Banking	193	375
Asset Gathering	1,733	2,035
Specialised Financial Services	559	815
Large Customers	1,359	1,569
Corporate Centre	(1,812)	(588)
TOTAL	4,689	7,198

French Retail Banking – Regional Banks – Contribution to results, stated and underlying 2020

	2020			2019			% var. 2020/2019	
(in millions of euros)	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
Revenues	13,056	(175)	13,231	13,117	(307)	13,424	-0.5%	-1.4%
Operating expenses excluding SRF	(8,712)	(10)	(8,702)	(8,836)	0	(8,836)	-1.4%	-1.5%
SRF	(123)	0	(123)	(86)	0	(86)	+42.6%	+42.6%
Gross operating income	4,221	(185)	4,406	4,196	(307)	4,502	+0.6%	-2.1%
Cost of risk	(1,042)	0	(1,042)	(498)	0	(498)	x2.1	x2.1
Equity-accounted entities	2	0	2	11	0	11	-79.2%	-79.2%
Net income on other assets	(13)	0	(13)	(6)	0	(6)	x2.3	x2.3
Change in value of goodwill	(3)	0	(3)	0	0	0	n.m.	n.m.
Income before tax	3,165	(185)	3,351	3,703	(307)	4,010	-14.5%	-16.4%
Tax	(1,067)	56	(1,123)	(1,307)	106	(1,413)	-18.3%	-20.5%
Net income from discontinued or held-for-sale operations	(0)	(5)	5	0	0	0	n.m.	n.m.
Net income	2,098	(134)	2,233	2,396	(201)	2,597	-12.4%	-14.0%
Non controlling interests	(3)	0	(3)	(0)	0	(0)	x7.7	x7.7
NET INCOME GROUP SHARE	2,096	(134)	2,230	2,396	(201)	2,597	-12.5%	-14.1%
COST/INCOME RATIO EXCLUDING SRF (%)	66.7%		65.8%	67.4%		65.8%	-0.6pp	-0.0pp

In the Regional Banks, the crisis led to an acceleration and strengthening of the transformation of their distribution model with a strong focus on the quality of customer relations, confirmed by an 8 percentage point improvement over the year in the Net Promoter Score (NPS). In 2020, Regional banks recorded 1.1 million new customers, and the actual attrition rate (excluding deaths) fell to 2.9% over the year. The number of active sight deposits increased by 0.7% year-on-year, a growth rate higher than that of the

French population over the same period. Regional banks are also continuing to develop their multi-channel model and recorded a +3.8 percentage point increase year-on-year in the number of digital customers, taking it to 68.2%⁽¹⁾, as well as a +45% increase in online signatures over one year.

Commercial activity at the Regional Banks remains buoyant in this quarter, with growth in outstandings remaining strong.

(1) Digital customer rate = number of partner customers with an active profile on My Bank or having visited CAEL in the month/number of major customers with an active DAV.

Customer assets amounted to €790.3 billion (up +7.9% since 2019) with on-balance sheet deposits increasing (+12.3% to €517.9 billion), driven in particular by demand deposits (+25.3% to €207.4 billion) and passbook savings accounts (+11.8% to €156.3 billion). Off-balance sheet customer assets (€272.4 billion) also increased by 0.4% in 2019 with the market recovery at the end of the year.

Outstanding loans were also up 8.4% compared with 2019 (€563.7 billion), driven by support for the financing of the economy. Excluding government-guaranteed loans, outstanding loans amounted to €547.1 billion, up 5.2%, with in particular a sharp increase in housing loans (+6.6%) and loans granted to businesses, professionals, farmers and local authorities (+12.6%, +3.3% excluding State-guaranteed loans). This growth in receivables in specialised markets excluding State-guaranteed loans was particularly marked for business equipment loans, up +8.5% over the year.

For the financial year 2020, the Regional Banks' contribution to Crédit Agricole Group's underlying results amounted to €2,230 million, compared with a contribution of €2,597 million for 2019, down by -14.1%.

For 2020, the specific elements pertain to an allocation to provisions for home savings for €81 million in net revenues (-€55 million in net income

Group share), customer support related to COVID for -€94 million in revenues and -€10 million in operating expenses (-€74 million in net income Group share) and results related to the disposal of Nacarat, classified under IFRS 5 as discontinued and held-for-sale operations for -€5 million. In 2019, specific items included an allocation to provisions for home purchase savings plans for €307 million in revenues (-€201 million in net income Group share).

Underlying revenues for the year were down -1.4% to €13,231 million. This unfavourable trend was contained over the year thanks to continued commercial activity and a favourable interest rate environment despite the health crisis.

Underlying operating expenses excluding SRF stood at €8,702 million over the year in 2020, down -1.5% compared to 2019. The cost/income ratio excluding SRF therefore stood at 65.8%, stable compared to end-2019.

The cost of risk increased over the period (x2.1), reaching €1,042 million in 2020, with the cost of risk/outstandings still at a low level (19 basis points⁽¹⁾ vs. 10 basis points at end 2019). It largely corresponds to the provisioning of performing loans.

In addition, the non-performing loan ratio is down (1.7% vs. 1.8% at the end of 2019) and the coverage ratio is 100.9%.

Retail Banking in France – LCL – Contribution to results, stated and underlying 2020

	2020			2019			% var. 2020/2019	
(in millions of euros)	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
Revenues	3,521	(16)	3,537	3,457	(31)	3,488	+1.9%	+1.4%
Operating expenses excluding SRF	(2,277)	0	(2,277)	(2,340)	0	(2,340)	-2.7%	-2.7%
SRF	(42)	0	(42)	(32)	0	(32)	+32.4%	+32.4%
Gross operating income	1,203	(16)	1,218	1,085	(31)	1,117	+10.8%	+9.1%
Cost of risk	(390)	0	(390)	(217)	0	(217)	+79.9%	+79.9%
Equity-accounted entities	0	0	0	0	0	0	n.m.	n.m.
Net income on other assets	2	0	2	2	0	2	+21.2%	+21.2%
Change in value of goodwill	0	0	0	0	0	0	n.m.	n.m.
Income before tax	814	(16)	830	870	(31)	901	-6.4%	-7.9%
Tax	(252)	5	(257)	(274)	11	(285)	-8.2%	-9.9%
Net income from discontinued or held-for-sale operations	0	0	0	0	0	0	n.m.	n.m.
Net income	563	(11)	573	596	(20)	617	-5.6%	-7.0%
Non controlling interests	(0)	0	(0)	(0)	0	(0)	+8.0%	+8.0%
NET INCOME GROUP SHARE	562	(11)	573	596	(20)	616	-5.6%	-7.0%
COST/INCOME RATIO EXCLUDING SRF (%)	64.7%		64.4%	67.7%		67.1%	-3.0pp	-2.7pp

LCL continues to grow with gross **customer gains** of +300,000 individual and business customers in 2020, representing a net increase in the customer base of +14,000 customers since the beginning of the year. Equipment recorded growth, with a stock of home, vehicle and health insurance up by +3.6% and a stock of premium cards up by +1.7% in 2020.

Overall customer assets grew by +6.5% year-on-year to €219.8 billion at end-December 2020. On-balance sheet deposits rose by +11.5%, totalling €138.3 billion, in connection with the increase in household precautionary savings and the deposit of a part of the State-guaranteed loans, which positively impacted companies' liquidity. In this context, individual demand deposits increased (+15.5%) as did business-corporate demand deposits (+51.9%). Off balance sheet assets totalled €81.5 billion and were down slightly (by -1.1%) notably in life insurance (-1.6%) due to the market effects relating to the health crisis that are still negative year-on-year.

Loans outstanding were still at a high level at €143.4 billion at end-December 2020, recording a +10.5% increase year-on-year. State-guaranteed loans totalled €8 billion for LCL. Loans outstanding excluding the State-guaranteed loans therefore also increased year-on-year for LCL (+4.4%) driven by the business (+11.8%) and home loans (+4.5%) segments. In France, renegotiations on LCL home loans continued to drop in 2020, to €2.0 billion outstanding, compared with €2.7 billion in 2019, remaining well below the high point of €11.9 billion in 2016.

During 2020, changes in the home purchase savings provision and support to business insurance customers in the context of the COVID-19 crisis were the two specific items in LCL's financial statements explaining the difference between the reported result and the underlying result. The respective impacts were -€14 million (vs. -€31 million in 2019) and -€2 million in terms of revenues (respectively -€9 million and -€1 million on net income Group share).

(1) The cost of risk/outstandings is calculated on the basis of the cost of risk recorded in the year over the average of the outstandings at the start of all four quarters of the year.

LCL's **underlying revenues** totalled €3,537 million, up compared to the previous financial year (+1.4%). The low interest rate environment is still restrictive, but interest income was buoyed by favourable refinancing conditions, and recorded a +2.1% increase in 2020. Fee and commission income rose slightly from 2019 (+0.6%) despite the electronic payment segment suffering from the effects of the health crisis. As a result, while fees for the management of accounts and means of payment decreased by -6.7% in 2020 to €837 million, insurance commissions rose +7.8% to €680 million year-on-year.

Underlying operating expenses excluding the Single Resolution Fund (SRF) continued to decrease, thanks notably to ongoing improvement in external expenses, totalling €2,277 million at end-December 2020, down -2.7% compared to end-December 2019. The **underlying cost-to-income ratio excluding the SRF** came to 64.4%, an improvement of 2.7 percentage

points compared to 2019. Lastly, the contribution to the Single Resolution Fund (SRF) was up 32.4%, or +€10 million compared to 2019. In this context, **gross underlying operating profit** increased by +9.1% to €1,218 million in 2020. The cost of risk increased (+79.9% to €390 million), but this rise was mainly related to the provisioning for performing loans (+€191 million). The **cost of risk/outstandings⁽¹⁾** reached 29 basis points at end-December 2020 compared to 17 basis points at end-December 2019. The coverage ratio remained at a high level, at 86.2% at 31 December 2020, and was up from end-2019 (+12.1 percentage points). Lastly, **underlying net income Group share** was €573 million at end-December 2020, down -7.0% compared to 2019.

LCL contributed to 8% of the underlying net income Group share of the business line of the Crédit Agricole Group (excluding the Corporate Centre) over 2020 and 10% of their underlying revenues.

International Retail Banking (IRB)

International Retail Banking encompasses the local banking networks in Italy, grouped under the name "Gruppo Bancario Crédit Agricole Italia" (hereafter referred to as "CA Italia"), including CA Cariparma, CA Friuladria and CA Carispezia (legally merged with Crédit Agricole Italia in July 2019), and the three banks acquired in late December 2017 (Cassa di Risparmio – CR), di Cesena, di San Miniato) acquired at end 2017 and merged into CA Italia (84.9% owned)⁽²⁾, now operating under the Crédit Agricole brand name, as well as all of the Group's retail banks abroad, mainly Crédit Agricole Poland (wholly owned), Crédit Agricole Ukraine (100%), Crédit Agricole Egypt (60.5%) and Crédit du Maroc (78.7%)⁽²⁾.

International Retail Banking (IRB) – Contribution to results, stated and underlying 2020

(in millions of euros)	2020			2019			% var. 2020/2019	
	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
Revenues	2,724	0	2,724	2,898	0	2,898	-6.0%	-6.0%
Operating expenses excluding SRF	(1,785)	(19)	(1,766)	(1,813)	0	(1,813)	-1.5%	-2.6%
SRF	(25)	0	(25)	(22)	0	(22)	+14.2%	+14.2%
Gross operating income	914	(19)	933	1,063	0	1,063	-14.0%	-12.2%
Cost of risk	(566)	0	(566)	(337)	0	(337)	+67.9%	+67.9%
Equity-accounted entities	0	0	0	0	0	0	n.m.	n.m.
Net income on other assets	72	0	72	2	0	2	x31.2	x31.2
Change in value of goodwill	0	0	0	0	0	0	n.m.	n.m.
Income before tax	419	(19)	439	728	0	728	-42.4%	-39.7%
Tax	(103)	6	(109)	(201)	0	(201)	-48.7%	-45.8%
Net income from discontinued or held-for-sale operations	(48)	(49)	1	(46)	(46)	(0)	+5.4%	n.m.
Net income	268	(62)	330	481	(46)	527	-44.3%	-37.3%
Non controlling interests	(75)	2	(77)	(105)	0	(105)	-28.7%	-26.5%
NET INCOME GROUP SHARE	193	(60)	253	375	(46)	421	-48.6%	-39.9%
COST/INCOME RATIO EXCLUDING SRF (%)	65.5%		64.8%	62.6%		62.6%	+3.0pp	+2.3pp

In 2020, the underlying net income Group share of International Retail Banking came to €253 million, down -39.9% compared to 2019 following the tension on the low policy rates in all countries that is impacting revenues as well as the macroeconomic context, which led to a rise in the cost of risk, notably on performing outstandings. Excluding the contribution of CA Italia to the Italian guarantee fund (-€25 million in 2020 and -€22 million in 2019), the underlying cost/income ratio for the year worked out at 64.8%, a 2.3 percentage point deterioration compared to 2019, as the reduction in expenses did not offset the slowdown in revenues linked to the pandemic.

Note in the second quarter of 2020 a realised capital gain on real estate of +€65 million before tax in Italy booked under gains or losses on other assets, as well as, in the 2019 and 2020 stated results, the impact of the disposal of our activities in Romania, booked according to IFRS 5 under net income from discontinued or held-for-sale operations in specific items, for -€7 million for 2020 and -€46 million for 2019. The specific items for both these years also include in 2020 -€8 million related to COVID donations in the first quarter of 2020 and the exceptional contribution of France's support plan for banks for -€11 million.

International Retail Banking contributed 4% to the underlying net income Group share of the Group's business lines (excluding the Corporate Centre) in 2020 and 8% to their underlying revenues.

(1) The cost of risk/outstandings is calculated on the basis of the cost of risk recorded in the year over the average of the outstandings at the start of all four quarters of the year.

(2) Percentage owned at 31 December 2020.

In Italy, Crédit Agricole Italia fully played its role in supporting the economy and its activity remained robust throughout the year. The impact of the second lockdown in Q4 was more limited than in Q2 and the rebound in commercial activity was confirmed at the end of the year.

Loan production over the year amounted to €8.2 billion for CA Italia, representing growth of +33.7% on 2019, of which €2.4 billion in State-guaranteed loans. Excluding the State-guaranteed loans, production declined by -6.2% in Italy, although home loan production was strong (up +5.1% year-on-year).

Loans outstanding stood at €45.5 billion at end-December 2020, up by 5.0% and stable (+0.5%) from end-December 2019 excluding the State-guaranteed loans. Thus, at end-December 2020, outstanding loans to individuals, at €22.4 billion, grew +5.2% year-on-year, supported by home loans, and loans to corporates and SMEs also posted strong growth with the support to the economy and State-guaranteed loans (+8.8% to €13.5 billion). Outstandings were also impacted in the fourth quarter by a disposal of doubtful loans for a gross amount of €450 million.

Total customer assets were up +8.9% compared to 31 December 2019, totalling €84.8 billion at end-December 2020, excluding assets under custody. Off-balance sheet assets increased by +8.8% in 2020, to €39.9 billion at end-December 2020, excluding assets under custody. On-balance sheet deposits totalled €44.9 billion at end-December 2020, up +8.9% compared to 31 December 2019, mainly thanks to sight deposits from individual customers and companies.

Commercial action during the year was highly focused on the quality of the customer relationship on all levels and in all customer segments, notably with an analysis of customer “irritants” and the development of digital journeys. Accordingly, CA Italia improved in terms of NPS in 2020 by more than 8 points compared to 2019, ranking second place for strategic NPS among the Italian banks.

The 2020 financial statements include, under specific items, the exceptional contribution to the safeguard plan for Italian banks of -€11 million in operating expenses (-€6 million in net income Group share). These items are detailed on page 197 of this document. The 2019 financial statements do not include any specific items.

The underlying net revenues of CA Italia stood at €1,827 million, down by -3.0% compared to 2019.

Underlying expenses excluding SRF stood at €1,170 million, down -0.9% compared to end-December 2019. As charges decreased less rapidly than revenues, the underlying cost/income ratio excluding the SRF for the year was 64.0%, *i.e.* a deterioration of 1.4 percentage point.

The cost of risk worked out at -€428 million at end-December 2020, up +70.4% compared to end-December 2019, notably including additional provisions on the portfolio of receivables sold. **Cost of risk/outstandings⁽¹⁾** stood at 93 basis points, down +36 basis points year-on-year (57 basis points in 2019). The rate of doubtful loans stood at 6.5% compared to 7.8% at end-December 2019. The coverage ratio increased to 60.8% compared to 59.4% in December 2019.

The business division's underlying net income Group share came to €162 million, down -33.3% compared to 2019.

Crédit Agricole Italia, the Group's second largest domestic market after France, accounted for more than two-thirds of revenues and four-fifths of the loans and on-balance sheet deposits of the International Retail Banking business line, followed by Poland and Morocco. Although CA Italia is 84.9% owned by Crédit Agricole Group, it accounted for 64% of the division's underlying net income of the International Retail Banking business line.

International Retail Banking excluding Italy (Other IRB) continued to deliver strong business momentum. Results were nevertheless impacted this year by the drop in key rates in all markets and the provisioning of healthy loans. Total on- and off-balance sheet assets increased by 12.2%⁽²⁾ (excluding assets under custody) between end-December 2019 and end-December 2020, to €15.9 billion. On-balance sheet deposits totalled €13.6 billion at end-December 2020, a year-on-year increase of 12.5%⁽²⁾ in 12 months, buoyed by a good performance in Poland (13.3%⁽²⁾). Loans outstanding stood at €11.7 billion at end-December, a year-on-year increase of 4.7%⁽²⁾.

The surplus of deposits over loans remained at €1.8 billion at end-December 2020.

Crédit Agricole S.A. also announced in January 2021 the disposal of its activities in Romania, thereby pursuing its refocus on its main international entities. The impacts of this disposal are accounted for under discontinued or held-for-sale operations in specific items for 2020 (-€7 million) and 2019 (-€46 million). The 2020 financial statements also include, under specific items, COVID-19 donations of -€8 million under operating expenses (-€4 million in net income Group share). These items are detailed on page 197 of this document.

In full-year 2020, revenues were down -8.8% compared to 2019 at €833 million. It was impacted by the drop in key interest rates and concerns all the subsidiaries (Poland -12%⁽²⁾, Morocco +0%⁽²⁾, Egypt -12%⁽²⁾, Ukraine -11%⁽²⁾). Underlying operating expenses decreased by -2.3% over the same period, illustrating the efforts made to adapt the structures to the interest rate environment. The underlying cost-to-income ratio came to 64.7%, a 4.0 percentage point increase compared to 2019.

Underlying gross operating income thus decreased by -21.1% in 2020.

The cost of risk increased (+60.6%) and stood at -€138 million with provisioning of performing outstandings. The doubtful loan coverage ratio stood at 109%, on a still very low ratio of doubtful loans.

In 2020, the business division's underlying net income Group share came to €91 million, a decrease of -49.0% compared to 2019.

(1) The cost of risk/outstandings is calculated on the basis of the cost of risk recorded in the year over the average of the outstandings at the start of all four quarters of the year.

(2) Excluding the currency effect.

Asset Gathering (AG)

This core business encompasses Insurance (Crédit Agricole Assurances) Asset Management (Amundi) and Wealth Management (Indosuez Wealth Management).

Asset Gathering (AG) – Contribution to results, stated and underlying 2020

	2020			2019			% var. 2020/2019	
	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
<i>(in millions of euros)</i>								
Revenues	5,749	(165)	5,914	6,061	0	6,061	-5.1%	-2.4%
Operating expenses excluding SRF	(2,865)	(38)	(2,826)	(2,897)	0	(2,897)	-1.1%	-2.4%
SRF	(6)	0	(6)	(7)	0	(7)	-15.2%	-15.2%
Gross operating income	2,879	(203)	3,082	3,157	0	3,157	-8.8%	-2.4%
Cost of risk	(55)	0	(55)	(19)	0	(19)	x2.8	x2.8
Equity-accounted entities	66	0	66	46	0	46	+43.4%	+43.4%
Net income on other assets	3	0	3	32	0	32	-89.5%	-89.5%
Change in value of goodwill	0	0	0	0	0	0	n.m.	n.m.
Income before tax	2,893	(203)	3,096	3,215	0	3,215	-10.0%	-3.7%
Tax	(775)	52	(827)	(879)	0	(879)	-11.9%	-5.9%
Net income from discontinued or held-for-sale operations	(24)	(24)	0	8	0	8	n.m.	-100.0%
Net income	2,095	(174)	2,269	2,345	0	2,345	-10.7%	-3.2%
Non controlling interests	(362)	0	(362)	(309)	0	(309)	+17.0%	+17.0%
NET INCOME GROUP SHARE	1,733	(174)	1,907	2,035	0	2,035	-14.9%	-6.3%
COST/INCOME RATIO EXCLUDING SRF (%)	49.8%		47.8%	47.8%		47.8%	+2.0pp	-0.0pp

At 31 December 2020, the business line's assets under management totalled €2,219 billion, a year-on-year increase of +3.7%. Net new money totalled +€44.7 billion (excluding the scope effect of Sabadell Asset Management: €20.7 billion) for full year 2020, with a record in asset management inflows. Over the year 2020 the market downturn contributed very positively to the evolution of assets under management (market and exchange rate effect at +€21.4 billion over the period, including +€9.5 billion for Amundi). Assets under management after elimination of double counting amounted to €1,895.0 billion at 31 December 2020, an increase of +5.6% compared to 31 December 2019.

For all of 2020, the business line's contribution to the underlying net income Group share decreased -6.3% compared to the same period in 2019 and was €1,907 million. The good commercial performance of the Asset Gathering division enabled the drop in revenues to remain contained at -2.4% year-on-year. Expenses were down, as was the case for operating income (-2.4%) and pre-tax income (-3.7%).

The underlying cost/income ratio remains stable over 2020 compared with 2019 at 47.8%.

The Asset Gathering division contributed 28% to underlying income Group share of the Crédit Agricole Group's business lines (excluding Corporate Centre) over the full year 2020 and 17% to the underlying revenues excluding the Corporate Centre.

Insurance (CA Assurances)

The Insurance business line reflects the results of Crédit Agricole Assurances, a wholly-owned subsidiary of Crédit Agricole S.A., which covers all insurance businesses: savings/retirement, property & casualty, death & disability, creditor and group insurance.

Insurance – Contribution to results, stated and underlying 2020

	2020			2019			% var. 2020/2019	
(in millions of euros)	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
Revenues	2,413	(165)	2,577	2,601	0	2,601	-7.2%	-0.9%
Operating expenses excluding SRF	(800)	(38)	(762)	(754)	0	(754)	+6.0%	+0.9%
SRF	0	0	0	0	0	0	n.m.	n.m.
Gross operating income	1,613	(203)	1,816	1,846	0	1,846	-12.7%	-1.7%
Cost of risk	0	0	0	1	0	1	-81.0%	-81.0%
Equity-accounted entities	(0)	0	(0)	(0)	0	(0)	-65.6%	-65.6%
Net income on other assets	(0)	0	(0)	(0)	0	(0)	x11.7	x11.7
Change in value of goodwill	0	0	0	0	0	0	n.m.	n.m.
Income before tax	1,613	(203)	1,816	1,847	0	1,847	-12.7%	-1.7%
Tax	(462)	52	(515)	(538)	0	(538)	-14.0%	-4.3%
Net income from discontinued or held-for-sale operations	0	0	0	8	0	8	-100.0%	-100.0%
Net income	1,150	(151)	1,301	1,318	0	1,318	-12.7%	-1.3%
Non controlling interests	(80)	0	(80)	(3)	0	(3)	x27.7	x27.7
NET INCOME GROUP SHARE	1,071	(151)	1,221	1,315	0	1,315	-18.6%	-7.1%
COST/INCOME RATIO EXCLUDING SRF (%)	33.2%		29.5%	29.0%		29.0%	+4.1pp	+0.5pp

At end-December 2020, the business line's total premium income reached €29 billion, a decrease of over -20% compared to full-year 2019.

Over 2020, the premium income of the savings/retirement segment totalled €20.4 billion, compared to €28.5 billion in 2019, a -28% drop due mainly to the context of the coronavirus health crisis.

Crédit Agricole Assurances continued to adapt its strategy to the interest rate environment, and successfully carried out its rebalancing toward UL. Crédit Agricole Assurances continues to increase its profit-sharing reserves (*provision pour participation aux excédents* – PPE), at €11.6 billion at 31 December 2020 (+€0.8 billion compared to December 2019), or 5.6% of euro-denominated policies outstanding, which represents several years of rates paid out to policyholders. The average rate of return on assets of the Crédit Agricole Assurances group was 2.13% in 2020, down slightly on 2019 by -0.33 of a percentage point, due in particular to the drop of the CAC 40 index (-7%) and the 10-year bond (OAT) (-0.46 percentage point) over the same period. The average rate of return on assets is still well above the average minimum guaranteed rate (0.27% at the end of 2020) and the average profit-sharing rate in euro-denominated policies of 1.28% at end-2020 (Predica rate). In the low interest rate environment, the adjustment of the latter rate, from 1.44% in 1.28%, would enable a significant spread to be maintained between the return on assets and the rate paid on liabilities.

Assets under management continued to expand and stood at €308 billion at end-December 2020, an increase of +1.4% year-on-year. Unit-linked assets amounted to €74.5 billion and were up +7.5% compared to end-December 2019, as a result of the shift in the asset gathering policy by Crédit Agricole Assurances operated over the past year. Euro outstandings amounted to nearly €234 billion (-0.5%). At end-December 2020, unit-linked contracts represented 24.2% of assets under management, a historical high level, up +1.4 percentage points compared to end-December 2019.

Underlying revenues came in at €2,577 billion, down a slight -0.9%, **underlying operating expenses** at €762 million (+0.9%), taxes decreased by -4.3% year-on-year in 2020, despite a sharp rise in the fourth quarter (+53.9%) due to the booking of non-deductible provisions. The **underlying cost/income ratio** for 2020 was 29.5%, which is a slight deterioration of 0.5 point compared to 2019.

In 2020, the **underlying net income Group share** of the Insurance business line was €1,221 million, down -7.1% from 2019, notably due to a change in the recognition methods used for RT1 subordinated debt coupons (with no impact on net earnings per share). Excluding this impact, the decline in net income Group share would have been smaller (-6.8% compared to 2019).

Insurance contributed 18% to the underlying net income Group share of the business lines of the Crédit Agricole Group (excluding the Corporate Centre) in 2020 and 8% to their underlying revenues.

Moreover, Crédit Agricole Assurances proved solid and resilient, with a Solvency 2 prudential ratio that remained high at 227% as of 31 December 2020.

Asset Management (Amundi)

Asset Management comprises the results of Amundi, a subsidiary 69.7% owned by Crédit Agricole Group, including 67.9% held by Crédit Agricole S.A. Since the third quarter of 2017, the financial statements include the contribution of Pioneer, UniCredit's asset management company, which was acquired on 3 July 2017.

From the first quarter of 2019 on, the integration costs related to this acquisition are no longer identified as specific items. In the first quarter 2018 these costs amounted to €9 million before tax, i.e. €4 million in net income Group share. In the second quarter 2018 the amounts were €8 million and €4 million, respectively. In third quarter 2018, the net income Group share amounts were -€12 million and -€6 million, respectively. In the fourth quarter 2018 these costs amounted to €27 million before tax, i.e. €14 million in net income Group share and €56/€29 million in full-year 2018.

Sabadell Asset Management is integrated into Amundi's consolidated scope since the third quarter of 2020 with AUM of €20.7 billion.

Asset Management – Contribution to results, stated and underlying 2020

	2020			2019			% var. 2020/2019	
	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
(in millions of euros)								
Revenues	2,517	0	2,517	2,636	0	2,636	-4.5%	-4.5%
Operating expenses excluding SRF	(1,367)	0	(1,367)	(1,402)	0	(1,402)	-2.5%	-2.5%
SRF	(3)	0	(3)	(3)	0	(3)	-1.8%	-1.8%
Gross operating income	1,147	0	1,147	1,231	0	1,231	-6.8%	-6.8%
Cost of risk	(23)	0	(23)	(11)	0	(11)	x2.1	x2.1
Equity-accounted entities	66	0	66	46	0	46	+43.4%	+43.4%
Income before tax	1,190	0	1,190	1,266	0	1,266	-6.0%	-6.0%
Tax	(306)	0	(306)	(326)	0	(326)	-6.2%	-6.2%
Net income from discontinued or held-for-sale operations	0	0	0	0	0	0	n.m.	n.m.
Net income	884	0	884	940	0	940	-5.9%	-5.9%
Non controlling interests	(273)	0	(273)	(287)	0	(287)	-5.1%	-5.1%
NET INCOME GROUP SHARE	612	0	612	653	0	653	-6.3%	-6.3%
COST/INCOME RATIO EXCLUDING SRF (%)	54.3%		54.3%	53.2%		53.2%	+1.1pp	+1.1pp

Amundi posted assets under management of €1,729 billion at end-December 2020, up +4.6% compared to end-December 2019, despite a global environment which remained affected by the coronavirus. Net inflows were +€45.1 billion in 2020.

AUM benefited from the good market conditions, with a market effect of +€9.5 billion in 2020, and a scope effect of €20.7 billion related to the consolidation of Sabadell Asset Management (in Amundi's accounts since 1 July 2020). Growth in net inflows mainly stemmed from money market products excluding JVs for +€28.2 billion, despite the outflows in the first and second quarters of 2020 (-€11.3 billion) and thanks to strong net inflows in the third and fourth quarters (+€39.5 billion).

2020 was marked by important strategic initiatives, in particular the renewal of the partnership with Société Générale (for five years), the finalisation of the acquisition of Sabadell AM and the 10-year strategic partnership for the distribution of Amundi products through the Banco Sabadell network in Spain, the creation of a new subsidiary with Bank of China (the fourth-largest Chinese bank), the first wealth management firm in China with a foreign majority shareholder, and the creation of Amundi Technology, a new business line dedicated to technological services.

In 2020, underlying net income Group share came to €612 million, a decrease of -6.3% compared to 2019. **Underlying revenues** totalled €2,517 million, down -4.5% compared to the same period in 2019. The underlying operating expenses excluding SRF reached €1,367 million, and were down over the period (-2.5%). 2020 includes a contribution to the Single Resolution Fund (SRF) of €3 million, a decrease of -1.8% compared to 2019.

The contribution from equity-accounted entities, which notably include Amundi's JVs in Asia, recorded a strong increase of +43.4% compared to 2019, despite the exit in the fourth quarter of low-margin products (mainly institutional mandates in India and the business channel in China).

The underlying cost-to-income ratio deteriorated slightly by 1.1 point and operating income was down -6.8% from 2019.

Asset Management contributed to 9% of the underlying net income Group share of the business line of the Crédit Agricole Group (excluding the Corporate Centre) over 2020 and 7% of their underlying revenues.

Wealth Management (CA Indosuez Wealth Management)

The assets under management referred to in the business activities figures only include those of the Indosuez Wealth Management group. As a reminder, LCL's private banking customer assets amounted to €54.1 billion at end-December 2020, up 5.5% compared to end-December 2019.

The results generated by LCL's private banking business are recognised under LCL.

Wealth Management – Contribution to results, stated and underlying 2020

	2020			2019			% var. 2020/2019	
(in millions of euros)	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
Revenues	820	0	820	824	0	824	-0.5%	-0.5%
Operating expenses excluding SRF	(698)	0	(698)	(740)	0	(740)	-5.7%	-5.7%
SRF	(3)	0	(3)	(4)	0	(4)	-26.6%	-26.6%
Gross operating income	119	0	119	80	0	80	+49.0%	+49.0%
Cost of risk	(32)	0	(32)	(10)	0	(10)	x3.3	x3.3
Net income on other assets	3	0	3	32	0	32	-89.2%	-89.2%
Income before tax	90	0	90	102	0	102	-11.8%	-11.8%
Tax	(6)	0	(6)	(15)	0	(15)	-56.9%	-56.9%
Net income from discontinued or held-for-sale operations	(24)	(24)	0	0	0	0	n.m.	n.m.
Net income	60	(24)	83	87	0	87	-31.1%	-4.0%
Non controlling interests	(10)	0	(10)	(19)	0	(19)	-50.2%	-50.2%
NET INCOME GROUP SHARE	50	(24)	74	68	0	68	-25.7%	+9.1%
COST/INCOME RATIO EXCLUDING SRF (%)	85.2%		85.2%	89.9%		89.9%	-4.7pp	-4.7pp

CA Indosuez Wealth Management saw its assets under management decrease slightly by -3% year-on-year (-€4.1 billion), to €128.0 billion at end-December 2020, due mainly to a negative currency effect of -€3.6 billion. Assets under management still remained close to the historical peak of end-September 2019 (€133.6 billion).

Overall, assets under management in Wealth Management stood at €182.2 billion at end-December 2019, stable year-on-year.

Note that, in January 2021, an agreement was signed between Azqore, a subsidiary of CA Indosuez Wealth Management, and Société Générale relating to the execution of back-office transactions and a large part of the IT services of Société Générale's international private banking activity.

In full-year 2020, underlying net income Group share of Wealth Management was €74 million, an increase of +9.1% compared with the same period in 2019.

Underlying revenues were stable, despite the effects of the health crisis. Underlying charges decreased by -5.7%, thanks notably to reinforced cost-savings measures. Gross operating income increased by +49.0% and underlying pre-tax income was down by -11.8%, notably impacted by the cost of risk. Income tax was sharply down by -56.9% year-on-year thanks notably to an improvement in the Swiss rate in Q1 as well as tax income recorded in Q2 2020 for an amount of +€3 million.

Overall, the underlying net income Group share of the business lines increased by +9.1% over the year. It should be noted that in 2020, a loss recorded in relation to a planned disposal which is under way for the Miami and Brazil entities, with an impact of €24 million on net income Group share, was the only factor behind the difference between the underlying and reported net income Group share figures. The underlying cost/income ratio improved significantly, by 4.7 percentage points to 85.2%.

Asset Management contributed 1% to the underlying net income Group share of the business lines of the Crédit Agricole Group (excluding the Corporate Centre) in 2020 and 2% to their underlying revenues (excluding the Corporate Centre).

Specialised Financial Services (SFS)

Specialised Financial Services includes the Consumer finance (CA Consumer Finance – Crédit Agricole Consumer Finance) and leasing and factoring (CA Leasing & Factoring – CAL&F) activities.

Specialised Financial Services (SFS) – Contribution to results, stated and underlying 2020

	2020			2019			% var. 2020/2019	
(in millions of euros)	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
Revenues	2,526	0	2,526	2,716	0	2,716	-7.0%	-7.0%
Operating expenses excluding SRF	(1,268)	0	(1,268)	(1,343)	0	(1,343)	-5.6%	-5.6%
SRF	(20)	0	(20)	(18)	0	(18)	+7.8%	+7.8%
Gross operating income	1,238	0	1,238	1,354	0	1,354	-8.6%	-8.6%
Cost of risk	(732)	0	(732)	(497)	0	(497)	+47.3%	+47.3%
Equity-accounted entities	344	89	255	295	0	295	+16.4%	-13.9%
Net income on other assets	(3)	0	(3)	0	0	0	n.m.	n.m.
Income before tax	847	89	757	1,152	0	1,152	-26.5%	-34.3%
Tax	(69)	0	(69)	(233)	0	(233)	-70.4%	-70.4%
Net income from discontinued or held-for-sale operations	(135)	(135)	0	0	0	0	n.m.	n.m.
Net income	643	(45)	688	919	0	919	-30.1%	-25.1%
Non controlling interests	(84)	0	(84)	(104)	0	(104)	-19.3%	-19.3%
NET INCOME GROUP SHARE	559	(45)	604	815	0	815	-31.4%	-25.9%
COST/INCOME RATIO EXCLUDING SRF (%)	50.2%		50.2%	49.5%		49.5%	+0.7pp	+0.7pp

At end-December 2020, **Crédit Agricole Consumer Finance's** gross managed loans totalled €90.9 billion, virtually stable compared to end-December 2019 (-1.3%). This trend is explained by the context of the health crisis, which notably slowed production volumes in the second quarter of 2020 at the start of the crisis (production levels were down -40% in the second quarter of 2020 compared to the second quarter of 2019). However, over the rest of the year, the level of production picked up and the second lockdown in November had a more limited impact, with Q4 production returning to the 2019 average (production in the fourth quarter of 2020 down -3% compared to the fourth quarter of 2019), and the resumption of post-moratorium payments reached 98% at end-December 2020 (both retail and corporate customers). Overall, for the year as a whole, 2020 production represented 86% of 2019 production. Over the same period, consolidated outstandings recorded a moderate decline of -4.8%, for a total of €33.2 billion at 31 December 2020. Excluding the Crédit Agricole Consumer Finance NL entity, in the process of being sold, consolidated outstandings are stable (+0.2 billion).

Overall, this led Crédit Agricole Consumer Finance to defer to 2023 its target set for gross managed loans in the Group's Medium-Term Plan and initially announced for 2022, while the cost/income ratio and RoNE targets remain achievable as of 2022.

Crédit Agricole Consumer Finance's net income Group share came to €458 million for 2020, down -29.0% compared to 2019. It includes two specific items: the reversal of a provision for the fine by the Italian Competition Authority (AGCM) applied to FCA Bank for +€89 million under equity-accounted entities, and a negative impact of -€135 million on discontinued or held-for-sale operations relative to the current disposal

project of Crédit Agricole Consumer Finance NL. Adjusted to factor in these two specific items, Crédit Agricole Consumer Finance's underlying net income Group share works out at €503 million for 2020, down -21.9% from 2019.

Revenues stood at €1,993 million for 2020, down -7.1%, although the decline was more moderate at constant scope⁽¹⁾ (-3.7%), due to a drop in activity during the periods of lockdown as well as an unfavourable product mix in a context of increased pressure from competition. Over the same period, expenses excluding the SRF contribution were recorded down -7.6%, or -0.7% at constant scope. Overall, for 2020, the cost/income ratio stood at 49.0%, marking a 0.3 percentage point improvement. Cost of risk reached €637 million, compared to 451 million in 2019, an increase of below 50% in the context of the health crisis (+41.3%), and the cost of risk over average outstandings⁽²⁾ was 179 basis points. The contribution of equity-accounted entities was €255 million, compared to €295 million in 2019, down -13.9% from the previous year, which is explained notably by a lower contribution from Wafasalaf, impacted by the effects of the health crisis, as well as higher provisioning on FCA Bank, while the Chinese activities were resilient and grew slightly over the year.

Over 2020, **CAL&F** recorded growth in lease financing outstandings of +3.2%, to €15.5 billion at end-December 2020. The level of production in the second half-year held up very well, after a first half that was heavily impacted by the lockdown, notably in France. Overall, commercial leasing production in 2020 (€5.7 billion) represented 98% of 2019 production. In factoring, the level of activity remained strong despite the context, notably in the fourth quarter of 2020, and commercial production rose +6.8% to €13.7 billion from 2019, driven by the international activity (Germany and

(1) Excluding the contribution of Crédit Agricole Consumer Finance NL in 2019. Crédit Agricole Consumer Finance NL was booked under "Non-current assets held for sale and discontinued operations" in the third quarter of 2020. Net income reclassified under "Net income from discontinued operations" includes the partial amortisation of goodwill as well as the estimated loss on this transaction.

(2) The cost of risk/outstandings is calculated on the basis of the cost of risk recorded in the year over the average of the loans outstanding at the start of all four quarters of the year.

Spain). At €21.5 billion in the fourth quarter of 2020, factored revenues recorded a 4.4% increase on the fourth quarter of 2019, buoyed by France and Germany.

CAL&F's underlying net income Group share came to €101 million, a decrease of -40.8% compared with 2019. Net revenues came to €534 million, down -6.7% on 2019, impacted by the contraction in factored revenues due to the lower financing needs of customers, given the exceptional schemes implemented by the governments to meet companies' cash flow needs (impact of the State-guaranteed loans). Expenses excluding

the SRF contribution stood at €292 million, up +2.0% year-on-year, and were concentrated on IT and telecoms expenses. The cost to income ratio came to 54.6%, in 2020 a deterioration of 4.6 percentage points compared to 2019. The cost of risk reached €96 million, 2.1x the 2019 figure, sharply impacted by the provisions related to the health crisis.

The Specialised Financial Services activity contributed 9% to the underlying net income Group share of the business lines of Crédit Agricole Group (excluding the Corporate Centre) in 2020 and 7% to their underlying revenues (excluding the Corporate Centre).

Large Customers (CIB and Asset Servicing)

The Large Customers division includes the Capital Markets, Investment Banking, Structured Finance and Commercial Banking business lines housed within Crédit Agricole Corporate & Investment Bank (Crédit Agricole CIB), as well as Asset Servicing, hosted within CACEIS.

Large Customers (LC) – Contribution to results, stated and underlying 2020

(in millions of euros)	2020			2019			% var. 2020/2019	
	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
Revenues	6,297	22	6,276	5,601	(65)	5,666	+12.4%	+10.8%
Operating expenses excluding SRF	(3,523)	(19)	(3,504)	(3,321)	(15)	(3,305)	+6.1%	+6.0%
SRF	(260)	0	(260)	(177)	0	(177)	+46.7%	+46.7%
Gross operating income	2,514	3	2,512	2,103	(80)	2,184	+19.5%	+15.0%
Cost of risk	(829)	0	(829)	(159)	0	(159)	x5.2	x5.2
Equity-accounted entities	7	0	7	4	0	4	+66.8%	+66.8%
Net income on other assets	1	0	1	6	(6)	12	-85.1%	-92.7%
Change in value of goodwill	0	0	0	22	22	0	-100.0%	n.m.
Income before tax	1,693	3	1,690	1,976	(65)	2,041	-14.3%	-17.2%
Tax	(277)	(1)	(276)	(407)	23	(430)	-31.8%	-35.7%
Net income	1,416	2	1,414	1,569	(42)	1,611	-9.8%	-12.2%
Non controlling interests	(57)	4	(61)	(0)	0	(0)	x1,620.2	x1,738.1
NET INCOME GROUP SHARE	1,359	6	1,353	1,569	(42)	1,611	-13.4%	-16.0%
COST/INCOME RATIO EXCLUDING SRF (%)	55.9%		55.8%	59.3%		58.3%	-3.3pp	-2.5pp

In **Corporate and investment banking**, business was particularly strong over the entire year, with a very strong capital markets activity. In the first quarter of 2020, capital markets recorded good commercial momentum, in a context of high volatility. This momentum continued into the second quarter of 2020, as Crédit Agricole CIB provided support to its customers during the health crisis with the granting of the State-guaranteed loans (€2.4 billion⁽¹⁾) and for their hedging needs. Over this period, the drawdown rates on revolving credit facilities (RCF) increased sharply, reaching 32% in April 2020, compared to 18% pre-crisis, which they returned to at the end of the year.

In all, 2020 confirmed Crédit Agricole CIB's leading position (#1 in the All French Corporate bonds⁽²⁾ category, #1 in All Financial Bonds⁽³⁾, #2 worldwide for Global Green and Sustainability bonds⁽⁴⁾). Crédit Agricole CIB also

maintained very good positions in syndicated loans: leader in France⁽⁵⁾ and #3 on the EMEA market⁽⁶⁾. Lastly, Crédit Agricole CIB maintained its very prudent risk profile, and the regulatory VaR as at 31 December 2020 remained at a very low level (€9.2 million at 31 December 2020, average regulatory VaR of €14.2 million for the full year 2020).

The **Corporate and investment banking** business reported revenues of €5,169 million in 2020. They include the specific accounting items relative to the loan portfolio hedges for +€10 million recorded by the investment bank and to the DVA (Debt Valuation Adjustment) for +€11 million booked on the capital markets and investment banking activities. Adjusted to reflect these items, underlying revenues came to €5,147 million, up +8.8% compared to 2019.

(1) €2.4 billion in State-guaranteed loan applications by Crédit Agricole CIB's customers as at 15 January 2021.

(2) Source: Dealogic.

(3) Source: Refinitiv N11.

(4) Source: Bloomberg.

(5) Source: Refinitiv.

(6) Source: Refinitiv R17.

Underlying **Financing activities** revenues reached €2,541 million, up very slightly from 2019 (+0.9% and +2.6% excluding the currency effect), thanks notably to:

- good performance in **corporate banking** (+6.2%) thanks to a rise in outstandings related to the health crisis (greater consumption of liquidity between April and September, then a normalisation of these drawdowns before a return to pre-crisis levels from Q4) and growth in acquisition financing activities; and to a slight increase in the revenues of the International Trade and Transaction Banking activity;
- this mitigated the drop in revenues (-4.7% in 2020 from 2019) observed in **structured finance**, impacted by the slowdown in new production in the context of the health crisis. However, the business was more dynamic in Q4 in the telecoms and energy/infrastructure sectors.

The underlying revenues of the **Capital Markets and Investment banking** business totalled €2,606 million in 2020, up +17.7% on 2019 (+18.6% excluding the currency effect), thanks to a favourable market context on the one hand and strong commercial activity on the other:

- **capital markets** revenues recorded a +19.1% increase to €2,299 million in 2020, buoyed by the dynamic FICC activities, due to a very good level of activity on the primary bond market in all sectors, and Crédit Agricole CIB having supported its customers in their hedging needs during the crisis, notably in the context of the ECB's accommodative policy;
- **investment banking** revenues also posted a +8.2% rise, to €307 million: they notably benefited from the high volumes of activity on the capital markets.

Operating expenses excluding the contribution to the SRF was €2,650 million, up just very slightly from 2019 (+2.1%), notably due to IT investments. Thus, the rise in revenues, combined with this good cost control, generated a positive jaws effect of +6.7 points, as well as improvement in the cost/income ratio (excluding SRF), which stood at 51.5% for 2020 (vs. 54.8% in 2019), below the target of the Medium-Term Plan (below 55% in 2022). The contribution to the SRF increased significantly in 2020, totalling €232 million (+43.6% compared to 2019). Cost of risk increased by 5.3x year-on-year to

€824 million. In corporate banking specifically, it reached €796 million and the cost of risk/outstandings came to 67 basis points. This was a six-fold increase compared to 2019, and 86% of this rise was explained by the provisioning for performing outstandings. In all, underlying net income Group share came to €1,222 million, down -16.7% compared with 2019.

Asset servicing (CACEIS) recorded a very good level of activity during the year, thanks to new customer gains and growth on the existing customer base. Assets under custody exceeded €4 trillion (which was one of the targets of the Medium-Term Plan 2022, now achieved), totalling €4,198 billion at 31 December 2020, a notable rise of +8.2% compared to end-December 2019. Assets under administration stood at €2,175 billion, up +6.3% year-on-year.

Net income Group share, stated for CACEIS totalled €121 million over 2020. It included -€19 million in integration costs on acquisitions made by CACEIS in 2019 (Kas Bank and Santander Securities Services, impact on net income Group share of -€9 million). In 2019, specific items had a net impact of +6 million and also included the integration and acquisition costs of these new entities as well as the positive impact of the goodwill booked on Kas Bank. Revenues totalled €1,129 million, up +20.5%, due notably to the scope effect, but also thanks to a strong level of activity (entry of new major customers and growth in the activity of existing customers) and growth in cash revenues. Underlying operating expenses, excluding the SRF, increased by +20.2% to €854 million, beyond the scope effect, due mainly to the effect of IT development and investments, some of which are related to the arrival of new large customers. Underlying gross operating income was thus up a sharp +17.1% compared to 2019, and the cost/income ratio (excluding SRF) came to 75.7%, a slight improvement of 0.2 percentage point. Net income for the year was thus up a strong +34.6% in 2020 from 2019. After €63 million of non-controlling interest attributed to Santander, the business line's contribution to underlying net income Group share recorded a drop of -9.1% year-on-year to €130 million.

The Large Customers division contributed to 20% of net income Group share of the business lines of Crédit Agricole Group (excluding the Corporate Centre) in 2020 and 18% of underlying revenues.

Corporate Centre (CC)

This division comprises three types of so-called structural activities:

- *Crédit Agricole S.A.'s central body function, asset and liability management and management of debt connected with acquisitions of subsidiaries or equity investments and the net impact of tax consolidation for Crédit Agricole S.A.;*
- *the results of the private equity business and of various other Crédit Agricole S.A. entities (including CA Immobilier, Uni-médias, Foncaris, etc.);*
- *the results of resource companies carrying out dedicated activities on behalf of the Crédit Agricole Group and its subsidiaries: IT production (CAGIP), payment activities (CAPS) and real estate operations (SCI).*

This segment also includes other non-structural items, such as the volatile technical impacts of intragroup transactions.

The 2020 financial statements include several specific items with a total impact of -€1,021 million on net income Group share, which essentially concern the amortisation of the goodwill on CA Italia for -€884 million in net income Group share, the amortisation of the goodwill on Corporate Centre for -€55 million in net income Group share, the home purchase savings plan provision for -€44 million, liability management balance for -€28 million, the solidarity COVID-19 donations for -€10 million.

The 2019 financial statements contain several specific items having a total positive impact of +€315 million on net income Group share, including the settlement of the Emporiki litigation for +€1,038 million in net income Group share, the amortisation of the goodwill on LCL for -€664 million and the provision for home purchase savings for -€59 million.

Corporate Centre (CC) – Contribution to results, stated and underlying 2020

	2020			2019			% var. 2020/2019	
(in millions of euros)	Stated	Specific items	Underlying	Stated	Specific items	Underlying	Stated	Underlying
Revenues	(278)	(105)	(173)	(553)	(90)	(463)	-49.7%	-62.6%
Operating expenses excluding SRF	(836)	(10)	(826)	(837)	0	(837)	-0.1%	-1.3%
SRF	(86)	0	(86)	(83)	0	(83)	+3.0%	+3.0%
Gross operating income	(1,200)	(115)	(1,085)	(1,473)	(90)	(1,383)	-18.5%	-21.6%
Cost of risk	(36)	0	(36)	(29)	0	(29)	+25.8%	+25.8%
Net income on other assets	(10)	0	(10)	(1)	0	(1)	x17.3	x17.3
Change in value of goodwill	(965)	(965)	0	(664)	(664)	0	+45.4%	n.m.
Income before tax	(2,212)	(1,080)	(1,131)	(2,166)	(754)	(1,413)	+2.1%	-19.9%
Tax	378	34	344	1,564	1,069	495	-75.9%	-30.6%
Net income from discontinued or held-for-sale operations	(55)	(55)	0	(0)	0	(0)	x262.9	n.m.
Net income	(1,889)	(1,102)	(787)	(602)	315	(917)	x3.1	-14.2%
Non controlling interests	77	81	(4)	14	0	14	x5.7	n.m.
NET INCOME GROUP SHARE	(1,812)	(1,021)	(791)	(588)	315	(904)	x3.1	-12.5%

In 2020, the business division's underlying net income Group share came to -€791 million (compared to -€904 million for 2019). This includes a contribution to the Single Resolution Fund (SRF) of -€86 million, up +3.0% compared to 2019.

CONSOLIDATED BALANCE SHEET OF THE CRÉDIT AGRICOLE GROUP

(in millions of euros)	Notes	31/12/2020	31/12/2019	Variation
Cash, central banks	6.1	197,792	97,135	103.6%
Financial assets at fair value through profit or loss	3.1-6.2-6.6-6.7	438,534	404,336	8.5%
Held for trading financial assets		258,187	227,698	13.4%
Other financial assets at fair value through profit or loss		180,347	176,638	2.1%
Hedging derivative Instruments	3.2-3.4	22,965	20,947	9.6%
Financial assets at fair value through other comprehensive income	3.1-6.4-6.6-6.7	277,909	272,312	2.1%
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss		274,260	268,299	2.2%
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss		3,649	4,013	-9.1%
Financial assets at amortised cost	3.1-3.3-6.5-6.6-6.7	1,165,650	1,109,579	5.1%
Loans and receivables due from credit institutions		89,954	100,949	-10.9%
Loans and receivables due from customers		965,490	913,496	5.7%
Debt securities		110,206	95,134	15.8%
Revaluation adjustment on interest rate hedged portfolios		13,524	11,714	15.5%
Current and deferred tax assets	6.10	6,619	6,293	5.2%
Accruals, prepayments and sundry assets	6.11	45,613	44,440	2.6%
Non-current assets held for sale and discontinued operations	6.12	5,017	475	956.2%
Deferred participation	6.17	-	-	-
Investments in equity-accounted entities	6.13	7,423	7,103	4.5%
Investment property	6.14	7,362	7,277	1.2%
Property, plant and equipment	6.15	10,539	10,153	3.8%
Intangible assets	6.15	3,431	3,383	1.4%
Goodwill	6.16	15,134	15,819	-4.3%
TOTAL ASSETS		2,217,512	2,010,966	10.3%

(in millions of euros)	Notes	31/12/2020	31/12/2019	Variation
Central banks	6.1	864	2,183	-60.4%
Financial liabilities at fair value through profit or loss	6.2	263,160	245,109	7.4%
Held for trading financial liabilities		227,318	205,061	10.9%
Financial liabilities designated at fair value through profit or loss		35,842	40,048	-10.5%
Hedging derivative Instruments	3.2-3.4	23,725	20,498	15.7%
Financial liabilities at amortised cost		1,334,171	1,168,448	14.2%
Due to credit institutions	3.3-6.8	198,942	99,575	99.8%
Due to customers	3.1-3.3-6.8	963,433	855,507	12.6%
Debt securities	3.3-6.8	171,796	213,366	-19.5%
Revaluation adjustment on interest rate hedged portfolios		11,541	10,508	9.8%
Current and deferred tax liabilities	6.10	3,507	3,995	-12.2%
Accruals, deferred income and sundry liabilities	6.11	54,204	51,366	5.5%
Liabilities associated with non-current assets held for sale and discontinued operations	6.12	3,552	478	643.1%
Insurance company technical reserves	6.17	365,556	358,249	2.0%
Provisions	6.18	6,862	6,937	-1.1%
Subordinated debt	3.3-6.19	23,896	21,661	10.3%
Total Liabilities		2,091,038	1,889,432	10.7%
Equity		126,474	121,534	4.1%
Equity - Group share		119,565	114,972	4.0%
Share capital and reserves		30,217	28,676	5.4%
Consolidated reserves		82,333	75,983	8.4%
Other comprehensive income		2,319	3,115	-25.6%
Other comprehensive income on discontinued operations		7	-	-
Net income (loss) for the year		4,689	7,198	-34.9%
Non-controlling interests		6,909	6,562	5.3%
TOTAL LIABILITIES AND EQUITY		2,217,512	2,010,966	10.3%

Main changes in the consolidated balance sheet

At 31 December 2020, the consolidated balance sheet of the Cr dit Agricole Group amounted to €2,217.5 billion, up +€206.5 billion (10.3%) compared with the 2019 balance sheet. This increase mainly stemmed from:

- the increase in financial assets at amortised cost totalling €56.1 billion;
- the rise in financial assets at fair value through profit or loss of €34.2 billion.

Analysis of the main items

- **Financial assets at fair value through profit or loss** amounted to €438.5 billion at 31 December 2020, a rise of 8.5% year-on-year, *i.e.* +€34.2 billion (of which €30.5 billion in financial assets held for trading).
- **Financial assets at fair value through other comprehensive income** stood at €277.9 billion at end-December 2020, *i.e.* an increase of €5.6 billion (+2.1%).
- **Financial assets at amortised cost** amounted to €1,165.7 billion at the end of December 2020, up €56.1 billion (+5.1%).
- **Cash and Central Banks** increased by +€100.7 billion (+103.6%) on the assets side and decreased by -€1.3 billion (-60.4%) on the liabilities side.

- **Financial liabilities at fair value through profit or loss** amounted to €263.2 billion at 31 December 2020, up €18.1 billion (including €22.3 billion for financial liabilities held for trading) year-on-year. (+7.4%).
- **Hedging derivatives** recorded respective increases of +9.6% under assets and 15.7% under liabilities.
- **Underwriting reserves for insurance contracts** increased by 2.0% in 2020 from 2019, reaching €365.6 billion. This rise is notably explained by the increase in liabilities relating to insurance and financial contracts at Predica (+€3.7 billion).
- **Equity** amounted to €126.5 billion at 31 December 2020, a year-on-year increase of 4.1%. Equity Group share also increased (+4.0%) to €119.6 billion at the end of 2020.

Capital management and regulatory ratios

The amendment to IAS 1 adopted by the European Union on 11 January 2006 requires quantitative and qualitative disclosures on the issuer's capital and management of its capital *i.e.* objectives, policies and processes for managing capital. This information is provided in Note 3.6 to the financial statements and in "Pillar 3 disclosures", provided below. For financial year 2020, return on assets⁽¹⁾ was 0.24%.

(1) Referring to article R. 511-16-1 of the Monetary and Financial Code, profitability of assets is obtained by dividing the net accounting income with the total balance-sheet, on a consolidated basis.

RECENT TRENDS AND OUTLOOK

The economic outlook is still clouded by major uncertainties related to problems in exiting the public health crisis (persistent virulence of the pandemic, more contagious virus mutations, a new rise in infections, and ongoing uncertainty about whether vaccination will lead to immunity). The profile and pace of growth will therefore continue to be impacted by the pandemic and the delicate trade-off between growth and public health safety. After a lacklustre first half, recovery should be very modest and very disparate, despite monetary and budgetary infusions. The major economies will continue to be helped out by massive budgetary support, highly accommodating monetary policies and favourable financial conditions. While some key markers may still fall (as in the scenario of negative interest rates in the UK, which cannot be ruled out), it seems that easing exercises have come to an end (in the sense that there will be no new tools) and reliance will now have to be on improving/extending existing mechanisms. Budgetary policy will be decisive in delivering short-term support and then stimulating the economy once the situation is “normalised”. As is being demonstrated in Japan, where monetary innovation seems highly advanced, budgetary policy is playing a more direct role in reducing the output gap. This has the support of Bank of Japan, which is acting as an “integrated stabiliser” of long rates by controlling the yield curve.

In the **United States**, at a time when the resurgence of the virus poses a risk of sharp deceleration in first half 2021, the election of Joe Biden as President and the control of both houses of Congress by the Democrats is expected to result in additional stimulus measures on top of the \$900 billion deal negotiated at the end of 2020. In fact, Joe Biden has already proposed a new stimulus bill worth \$1.9 trillion. However, political constraints make it unlikely that a bill of that size will pass (a stimulus of around \$1 trillion is more likely). In January, the Federal Reserve, with its wait-and-see attitude, extended its *status quo*⁽¹⁾, while noting that the economy was slowing, that its scenario for boosting economic recovery in the second half was contingent on the progress of immunisation and that rumours of tapering were premature. Consequently, while budgetary support could contribute 1 percentage point to US growth, growth will not start to accelerate until the second half, once the vaccine rollout is more widespread and restrictions are eased, at which point it should be close to 4% (as an annual average).

In the **Eurozone**, uncertainty as to when the pandemic will be under control and the lack of a clear view of the economic situation will continue to weigh on spending decisions, both by consumers (risk of precautionary savings) and investors, throughout 2021. The risk of a massive and early withdrawal of budgetary support measures seems to be ruled out for 2021: the risk (including of business failures and increased unemployment) is expected to materialise later, once business activity begins to return to normal. Our scenario assumes growth in 2021 close to 3.8% (with a now-downward bias). Depending on structural characteristics (sectoral composition of supply and employment, services weighting, export capacity, adequacy of exported products, etc.) and national strategies (health/economy trade-offs, abundance and effectiveness of support measures), there will be enormous diversity in both the impact of the crisis and the speed and strength of the recovery. Our scenario assumes average growth rates close to 2.5% in Germany, 5.9% in France and 4% in Italy. At end 2021, the Eurozone's GDP is expected to be 2.4% below its pre-crisis level (*i.e.* at end 2019). While this gap should be limited to 2% in Germany, it is expected to be close to 7.4% in Spain and around 2.2% and 3.9% in France and Italy respectively.

The announcements made by the ECB in December removed any prospect of normalised monetary policy. The ECB has offered reassurance that there will be no early rise in interest rates while additional budgetary efforts are being rolled out and guaranteed its presence in the sovereign market until 2023. It is working to maintain the credit supply provided in recent months, ensuring banks have favourable conditions. In the medium term, the key issues are therefore less about the sustainability of public debt

than about governance and the ability to mobilise public funds to organise a response to the crisis.

The **United Kingdom** left the single market and customs union on 1 January 2021, with a last-minute free-trade agreement. This avoids customs duties and quotas (subject to compliance with fair competition rules and rules of origin) but involves significant non-tariff barriers. Frictionless trade in goods and services has therefore come to an end, as has the free movement of people. In addition to the disruptions associated with setting up a new post-Brexit relationship, there are also the consequences of the pandemic: following a major contraction in 2020 estimated at -11.1%, growth is expected to be close to 4.5% in 2021, leaving GDP at the end of 2021 3.8% below its 2019 pre-crisis level.

In **emerging markets**, after a contraction of just under 3% in 2020, recovery looks to be close to 5.5%. However, this figure masks substantial diversity: an optical illusion that conceals both the immediate effects of the crisis, mostly the result of monetary and budgetary constraints that are more severe in emerging markets than in the developed world, and its lasting consequences in the form of a widening of the structural gap between the emerging markets in Asia and the others. Asia (particularly North Asia) has suffered less and is getting ready to rebound, led by China. At the fifth plenum, the Chinese authorities made public the initial objectives of the country's 14th Five-Year Plan. The plan aims for “sound and sustainable development” promoting “quality growth” with no formal economic growth target, perhaps to allow for more flexibility in economic policymaking. China is expected to rebound strongly in 2021 (+8%) before returning to its projected trajectory in 2022 (+5.1%). However, it seems unrealistic to count on China's momentum to invigorate Asia and promote the recovery of the rest of the world given the experience of 2009. With most of the catching-up now done, growth in China has slowed, and the country no longer has the means to tow the rest of the world in its wake. And nor does it want to. Its latest so-called “dual circulation” strategy, aimed at limiting its dependence on overseas markets, is proof of this.

A slow, uncertain and probably chaotic recovery, multiple uncertainties and monetary easing are all conditions conducive to maintaining extremely low interest rates. It will be necessary to wait until favourable news finally emerges, in terms of public health as well as the economy, before recovery can start to take shape – a start limited by the absence of inflation and excess capacity. In the meantime, progress made by the Eurozone can be judged by past interest rate changes: clear solidarity has avoided fragmentation, risk premiums paid by the so-called “peripheral” countries have been tightened, and the euro has put in a solid performance. Our scenario therefore assumes US and German 10-year sovereign rates of close to 1.50% and -0.40% respectively at end 2021, coupled with spreads of 20 basis points (bp), 50 bp and 100 bp above the Bund for France, Spain and Italy where it is assumed that political tensions will ease.

In keeping with a scenario where recovery might even be slow, timid and unsynchronised, the dollar could depreciate very slightly against the euro and currencies that are more procyclical or driven by risk appetite. The dollar's depreciation would, however, be tempered by the resurgence of Sino-American tensions that weigh on Asian currencies in particular: the current crisis has only temporarily overshadowed the dissent between the United States and China. While the timetable is uncertain (the US still has to install the new administration, manage its domestic problems and rebuild its global alliances), and despite the fact that Joe Biden's presidency augurs a change in tone, the roots of the conflict remain. The rise of protectionism and political risk hampered hyper-globalisation: the crisis should favour greater regionalisation of growth centres, as evidenced by the signing of the Regional Comprehensive Economic Partnership uniting China, ASEAN member countries and key US allies (Australia, South Korea, Japan and New Zealand).

(1) Target range of the Federal funds at 0-0.25%; net purchases of securities at \$120 billion per month, *i.e.* 2/3 Treasury securities and 1/3 MBS; forward guidance on key rates consisting of tolerating a “moderate” overshoot of the inflation target for “some time”; forward guidance on asset purchases indicating that they will continue at least at the current pace until “substantial progress” is made towards employment and inflation targets.

Recent events

Main objectives of the 2022 Medium-Term Plan

On 6 June 2019, Crédit Agricole Group announced its **Group Project** and **Medium-Term Plan** toward 2022, set out jointly with the Regional Banks and Crédit Agricole S.A.

The Group's Project expressed the *Raison d'Être*⁽¹⁾ of Crédit Agricole for the first time. It serves as the foundation for its unique relational model and is at the heart of its universal community banking model. Looking to the future while remaining faithful to the daily translation of the Group's utility, this *Raison d'Être*⁽¹⁾ guides the transformation and development of the Group and carries the values of utility and universality. It can be summed up as follows: "Acting every day in the interest of our customers and society". Furthermore, in order to reinforce its action and commitments in favour of the energy transition, Crédit Agricole has adopted a Group climate strategy, aligned with the Paris Climate Agreement. This climate strategy was published on 6 June 2019 and was hailed by all stakeholders, notably the NGOs such as Oxfam France and Les Amis de la Terre, and was certified by an independent organisation.

Within this new long-term framework, the Strategic Plan 2022 is a blueprint for profitable growth for Crédit Agricole. It is in line with the previous Medium-Term Plan, "Strategic Ambition 2020", most of which financial results have been achieved a year ahead of schedule. It aims to amplify and accelerate the Group's trajectory in an uncertain environment marked by increasing societal demands.

The strategic ambition of the plan

The CET1 target set for the end of 2022 for Crédit Agricole Group exceeds 16% and takes into account the regulatory tightening expected between now and then. The CET1 ratio of the Crédit Agricole Group is the gauge of the financial solidity of the entire Group. Lastly, for the duration of the Medium-Term Plan, a new stage in the simplification of the Group's capital structure will be completed with the partial unwinding of Switch Insurance, a guarantee mechanism granted by the Regional Banks to Crédit Agricole S.A., with a positive effect on its earnings per share for the latter. Moreover, having exceeded its end-2022 target set in June 2019 to unwind 50% of Switch Insurance, a guarantee mechanism granted by the Regional Banks to Crédit Agricole S.A., with a positive impact on the latter's earnings per share, Crédit Agricole S.A. announced on 11 February 2021 its intention to take a new step towards the simplification of the Group's capital structure via the full unwinding of Switch Insurance by the end of 2022, with 50% already achieved in Q1 2021.

The Medium-Term Plan therefore includes the continued strengthening of the Group's solvency by 2022 in its objectives with the maintenance of prudent liquidity management.

2022 targets

CET1	>16%	Retain more than 80% of earnings, bringing the CET1 capital to around €100 billion at end-2022 and the CET1 ratio to over 16%, despite regulatory tightening.
MREL excluding eligible preferred senior debts	24%-25% as a % of risk weighted assets >8% as a % of TLOF (Total Liabilities and Own Funds)	Increase the subordinated MREL ratio by +2-3 pp, in order to maintain a buffer significantly higher than the regulatory requirements and to secure our financing conditions.
Surplus of stable resources⁽¹⁾	>€100 billion	Pursue prudent liquidity management measures, based on a high level of medium/long-term resources, and on increasing the reserves in line with the development of operations.

(1) Long-term financing surplus against long-term commitments.

The Group has based its development on a unique relationship model, which it intends to strengthen through this Group Project based on three pillars:

- **relational excellence at the heart of the Customer Project.** The Group's objective is to become the preferred bank for individuals, entrepreneurs and businesses, and to increase by +20 percentage points the number of customers using its digital applications in France and in Italy. The Group is investing in an innovative strategy of banking and non-banking services platforms, operated directly or with partners;
- **responsibility in proximity at the heart of the Human Project.** The Group stands out by always offering its customers direct access to a local customer relations manager. Transformations in terms of organisation and management are planned to give employees a sense of responsibility as close as possible to the customer. The Group aspires to be the preferred employer in financial services in France and in the Top 5 in Europe;
- **a strong mutualist commitment to society at the heart of the Societal Project.** Crédit Agricole Group will continue its mutualist commitment to development for all, and make green finance one of the Group's keys to growth. The Group thus intends to become the leading European player in responsible investment.

The Medium-Term Plan is based on three levers:

- **growth in all our markets.** This lever requires intensifying customer relationships for individual and wealthy clients, knowing how to respond to the singular needs of professionals and farmers, being the strategic partner for SMEs/ITEs, and extending the range of offers for large corporates and institutions. Payments are becoming a major lever for loyalty and customer acquisition. Lastly, within the framework of international development, priority is given to Europe, and the extension of the universal banking model in Europe and Asia is being achieved through partnerships;

(1) Please refer to the glossary of Crédit Agricole S.A.'s Universal registration document for the definition of *Raison d'Être*.

- **development of revenue synergies.** The Group aims to increase revenue synergies by +€1.3 billion to reach €10 billion in 2022. Insurance (+€800 million) and Specialised Financial Services (€300 million in consumer finance and leasing) are the two main levers;
- **technological transformation for enhanced efficiency.** The Group is allocating €15 billion to IT over four years. It wants to bring the technological fundamentals up to the best market standards, accelerate and better anticipate the adoption of new technologies and finally improve operational efficiency (reduce the operating ratio of Crédit Agricole S.A. by more than 2 percentage points to achieve under 60% by 2022).

The crisis confirms the relevance of the Group Project and the differentiating nature of the global relationship model

- Firstly, as part of the Customer Pillar of its Group Project, presented in June 2019, the Group ramped up the digitisation of its offerings in the interests of customer satisfaction. Thus, the utilisation rate of Group apps (active profile on the apps or connection on the website in the last month) sharply increased, posting a rise in both banks of the Regional Banks and LCL (respectively +3.3 percentage points compared to end-2019 to 68.2% and by +7.1 percentage points to 53.4%). Likewise, the Group rolled out new digital tools intended for its customers to make their activities easier during lockdown, such as the Up2Pay Range (enabling remote payment through a digital loyalty program) and Click & Collect to support retailers in the new methods of consumption. Innovative non-banking services were also set up for young people and small businesses (Youzful, Blank, Agilauto). Innovation remains at the core of Crédit Agricole's strategy: more than 800 start-ups have received the support of Villages By CA. The network currently consists of 37 Villages By CA in France and Italy, with four new Villages to be created in 2019.
- In this context, the Group has reinforced its customer-focused universal banking model with dynamic customer acquisitions in France and Italy (1,500,000 new customers, growth in business customers by 150,000 in 2020) and an equipment rate for individual customers⁽¹⁾ that continued to increase in the networks of the Regional Banks (41.7% at end-December 2020, i.e. a +1.0 percentage point increase since December 2019) and LCL (25.5% at end-December 2020, i.e. a +0.5 percentage point increase since December 2019), as well as at CA Italia (17.1% at end-December 2020, i.e. a +1.7 percentage point increase since December 2019). This translated into a sharp improvement in the Group's positioning in terms of customer satisfaction: the Group is thus the only bank among the 25 brands which have proven their utility during the lockdown⁽²⁾, while the Net Promoter Score (NPS) was up in 2020 compared to 2019, both in the Regional Banks and at LCL (+7 points, to respectively +8 and +2⁽³⁾) and at CA Italia (+8 points compared to 2019), which became this year the second Italian bank in terms of customer satisfaction.
- This success was made possible as a result of the full commitment of Group employees and to strengthened local customer relations. The sharp increase in the participation rate of employees in the ERI (Engagement and Recommendation Index) survey to 80% (+3 points compared to 2019 and +21 points compared to 2016) illustrates this well. In addition, the Group launched innovative initiatives in managerial transformation, supported by organisational transformation, to ramp up our employee empowering process, aimed at creating more value for customers.

The Group supports societal transitions, and is more than ever committed for regions and for climate

Green finance and SRI

As part of the human and societal pillars of the Group Project, the Group supports the societal transitions that its customers have requested and are experiencing. Accordingly, thanks to its leading position in SRI matters, through its various entities, the Group is able to offer its customers all the green and social solutions that they may need.

Accordingly, 100% of the funds opened by Amundi present a SRI score that is higher than their benchmark; at year-end 2020, Amundi exceeded its target for "green solutions" funds, which increased from €12.3 billion to €21.9 billion at year-end 2020 (2022 target: €20 billion). In addition, Amundi has been selected to manage a eurozone equity index fund aligned with the Paris Agreement on climate change, on behalf of 12 institutional investors on the Paris stock exchange who are launching an unprecedented initiative to promote climate issues. It is the first investment solution that is fully eligible for the future European "Paris Aligned Benchmark" label. Crédit Agricole Assurances and Amundi launched "Énergies Vertes", the first energy transition fund eligible for life-insurance policies.

Crédit Agricole CIB saw its green loan outstandings increase from €7.1 billion to €11.7 billion in one year (2022 targets: €13 billion). Crédit Agricole CIB also ranks second worldwide in terms of green, social and sustainable bonds (\$28 billion arranged in 2020). This year, the Federal Republic of Germany has entrusted the emission of its first green bond, for €6.5 billion, to the Crédit Agricole Group. It represents approximately 10% of the volume of sovereign green bonds outstanding and will be used to finance Germany's climate and environmental strategy. Crédit Agricole CIB took part in this historic transaction as associate bookrunner and also acted as exclusive adviser for Germany in the structuring of its Green Bonds program published in August 2020. Meanwhile LCL rolled out a green investment range, LCL Impact Climat. Finally, the Group reached its medium term objective in terms of green social or sustainable outstandings in the liquidity portfolio (€6 billion), with €9.3 billion outstandings end 2020 (vs €5.6 billion end 2019).

These efforts were rewarded. The Group received two positive assessments from agencies in 2020: the international climate reference agency, the Carbon disclosure project (CDP) raised the Group's rating from C to A-, and the annual evaluation of the Principles for Responsible Investment (PRI) led to Amundi being awarded a maximum rating of A+ for its SRI strategy and management.

As it committed to do under the Medium-Term Plan as launched in June of 2019, the Group has set up a global governance to drive its extra-financial performance. It is supported by a scientific committee of high-level experts. A SRI steering platform was developed in 2020. Unique in its kind, it enables the collection of external and internal extra-financial data in order to calculate the main societal impact indices for all Group entities. Based on public data, it generates a unique climate transition rating for listed companies. Amundi and Crédit Agricole CIB have been using this rating as a commercial tool for dialogue since 2020. In 2021, the transition rating will be expanded to include unlisted companies.

(1) Equipment rate: percentage of individual banking customers holding at least one insurance product (Pacifica estimate). Scope: auto, home, health, life accidents, legal protection insurance and all mobile phones.

(2) Study Brand Asset Valuator, October 2020, all sectors, only one bank in the top.

(3) Net Promoter Score, internal sources 2020.

To monitor the extra-financial performance of unlisted companies, the Group also set up a standard SRI questionnaire that is currently being rolled out at LCL, the Regional Banks and in some international entities.

Inclusive finance

The Group also demonstrated its inclusive commitment by supporting regions and the young. For example, in 2020, the Group recruited 18,000 new employees⁽¹⁾, 30% of whom are under 30 years of age, as well as 4,700 work-study students (*i.e.* +50% in two years). The Group also posted a sharp increase in its attractiveness in higher education institutions for the last three years (ranked 47th out of 130 (+23)) in business schools and 85th out of 130 (+17) in engineering schools⁽²⁾. Thus, the Group ranked 1st place in financial services in France among Diversity Leaders, the FT's European ranking (ranking 133rd out of 700⁽³⁾).

The Group also supports the solidarity economy through several initiatives: the Amundi Solidarité fund recorded €331 million at end 2020 and this year, Amundi launched CPR invest social impact, the first global equity fund to place reducing inequalities at the center of its investment process; lastly, Crédit Agricole Assurances created "*Contrat solidaire*", the first Finansol-certified social multi-vehicle life insurance policy. Crédit Agricole S.A. also completed its first social bond issue, for local, sustainable and inclusive growth in the regions. For the amount of €1 billion and subscribed 2.5 times, this bond is designed to finance businesses in areas with unemployment rates that exceed the national average, digital tools for the regions, development of the health sector, and the improving social cohesion.

The Group strengthens its universal customer-focused banking model, open to multi-business partnerships

The Group strengthened its universal customer focused banking model through the rollout of several internal projects. Thus, LCL sold to Crédit Agricole Assurances a home loan book for €445 million, making it possible to optimise the refinancing of LCL and to diversify the investment portfolio of Crédit Agricole Assurances; Crédit Agricole CIB and CA Indosuez Wealth Management in turn created a joint team to assist high net worth customers and family holding companies. Finally, a Group level multi-business Group

division was created for mid-cap corporates, and will be managed by Crédit Agricole CIB. Synergies continued to be deployed within the Crédit Agricole Group, generating €9.1 billion in 2020, which is stable on 2019 despite the health crisis. In the area of IT expenses, in 2019 and 2020 the Group allocated to the technological transformation €8 billion⁽⁴⁾, of which 38% in investments notably for datacentricity or information system overhaul.

The Group continued to open its universal customer-focused banking model in Europe through multi-business line partnerships in Europe and in Asia. In Europe, Amundi, number one asset manager in Europe, finalised in January the Sabadell AM acquisition and entered into a strategic partnership with Banca Sabadell; in October, Crédit Agricole Assurances finalised the acquisition of 100% de GNB Seguros and along with this came the signature of a 22-year distribution partnership for non-life insurance products with Novo Banco in Portugal; Crédit Agricole Italia announced at the end of November the launch of a cash takeover bid for Credito Valtellinese and Crédit Agricole Consumer Finance announced in December the strengthening of its partnership agreement with Banco BPM. Furthermore, Crédit Agricole Consumer Finance printed an agreement with Bankia to buy back the 49% of capital owned by Bankia in their joint-venture in Spain. Lastly, Azqore, a subsidiary of Indosuez Wealth Management, signed an agreement with Société Générale, in January 2021, to perform the back-office operations and a large percentage of the IT services internationally for the private bank Société Générale.

In Asia, Amundi and Bank of China created in September the first Wealth Management company in China with an international shareholder holding a majority stake. Furthermore, Amundi signed a technological alliance with BNY Mellon January 2021 in the field of asset management and the custody of securities.

Furthermore, the Group continued its refocusing outside the non-strategic entities. Thus, Crédit Agricole CIB finalised the sale of its remaining stake in the capital of Banque Saudi Fransi in September; Crédit Agricole Consumer Finance announced the sale in progress of its subsidiary in the Netherlands; CA Indosuez Wealth Management initiated a planned sale of its private banking activities in Miami and Brazil, and Crédit Agricole S.A. announced the signature of an agreement to sell its Romanian subsidiary Crédit Agricole Bank Romania S.A. to Vista Bank Romania S.A.

(1) Total hires in 2020, including permanent contracts, fixed-in term contracts and work-study contracts..

(2) Source: Universum 2020.

(3) FT European rankings, No. 1 in France in financial services.

(4) €15 billion planned for the entire duration of the MTP.

3

RISKS AND PILLAR 3

1. Risk factors

Risk factors related to the Crédit Agricole Group and its activity

43

2. Risk management

2.1 Risk appetite, governance and organisation of risk management	56
2.2 Stress testing	59
2.3 Internal control and risk management procedures	60
2.4 Credit risk	66
2.5 Market risks	76
2.6 Asset and liability management	82
2.7 Insurance sector risks	90
2.8 Operational risks	98
2.9 Non-compliance risks	100

3. Pillar 3 disclosures

3.1. Composition and management of capital	102
3.2. Main sources of differences between regulatory exposure amounts and carrying amounts in financial statements (LI2)	124
3.3. Outline of the differences in the scopes of consolidation (LI3: entity by entity)	125
3.4. Composition and changes in risk-weighted assets	127
3.5. Asset encumbrance	188
3.6. Liquidity Coverage Ratio (LCR)	191
3.7. Compensation policy	192
3.8. Cross-reference tables	193

Disclosure of exposures subject to measures applied in response to the COVID-19 crisis – Crédit Agricole Group (payment moratoria and public guarantees)

196

Template 1 – Information on loans and advances subject to legislative and non-legislative moratoria	196
Template 2 – Breakdown of loans and advances subject to legislative and non-legislative moratoria by residual maturity of moratoria	198
Template 3 – Information on newly originated loans and advances provided under newly applicable public guarantees schemes introduced in response to COVID-19 crisis	198

1. RISK FACTORS

This part of the Universal Registration Document sets out the main types of risks to which the Crédit Agricole Group is exposed, as well as the main risks associated with holding shares and other securities issued by Crédit Agricole S.A. in view of the structure of the Crédit Agricole Group.

Other parts of this chapter discuss Crédit Agricole Group's risk appetite and the policies employed to manage these risks. The information on Crédit Agricole Group's risk management is presented in accordance with IFRS 7, relating to disclosures on financial instruments.

In this section, the term "Crédit Agricole Group" is defined as Crédit Agricole S.A. as a corporate entity (parent company and listed company), its consolidated direct and indirect subsidiaries within the meaning of Article L. 233-3 of the French Commercial Code, the Crédit Agricole Mutuel Regional Banks, the Local Banks and their respective direct and indirect subsidiaries.

RISK FACTORS RELATED TO THE CRÉDIT AGRICOLE GROUP AND ITS ACTIVITY

Risks specific to the Crédit Agricole Group's business are presented in this section under the six following categories: (i) credit risks and counterparty risks, (ii) financial risks, (iii) operational risks and associated risks, (iv) risks related to the environment in which the Crédit Agricole Group operates, (v) risks related to strategy and transactions of the Crédit Agricole Group, and (vi) risks related to the structure of the Crédit Agricole Group.

Within each of the six categories, the risks that the Crédit Agricole Group currently considers to be most significant, based on an assessment of likelihood of occurrence and potential impact, are presented first. However, even a risk that is currently considered to be less important could have a significant impact on the Crédit Agricole Group if it were to materialise in the future.

These risk factors are described below.

1. Credit and counterparty risks

a) The Crédit Agricole Group is exposed to the credit risk of its counterparties

The risk of insolvency of its customers and counterparties is one of the main risks to which the Crédit Agricole Group is exposed. Credit risk impacts the Crédit Agricole Group's consolidated financial statements when counterparties are unable to honour their obligations and when the carrying amount of these obligations in the bank's records is positive. Counterparties may be banks, financial institutions, industrial or commercial enterprises, governments and their various entities, investment funds, or individuals. The level of counterparty defaults may increase compared to recent historically low levels; the Crédit Agricole Group may be required to record significant charges and provisions for possible bad and doubtful loans, affecting its profitability.

While the Crédit Agricole Group seeks to reduce its exposure to credit risk by using risk mitigation techniques such as collateralisation, obtaining guarantees, entering into credit derivatives and entering into netting contracts, it cannot be certain that these techniques will be effective to offset losses resulting from counterparty defaults that are covered by these techniques. Moreover, the Crédit Agricole Group is exposed to the risk of default by any party providing the credit risk coverage (such as a counterparty in derivatives) or to the risk of loss of value of the collateral. In addition, only a portion of the Crédit Agricole Group's overall credit risk is covered by these techniques. Accordingly, the Crédit Agricole Group has significant exposure to the risk of counterparty default.

As at 31 December 2020, the exposure of the Crédit Agricole Group to credit and counterparty risks (including dilution risk and settlement/delivery risk) was €1,923.1 billion before taking into account risk mitigation methods. This is distributed as follows: 37% retail customers, 30% corporates, 20% governments and 8% credit institutions and investment firms. Moreover, the amounts of risk-weighted assets (RWAs) relating to credit risk and counterparty risk to which Crédit Agricole Group is exposed were €457.9 billion and €22.9 billion, respectively, as at 31 December 2020. At that period-end, the gross amount of loans and receivables in default was €24.0 billion.

b) Any significant increase in provisions for loan losses or changes in the Crédit Agricole Group's estimate of the risk of loss in its loan and receivables portfolio could adversely affect its results of operations and financial position

In connection with its lending activities, the Crédit Agricole Group periodically recognises doubtful loan charges, whenever necessary, to reflect actual or potential losses in respect of its loan and receivables portfolio, which are recognised in profit or loss account under "cost of risk". The overall level of such asset impairment provisions of the Crédit Agricole Group is based upon its assessment of prior loss experience, the volume and type of lending being conducted, industry standards, statement of loans, economic conditions and other factors related to the recoverability of various loans, or scenario-based statistical methods applicable collectively to all relevant assets. Although the Crédit Agricole Group seeks to establish an appropriate level of provisions, its lending businesses may cause it to have to increase its provisions for doubtful loans in the future as a result of increases in non-performing assets or for other reasons, such as macroeconomic or sector changes, deteriorating market conditions or factors affecting particular countries or industry sectors, in the current crisis environment especially. Any significant increase in provisions for doubtful loans or a significant change in the estimate of the risk of loss inherent in its portfolio of non-impaired loans, as well as the occurrence of loan losses in excess of the charges recorded with respect thereto, could have an adverse effect on the results of operations and financial position of the Crédit Agricole Group.

As at 31 December 2020, the gross outstanding loans, receivables and debt securities of the Crédit Agricole Group were €1,241 billion. With regard to credit risk, the amounts of reserves, accumulated impairments and related adjustments amounted to €20.3 billion. The cost of risk on outstandings of the Crédit Agricole Group for 2020⁽¹⁾ stands at 38 basis points.

(1) The cost of risk/outstandings is calculated on the basis of the cost of risk on commercial loans recorded in the year over the average of the outstandings at the start of all four quarters of the year.

c) A deterioration in the credit quality of industrial and commercial companies could adversely impact Crédit Agricole Group's results

The credit quality of corporate borrowers could experience a deterioration, primarily from increased economic uncertainty and, in certain sectors, the risks associated with trade policies of major economic powers. The risks could be exacerbated by the recent practice by which lending institutions have reduced the level of covenant protection in their loan documentation, making it more difficult for lenders to intervene at an early stage to protect assets and limit the risk of non-payment. If a trend towards deterioration in credit quality were to appear, the Crédit Agricole Group may be required to record asset impairment charges or to write off the value of its corporate debt portfolio, which would in turn impact the profitability and financial position of the Crédit Agricole Group.

As at 31 December 2020, the Crédit Agricole Group's gross exposure to sectors other than general government, banking, insurance and private individuals amounted to €680.4 billion (of which €11.0 billion in default) and was provisioned for nearly €12.7 billion.

d) The Crédit Agricole Group may be adversely affected by events impacting sectors to which it has significant exposure

Crédit Agricole Group's exposures are very diversified due to its comprehensive customer-focused universal banking activities. The Crédit Agricole Group is mainly exposed to retail banking through its network of Regional Banks on the one hand, and the LCL network on the other. At end-December 2020, the share of retail customers in Crédit Agricole Group's total portfolio of commercial lending was 45%, or €714.9 billion. Moreover, the Crédit Agricole Group is subject to the risk that certain events may have a disproportionately large impact on a particular industrial sector to which it is significantly exposed. As at 30 December 2020, 19% of Group Crédit Agricole's commercial loan book involved borrowers in the public sector, (including local authorities), representing an amount of approximately €301.4 billion, and 4% were borrowers in the energy sector, representing an amount of approximately €66.7 billion. Public sector borrowers can be affected by national and local budgetary policies and spending priorities. Energy sector borrowers are subject to risks relating to volatility in energy prices. If these sectors, or other sectors that represent a significant share of the Crédit Agricole Group's portfolio, were to experience adverse conditions, the Crédit Agricole Group's profitability and financial position could be adversely affected.

e) The Crédit Agricole Group is exposed to country risk and may be vulnerable to concentrated counterparty risk in certain countries where it operates

The Crédit Agricole Group is exposed to country risk, meaning the risk that economic, financial, political or social conditions in a given country in which it operates will affect its financial interests.

The Crédit Agricole Group monitors the country risk and takes it into account in the fair value measurement and the cost of risk recorded in its financial statements. However, a significant change in political or macroeconomic environments may require it to record additional charges or to incur losses beyond the amounts previously written down in its financial statements. The Crédit Agricole Group is especially exposed in absolute value to the country risk for France and Italy. At 31 December 2020, the Group's commitment amounted to €1,152

billion in France and €106 billion in Italy, representing respectively 73% and 7% of the Crédit Agricole Group's total exposure over the period.

Adverse conditions that particularly affect these countries would have a particularly significant impact on the Crédit Agricole Group. In addition, the Crédit Agricole Group has significant exposures in countries outside the OECD, which are subject to risks that include political instability, unpredictable regulation and taxation, expropriation and other risks that are less present in more developed economies.

At end-2020, commercial lending (including to bank counterparties) to Crédit Agricole S.A. customers in countries with ratings below A3 (Moody's) or A- (Standard & Poor's), excluding countries in Western Europe (Italy, Spain, Portugal, Greece, Cyprus and Iceland), totalled €63.3 billion.

f) The soundness and conduct of other financial institutions and market participants could adversely affect the Crédit Agricole Group

Crédit Agricole Group's ability to engage in financing, investment and derivative transactions could be adversely affected by the soundness of other financial institutions or market participants. Financial services institutions are interrelated as a result of trading, clearing, counterparty, funding or other relationships. As a result, defaults by, or even rumours or questions about, one or more financial services institutions, or the loss of confidence in the financial services industry generally, may lead to market-wide liquidity contractions and could lead to further losses or defaults. The Crédit Agricole Group has exposure to many counterparties in the financial industry, including brokers and dealers, commercial banks, investment banks, mutual and hedge funds, and other institutional customers with which it regularly executes transactions. Many of these transactions expose the Crédit Agricole Group to credit risk in the event of default or financial distress. In addition, the Crédit Agricole Group's credit risk may be exacerbated when the collateral held by the Crédit Agricole Group cannot be disposed of or is liquidated at prices not sufficient to recover the full amount of the loan or derivative exposure due to it.

As at 31 December 2020, the total amount of Crédit Agricole Group's gross exposures to credit and similar institutions counterparties was €149.3 billion, of which €110.7 billion under the internal ratings-based method.

g) The Crédit Agricole Group is subject to counterparty risk in the conduct of its market activities

The Crédit Agricole Group could suffer losses in the event of a counterparty defaulting in its securities, currency, commodities and other market activities. When the Crédit Agricole Group holds portfolios of debt securities, including in the context of its market making activities, it is subject to the risk of deterioration in the credit quality of issuers or default. As part of its trading activities, the Crédit Agricole Group is exposed to the risk of a counterparty defaulting in the execution of its transaction settlement obligations. The derivatives activities of the Crédit Agricole Group are also subject to the risk of a counterparty default, as well as to significant uncertainty regarding the amounts due in the event of such a default. In this regard, the risk-weighted assets (RWAs) corresponding to the counterparty risk on derivatives and deferred settlement transactions and indicated in Pillar 3 amounted to €10.3 billion at 31 December 2020. Although the Crédit Agricole Group often obtains collateral or makes use of compensation rights to deal with these risks, these techniques may not be sufficient to ensure complete protection, and the Crédit Agricole Group may incur significant losses due to the failure of major counterparties.

2. Financial risks

a) The Crédit Agricole Group is exposed to the low interest rate environment and any significant change in interest rates could adversely affect Crédit Agricole Group's consolidated revenues or profitability

The Crédit Agricole Group is one of the leaders⁽¹⁾ in retail banking and, through the Regional Banks and LCL networks, is thus exposed to changes in interest rates. Its combined market share stands at more than 28% in France⁽²⁾. As at 31 December 2020, the gross outstanding loans, receivables and debt securities of the Crédit Agricole Group were €1,241 billion (Pillar 3).

The amount of net interest income earned by the Crédit Agricole Group during any given period significantly affects its overall consolidated revenues and profitability for that period. Interest rates are highly sensitive to many factors beyond Crédit Agricole Group's control. Changes in market interest rates could affect the interest rates charged on interest-earning assets differently than the interest rates paid on interest-bearing debt. Any adverse change in the yield curve could cause a decline in Crédit Agricole Group's net interest income from its lending activities. By way of illustration, interest rate stress is indicated in the risk management, and for 2021 shows that a 100 basis point increase in interest rates in the Eurozone would imply a potential loss for the Crédit Agricole Group of €126 million on the banking portfolio at 31 December 2020, amounting to a decline of 0.4% of 2020 revenues (compared to a decrease of €24 million, or 0.1% of 2019 revenues). The cumulative impact over the next 30 years of a 200 basis point rate increase corresponds to a negative impact of -€1,496 million, or 1.3% of the Group's regulatory capital.

The above impacts are calculated based on a static balance sheet, *i.e.* they do not capture the future production and the potential dynamic impact on the net banking income of the Group Crédit Agricole of a variation in interest rates.

b) The Crédit Agricole Group may generate lower revenues from its insurance, asset management, brokerage and other businesses during market downturns

Market downturns have in the past reduced the value of customer portfolios with members of the Crédit Agricole Group specialised in asset and wealth management and increased the amount of withdrawals, thus reducing Crédit Agricole Group's revenues from these businesses. Over the course of 2020, 10% and 7% of the revenues of the Crédit Agricole Group were generated from its asset and wealth management and insurance businesses, respectively. The Crédit Agricole Group is the leading insurer in France, through Crédit Agricole Assurances⁽³⁾. Amundi's assets under management amounted to €1.7 billion at the end of 2020 and Crédit Agricole Assurances's assets under management amounts to €308 billion at the end of 2020. Future downturns could have similar effects on the results and financial position of the Crédit Agricole Group.

In addition, financial and economic conditions affect the number and size of transactions for which the Crédit Agricole Group provides securities underwriting, financial advisory and other investment banking services. Revenues of the Crédit Agricole Group, which include fees from these services, are directly related to the number and size of the transactions in which the Crédit Agricole Group participates and can thus be significantly affected by market downturns. Moreover, because the fees that members of the Crédit Agricole Group charge for managing their customers'

portfolios are in many cases based on the value or performance of those portfolios, any market downturn that would reduce the value of the portfolios of Crédit Agricole Group customers, would reduce the revenues that Crédit Agricole Group members receive for these services.

Even in the absence of a market downturn, any below-market performance by Crédit Agricole Group mutual funds and life insurance products may result in increased withdrawals and reduced inflows, which would reduce revenues of the Crédit Agricole Group from its asset management and insurance businesses.

c) Adjustments to the carrying amount of securities and derivatives portfolios of the Crédit Agricole Group and Crédit Agricole Group's own debt could have an impact on its net income and shareholders' equity

The carrying amount of securities and derivatives portfolios of the Crédit Agricole Group and certain other assets, as well as that of its own debt in its balance sheet are adjusted as at each financial statement date. The carrying amount adjustments reflect, among other things, the credit risk inherent in the Crédit Agricole Group's own debt. Most of the adjustments are made on the basis of changes in fair value of the assets or liabilities of the Crédit Agricole Group during an accounting period, with the changes recorded either in the income statement or directly in shareholders' equity. Changes that are recognised in the income statement, to the extent not offset by opposite changes in the fair value of other assets, affect the consolidated net income of the Crédit Agricole Group. All fair value adjustments affect shareholders' equity and, as a result, the capital adequacy ratios of the Crédit Agricole Group. The fact that fair value adjustments are recognised in one accounting period does not mean that further adjustments will not be necessary in subsequent periods.

As at 31 December 2020, the gross outstanding debt securities held by Crédit Agricole Group were €162.9 billion. Accumulated impairments and reserves and negative fair value adjustments due to credit risk were €159 million.

d) The Crédit Agricole Group may suffer losses in connection with its holdings of equity securities

The value of the equity securities held by the Crédit Agricole Group may decline, resulting in losses for the Crédit Agricole Group. The Crédit Agricole Group bears the risk of a decline in value of equity securities in connection with its market-making and trading activities, mainly with respect to listed equity securities, in its private equity business, and in connection with transactions in which it acquires strategic equity investments in a company with a view to exercising control and influencing the management policies of the issuer. In the case of strategic equity investments, Crédit Agricole Group's degree of control may be limited, and any disagreement with other shareholders or with management may adversely impact the ability of the Crédit Agricole Group to influence the policies of the relevant entity. If the Crédit Agricole Group's equity securities decline in value significantly, the Crédit Agricole Group may be required to record fair value adjustments or recognise asset impairment charges in its consolidated financial statements, which could negatively impact its results of operations and financial position.

As at 31 December 2020, according to the balance sheet, the Crédit Agricole Group held close to €44.9 billion in equity instruments, of which €35.1 billion were recorded at fair value through profit or loss; €6.2 billion were held for trading purposes and €3.6 billion in equity instruments recognised at fair value through equity.

(1) Internal sources, ECO studies.

(2) Source: economic reports and Banque de France.

(3) Source: *L'Argus de l'assurance*.

- e) **The Crédit Agricole Group must ensure adequate asset-liability management in order to control the risk of loss. Nevertheless, prolonged market downturns could reduce liquidity, making it more difficult to sell assets and could result in significant losses**

The Crédit Agricole Group is exposed to the risk that the maturity, interest rate or currencies of its assets might not match those of its liabilities. The timing of payments on many of Crédit Agricole Group's assets is uncertain and, if the Crédit Agricole Group receives lower revenues than expected at a given time, it might require additional funding from the market in order to meet its obligations on its liabilities. While the Crédit Agricole Group imposes strict limits on the gaps between its assets and its liabilities as part of its risk management procedures, it cannot be certain that these limits will be fully effective to eliminate potential losses arising from asset and liability mismatches.

Crédit Agricole Group's objective in managing its liquidity is to be in a position to deal with any type of liquidity crisis situation over extended periods of time. As at 31 December 2020, Crédit Agricole Group's LCR (Liquidity Coverage Ratio - the prudential ratio to ensure the short-term resilience of the liquidity risk profile) was 178.5%⁽¹⁾, above the regulatory minimum of 100%, and greater than the goal of 110% under the Medium-Term Plan.

In some of the business activities of the Crédit Agricole Group, notably its market, asset management and insurance activities, it is possible that protracted market movements, particularly asset price declines, reduce the level of activity in the market or reduce market liquidity. Such developments can lead to material losses if the Crédit Agricole Group cannot close out its deteriorating positions in a timely manner. This may especially be the case for not very liquid assets held by the Crédit Agricole Group. Assets that are not traded on stock exchanges or other public trading markets, such as derivatives contracts between banks, may have values that the Crédit Agricole Group calculates using models other than publicly-quoted prices. Monitoring the deterioration of prices of assets like these is difficult and could lead to non-anticipated losses for the Crédit Agricole Group.

- f) **The Crédit Agricole Group is exposed to risks associated with changes in market prices and volatility with respect to a wide number of market parameters**

Crédit Agricole Group's businesses are materially affected by conditions in the financial markets, which in turn are impacted by current and anticipated future economic conditions in France, Europe and in the other regions around the world where the Crédit Agricole Group operates. Unfavourable changes in market conditions, economic conditions or the geopolitical context could put financial institutions to the test in the future by making the environment in which they operate more complex. The Crédit Agricole Group is therefore highly exposed to the following risks: fluctuations in interest rates, security prices, foreign exchange rates, the premium applied to its bond issues and the prices of oil, precious metals and other commodities.

For example, the Crédit Agricole Group is sensitive to the potential market volatility that would be generated by a concerted action of investors using social networking platforms to inflate the share price of certain issuers or commodities. Such activities, whether the Crédit Agricole S.A. share is the target or not, could create valuation uncertainty and unpredictable market conditions, and could adversely affect the

Crédit Agricole Group and its counterparties. If the financial conditions of the Crédit Agricole Group or its counterparties were to deteriorate, the Crédit Agricole Group could suffer losses

The Crédit Agricole Group uses a "Value at Risk" (VaR) model, detailed under risk management, to quantify its exposure to market risks. As at 31 December 2020, the VaR of the Group was €9 million.

It also carries out stress tests in order to quantify its potential exposure in extreme scenarios. However, these techniques rely on statistical methodologies based on historical observations, which may turn out to be unreliable indicators of future market conditions. Accordingly, Crédit Agricole Group's exposure to market risk in extreme scenarios could be greater than the exposures predicted by its quantification techniques.

The amount of risk-weighted assets (RWAs) relating to the market risk to which the Crédit Agricole Group is exposed was €10.0 billion as at 31 December 2020.

- g) **Future events could differ from the assumptions and estimates made by Crédit Agricole Group's Management in preparing the financial statements, which could result in unforeseen losses**

Under the IFRS standards and interpretations in effect as at 31 December 2020, the Crédit Agricole Group is required to use certain estimates in preparing its financial statements, including accounting estimates to determine loan loss impairment charges, reserves related to future litigation, and the fair value of certain assets and liabilities, among other items. Should the Crédit Agricole Group's determined values for such items prove substantially inaccurate, or if the methods by which such values were determined are revised in future IFRS standards or interpretations, the Crédit Agricole Group may experience unexpected losses.

- h) **The Crédit Agricole Group's hedging strategies may not prevent losses**

If any of the variety of instruments and strategies that the Crédit Agricole Group uses to hedge its exposure to various types of risk in its businesses are not effective, the Crédit Agricole Group may incur losses. Many of its strategies are based on historical trading patterns and correlations. For example, if the Crédit Agricole Group holds a long position in an asset, it may hedge that position by taking a short position in an asset where the short position has historically moved in a direction that would offset a change in the value of the long position. The Crédit Agricole Group may only be partially hedged, however, or these strategies may not be fully effective in mitigating its risk exposure in all market environments or against all types of risk in the future. Unexpected market developments may also reduce the effectiveness of Crédit Agricole Group's hedging strategies. In addition, the manner in which gains and losses resulting from certain ineffective hedges are recorded may result in additional volatility in the reported earnings of the Crédit Agricole Group.

3. Operational risks and associated risks

The operational risk of the Crédit Agricole Group includes non-compliance risk, legal risk and the risks generated by key outsourced services ("*prestations externalisées*"). Over the period from 2018 to 2020, operational risk incidents for Crédit Agricole Group were divided as follows: the "Implementation, delivery and process management" category represents 24% of the operational loss, the "Customers, products and business practices" category represents 21% of the operational loss, and the "External fraud" category represents 36%

(1) Year-end period.

of the operational loss. Other operational risk incidents can be broken down into employment and safety practice (8%), internal fraud (7%), business disruptions and system failures (3%).

In addition, the amount of risk-weighted assets (RWAs) relating to operational risk to which Crédit Agricole Group is exposed was €56.5 billion as at 31 December 2020.

a) The Crédit Agricole Group is exposed to internal and external risk of fraud

Fraud is defined as an intentional act carried out with the aim of obtaining a material or immaterial advantage to the detriment of a person or an organization perpetrated by violating laws, regulations or internal rules or by infringing the rights of others or by concealing all or part of an operation or set of operations or their characteristics.

At end-2020, the amount of proven fraud for the Crédit Agricole Group totalled €380 million (up 195% compared with 2019), including €342 million within the scope of Crédit Agricole S.A. and its subsidiaries. This change is linked to exceptional fraud cases within the scope of Crédit Agricole CIB and Amundi for €279.8 million (including €206.4 million in respect of credit border risk).

Excluding exceptional cases, the cost of fraud for the Crédit Agricole Group was €100.1 million in 2020 compared with €128.9 million in 2019, representing a drop of €28.8 million (-22%) despite the upsurge in fraudulent schemes, with in particular a significant increase in attempted payment fraud.

Consumer finance, retail banking in France (LCL + CR) and abroad account for 94% of the total fraud (excluding exceptional items).

Excluding exceptional items, the breakdown of fraud risks is as follows:

- **fraud in means of payment (electronic payment, transfers and checks):** 42%;
- **identity and documentary fraud:** 23%;
- **misappropriation/theft:** 13%;
- **PSA/NPAI:** 13%;
- **other types of fraud:** 9%.

In a context of increasing attempts at external fraud and of more complex operating methods (notably via cybercrime), the main challenges now lie in the proactivity of banking players. Fraud prevention thus aims to protect the interests of the Bank and protect customers. The consequences of these fraud risks could prove to be significant.

b) The Crédit Agricole Group is exposed to risks related to the security and reliability of its information systems and those of third parties

Technology is at the heart of the activity of banks in France, and the Crédit Agricole Group continues to deploy its multichannel model as part of a lasting relationship with its customers. In this context, the Crédit Agricole Group is subject to cyber risk, which is the risk caused by a malicious and/or fraudulent act, perpetrated digitally in an effort to manipulate data (personal, banking/insurance, technical or strategic data), processes and users, with the aim of causing material losses to companies, their employees, partners and customers. Cyber risk has become a top priority in the field of operational risks. A company's data assets are exposed to new, complex and evolving threats which could have material financial and reputational impacts on all companies, and specifically on banking institutions. Given the increasing sophistication of criminal enterprises behind cyber-attacks, regulatory and supervisory authorities have begun highlighting the importance of risk management in this area.

As with most other banks, the Crédit Agricole Group relies heavily on communications and information systems to conduct its business. Any failure or interruption or breach in security of these systems could result in failures or interruptions in its customer relationship management, general ledger, deposit, servicing and/or loan organisation systems. If, for example, the information systems of the Crédit Agricole Group failed, even for a short period of time, it would be unable for the Crédit Agricole Group to serve certain customers' needs in a timely manner, and thus business opportunities could be lost. Likewise, a temporary shutdown of the information systems of the Crédit Agricole Group, even though it has back-up recovery systems and contingency plans, could result in considerable costs required for information retrieval and verification. The Crédit Agricole Group cannot provide assurances that such failures or interruptions will not occur or, if they do occur, that they will be adequately addressed. The occurrence of any failures or interruptions could have an adverse effect on its financial position and results of operations.

The Crédit Agricole Group is also exposed to the risk of an operational failure or interruption of one of its clearing agents, foreign exchange markets, clearing houses, custodians or other financial intermediaries or external service providers that it uses to execute or facilitate its securities transactions. It is also at risk in case of a failure of an external information technology service provider, such as a cloud data storage company. As its interconnectivity with its customers grows, the Crédit Agricole Group may also become increasingly exposed to the risk of operational failure of its customers' information systems. The communications and information systems of the Crédit Agricole Group, and those of its customers, service providers and counterparties, may also be subject to failures or interruptions resulting from cybercrime or cyber terrorism. The Crédit Agricole Group cannot guarantee that failures or interruptions in its systems or in those of other parties will not occur or, if they do occur, that they will be adequately resolved. Over the period from 2018 to 2020, operational losses due to the risk of business disruptions and system failures accounted for 3% of operational losses.

c) Crédit Agricole Group's risk management policies, procedures and methods may leave it exposed to unidentified or unanticipated risks, which could lead to material losses

The risk management techniques and strategies of the Crédit Agricole Group may not be fully effective in mitigating its risk exposure in all types of market environments or against all types of risk, including risks that it fails to identify or anticipate. Furthermore, the risk management procedures and policies used by the Crédit Agricole Group do not guarantee effective risk reduction in all market configurations. These procedures may not be effective against certain risks, particularly those that the Crédit Agricole Group has not previously identified or anticipated. Some of the qualitative tools and metrics used by the Crédit Agricole Group for managing risk are based upon its use of observed historical market behaviour. The Crédit Agricole Group applies statistical and other tools to these observations to assess its risk exposures. The tools and metrics may fail to predict future risk exposures of the Crédit Agricole Group. These risk exposures could, for example, arise from factors it did not anticipate or correctly evaluate in its statistical models or from unprecedented market movements. This would limit its ability to manage its risks and affect its results. Crédit Agricole Group losses could therefore be significantly greater than those anticipated based on historical measures. In addition, certain of the processes that the Crédit Agricole Group uses to estimate risk exposure are based on both complex analysis and factors that could lead to uncertain assumptions.

1. Risk factors

Both qualitative and quantitative models used by the Crédit Agricole Group may not be comprehensive and could lead the Crédit Agricole Group to significant or unexpected losses. While no material issue has been identified to date, risk management systems are also subject to the risk of operational failure, including fraud.

As at 31 December 2020, Crédit Agricole Group had own capital requirements of €4.5 billion to cover the estimated loss relating to its operating risks.

d) Any damage to the reputation of the Crédit Agricole Group could have a negative impact on its business

The Crédit Agricole Group's business depends in large part on the maintenance of a strong reputation in compliance and ethics. If the Crédit Agricole Group were to become subject to legal proceedings or adverse publicity relating to compliance or similar issues, Crédit Agricole S.A.'s reputation could be affected, resulting in an adverse impact on its business. These issues include inappropriately dealing with potential conflicts of interest, legal and regulatory requirements, competition issues, ethics issues, money laundering laws, information security policies and sales and trading practices. The reputation of the Crédit Agricole Group could also be damaged by an employee's misconduct or fraud or embezzlement by financial intermediaries. Any damage to Crédit Agricole Group's reputation could lead to a loss of business that may impact its earnings and financial position. Failure to address these issues adequately could also give rise to additional legal risk, which might increase the number of litigation claims and expose the Crédit Agricole Group to fines or regulatory sanctions.

Reputational risk is a significant risk for the Crédit Agricole Group and is managed by the Crédit Agricole Group Compliance department, which notably ensures the prevention and control of the risks of non-compliance with, in this context, the prevention of money laundering, the fight against the financing of terrorism, the prevention of fraud and corruption, compliance with embargoes and the obligations to freeze assets.

e) The Crédit Agricole Group is exposed to the risk of paying higher compensation for damages or fines as a result of legal, arbitration or regulatory proceedings

The Crédit Agricole Group has in the past been, and may in the future be, subject to significant legal proceedings (including class action lawsuits), arbitrations and regulatory proceedings, including in particular group actions. When ruled adversely against the Crédit Agricole Group, these proceedings could result in awards of high damages, fines and penalties. Legal and regulatory proceedings to which the Crédit Agricole Group has been subject involve issues such as collusion with respect to the manipulation of market benchmarks, violation of international sanctions, inadequate controls and other matters. While the Crédit Agricole Group in many cases has substantial defences, even where the outcome of a legal or regulatory proceeding is ultimately favourable, the Crédit Agricole Group may incur substantial costs and have to devote substantial resources to defending its interests.

Organised as a business line, the Legal Affairs Department has two main objectives: to control legal risk, which can give rise to disputes and liabilities, whether civil, disciplinary or criminal, and to provide the legal support needed by entities to enable them to carry out their activities. At the end of 2020, provisions for legal risks amounted to €808 million, compared with €852 million at the end of 2019.

f) The international scope of Crédit Agricole Group's operations exposes it to legal and compliance risks

The international scope of the operations of the Crédit Agricole Group exposes it to risks inherent in foreign operations, including the need to comply with multiple and often complex laws and regulations applicable to activities in each of the countries where the Crédit Agricole Group is active, such as local banking laws and regulations, internal control and disclosure requirements, data privacy restrictions, European, U.S. and local anti-money laundering and anti-corruption laws and regulations, international sanctions and other rules and requirements. Violations of these laws and regulations could harm the reputation of the Crédit Agricole Group, result in litigation, civil or criminal penalties, or otherwise have a material adverse effect on its business.

To illustrate, in October 2015, Crédit Agricole S.A. and its subsidiary Crédit Agricole Corporate and Investment bank (Crédit Agricole CIB) reached agreements with the US federal and New York State authorities that had been conducting investigations regarding US dollar transactions with countries subject to US economic sanctions. The events covered by this agreement took place between 2003 and 2008. Crédit Agricole CIB and Crédit Agricole S.A., which cooperated with the US federal and New York State authorities in connection with their investigations, agreed to pay a total penalty amount of \$787.3 million (*i.e.* €692.7 million).

Despite the implementation and improvement of procedures designed to ensure compliance with these laws and regulations, there can be no assurance that all employees or contractors of the Crédit Agricole Group will follow its policies or that such programmes will be adequate to prevent all violations. It cannot be excluded that transactions in violation of Crédit Agricole Group policies may be identified, potentially resulting in penalties. The Crédit Agricole Group furthermore does not have direct or indirect majority voting control in certain entities with international operations, and in those cases its ability to require compliance with its policies and procedures may be even more limited.

At end-2020, the Crédit Agricole Group had operations in 48 countries. This includes the parent entity, its subsidiaries and their branches. It does not include held-for-sale and discontinued operations, nor any entities consolidated using the equity method. Note that at end-2020, 80% of revenues (excluding intercompany disposals) of the Crédit Agricole Group originated from its two main locations (France and Italy).

4. Risks relating to the environment in which the Crédit Agricole Group operates

a) The ongoing coronavirus (COVID-19) pandemic may negatively affect the business, operations and financial performance of the Crédit Agricole Group

In December 2019, a new coronavirus strain (COVID-19) appeared in China. The virus spread to many countries around the world, leading the World Health Organisation to describe the situation as a pandemic in March 2020. The pandemic has had, and is expected to continue to have, significant negative impacts on the world economy and financial markets.

The spread of COVID-19 and resulting government control and travel restrictions implemented around the world have caused disruption to global supply chains and economic activity. The outbreak has led to supply and demand shocks, resulting in a marked slowdown in economic activity, due to the impact of containment measures on consumption, as well as production difficulties, supply chain disruptions and a slowdown

of investment. Financial markets have been significantly impacted, with increased volatility, stock market indices declining precipitously, falls in commodity prices and credit spreads widening for many borrowers and issuers. The extent of the adverse impact of the pandemic on the global economy and markets over the long term will depend, in part, on its length and severity, and on the impact of governmental measures taken to limit the spread of the virus and its impact on the economy. For this reason, in December 2020 the French Ministry of the Economy and Finance revised its GDP growth forecasts for 2021 downwards to 5.0% versus 7.4% previously announced.

The pandemic and its impact on the global economy and financial markets have had and are likely to continue to have a material adverse impact on the results of the business lines and financial position of the Crédit Agricole Group. This impact included, and could include in the future: 1) a deterioration in Crédit Agricole Group's liquidity (affecting its short-term liquidity coverage ratio – LCR) due to various factors, including in particular an increase in corporate customer drawdowns on credit lines (the drawdown rate on RCF⁽¹⁾ lines increased from 15% to 32% between the end of February 2020 and the end of April 2020); 2) a decrease in revenues due notably to (a) a slowdown in production in activities such as real estate lending and consumer finance, (b) a decrease in revenues from fees and commissions, notably caused by lower asset management inflows and a drop in insurance and banking commissions, and (c) lower revenues in asset management and insurance; 3) an increase in the cost of risk due to a deterioration in the macroeconomic outlook, the granting of moratoria and, more generally, the deterioration in the repayment capacity of businesses and consumers; 4) increased risk of a ratings downgrade following the sector reviews of certain rating agencies and following internal reviews of Crédit Agricole Group models; and 5) higher risk-weighted assets (RWAs) due to the deterioration of risk parameters, which in turn could impact the capital position (in particular the solvency ratio) of the Crédit Agricole Group.

The health crisis and its consequences on the French, European and International economies have had an impact on the activity levels of the Group's various business lines. During the year 2020, several lockdowns were imposed in many countries around the world, notably in France and Italy, Crédit Agricole Group's two main domestic markets. This had the following consequences: 1) retail banking activities were strongly impacted by the lockdowns. As a result, the production of home loans in retail banking in France (LCL and Regional Banks) in 2020 was 96% of 2019 production, while CA Italia's production reached 102% of the 2019 production. Similarly, Crédit Agricole Consumer Finance consumer credit production in 2020 was 86% of its 2019 production, and CAL&F's leasing production was 98% of its 2019 production; 2) insurance activities were also impacted by the lockdowns. Due to savers' risk aversion in the context of volatile financial markets, total net inflows were +€1.0 billion, versus +€9.5 billion in 2019. New business in property and casualty insurance in 2020 reached 91% of 2019 production; 3) clients drew heavily on credit lines with drawdown rates of up to 32% during the second quarter of 2020. However, these drawdowns slowed from the end of June 2020.

The cost of risk was affected in 2020 by the deterioration in the repayment capacity of companies (fragile companies, frauds revealed by the crisis) and consumers, the downgrading of ratings of counterparties whose outstandings were downgraded from "Stage 1" to "Stage 2", the sensitivity of certain sectors, particularly (i) as a result of restrictions on movement or gatherings of people, *i.e.* air transport, cruises, catering,

international tourism, event planning, or (ii) in which the level of demand remains below normal for residential real estate (given the decline in investment volumes, the unfavourable impacts of the development of e-commerce and the widespread use of teleworking), or, lastly (iii) that remain fragile due to the weight of the global recession on demand, *i.e.* non-food retail. Moreover, the commercial property sector is a sector to watch, as the health crisis has accelerated pre-existing conditions in some segments, such as shopping malls being undermined by online shopping and the office building segment facing structural change if teleworking trends continue. At 31 December 2020, exposure to sectors considered "sensitive" was as follows: (a) aerospace, with EAD (Exposure at Default⁽²⁾) of €16.5 billion, of which 6.3% in default, (b) tourism, hotels, restaurants, with EAD of €12.0 billion, of which 3.7% in default, (c) non-food retail, with EAD of €19.0 billion, of which 4.2% in default, (d) automotive, with EAD of €26.3 billion, of which 0.9% in default, (e) shipping, with EAD of €13.4 billion, of which 5.1% in default, and (f) Oil & Gas, with EAD of €23.7 billion, of which 2.2% in default. Additional provisions have been made in 2020 for these sectors to take into account their increased sensitivity. In the fourth quarter of 2020, the economic scenarios, revised downwards in relation to the third quarter of 2020, also generated an additional burden of Stage 1 and Stage 2 cost of risk due in particular to a deterioration in GDP growth forecasts for 2021.

As a result, the underlying results for 2020 amounted to €6,129 million, down 14.8% compared to 2019, mainly explained by the increase in the cost of risk, +€1,895 million compared to 2019, reaching €3,651 million at the end of 2020.

The health crisis had a greater impact during the lockdown periods observed in France and Italy during the second and fourth quarters. In the second quarter: 1) retail banking activities were strongly impacted by the two months of lockdowns in France and Italy. Loan production was therefore down in the second quarter of 2020 at the Regional Banks (14.8% compared with the second quarter of 2019). At LCL, production of home loans was also down (9.8% compared to the second quarter 2019), and it was almost stable for CA Italia (0.8%). Similarly, consumer credit production at Crédit Agricole Consumer Finance recorded a 40% decline in the second quarter of 2020 compared with the second quarter of 2019. CAL&F also recorded a 23.9% decline in leasing production; 2) Insurance activities were also impacted by the lockdown. Total net inflows were negative at -€0.9 billion in the second quarter of 2020, and Property & Casualty revenues were slightly down by 0.9% in the second quarter of 2020 compared to the second quarter of 2019; 3) Corporate and Institutional activities remained dynamic in the second quarter of 2020, but customers drew heavily on credit lines.

In the fourth quarter of 2020, a new lockdown imposed in France as well as in various European countries, while having a less significant impact on the economy, had the following consequences for the Group Crédit Agricole:

1. activities related to retail banks were little affected through the production of loans to individuals (notably home loans and consumer finance). Indeed, for LCL and the Regional Banks, home loan production was stable in the fourth quarter of 2020, reaching 104% of home loan production over the same period in 2019. CAL&F recorded stable leasing production in the fourth quarter of 2020, at 101% of production in the fourth quarter of 2019. But for Crédit Agricole Consumer Finance, production of consumer loans in the

(1) Revolving Credit Facilities.

(2) Exposure at default: Crédit Agricole S.A.'s exposure in the event of counterparty default. The EAD includes on- and off-balance sheet exposures. Off-balance sheet exposures are converted into balance sheet equivalents using internal or regulatory conversion factors (draw-down scenarios).

1. Risk factors

fourth quarter of 2020 represented 97% of the production in the fourth quarter of 2019.

2. Insurance inflows remained stable, amounting to €1.0 billion in the fourth quarter of 2020 compared to €1.0 billion in the fourth quarter of 2019.

Uncertainties continue to weigh on developments in the health situation in Europe, with the introduction of new restrictive measures in France and other European countries (curfews, border closures, new lockdowns) and the emergence of variants of the virus. Additional measures are therefore likely to be deployed depending on the evolution of the pandemic. Although vaccines were announced at the end of 2020, and several countries have begun their phased roll-out, the timing of this process also remains highly uncertain, reducing visibility on the speed of the exit from the crisis. Finally, there is considerable uncertainty about the pace of development and implementation of the economic support measures of the governments (particularly the French and Italian States) and central banks (notably the European Central Bank).

Lastly, in terms of solvency, the main impact of the crisis on the CET1 ratio of the Crédit Agricole Group, in addition to a more modest level of retained earnings, was an increase in risk-weighted assets due to rating downgrades, mainly in corporate and investment banking (€5.4 billion in 2020). Crédit Agricole Group's fully loaded CET1 ratio had thus deteriorated at 31 March 2020 (15.5% versus 15.9% at 31 December 2019) before progressively going up again (15.8% as at 30 June 2020, 16.7% as at 30 September 2020, and 16.9% as at 31 December 2020). This increase is not in any way an indication of the level of the CET1 ratio over the next few quarters. In particular, there is still great uncertainty regarding the unemployment rate, the use of accumulated savings, the health scenario and the timetable of the deployment and then withdrawal of government measures, and, more generally, about the consequences of the economic growth trend on retained earnings, risk-weighted assets and regulatory decisions.

b) Adverse economic and financial conditions have in the past had and could in the future have an impact on the Crédit Agricole Group and the markets in which it operates

The businesses of the Crédit Agricole Group are specifically and significantly exposed to changes in the financial markets and, more in general, to the development of the economic conditions in France, Europe and the rest of the world. As detailed in the notes to the financial statements, the financial year ended 31 December 2020, 71% of Crédit Agricole Group revenues were generated in France, 9% in Italy, 12% in the rest of Europe and 8% in the rest of the world. A deterioration in economic conditions in the markets where the Crédit Agricole Group operates could have one or several of the following impacts:

- adverse economic conditions could affect the business and operations of customers of the Crédit Agricole Group, which could increase the rate of default on loans and other receivables;
- a decline in the prices of bonds, equities and commodities could impact a significant portion of the business of the Crédit Agricole Group, including in particular trading, investment banking and asset management revenues;
- macro-economic policies adopted in response to actual or anticipated economic conditions could have unintended effects, and are likely to impact market parameters such as interest rates and foreign exchange rates, which in turn could affect the businesses of the Crédit Agricole Group that are most exposed to market risk;

- perceived favourable economic conditions generally or in specific business sectors could result in asset price bubbles, which could in turn exacerbate the impact of corrections when conditions become less favourable;
- a significant economic disruption (such as the global financial crisis of 2008 or the European sovereign debt crisis of 2011) could have a severe impact on all of the activities of the Crédit Agricole Group particularly if the disruption is characterised by an absence of market liquidity that makes it difficult to sell certain categories of assets at their estimated market value or at all;
- greater uncertainty and significant market disruptions can increase volatility. This could have a material adverse effect on the Crédit Agricole Group's trading and investment activities in the debt, foreign exchange, commodities and equity markets and on its positions in other investments. In recent years, the financial markets have experienced major disruptions accompanied by high volatility, which could occur again, exposing the Crédit Agricole Group to significant losses. Such losses could extend to many of the trading and hedging instruments used by the Crédit Agricole Group, including swaps, forwards, futures, options and structured products. In addition, the volatility of the financial markets makes it difficult to anticipate trends and implement effective trading strategies.

In relation to this, in the current context of declining global growth in 2020 and very accommodative monetary policies, an additional deterioration in economic conditions would increase difficulties and the failures of businesses and the unemployment rate could start rising again, increasing the probability of customer default. The heightened uncertainty could have a strong negative impact on the valuation of risky assets, on the currencies of countries in difficulty, and on the price of commodities.

- A deterioration in the global landscape could lead to further easing of monetary policies, which combined with a revival risk aversion, would lead to prolonged maintenance of very low interest rates, at least in the core countries (including Germany and France).
- The global political and geopolitical context – more conflictual and tenser – induces greater uncertainty and increases the overall level of risk. That can result, in the event of rising tensions or the materialisation of latent risks, in some major market movements and can weigh on economies. Such risks include a trade war, Brexit, tensions in the Middle East, social or political crises, around the world, etc.
- In Italy, a political crisis, against the backdrop of already low growth and high public debt, would have a negative impact on confidence and the economy, and could also cause a rise in interest rates and in the cost of refinancing for the government and the banks. It could also lead to losses on the sovereign portfolios of banks and insurers. As an example, Crédit Agricole Group's exposure to Italy is €106 billion at end-December 2020 (Pillar 3), representing 7% of the all exposure of the Crédit Agricole Group.
- In France there could also be a significant drop in confidence in the event of a more marked deterioration in the social context which could lead households to consume less and save more as a precaution, and companies to delay investments, which could be harmful to growth and to the quality of private debt, which has increased more than in the rest of Europe.
- The very low level of interest rates leads investors, seeking yield, to move towards riskier assets and could lead to the formation of bubbles in financial assets and in certain real estate markets. It also leads private customers and governments to go into debt and debt levels are sometimes very high. This increases the risks in the event of a market downturn.

It is difficult to predict when economic or financial market downturns will occur, and which markets will be most significantly impacted. If economic or market conditions in France or elsewhere in Europe, or global markets more generally, were to deteriorate or become significantly more volatile, operations of the Crédit Agricole Group could be disrupted, and its business, results of operations and financial position could as a result experience a material adverse effect.

c) Crédit Agricole Group's profitability and financial position could be impacted by either the continuation or the end of the current low interest rate environment

In recent years, global markets have been characterised by low interest rates. If this low interest rate environment continues, Crédit Agricole Group's profitability could be materially affected. During periods of low interest rates, interest rate spreads tend to narrow, and the Crédit Agricole Group may be unable to lower funding costs sufficiently to offset reduced income from lending at lower market interest rates. Efforts to reduce the cost of deposits could be restricted by the prevalence, particularly in Crédit Agricole Group's home market of France, of regulated savings products (such as the home savings plan (*Plan d'Épargne Logement* – PEL)) with interest rates set above current market levels. Low interest rates may also negatively affect the profitability of the insurance activities of the members of the Crédit Agricole Group, which may not be able to generate an investment return sufficient to cover amounts paid out on some of their insurance products.

Over 2020, the share of the insurance business in the revenues of the Crédit Agricole Group was 7%. Low interest rates may also affect commissions charged by the members of the Crédit Agricole Group specialised in the management of money market assets and other fixed income products. Over 2020, the share of the asset management business in the revenues of the Crédit Agricole Group was 8%. In addition, given lower interest rates, the members of the Crédit Agricole Group have experienced an increase in early repayment and refinancing of mortgages and other fixed-rate consumer and corporate loans as customers look to take advantage of lower borrowing costs. At 31 December 2020, the Crédit Agricole Group's outstanding home loans in France were €427 billion. If interest rates remain low, a similar trend of early repayments could occur again. This, along with the issuance of new loans at the low prevailing market interest rates, could result in an overall decrease in the average interest rate of loan books. A reduction in credit spreads and a decline in retail banking revenues resulting from lower portfolio interest rates could have a material adverse effect on the profitability of the retail banking operations of the affiliated members of the Crédit Agricole Group and the overall financial position of the Crédit Agricole Group.

A persisting low interest rate environment can also have the effect of flattening the yield curve in the market more generally, which could reduce the revenues generated by the financing activities of the Crédit Agricole Group and each of its members and have a negative effect on their profitability and financial position. A flattening yield curve can also influence financial institutions to engage in riskier activities in an effort to earn the desired level of returns, which can increase overall market risk and volatility. Crédit Agricole Group's operations could as a result be significantly disrupted, and, consequently, its business, profits and financial position could experience a material adverse effect.

On the other hand, the end of a period of prolonged low interest rates carries risks. If market interest rates were to rise, a portfolio featuring significant amounts of lower interest loans and fixed income assets as

a result of an extended period of low interest rates would be expected to decline in value. If the hedging strategies of the Crédit Agricole Group are ineffective or provide only a partial hedge against such a change in value, the Crédit Agricole Group could incur significant losses. Moreover, any rate increase that is sharper or more rapid than expected could threaten economic growth in the European Union, the United States and elsewhere. With respect to the loans granted by the Crédit Agricole Group, this could test the resistance of the loan and bond portfolios, which could lead to an increase in doubtful loans and defaults. More generally, the ending of accommodative monetary policies may lead to severe corrections in certain markets or assets (e.g., non-investment grade corporate and sovereign borrowers, certain sectors of equities and real estate) that particularly benefited from the prolonged low interest rate and high liquidity environment. Such corrections could potentially be contagious to financial markets generally, including through substantially increased volatility. Crédit Agricole Group's operations could as a result be significantly disrupted, and, consequently, its business, profits and financial position could experience a material adverse effect.

d) The Crédit Agricole Group operates in a highly regulated environment, and its profitability and financial position could be significantly impacted by ongoing legal and regulatory changes

The Crédit Agricole Group is subject to a variety of regulatory and supervisory regimes in each of the jurisdictions in which the Group operates, in particular France, Europe and the United States.

To illustrate, such regulations pertain to, in particular:

- regulatory and prudential requirements applicable to credit institutions, including prudential rules in terms of adequacy and minimum capital and liquidity requirements, risk diversification, governance, restrictions in terms of equity investments and remunerations as defined in particular by Regulation (EU) No. 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms (as amended, in particular, by Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 and by Regulation (EU) 2020/873 of the European Parliament and the Council of 24 June 2020) and Directive 2013/36/EU of the European Parliament and of the Council of 26 June 2013 on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms as transposed into domestic law (as modified by the Directive (EU) 2019/878 of the European Parliament and of the Council of 20 May 2019); under these regulations, credit institutions such as Crédit Agricole Group must meet the requirements regarding minimum capital ratio, risk diversification and liquidity, monetary policy, reporting/disclosures, as well as restrictions on equity investments. As at 31 December 2020, the fully loaded core Tier 1 ratio (CET1) of the Crédit Agricole Group was 16.9% and the total fully loaded ratio of the Crédit Agricole Group was 20.4%;
- the rules applicable to bank recovery and resolution transposing into domestic law the provisions of Directive 2014/59/EU of the European Parliament and of the Council of 15 May 2014 establishing a framework for the recovery and resolution of credit institutions and investment firms, as amended by Directive (EU) 2019/879 of the European Parliament and of the Council of 20 May 2019 as regards the loss-absorbing and recapitalisation capacity of credit institutions and investment firms (the "BRRD"); in particular, the Crédit Agricole Group is placed under the supervision of the ECB to which a Crédit Agricole Group recovery plan is submitted each year in accordance

with the applicable regulations (for more information, see the “Risk Management” section of Amendment A01 of the 2020 Universal registration document). In addition, the contribution of the Crédit Agricole Group to the annual financing of the Single Resolution Fund can be significant. Thus, in 2020, the contribution of the Crédit Agricole Group to the SRF showed a net increase, to €139 million, or +32% compared to 2019, concentrated in the first two quarters of 2019 and 2020;

- the regulations applicable to financial instruments (including shares and other securities issued by Crédit Agricole S.A.), as well as the rules relating to financial reporting, information disclosure and market abuse (Regulations (EU) No. 596/2014 of the European Parliament and of the Council of 16 April 2014 on market abuse), which in particular increase the obligations of Crédit Agricole Group in terms of transparency and reporting;
- monetary, liquidity, interest rate and other policies of central banks and regulatory authorities;
- the regulations governing certain types of transactions and investments, such as derivatives and financing operations on securities and money market funds (Regulation (EU) No. 648/2012 of the European Parliament and of the Council of 4 July 2012 over-the-counter derivatives, central counterparties and trade repositories);
- regulations of market infrastructures, such as trading platforms, central counterparties, central securities depositories and securities settlement systems;
- tax and accounting legislation in the jurisdictions where Crédit Agricole Group operates, as well as the rules and procedures relating to internal control, risk management and compliance.

As a result of some of these measures, the Crédit Agricole Group was notably forced to reduce the size of some of its activities in order to comply with the new requirements created by them. These measures have also increased compliance costs and it is likely that they will continue to do so. In addition, some of these measures may also significantly increase the Crédit Agricole Group's funding costs, particularly by requiring the Crédit Agricole Group to increase the portion of its funding consisting of capital and subordinated debt, which carry higher costs than senior debt instruments.

Failure to comply with these regulations could have significant consequences for the Crédit Agricole Group: significant intervention by regulatory authorities and fines, international sanctions, public reprimand, reputational damage, enforced suspension of operations or, in extreme cases, withdrawal of authorisation to operate. Moreover, regulatory constraints could significantly limit the ability of the Crédit Agricole Group to expand its business or to pursue certain existing activities.

In addition, legislative and regulatory measures have entered into force in recent years or may be adopted or modified to introduce or strengthen a number of changes, some of which are permanent, in the overall financial environment. Although these new measures are intended to prevent the occurrence of a new global financial crisis, they have significantly changed, and are likely to continue to change, the environment in which the Crédit Agricole Group and other financial institutions operate. The measures that have been or may be adopted include more stringent capital and liquidity requirements (particularly for large global institutions and groups such as the Crédit Agricole Group), tax on financial transactions, caps or tax on employee compensation over specified levels, limits on the types of activities that commercial

banks can undertake (particularly proprietary trading and investment and ownership in private equity funds and hedge funds), ring-fencing requirements relating to certain activities, restrictions on the types of entities permitted to conduct swaps activities, restrictions on certain types of activities or financial products such as derivatives, mandatory write-downs or conversions into equity of certain debt instruments, enhanced recovery and resolution regimes, revised risk-weighting methodologies (particularly with respect to insurance businesses), periodic stress testing and the creation of new and strengthened regulatory bodies.

- Some of the new measures adopted after the financial crisis may soon be modified, affecting the predictability of the regulatory regimes to which the Crédit Agricole Group is subject and requiring rapid implementation likely to mobilise significant resources within the Crédit Agricole Group. Moreover, the adoption of these new measures could increase the constraints on the Crédit Agricole Group and require a strengthening of actions carried out by the Crédit Agricole Group presented above in response to the existing regulatory context.
- In addition, the general political environment has evolved unfavourably for banks and the financial industry, resulting in additional pressure on legislative and regulatory bodies to adopt more stringent regulatory measures, despite the fact that these measures can have adverse consequences on lending and other financial activities, and on the economy.

Given the continuing uncertainty linked to new legislative and regulatory measures, the scale and scope of which are largely unpredictable, it is impossible to predict their real impact on the Crédit Agricole Group, but its impact could be very significant.

Moreover, some regulatory adjustments and new regulations (as well as the postponement in the application date of certain rules, regarding, notably prudential requirements) were implemented by the national and European authorities during the first half-year 2020 in the context of the COVID-19 health crisis. The permanent or temporary nature of these adjustments and novelties, as well as changes in the regulation in relation with the health crisis, are still uncertain: it is thus impossible to determine or measure their impact on the Crédit Agricole Group.

5. Risk related to the strategy and transactions of the Crédit Agricole Group

a) The Crédit Agricole Group may not achieve the targets set out in its Medium-Term Plan

On 6 June 2019, the Crédit Agricole Group announced its Medium-Term Plan up to 2022 (the “Medium-Term Plan”). The Medium-Term Plan provides several initiatives, including a strategic ambition based on three pillars (i) growth in all Crédit Agricole Group markets, with the objective of being first in customer acquisition, (ii) revenue synergies to reach €10 billion in 2022, and (iii) technological transformation to increase the efficiency of cumulative IT spending by €15 billion over four years.

The Crédit Agricole Group has thus committed to a global approach to its Corporate Social Responsibility (CSR) policy in the Medium-Term Plan, including the financing of one out of three renewable energy projects in France; as well as the aspiration of developing a range of green leasing products, doubling the size of the green loan portfolio to €13 billion of outstanding loans; strengthening the Green Liquidity Factor mechanism

within Crédit Agricole Group; the attribution of a transition rating to each large corporate customer; the incorporation of Environmental, Social and Governance (ESG) criteria in 100% of financing to large corporates and gradually to SMEs; and, lastly, aligning the sector policy with the Paris Climate Agreement (programmed exit of thermal coal in the EU and OECD, with a threshold of 25% as from 2019).

The Medium-Term Plan also includes a number of financial targets, relating notably to revenues, expenses, net income and capital adequacy ratios. These financial targets were established primarily for purposes of internal planning and allocation of resources, and are based on a number of assumptions with regard to the economic climate and the activity of the business lines of the Crédit Agricole Group. The financial targets do not constitute projections or forecasts of anticipated results. The actual results of the Crédit Agricole Group are likely to vary (and could vary significantly) from these targets for a number of reasons, including the materialisation of one or more of the risk factors described elsewhere in this section. For example, the Crédit Agricole Group expects to have a solvency ratio of over 16% for its core Tier 1 capital ratio (CET1).

The plan's success depends on a very large number of initiatives (both significant and modest in scope) within different entities of the Crédit Agricole Group. While many of these could be successful, it is unlikely that all targets will be met, and it is not possible to predict which objectives will and will not be achieved. The Medium-Term Plan also provides for significant investments, but if the objectives of the plan are not met, the return on these investments will be less than expected.

If the Crédit Agricole Group fails to achieve the targets of its Medium-Term Plan, its financial position and results of operations could be materially adversely affected.

b) Claims made against subsidiaries of the Crédit Agricole Group in the exercise of their insurance activities could be inconsistent with the assumptions they use to price their insurance products and the fees for obligations related to claims experience and technical reserves

Revenues from the insurance activities of Crédit Agricole Group members specialised in this field depend significantly upon the extent to which the actual claims experience is consistent with the assumptions they use in setting the prices for their products and establishing technical provisions. Crédit Agricole Assurances uses both its own empirical analysis and industry data to develop its products and estimate future policy benefits, including information used in pricing the insurance products and establishing the related actuarial liabilities. However, there can be no assurance that the claims experience is not higher than the assumptions used for pricing and provisioning, and unanticipated risks such as pandemic diseases or natural disasters could result in loss experience inconsistent with the relevant assumptions related to the pricing of these products and the establishment of reserves. To the extent that the actual claims paid by Crédit Agricole Assurances to policyholders are higher than the underlying assumptions used in initially establishing the future policy reserves, or if events or trends cause Crédit Agricole Assurances to change the underlying assumptions, Crédit Agricole Assurances may be exposed to greater than expected liabilities, which may significantly adversely affect Crédit Agricole Group's insurance business, results of operations and financial position.

Crédit Agricole Assurances continues to adapt its strategy to the low interest rate environment, in particular by strengthening its policy of redirecting funds to unit-linked (UL) policies and by increasing its profit-sharing reserves (*provision pour participation aux excédents* – PPE), which was €11.6 billion at 31 December 2020 (compared with €10.8 billion at 31 December 2019), i.e. 5.6% of outstanding euro-denominated policies, which represents several years of rates provided to policyholders (based

on the rates provided in 2019 and 2020) and which constitutes a level of coverage higher than the market average in France. Moreover, the unit-linked (UL) portion in receivables of Crédit Agricole Assurances reached 24.2% at 31 December 2020, up 1.4 point year-on-year. In Property and Casualty Insurance the combined ratio remained well under control. It was up by 1.7 percentage points compared with 31 December 2019 to 97.6% and includes the cost of the mutual and voluntary support system for the business interruption guarantee. Finally, Crédit Agricole Assurances maintains a high level of solvency, posting a ratio of 227% at 31 December 2020.

c) Adverse events may affect several of the Crédit Agricole Group's businesses simultaneously

While each of the principal activities of the Crédit Agricole Group are subject to risks specific to them and are subject to different market cycles, it is possible that adverse events could affect several of the activities of the Crédit Agricole Group at the same time. For instance, a decrease in interest rates could simultaneously impact the interest margin on loans, the yield and therefore the commission earned on asset management products, and the returns on investments of the insurance subsidiaries. In such event, the Crédit Agricole Group might not realise the benefits that it otherwise would hope to achieve through the diversification of its activities. For example, adverse macroeconomic conditions could impact the Crédit Agricole Group in multiple ways, by increasing default risk in its lending activities, causing a decline in the value of its securities portfolios and reducing revenues in Crédit Agricole S.A.'s commission-generating activities. Where an event adversely affects multiple activities, the impact on the result and financial position of the Crédit Agricole Group is all the more important.

d) The Crédit Agricole Group is subject to risks associated with climate change

While the activities of the Crédit Agricole Group generally are not exposed directly to climate change risks, the Crédit Agricole Group is subject to a number of indirect risks that could have a significant impact. Climate change risks are indeed risk factors influencing existing risks, in particular counterparty risk. For instance, when the Crédit Agricole Group lends to businesses that conduct activities that produce greenhouse gases, it is subject to the risk that more stringent regulations or limitations may be imposed on its borrower, which could have a material adverse impact on the borrower's credit quality, reducing the value of the Crédit Agricole Group loan portfolio. These risks can also be related to physical risks – such as natural disasters – negatively impacting the Group Crédit Agricole's counterparties in their activities. As the constraints of the transition accelerate to address climate change, as well strong climate phenomena accelerate, the Crédit Agricole Group must adapt its activities appropriately in order to achieve its strategic objectives and avoid suffering losses.

With the Medium-Term Plan and its climate strategy, the Crédit Agricole Group is committed to completely moving away from thermal coal by 2030, in the European Union and OECD countries, and by 2040 in the rest of the world.

e) The Crédit Agricole Group, along with its corporate and investment banking subsidiary, must maintain high credit ratings, or their business and profitability could be adversely affected

Credit ratings have an important impact on the liquidity of the Crédit Agricole Group and of each of its individual members that operate in financial markets (principally its corporate and investment banking subsidiary, Crédit Agricole CIB). A downgrade in credit ratings could

adversely affect the liquidity and competitive position of the Crédit Agricole Group or Crédit Agricole CIB, increase borrowing costs, limit access to the capital markets, trigger obligations in Crédit Agricole Group's hedged bond program or under certain bilateral provisions in some trading, derivative and collateralised financing contracts, or adversely affect the market value of the bonds.

Crédit Agricole Group's cost of obtaining long-term unsecured funding from market investors, and that of Crédit Agricole CIB, is directly related to their credit spreads (the amount in excess of the interest rate of government securities of the same maturity that is paid to debt investors), which in turn depend to a certain extent on their credit ratings. Increases in credit spreads can significantly increase Crédit Agricole Group's or Crédit Agricole CIB's cost of funding. Changes in credit spreads are continuous, market-driven, and subject at times to unpredictable and highly volatile movements. Credit spreads are also influenced by the market's perception of the issuer's creditworthiness. In addition, credit spreads may be influenced by movements in the acquisition cost of credit default swaps indexed to Crédit Agricole Group's or Crédit Agricole CIB's debt securities, which are influenced both by the credit quality of those securities, and by a number of market factors that are beyond the control of the Crédit Agricole Group and Crédit Agricole CIB.

Of the three rating agencies solicited by the Crédit Agricole Group, according to Moody's the outlook is stable, while S&P Global Ratings and Fitch Ratings modified their outlook to negative due to uncertainty about the economic and financial repercussions of the health crisis. Credit Agricole Group's ratings according to Moody's, S&P Global Ratings and Fitch Ratings are Aa3, A+ and A+, respectively.

f) The Crédit Agricole Group faces intense competition

The Crédit Agricole Group faces intense competition in all financial services markets and for the products and services it offers, including retail banking services. To illustrate, the French Regional Banks will have a market share of over 23%⁽¹⁾ (source: Banque de France, September 2020). The European financial services markets are mature, and the demand for financial services products is, to some extent, related to overall economic development. Competition in this environment is based on many factors, including the products and services offered, pricing, distribution systems, customer service, brand recognition, perceived financial strength and the willingness to use capital to serve customer needs. Consolidation has created a number of firms that, like the Crédit Agricole Group, have the ability to offer a wide range of products, from insurance, loans and deposit taking to brokerage, investment banking and asset management services.

In addition, new rivals that are more competitive (including those utilising innovative technology solutions), which may be subject to separate or more flexible regulation, or other requirements relating to prudential ratios, are also emerging in the market. Technological advances and the growth of e-commerce have made it possible for non-bank institutions to offer products and services that traditionally were banking products, and for financial institutions and other companies to provide electronic and Internet-based financial solutions, including electronic securities trading. These new players exert downward price pressure on Crédit Agricole Group products and services and can succeed in winning market share in areas that have been historically stable and dominated by traditional financial institutions. In addition, new applications, particularly in payment processing and retail banking, new currencies, such as bitcoin, and new

technologies facilitating transaction processing, such as blockchain, have been gradually transforming the financial sector and the ways in which customers consume banking services. It is difficult to predict the effects of the emergence of such new technologies, for which the regulatory framework is still being defined, but their increased use may transform the competitive landscape of the banking and financial industry. The Crédit Agricole Group must therefore strive to maintain its competitiveness in France and in the other major markets in which it operates by adapting its systems and strengthening its technological footprint to maintain its current market share and level of results.

6. Risks related to the structure of Crédit Agricole Group

a) If any member of the Crédit Agricole Network encounters future financial difficulties, Crédit Agricole S.A. would be required to mobilise the resources of the Crédit Agricole Network (including its own resources) to support such member

Crédit Agricole S.A. is the corporate centre of the Crédit Agricole Network, consisting of Crédit Agricole S.A., the Regional Banks and the Local Banks, pursuant to Article R. 512-18 of the French Monetary and Financial Code, as well as of the affiliate members Crédit Agricole Corporate and Investment bank and Bforbank (the "Network").

Under the legal internal financial solidarity mechanism enshrined in Article L. 511-31 of the French Monetary and Financial Code (CMF), Crédit Agricole S.A. as the corporate centre must take all measures necessary to ensure the liquidity and solvency of each institution member of the Network, as well as the Network as a whole. As a result, each member of the Network benefits from and contributes to this internal financial solidarity. The general provisions of the French Monetary and Financial Code are transposed into internal provisions setting out the operational measures required for this legal mechanism for internal financial solidarity. More specifically, they have established a Fund for bank liquidity and solvency risks (*Fonds pour risques bancaires de liquidité et de solvabilité* – FRBLS) designed to enable Crédit Agricole S.A. to fulfil its role as corporate centre by providing assistance to any Network member that may be experiencing difficulties.

Although Crédit Agricole S.A. is not currently aware of circumstances likely to require recourse to the FRBLS to support a member of the Network, there can be no assurance that it will not be necessary to use the Fund in future. In such a case, if the resources of the FRBLS were to be insufficient, Crédit Agricole S.A., under its tasks as corporate centre, will be required to make up the shortfall by mobilising its own resources and, where appropriate, those of the other members of the Network.

As a result of this obligation, if a member of the Network were to face major financial difficulties, the event underlying these financial difficulties could impact the financial position of Crédit Agricole S.A. and that of the other members of the Network that are relied upon for support under the financial solidarity mechanism.

The European banking crisis management framework was adopted in 2014 by EU Directive 2014/59 (known as the "Bank Recovery and Resolution Directive — BRRD"), incorporated into French law by Order 2015-1024 of 20 August 2015, which also adapted French law

(1) This market share applies to household bank deposits and household loans (source: Banque de France, September 2020).

to the provisions of European Regulation 806/2014 of 15 July 2014 establishing uniform rules and a uniform procedure for the resolution of credit institutions and certain investment firms in the framework of a Single Resolution Mechanism and a Single Resolution Fund. Directive (EU) 2017/89 of 20 May 2017, known as “BRRD2”, amended the BRRD and was incorporated into French law by Order 2020-1636 of 21 December 2020.

This framework, which includes measures to prevent and to resolve banking crises, is intended to preserve financial stability, to ensure the continuity of activities, services and operations of institutions whose failure could significantly impact the economy, to protect depositors, and to avoid or limit the use of public financial support as much as possible. In this context, the European Resolution Authorities, including the Single Resolution Board, have been granted extensive powers to take all necessary measures in connection with the resolution of all or part of a credit institution or the group to which it belongs.

For cooperative banking groups, the “extended single point of entry” (“extended SPE”) resolution strategy is favoured by the resolution authorities, whereby resolution tools would be applied simultaneously at the level of Crédit Agricole S.A. and the affiliated entities. In this respect, and in the event of a resolution of the Crédit Agricole Group, the scope comprising Crédit Agricole S.A. (in its capacity as the corporate centre) and its affiliated entities would be considered as a whole as the expanded single entry point. Given the foregoing and the solidarity mechanisms that exist within the network, a member of the Crédit Agricole network cannot be put individually in resolution.

The resolution authorities may initiate resolution proceedings against a credit institution where it considers that: the institution has failed or is likely to fail, there is no reasonable prospect that another private measure will prevent the failure within a reasonable time, a resolution measure is necessary, and a liquidation procedure would be inadequate to achieve the resolution objectives mentioned above.

The resolution authorities may use one or more resolution tools, as described below, with the objective of recapitalising or restoring the viability of the institution. The resolution tools should be implemented in such a way that equity holders (shares, mutual shares, CCIs, CCAs) bear losses first, with creditors following up immediately, provided that they are not excluded from bail-in legally speaking or by a decision of the resolution authorities. French law also provides for a protective measure when certain resolution tools or decisions are implemented, such as the principle that equity holders and creditors of an institution in resolution may not incur greater losses than those they would have incurred if the institution had been liquidated in the context of a judicial liquidation procedure under the French Commercial Code (NCWOL principle referred to in Article L. 613-57-I of the French Monetary and Financial Code). Thus, investors are entitled to claim compensation if the treatment they receive in a resolution is less favourable than the treatment they would have received if the institution had been subject to normal insolvency proceedings.

In the event that the resolution authorities decide to put the Crédit Agricole Group in resolution, they will first write down the CET1 instruments (shares, mutual shares, CCI and CCA), additional Tier 1 instruments, and Tier 2 instruments, in order to absorb losses, and then possibly convert the additional Tier 1 instruments and Tier 2⁽¹⁾ instruments into equity securities. Then, if the resolution authorities decide to use the bail-in tool, the latter would be applied to debt instruments⁽²⁾, resulting in the partial or total write-down of these instruments or their conversion into equity in order to absorb losses.

With respect to the corporate centre and all affiliated entities, the resolution authorities may decide to implement, in a coordinated manner, impairment or conversion measures and, where applicable, internal bailouts. In such an event, the impairment or conversion measures and, where applicable, internal bailout measures would apply to all entities within the Crédit Agricole network, regardless of the entity in question and regardless of the origin of the losses.

The creditor hierarchy in resolution is defined by the provisions of Article L. 613-55-5 of the French Monetary and Financial Code, effective as at the date of implementation of the resolution.

Equity holders and creditors of the same rank or with identical rights in liquidation will then be treated equally, regardless of the Group entity of which they are creditors.

The scope of this bail-in, which also aims to recapitalise the Crédit Agricole Group, is based on capital requirements at the consolidated level.

Investors must then be aware that there is therefore a significant risk that holders of shares, mutual shares, CCI and CCA non-voting certificates and holders of debt instruments of a member of the network will lose all or part of their investment if a resolution procedure is implemented on the Group, regardless of the entity of which they are a creditor.

The other resolution tools available to the resolution authorities are essentially the total or partial transfer of the activities of the institution to a third party or to a bridge institution and the separation of the assets of the institution.

This resolution framework does not affect the legal internal financial solidarity mechanism enshrined in Article L. 511-31 of the French Monetary and Financial Code, which applies to the Crédit Agricole network, as defined in Article R. 512-18 of the same Code. Crédit Agricole S.A. considers that, in practice, this mechanism should be implemented prior to any resolution procedure.

The implementation of a resolution procedure to the Crédit Agricole Group would thus mean that the legal internal solidarity mechanism had failed to remedy the failure of one or more network entities, and hence of the network as a whole.

b) The practical advantage of the 1988 Guarantee issued by the Regional Banks may be limited by the implementation of the resolution regime that would apply prior to liquidation

The resolution regime provided for by the BRRD could limit the practical effect of the **1988 Guarantee** (as defined below) on the Regional Banks.

This resolution regime does not affect the legal internal financial solidarity mechanism provided for under Article L. 511-31 of the French Monetary and Financial Code, which applies to the Crédit Agricole Network (as defined in French law) and its affiliated members. This mechanism must be applied prior to any resolution action.

However, the application to Crédit Agricole Group of resolution procedures could limit the occurrence of the conditions for implementing the 1988 Guarantee, it being specified that the 1988 Guarantee can only be called if Crédit Agricole S.A. assets prove to be insufficient to cover its obligations at the end of its liquidation or dissolution. Due to this limitation, bondholders and creditors of Crédit Agricole S.A. may not be able to benefit from the protection afforded by the 1988 Guarantee.

(1) Articles L. 613-48 and L. 613-48-3 of the French Monetary and Financial Code.

(2) Articles L. 613-55 and L. 613-55-1 of the French Monetary and Financial Code.

2. RISK MANAGEMENT

This section of the management report presents the Group's risk appetite, the nature of the main risks to which the Group is exposed, their magnitude and the measures implemented to manage them.

The information presented under IFRS 7 on financial instrument disclosures covers the following main types of risks⁽¹⁾:

- credit risks;
- market risks;
- structural balance sheet risks: global interest rate risk, foreign exchange risk and liquidity risk, including risks associated with the insurance industry.

In order to cover all risks inherent in the banking business, additional information is provided concerning:

- operational risks;
- non-compliance risks.

In accordance with legislation and best business practices, risk management within Crédit Agricole S.A. is reflected by a form of governance in which the roles and responsibilities of each individual are clearly identified, as well as by effective and reliable risk management methodologies and procedures which make it possible to measure, monitor and manage all the risks to which the Group is exposed.

2.1 RISK APPETITE, GOVERNANCE AND ORGANISATION OF RISK MANAGEMENT

Concise statement on risks

(Statement prepared in compliance with Article 435(1)(f) of Regulation (EU) No. 575/2013)

The Board of Directors of the Crédit Agricole Group makes a formal statement every year regarding its risk appetite. The Group's risk appetite statement is drawn up in line with the risk identification process. The statement is an integral and strategic part of the governance framework which covers strategy, business targets, risk management and global financial management for the Group. The strategic orientations of the Medium-Term Plan, the Risk Appetite Statement, the budgetary process and the allocation of resources to the business lines are mutually coherent.

The Risk Appetite of the Crédit Agricole Group is the type and aggregate amount of risk that the Group is ready to take on, in the framework of its strategic targets.

The Group's risk appetite is determined by particular reference to the financial policy and the risk management policy, which are based on:

- a policy of selective and responsible financing that takes account of a prudent lending policy framed by the risks strategy, the corporate social responsibility policy and the authorisation system;
- the objective of keeping market risk exposure low;
- the strict management of operational risk exposure;
- limits on non-compliance risk to exposures, which are strictly managed;
- management of the growth of risk-weighted assets;
- management of risks related to asset and liability management.

The formal definition of risk appetite allows Executive Management and the Board of Directors to define the Group's development direction consistent with the Medium-Term Plan and translate it into operational strategies. This results in a consistent approach shared by the Strategy, Finance, Risk and Compliance departments.

The Risk Appetite Statement is coordinated with the Operational departments of the various entities and aims to:

- engage Directors and senior Management in reflection and dialogue on risk taking;

- formalise, standardise and make explicit the acceptable level of risk for a given strategy;
- fully integrate risk/return considerations into the strategic planning and decision-making processes;
- define advance indicators and alert thresholds so that Management can anticipate excessive deteriorations in strategic indicators and improve resilience by taking action as soon as alerts for risk appetite standards are triggered;
- improve external communications to third parties on financial strength and risk management.

The Group's risk appetite is defined through:

- **key indicators:**
 - **Crédit Agricole S.A.'s external rating**, which has a direct impact on refinancing terms, the Group's image in the market and the price of its securities,
 - **solvency** which guarantees the Group's sustainability by ensuring it has sufficient capital to back the risks it is taking on,
 - **liquidity**, the management of which aims to prevent the Group's sources of finances drying up with the consequent threat of default on payments, or even resolution,
 - **business risk** which provides a measure of progress towards the strategy laid down by the Group, thereby guaranteeing its long-term survival,
 - **profit**, because the direct source of future solvency and shareholder dividends and therefore a key part of the Group's financial communications,
 - **credit risk** of the Crédit Agricole Group, which constitutes its main risk;
- **limits, alert thresholds and risk envelopes** defined in line with these indicators: credit, market, interest rate and operational risks;
- **qualitative priorities**, inherent to the Group's strategy and businesses, essentially looking at risks that are not currently quantified. The qualitative criteria are largely based on the Corporate Social Responsibility (CSR) policy of the Company, which embodies the Group's concern with supporting sustainable development and controlling all risks including non-financial risks.

(1) These disclosures are an integral part of the consolidated financial statements as at 31 December 2018 and, as such, are covered by the Statutory Auditors' report.

The key indicators reflect three levels of risk:

- **appetite** is used for managing normal everyday risk. It is expressed in budget targets framed by operational limits, any breach of which is immediately flagged up to Executive Management, which decides on corrective action;
- **tolerance** is used for exceptional management of a deteriorated level of risk. Breach of tolerance thresholds in key indicators or limits triggers an immediate report to the Chairman of the Risk Management Committee, which is then, if necessary, referred up to the Board of Directors;
- **capacity** is the maximum risk that the Group could theoretically take on without infringing its operational or regulatory constraints.

The Group's risk appetite system is based on the risk identification process which aims to list as exhaustively as possible the Group's major risks and to apply a uniform classification to placing them in categories and sub-categories.

Overall risk profile

The Group's business is built around the customer-focused universal banking model in Europe with a low level of defaults and prudent provisioning. The market risk profile has also considerably reduced, as a result of a change in the Group's strategy since 2007.

The Group's risk profile is monitored and presented at least every quarter to the Group Risk Management Committee and to the Board of Directors. Breach of tolerance levels for central indicators or limits on the system are reported and corrective actions proposed to the Board of Directors. The executive Directors and the supervisory body are thus kept regularly informed of how the risk profile corresponds to the risk appetite.

The main components of the Group's risk profile at 31 December 2020 are broken down in the "Risk Management" and "Pillar 3" sections, respectively, of this Registration Document:

- Credit risk: Part 2.4 (Risk management) and Part 3.2 (Pillar 3);
- Market risk: Part 2.5 (Risk management) and Part 3.4 (Pillar 3);
- Financial risks (interest rate, exchange rate, liquidity and financing): Part 2.6 (Risk factors) and Parts 4 and 5 (Pillar 3);
- Operational risk: Part 2.8 (Risk management) and Part 3.6 (Pillar 3).

A sample of the key indicators of the risk appetite statement is shown in the table below:

	Phased-in CET1 ratio	LCR ratio (level at year end)	Cost of risk	Net income Group share	Impaired loan ratio
31 December 2020	17.2%	179%	€3.7 billion	€4.7 billion	2.37%
31 December 2019	15.9%	135%	€1.76 billion	€7.2 billion	2.47%

At 31 December 2020, the indicators of the Group's risk appetite in terms of solvency, earnings, cost of risk and impairment of receivables were within the risk appetite levels defined by the Group. They have not reached the tolerance thresholds. Some indicators were exceeded in view of the health crisis, and in particular the support measures.

Adequacy of the institution's risk management arrangements pursuant to Article 435-1-(e) of Regulation (EU) No. 575/2013

Organisation of risk management

Risk management, which is inherent in banking activities, lies at the heart of the Group's internal control system. All staff involved, from the initiation of transactions to final maturity, play a part in this system.

Measuring and monitoring risk is the responsibility of the dedicated Risk Management business line (headed by the Group Risk Management department – *Direction des risques Groupe* (DRG)), which is independent from Group functions and reports directly to Executive Management.

Although risk management is primarily the responsibility of the business lines which oversee their own business development, DRG's task is to ensure that the risks to which the Group is exposed are consistent with the risk strategies defined by the business lines (in terms of global and individual limits and selection criteria) and compatible with the Group's growth and profitability targets.

DRG performs consolidated Group-wide monitoring of risks using a network of Risk Management and Permanent Controls Officers who report hierarchically to the Head of Risk Management and Permanent Controls and functionally to the executive body of their entity or business line.

To ensure a consistent view of risks within the Group, the DRG has the following duties:

- it coordinates the risk identification process and the implementation of the Group's risk appetite framework in cooperation with the Finance, Strategy and Compliance functions and the business lines;
- it defines and/or validates methods and procedures for analysing, measuring and monitoring credit, market and operational risks;
- it takes part in the critical analysis of the business lines' commercial development strategies, focusing on the risk impact of these strategies;
- it provides independent opinions to Executive Management on risk exposure arising from business lines' positions (credit transactions, setting of market risk limits) or anticipated by their risk strategy;
- it lists and analyses Group entities' risks, on which data is collected in risk information systems. The Financial Steering unit of the Group Finance department (*Direction des finances Groupe* – FIG) is responsible for the management of structural asset/liability risk (interest rate, exchange rate and liquidity) as well as for the refinancing policy and for the management of capital requirements.

Supervision of these risks by Executive Management is carried out through Liquidity and ALM (Asset Liability Management) Committee meetings, in which the DRG takes part.

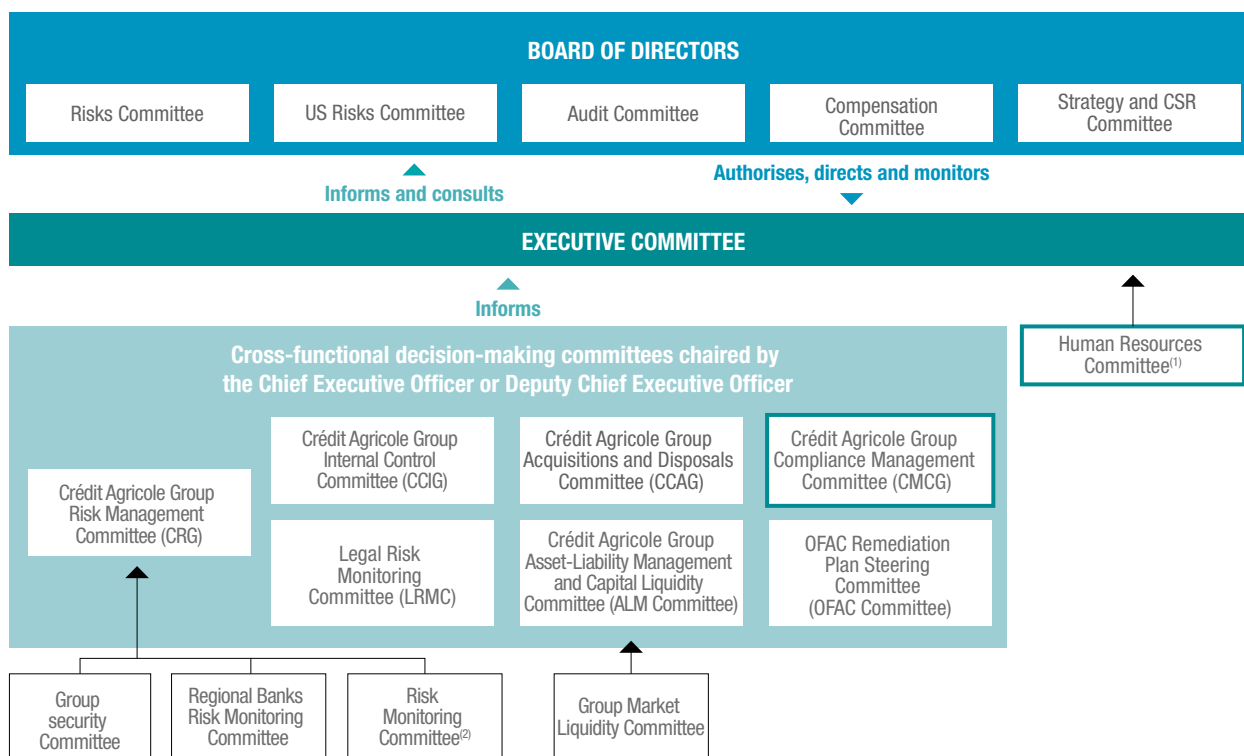
The DRG keeps the executive Directors and the supervisory body informed of the degree of risk control in Crédit Agricole S.A., presents various risk strategies of the major business lines of the Group for validation, and warns them of any risk of deviation from risk strategies or policies approved by executive bodies. It informs them of the outcomes and performance of prevention measures, whose organisational principles are approved by them. It makes suggestions for any improvement of such measures that may be required as a result of changes to business lines and their environment.

At consolidated level, this action falls within the remit of governance bodies, in particular:

- **the Risk Management Committee** (a Board of Directors sub-committee, eight meetings per year): it analyses key factors in the Group's risk appetite statement defined by Executive Management, regularly examines the Group's risk management and internal control issues, reviews the half-yearly information and annual report on internal control and risk measurement and monitoring;
- **the Group Internal Control Committee** (*Comité de contrôle interne Groupe* (CCIG) – chaired by the Chief Executive Officer of Crédit Agricole S.A., four meetings per year): it examines internal control issues common across the Group, looks at cross-functional actions within the Group, approves the annual report and half-yearly information on internal control, and coordinates the three control functions;
- **the Group Risk Committee** (*Comité des risques Groupe* – CRG) chaired by the Chief Executive Officer of Crédit Agricole S.A.: it approves the risk strategies and commitment decisions at Crédit Agricole S.A. level, on the advice of the Risk Management business line within the risk appetite framework approved by the Board of Directors, reviews major risks and sensitive issues, and provides feedback on Group entities' processes and rating models;
- **the ALM Committee** (Crédit Agricole Group Asset-Liability Management and Capital Liquidity Committee, chaired by the Chief Executive Officer of Crédit Agricole S.A., four meetings per year) it analyses the financial risks facing the Crédit Agricole Group (interest rate, exchange rate and liquidity risks) and validates the guidelines for their management;

- **the Group Compliance Management Committee** (*Comité de Management de la Conformité Groupe* (CCMG) – chaired by the Chief Executive Officer of Crédit Agricole S.A. – minimum four meetings per year): it defines the Group's Compliance policy, examines all draft compliance-related standards and procedures, prior to their implementation, examines all significant irregularities and approves corrective measures, makes all decisions related to remedial action for deficiencies, takes note of the main compliance-related conclusions of audits conducted, approves the annual compliance report;
- **the Group Security Committee** (*Comité sécurité Groupe* – CSG), chaired by the Deputy General Manager in charge of Operations and Transformation is a decision-making committee that defines the strategy and assesses the Group's level of control in the following four areas: business continuity plans, data protection, security of people and property and IT systems security. It reports to the Executive Committee;
- **the Group Risk Monitoring Committee** chaired by the Chief Executive Officer of Crédit Agricole S.A. is a committee that reviews loans for which the level of risk is deteriorating significantly. It also examines as early as possible warnings regarding risks of all types reported by the business lines or control functions that may have a negative impact on the Group's profile or level of cost of risk.

Main Group-level committees dealing with risk



(1) Committee organised by the Crédit Agricole S.A. Executive Committee.
(2) Committee that reports to the Crédit Agricole Group Risk Committee.

In addition, each Group operating entity defines its own risk appetite framework and sets up a Risk Management and Permanent Controls function. Accordingly, within each business line and legal entity:

- a Permanent Controls and Risk Management Officer (*Responsable du contrôle permanent et des risques* – RCPR) is appointed;
- the RCPR supervises all the last-line control units within their areas of responsibility, covering oversight and permanent control of risks falling within the remit of the relevant business line; and
- has access to appropriate human, technical and financial resources. RCPRs must be provided with the information required by their role and have systematic and permanent access to any information, document, body (committees, etc.), tools or even IT systems across their entire area of responsibility. They are associated with entity projects far enough in advance to be able to play their role effectively.

This principle of decentralising the Risk management function to operating entities aims to ensure that the business lines' risk management and permanent controls systems operate efficiently.

Group risk management is also reliant on a certain number of tools which enable the DRG and the Group's executive bodies to fully comprehend the aggregate risks:

- a robust IT and global risk consolidation system, within the trajectory defined by the Basel Committee on Banking Supervision for global systemically important banks (BCBS 239);
- generalised use of stress testing methodologies in Group credit, financial or operational risk procedures;
- formalised and up-to-date control standards and procedures, which define lending systems, based on an analysis of profitability and risks, monitoring of geographical, individual and sectoral concentrations, as well as limits on interest rate, foreign exchange and liquidity risks;
- a Group recovery plan is updated on an annual basis, in accordance with the provisions of EU Directive 2014/59 of 15 May 2014, which establishes a framework for the recovery and resolution of credit institutions.

2.2 STRESS TESTING

Stress tests, crisis simulations and resistance tests, form an integral part of the Crédit Agricole Group's risk management system. Stress tests play a role in proactive risk management, the assessment of capital adequacy and meeting the regulatory requirements. In this regard, by measuring the economic, accounting or regulatory impact of severe but plausible economic scenarios, stress testing provides a measure of the resilience of a portfolio, business, entity or of the Group used as inputs for the ICAAP and the risk appetite. Stress testing covers credit, market and operational risks as well as liquidity risk and risks related to interest rates and exchange rates. Stress testing used to manage the Crédit Agricole Group risks involves a range of different exercises.

Different types of stress tests

- **Using stress testing for proactive risk management:** specific exercises that are recurring or carried out upon request are performed centrally to supplement and enhance the various analyses performed to properly monitor risks. This work is presented to Executive Management at Group Risk Management Committee Meetings. In this respect, stress testing focused on market risk or liquidity risk is periodically undertaken.

In the case of credit risk, stress tests were performed to measure the risk stemming from economic changes in certain major Group risks. The exercises underpin the decisions taken by the Group Risk Management Committee on aggregate exposure limits.

Risk culture

The risk culture is disseminated across the Group via diverse and effective channels:

- career and talent Committees within the Risk Management business line, which plan the succession to key posts, facilitate the mobility of both men and women with the relevant expertise and thus enhance their future career paths by diversifying their skill sets;
- highly valued careers and experience sought after by other business sectors as a result of time spent within the Risk Management business line;
- a range of training on risk comprising modules tailored to the needs of employees within and outside the Risk Management business line. This includes awareness training for all Group employees with, in particular, an e-learning component, to better understand the risks inherent in the bank's business lines;
- communication efforts to foster the spreading of the risk culture, under way since 2015. They are designed to increase the knowledge and involvement of all employees, in order to turn risk into a day-to-day advantage.

Consolidated risk monitoring

Every quarter, the Board of Directors' Risk Management Committee and the Group Risk Management Committee examine the risk dashboard produced by the Group Risk Management and Permanent Controls department. The dashboard provides a detailed review of the Group's risk position across all business lines and on a consolidated basis.

The Group's consolidated alert procedures are coordinated by the Risk Monitoring Committee by reviewing all the risk alerts centralised by the Group Risk Management department.

- **Budget stress testing or ICAAP stress testing:** (Internal Capital Adequacy and Assessment Process): the Crédit Agricole Group undertakes an annual exercise as part of the budgetary process, with the results of this stress testing being incorporated into the ICAAP. It plays a part in capital requirements planning and makes it possible to estimate the Group's profitability over a three-year period, under various economic scenarios. The goal of this stress testing in the budgetary process and the ICAAP is to measure the effects of the economic scenarios (baseline and adverse) on the businesses, entities and the Group as a whole and the sensitivity of their results. It is necessarily based on an economic scenario (change in a series of economic variables) from which the impact on the various risks and geographic regions are determined. This scenario is supplemented to reflect operational risks and the risk of improper conduct.

The goal of this exercise is to estimate a solvency ratio by measuring the impact on the income statement (cost of risk, interest margin, fees and commission, etc.), risk-weighted assets and own funds and to compare it against the Group's tolerance and capacity thresholds.

- **Regulatory stress testing:** this stress testing encompasses all requests from the ECB, the EBA or other supervisor.

Governance

In line with the guidelines of the EBA (European Banking Authority), the stress test programme for the Group and major entities clearly details the governance and responsibilities of each party involved in the stress testing encompassing credit, market, operational and liquidity risks and structural risks related to interest rates and exchange rates.

2.3 INTERNAL CONTROL AND RISK MANAGEMENT PROCEDURES

Crédit Agricole Group's internal control organisation reflects an architecture in line with legal and regulatory requirements, as well as the recommendations of the Basel Committee.

The internal control system and procedures are defined within the Crédit Agricole Group as all systems designed to control activities and risks of all kinds and to ensure regularity (in the sense of compliance with laws, regulations and internal standards), safety and efficiency of operations, in accordance with the references presented in Section 1 below.

The internal control system and procedures are characterised by the objectives assigned to them:

- application of Executive Management instructions and guidelines;
- financial performance, through the efficient and appropriate use of the Group's assets and resources, as well as protection against the risk of loss;
- comprehensive, accurate and regular knowledge of the data needed for decision making and risk management;
- compliance with legal and regulatory requirements and internal standards;
- prevention and detection of fraud and errors;
- accuracy, completeness of accounting records and the timely preparation of reliable accounting and financial information.

These procedures have, nonetheless, the inherent limitations of any internal control system, due in particular to technical or human failures.

In accordance with the principles in force within the Group, the internal control system applies over a broad scope aimed at supervising and controlling activities, as well as measuring and monitoring risks on a consolidated basis. This principle, applied by each entity of Crédit Agricole S.A. and its subsidiaries to its own subsidiaries, makes it possible to apply the internal control system according to a pyramidal logic and to all entities. The system implemented by Crédit Agricole S.A., which is in line with the standards and principles set out below, is thus deployed in a manner adapted to the different business lines and risks at each of the Crédit Agricole Group's levels in order to best meet the regulatory obligations specific to banking activities.

The resources, tools and reports implemented in this normative environment provide regular information, in particular to the Board of Directors, the Risk Committee, to Executive Management and to management, on the functioning of internal control systems and their adequacy (permanent and periodic control system, reports on risk measurement and monitoring, corrective action plans, etc.).

I. References in terms of internal control

References to internal control are based on the provisions of the French Monetary and Financial Code⁽¹⁾, the Decree of 3 November 2014 on internal control of companies in the banking, payment services and investment services sector subject to control by the French Regulatory and Resolution Supervisory Authority (ACPR), the General Regulation of the AMF and the recommendations on internal control, risk management and solvency issued by the Basel Committee.

The scenarios used in the ICAAP processes, Risk Appetite or for regulatory purposes are prepared by the Economic Department (ECD) and are presented to the Board of Directors. These economic scenarios show central and stressed fluctuations in macroeconomic and financial variables (GDP, unemployment, inflation, interest rates and exchange rates, etc.) for all countries to which the Group is exposed.

These national and international standards are supplemented by Crédit Agricole's own internal standards:

- a corpus of communications of a permanent, regulatory nature (external regulations and internal Group rules) and of mandatory application, relating in particular to accounting (Crédit Agricole's accounting plan), financial management, risks and permanent controls, applicable to the entire Crédit Agricole Group;
- Code of Conduct of the Crédit Agricole Group;
- recommendations of the full Committee on Internal Oversight of the Regional Banks;
- the aggregate of "procedural notes", applicable to Crédit Agricole S.A. relating to organisation, operation or risks. In this context, Crédit Agricole S.A. adopted a set of procedural notes in 2004 to monitor compliance with laws and regulations. This procedural system has since been adapted to regulatory changes and deployed in the Group's entities, particularly in the areas of financial security (prevention of money laundering, fight against terrorist financing, freezing of assets, compliance with embargoes, etc.) or detection of malfunctions in the application of laws, regulations, professional standards and standards of conduct, for example. The procedural notes are updated regularly, as necessary, in particular in the light of the changes in regulations and in the scope of supervision on a consolidated basis.

II. Principles for the organisation of the internal control system

In order to ensure that internal control systems are effective and consistent between the Group's various organisational levels, the Crédit Agricole Group has adopted a set of common rules and recommendations based on the implementation of and compliance with fundamental principles.

Thus, each entity of the Crédit Agricole Group (Regional Banks, Crédit Agricole S.A., subsidiaries of credit institutions or investment firms, insurance companies, other, etc.) must apply these principles at its own level.

Fundamental principles

The organisational principles and components of the internal control systems of Crédit Agricole S.A., which are common to all Crédit Agricole Group entities, include obligations in terms of:

- informing the supervisory body (risk strategies, limits set on risk taking, internal control activity and results, significant incidents);
- direct involvement of the management body in the organisation and operation of the internal control system;
- exhaustive coverage of activities and risks, liability of all actors;
- a clear definition of tasks, effective separation of engagement and control functions, formalised and up-to-date delegations;
- formalised and updated standards and procedures.

(1) Article L. 511-41.

These principles are complemented by:

- risk measurement, monitoring and control systems: credit, market, liquidity, financial, operational (operational processing, quality of financial and accounting information, IT processes), non-compliance and legal risks;
- a control system, as part of a dynamic and corrective process, including permanent controls carried out by the operational units or by dedicated employees, and periodic controls (carried out by the units of the Group Control and Audit department or by the Audit units);
- the adoption of the Group's compensation policies (following the deliberations of the Board of Directors of 9 December 2009 and 23 February 2011) and internal control procedures – in accordance with applicable national, European or international regulations, in particular those relating to Capital Requirements Directive 4 (CRD 4), the AIFM, UCITS V and Solvency 2, the provisions relating to the Volcker Rule, the French Law on the separation of banking activities and MiFID, as well as the professional banking recommendations relating to, on the one hand, the adequacy between the compensation policy and the risk control objectives, and on the other hand the compensation of the members of the executive bodies and that of the risk takers (see Part I of this report).

System monitoring

Since the amendments to Regulation 97-02 on internal control relating to the organisation of control functions, elements included in the decree of 3 November 2014 repealing the regulation became effective, an obligation has been imposed on each entity or business line manager, each manager, each employee and each Group body to be able to report and justify, at any time, the proper control of its activities and the risks involved, in accordance with the standards for the exercise of banking and financial professions, in order to ensure the long-term security of each activity and each development project and to adapt the control measures to be implemented to the intensity of the risks incurred.

This requirement is based on organisational principles and an architecture of responsibilities, operating and decision-making procedures, controls and reporting to be implemented in a formal and effective manner at each level of the Group: central functions, business lines, subsidiaries, operational units and support functions.

Group Internal Control Committee

The Internal Control Committee of the Group and of Crédit Agricole S.A., the umbrella body for steering the systems, met regularly under the chairmanship of the Chief Executive Officer of Crédit Agricole S.A.

The objective of this Committee is to strengthen the transversal actions to be implemented within the Group. Its purpose is to examine internal control issues common to the entire Group (Crédit Agricole S.A., subsidiaries of Crédit Agricole S.A., Regional Banks, common resource structures) and to ensure the consistency and effectiveness of internal control on a consolidated basis. The Internal Control Committee, a decision-making body with binding decisions, is composed of Crédit Agricole S.A. employee executives. As such, it is distinguished from the Risk Committee, which is a division of the Board of Directors, and is responsible for coordinating the three control functions: Audit-Control, Risks, and Compliance.

Three functions operating throughout the Group

The Group Chief Risk Officer, the Group Head of Internal Audit and the Group Head of Compliance report directly to the Chief Executive Officer of Crédit Agricole S.A. and have access to the Risk Committee and the Board of Directors of Crédit Agricole S.A.

In addition, under the Decree of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sector that are subject to the supervision of the French Regulatory and Resolution Supervisory Authority, the Group Chief Risk Officer has been designated as the person in charge of risk management for Crédit Agricole S.A. as well as for the Crédit Agricole Group.

The audit functions are responsible for supporting the business lines and operational units to ensure the conformity, safety and efficiency of operations. In this capacity they carry out:

- the management and control of credit, market, liquidity, financial and operational risks by the Group Risk Management department, which is also responsible for the ultimate control of accounting and financial information and for monitoring deployment by the Group IT Security Officer of information systems security and business continuity plans;
- the prevention and control of non-compliance risks by the Group Compliance department, which ensures in particular the prevention of money laundering, the fight against terrorist financing, the prevention of fraud, compliance with embargoes and asset freezing obligations;
- independent and periodic control of the proper functioning of all entities of the Crédit Agricole Group by the Group Control and Audit department.

In addition to the involvement of the various control functions, the other central functions of Crédit Agricole S.A. and its divisions and business lines contribute to the implementation of internal control systems on a consolidated basis, whether within specialised committees or through actions to standardise procedures and centralise data.

Organised as a business line, the Legal Affairs department has two main objectives: to control legal risk, which can give rise to disputes and liabilities, whether civil, disciplinary or criminal, and to provide the legal support needed by entities to enable them to carry out their activities, while controlling legal risks and minimizing associated costs.

With regard to Crédit Agricole S.A. and its subsidiaries

The functions, departments and business lines are themselves supported by decentralised mechanisms within each of the legal entities, which are first-tier subsidiaries and are part of the consolidated supervisory scope of Crédit Agricole S.A., and include:

- quarterly internal control committees, which are decision-making and binding in nature, consisting of the Chief Executive Officer of the entity and representatives of the control functions of the entity and of Crédit Agricole S.A., responsible in particular for steering the internal control system implemented in the entity, examining the main risks to which the entity is exposed, critically evaluating the internal control systems and the audit action, monitoring missions and taking any necessary corrective measures;
- specialised committees that are specific to each entity;
- a network of correspondents and authorities dedicated to each business line.

With regard to the Regional Banks of Crédit Agricole

For the Regional Banks, the application of all the Group's rules is made possible by the dissemination of national recommendations on internal control by the Plenary Internal Control Committee of the Regional Banks and by the activity of the central control functions of Crédit Agricole S.A. The Plenary Committee is responsible for strengthening the management of the Regional Banks' internal control systems and is composed of Chief Executive Officers, senior managers and heads of the Regional Banks' audit functions, as well as representatives of Crédit Agricole S.A. Its activities are extended through regular regional meetings and working and information meetings between the heads of the audit functions of Crédit Agricole S.A. and their counterparts in the Regional Banks.

The role of Crédit Agricole S.A. as a corporate centre requires it to be very active and vigilant in terms of internal control. In particular, specific monitoring of the risks and controls of the Regional Banks is carried out at Crédit Agricole S.A. by the Steering and Coordination unit of the Risks France functions of the Group Risk Management department and by the Group Compliance department.

Role of the Board of Directors

The Board of Directors of Crédit Agricole S.A. is aware of the Company's general organisation and approves its internal control system. It approves the Group's general organisation and internal control system and defines the Group's risk appetite in an annual statement. It is informed of the organisation, activity and results of internal controls. Other than the information it regularly receives, it has access to the Annual Report and the half-yearly presentation on internal controls, such in accordance with banking regulations and standards defined by Crédit Agricole S.A. The Chairman of the Board of Directors of Crédit Agricole S.A. receives detailed summary notes presenting the conclusions of the Group Control and Audit department's missions.

The Board is informed, through the Risk Committee, of the main risks incurred by the Company and the significant incidents revealed by the internal control and risk management systems.

The Chairman of the Risk Committee of Crédit Agricole S.A. reports to the Board on the work of the Committee, and in particular on the annual report on internal controls and on risk measurement and monitoring. By the date of the General Meeting, the Annual Report will have been presented to the Risk Committee, forwarded in due course to the French Regulatory and Resolution Supervisory Authority (*Autorité de contrôle prudentiel et de résolution* – ACPR), and to the Statutory Auditors. It will also have been presented to the Board of Directors.

Role of the Chief Executive Officer in internal control

The Chief Executive Officer (CEO) defines the general organisation of the Company and ensures its efficient implementation by qualified and competent persons. He is directly and personally involved in the organisation and operation of the internal control system. In particular, the CEO sets out the roles and responsibilities for internal control and allocates appropriate resources to it.

The CEO ensures that the risk strategies and limits are compatible with the financial position (equity levels, results) and the strategies adopted by the Board of Directors, as part of the Group's Risk Appetite Statement.

The CEO ensures that risk identification and measurement systems, adapted to the Company's activities and organisation, are adopted. The CEO also ensures that the main information from these systems is regularly reported to him.

The CEO personally assures that the internal control system is constantly monitored to ensure its adequacy and effectiveness. The CEO is informed of any malfunctions that the internal control system would identify and of the corrective measures proposed. In this respect, the Chief Executive Officer receives detailed summary notes presenting the conclusions of the Group Control and Audit department's missions.

III. Specific internal control systems and risk control and monitoring systems of Crédit Agricole S.A.

Crédit Agricole S.A. implements processes and mechanisms for measuring, monitoring and controlling its risks (counterparty, market, operational, financial and other risks) adapted to its activities and organisation, which are an integral part of the internal control system and are periodically reported to the management body, the supervisory body and the Risk Committee, in particular via reports on internal control and risk measurement and monitoring.

Detailed information on risk management is presented in the chapter "Risk Management" and in the notes to the consolidated financial statements dedicated to these (Note 3).

Risk Management and Permanent Controls function

The Risk Management business line was created in 2006 pursuant to amendments to Regulation 97-02 (repealed and replaced by the Order of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sector subject to the supervision of the French Regulatory and Resolution Supervisory Authority).

The Risk Management business line is responsible for both the overall management and the permanent control of the Group's risks: credit, financial and operational risks, in particular those related to the quality of financial and accounting information, physical security and information systems, business continuity and the supervision of outsourced essential services.

Risk management is based on a Group system whereby the strategies of the business lines, including in the event of the launch of new activities or new products, are the subject of a risk notice, and risk limits are formalised in the risk strategies for each sensitive entity and activity. These limits are reviewed at least once a year or in the event of a change in an activity or risks and are validated by the Group Risk Committee. They are accompanied by cross-Group limits, particularly on major counterparties. The mapping of potential risks, the measurement and monitoring of proven risks are regularly adjusted with regard to the activity.

Audit plans are adapted to changes in the activity and the risks, to which they are proportionate.

The business line is placed under the responsibility of the Group Chief Risk Officer, who is independent of any operational function and reports to the Group Chief Executive Officer. It brings together the cross-group functions of Crédit Agricole S.A. (Group Risk department) and the decentralised Risk Management and Permanent Controls functions, closest to the business lines, at the level of each Group entity, in France or abroad. The Risk Management business line employed around 2,904 people at end-2019 (in full-time equivalent) within the scope of the Crédit Agricole Group.

The business line operates through structured governance bodies, including the Internal Control Committees, the Group Risk Committee, under which executive management approves the Group's strategies and is informed of the level of its risks, the Regional Banks' Risk Monitoring Committee, the Group Security Committee, the Standards and Methodology Committee, the Basel Recommendations Steering Committee, the Business Line Monitoring Committees, which include the Group Risk department and subsidiaries at predefined intervals, and various committees in charge of rating systems and information systems. The Group Risk Monitoring Committee, chaired by the Group Chief Executive Officer, meets twice a month and is responsible for monitoring the emergence of risks in order to identify appropriate guidelines.

Central Risk Management and Permanent Controls functions of Crédit Agricole S.A.

Within Crédit Agricole S.A., the Group Risk department is responsible for the overall management of the Group's risks and permanent control systems.

Global Group risk management

The consolidated measurement and management of all Group risks is carried out centrally by the Group Risk department, with units specialised by risk type that define and implement consolidation and risk management measures (standards, methodologies, information systems).

The Group Risk department also has a “business line risk management” function in charge of the global and individualised relationship with each of the subsidiaries of Crédit Agricole S.A. The supervision of the Regional Banks’ risks is carried out by a specific department of the Group Risk department.

Group risks are monitored by the business line risk management units, in particular through the Group Risk Committee and the Regional Banks’ Risk Monitoring Committee.

It is also carried out through an alert procedure applied to all entities and which allows the most significant risks to be presented to a Management Committee on a bi-monthly basis (Group Risk Monitoring Committee).

Crédit Agricole S.A. measures its risks in an exhaustive and precise manner, namely by integrating all categories of commitments (on- and off-balance sheet) and positions, consolidating commitments on companies belonging to the same group, aggregating all portfolios and distinguishing risk levels.

This is supplemented by ad hoc measurements of risk profile distortion under stress scenarios and a regular assessment based on various scenario types.

In addition to regulatory exercises, from an internal management viewpoint, stress tests are carried out at least once a year by all entities. This work is performed in particular as part of the annual budgetary process to strengthen the practice of measuring the sensitivity of the Group’s risks and income statement and its various components to a significant downturn in the economy. This global stress testing is supplemented by sensitivity tests on the main portfolios.

Risk monitoring by Crédit Agricole S.A., its subsidiaries and the Regional Banks on an individual or collective basis requires a system to monitor the overruns and their regularisation, the operation of accounts, the correct classification of receivables in accordance with current regulations (in particular impaired loans), the adequacy of the level of provisioning for risks under the supervision of the Risk Committees, and the periodic review of the main risks and portfolios, in particular for sensitive business.

In a context of contrasting and uncertain risk, Crédit Agricole S.A. pursues a policy of actively reviewing the risk policies and strategies applied by its subsidiaries. Moreover, the Group’s main cross-functional portfolios (housing, energy, professionals and farmers, consumer finance, private equity, etc.) have been analysed by the Group Risk Committee (CRG). The scope of risks covered in the risk strategies reviewed by the CRG also includes model risks, operational risks and conglomerate risks.

Alert and escalation procedures are in place in the event of a prolonged anomaly, depending on its materiality.

Permanent control of operational risks

The Group Risk department coordinates the Permanent Control system (definition of key control indicators by type of risk, deployment of a single software platform integrating the assessment of operational risks and the results of permanent controls, organisation of reporting of control results to the various consolidation levels concerned within the Group).

Decentralised Risk Management and Permanent Controls functions, at the level of each of the Group’s business lines

Within Crédit Agricole S.A.

The function operates using a hierarchical organisation, with a Risk Management and Permanent Controls Officer (RCPR) appointed at each subsidiary or business line. The business line RCPR reports hierarchically to the Group Chief Risk Officer, and functionally to the management body of the relevant business line. This positioning ensures the independence of the local Risk Management and Permanent Controls departments.

Each subsidiary or business line, under the responsibility of its RCPR, obtains the necessary resources to ensure the management of its risks and the compliance of its permanent control system, in order to implement a full-fledged function (exhaustive and consolidated vision of risks, likely to guarantee the sustainability of the entity over its entire scope of supervision on a consolidated basis).

The relationship between each subsidiary or business line and the Group Risk department is organised around the following main elements:

- implementation by each subsidiary or business line of the Group’s cross-functional standards and procedures, developed by the Group Risk department;
- determination for each subsidiary or business line of a risk strategy, validated by the Group Risk Committee on the advice of the Group Risk department, specifying in particular the entity’s overall commitment limits;
- principle of delegation of powers from the Group RCPR to the business RCPRs that are hierarchically linked to it in the performance of their duties, subject to transparency and alerting the latter to the Group Risk department;
- the business line monitoring committee periodically brings together the Group Risk department and the entity to review the quality of the risk management system and permanent controls and the level of risks, including in corporate and investment banking (Crédit Agricole Corporate and Investment Bank).

Within the scope of the Regional Banks

Banking regulations relating to risks apply to each of the Regional Banks individually. Each is responsible for its own permanent risk and control system and has a Risk Management and Permanent Controls Officer – who reports to its Chief Executive Officer – in charge of risk management and permanent controls. The RCPR may also be responsible for the duties of the Compliance Officer. If this is not the case, the Compliance Officer reports directly to the Chief Executive Officer.

Moreover, as the corporate centre, Crédit Agricole S.A., via the Group Risk department, consolidates the risks carried by the Regional Banks and manages the Risk Management business line in the Regional Banks, in particular by disseminating the necessary standards to them, in particular for the implementation of a permanent control system at Group level.

In addition, the significant credit risks taken by the Regional Banks are presented for partial guarantee to Foncaris, a credit institution and wholly owned subsidiary of Crédit Agricole S.A. The obligation imposed on the Regional Banks to request a counter-guarantee from Foncaris on their main operations (above a threshold defined between the Regional Banks and Foncaris) thus provides the corporate centre with an effective tool enabling it to assess the associated risk before accepting it.

Internal control system for business continuity and information system security plans

The internal control system implemented makes it possible to provide the Group's security governance bodies with periodic reporting on the position of the main entities with regard to risk monitoring relating to business continuity plans and information system security.

Business continuity plans

With regard to IT backup plans, the IT productions of most of the subsidiaries of Crédit Agricole S.A. and of the 39 Regional Banks hosted on the Greenfield secure bi-site structurally benefit from backup solutions from one site to another.

These solutions are tested on a recurring basis for Crédit Agricole S.A. and its subsidiaries. The Regional Banks follow the same process in terms of testing.

The subsidiaries of Crédit Agricole S.A. whose IT is not managed by Greenfield have IT backup solutions that are regularly tested with reasonable assurance of restart in the event of a disaster.

With regard to user back-up plans, the Group has the Eversafe solution, which provides high security in the event of the unavailability of buildings, campuses or even neighbourhoods in the Paris region. This solution is operational and proven, with two sites dedicated to the Group. The Group is thus equipped with workspaces available in the event of a major disaster in the Paris region.

In addition, and in accordance with Group policy, most entities are able to cope with a massive viral attack on workstations by focusing on the use of user backup sites.

Information Systems Security

The Crédit Agricole Group continued to reinforce its resilience to the scale of IT risks, particularly cyber threats, in terms of organisation and projects.

Group security governance has been implemented with a Group Security Committee (CSG) which is the decision-making and executive body that defines the Group's security strategy by domain, integrating the orientations of Group security policies into it, determines Group security projects, supervises the execution of the strategy on the basis of indicators for managing Group projects and applying policies, and finally assesses the Group's level of control in the four areas falling within its competence: business continuity plan, data protection, personal and property security and information system security.

The Information Systems Risk Management (*Pilote des risques systèmes d'information* – PRSI) and Chief Information Security Officer (CISO) functions are now deployed in most of the Group's entities: the PRSI, which is part of the RCPR (Permanent Controls and Risk Management Officer), consolidates the information enabling it to take a second look.

Internal control system for accounting and financial information

In keeping with the applicable rules within the Group, the organisational principles and responsibilities of the Group Finance department functions are set out in an operational note.

The Finance function is organised as a business line within Crédit Agricole S.A. The Group's business line and/or subsidiary heads report hierarchically to the head of the business line or subsidiary and functionally to the Deputy General Manager, Chief Financial Officer. The central Finance function defines the financial strategy, in conjunction with other departments within Crédit Agricole S.A. where necessary, and determines and/or validates the standards and methods applicable in the Group in terms of accounting and regulatory information, solvency and

the management of liquidity, interest rate and foreign exchange risks. It also ensures that these standards and methods are disseminated to and implemented by all the Group's entities.

At business line/subsidiary level, the Finance department acts as a relay among subsidiaries, circulating the Group's standards and principles in these areas, in line with each business line's specific attributes. In some cases, it also constitutes an intermediate level for preparation of the business line's accounting and business management information. Each Risk Management and Permanent Controls department in a business line or subsidiary within the Group is also responsible for producing the risk data used to prepare financial information and for implementing controls to ensure that this information is accurately reconciled to accounting data.

Each business line and/or entity is equipped with the means to ensure the quality of the accounting, management and risk data transmitted to the Group in line with consolidation requirements, in particular, with regard to the following aspects: compliance with the standards applicable to the Group, consistency with the parent company financial statements approved by its supervisory body, reconciliation of accounting and management reporting figures.

Within the Group Finance department, the reported accounting and financial information is prepared by three main functions: Accounting, Management Control and Financial Communication.

Accounting

The main purpose of the Accounting function is to draw up the parent company financial statements of Crédit Agricole S.A., the consolidated financial statements of Crédit Agricole S.A., its subsidiaries and Crédit Agricole Group, including segment information for Crédit Agricole S.A. based on the definition of the business lines for financial reporting purposes and in compliance with IFRS 8. To fulfil this purpose, the Accounting function, in accordance with applicable regulations, defines and circulates the accounting standards and principles that apply to the Group. It oversees the accounting framework, lays down the rules governing the architecture of the accounting information and regulatory reporting system, and manages the accounting processes for consolidation of the financial statements and regulatory reporting.

Management Control

For the preparation of financial information, the Group Management Control function, within the financial steering department, defines the rules for allocating economic capital (definition, allocation policy), consolidates, prepares and quantifies the budget and the Medium-Term Plan for Crédit Agricole S.A., and monitors the budget. To meet this objective, Group Management Control defines the management control procedures and methods and the structure and management regulations for the Group management control system.

Financial Communication

Crédit Agricole S.A.'s Financial Communication function ensures message consistency across all investor categories. It is responsible for information published in press releases and presentations to shareholders, financial analysts, institutional investors, rating agencies, as well as information contained in documents subject to approval by the French financial market authority (AMF). In this respect, working under the responsibility of the Chief Executive Officer and Crédit Agricole S.A.'s Deputy General Manager, Chief Financial Officer, the Financial Communication function provides the materials used as the basis for presentations of Crédit Agricole S.A. results, financial structure and changes in business lines, as needed to enable third parties to formulate an opinion, particularly on the Group's financial strength, profitability and outlook.

Procedures for the preparation and processing of accounting and financial information

Each Group entity has responsibility, vis-à-vis the Group and the regulatory authorities to which it reports, for its own financial statements, which are approved by its supervisory body. Depending on the entity's size, these financial statements are subject to prior review by the entity's Audit Committee, if it has one.

As for the Crédit Agricole Regional Banks, once their financial statements are drawn up, they are approved by the Accounting and Regulatory Information department of Crédit Agricole S.A.; this is one of its responsibilities as corporate centre. Crédit Agricole S.A.'s consolidated financial statements are submitted to the Audit Committee and approved by the Board of Directors of Crédit Agricole S.A.

Most published financial information is based on accounting data and on management and risk data.

Accounting data

Figures for each individual entity are drawn up in accordance with the accounting standards applicable in the country in which the entity operates. For the purposes of preparing the Group's consolidated financial statements, local financial statements are restated to be conforming with IFRS policies and principles, as adopted by Crédit Agricole S.A.

Management data

Management data is produced by the Group Finance department or the Group Risk Management department. The data are reported in anticipation of definitive accounting data in accordance with the same definition and granularity standards and are used as inputs to the Group's internal management reporting.

Furthermore, external sources of information (such as the European Central Bank and Banque de France) may be used for management data, particularly for calculating market shares.

In accordance with AMF and ESMA (European Securities and Markets Authority) recommendations, the use of management data for preparing published financial information must comply with the following guidelines:

- classification of the types of financial information published: historical information, pro forma data, projections or trends;
- a clear description of the sources from which the financial information was drawn. When published data are not extracted directly from accounting information, the sources and definition of calculation methods are mentioned;
- comparability of figures and indicators over time, which implies ongoing use of the same sources, calculation methods and methodologies.

Description of the Permanent Accounting Control system

The Group's Permanent Accounting Controls function's objective is to provide adequate coverage of major accounting risks that can alter the quality of accounting and financial information. This function is provided by the Accounting Control department, which reports to the Group Risk Management department. The Group's Permanent Accounting Controls function is based on a network of accounting controllers in the subsidiaries and Regional Banks where it operates its support and oversight missions.

The unit has the following roles in this area:

- to define and circulate standards pertaining to the organisational and operational principles of permanent accounting controls within the Crédit Agricole Group;

- to prepare notes on methodology regarding new accounting standards or regulatory changes;
- to support, oversee and coordinate the permanent accounting control systems implemented within the Group's subsidiaries and Regional Banks;
- to issue assessments of accounting risks for entities presenting a risk management strategy to the CRG, based on the analysis of the entities' permanent accounting control processes.

Work conducted by the Permanent Accounting Control team, which is responsible for second-level accounting controls in the Accounting and Regulatory Information department of Crédit Agricole S.A., showed a generally satisfactory level of maturity in the processes. Ad hoc studies were carried out and did not reveal any major irregularities. Action plans aimed at better managing the risks of the controlled processes were recommended. Follow-up of these plans has been set up.

Work on updating the Accounting Control Guide (Guide du contrôle comptable) began in 2020. This reference document for all the 2.1 and 2.2 accounting controllers of Crédit Agricole Group, which was drawn up in 2010, is being updated to reflect the new regulations and new reports requested by the regulatory authorities. The work is expected to be completed in Q4 2021.

Relations with the Statutory Auditors

The Universal Registration Document, its updates, the securities notes and the prospectuses prepared for new debt or share issues, which contain comprehensive financial information, are subject to approval by or registration with the AMF.

In accordance with applicable professional standards, the Statutory Auditors perform those procedures they deem appropriate on published accounting and financial information:

- audit of the parent company and consolidated financial statements;
- review of interim consolidated financial statements;
- read through of quarterly financial information and materials used as a basis for presenting financial information to financial analysts.

As part of the duties assigned to them by law, the Statutory Auditors submit to Crédit Agricole S.A.'s Audit Committee their overall work programme, the various spot checks they have carried out, the conclusions of their work on the accounting and financial information they have reviewed in carrying out their assignment, as well as any significant weaknesses of the internal controls with regard to the procedures used for the preparation and processing of accounting and financial information.

Non-compliance risk prevention and controls

See Part 2.9 "Non-compliance risks" below.

Periodic control

The Group Control and Audit department, which reports directly to the Chief Executive Officer of Crédit Agricole S.A., is the highest level of control within the Crédit Agricole Group. Its sole responsibility is to ensure the Crédit Agricole Group's periodic control through the assignments it carries out, the management of Crédit Agricole S.A.'s Audit-Control function, which is hierarchically attached to it, and the management of the internal audit units of the Regional Banks.

Based on an updated risk mapping approach resulting in an audit cycle generally lasting between two and five years, it conducts on-site and documentary audits in the Regional Banks, units of Crédit Agricole S.A. and its subsidiaries, including when they have their own internal audit and control units, as part of a coordinated approach to audit plans.

These periodic audits include a critical review of the internal control system put in place by the audited entities. These procedures are designed to provide reasonable assurance on the effectiveness of the system in terms of operational safety, risk control and compliance with external and internal rules.

Within the audited entities, they consist in particular in ensuring compliance with external and internal regulations, assessing the safety and effectiveness of operating procedures, ensuring the adequacy of systems for measuring and monitoring risks of all kinds and verifying the reliability of accounting information.

Thanks to its specialised audit teams, the Group Control and Audit department conducts several IT assignments each year on the information systems of the Group's entities as well as current issues, largely related to IT security, or in the field of models in the context of calculating the entities' or the Group's capital requirements. Finally, as required by regulations, the Group Control and Audit department carries out audits of outsourced essential services of interest to the Group or to the financial community.

The Group Control and Audit department also provides a centralised monitoring of the Audit-Control function for all subsidiaries and leads the periodic control of the Regional Banks, thereby enhancing the effectiveness of controls by harmonising audit practices at their best level, to ensure the security and conformity of operations in the various Group entities and to develop common areas of expertise. At end-2020, the business line had approximately 1,210 full-time equivalent employees within Crédit Agricole S.A. (including the Group Control and Audit department) and the Regional Banks.

Joint audit engagements of the Group Control and Audit department and the audit departments of subsidiaries are regularly carried out, which contributes to exchanges on best audit practices. Particular importance is given to thematic and transversal investigations.

In addition, the Group Control and Audit department ensures, within the framework of the Internal Control Committees of the relevant Group subsidiaries – in which the Executive Management, the Head of Internal Audit, the Head of Risk Management and Permanent Controls and the Compliance Officer of each entity participate – that audit plans are properly carried out, that risks are properly controlled and, more generally, that each entity's internal control systems are adequate.

The assignments carried out by the Control and Audit department of Crédit Agricole S.A., the audit-control units or any external audit (regulatory authorities, external firms where applicable) are subject to a formal monitoring system for regulatory controlled monitoring assignments, which are included in the audit plan on a minimum half-yearly basis. For each of the recommendations made at the end of these assignments, the system makes it possible to ensure the progress of the planned corrective actions, implemented according to a precise timetable, according to their priority level, and for the Head of the Group Control and Audit department to exercise, if necessary, the duty to alert the supervisory body and the Risk Committee pursuant to Article 26 b) of the Order of 3 November 2014 on the internal control of companies in the banking, payment services and investment services sector subject to the supervision of the French Regulatory and Resolution Supervisory Authority.

In accordance with Article 23 of the Order, the Head of the Group Control and Audit department reports to the Board of Directors of Crédit Agricole S.A. regarding the performance of the assignments.

2.4 CREDIT RISK

A credit risk is realised when a counterparty is unable to honour its obligations and when the carrying amount of these obligations in the bank's books is positive. The counterparty may be a bank, an industrial or commercial enterprise, a government and its various controlled entities, an investment fund, or an individual person.

Definition of default

The definition of default used in management, which is the same as the one used for regulatory calculations, changed in 2020 in line with the regulatory requirements relating to the new default in the various Group entities.

A debtor is, therefore, considered to be in default when at least one of the following conditions has been met:

- a payment arrear of more than 90 days past due and above the regulatory materiality thresholds, unless specific circumstances demonstrate that the delay is due to reasons independent of the debtor's financial situation;
- the entity believes that the debtor is unlikely to settle its credit obligations unless it avails itself of certain measures such as enforcement of collateral security right.

The exposure may be a loan, debt security, deed of property, performance swap, guarantees given or confirmed undrawn commitments. The risk also includes the settlement/delivery risk inherent in any transaction entailing an exchange of cash or physical goods outside a secure settlement system.

Restructured loans

Restructuring as defined by the EBA (forbearance) consists of all changes made to one or more credit agreements, as well as to refinancings, agreed to by virtue of a customer's financial difficulties.

Once the restructuring as defined by the EBA has been carried out, the exposure continues to be classified as "restructured" for at least two years, if the exposure was performing when restructured, and three years if the exposure was in default when restructured. These periods are extended when certain events covered by the Group standards occur (further incidents for example).

In this respect, Group entities have put in place solutions to identify and manage these exposures, tailored to their specificities and to their business lines, depending on the circumstances: based on expert judgement, algorithmic solutions or a combination of these two approaches. These solutions have been maintained and tailored as necessary to the public health crisis situation, in compliance with EBA guidelines. These mechanisms also make it possible to satisfy the requirement to produce quarterly regulatory statements on this matter.

The volume of loans in forbearance under the ITS 2013-03 definition are given in the accompanying Note 3.1. The accounting policies and principles applicable to receivables are specified in Note 1.2 to the Group's financial statements.

I. Objectives and policy

Credit risk-taking by the Crédit Agricole Group is subject to the risk appetite of the Group and entities and risk strategies confirmed by the Board of Directors and approved by the Group Risk Committee, a sub-committee of Crédit Agricole S.A. Executive Committee chaired by the Chief Executive Officer. Risk strategies are adjusted to each business line and its development plan. They set out overall limits, intervention criteria (types of eligible counterparties, nature and maturity of eligible products, collateral required) and arrangements for delegating decision-making authority. These risk strategies are adjusted as required for each business line, entity, business sector or country. Business lines

are responsible for complying with these risk strategies, and compliance is controlled by the Risk Management and Permanent Controls Officers.

Crédit Agricole Corporate and Investment Bank also carries out active portfolio management, in order to reduce the main concentration risks borne by the Crédit Agricole S.A. Group. The Group uses market instruments, such as credit derivatives or securitisation mechanisms, to reduce and diversify counterparty risk and enable it to optimise its use of capital. Similarly, potential risk concentration is mitigated by syndication of loans with external banks and use of risk hedging instruments (credit insurance, derivatives).

Crédit Agricole S.A. and the Regional Banks seek to diversify their risks in order to limit their exposure to credit and counterparty risks, particularly in the event of a crisis affecting a particular industry or country. To this end, Crédit Agricole S.A. and its subsidiaries regularly monitor their total exposures by counterparty, by trading portfolio, by business sector and by country, using different internal calculation methods depending on the type of exposure (see in particular Section II.2.2 “Credit risk measurement”).

To reduce the risk associated with the deterioration of the quality of its exposure to credit and counterparty risks, the Group may apply a hedging strategy consisting notably of the purchase of credit derivatives (see Credit risks under paragraph II.4.3 “Use of credit derivatives”, Market risks under Section III.2. “Use of credit derivatives” and Asset and liability management Part V “Hedging policy”).

When the risk is proven, an individual or portfolio-based impairment policy is implemented.

In particular, with respect to counterparty risk on market transactions, the Group’s policy on credit reserves constitution on this type of risk is similar to credit risk, with a credit valuation adjustment (CVA) for sound customers that is economically comparable to a collective provision, and for defaulted counterparties, an individual provision sized in accordance with the derivative instrument position, taking into account the CVA amount already provisioned prior to the default.

In case of default, the impairment is assessed in accordance with the same principles as those governing the credit risk provisioning policy: expected loss amount depending on the derivative instrument rank in the waterfall. But it takes into account the CVA process, with two possible outcomes: either derivatives are left in place (CVA or individual impairment), or they are unwound (individual impairment).

II. Credit risk management

1. General principles of risk-taking

All credit transactions require in-depth analysis of the customer’s ability to repay the debt and the most efficient way of structuring the transaction, particularly in terms of security and maturity. This analysis must comply with the risk strategy of the business line or entity concerned and with all limits in force, both individual and aggregate. The final commitment decision is based on an internal rating and is taken by the commitment units or by the Credit Committees, on the basis of an independent opinion given by a representative of the Risk Management and Permanent Controls business line as part of the authorisation system in place. The

Group Risk Management Committee and its Chairman constitute the Group’s ultimate decision-making authority.

Each lending decision requires a risk-return analysis. For the Corporate and Investment bank this means an ex ante calculation of the profitability of the transaction.

In addition, the principle of an individual risk limit applies to all types of counterparty, whether corporates, banks, financial institutions, public sector or semi-public sector entities.

2. Risk measurement methods and systems

2.1 Internal rating systems and credit risk consolidation systems

The internal rating systems cover all of the methods, procedures and controls used for assessment of credit risk, rating of borrowers and estimation of losses given default by the borrower. Governance of the internal rating system relies on the Standards and Methodology Committee (Comité des normes et méthodologies – CNM), chaired by the Head of Group Risk Management and Permanent Controls, who is responsible for the validation and circulation of risk measurement and control standards and methodologies within the Crédit Agricole Group. In particular, the CNM reviews:

- the rules for identifying and measuring risks, in particular, counterparty rating methods, credit scoring and Basel risk parameter estimates (probability of default, credit conversion factor, loss given default) and related organisational procedures;
- the segmentation between retail customers and large customers, with related procedures such as risk consolidation information system data entry;
- the performance of rating and risk assessment methods by reviewing back-testing results at least once a year;
- the use of ratings (validation of common syntaxes, glossaries and benchmarks).

For retail customers, including loans to individuals (in particular, home loans and consumer finance) and small businesses, each entity is responsible for defining, implementing and substantiating its rating system, in accordance with the Group standards established by Crédit Agricole S.A.

LCL and the consumer finance subsidiaries (Crédit Agricole Consumer Finance) have their own rating systems. Crédit Agricole Regional Banks have shared risk assessment models which are managed at Crédit Agricole S.A. level. Procedures for back-testing the parameters used in calculating the regulatory capital requirements have been defined and are operational in all entities. The internal models used by the Group are based on statistical models established on explanatory behavioural variables (e.g. average current account balance) and identifying variables (e.g. business sector). The approach taken can be either customer-centred (individual customers, farmers, small businesses and very small enterprises), or product-centred. The estimated one-year probability of default, to which the rating relates, is updated on a yearly basis.

For the large customer category, a single 15-grade rating scale has been established on the basis of a segmentation of risk so as to provide a uniform view of default risk “over a full business cycle”. It has 13 ratings (A+ to E-) categorising counterparties not in default and two ratings (F and Z) categorising counterparties in default.

Comparison between the Group ratings and the rating agencies

Crédit Agricole Group	A+	A	B+	B	C+	C	C-	D+	D	D-	E+	E	E-
Indicative Moody's rating equivalent	Aaa	Aa1/Aa2	Aa3/A1	A2/A3	Baa1	Baa2	Baa3	Ba1	Ba2	Ba3	B1/B2	B3	Caa/Ca/C
Indicative Standard & Poor's rating equivalent	AAA	AA+/AA	AA-/A+	A/A-	BBB+	BBB	BBB-	BB+	BB	BB-	B+/B	B-	CCC/CC/C
One-year probability of default	0.001%	0.01%	0.02%	0.06%	0.16%	0.30%	0.60%	0.75%	1.25%	1.90%	5.0%	12.00%	20.00%

Within Crédit Agricole Group, the large customer category comprises primarily sovereigns and central banks, corporates, local authorities, specialised financings as well as banks, insurance companies, asset management companies and other financial companies. An internal rating method tailored to each specific risk profile, based on financial and qualitative criteria, is applied to each type of large customer. For large customers, Crédit Agricole Group entities have common internal rating methodologies. Counterparties are rated, at the latest, when they apply for support and the rating is updated with each renewal or upon any event that could affect risk quality. The rating assigned must be approved by a unit independent of the Front Office. The rating is reviewed at least annually. To ensure that each counterparty has a unique Crédit Agricole Group rating, a single Group entity is responsible for rating said counterparty on behalf of all the entities providing it with support.

Whether relating to large customers or retail customers, the rating oversight system implemented by Crédit Agricole S.A., its subsidiaries and the Regional Banks across the entire rating process concerns:

- the rules for identifying and measuring risks, in particular, the methods used;
- the uniformity in the handling of default events on a consolidated basis;
- the proper utilisation of the internal rating methodologies;
- the reliability of data substantiating the internal rating.

The Standards and Methodology Committee, amongst others, ensures that these principles are respected, in particular, when rating methodologies are approved and during annual back-testing.

Furthermore, Crédit Agricole S.A. and its subsidiaries continue to focus on improving the risk-tracking system for:

- the risk management of third parties and groups which is designed to ensure accurate identification of third parties and groups presenting a risk within the entities and to improve cross-functional risk information management on third parties and groups, which is crucial to ensuring rating uniqueness and consistent allocation of exposures to Basel portfolios;
- the closing process, which aims to guarantee the quality of the process of production of the solvency ratio.

The French Regulatory and Resolution Supervisory Authority (ACPR) has authorised the Crédit Agricole Group to use internal rating systems to calculate regulatory capital requirements for credit risk of its retail and large customer portfolios on the greater part of its scope.

Having internal rating systems deployed throughout the Group enables it to implement counterparty risk management based on risk indicators compliant with current regulatory rules. For large customers, the single rating system (identical tools and methods, shared data) which has been implemented for several years now, has helped to improve counterparty monitoring, in particular, for counterparties common to several Group entities. The system has also made it possible to have a common reference framework on which to base standards and procedures, monitoring tools, alert procedures and risk provisioning policies.

Finally, in the corporate and investment banking businesses, expected loss, economic capital and risk-adjusted return measurements are used in the processes for making loan approval decisions, defining risk strategies and setting risk limits.

2.2 Credit risk measurement

The measurement of credit risk exposures includes both drawn facilities and confirmed unutilised facilities.

To measure counterparty risk on market transactions, Crédit Agricole S.A., its subsidiaries and the Regional Banks use different types of approaches to estimate the current and potential risk of derivative instruments (such as swaps and structured products).

Crédit Agricole CIB uses an internal methodology to estimate the risk in relation to such instruments, using a net portfolio approach for each customer:

- current risk corresponds to the sum the counterparty would owe in the event of instantaneous default;
- the potential future risk corresponds to the estimated maximum Crédit Agricole CIB's exposure for a given confidence interval.

The methodology used is based on "Monte-Carlo"-type simulations making it possible to assess the risk related to the changes in the market value of a portfolio of derivatives over the derivatives' residual maturity on the basis of a statistical modelling of the change in underlying market parameters.

This model considers the different risk reduction factors, such as the use of offsetting and collateralisation in agreements negotiated with counterparties prior to transactions taking place. It also includes exchanges of collateral on initial margin for derivative instruments which are not cleared under regulatory thresholds.

Situations of specific risk of unfavourable correlations (risk that an exposure to a derivative is positively correlated with the counterparty's probability of default as a result of a legal tie between this counterparty and the underlying of the derivative) are monitored regularly to identify and integrate such risks in the exposure measurement as recommended by regulations. Situations of general risk of unfavourable correlations (risk that market conditions have a correlated effect on a counterparty's credit quality and derivative exposures with this counterparty) were monitored by means of ad hoc exercises in 2020.

The internal model is used to manage internal limits on transactions with each counterparty and to measure Basel 3 Pillar 2 economic capital by determining the average risk exposure (Expected Positive Exposure) across the portfolio.

As allowed by this regulatory framework, the French Regulatory and Resolution Supervisory Authority (ACPR) authorised Crédit Agricole CIB as of 31 March 2014 to use the internal model method to calculate its capital requirements in respect of counterparty risk. The model uses the Effective Expected Positive Exposure (EEPE) and is applied to all derivatives. The same method is used to calculate credit exposure at default for capital requirement purposes to address the risk of credit value adjustment (CVA).

For the calculation of capital requirements for counterparty risk for repo transactions and derivative transactions at its subsidiaries, Crédit Agricole CIB uses the standardised approach.

Credit risk on these market transactions is managed in accordance with rules set by the Group. The policy on setting counterparty risk limits is as described above in Section II.1 “Credit risk management – General principles of risk-taking”. The techniques used to reduce counterparty risk on market transactions by Crédit Agricole CIB are described in “Credit risk mitigation mechanisms”.

The Crédit Agricole Group includes a Credit Valuation Adjustment (CVA) in its calculation of the fair value of derivative assets. This valuation adjustment is described in the accompanying consolidated Note 1.2 on accounting policies and principles and Note 11.2 on information about financial instruments measured at fair value.

The positive gross fair value of the contracts, as well as the gains from the offsetting and the guarantees held, and the net exposure on derivative instruments after the impact of offsetting and guarantees are discussed in the accompanying consolidated Note 6.9 on Offsetting – Financial Assets. At other Group entities, the base for counterparty risk on market transactions is either calculated by the Crédit Agricole CIB tool under an internal provision of services agreement or based on the regulatory approach.

3. Supervision system of commitments

Rules for dividing and limiting risk exposures, along with specific processes relating to commitments and grant criteria, are used to prevent any excessive concentration of the portfolio and to limit the impact of any underperformance.

3.1 Process for monitoring concentrations by counterparty or group of related counterparties

The consolidated commitments of all Crédit Agricole Group entities are monitored by counterparty and by group of related counterparties. A group of counterparties is a group of French or foreign legal entities that are connected, regardless of their status and economic activity, enabling the total exposure to the risk of default of this group to be measured on the basis of the exposure of one or more of these entities. Commitments to a counterparty or group of related counterparties include all loans granted by the Group as well as corporate finance transactions, bond portfolios, financing commitments and counterparty risks relating to capital market transactions. Exposure limits for counterparties and groups of related counterparties are recorded in the internal information systems of each subsidiary or business line. When several subsidiaries have a counterparty in common, a Group-level aggregate limit is set on the basis of commitment authorisation limits that depend on the internal rating.

Each operating entity reports the amount of its commitments by risk category on a monthly or quarterly basis to the Group Risk Management and Permanent Controls department. Exposures to major non-bank counterparties, *i.e.* those on which the aggregate commitments of Crédit Agricole Group exceed €300 million after offsetting, are reported separately to the Group Risk Management Committee.

At end-2020, the commercial lending commitments of Crédit Agricole S.A., its subsidiaries and the Regional Banks, to their 10 largest non-sovereign, non-bank customers, amounted to 4.86% of the total non-bank commercial lending portfolio (compared with 4.61% at 31 December 2019). The diversification of the portfolio on an individual basis is satisfactory.

3.2 Portfolio review and sector monitoring process

Periodic portfolio reviews conducted by entity or business line strengthen the monitoring process, thus serving to identify counterparties that are underperforming, update counterparty ratings, monitor risk strategies and check on changes in concentration ratios, for instance, by business sector.

Moreover, the Corporate and Investment Bank has a portfolio modelling tool that it uses to test how well portfolios hold up under stress scenarios.

The Regional Banks organise a portfolio review and sector monitoring process at their level, adapted to their risk profile.

3.3 Process for monitoring counterparties in default and on credit watch

Counterparties in default and on credit watch are monitored closely by the business lines, in collaboration with the Risk Management and Permanent Controls Officers. They are also the object of formal monitoring by the entities' Sensitive Exposure Committees and of quarterly monitoring by the Group Risk Committee (CRG) and the Risk Committee on a consolidated basis.

3.4 Consolidated credit risk monitoring process

The Group's credit risk profile is monitored and presented at least every quarter at the Group Risk Management Committee and the Board of Directors' Meetings using the “Group risk dashboard”.

In addition, detailed periodic reviews of banking risks, country risks and the main non-banking risks are conducted during Group Risk Committee Meetings.

3.5 Country risk monitoring and management system

Country risk is the risk that economic, financial, political, judicial or social conditions in a country will affect the Bank's financial interests. This risk does not differ in nature from “elementary” risk (credit, market and operational risks), but is an aggregate of risks resulting from vulnerability to a specific political, social, macroeconomic and financial environment. Country risk covers the assessment of the overall risk environment in a country as opposed to sovereign risk, which refers to a government's counterparty risk.

The system for assessing and monitoring country risk within Crédit Agricole Group is based on its own rating methodology. Internal country ratings are based on criteria relating to the financial strength of the government, the banking system and the economy, criteria relating to ability and willingness to pay, governance and political stability.

Annually reviewed limits and risk strategies are applied to each country whose business volume justifies it, with a few exceptions.

This approach is supplemented by scenario analyses aimed at testing the impact of adverse macroeconomic and financial assumptions. These tests provide the Group with an integrated view of the risks to which it may be exposed in situations of extreme tension.

The Group manages and controls its country risks according to the following principles:

- acceptable country risk exposure limits are determined through reviews of country strategies, depending on the portfolio's vulnerability to country risk. The degree of vulnerability is determined by the type and structure of transactions, the quality of counterparties and the term of commitments. The exposure limits may be reviewed more frequently if developments in a particular country make it necessary. The strategies and limits are validated according to the level of risk by Crédit Agricole CIB's Strategy and Portfolio Committee (*Comités stratégies et portefeuilles* – CSP) and by Crédit Agricole S.A.'s Group Risk Committee (CRG);

- the Corporate and Investment bank maintains a system for regular assessment of country risk and for updating the country risk rating quarterly for each country in which the Group operates. This rating is produced using an internal country rating model based on various criteria (structural solidity, governance, political stability, ability and willingness to pay). Specific events may cause ratings to be adjusted before the next quarterly review;
- Crédit Agricole CIB's Country and Portfolio Risk department validates transactions whose size, maturity and degree of country risk could affect the quality of the portfolio.

Country risk exposure is monitored and controlled in both quantitative (amount and term of exposure) and qualitative (portfolio vulnerability) terms through regular specific reporting on all exposures to countries.

Western European countries with an internal rating (below B) qualifying them for close country risk monitoring undergo a separate ad hoc monitoring procedure. Exposure to sovereign and non-sovereign risk in these countries is detailed in Note 6.7 to the consolidated financial statements.

Moreover, exposures to other countries rated below B are detailed in Chapter III paragraph 2.4 "Country risk" below.

3.6 Credit risk stress testing

Credit risk stress testing is primarily based on satellite models that link changes in credit risk parameters to macroeconomic and financial variables. These models are independently reviewed and approved by the Standards and Methodology Committee in the same way as the Basel models. In addition, the quantitative stress testing system is back-tested each year. Moreover, since 1 January 2018 these models contribute to the calculation of ECLs according to IFRS 9 (see Part IV 1. below).

In line with EBA methodology, the credit risk stress tests employ Basel parameters (PD, LGD, EAD) and aim to estimate changes in the cost of risk including provisions for assets not in default and the impact on risk-weighted assets.

For the purposes of credit risk monitoring and management, the Group Risk Management department carries out a series of stress tests in cooperation with the relevant business lines and entities.

A global credit risk stress test is carried out at least once a year as part of the budgetary process. The works, coordinated by the Group Risk Department, involve all Crédit Agricole Group entities and all Basel portfolios, whether they are treated for regulatory purposes using the IRB or Standardised method. The period examined is set at three years. The stress process is part of corporate governance and aims to improve dialogue between risk and finance on the sensitivity of the cost of risk and capital requirements to a downturn in the economic climate. In addition to being used for budgetary purposes and to manage capital requirements, the results of global credit risk stress tests are used to calculate economic capital (Pillar 2). They are reviewed by the Executive Committee and are also reported to Crédit Agricole S.A. Board of Directors.

4. Credit risk mitigation mechanism

4.1 Collateral and guarantees received

Guarantees or collateral are intended to provide partial or full protection against credit risk.

The principles governing the eligibility, utilisation and management of collateral and guarantees received as security are defined by Crédit Agricole Group's Standards and Methodology Committee (CNM), (in accordance with the CRR/CRD 4 system for the calculation of the solvency ratio).

This common framework, defined in Group standards, ensures a consistent approach across the various Group entities. It notably documents the conditions for prudential recognition, and the valuation and revaluation methods of all the credit risk mitigation techniques that are used: collateral (notably for the financing of assets: property, aircraft, ships, etc.), personal guarantees, public export credit insurers, private credit insurance policies, financial guarantee insurance, credit derivatives, and cash collateral.

The entities are in charge of implementing this framework at the operational level (management, monitoring of valuations, implementation).

Details of guarantee commitments received are provided in Notes 3.1 and 9 to the financial statements.

Regarding financial assets obtained by enforcement of guarantees or credit enhancement measures, the Group's policy is to sell them as soon as possible.

4.2 Use of netting agreements

If a "master" agreement has been signed with a counterparty and said counterparty defaults or enters bankruptcy proceedings, Crédit Agricole S.A., its subsidiaries and the Regional Banks apply close out netting, enabling them to terminate current contracts early and to calculate a net balance on the debts and debt obligations in respect of this counterparty. They also use collateralisation techniques to enable securities or cash to be transferred in the form of collateral or transfer of full ownership during the lifetime of the hedged transactions, which can be offset, in the event of default by one of the parties, in order to calculate the net balance of reciprocal debt and debt obligations resulting from the master agreement signed with the counterparty.

4.3 Use of credit derivatives

In managing its corporate financing portfolio Crédit Agricole CIB uses credit derivatives together with a range of risk-transfer instruments, including, in particular, securitisation (see Information under Pillar 3 of Basel 3). The aim is to reduce concentration of corporate credit exposure, diversify the portfolio and reduce loss levels.

At 31 December 2020, the notional amount of protection bought in the form of credit derivatives was €6.8 billion (€6.4 billion at 31 December 2019), the notional amount of short positions was zero (the same at 31 December 2019).

Crédit Agricole CIB processes its derivatives through ten leading, competent and regulated bank counterparties. Furthermore, 60% of these derivatives are processed through clearing houses (62% at 31 December 2019).

These credit derivative transactions carried out as part of credit risk mitigation transactions are subject to adjustment calculation under Prudent Valuation, to cover market risk concentrations.

The outstanding amounts of credit derivatives are shown in the accompanying consolidated Note 3.2 "Derivative instruments: total commitments".

III. Exposures

1. Maximum exposure

The maximum exposure of Crédit Agricole S.A., its subsidiaries and the Regional Banks to credit risk corresponds to the net carrying amount of financial assets (loans and receivables, debt instruments and derivative instruments) before the effect of non-recognised netting agreements and collateral. It is shown in Note 3.1 to the financial statements.

At 31 December 2020, the Crédit Agricole Group's maximum exposure to credit and counterparty risk amounted to €2,102 billion (€1,995 billion at 31 December 2019), an increase of 5.4% compared to 2019.

2. Concentration

An analysis of credit risk on commercial lending commitments excluding the Crédit Agricole Group internal transactions and collateral given by the Crédit Agricole Group as part of repurchase agreements (loans and receivables to credit institutions, loans and receivables to customers, financing commitments given, and guarantee commitments given for €1,592.9 billion) is presented below. This scope excludes in particular derivative instruments, which are mainly monitored in VaR (see market risks) and financial assets held by insurance companies (€245 billion excluding unit-linked policies and UCITS – see “Insurance sector risks”).

2.1 Portfolio diversification by geographic area

On the commercial lending portfolio (including bank counterparties), the breakdown by geographic area covers a total portfolio of €1,570.0 billion at 31 December 2020, compared with €1,453.6 billion at 31 December 2019. The breakdown reflects the country in which the commercial lending risk is based.

Breakdown by geographic area of commercial lending of the Crédit Agricole Group

Geographic area of exposure	2020	2019
Africa and Middle East	2%	2%
Central and South America	1%	1%
North America	3%	5%
Asia and Oceania excluding Japan	3%	3%
Eastern Europe	1%	1%
Western Europe excluding Italy	8%	9%
France (retail banking)	40%	40%
France (excluding retail banking)	33%	28%
Italy	7%	8%
Japan	2%	3%
TOTAL	100%	100%

The breakdown of commercial lending by geographic area was unchanged. At end-2020, lending in France accounted for 73% of the total, vs. 68% at end-2019. Commercial lending in Italy, the Group's second largest market, stood at 7%, and 8% at end-2019.

Note 3.1 to the financial statements presents the breakdown of loans and receivables and commitments given to customers and credit institutions and by geographic area on the basis of accounting data.

2.2 Portfolio diversification by business sector

On the commercial lending portfolio (including bank counterparties outside the Group) the scope broken down by business sector stood at €1,581.8 billion at 31 December 2020, versus €1,427.6 billion at 31 December 2019. These breakdowns reflect the business sector in which the commercial lending risk to customers is based.

Breakdown by business sector of commercial lending of the Crédit Agricole group

Business sector	2020	2019
Aerospace	1.1%	1.3%
Agriculture and food processing	2.4%	2.5%
Insurance	0.8%	0.7%
Automotive	1.9%	1.8%
Other non-banking financial activities	5.2%	6.3%
Other industries	1.0%	1.0%
Other transport	1.0%	0.9%
Banks	1.4%	1.6%
Wood/Paper/Packaging	0.2%	0.2%
Building and public works	1.3%	1.3%
Retail/Consumer goods industries	1.8%	1.7%
Other	2.7%	2.6%
Energy	4.2%	4.6%
<i>o/w Oil and Gas</i>	2.7%	3.0%
<i>o/w Electricity</i>	1.5%	1.6%
Real estate	4.1%	4.5%
Heavy industry	1.5%	1.6%
IT/Technology	0.7%	0.9%
Shipping	0.9%	1.1%
Media/Publishing	0.2%	0.3%
Healthcare/Pharmaceuticals	1.2%	1.2%
Non-trading services/ Public sector/Local authorities	19.1%	14.5%
Telecom	0.9%	1.1%
Tourism/Hotels/Restaurants	0.8%	0.7%
Utilities	0.3%	0.3%
Retail banking customers	45.2%	47.2%
TOTAL	100%	100%

The commercial lending portfolio by business sector is well diversified and remained overall unchanged in 2020. Only two sectors accounted for more than 10% of business, as in 2019: the “Retail banking customers” business, which was the largest at 45.2% (47.2% in 2019) and the “Non-trading services/public sector/local authorities” business, the second largest, for which the share rose to 19.1% from 14.5% of the total in 2019, due in particular to an increase in central bank deposit business and the State-guaranteed loans.

- The decrease in our commitments to banks is largely due to the significant decline in Crédit Agricole CIB's deposit activity with the Central Bank of Japan.
- The “Oil and gas” sector is the main component of the “Energy” exposure. This sector comprises a wide diversity of underlyings, players and types of financing, some of which, such as the RBL (Reserve-Based Lending, legacy assets in the United States), are usually secured by assets. Most of the exposure in the oil sector relates to players that are structurally less sensitive to the drop in oil prices (public sector companies, large international companies, transportation/storage/refinery companies). On the other hand, clients focused on exploration/production and those dependent on industry investment levels (oil services) are the most sensitive to market conditions. After a severe crisis that affected the oil sector in 2016, and despite an unprecedented fall in barrel prices in the first half of 2020, customers performed well and our portfolio showed good resilience. Reinforced monitoring of the sector is maintained in the context of the significant fall in prices recorded at the beginning of 2020 (prices recovered well in the second half of the year). Guided by a risk-based strategy and due to price volatility, the “Oil and Gas” sector is subject to a very selective approach to projects and any significant new transactions are subject to an in-depth analysis of credit and CSR risk where necessary.
- The “Electricity” sector is another component of the exposure to “Energy” but with its own characteristics, without contagion to the sensitive oil and gas segments. Half of the exposure focuses on large integrated or diversified groups.
- The “Real Estate and Tourism” portfolio consists mainly of specialised financing of quality assets to real estate investment professionals; other financing on a corporate basis is mainly granted to large real estate companies and is often accompanied by interest rate hedges. The context of the health crisis has significantly slowed investments and leases, shops have been hit hard due to the consequences of the lockdowns, and the tourism industry has been strongly impacted on an international scale.
- The “Aviation” sector financing involves either financing of very high-quality assets, or financing of some of the world's leading aircraft or equipment manufacturers.

■ The “Automotive” portfolio has been the focus of particular attention since the end of 2018. It is still deliberately focusing on the major car manufacturers, with limited development in terms of the main equipment manufacturers.

■ The current position of the “Shipping” sector is the result of the expertise and background of Crédit Agricole CIB in mortgage financing for ships, which it provides to its international ship-owning customers. After 10 difficult years, maritime transport is showing signs of recovery that are still moderate and varied depending on the sector. Against this background, the strategy of gradually reducing exposure, effective since 2011, was continued. However, this portfolio is relatively protected by its diversification (financing of oil and gas tankers, offshore vessels, bulk carriers, container ships, cruise ships, etc.), as well as by the quality of ship financing structures, secured by mortgages and coverage from credit insurers.

■ The “Heavy Industry” sector mainly comprises large global steel, metal and chemical groups. Within the sector, commitments in the Coal segment continue to be reduced, in line with the Crédit Agricole Group's CSR policy.

2.3 Breakdown of loans and receivables outstanding by customer type

Concentration by customer type of loans and receivables on credit institutions and customers are presented in Note 3.1 to the financial statements.

The gross amount of loans and receivables outstanding (€1,075.4 billion at 31 December 2020, including related receivables, compared with €1,023.8 billion at 31 December 2019) increased by 5.0% in 2020. It is split mainly between corporates and retail customers (respectively, 31.0% and 56.7%).

2.4 Exposure to country risk

At 31 December 2020, commercial lending (including to bank counterparties) to Crédit Agricole group customers in countries with ratings below B according to the Group's internal ratings, excluding countries in Western Europe (Italy, Spain, Portugal, Greece, Cyprus and Iceland), totalled €63.3 billion versus €67.5 billion at 31 December 2019. Most of these commitments come from Crédit Agricole CIB, UBAF (47%-owned by Crédit Agricole CIB) and International retail banking. They include guarantees received which are deducted (export credit insurance, cash deposits, securities pledged, etc.).

The concentration of total exposures in these countries was generally stable in 2020: the top 20 countries accounted for 93.9% of the lending portfolio at end-2020, compared with 96.0% at end-2019.

Three geographic areas are dominant: Middle East/North Africa (36%), Asia (25%) and Central and Eastern Europe (26%).

Changes in commercial lending for countries with a credit rating lower than B (in millions of euros)

Date	Northern Africa/ Middle East	Sub-Saharan Africa	Americas	Asia	Central and Eastern Europe	TOTAL
2020	22,972	1,643	6,231	16,027	16,454	63,327
2019	23,386	1,914	6,911	16,299	19,037	67,547

The Middle East and North Africa

Cumulative commitments in countries in the Middle East and North Africa totalled €23.0 billion at 31 December 2020, down 2% on end-2019. Morocco, Saudi Arabia, United Arab Emirates, Egypt and Qatar accounted for 87% of commitments in the Middle East and Northern Africa area.

Central and Eastern Europe

Cumulative commitments in central and Eastern Europe rose 26% from the previous year. The Group's commitments remain concentrated in four countries: Poland, Russia, Ukraine and Serbia, which together represented 92% of the total in this region.

Asia

Commitments in Asia were down 2% to €16.0 billion from 31 December 2019. This change was mainly due to a decrease to exposures to India. China remains the largest regional exposure (at €11.7 billion) ahead of India (€3.2 billion).

Latin America

At end-December 2020, exposure to this region represented 10% of all exposure to countries rated lower than "B". The decrease in commitments recorded was 10% compared to end-2019, mainly due to an decrease in commitments to Brazil and Mexico. Exposure to Brazil and Mexico made up 89% of the Latin America total, against 90% at end-2019.

Sub-Saharan Africa

The Group's commitments in Sub-Saharan Africa totalled €1.6 billion at 31 December 2020, i.e. 3% of the total for countries with a rating below B, as was the case at end-2019. Exposure to South Africa accounted for 28% of commitments in this region.

3. Credit quality

3.1 Analysis of loans and receivables by category

The breakdown of loans and receivables to credit institutions and customers is presented as follows:

Loans and receivables (in millions of euros)	31/12/2020	31/12/2019
Neither past due nor impaired	1,040,659	987,386
Past due but not impaired	11,016	12,932
Impaired	23,733	23,504
TOTAL	1,075,408	1,023,822

The portfolio of loans and receivables at 31 December 2020 was 96.8% made up of amounts that were neither past due nor impaired, compared with 96.4% at end-2019.

Under IFRS 7, a financial asset is past due when a counterparty has failed to make a payment when contractually due. The Group considers there to be no identified credit risk on loans and receivables that are less than 90 days past due, which account for 99.8% of receivables past due but not impaired (versus 99.9% at end-2019).

Details of financial assets that were past due or impaired are presented in Note 3.1 to the financial statements.

3.2 Analysis of outstanding amounts by internal rating

The internal rating policy used by the Crédit Agricole Group aims to cover the entire Group customer portfolio, i.e. retail customers, corporates, banks and financial institutions, government agencies and local authorities.

On the performing commercial lending portfolio excluding retail customers (€869.5 billion at 31 December 2020, compared with €788.1 billion at 31 December 2019), internally-rated borrowers accounted for 91.7% of the total, compared with 86.7% at end-2019 (€796.0 billion at 31 December 2020, compared with €683.4 billion at 31 December 2019). The breakdown of this portfolio is presented according to the Standard & Poor's equivalents of the Group's internal ratings:

Change in the performing non-retail commercial lending portfolio of the Crédit Agricole Group by indicative S&P equivalent of the 2020 internal rating

	31/12/2020	31/12/2019
AAA	35.6%	28.6%
AA	14.4%	15.9%
A	9.3%	11.6%
BBB	23.0%	27.1%
BB	14.5%	14.0%
B	1.9%	1.5%
On credit watch	1.4%	1.3%
TOTAL	100.0%	100.0%

This breakdown reflects a high-quality loan book, with a risk profile showing an increase of more than one point in AAA ratings. At 31 December 2020, 82.2% of lending was to borrowers with investment-grade ratings (ratings equal to or greater than BBB, 83.3% at 31 December 2019), and only 1.4% pertained to borrowers on credit watch.

3.3 Impairment and risk coverage

3.3.1 Impairment and risk hedging policy

The policy for hedging loan loss risks is based on two kinds of value adjustments for credit losses:

- impairment allowances on an individual basis intended to cover probable losses on impaired loans;
- impairment allowances for credit losses, pursuant to IFRS 9, following a significant decline in the loan quality for a transaction or loan book. These impairments are designed to cover the risk profile of commitments in certain countries, business sectors or counterparties, not because they are in default but because their ratings have been downgraded. Loan book-based impairments are also performed in retail banking. These impairments are for the most part calculated on a statistical basis, based on the expected loss amount up to the transaction's maturity, using Basel criteria to estimate the probability of default (PD) and the loss given default (LGD).

3.3.2 Impaired loans and receivables

At 31 December 2020, total individually impaired commitments amounted to €23.7 billion, compared with €23.5 billion at 31 December 2019. These consist of commitments for which the Group sees potential non-recovery. Individually impaired receivables represent 2.2% of the Group's gross book value, vs. 2.3% at 31 December 2019.

Restructured loans⁽¹⁾ totalled €14.3 billion at 31 December 2020.

(1) The definition of restructured loans is detailed in Note 1.2 "Accounting policies and principles" to the consolidated financial statements.

4. Cost of risk

The main factors that had an impact on the level of impairment observed during the year:

4.1 Main economic and industry-specific factors of 2020

A description of the overall environment and macroeconomic outlook is detailed in Chapter 1 “Management report”, section “Economic and financial environment” above.

2020 was shaped by the consequences of the health crisis that had very variable effects depending on the portfolios. In an environment where the recovery remains very uncertain and will depend on the evolution of the pandemic and the ability of authorities to control it, the pace at which support plans are discontinued and the time it takes to return to normal economic conditions will be key in 2021.

The main sectors to watch will be: tourism and transport, automotive, aerospace, distribution and retail, shipping and commercial real estate.

4.2 Figures and facts

In a year significantly impacted by the health and economic crisis, the Crédit Agricole Group's cost of risk was €3.65 billion at 31 December 2020, compared to a pre-crisis level of €1.76 billion in 2019, which is a 108% increase (x2.1). All the Group's business lines were affected to various degrees by the crisis, resulting in significant adjustments to provisions other than for default, primarily in order to take account of the deterioration in the economy reflected in the macroeconomic indicators, and increased hedging for the subsidiaries most exposed to the crisis. Thanks to the various economic support plans, notably implemented through the Banks in the form of State-guaranteed loans and deferred repayment, the actual cost of risk proved to be resilient with a limited increase of 6.5% the Group level in 2020.

Within the scope of the Regional Banks, the increase in the cost of risk was 108% (x2.08), reaching €1,039 million in 2020, 78% of which was mainly attributable to non-defaulting customers. At LCL, the other French retail banking network of the Group, the cost of risk increased by 80% to €390 million, from €217 million in 2019. At Crédit Agricole Italia, cost of risk increased by 70% to €428 million, versus €251 million. The Corporate and Investment Bank, after a very favourable year in 2019 in terms of risk (€165 million) was highly exposed in 2020 with a cost of risk totalling €856 million (x5.2), affected in sectors exposed to the crisis, particularly outside France, with increased default and fraud cases identified during the crisis. Within the Specialised Financial Services division, the change primarily concerns the consumer finance business (the Crédit Agricole Consumer Finance Group), where the cost of credit risk increased by 41% to €637 million, particularly for its Italian subsidiary Agos Ducato (+85%), which was affected to a greater extent than the French branch (+13%), where aid was more widespread and offered better protection.

Details of the movements that affected the cost of risk are presented in Note 4.9 to the financial statements. This is broken down by business line in Note 5.1 to the financial statements.

5. Counterparty risk on derivative instruments

The counterparty risk on derivative instruments is established according to market value and potential credit risk calculated and weighted in accordance with regulatory standards. The measure relating to this credit risk is presented above in Section 2.2 “Credit risk measurement” of Section II “Credit risk management”.

IV. Application of IFRS 9

1. Credit risk rating measurement

The Group used four scenarios for calculating IFRS 9 provisioning parameters with projections for 2022.

These four scenarios incorporate differentiated assumptions of the impacts of the COVID-19 crisis on the economy in terms of the speed and extent of the return to normality of travel, business activity and consumption, and largely depend on how the health situation develops, which is still very uncertain today (taking into account a second lockdown, but also favourable prospects related to the discovery of vaccines at the end of the year). The level of confidence of economic agents is also decisive which – depending on health, economic and employment expectations – results in different levels of wait-and-see and cautious behaviour. This in turn determines the propensity of households to consume the abundant savings they accumulated during the lockdown and the capacity of businesses to invest. The scale, effectiveness and timing of government stimulus support programmes also have a significant impact on the development of activity.

The rebound in Q3 2020, enabled by the lifting of lockdowns in most European countries, was stronger than expected. In France, GDP rebounded by 18.2% in Q3 versus Q2, after a -13.7% decline in Q2 versus Q1. The extent of the second wave led to significant restrictions in Europe in Q4. In France, it seemed likely that the second lockdown would be extended beyond early December, in order to control levels as the virus started to circulate again (target of maximum 5,000 infections per day). With an assumption of a lockdown until mid-December, France's GDP was expected to drop by about -8% in Q4 vs. Q3. Average annual growth in 2020 was not expected to be affected much (-10.1% decline vs. -9.1% forecast in September), but the carry-over effect (*i.e.* 2021 annual growth if quarterly GDP is equal to that of Q4 2020, therefore zero quarterly growth) for 2021 is negative (-1.6%).

■ The **first scenario** describes a gradual but not synchronised recovery from the crisis, with the growth profile strongly dependent on health assumptions, for which uncertainty is high. Moreover, health developments and measures taken are not identical among European countries.

Scenario 1 assumes the pandemic will persist in 2021 with a “stop and go” scenario during Q1 and Q2 (alternating relaxation, restrictions and short lockdown periods), but less detrimental than in 2020 (better control of epidemic flows, fewer restrictions on mobility). Even with a vaccine on the market, we assume that a large roll-out would not take place until mid-2021.

For 2021, a GDP growth forecast for France of 4.6%, compared to the 7.3% forecast used for late June, including a fairly clear rebound for Q1 2021, but more moderate than for Q3 2020, due to a cautious lifting of the lockdown – with ongoing restrictive curfew-type measures likely – and in Q2 2021 a third wave (particularly related to weather conditions and insufficient effectiveness of the testing strategy) is assumed to result in a new, shorter episode of lockdown and a decline in GDP. Lastly, in H2 2021 a rebound (lockdown measures lifted again) and an improvement in the situation due to vaccination campaigns. But a cautious recovery, despite support measures: some sectors will remain markedly weakened (aeronautics, automotive, trade, tourism, hotels, restaurants, culture, etc.); uncertainty about a resumption of investments despite the stimulus plan; bankruptcies; continued high precautionary savings by households in light of rising unemployment, limiting the use of the savings accumulated during successive lockdowns.

As a result, the ECB would move towards more easing and more purchases of sovereign debt securities. Indeed, with the outlook for growth and inflation still bleak, future sovereign debt issuance should induce the ECB to do more. We do not expect a rate cut in the foreseeable future. Net asset purchases under the PEPP (€750 billion in March to €1,350 billion in June) are due to end in June 2021. This scenario assumes that the ECB will increase its purchasing programmes during H2 2021 as well as 2022 (via an extension and expansion of the PEPP or a simple increase in the APP).

Since the peak of risk aversion in March, the yield on the 10-year Bund did try to recover but has been systematically reduced to -0.50%/0.60%. No view on the evolution of the pandemic, on the growth profile of 2021 and, more generally, a very high degree of uncertainty. Also, the Bund remains at a very low level.

- The **second scenario** involves more negative health developments and more stringent restrictive measures.

The second scenario uses identical forecasts to those of the first scenario for the year 2020. The profile for 2021 is assumed to be fairly comparable to Q1 2021 (cautious lifting of the lockdown), but in Q2 2021, a stronger and faster third wave is assumed, resulting in a more serious lockdown of about two months, versus a month in the central scenario. Scenario 2 would result in a much sharper decline in GDP in Q2, but also followed by a stronger rebound in Q3.

In this scenario, for 2021: there would be an average GDP increase expected at 3% vs. 4.6% in Scenario 1.

- The **third scenario** is slightly more favourable than scenario 1 and assumes a significantly stronger recovery in 2021 (GDP growth in France of 7.1% due to faster control of the health situation).
- The **fourth scenario**, the least likely, is characterised by a slightly stronger decline in activity in 2021 and an additional shock in France that would involve rekindled social tensions, blockages, and strikes. In France, in this scenario, domestic demand will fall sharply in H1 2021. There is a persistent circulation of the virus. State support measures are not renewed in 2021 and, lastly, an increase in unemployment and bankruptcies is observed.

With no visibility and with excess capacity, there is a marked downward revision of investments.

Households remain very cautious with few major purchases.

There are also renewed social tensions and a freezing of the reform programme. Lastly, at the national level, there is a downgrade of the credit rating by a notch.

In this scenario, in France, the gradual recovery is postponed in 2021 (average growth of just 1.9% in GDP), with the activity trend level weighed down by a sharper increase in unemployment (12.5% in 2021 after 10% in 2020).

In addition, concerning:

- the inclusion of support measures in IFRS 9 projections: the process was revised in 2020 to better reflect the impact of government programmes in IFRS 9 forecasts. The effect of this revision is to mitigate the sudden intensity of the crisis and the strength of the recovery, and to spread these over a longer period (three years). The variables relating to the interest rates level, and more generally all the variables linked to the capital markets, have not been modified, because their forecasts already structurally include the effects of the support policies;
- **sector and local scenarios:** as noted above, sector complements established at the local level ("forward looking local") by some Group entities can supplement the centrally defined macroeconomic scenarios.

At the end of December 2020, including the local forward looking scenarios, the share of Stage 1/Stage 2 provisions on the one hand (provisioning for performing loans) and Stage 3 provisions on the other hand (provisioning for proven risks) represented 34% and 66% respectively of the Crédit Agricole Group's total stock of provisions.

At the end of December 2020, net additions to provisions for Stage 1/ Stage 2 represented 45% of the Crédit Agricole Group's annual cost of risk and 55% for the Stage 3 share of proven risks and other provisions.

Sensitivity analysis of ECL amounts for IFRS 9 provisions (Stages 1 and 2)

Scenario 1 was weighted at 55% for the calculation of IFRS ECL amounts for Q4-2020. By way of example, the 10-point reduction in the weighting of Scenario 1 in the calculations at Q4 2020 in favour of the more unfavourable Scenario 2, lead to a rise in the ECL stock under "forward looking central" of around **0.7%** for the Crédit Agricole Group. However, such a change in the weight would not necessarily have a significant impact due to "forward looking local" adjustments, which could mitigate the effect.

Criteria used to assess the disappearance of a significant deterioration in credit risk

They are symmetrical to those determining entry into Stage 2. In the event that this has been triggered by restructuring due to financial difficulty, the disappearance of the significant deterioration implies the application of a probationary period according to the methods described in the appendices of the financial statements (see CA financial statements at the end of 2020 § 1.2 Financial instruments) describing the conditions for exiting a restructuring situation due to financial difficulties.

2. ECL trends

Changes in the structure of outstanding amounts and ECL during the period are detailed in Part 3.1 of the financial statements as at 31 December 2020.

The comments below pertain to the scope of financial assets at amortised cost (loans and receivables on customers), which represent around 90% of the value adjustments for losses.

Loan structure

2020 was a particularly atypical year with continued momentum in loan activity, notably with the support through the granting of State-guaranteed loans (€28.5 billion for the Crédit Agricole group). The group's exposure increased by €52.6 billion over the year, of which €54.1 billion in the French network banks.

Despite the crisis, changes observed in the portfolio structures were limited during the year: the weighting of performing loans with lowest risk (Stage 1) remained very close to the pre-crisis level, at 90.3% versus 90.7% at the beginning of the year, with growth of €44 billion (+5.2%).

The share of performing loans showing signs of a significant deterioration in credit risk (Stage 2) slightly increased during the year (7.3% versus 6.9% at the beginning of the year), corresponding to an €8 billion increase in the total (+12.4%), mainly for the Corporate and Investment Bank and the leasing business, reflecting the adverse developments observed in certain targeted portfolios (either via ratings or additional hedges resulting in a lower rating). Conversely, the French retail banks posted a reduction in this category (-€2.2 billion).

Impaired loans (Stage 3) remained relatively stable despite the crisis (up by only 1.4%, or €0.3 billion), including targeted increases in Large Customers (+€0.8 billion, or 22%) and the Consumer Finance business (+€0.2 billion, or 8%), partially offset by a reduction in defaulted outstandings for LCL (-5%) and the International Banking Network (-10% effect from the disposal of a portfolio of non-performing loans in Italy).

ECL trends

Value adjustments on the best-rated counterparties (Stage 1) increased sharply (+32%) due to increased outstandings, but mainly with the incorporation of the macroeconomic scenarios designed during the crisis into the ECL calculation parameters. The hedging ratio increased to 0.26% versus 0.21%.

Stage 2 ECLs also rose, due to the increase in outstandings, the update of the macroeconomic scenarios in the calculation parameters, as well as increased local hedging on the sectors most affected by the crisis. The

Stage 2 coverage ratio averaged at 6.04% at Group level compared to 5.69% at the beginning of the year. Furthermore, parameter adjustments were made in the fourth quarter to factor in the new definition of default.

The coverage ratio for impaired loans (Stage 3) decreased for the Crédit Agricole Group (55.2% versus 59% at end-2019), reflecting the use of the new definition of default within the Group from Q3 2020, with, in particular, the introduction of the notion of an observation period for impaired loans. This segment has lower provision ratios than the rest of Stage 3 due to its types of exposures, which should ultimately be reclassified to Stage 2.

2.5 MARKET RISKS

Market risk is the risk of a negative impact on the income statement or balance sheet of adverse fluctuations in the value of financial instruments following changes in market parameters, particularly:

- **interest rates:** interest rate risk is the risk of a change in the fair value of a financial instrument or the future cash flows from a financial instrument due to a change in interest rates;
- **exchange rates:** foreign exchange risk is the risk of a change in the fair value of a financial instrument due to a change in exchange rates;
- **prices:** price risk is the risk of a change or volatility in the price of equities, commodities, baskets of equities or stock market indices. The instruments most exposed to this risk are, in particular, variable-income securities, equity derivatives and commodity derivatives;
- **credit spreads:** credit risk is the risk of a change in the fair value of a financial instrument resulting from movement in the credit spreads on indices or issuers. For more complex credit products there is also the risk of a change in fair value arising from a change in correlation between issuer defaults.

I. Objectives and policy

Crédit Agricole S.A. has a specific market risk management system with its own organisation independent of operational hierarchies, risk identification and measurement methods, monitoring and consolidation procedures. In terms of scope, this system hedges all market risk.

In a market context marked by the health crisis, unprecedented global recession, the US elections, Brexit, high volatility on the financial markets and the massive government and central bank support to fight against the effects of the economic crisis, the Crédit Agricole Group continued to apply a prudent market risk management policy, in line with its risk appetite.

II. Risk management

1. Local and central organisation

Crédit Agricole S.A. has two distinct and complementary levels of market risk management:

- **at the central level**, the Group Risk Management and Permanent Controls department ensures coordination on all subjects related to the management and control of cross-functional market risks. It standardises data and data processing to ensure consistency of both consolidated risk measurement and controls. It keeps the executive bodies (Executive Management of Crédit Agricole S.A.) and decision-making bodies (Board of Directors and its Risk Committee) up-to-date on the market risk position;

- **at the local level**, for each Crédit Agricole S.A. entity, a Risk Management and Permanent Controls Officer manages the monitoring and control of market risks arising from the entity's businesses. Within the Crédit Agricole Corporate and Investment Bank subsidiary, the Risk Management and Permanent Controls department includes the Market and Counterparty Risks (MCR) department which is responsible for identifying, measuring and monitoring market risks. This department provides assistance in monitoring the market risks of international retail banks in addition to the local risk teams, as well as for the trading portfolios of the Financial Steering department of Crédit Agricole S.A., whose transactions are managed in the IT system of Crédit Agricole Corporate and Investment Bank.

Within the MCR department, these various activities break down as follows:

- a. **risk management**, to monitor and control market risk for all product lines worldwide: limit proposals, which are approved by the Market Risk Committee and monitored for their compliance, analysis of limit breaches as well as significant variations in results which are brought to the attention of the Market Risk Committee;
- b. **monitoring of activity**: in charge of producing daily management income and risk indicators for all activities held to market risk limits and of monitoring and validating the market parameters used to produce profit and loss account and risk indicators. This ensures an autonomous production process based on a market database updated daily, which is independent of the Front Office.
Lastly, the process is used in conjunction with the Finance department during monthly procedures to align net management income and net accounting income;
- c. **cross-functional teams**, responsible for coordinating the methods and processes between product lines and units. These teams are responsible for reporting regulatory indicators produced independently by the MCR department. This includes the following:
 - the team responsible for validating pricers,
 - the team in charge of the internal model (VaR, stressed VaR, stress scenarios, IRC, etc.),
 - the Market Data Management team, which controls market data independently,
 - the International Consolidation team, primarily tasked with producing the department's consolidated information;
- d. **the COO (Chief Operating Officer) and his/her team**, responsible for coordinating Group-wide issues: projects, new activities, budgets, reports and committees.

The IT architecture put in place within Crédit Agricole Corporate and Investment Bank for market risk management is based on sharing the platforms used in the Front Office, on which risk indicators are calculated.

The independence of the process is based on the selection of market data and the validation of valuation models by the Risk department.

Group procedures define the level of information, format and frequency of the reports that entities must transmit to Crédit Agricole S.A. (Group Risk Management and Permanent Controls department).

2. Decision-making and Risk Monitoring Committees

Four governance bodies are involved in the management of market risk at Crédit Agricole S.A. level:

- the Group Risk Committee, chaired by the Chief Executive Officer of Crédit Agricole S.A., approves the aggregate limits (VaR and Stress) on each entity's market risks when it presents its risk strategy and makes the main decisions in the matter of risk containment. It examines the market situation and risks incurred on a quarterly basis, in particular through the main indicators for monitoring market risk, the utilisation of limits and any significant breaches of limits and incidents;
- alerts in connection with market risk are reported to Executive Management during Executive Committee meetings, potentially every two weeks;
- the Alert Monitoring Committee, chaired by the Head of Group Risk Management and Permanent Controls reviews all reported alerts on a monthly basis;
- the Standards and Methodology Committee, chaired by the Head of Group Risk Management and Permanent Controls, is in particular responsible for approving and circulating standards and methodologies concerning the supervision and permanent control of market risks. Crédit Agricole Corporate and Investment Bank is in charge of validating the prudential standards and models implemented within the scope of market activities.

In addition, each entity has its own Risk Committee. The most important of these is Crédit Agricole Corporate and Investment Bank's Market Risk Committee (CRM), which meets once monthly and is chaired by the Management Committee member in charge of risks. It is made up of Crédit Agricole Corporate and Investment Bank's head of capital market activities and the market risk managers. This Committee reviews Crédit Agricole Corporate and Investment Bank's positions and the profit and loss account of its capital market activities and verifies compliance with the limits assigned to each activity. It has the authority to make decisions on requests for increases in operational limits.

III. Market risk measurement and supervision methodology

1. Indicators

The market risk measurement and supervision system is based on a combination of several indicators, most of which are subject to global or specific limits. It relies principally on Value at Risk (VaR), stressed VaR, stress scenarios and complementary indicators (risk factor sensitivity, combined qualitative and quantitative indicators) and a process that values all positions in each entity giving rise to market risks. The permanent control process includes procedures to validate and back-test models.

1.1 VaR (Value at Risk)

The central element of the market risk measurement system is the historical Value at Risk (VaR). VaR can be defined as the maximum theoretical loss on a portfolio in the event of adverse movements in market parameters (interest rates, exchange rates, asset prices, etc.) over a given time frame and for a given confidence interval. Crédit Agricole S.A.

uses a confidence interval of 99% and a time frame of one day using one year of historical data. In this way, market risks incurred by Crédit Agricole S.A. in its trading activities can be monitored on a daily basis by quantifying the estimated maximum level of loss in 99 out of 100 cases, after inclusion of a number of risk factors.

The process of measuring a historical VaR for risk positions on a given date is based on the following principles:

- compilation of a historical database of risk factors on positions held by the entities of Crédit Agricole S.A. (interest rates, share prices, foreign exchange rates, commodity prices, volatilities, credit spreads, correlation, etc.);
- determination of 261 scenarios corresponding to one-day changes in risk factors, observed over a rolling one-year period;
- adjustment of parameters corresponding on the date according to the 261 scenarios;
- remeasurement of the day's positions based on the 261 scenarios.

The 99% VaR figure based on the 261 scenarios is equal to the average of the second and third worst results observed.

The offsetting figure is defined as the difference between total VaR and the sum of VaRs by risk factor. It represents the effects of diversification among positions held simultaneously on different risk factors. A procedure known as back-testing (comparing each day's result against VaR estimated the day before) is used to confirm the relevance of the methodology.

The internal VaR model of Crédit Agricole Corporate and Investment Bank, which is the main contributor to the VaR of Crédit Agricole S.A., has been approved by the regulatory authorities.

The VaR calculation methodology undergoes constant improvement and adjustment to take into account, among other things, the changing sensitivity of positions to risk factors and the relevance of the methods to new market conditions. For example, efforts are made to incorporate new risk factors and to achieve finer granularity on existing risk factors.

This indicator is used for steering purposes for all entities, and for Crédit Agricole CIB only for calculating the capital charge (the other entities use the standardised approach).

Limitations of the historical VaR calculation

The main methodological limitations of the VaR model are the following:

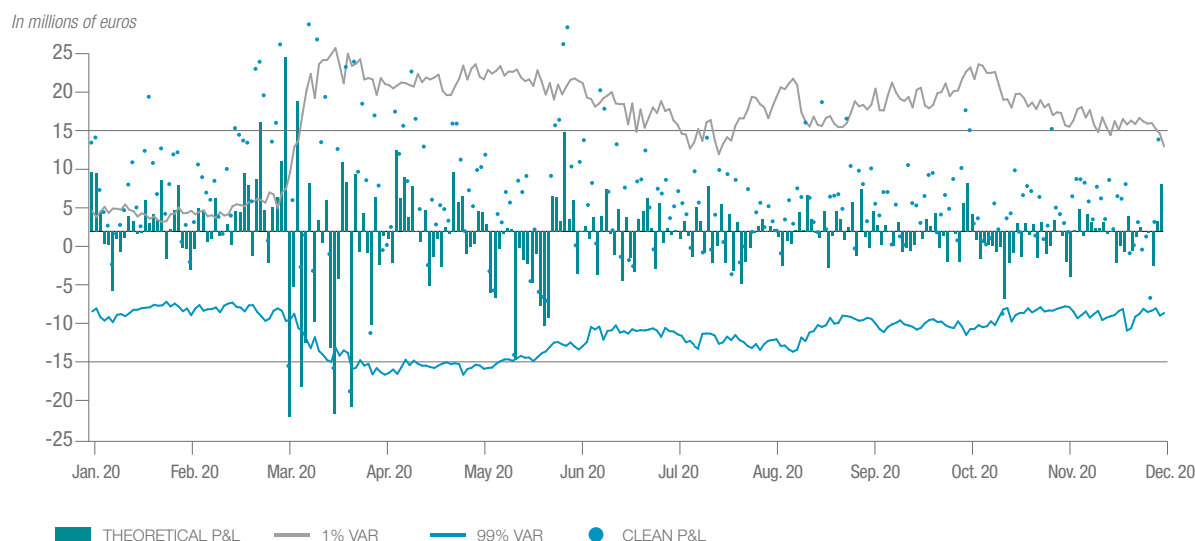
- the use of daily stress testing assumes that all positions can be liquidated or covered in one day, which is not always the case for certain products or in certain crisis situations;
- the use of a 99% confidence interval excludes losses that could occur outside of that interval: VaR is therefore an indicator of risk under normal market conditions and does not take into account movements of exceptional magnitude.

Back-testing

A back-testing process is applied to check the relevance of the VaR model for each of Crédit Agricole S.A.'s entities that has capital market activities. This process verifies a posteriori whether the number of exceptions (days when actual losses exceeded estimated VaR) was within the 99% confidence interval (a daily loss should statistically exceed the calculated VaR only two or three times a year).

At 31 December 2020, within the regulatory scope of Crédit Agricole Corporate and Investment bank (see chart below) was subject to seven 12-month rolling VaR exceptions. Consequently, the multiplier, used to calculate capital requirements, is at its minimum level of 4. This takes account of the decisions made by the ECB regarding the calculation of capital requirements in respect of VaR during the crisis.

Back-testing of the regulatory VaR of Crédit Agricole Corporate and Investment Bank for 2020 (in millions of euros)



1.2 Stress scenarios

Stress scenarios complement the VaR measure, which does not capture the impact of extreme market conditions. Stress scenarios are calculated following Group principles to simulate extreme market conditions and are the result of different complementary approaches:

- **historical scenarios**, which consist in replicating the impact on the current portfolio of major crises observed in the past. The past crises used in historical stress scenarios are the 1987 stock market crash, the 1994 bond market crisis, the 1998 credit market crisis, coupled with falling equity markets, sharply rising interest rates and declining emerging-country currencies; the 2008 crisis following the failure of Lehman Brothers (two stress scenarios measuring the impact of market movements after the failure);
- **hypothetical scenarios** anticipating plausible shocks, which are developed in conjunction with economists. The hypothetical scenarios used are **economic recovery** with rising equity and commodity markets, flattening yield curves, appreciation of the USD and narrowing credit spreads; **liquidity crunch**, with flattening yield curves, widening spreads, falling equity markets; and **international tensions** (scenario representing economic conditions in a context of **international tensions** between China and the United States: rising volatility and falling prices on the equity markets, falling futures prices and rising volatility on the commodities market, flattening yield curves, fall of the USD against other currencies, widening credit spreads).

In addition, other types of stress tests are performed:

- at the level of the entities, adverse stress tests enabling evaluation of the impact of major and unfavourable market movements on the different business lines;
- at the level of Crédit Agricole Corporate and Investment bank, extreme adverse stress tests are used to measure the impact of even more severe market shocks.

The stress scenarios are calculated weekly.

1.3 Complementary indicators

Other complementary indicators are also produced by the entities and can, as part of the risk containment system, be subject to limits. These include indicators of sensitivity to various risk factors, loss alerts, stop-loss indicators, nominal amounts, receivables and remaining terms. These indicators provide fine-grained measurements of exposure to different market risk factors, serve to identify atypical transactions and fill out the summary picture of risks supplied by VaR and global stress scenarios.

1.4 Indicators related to the CRD 4 directive

Stressed VaR

The so-called “stressed” VaR is intended to correct the pro-cyclical nature of historical VaR. This is calculated over the one-year period preceding the measurement date, and where the associated market parameters reflect calm market conditions with low volatility, it can display a low level.

Stressed VaR is calculated using a 99% confidence interval of one day and over a period of tension corresponding to the worst period observed for the most significant risk factors and is remeasured every year.

At end-2020, for Crédit Agricole Corporate and Investment Bank it corresponds to the period 13 November 2007 to 12 November 2008. In addition to the VaR capital requirement, there is now a stressed VaR capital requirement.

Incremental Risk Charge

The IRC (Incremental Risk Charge) is an additional equity requirement related to the risk of default and migration on so-called linear credit positions (*i.e.* not including credit correlation positions), required by the CRD 4 directive.

Its purpose is to quantify any unexpected losses caused by credit events on the issuers, *i.e.* default and migration of rating (the case of either a fall or a rise in credit rating).

The IRC is calculated with a confidence interval of 99.9% over a risk period of one year, by Monte Carlo simulations of migration scenarios based on three sets of data:

1. a one-year transition matrix provided by S&P and adapted to the internal rating system of Crédit Agricole Corporate and Investment Bank. This matrix gives the transition probabilities for an issuer based on its initial credit rating to higher or lower credit ratings, as well as its probability of default;
2. the correlation of issuers with systemic factors;
3. average spread curves by rating from which the shocks resulting from migrations are deducted.

These simulated credit default and migration scenarios then make it possible to value positions using the Crédit Agricole Corporate and Investment Bank models.

Comprehensive Risk Measure

The Comprehensive Risk Measure (CRM) measures the risk of default, the risk of a rating change and market risks on the credit correlation portfolio.

Since end-2016, Crédit Agricole has not had any activities subject to capital requirements with respect to the Comprehensive Risk Measure.

Credit Value Adjustment (CVA)

The value adjustment linked to the counterparty's quality (CVA) aims to integrate in derivatives' valuation credit risk associated with the counterparty (risk of non-payment of sums due in the event of default). It is calculated on an aggregate basis by counterparty according to the future exposure profile of the transactions after deducting any collateral. This adjustment is always negative and is deducted from the fair value of the financial assets on the balance sheet.

CRD 4 brought in a new capital charge to cover volatility in the CVA. Under the directive, banks authorised to calculate their capital requirements using their internal models for both counterparty risk and specific rate risk must calculate their CVA risk capital charge using the advanced approach ("CVA VaR"). The size of these capital requirements is calculated using the same methodology and tools as for market VaR in respect of specific interest rate risk.

The ACPR has validated the CVA VaR model used by Crédit Agricole Corporate and Investment Bank and the additional capital required to cover CVA risk (VaR and stressed VaR) has been measured since 2014.

2. Use of credit derivatives

CDS (Credit Default Swaps) are used for hedging purposes in the following cases:

- management of credit exposure from the loan book or derivatives portfolio (CVA);
- hedging of bond portfolio exposure;
- hedging of the exposure of hybrid derivatives portfolios (e.g. to hedge the issuance of credit-linked notes sold to investor customers).

IV. Exposures

VaR (Value at Risk)

Crédit Agricole S.A.'s total VaR is representative of Crédit Agricole S.A.'s VaR on the capital markets activities.

The Crédit Agricole S.A. VaR is calculated by incorporating the impacts of diversification between the different entities.

The scope considered for capital market activities of Crédit Agricole Corporate and Investment Bank is the regulatory VaR (measured through an internal model approved by the ACPR).

The change in VaR on the capital markets activities of Crédit Agricole S.A. between 31 December 2019 and 31 December 2020, broken down by major risk factor, is shown in the table below:

Breakdown of VaR (99%, 1 day)

(in millions of euros)	31/12/2020	Minimum	Maximum	Average	31/12/2019
Fixed income	8	6	16	11	6
Credit	4	3	12	7	4
Foreign exchange	5	1	13	3	3
Equities	2	1	3	2	1
Commodities	0	0	0	0	-
Offsetting	-9	-	-	-8	-5
VaR OF CRÉDIT AGRICOLE S.A.	9	7	24	14	9
For reference: Sum of the VaRs of all entities	10	8	25	15	10

Averaged over the full year, VaR for 2020 was €14 million, versus €7 million for 2019. This increase is mainly attributable to the exceptional large shocks in connection with the health crisis. The average VaR, however, remains at a modest level and below its framework limit.

The following graph shows VaR over the course of 2020:

Crédit Agricole S.A. VaR between 31 December 2019 and 31 December 2020

In millions of euros

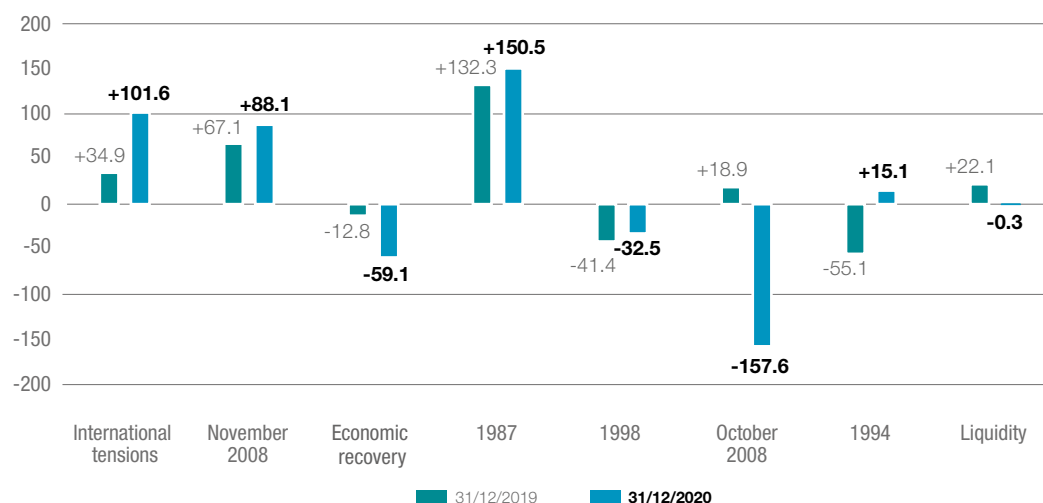


Impacts associated with stress scenarios

The risk levels of Crédit Agricole S.A. assessed through historical and hypothetical stress scenarios at end-2020 are presented below. As an illustration, the “1994 Crisis” scenario, which had a negative impact at end-2019 (loss of €55 million), had a positive impact at end-2020 (gain of €15 million).

Historical and hypothetical stress measures

In millions of euros



Stressed VaR

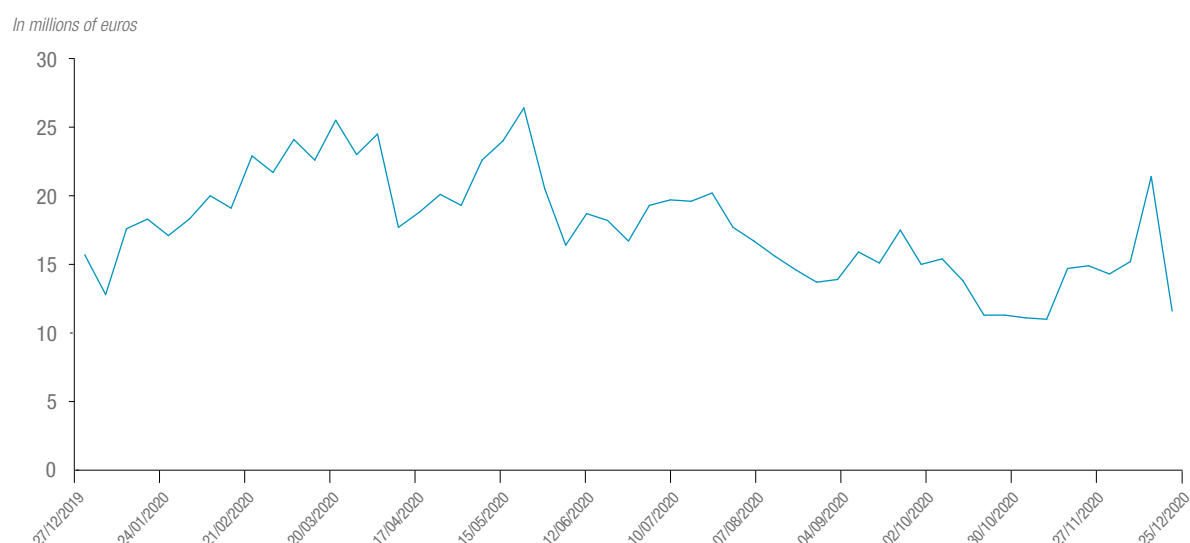
The stressed VaR is calculated on the scope of Crédit Agricole Corporate and Investment bank.

The table below shows the change in regulatory stressed VaR on the capital market activities of Crédit Agricole CIB, between 27 December 2019 and 25 December 2020:

(in millions of euros)	25/12/2020	Minimum	Maximum	Average	27/12/2019
Crédit Agricole CIB stressed VaR	12	11	26	18	16

Change in stressed VaR (99%, 1 day)

The graph below shows the change in regulatory stressed VaR of Crédit Agricole Corporate and Investment bank over the course of 2020.



At end-December 2020, stressed regulatory VaR of Crédit Agricole Corporate and Investment bank was €12 million, a decrease of €4 million as at 31 December 2019. On average over the year, stressed VaR (€18 million) was stable compared to the 2019 average.

Capital requirement related to Incremental Risk Charge (IRC)

IRC is calculated on the so-called linear credit positions (*i.e.* excluding correlation positions) scope of Crédit Agricole Corporate and Investment bank.

The table below shows the change in regulatory stressed VaR on the capital market activities of Crédit Agricole Corporate and Investment Bank, between 31 December 2019 and 31 December 2020:

(in millions of euros)	31/12/2020	Minimum	Maximum	Average	31/12/2019
IRC	116	116	231	143	148

V. Equity risk

1. Trading portfolios and banking book

The different types of business are exposed to equity risk; The equity risk incurred by the market activities of Crédit Agricole CIB is hedged by the overall management through VaR (see section IV above). The other outstandings exposed to equity risk correspond to portfolios that are invested partly in equities and structured products whose market value depends on prices of underlying equities and equity indices.

2. Equity risk from other activities

A number of Crédit Agricole S.A. entities hold portfolios that are invested partly in equities and structured products whose market value depends on prices of underlying equities and equity indices.

Note 6 to the financial statements shows the distribution of equity instruments issued at fair value by valuation model. At 31 December 2020, outstanding amounts exposed to equity risk amounted to €38.7 billion, including portfolios of insurance companies for €31.1 billion.

Note 6.4 to the financial statements shows in particular the outstanding amounts and the unrealised gains and losses on shares recorded at fair value non-recyclable through equity. Information on market risk (including equity risk) on the portfolios held by the insurance companies is presented below in the section on "insurance sector risks".

2.6 ASSET AND LIABILITY MANAGEMENT

I. Asset and liability management – Structural financial risks

Crédit Agricole S.A.'s Financial Management department defines the principles of financial management and ensures their consistent application within Crédit Agricole S.A. The department is responsible for organising financial flows, defining and implementing refinancing rules, performing asset and liability management and managing prudential ratios.

Optimising financial flows within Crédit Agricole S.A. is an ongoing objective. Pooling of surplus resources and making it systematically possible to hedge the associated risks contribute to this objective.

Thus, the principles of the Crédit Agricole S.A. ALM approach ensure that any surpluses and shortfalls in terms of customer resources, in particular resources collected by the Regional Banks, are centralised in the books of Crédit Agricole S.A. This resource pooling helps in refinancing other Group entities as needed (including Crédit Agricole Leasing & Factoring and Crédit Agricole Consumer Finance).

The system for centralising the management of liquidity at Crédit Agricole S.A. serves to control and optimise cash management, especially since it is accompanied by partial interest rate matching.

Consequently, Crédit Agricole S.A. has a high level of financial cohesion, with limited spreading of financial risks, particularly liquidity risk. Nevertheless, the various entities are responsible for managing the risk that remains at their level, within the limits assigned to them.

Limits are defined by the Chief Executive Officer of Crédit Agricole S.A. within the framework of the Group Risk Committee, approved by the Board of Directors of Crédit Agricole S.A., and apply throughout Crédit Agricole S.A.:

- subsidiaries that carry asset and liability risks comply with limits set by the Crédit Agricole S.A. Risk Committee;
- methods of measuring, analysing and managing the Crédit Agricole S.A. assets and liabilities are defined by Crédit Agricole S.A. Regarding the retail banks' balance sheets in particular, a consistent system of run-off conventions and models has been adopted for the Regional Banks, LCL and the foreign subsidiaries;
- Crédit Agricole S.A. consolidates the subsidiaries' measurements of their asset and liability risks. Results of these measurements are monitored by Crédit Agricole S.A.'s Treasury and ALM Committee;
- Crédit Agricole S.A.'s Financial Management department and Risk Management and Permanent Controls department take part in meetings of the ALM Committees of the main subsidiaries.

Within the Regional Banks, the Boards of Directors set limits on overall interest rate risk and the trading portfolio and determine alert thresholds for the management of their investment portfolios (available-for-sale securities). These limits are monitored by Crédit Agricole S.A.

II. Global interest rate risk

1. Objectives

The objective of global interest rate risk management is to stabilise the future profits of Crédit Agricole S.A. entities against the impact of any adverse interest rate movements.

Changes in interest rates impact the net interest margin by creating mismatches in timing or in the type of indexation between assets and sources of funds. Interest rate risk management uses balance sheet or off-balance sheet transactions to limit the resulting volatility in this income.

The scope for monitoring the global interest rate risk is made up of entities whose business generates an interest rate risk:

- Regional Banks;
- LCL Group;
- Crédit Agricole S.A.;
- International retail banks, in particular the Crédit Agricole Italia Group;
- Crédit Agricole Corporate and Investment bank;
- Crédit Agricole Consumer Finance Group;
- Crédit Agricole Leasing & Factoring Group;
- CACEIS;
- Amundi.

The interest rate risk borne by the Insurance business is monitored using indicators specific to this business line. An assessment of the impact of an instantaneous rate shock on the level of own funds under Solvency 2 is performed on the Crédit Agricole Assurances scope. This indicator is incorporated within an alert threshold.

2. Governance

2.1 Interest rate risk management – Entities

Each entity manages its exposures under the supervision of its ALM Committee, in accordance with the Crédit Agricole S.A. limits and standards. The limits of Crédit Agricole S.A.'s subsidiaries are reviewed annually and validated by the Group Risk Committee.

The Group's Financial Steering department and Group Risk department are represented on the main subsidiaries' ALM Committees. They ensure the harmonisation of methods and practices across the Group and monitor compliance with the limits assigned to each of the subsidiaries' entities.

Each Regional Bank's situation as regards global interest rate risk is reviewed quarterly by the Regional Banks' Risk Management Committee.

2.2 Interest rate risk management – Crédit Agricole S.A.

The Crédit Agricole S.A. exposure to global interest rate risk is monitored by Crédit Agricole S.A.'s ALM Committee.

This Committee is chaired by the Chief Executive Officer of Crédit Agricole S.A. and includes several members of the Executive Committee along with representatives of the Risk Management and Permanent Controls department:

- it examines the individual positions of Crédit Agricole S.A. and its main subsidiaries, along with consolidated positions for each quarterly closing;
- it examines compliance with limits applicable to Crédit Agricole S.A. and to entities authorised to bear global interest rate risk;
- it validates the guidelines for the global interest rate risk of Crédit Agricole S.A. proposed by the ALM department.

Limits approved by Crédit Agricole S.A.'s Board of Directors govern the Group's exposure to global interest rate risk.

3. Measurement and management system

3.1 Measurement

The rate risk measurement is mainly based on the calculation of interest rate gaps.

This methodology consists of staggering outstandings over time (laddering of maturities) at known rates and inflation-indexed outstandings according to their contractual terms (maturity date, amortisation profile) or by modelling out flows of outstandings where:

- the maturity profile is not known (products with no contractual maturity, such as demand deposits, passbook accounts or capital);
- implicit or behavioural options sold to customers are incorporated (early loan repayments, home purchase savings, etc.).

These models are usually defined based on a statistical analysis of past customer behaviour coupled with a qualitative analysis (economic and regulatory context, commercial strategy, etc.).

Consistency between the models used by the various Group entities is ensured through adherence to the modelling principles approved by the Standards and Methodology Committee. They are approved by the entity's ALM Committee and their relevance is monitored on an annual basis.

The gaps are consolidated quarterly at Crédit Agricole S.A. level. When their management requires it, some entities, particularly the major ones, measure their gaps more frequently.

The rules that apply in France to the setting of the Livret A index a portion of the interest to average inflation over a rolling six-month period. The interest paid on the passbook savings accounts of the Group's Retail banking is also correlated to the same half-yearly average inflation rate. The Group therefore hedges the risk associated with these balance sheet items using instruments (carried on or off the balance sheet) for which the underlying is an inflation rate.

Option risks are included in the gaps using a delta-equivalent measure. A portion of these risks are hedged using option-based products.

This measurement system is applied to all significant currencies (mainly USD, GBP and CHF).

An approach through income supplements this balance sheet picture with the projection of net interest income simulations over three years. The methodology corresponds to that of the EBA stress test, *i.e.* a picture at constant assessment and identical renewal of operations reaching maturity.

These simulations are carried out based on four scenarios:

- realisation of forward rates (central scenario);
- shocks of more or less 200bp on interest rates; and
- shock of 100bp on inflation.

They are calculated on the scopes of the main Group entities and on a consolidated basis.

These indicators are not subject to a framework but contribute to the measurement of the assessment of the internal capital need for interest rate risk.

3.2 Limitation system

The limits set at Group and entity levels put bounds on the extent of the maximum discounted loss over the next 30 years and the maximum annual loss over each of the next 15 years in the event of a rate shock.

The rules for setting limits are intended to protect the Group's net asset value in accordance with Pillar 2 of the Basel 3 regulations regarding global interest rate risk and to limit the volatility, over time, of net interest margins by avoiding sizeable concentrations of risk on certain maturities.

As well as being validated by the Group Risk Committee, these limits must be approved by each entity's decision-making body.

Each entity (including Crédit Agricole S.A.) hedges the interest rate risks generated by this method of financial organisation at its own level, by means of financial instruments (on- and off-balance sheet, futures or options).

3.3 Assessment of internal capital requirements

Internal capital requirements with respect to the interest rate risk are measured using a dual approach combining economic value and revenues-based metrics.

The economic value impact is measured by taking into account:

- the directional interest rate risk (calculated based on gaps);
- the option rate risk (mainly gamma effect on caps);
- the behavioural risk (such as early fixed-rate loan repayments);
- interest rate risk exposure limits.

This measurement is performed using a set of internal scenarios incorporating interest rate curve distortions that are calibrated using a method consistent with that used to assess the other risks measured under Pillar 2.

The impact on revenues is calculated using net interest margin simulations (see above).

4. Exposure

The Crédit Agricole S.A. interest rate gaps are broken down by type of risk (nominal rate/real rate) in the various currencies. They measure the surplus or deficit on sources of fixed-rate funds. By convention, a positive (negative) figure represents a downside (upside) risk on interest rates in the year considered. The figure indicates the economic sensitivity to a change in interest rates.

The results of these measures for the Crédit Agricole Group at 31 December 2020 are as follows:

Gaps in euros (at 31 December 2020)

(in billions of euros)	2021	2022-2026	2027-2031	>2031
Gaps in euros ⁽¹⁾	(12.6)	4.1	(6.0)	(8.9)

(1) The gaps are presented excluding the TLTRO III operation (which is not exposed to interest rate risk due to its optional nature).

Over the course of 2021, a 100 basis point increase in interest rates in the Eurozone would imply a potential loss for the Crédit Agricole Group €126 million on the banking portfolio at 31 December 2020, amounting to a decline of 0.4% of 2020 revenues (compared to a decrease of €24 million, or 0.1% of 2019 revenues).

The cumulative impact over the next 30 years of a +200 basis point rate increase corresponds to a negative impact of -€1,496 million, or 1.3% of the Group's total prudential equity.

These losses would nevertheless be covered in whole or in part by the TLTRO 3 transaction.

The above impacts are calculated based on a static balance sheet, *i.e.* they do not capture the future production and the potential dynamic impact on the net banking income of the Group Crédit Agricole of a variation in interest rates.

Other currency gaps (at 31 December 2020)

(in billions of euros)	2021	2022-2026	2027-2031	>2031
Other currency gaps ⁽¹⁾	9.5	1.3	1.2	0.3

(1) Sum of all gaps in all currencies in absolute values countervalued in billions of euros.

On other currencies, a decrease of 100 basis points of the interest rates in the Eurozone in each currency would imply for the Group a loss of -€95 million in 2021 on the banking portfolio at 31 December 2020, or 0.3% of 2020 revenues. After the euro, the main currencies to which Crédit Agricole Group is exposed are the USD, CHF, JPY, PLN and MAD.

III. Foreign exchange risk

Foreign exchange risk is treated differently depending on whether it relates to structural foreign exchange positions (revalued through OCI) or to operational foreign exchange positions (revalued through P&L).

1. Structural foreign exchange risk

Crédit Agricole Group's structural foreign exchange risk arises from long-term investments by the Group in assets denominated in foreign currencies (equity of the foreign operating entities, whether resulting from acquisitions, transfers of funds from the head office, or capitalisation of local earnings), with the Group's reference currency being the euro.

At 31 December 2020, Crédit Agricole S.A.'s main structural foreign exchange positions, on a gross basis before hedging, were in US dollars and currencies pegged to the dollar (in particular the Hong-Kong dollar), in Swiss francs, pounds sterling, Chinese yuan, Polish zloty, Moroccan dirham, Japanese yen and Egyptian pounds.

The main principles of the management of structural foreign exchange positions are:

- over the next year, the coverage of the portion of structural positions that are expected to become operational positions (results in the process of being formed that are expected to be distributed, shares that are expected to be sold in the near future);
- over a more medium/long term horizon, an adjustment to the level of hedging of structural foreign exchange positions in order to immunise the Group's CET1 ratio against exchange rate fluctuations. This should include the implementation of new coverage in the event of over-immunisation or the termination of existing coverage in the event of under-immunisation.

An entity may, however, choose not to hedge a position denominated in a currency that is over-immunised if the cost of the hedge is considered too high in relation to the profit earned or the amount of the position in question is not material.

Five times a year, the Group's structural foreign exchange positions are presented to the Treasury and Management Committee of Crédit Agricole S.A., which is chaired by the Chief Executive Officer.

2. Operational foreign exchange risk

Operational foreign exchange risk arises from income and expenses of all kinds that are denominated in currencies other than the euro (provisions, net income generated by foreign subsidiaries and branches, dividends in foreign currencies, etc.), and from balance sheet imbalances.

Crédit Agricole S.A. manages the positions affected by foreign currency income and expenses that appear on its books, as does each entity within the Group that bears significant risk. The Treasury departments of foreign subsidiaries' manage their operational foreign exchange risk in their local currency.

The Group's general policy is to limit its operational foreign exchange positions and not to hedge revenues that have not yet materialised, unless there is a strong probability that losses will materialise and unless the impairment risk is high.

In accordance with the foreign exchange risk monitoring and management procedures, operational foreign exchange positions are updated monthly or daily for foreign exchange trading operations.

IV. Liquidity and financing risk

Like all credit institutions, the Group is exposed to liquidity risk, *i.e.* the risk of not having sufficient funds to honour its commitments. This risk could materialise if, for instance, there were a general crisis of confidence among investors in the money and bond markets or massive withdrawals of customer deposits.

1. Objectives and policy

The Group's primary objective in managing liquidity is to ensure that it has sufficient resources to meet its requirements in the event of any type of severe, prolonged liquidity crisis.

To manage this, the Group uses an internal liquidity risk management and control system whose objectives are:

- to maintain liquidity reserves;
- to match these reserves with future liabilities coming due;
- to organise its refinancing (to achieve an appropriate short and long-term refinancing time frame and diversify sources of refinancing);
- to ensure a balanced development between customer loans and deposits.

The system includes indicators, limits and alert thresholds. These are calculated and monitored for all Group entities and consolidated to allow monitoring of liquidity risk across the whole Crédit Agricole Group scope.

It also incorporates compliance with regulatory liquidity constraints. The LCR, along with the Additional Liquidity Monitoring Metrics (ALMM), calculated on a company or sub-consolidated basis for the Group entities in question and on a consolidated basis for the Group, are disclosed in a monthly report to the ECB.

2. Methodology and governance of the internal liquidity risk management and control system

Crédit Agricole Group's liquidity risk management and control system is built around indicators defined in a standard and divided into four separate groups:

- short-term indicators derived largely from simulations of crisis scenarios. The purpose of these is to schedule maturities and volumes of short-term refinancings as a function of liquidity reserves, cash flow from commercial activity and repayment of long-term debt;
- long-term indicators used to assess and schedule long-term debt maturities: limits on maturity concentrations, allowing the Group to anticipate its refinancing needs and avoid any risk of difficulties with refinancing on the markets;
- diversification indicators, which allow the Group to monitor and manage concentrations of sources of market refinancing (by refinancing channel, type of debt, currency, geographic area, investor);
- cost indicators used to measure the short-term and long-term trends in the Group's issue spreads and their impact on the cost of liquidity.

The Standards and Methodology Committee is responsible for validating the definition of these indicators and any changes in them proposed by Crédit Agricole S.A.'s Group Finance department, on the advice of the Group Risk Management and Permanent Controls department.

The Crédit Agricole S.A. Board of Directors approves the general policy for Group liquidity risk management and sets limits for key indicators in light of the Group's liquidity risk tolerance. The Group Risk Committee, which proposes these limits to the Board of Directors, determines how they are translated to each of the Group's constituent entities.

Accordingly, each subsidiary of Crédit Agricole S.A. and each Regional bank is notified of the limits for the indicators controlled at Group level. In addition to this translation of the Group system, the asset-liabilities committees (or their equivalent) of these entities define a specific set of limits for the risks relating to their own business. They are also free to decide locally to apply a stricter control than that required by the Group.

3. Liquidity management

Crédit Agricole S.A. controls the management of liquidity risk. The Finance department is responsible, in respect of short-term refinancing, for:

- setting spreads on short-term funds raised under the various programmes (mainly negotiable certificates of deposit – NCDs);
- centralising assets eligible for refinancing by the central banks of Group entities and specifying the terms and conditions of use in the framework of tenders;
- monitoring and forecasting cash positions.

And in respect of long-term refinancing, for:

- assessing needs for long-term funds;
- planning refinancing programmes to meet these needs;
- executing and monitoring these programmes over the course of the year;
- reallocating the funds raised to Group entities;
- setting prices for liquidity in intragroup flows.

Long-term refinancing programmes comprise various instruments (see below). The body in charge of these tasks at an operational level is the Group's Treasury and Liquidity Committee, which reviews all matters relating to liquidity issues ranging from intraday to medium/long-term. It proposes policy directions for the Group's Asset-Liability Management and Capital Liquidity Committee.

The Asset-Liability Management and Capital Liquidity Committee, chaired by the Chief Executive Officer of Crédit Agricole S.A. (who is also informed of the Group's liquidity positions) is responsible for all key decisions concerning the management of funding programmes, the launch of new programmes, the validation of funding budgets and management of the balance between loans and deposits.

If funding markets tighten, a Committee is set up by the Executive Management, the Group Risk Management and Permanent Controls department and the Group Finance department in order to keep a close watch on the Group's liquidity situation.

4. Quantitative information

4.1 Cash balance sheet at 31 December 2020

In order to provide simple, pertinent and auditable information on the Group's liquidity position, the cash balance sheet long-term sources surplus is calculated quarterly.

The cash balance sheet is derived from Crédit Agricole Group's IFRS financial statements. It is based on the definition of a comparison table between the Group's IFRS financial statements and the sections of the cash balance sheet, the definition of which corresponds to that commonly accepted in the market.

It relates to the banking scope, with insurance activities being managed in accordance with their own specific regulatory constraints.

Further to the breakdown of the IFRS financial statements in sections of the cash balance sheet, netting calculations are carried out. They relate to certain assets and liabilities that have a symmetrical impact in terms of liquidity risk. Deferred taxes, fair value impacts, collective impairments, short-selling transactions and other assets and liabilities were netted for a total of €71 billion at end-December 2020. Similarly, €96 billion in repos/reverse repos were eliminated insofar as these outstandings reflect the activity of the securities desk carrying out securities borrowing and lending operations that offset each other. Other nettings calculated in order to build the cash balance sheet – for an amount totalling €169 billion at end-December 2020 – relate to derivatives, margin calls, adjustment/settlement/liaison accounts and to non-liquid securities held by the corporate and investment banking division (CIB) and are included in the “Customer-related trading assets” section.

Note that deposits centralised with *Caisse des Dépôts et Consignations* are not netted in order to build the cash balance sheet; the amount of centralised deposits (€65 billion at end-December 2020) is booked to assets under “Customer-related trading assets” and to liabilities under “Customer-related funds”.

In a final stage, other restatements reassign outstandings that accounting standards allocate to one section, when they are economically related to another. As such, senior issues placed through the banking networks as well as financing by the European Investment Bank, the *Caisse des Dépôts et Consignations* and other refinancing transactions of the same type backed by customer loans, which accounting standards would classify as “Medium long-term market funds”, are reclassified as “Customer-related funds”.

Note that for Central Bank refinancing transactions, outstandings related to the TLTRO (Targeted Longer-Term Refinancing Operation) are included in “Long-term market funds”. In fact, the TLTRO II and TLTRO III operations do not allow for early redemption by the ECB and given their four- and three-year contractual maturity respectively are equivalent to long-term secured refinancing, identical in liquidity risk terms to a secured issue. Medium-to-long-term repos are also included in “Long-term market funds”.

Finally, the CIB's counterparties that are banks with which we have a commercial relationship are considered as customers in the construction of the cash balance sheet.

Crédit Agricole Group cash balance sheet before netting at 31 December 2020

€2,218bn		€2,218bn		NETTINGS
71	Other balance sheet items subject to netting	71	Other balance sheet items subject to netting	
126	Reverse repos	96	Reverse repos	
184	Derivative instruments - assets, and other items necessary for the activity	152	Derivative instruments - liabilities, and other items necessary for the activity	
10	Accruals and deferred income - assets	17	Accruals and deferred income - liabilities	
65	Centralisation CDC			
199	Cash and Central Bank deposits (incl. mandatory reserves)	108	ST market deposits	
9	Interbank assets			
30	Reverse repos and other ST			
135	Securities portfolio (excluding reverse repos and other ST)	321	MLT market deposits	
90	Customer trading assets			
984	Customer assets (excluding customer trading assets)	937	Customer deposits	
53	Tangible and intangible assets	134	Equity and similar	
382	Transition to the prudential scope (mainly subtraction of the insurance business)	382	Transition to the prudential scope (mainly subtraction of the insurance business)	NETTING
ASSETS		LIABILITIES		

Standing at €1,500 billion at 31 December 2020, the Group's cash balance sheet shows a surplus of stable funding resources over stable application of funds of €265 billion at end-December 2020.

In connection with the COVID-19 health crisis, in 2020 the Group took part in the TLTRO III medium-to-long-term refinancing operations of the European Central Bank, thereby increasing its level of stable resources. Total TLTRO III outstandings for the Crédit Agricole Group amounted to €133 billion⁽¹⁾ at 31 December 2020. (Note that the bonus applicable to the refinancing rate for these operations is accrued over the drawdown period and the additional bonus over the period from June 2020 to June 2021 is accrued over one year, as the Group already meets the lending trigger).

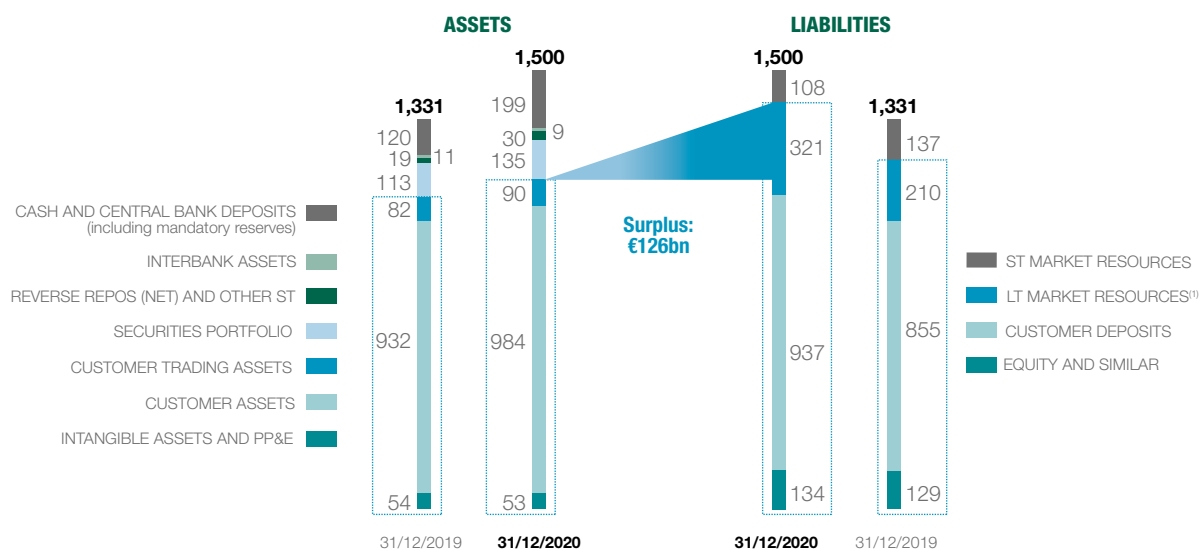
Furthermore, the Group saw a significant increase in net inflows during the 2020 financial year (deposits were up €82 billion, while loans were up €52 billion), also contributing to the improvement of stable resources.

This surplus of €265 billion, called the stable resources position, allows the Group to cover the LCR deficit generated by long-term assets and stable liabilities (customer, tangible and intangible assets, long-term funds and own funds). Internal steering does not factor in the temporary surplus of stable resources resulting from the increase in TLTRO 3 financing, in order to secure the Medium-Term Plan target of more than €100 billion independently of the future repayment strategy. The ratio of stable resources over long-term applications of funds was 123.5% at 31 December 2020.

Furthermore, given the excess liquidity, the Group posted a short-term lending position at 31 December 2020 (central bank deposits exceeding the amount of short-term debt).

(1) Excluding Bankoia and FCA Bank.

Crédit Agricole Group cash balance sheet at 31 December 2020

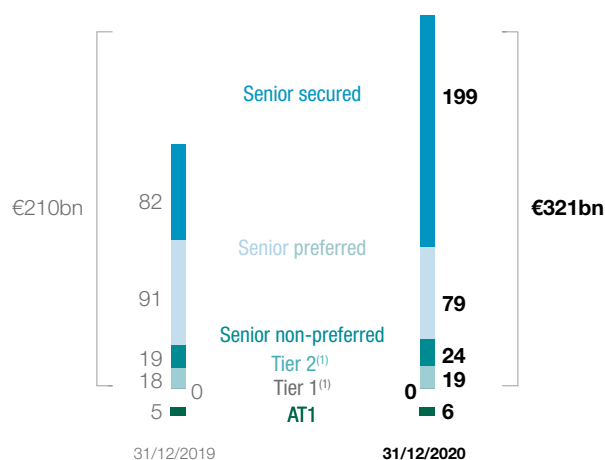


(1) LT market resources include T-LTRO drawings.

Medium-to-long-term market resources were €321 billion at 31 December 2020. Long-term market funds increased by €111 billion over the financial year.

The increase in senior secured debt is explained by the Group taking part in the TLTRO 3 operations of the European Central Bank. Moreover, the increase in senior non-preferred debt (+€5 billion) is aimed at meeting future resolution requirements.

Changes in long term market resources of the Crédit Agricole Group



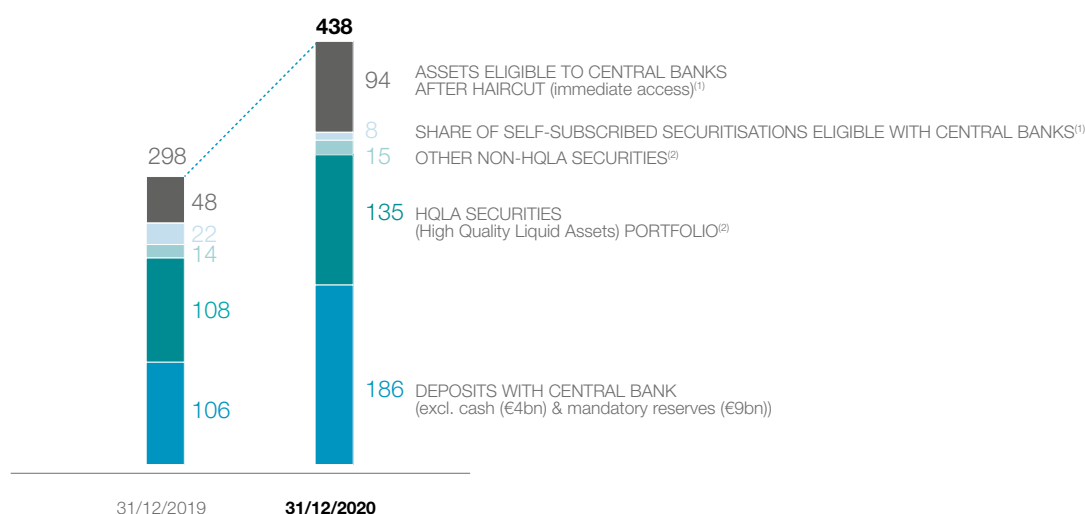
(1) Notional amount.
Accounting view (excluding solvency prudential adjustment).

4.2 Change in Crédit Agricole Group's liquidity reserves

Liquidity reserves after haircuts totalled €438 billion at 31 December 2020. They covered short-term debt more than four times over (excluding the replacements with Central Banks).

The high level of central bank deposits was the result of the replacement of significant excess liquidity.

Liquidity reserves of the Crédit Agricole Group at 31 December 2020



(1) Eligible for central bank refinancing for potential LCR coverage.

(2) Available securities at market value after haircut.

Available liquidity reserves at end-2020 comprised:

- €94 billion in loans and receivables eligible for central bank refinancing operations after the ECB haircut;
- €8 billion in treasury shares held by the bank and eligible for central bank refinancing operations, after haircut;
- €186 billion in central bank deposits (excluding cash and mandatory reserves);
- a securities portfolio amounting to €150 billion, consisting of HQLA securities that were market-linkable and also eligible for central bank refinancing for €135 billion, and other market-linkable securities for €15 billion after haircut.

Liquidity reserves in 2020 averaged €396 billion.

The allocation of limits arising from Crédit Agricole Group's liquidity risk management and control system to each Crédit Agricole S.A. subsidiary and Regional bank ensures that local liquidity risks are matched by adequate coverage from reserves.

4.3 Regulatory ratios

Since March 2014, Eurozone credit institutions have been obliged to report to their supervisory authorities their Liquidity Coverage Ratio (LCR), as defined by the EBA (European Banking Authority). The aim of the LCR is to boost the short-term resilience of banks' liquidity risk profile by ensuring that they have sufficient unencumbered High Quality Liquid Assets (HQLA) that can be converted into cash easily and immediately, on private markets, assuming a liquidity crisis lasting 30 calendar days.

Credit institutions are subject to a threshold for this ratio, set at 100% from 1 January 2018.

12-month average at 31/12/2020 (in billions of euros)	Crédit Agricole Group	Crédit Agricole S.A.
Liquidity buffer	314.3	283.1
Total net cash outflows	211.0	191.0
Liquidity Coverage Ratio (LCR)	149.0%	148.2%

The average LCR ratios over 12 months for Crédit Agricole Group and Crédit Agricole S.A. were respectively 149.0% and 148.2% at end-December 2020. They exceeded the Medium-Term Plan target of around 110%.

The LCR ratios at 31 December 2020 were 178.5% for Crédit Agricole Group and 169.4% for Crédit Agricole S.A. respectively.

Unlike the LCR, which is a ratio of flows, the NSFR (Net Stable Funding Ratio) is a ratio that compares the stock of assets with an effective or potential maturity of longer than one year to liabilities with similar effective or potential maturity. The definition of the NSFR assigns each balance sheet item (and certain off-balance sheet items) a weighting reflecting its potential to mature in longer than one year.

The Crédit Agricole Group is subject to applicable European legislation (Regulation 575-2013 amended by Regulation 2019-876 of 20 May 2019). Accordingly, the Crédit Agricole Group must comply with an NSFR ratio of at least 100% as from 28 June 2021. The Group believes that is already able to comply with this requirement.

5. Refinancing strategy and conditions in 2020

Against a background of declining interest rates, record amounts were issued in new bonds on the primary market in January. The COVID-19 epidemic did not affect the funding market until February, and then the market started to realise that the epidemic was spreading to Europe and would impact the global economy, which in an initial stage brought the market to a halt at end-February and early-March.

In March, the global outbreak of the COVID-19 virus and lockdown measures taken by governments triggered a collapse of the equity markets, a rise in volatility, a drop in interest rates, and a very rapid widening of spreads, magnified by waves of sell-offs to counter liquidity outflows.

To address the situation, the central banks and supervisory authorities, notably the ECB and EBA, took strong measures to support the markets and the economy, such as asset purchase plans (the Pandemic Emergency Purchase Programme, PEPP), financing lines, decreases in key interest rates (Fed), and regulatory adjustments and arrangements, including an immediate reduction in counter-cyclical buffers, the early application of Article 104a of CRD V, arrangements for NPLs or moratoriums, the postponement of the 2020 EBA stress tests, the recommendation to cancel dividend payments on shares, the implementation of the "CRR quick fix".

At the same time, the governments launched economic stimulus plans and measures to support companies and individuals, with in particular in France the introduction of State-guaranteed loans for an amount of up to €300 billion.

These measures, decided in response to pressing needs and of unprecedented magnitude, enabled the markets to stabilise as of the end of March and partially reduce spreads.

On 30 April, the ECB announced new measures with the launch of a new series of pandemic emergency longer-term refinancing operations (PELTROs) aimed at supporting the liquidity conditions of the financial system of the Eurozone. The ECB also announced the terms and conditions of the TLTRO III with an interest rate that, under certain conditions, can be as low as 1% during the first year (50bp below the deposit rate).

Eurozone financial institutions, which had managed to access the market under secured conditions in March, were able to issue unsecured senior debt in April and subordinated debt as from May.

In June, the ECB decided to increase the asset purchases carried out under the PEPP by €600 billion, bringing the programme to an overall amount of €1,350 billion. 724 European banks borrowed €1,308 billion during the first drawdown period of the TLTRO III, i.e. €548 billion net of the repayments of previous TLTRO drawdowns.

Against this background, the easing of lockdown measures in most regions during the second quarter enabled a new reduction in spreads in May and June, and sustained primary activity.

After the usual slowdown in business during the summer, primary activity increased again in September and October, due to surplus liquidity and the support measures of the central banks, while spreads widened with the deteriorating health conditions and expectations of new restrictions.

It should be noted that there was a change in the type of issues from the second quarter, with an increase in the number of issues eligible for resolution and solvency ratios, and a decrease in refinancing-only issues due to lower demand for refinancing.

In November, refinancing conditions improved significantly following the US elections and the prospect of a more efficient roll-out of vaccines than anticipated by the markets.

On 10 December, the ECB announced a new €500 billion increase in the overall amount of the PEPP, which was also extended to March 2022 following the revision of its growth and inflation forecasts due to the resurgence of COVID-19. Regarding the TLTRO, the ECB announced an extension for an additional 12 months. The most favourable interest rate of -1% was maintained for an additional year until June 2022, provided that there is an increase in eligible refinancing granted by the bank.

On 24 December a Trade and Cooperation Agreement was entered into between the United Kingdom and the European Union, effective as of 1 January 2021 on a provisional basis.

V. Hedging policy

Within Crédit Agricole S.A., derivative instruments are used for three main purposes:

- to meet demand from Group customers;
- to manage the Group's financial risks;
- to take positions for the Group's own account (as part of specific trading activities).

Derivatives not held for hedging purposes (as defined by IAS 39⁽¹⁾) are classified as derivative instruments held for trading and are monitored for market risk as well as counterparty risk, where applicable. Certain derivative instruments may be held for the economic hedging of financial risks, without however meeting the IAS 39 criteria. They are also classified as derivative instruments held for trading.

In all cases, the intent of the hedge is documented at the outset and verified quarterly by appropriate tests (forward-looking and backward-looking).

Each Group entity manages its financial risks within limits set by the Group Risk Committee chaired by the Chief Executive Officer of Crédit Agricole S.A.

The charts in Note 3.4 to the consolidated financial statements give the market values and notional amounts of hedging derivatives.

1. Fair value hedges and cash flow hedges

Global interest rate risk management aims to reconcile two approaches:

1.1. Protection of the Group's net asset value

This first approach requires matching balance sheet and off-balance sheet items that are sensitive to interest rate variations (i.e. fixed rate items, for the sake of simplicity) against instruments that are also fixed-rate, so as to neutralise the variations in fair value that occur when interest rates change. If the matching is done by means of derivative instruments (mainly fixed-rate swaps, inflation swaps and market caps), the derivatives are classified as fair value hedges if the instruments (micro FVH) or groups of instruments (macro FVH) identified as the hedged items (fixed-rate assets and inflation: customer loans, fixed-rate liabilities and inflation: demand deposits and savings deposits) are eligible under IAS 39 (otherwise, as mentioned above, these derivatives are classified as held for trading, even though they hedge risk).

To check macrohedging suitability, hedging instruments and hedged items are grouped by maturity using contract characteristics or, for certain balance sheet line items (particularly deposits), using assumptions based on the financial characteristics of the products and historical behaviour. The comparison between the two maturity schedules (hedges and hedged items) means that hedging can be documented in a forward-looking manner for each maturity and each generation;

For each macrohedging relationship, the prospective effectiveness of the hedge is measured at year-end, thereby ensuring that for each maturity group, the principal amount of the hedged items is greater than the notional amount of the derivative financial instruments used. The retrospective effectiveness is therefore measured while ensuring that the change in the hedged outstanding amount at the beginning of the period does not indicate any *a posteriori* overhedging. Other factors of ineffectiveness are also measured: BOR/OIS difference, Credit Valuation Adjustment (CVA)/Debit Valuation Adjustment (DVA) and Funding Valuation Adjustment (FVA).

(1) In accordance with a decision made by the Group, Crédit Agricole S.A. chooses not to apply the "hedge accounting" option of IFRS 9, as allowed by the standard. All hedging relationships continue to be documented in accordance with the rules in IAS 39, until, at the latest, the date of application of the regulations on fair value macro hedges when adopted by the European Union. However, hedge accounting under IAS 39 uses the classification and measurement principles of IFRS 9 to decide which financial instruments qualify.

1.2. Protection of the interest margin

This second approach requires neutralising variations in future cash flows associated with instruments or related balance sheet items that are affected by interest rate resets on the instruments, either because they are indexed to interest rate indices that fluctuate or because they will be refinanced at market rates at some point in the future. If this neutralisation is effected using derivative instruments (mainly interest rate swaps), the derivative instruments are classified as cash flow

hedges (CFH). This neutralisation can also be carried out for balance sheet items or instruments that are identified individually (micro CFHs) or portfolios of line items or instruments (macro CFHs). As is the case for fair value hedges, the documentation and effectiveness assessment of these hedging relationships are based on provisional maturities. For each hedging relationship, the prospective effectiveness of the hedge is measured at year-end, thereby ensuring that for each maturity group, the principal amount of the hedged items is greater than the notional amount of the derivative financial instruments used.

The table below shows the cash flows, broken down by projected maturity date, for Crédit Agricole S.A., of the cash flow hedging derivatives:

Remaining time to maturity (in millions of euros)	At 31/12/2020			
	<1 year	1 to 5 years	≥ 5 years	TOTAL
Cash flows of hedging derivatives	62	103	28	193

2. Net investment hedges in foreign currencies

A third hedging category relates to the hedging of investments made in the entities (mostly international subsidiaries and branches) whose functional currency is different than that of the Group. The level of hedging is adjusted by currency, primarily in order to immunise the Group's CET1 ratio against exchange rate fluctuations. These hedging derivatives used for international investments (mainly currency bonds and exchange rate

swaps) are subject to net investment hedge documentation. The changes in hedge value associated with the hedged risk (*i.e.* exchange rate risk) are recorded, for the effective portion, through other comprehensive income that can be reclassified, where the amount of the hedged foreign currency asset is greater than or equal to the nominal (or notional) amount of the hedging instrument. Any ineffectiveness is recognised directly through profit or loss.

2.7 INSURANCE SECTOR RISKS

The information in this section supplements Note 4 to the consolidated financial statements in the Universal Registration Document of Crédit Agricole Assurances and is covered by the Statutory Auditors' Report on the consolidated financial statements.

In view of the predominance of its savings and retirement activities, the Crédit Agricole Assurances Group is more particularly exposed to market risks (equity risk, spread risk) and asset/liability risks (liquidity and interest rate risk). The Crédit Agricole Assurances Group also faces insurance risks. Lastly, it is exposed to operational risk linked to non-compliance risk and to legal risk particularly in process execution.

I. Governance and organisation of risk management in the Crédit Agricole Assurances Group

The risk governance system of the Crédit Agricole Assurances Group is based on the following principles:

- it is within the remit of the control function mechanism at Crédit Agricole S.A. level that includes the Group Risk Management and Permanent Control Division, which is responsible for steering (supervision and prevention) and second-degree control, the Internal Audit business line, which is responsible for periodic control, and the Compliance business line. In addition to these functions is the Actuarial Function at the Crédit Agricole Assurances level, as required by insurance company regulations;
- it is overseen by the Risk Management department of the Crédit Agricole Assurances Group, which heads the "Risk Management" business line, supervises procedures and ensures that subsidiary risk management systems are compliant with Group standards and principles. It is supported by experts for each major risk category;
- it is based on the principle of subsidiarity. Each Crédit Agricole Assurances Group entity is responsible for defining and implementing its solo risk management policy, in accordance with Crédit Agricole S.A. principles and rules, the principles and rules for the management of

Crédit Agricole Assurances Group, and local regulations for international subsidiaries.

Risk governance falls on:

- Executive Management (the CEO and second Executive Directors as defined by Solvency 2) and the Board of Directors, ultimately responsible for the Crédit Agricole Assurances Group's compliance with all applicable regulations and legislation;
- the Crédit Agricole Assurances Executive Committee, which is the primary strategic body of the Group's Executive Management and the Group committees (in particular the Finance Committee, the Risks and Internal Control Committee, the ALTM and Investment Committee and the Reinsurance Strategy Committee);
- the four key functions (Risks, Compliance, Actuarial function, Internal Audit), whose representatives have been appointed by the Chief Executive Officer. Their appointment is validated by the Board of Directors and notified to the competent national supervisory authority. The four key functions are coordinated by the Risk and Internal Control Committee of the Crédit Agricole Assurances Group. The heads of the key functions have direct access to the Board of Directors, to whom they present the results of their work at least once a year;
- an internal control system, defined as the framework designed to manage and control all types of operations and risks and to ensure that all transactions are carried out in a manner that is proper (in compliance with regulations), secure and effective. Crédit Agricole Assurances asks its Board of Directors to validate its risk policies;
- the internal process for evaluating Crédit Agricole Assurances Group's solvency and risks (Organisational Readiness Self-Assessment – ORSA), synchronised with the other MTP/Budget strategic processes, capital planning and the updating of the Risk strategy and function policies. Prospective assessments completed within this framework make it possible to analyse the consequences of adverse situations on the Group's management indicators and to take the necessary action, where appropriate.

1. Organisation of risk management

The risk management system of the Crédit Agricole Assurances Group is managed by the Head of the Risk Management function, who reports operationally to the Crédit Agricole Assurances Chief Executive Officer and hierarchically to the Group Chief Risk Officer of Crédit Agricole S.A. The Head of the function relies on the Chief Risk Officers of the entities who report to him/her. The Insurance Risk business line operates like a matrix, combining entity-level organisations with Group approaches by type of risk.

The hierarchical reporting line guarantees independence, with a “second pair of eyes” role (to issue a recommendation) to back the operating functions, which manage risks day-to-day, make decisions and exercise first-level controls to ensure their processes are performed properly.

2. Risk management system

At Crédit Agricole Assurances Group level

In order to achieve its strategic orientations while managing and mitigating its risks appropriately, the Crédit Agricole Assurances Group established a risk appetite framework. This consists of key indicators for each risk category that constitute the core of its Risk management strategy.

The Risk management strategy implemented by the Crédit Agricole Assurances Group is based on the overall risk management framework and the limits and alert thresholds for the range of different risks it is exposed to through the implementation of its strategy.

It is reviewed and validated at least annually, along with the Risk Appetite Statement, by the Crédit Agricole Assurances Board of Directors, following a review by the Crédit Agricole S.A. Risk Committee (a sub-committee of Crédit Agricole S.A. Executive Committee, chaired by its Chief Executive Officer) of the indicators and major limits. Crédit Agricole Assurances’ Executive Management and Board of Directors or even the Crédit Agricole S.A. Risk Committee, depending on the scope of its authority, are notified of any breaches of alert thresholds or limits and any resulting corrective measures.

The quarterly risk dashboard of Crédit Agricole Assurances, supplemented by a monthly report, is used to monitor the Group’s risk profile and identify potential deviations.

The Board of Directors of Crédit Agricole Assurances receives regular updates on compliance with the risk appetite framework.

Dedicated bodies have been established to manage risk consistently at Group level: the Risk Monitoring Committee, which meets bi-monthly, and the Financial Risk Committee, which meets monthly; portfolios are reviewed by asset type and current risks are reported monthly to the Executive Committee.

Moreover, a Committee on Insurance Models at the level of the Crédit Agricole Assurances Group, steered by the Risk Management business line, approves the methodologies underpinning the models and indicators used to address major risks for Crédit Agricole Assurances Group or presenting cross-sector challenges for the Crédit Agricole Assurances Group.

At entity level

In accordance with the Group framework, companies define their own processes and systems to measure, supervise and manage risks: process and risk mapping resulting in a risk strategy that defines, according to their risk appetite, the Crédit Agricole Assurances Group global limits in accordance with a process coordinated by the holding company, accompanied if necessary by limits to manage their specific risks.

The entities also draw up formal policies and procedures providing a strict framework for risk management (including the rules for accepting

risk when insurance policies are taken out, provisioning and hedging of technical risks by reinsurance, claims management, etc.).

For its international subsidiaries, Crédit Agricole Assurances has drawn up a set of standards to be implemented by each entity, which sets out the scope and rules for decentralised decision-making and specifies the rules to follow during the decision-making process.

Operational risk management is supervised in each entity by committees that meet periodically (investment, ALM, technical, reinsurance and others) in order to monitor developments in the risk position, based on reporting by business lines, present analyses to support the risk management process, and, if necessary, draw up proposals for action. Significant incidents and limit breaches lead to alerts being triggered and notified either to the Crédit Agricole S.A. Risk Management department (for Crédit Agricole Assurances group-level limits), or to Crédit Agricole Assurances Executive Management or the entity’s management. Corrective measures are implemented accordingly.

The risk management system is examined during meetings of the Risk Management and Internal Control Committees of each subsidiary, in light of the permanent control reports, the analysis of their risk dashboard and the conclusions of periodic controls.

II. Market risk

In view of the predominance of savings activities in the French and international (Italy mainly) life insurance subsidiaries, and therefore the very large volume of financial assets held to cover policyholder liabilities, the Crédit Agricole Assurances Group is particularly concerned by market risks.

Market risk is the risk of loss that can result from fluctuations in the price of financial instruments in a portfolio.

The Crédit Agricole Assurances Group is exposed to several types of market risk:

- interest rate risk;
- equity risk;
- foreign exchange risk;
- spread risk. This risk is fully described in a specific section.

In particular, these risks have an impact on the valuation of portfolio assets and their long-term yield, and must be managed closely with matching liabilities and, particularly for Life Insurance, with guarantees granted to policyholders (minimum guaranteed rate, floor guarantee, etc.).

Liquidity risk is monitored specifically.

Thus, the Crédit Agricole Assurances Group’s financial policy provides for an asset/liability framework aimed at reconciling objectives of seeking yield for policyholders, conserving ALM balances and delivering shareholder value. This framework is based on “risk/return” analyses and “stress scenarios”, to identify the characteristics of the amounts to invest, the limitations and objectives over short/medium and long-term horizons, with market analysis, supported by economic scenarios, to identify opportunities and limitations in terms of the environment and the market.

The Investment department of Crédit Agricole Assurances is involved in developing and monitoring implementation of the investment policies of Crédit Agricole Assurances Group and of the subsidiaries (taking into account individual ALM limitations and financial targets), which are submitted to their respective Board of Directors for approval. It is responsible for oversight of the investment management services provided by Amundi (management mandates granted by the companies). Moreover, it makes investments directly (without a mandate) on behalf of the Crédit Agricole Assurances Group companies (in real estate in particular), as part of the policy of diversification.

1. Interest rate risk

Type of exposure and risk management

Interest rate risk refers to the risk of a change in the value of the bond portfolio due to upward or downward movements in interest rates.

The Crédit Agricole Assurances Group bond portfolio, excluding unit-linked policies, amounted to €245 billion at 31 December 2020, up from €242 billion at end-2019.

Interest rate risk for the life insurance companies is linked to interactions between assets (financial management) and liabilities (policyholder behaviour). Management of this risk requires a global approach combining financial strategy, the constitution of reserves and sales and income policies. Crédit Agricole Assurances' framework for managing interest rate risk sets out the limits on risks and the related (ALM Committee, presentation of stress scenarios to the Board of Directors, etc.).

A low interest rate environment puts pressure on the profitability of the life insurance activities of Crédit Agricole Assurances: it creates a situation in which returns from securities in the portfolio are lower than the rates paid out on life insurance contracts. Risks related to the minimum guaranteed returns in France are handled at regulatory level by means of prudential provisions.

Crédit Agricole Assurances has a range of levers to tackle the risk of falling rates:

- no longer issuing policies that feature guaranteed return (since 2000 for the main French life insurance company), so that the overall average return has steadily fallen;
- moderation of the profit-sharing paid;
- hedging using bond assets and swaps/swaptions to manage reinvestment risk;
- adaptation of ALM and investment policies to the very low interest rate environment;
- prudent diversification of investment assets;
- adaptation of the sales policy in favour of deposits to unit-linked policies.

A risk arising from an increase in interest rates could occur if there is a gap between the rate of return delivered by the insurer (related to bond yields) and the rate expected by policyholders in a high-rate environment, or the rate achieved by other savings vehicles. This could result in a wave

of early redemptions by policyholders, forcing the insurer to dispose of assets, notably bonds, with unrealised losses (which would generate losses). In turn, the yield on the portfolio would be reduced, with the risk of triggering new waves of policy redemptions.

Crédit Agricole Assurances thus implements measures to manage the risk of a rise in rates:

- adjustment of duration according to projected outflows of liabilities;
- retention of liquidities or liquid investments with a low risk of loss;
- dynamic management of the investment portfolio and setting aside reserves to provide the capacity to increase the return (capitalisation reserve, and profit-sharing reserves);
- upward interest rate hedging through derivatives;
- building customer loyalty to limit early redemptions.

The Crédit Agricole Assurances Group's dashboard, presented to the Executive Committee, includes indicators to monitor the nature of this risk: average guaranteed minimum rate, bond portfolio coverage ratio, allocation to reserves, etc.

Analysis of sensitivity to interest rate risk

Technical liabilities

The Crédit Agricole Assurances Group's technical liabilities are largely insensitive to rate risks for the following reasons:

- savings provisions (over 90% of technical reserves, excluding unit-linked policies): these technical reserves are based on the pricing rate which is constant over time for a particular policy. As a result, a change in interest rates will have no impact on the value of these commitments;
- property and casualty reserves: these technical reserves are not discounted to present value and changes in interest rates therefore have no impact on the value of these commitments;
- mathematical reserves for benefits (personal injury, disability): the discount rate used in calculating these reserves is based on the interest rate in force at the calculation date. Therefore, the size of these commitments varies with interest rates. However, given the limited amount of these technical commitments, they pose no material risk for the Crédit Agricole Assurances Group.

Financial investments

The sensitivity to rate risk of Crédit Agricole Assurances Group's bond portfolio is used to assess the impact of a rate movement. It is calculated by assuming a 100-basis point rise or fall in interest rates (net of policyholders' deferred profit-sharing and tax):

(in millions of euros)	31/12/2020		31/12/2019	
	Impact on net income	Impact on equity	Impact on net income	Impact on equity
100 basis point rise in risk-free rates	(53)	(2,194)	(61)	(2,040)
100 basis point decline in risk-free rates	89	2,198	86	2,043

This table provides the immediate mechanic impact on the asset portfolio based on a static balance sheet, i.e. not including the future production. Thus it does not integrate the impact over time on yield and insurance revenue of any variation in interest rates.

The impacts presented above take the following elements into account:

- the profit-sharing rate for the entity holding the financial investments;
- the tax rate in force.

Where securities are recognised as assets at fair value through equity, the impacts are presented in the "Impact on equity" column. Where they are recognised as assets at fair value through profit or loss, the impacts are presented in the "Impact on net income" column.

To reiterate, Crédit Agricole S.A. uses the overlay approach for financial assets held for the purpose of an activity involving insurance contracts, which are designated in accordance with the option provided by the amendments to IFRS 4 (this approach is explained in Note 1 to the Crédit Agricole Assurances consolidated financial statements). The sensitivity of designated assets is recorded in shareholders' equity.

Financing debt

Borrowings arranged by the Crédit Agricole Assurances Group mainly pay fixed rates; interest is therefore not very sensitive to changes in interest rates.

2. Equity and other diversification assets risk

Type of exposure and risk management

Exposure to the equity markets and other so-called diversification assets (private equity and listed or unlisted infrastructures, real estate and alternative management) is intended to capture yield in these markets (notably with a low correlation between real estate and other asset classes). Market risk on equities and other diversification assets is defined as a risk of volatility in terms of valuation and therefore, an accounting provisioning risk that could have an impact on policyholder

benefits (provision for permanent impairment, provision for liquidity risk). To limit this effect, particularly for the life insurance portfolios, allocations are analysed to determine a ceiling for the share of these diversification assets and a maximum volatility level.

Equities and other diversification assets are held directly or via dedicated Crédit Agricole Assurances Group UCITS to provide regional diversification, in accordance with the relevant risk policies. Exposure to these assets is managed by a series of limits (by asset class and overall for the diversification) and concentration rules.

Compliance with these limits is monitored on a monthly basis.

The main asset classes in the global portfolio are presented in Note 6.4 to the consolidated financial statements. The fair value of financial assets and liabilities recognised at acquisition cost in the balance sheet is disclosed in Note 6.5.1 to the consolidated financial statements. Both items can be found in the Crédit Agricole Assurances Universal Registration Document.

Analysis of sensitivity to equity risk

A quantified measurement of equity risk can be expressed by the sensitivity calculated by assuming a 10% rise or fall in equity markets (impacts are shown net of policyholders' deferred profit-sharing and tax):

(in millions of euros)	31/12/2020		31/12/2019	
	Impact on net income	Impact on equity	Impact on net income	Impact on equity
10% rise in equity markets	123	151	115	174
10% decline in equity markets	(127)	(151)	(118)	(174)

The impacts presented above take the following elements into account:

- the profit-sharing rate for the entity holding the financial investments;
- the tax rate in force.

These sensitivity measurements include the impact of changes in the benchmark equity index on assets measured at fair value, reserves for guaranteed minimum return and reserves for the right to withdraw from unit-linked policies as well as any additional impairment provisions required by a decline in equity markets.

Changes in the fair value of equity instruments at fair value through profit or loss impact net income; changes in the fair value of equity instruments classified as non-recyclable under the fair value option impact unrealised gains and/or losses.

Moreover, Crédit Agricole Assurances uses the overlay approach for financial assets held for the purpose of an activity involving insurance contracts, which are designated in accordance with the option provided by the amendments to IFRS 4 (this approach is presented in Note 1 to the consolidated financial statements). The sensitivity of designated assets is recorded in shareholders' equity.

3. Foreign exchange risk

Foreign exchange risk is defined as the risk of loss due to movements in foreign exchange rates against the euro. For Crédit Agricole Assurances, this risk is marginal, as shown by the sensitivity to foreign exchange risk, calculated by assuming a 10% rise or fall in each currency relative to the euro (impacts are shown net of policyholders' deferred profit-sharing and tax):

(in millions of euros)	31/12/2020		31/12/2019	
	Impact on net income	Impact on equity	Impact on net income	Impact on equity
Exchange rate sensitivity on financial instruments: +10% for each currency relative to the euro	(0.1)	0.1	0.1	0.2
Exchange rate sensitivity on financial instruments: -10% for each currency relative to the euro	0.1	(0.1)	(0.1)	(0.2)

Crédit Agricole Assurances's exposure to foreign exchange risk falls into two categories:

- limited structural exposure: in yen for the CA Life Japan subsidiary, with a hedging ratio of 90% (low net exposure of JPY1.2 billion at end-2020, equivalent to €9.7 million) and in PLN for the CA Insurance Poland subsidiary, with a hedge ratio of 91% (net exposure of PLN8.8 million, equivalent to €2.0 million);

- operational foreign exchange exposure arising from a mismatch between the asset's currency and that of its liabilities: the Crédit Agricole Assurances Group's global portfolio, representing commitments in euros, is primarily invested in euro-denominated financial instruments. However, to achieve the aim of optimising risk/return and diversification, the Group seeks to profit from projected growth and interest rate differentials between major geographic

areas, in dedicated funds and fixed-income mandates. The general foreign exchange risk hedging strategy is not to hedge exposure to the currencies of emerging economies, regardless of the asset class, and, in contrast, to hedge exposure to the currencies of mature countries, with the option of limited tactical exposure to the US dollar. Crédit Agricole Assurances Group's overall foreign exchange exposure is bound by a maximum market value limit relative to the total portfolio, and two sub-limits for emerging currencies and the US dollar.

Actual exposure is measured monthly and compared to the exposure limits. At end-2020, it was not material (0.5% of the global portfolio).

4. Liquidity risk

Type of exposure and risk management

For Crédit Agricole Assurances, liquidity risk essentially corresponds to its ability to meet its current liabilities.

From this perspective, the companies combine several approaches.

On the one hand, liquidity is an investment selection criterion (majority of securities listed on regulated markets, limits on assets in markets that lack depth, such as private equity, unrated bonds, and alternative management, etc.).

On the other hand, systems for managing liquidity are consistent across Crédit Agricole Assurances Group, and are defined by the companies as part of their ALM policy:

- for life insurance companies, these systems have the goal to ensure a match between the maturities of assets and those of liabilities under normal and stressed conditions (wave of buybacks/deaths, see below the liquidity monitoring indicator). The objective is to ensure liquidity in the long-term (monitoring and limiting of annual cash run-off gaps), medium term (so-called "reactivity" ratio described below), and, in case of uncertainty regarding net inflows, short-term (one-week and one-month liquidity, with daily monitoring of redemptions). Temporary liquidity management mechanisms also exist for exceptional circumstances where markets are unavailable (repurchase agreements with collateral in cash or ECB-eligible assets);
- for non-life insurance companies, liquidities or assets with low reactivity are retained, and the share is calculated to respond to a shock to liabilities.

The "reactivity" ratio measures the ability to mobilise current assets of less than two years or variable-rate assets by limiting the impacts in terms of capital loss; it is measured and compared against a threshold set by each life insurance company.

The liquidity monitoring indicator, introduced in 2018, measures the ratio between stressed liquid assets (appreciation of a discount) and a liquidity requirement generated by a 40% buyback rate over a one-year period.

Profile of financial investment portfolio maturities

Note 6.6 to the consolidated financial statements of Crédit Agricole Assurances, which can be found in Part 6 of the Universal Registration Document, contains the bond portfolio maturity schedule (excluding unit-linked contracts).

Breakdown of financial liabilities by contractual maturity

Note 6.23 to the consolidated financial statements of Crédit Agricole Assurances, which can be found in Part 6 of the Universal Registration Document, provides information on the estimated schedule for Crédit Agricole Assurances insurance liabilities (excluding unit-linked policies for which the risk is borne by policyholders).

Financing

As a holding company, Crédit Agricole Assurances is responsible for subsidiary refinancing enabling them to meet their solvency requirements and operational cash needs. It is refinanced through its shareholder Crédit Agricole S.A. and, since 2014, through issuing subordinated debt directly in the market.

The structure of the financing debt and its breakdown by maturity is shown in Note 6.21 to the consolidated financial statements of Crédit Agricole Assurances (Part 6 of the Universal Registration Document).

III. Counterparty risk

Credit risk is the risk of loss due to default by an issuer. For debt securities, this risk translates as a decrease in value.

This section deals only with counterparty risk on financial instruments. Exposure to counterparty risk on reinsurers' receivables is covered in the section on "insurance risk".

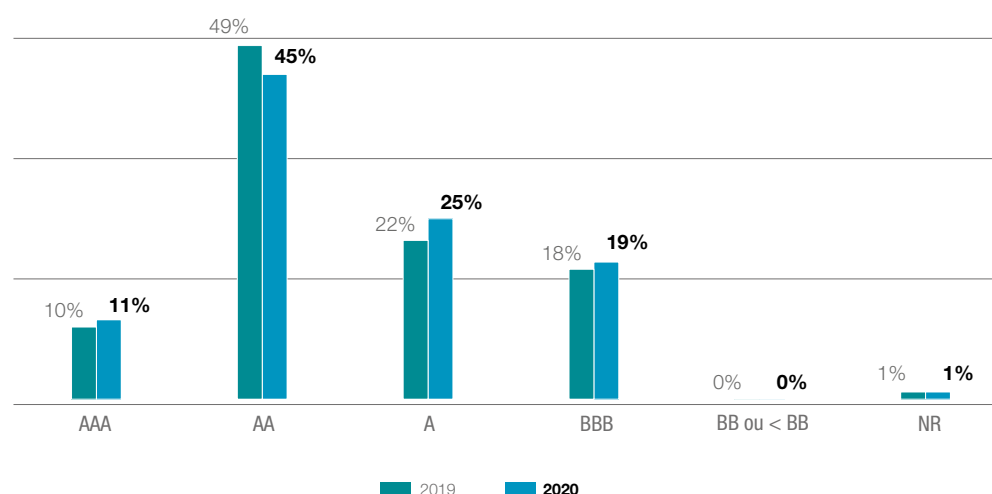
Amundi's risk management teams perform the analysis of counterparty risk for issuers and for OTC market transactions (derivatives) under the management mandates granted to them by the insurance companies.

Counterparty risk is contained overall for Crédit Agricole Assurances Group and at portfolio level for each entity on the basis of limits in terms of ratings, issuer and sector concentration.

Hence, aggregate limits are defined to manage the breakdown of issues between rating classes. The rating used is the "Solvency 2" rating corresponding to the second best of the three Standard & Poor's, Moody's and Fitch ratings. The share of "high-yield" issues held directly or indirectly via funds, is subject to strict limits. Only issues with a minimum BB rating are authorised for purchase in mandates. Issuers that have not been rated by an external agency but have an internal Crédit Agricole S.A. rating are selected according to a rigorous process and account for a limited percentage of the portfolio (2.4% at end-December 2020).

The breakdown of the bond portfolio by financial rating makes it possible to assess its credit quality.

The bond portfolio (excluding unit-linked policies and UCITS) by credit rating breaks down as follows:



Concentration in a single issuer (equities and interest rate instruments) may not exceed a given percentage of the global portfolio, which is determined according to issuer type and quality. Furthermore, limiting the relative weighting of the top ten issuers ensures diversification within rating levels A and BBB. Exposure is reviewed quarterly with the Amundi Risk teams and the Risk Management department of Crédit Agricole S.A.

Concentration in sovereign debt and similar is subject to individual limits according to debt-to-GDP ratio and the country's internal credit rating.

The exposure to sovereign debt in Italy, Spain, Portugal and Ireland is subject to authorisations by the Crédit Agricole S.A. Group Risk Committee. Such exposure is concentrated in Italian sovereign debt held by the Italian subsidiary of Crédit Agricole Assurances. The purchase of Greek issuers' debt remains prohibited.

Cash collateral contracts are used to manage counterparty risk for over-the-counter derivatives used by companies to hedge exposure to rate risk on their balance sheets.

IV. Insurance risk

The Crédit Agricole Assurances Group is exposed to insurance risk through the insurance business. Such risk primarily relates to the underwriting, valuation of provisions and reinsurance processes.

Each entity implements an approach in collaboration with all the operating departments concerned, as well as Risk, Compliance, Actuarial functions and Legal Affairs, to manage risks when new insurance products are created or substantial changes are made to the features of an existing product. Products are approved by an ad hoc committee (New Business and New Product Committee).

1. Insurance underwriting risk

Insurance underwriting risk takes different forms depending on the whether the insurance is life or non-life:

Life insurance underwriting risk

Through its Savings, Retirement and Death & Disability activities and life insurance guarantees in respect of its creditor insurance, Crédit Agricole Assurances is exposed to biometric risks (longevity, mortality, incapacity, long-term care and disability risks), loading risk (insufficient loading to cover operating expenses and fees paid to distributors), but most of all to behavioural risk for redemptions (for example, due to an increase in interest rates that reduces the competitiveness of certain investments, a deterioration in trust in Crédit Agricole Group, or a legal development, such as the *Bourquin* amendment to the *Sapin II* law).

Life insurance technical reserves, recognised in the main by French companies, are chiefly constituted from savings denominated in euro or unit-linked (UL) policies. For the majority of UL policies, the risk of fluctuation in the value of the underlying is borne directly by the policyholder. Some policies may include a floor guarantee in the event of the death of the insured, which exposes the insurer to a financial risk determined by the value of the policies' UL and the probability of death of the insured. A specific technical reserve is recognised for this floor guarantee.

In savings, redemption rates are monitored for each life insurance company and compared with the structural redemption rates established on the basis of historic and market data.

In death and disability, creditor insurance and yields, the underwriting policy, which specifies the risks covered, the underwriting conditions (target customers, exclusions) and pricing standards (notably the statistical tables established either from national or international statistics or from experience tables) helps to control risk in this area.

"Catastrophe" risk, related to a mortality shock (e.g. a pandemic) is likely to impact the results for individual or group death & disability insurance. The French life insurance subsidiary benefits from BCAC (*Bureau Commun des Assurances Collectives*) cover, both on group death benefits and individual death and disability benefits, as well as, in part, supplementary cover of disability risk.

Non-life insurance underwriting risk

For property and casualty insurance and non-life benefits included in creditor insurance policies, the underwriting risk can be defined as the risk that the premiums collected are insufficient compared to the claims to be settled. Crédit Agricole Assurances is specifically exposed to frequency risk and exceptional risk, whether originating from a catastrophe risk (particularly climatic) or the occurrence of individual incidents for significant amounts.

For distribution partners, underwriting policy defines the framework for accepting risk (to ensure appropriate selection of risks and the spread within the policy portfolio to optimise technical margins). Formal rules and procedures for pricing are also drawn up.

The ratio of claims paid to premiums earned is compared to targets that are reviewed annually. This claims ratio is the key indicator for monitoring risk and is used to identify priorities for improving the technical result, where necessary.

Concentration risk in non-life insurance relates to an aggregation of liabilities in respect of a single claim, arising from:

- underwriting concentration in which insurance policies are written by one or more Group entities on the same risk;
- claim concentration, where policies are written by one or more Crédit Agricole Assurances Group entities on risks that are different, but liable to be triggered by a single covered event or the same primary cause.

This type of risk is hedged, first, by a policy of diversifying the risks written in a single region and, second, by reinsurance to limit the financial impact of major event (storms, natural disasters, etc.), under a reinsurance policy (see reinsurance risk below) that incorporates this dimension.

2. Provisioning risk

Provisioning risk is the risk of a gap between the provisions set aside and those required to meet liabilities. It may be related to risk valuation (volatility introduced by discount rates, regulatory changes, or new risks for which statistical depth is inadequate, etc.) or a change in risk factors (population ageing, for example, leading to increased long-term care risks or health issues, stricter laws governing professional liability insurance, personal injury compensation, and others).

The objective of the provisioning policy established in each of the companies is to guarantee a prudent assessment of loadings for past and projected claims to ensure a high probability that the accounting provisions set aside will be sufficient to cover the ultimate load.

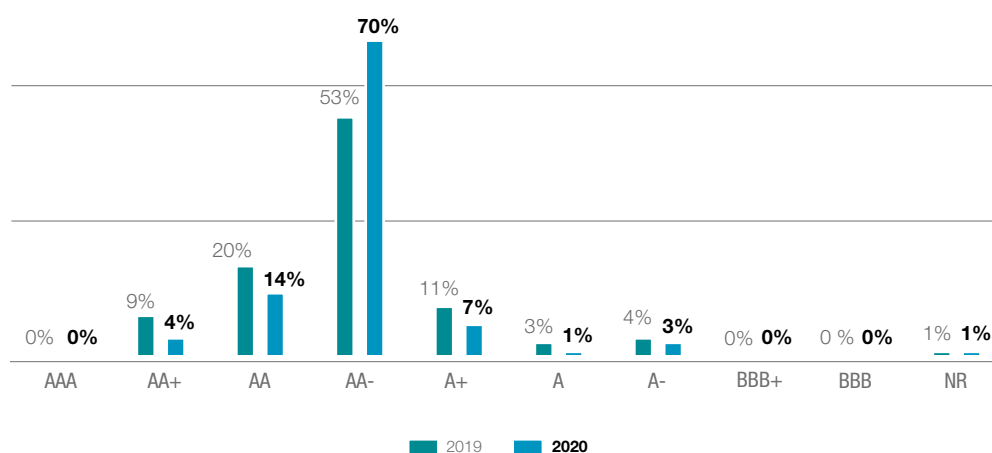
The methods used to constitute provisions (on a case-by-case basis) for property and casualty insurance, according to the products and benefits affected, are documented and the management rules applied by claims managers are set out in the manuals.

The choice of statistical methodology to calculate accounting provisions (including provisions for late payment) is justified at each reporting date.

The local permanent control plan encompasses control of provisioning policy.

The Statutory Auditors perform an actuarial review of provisions as part of the review of the annual financial statements.

Their breakdown by reinsurer rating is as follows:



4. Emerging risks

The Risk department is responsible for the ongoing monitoring of insurance risk, in cooperation with other business line departments and the Legal department.

The Risk Monitoring Committee, which meets twice monthly and is attended by all Risk Management and Permanent Controls Officers, is

The breakdown of technical reserves relating to life and non-life insurance contracts is presented in Note 6.23 to the Crédit Agricole Assurance consolidated financial statements.

3. Reinsurance risk

Reinsurance risks are of three types:

- inappropriate reinsurance (insufficient cover or, on the other hand, payment of too high a premium, which erodes technical margins and competitiveness);
- risk of a reinsurer defaulting and not being able to pay its share of the claims;
- no or virtually no reinsurance on a given activity or guarantee given (reinsurance offer, amounts that can be covered and the cost of cover, depending on market conditions that are liable to vary significantly).

Each company draws up its own reinsurance plan aimed at protecting equity in case of systemic or exceptional events and at limiting volatility in the Company's results, based on the principles of Crédit Agricole Assurances Group's strategy for common and uniform risks limitation, namely:

- selecting reinsurers that meet minimum financial strength criteria, with reinsurers' ratings monitored at the Crédit Agricole Assurances Group level;
- ensuring adequate dispersion of premiums across reinsurers;
- monitoring the adequacy of reinsurance cover relative to the commitments to policyholders and of results on each reinsurance agreement.

The reinsurance plans are reviewed annually by the Board of Directors in each subsidiary.

Net outstandings ceded to reinsurers (ceded reserves and current accounts with reinsurers net of cash deposits received and excluding securities accounts pledged as collateral) totalled €0.9 billion at 31 December 2020.

also tasked with anticipating developments in the regulatory and legal environment and identifying emerging risks.

This monitoring comes from many sources (economic research, internal and external analysis, in particular by consulting firms and research published by the French Regulatory and Resolution Supervisory Authority (ACPR), the European regulator – EIOPA, etc.).

V. Operational risk

Operational risk is the risk of loss resulting from shortcomings or failure in internal procedures, human error, information systems or external events. It includes non-compliance risk, legal risk and the risks generated by key outsourced services (PSEE).

The Crédit Agricole Assurances entities apply Crédit Agricole S.A. directives on operational and compliance risk management.

The operational risk management system in each entity, including the holding company, is thus comprised of the following components:

- a mapping of risk events, periodically updated to incorporate organisational changes, new activities and even changes in the cost of risk. It is based on a breakdown of activities into processes and the seven risk categories of the Basel 2 classification. The financial and non-financial (regulatory, image) impacts of these identified risk events, whether actual or potential, are assessed as well as their probability of occurrence, based on business expertise. Internal control is assessed on the basis of the results of controls at the different levels defined in the local control plans and standardised controls defined by the Crédit Agricole S.A. Group's Risk Management department and the findings of periodic controls to highlight the most critical net risks and prioritise actions plans to reduce them;
- a process of collecting data on risk-related incidents and operating losses, backed by an early-warning system, is used to monitor identified risks and use them to introduce remedial measures and ensure consistency with mapping. The amount of collected losses is compared each quarter to an annually defined alert threshold.

Crédit Agricole Assurances and its subsidiaries have prepared a Business Continuity Plan (BCP) focusing on essential activities in order to cover a failure of information systems, operational sites and staff. The business continuity plan meets Crédit Agricole S.A.'s standards, with the adoption of Crédit Agricole S.A.'s solution for the user fall-back site, and an IT back-up plan based on Crédit Agricole S.A.'s shared IT operating and production site it is regularly tested. IT system security is an inherent component of the Group's security policies. A three-year programme of security projects (including accreditation, intrusion tests, and IT system failure scenarios) is being implemented.

A Crédit Agricole Assurances Group-wide general subcontracting policy, describing, in particular, the monitoring and control system associated with outsourcing, has been rolled out by Group entities.

VI. Non-compliance risks

Non-compliance risks refer to a potential lack of adherence to rules governing financial activities. These rules may be laws, regulations

(Solvency 2, securities regulations, data protection, customer protection, or requirements to combat money laundering and the financing of terrorism, fighting of corruption, etc.), professional or ethics standards, and instructions from the executive body. These risks are identified in the operational risk mapping of each Crédit Agricole Assurances Group entity.

In each entity, the Compliance Officer is responsible for adapting Group procedures issued by Crédit Agricole S.A.'s Compliance department (Fides Corpus) and for developing procedures specific to that business. The Compliance Officer is also responsible for training and for the dedicated control system aimed at controlling these risks, preventing the risk of fraud and limiting potential impacts as an ongoing goal (financial losses, legal, administrative or disciplinary sanctions), while protecting the reputation of the Crédit Agricole Assurances Group. In this respect, the launch of new business activities and the creation of new products, are subject to enhanced security by referral to the New Activities and New Products Committees, established in each entity to review in particular the contractual and marketing documents for products, as well as the training materials and sales aids intended for distributors.

The management and supervision of their compliance system is carried out by the Crédit Agricole Assurances Group Compliance Officer. Coordination for the Insurance business is carried out through exchanges with the subsidiaries.

In all areas of compliance, from the prevention of money laundering and financing of terrorism to protecting customers, the Group has strengthened coordination with distributors (Regional Banks, LCL, other international networks) to ensure implementation of the controls to guarantee correct application of procedures by all parties.

The Crédit Agricole Assurances Group has realigned its organisation and its risk management policy to ensure compliance with the Solvency 2 regulation, as detailed in the Corporate governance section of the Crédit Agricole Assurances Registration Document.

VII. Legal risks

Responsibility for legal management, regulatory monitoring and consulting with the various Business line departments lies with the companies' Legal departments. There are currently no governmental, legal or arbitration proceedings (or any proceedings known by the Company, suspended or threatened) that could have or has had, in the previous 12 months, any material effect on the financial position or profitability of the Company and/or of the Crédit Agricole Assurances Group.

To Crédit Agricole Assurances' knowledge, there is no significant litigation to note.

2.8 OPERATIONAL RISKS

Operational risk is the risk of loss resulting from shortcomings or failure in internal procedures, staff, information systems or external events.

It includes legal risk, non-compliance risk, internal and external fraud risk, the model risk and risks generated by the use of outsourced services, including key outsourced services (*prestations de service essentielles externalisées* – PSEE).

I. Organisation and supervision system

The operational risk system, adjusted to each Group entity, comprises the following components common to the entire Group.

Organisation and governance of the Operational Risk Management function

- supervision of the system by Executive Management (via the Operational Risk Committee or the operational risk unit of the Group Risk Management Committee and the Internal Control Committee);
- tasks of the Risk Officers (Crédit Agricole S.A. and its subsidiaries) and the Operational Risk Managers at local level in terms of management of the operational risk management system;
- responsibility of the entities in managing their own risks;
- set of standards and procedures;
- circulation of Crédit Agricole's Group risk tolerance policy implemented in 2015 and incorporating operational risk.

Identification and qualitative assessment of risks through risk mapping

Risk mapping is done annually by the entities and is used by each entity with a validation of the results and associated action plans by the Operational Risk Committee (operational risk unit of the Internal Control Committee) and a presentation to the Risk Committee of the Board of Directors.

This mapping is supplemented by the establishment of risk indicators to monitor the most sensitive processes.

Collection of operational loss data and an early-warning system to report significant incidents, which are consolidated in a database used to measure and monitor the cost of risk

The reliability and quality of the data collected are submitted to systematic audits both at the local and central levels.

The calculation and regulatory reporting of capital for operational risk at the consolidated and entity levels

The quarterly production of an operational risk dashboard at entity level, accompanied by a Crédit Agricole Group summary, taking into account the main sources of risks affecting the business lines and associated action plans for major incidents.

Tools

The RCP (Risk Management and Permanent Controls) platform contains the four essential elements of the system (collection of loss data, operational risk mapping, permanent controls and action plans) sharing the same framework and thus making it possible to establish a connection between the risk mapping systems and risk management system (permanent controls, action plans, etc.).

Regarding the IT system component used for the calculation and allocation of regulatory capital, the upgrade plan was continued along with a rationalisation of the databases, enhanced information granularity and the automation of the controls on data taken from COREP's regulatory statements to bring IT into line with best management principles defined by the Basel Committee.

These components are subjected to consolidated verifications at the central level.

In addition, risks associated with key outsourced services are incorporated into each component of the Operational Risk system and are the subject of a specific report, as are the consolidated controls that are centrally communicated. The Crédit Agricole Group system adaptation is currently being finalised in accordance with the EBA guidelines on outsourcing arrangements, published in February 2019 and the outsourced services base should be brought into compliance by 31 December 2021.

II. Methodology

The main entities of the Crédit Agricole group use the advanced measurement approach (AMA): Crédit Agricole CIB, Amundi, LCL, Crédit Agricole Consumer Finance, Agos and the Regional Banks. The use of the AMA for these entities was approved by the French Regulatory and Resolution Supervisory Authority (ACPR) in 2007. These entities currently represent 80% of the capital requirement for operational risks.

For the entities that use the standardised approach (TSA), the regulatory weighting coefficients used in calculating the capital requirement are those recommended by the Basel Committee (percentage of revenues according to business line).

AMA regulatory capital requirement calculation

The advanced measurement approach (AMA) for calculating capital requirements for operational risk has the following main objectives:

- increase control over the cost of operational risk, and prevent exceptional risks across the various Group entities;
- determine the level of capital needed for the measured risks;
- promote improvements in risk management through the monitoring of action plans.

The systems implemented within the Group aim for compliance with all qualitative criteria (integration of risk measurement into day-to-day management, independence of the Risk function, periodic disclosure of operational risk exposures, etc.) and Basel 3 quantitative criteria (99.9% confidence interval over a one-year period; incorporation of internal data, external data, scenario analyses and factors reflecting the operating environment; incorporation of risk factors that influence the statistical distribution, etc.).

The AMA model for calculating capital requirements is based on a unique actuarial model called the **Loss Distribution Approach**.

Internal factors (change in the entity's risk profile) are considered according to:

- changes within the entity (organisational, new business activities, etc.);
- changes in risk mapping;
- an analysis of the history of internal losses and the quality of the risk management system, in particular via the permanent controls system.

For external factors, the Group uses:

- the ORX Insight external consortium database to monitor incidents recorded in other institutions;

- the SAS OpRisk and ORX News external public databases for:
 - raising awareness among the entities of the main risks that have impacted other institutions,
 - assisting experts in the valuation of the main Group vulnerabilities (key scenarios).

The model was designed and developed according to the following principles:

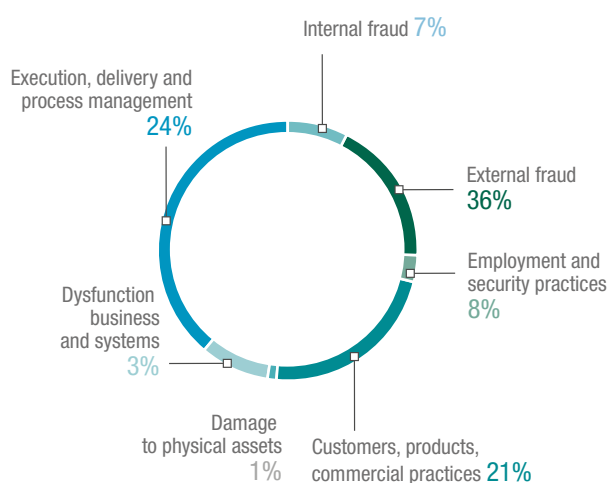
- it must form an integral part of the risk policy;
- it must be pragmatic, *i.e.* the methodology must be applicable to real operating conditions;
- it must have educational value, in order to be endorsed by Executive Management and the business lines;
- it must be robust, *i.e.* it must be able to provide estimates that are realistic and stable from one financial year to the next.

A biannual committee for back-testing the Advanced Measurement Approach (AMA) model is in place and is dedicated to analysing the sensitivity of the model to changes in the risk profile of entities. Every year, this committee identifies areas where improvements are possible, and draws up corresponding action plans.

The operational risk system and methodology were subject to external audits by the ECB in 2015, 2016 and 2017. These audits made it possible to note the Group's progress, but also to complete the prudential approach relating to emerging risks (cyber risk, compliance/conduct risk).

III. Exposure

Breakdown of operational losses by Basel risk category (2018 to 2020)



Generally, the exposure profile in terms of the operational risks identified over the last three years reflects the principal activities at the Crédit Agricole group:

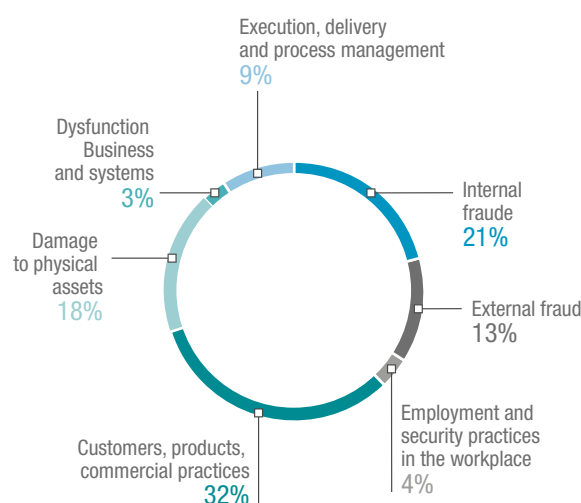
- an exposure to external fraud that remains significant, mainly in connection with credit boundary operational risk (document fraud, fraudulent invoices, etc.), as well as one-off defaults in 2020 associated with suspected fraudulent bankruptcies) and payment instruments fraud (bank cards, fraudulent transfers);
- execution and delivery risks, process management risks due to processing errors (absent or incomplete legal documentation, collateral management, litigation with suppliers, input errors, etc.);

- exposure to the Customer category, notably marked by the decision of the Dutch mediator regarding the conditions for the review of the interest rates of revolving loans marketed by Crédit Agricole Consumer Finance Nederland BV;

- to be noted in 2020, the rise in the share of the Internal Fraud category due to one-off incidents, and in the Employment and Safety Practices category due to additional costs connected to the COVID-19 health crisis (health protection kits, cancellation of travelling and events).

Remedial and preventive action plans at local or Group level were introduced to reduce the exposure of the Crédit Agricole group to operational risk. Periodic monitoring of action plans for incidents with an impact higher than €5 million has been implemented since 2014 within the Group Operational Risk Committee and since 2016 in the Group Risk Management Committee.

Breakdown of risk-weighted assets by Basel risk category (2020)



IV. Insurance and coverage of operational risks

The Crédit Agricole group has obtained insurance coverage for its operational risks to protect its assets and profits. For high-intensity risks, Crédit Agricole S.A. has taken out insurance policies to cover itself and its subsidiaries with major insurance companies, and with CAMCA for the Regional Banks. These policies harmonise the transfer of personal and property risks and the setting up of specific professional liability and fraud insurance programmes for each business line. Lower intensity risks are managed directly by the relevant entities.

In France, third-party civil liability risks are covered by Operating, General and Professional Civil Liability policies. It should be noted that property and casualty insurance for operating assets (property and IT equipment) also includes third-party liability coverage for all property exposed to this risk.

Insurance policies for operating losses, fraud and securities risks, Group professional liability, and civil liability for Executives and Non-Executive Corporate Officers were renewed in 2020.

"Basel 2 eligible" policies contribute to reducing the capital requirement for operational risks (within the 20% authorised limit).

Risks combining low intensity and high frequency that cannot be insured under satisfactory economic conditions are retained in the form of franchises or pooled within the Crédit Agricole Group.

2.9 NON-COMPLIANCE RISKS

Compliance is defined as a set of rules and initiatives aimed at ensuring **compliance with all laws and regulations** specific to banking and financial activities, **professional and ethics standards and practices**, the fundamental principles set out in the Group's **code of ethics** and the instructions, **codes of conduct** and procedures internal to Group entities in relation to the areas covered by Compliance. These include in particular, client protection, compliance with financial market integrity, the fight against money laundering and terrorist financing, compliance with international sanctions (embargoes, asset freezes, etc.), prevention of internal and external fraud, the fight against corruption and the exercise of whistleblowing rights, tax compliance rules and the protection of personal data.

In addition to meeting regulatory requirements and the expectations of all its stakeholders (customers, members, shareholders, employees), the Crédit Agricole Group has the objective of **making Compliance a differentiating asset in the service of customer satisfaction, development and sustainable performance**. To this end, the Compliance department has launched its Smart Compliance strategic road map, aimed at giving the Compliance function, which is now organised and structured, a **more operational mandate in terms of serving the departments** and entities, **while maintaining its key control role**. The vision of Smart Compliance has two thrusts, a defensive thrust aimed at protecting the Group from regulatory and image risk, and an offensive thrust whereby all internal stakeholders, from back office to front office, commit to providing customers with quality and loyalty. Three vectors contribute to the success of this approach: an organisation and governance vector, in the broadest sense, including communication, a "Human" vector, which includes making employees accountable and providing them with training opportunities and, lastly, a vector that leverages innovation, technology and data use for the benefit of Compliance.

The Crédit Agricole Group has defined and implemented an updated, adequate and proportionate **non-compliance risk management system** that involves all Group stakeholders (employees, management, control functions including Compliance). This system is based in particular on organisations, procedures, information systems or tools used to identify, assess, monitor and control these risks and to determine the necessary action plans. A dedicated monitoring plan that enables to ensure that these risks are controlled and that their impact in terms of financial losses, or legal, administrative or disciplinary sanctions, is minimised, with the ongoing goal to preserve the Group's reputation. Regular reports on the system are provided to the governance bodies of the entities and the Group.

The system is structured and deployed by the Crédit Agricole Group's Compliance business line. It is placed under the authority of the Group Head of Compliance, who reports directly to the Chief Executive Officer of Crédit Agricole S.A. To develop **integration of the sector and guarantee the independence** of its roles, the Compliance Officers of Crédit Agricole S.A. subsidiaries report hierarchically to the Group Head of Compliance, unless prevented by local law. A functional coordination link was also implemented with the Regional Banks, either at Compliance Control Officer (CCO) level, when he or she reports directly to the entity's Executive Management, or at Risk Management level when Compliance falls within its scope. At end-2020, these positions were held by 1,700 full-time equivalent employees within Crédit Agricole S.A., its subsidiaries and the Regional Banks.

The Group Compliance department (*Direction de la conformité* – DDC) of Crédit Agricole S.A. is responsible for developing **Group policies** with respect to observance of laws and regulations and ensures they are properly disseminated and applied. To this end, it has **teams specialised by area of expertise**: financial market compliance, customer protection, financial security, fraud and corruption. A project team is also dedicated

to managing the deployment of all commitments made by the Crédit Agricole Group under the OFAC remediation plan (see below). As part of the entry into force of the European Regulation on the Protection of Personal Data (GDPR), the Group Data Protection Officer (DPO) reports directly to the Head of Group Compliance and is in charge of managing the **DPO division of Crédit Agricole**.

The DDC also **leads and supervises the Compliance division**. The control of non-compliance risks is in particular based on a system that integrates permanent indicators and controls deployed within the entities. GDC therefore provides Group-level supervision (including analyses of compliance failures).

The system is organised around a **governance structure that is fully integrated** into the Group's internal control framework. **The Group Compliance Management Committee**, chaired by Executive Management, holds a meeting every two months. It makes the decisions required to prevent non-compliance risks and to implement and monitor corrective measures following the reporting of irregularities to the Committee. Non-compliance risks and the decisions taken to control them are regularly presented to the Risk Committee of the Board of Directors and the Board of Directors of Crédit Agricole S.A.

The system for controlling non-compliance risks is based primarily on the dissemination of a solid **culture of ethics and compliance** among all Group employees and managers. The culture of ethics and compliance, underpinned by the Group's **Code of ethics**, is common to all Group entities and promotes the Group's values of customer focus, accountability and solidarity. The spreading of this culture of ethics also relies on **awareness-raising and training activities** with regard to the challenges and risks of non-compliance that strongly mobilise the Compliance department, and more broadly all Group stakeholders: employees, managers and Board members. Training modules and materials – general or intended for employees who are at a higher risk of exposure – cover all areas of day-to-day compliance, fraud prevention and detection, personal data protection, the fight against money laundering and the prevention of terrorist financing, as well as international sanctions.

In an extension of the Code of ethics, the entities have a **Code of Conduct**, which disseminates the principles of the Code of Ethics at an operational level. The Code of Conduct applies to everybody – Board members, executive officers and employees of the entity, regardless of their situation and function. The Code of Conduct is designed to guide everyone's actions, decisions and behaviour on a daily basis by incorporating behavioural rules to deal with ethical issues that anyone might encounter during their professional and non-professional assignments. As part of the approach to controlling the risks of non-compliance, it also includes a specific "anti-corruption" component in application of the obligations arising from the Sapin II Law, relating to the prevention of corruption and influence peddling.

The system also has a **whistleblowing** procedure whereby employees are able to notify the entity's Compliance Officer if they observe an irregularity in the usual process of reporting non-compliance or if they feel pressured to do something that would constitute non-compliance, without going through their direct superior. By launching a **new computer platform**, Crédit Agricole Group has demonstrated its support for employees who want to use the whistleblowing mechanism securely. The tool guarantees the strict confidentiality of the whistleblower, the facts reported, the persons involved and the exchanges between the whistleblower and the person in charge of processing the alert. The deployment of the new computer system was completed in 2020 across the entire Crédit Agricole Group scope and covers more than 300 entities. At this stage, one hundred or so alerts have been reported and processed through the new system, which also covers events falling within the scope of the Group's duty of vigilance.

Customer protection is a top priority for the Crédit Agricole Group and is fully aligned with the “Relationship Excellence” and “Social Engagement” components of the 2022 Group Project. In 2020 the Crédit Agricole Group furthered its action within a continuous improvement approach. Accordingly, the banking inclusion mechanism of the Crédit Agricole Group was strengthened to better detect financially vulnerable clients and provide them specific assistance to prevent them from falling into insecurity or to help them recover.

The Group put “**product**” **governance** at the centre of its measures for achieving relationship excellence, turning it into a major instrument for loyalty and transparency of the offers and services provided to customers, through and with the development of customer focus. To achieve this, complaints monitoring is central to the system.

Due to stricter legal obligations in respect of the **fight against corruption**, in 2018 Crédit Agricole launched the necessary actions to strengthen its systems and implement the recommendations of the French anti-corruption authority (*Agence française anticorruption*). Accordingly, the Group updated its processes and operating procedures by defining an appropriate governance, setting up an Anti-corruption Code to redesign its training programme and raise awareness among all its employees to emphasise the appropriate behaviour to avoid breach of integrity. Crédit Agricole is therefore one of the first French banks to obtain ISO 37001 certification for its anti-corruption management system. This certification was renewed in 2019.

Fraud prevention is designed to protect the Bank’s interests and to safeguard customers. The fraud prevention system has been deployed in all Crédit Agricole group entities since 2018. An organisation with a Compliance/Fraud and Corruption Prevention business line is in place. Tools have been deployed to combat fraud in means of payment and fraudulent transfers. Governance was also strengthened at the entity level with greater management involvement. Action has been taken to update the training tools made available to entities in 2018. In 2020, the COVID-19 health crisis and the disruption that it caused was an opportunity for various types of fraudsters, in particular for organised criminal groups. Crédit Agricole Group immediately addressed this issue from all angles and across all sectors. Steps of action were taken and are continuously updated to protect the bank’s clients.

Controlling risks related to financial security requirements, and in particular international sanctions, is a high priority for the Group. They are part of a major project to strengthen the international sanctions management system, the OFAC remediation plan, as a result of agreements signed with the American authorities on 19 October 2015 following breaches of the “OFAC Sanctions” regime for USD transactions between 2003 and 2008. This remediation plan was approved by the US Federal Reserve on 24 April 2017 and is subject to close monitoring

and regular reporting to the Group’s governance and the US authorities. Criminal proceedings against Crédit Agricole Corporate and Investment bank were terminated on 19 October 2018. Crédit Agricole Corporate and Investment bank, like the entire Crédit Agricole Group, remains fully committed to ensuring the success of the Group’s OFAC programme vis-à-vis the Fed by April 2021. Application of the civil component of the agreements continues, with work under way throughout the entire Crédit Agricole Group. In 2020 major milestones in the development of the plan were achieved: all Group entities reviewed, and where necessary updated, their customer data required to identify any potential risk related to international sanctions. The projects for the centralisation of the platforms managed by the Group, the screening of payment flows and the names of customers, suppliers and other third parties were completed. Accordingly, thanks to this work, over 63 million customers are now screened on these Group platforms. Lastly, the control system for international trade finance activities was strengthened and automated.

Customer knowledge and anti-money laundering and terrorist financing prevention systems are the subject of ongoing action plans to take into account changes in risks, regulatory requirements and supervisory authorities. In accordance with the roadmap, 2020 saw the setting up of new periodical KYC review standards and the set-up of a comprehensive assistance programme for entities which will be rolled out from the beginning of 2021. The aim is to have a review process covering all Group entities and all customer segments. The operational implementation will be backed by indicators designed to ensure regular monitoring and steering. In addition, the reliability of customer databases continues to be improved in order to ensure the quality of essential identity data and allow effective screening of these databases. This project must also improve the level of customer knowledge over the long term to make it a loyalty factor and prevent and detect risks, especially money-laundering and terrorist financing. Lastly, and thanks to the work on standardisation, in 2020 the Group launched an initiative aimed at strengthening the sharing of KYC. Several tests were launched in 2020 and will gradually be generalised. The roadmap for 2021 is fully in line with the initiatives conducted in previous years: continuing to improve the quality of onboarding, pursue the initiative aimed at improving data reliability to ensure remediation over the long term, managing and monitoring periodical KYC reviews, increase the sharing of KYC information across Group entities and, lastly, providing assistance to the entities in their works to include KYC in all the commercial actions of account managers.

Lastly, in 2020 the Group consolidated its programme related to the European **General Data Protection Regulation** (GDPR). The programme deployed in 2018 in compliance with the new requirements was scaled up and adjusted appropriately, while Privacy by Design was incorporated as part of the Group’s data and project governance.

3. PILLAR 3 DISCLOSURES

Key metrics at Crédit Agricole Group level (KM1)

Phased-in key metrics at Group level – Crédit Agricole Group (KM1) (in millions of euros)		31/12/2020
Available own funds (amounts)		
1	Common Equity Tier 1 (CET1) capital	96,942
2	Tier 1 capital	102,722
3	Total capital	118,325
Risk-weighted exposure amounts		
4	Total risk-weighted exposure amount	562,059
Capital ratios (as a percentage of risk-weighted exposure amount)		
5	Common Equity Tier 1 ratio (%)	17.2%
6	Tier 1 ratio (%)	18.3%
7	Total capital ratio (%)	21.1%
Additional own funds requirements based on SREP (as a percentage of risk-weighted exposure amount)		
EU 7a	Additional CET1 SREP requirements (%)	0.8%
EU 7b	Additional AT1 SREP requirements (%)	0.3%
EU 7c	Additional T2 SREP requirements (%)	0.4%
EU 7d	Total SREP own funds requirements (%)	9.5%
Combined buffer requirement (as a percentage of risk-weighted exposure amount)		
8	Capital conservation buffer (%)	2.5%
EU 8a	Conservation buffer due to macro-prudential or systemic risk identified at the level of a Member State (%)	0.0%
9	Institution specific countercyclical capital buffer (%)	0.0%
EU 9a	Systemic risk buffer (%)	
10	Global Systemically Important Institution buffer (%)	
EU 10a	Other Systemically Important Institution buffer	1.0%
11	Combined buffer requirement (%)	3.5%
EU 11a	Overall capital requirements (%)	13.0%
Leverage ratio		
13	Leverage ratio total exposure measure	1,684,937
14	Leverage ratio	6.1%
Liquidity Coverage Ratio		
15	Total high-quality liquid assets (HQLA) (weighted value – average)	314,297
16	Total net cash outflows (adjusted value)	210,961
17	Liquidity coverage ratio (%)	149.0%

3.1 COMPOSITION AND MANAGEMENT OF CAPITAL

Within the framework of Basel 3 agreements, (EU) regulation No. 575/2013 of the European Parliament and of the Council of 26 June 2013 (the Capital Requirements Regulation, or “CRR”) modified by CRR No. 2019/876 (“CRR2”) requires relevant financial institutions (notably credit institutions and investment firms) to disclose quantitative and qualitative information on their risk management activities. The risk management system and exposure levels of the Crédit Agricole Group are presented in this section and in the section entitled “Risk management”.

The Basel 3 agreements are categorised into three pillars:

- **Pillar 1** sets the minimum capital adequacy requirements and level of ratios in accordance with the current regulatory framework;
- **Pillar 2** completes the regulatory approach with the quantification of a capital requirement covering the major risks to which the bank is exposed, on the basis of internal approaches (see part “Economic Capital Adequacy”);
- **Pillar 3** introduces standards for financial disclosure to the market, with the requirement to give details of the regulatory capital components and risk assessments, both for the regulations applied and the business during the period.

The Crédit Agricole Group has chosen to disclose its Pillar 3 information in a separate section from its Risk Factors and Risk Management in order to isolate the items that meet the regulatory prudential publication requirements.

The main purpose of solvency management is to assess the Crédit Agricole Group's own funds and to verify that they are sufficient to cover the risks to which the Crédit Agricole Group is or could be exposed, given its activities.

The target is to secure its customers' deposits and allow the Group access to the financial markets under the desired conditions.

To achieve this target, the Group measures regulatory capital requirements (Pillar 1) and conducts regulatory capital management, by relying on both short- and medium-term prospective measures that are consistent with the budgetary projections, based on a central economic scenario.

Moreover, the Group relies on an internal process, named ICAAP (Internal Capital Adequacy and Assessment Process), which has been developed in accordance with the interpretation of the main regulatory texts specified below. More specifically, the ICAAP includes:

- the governance of capital management, adapted to the specificities of the Group's subsidiaries, which enables centralised and coordinated monitoring at Group level;
- a measurement of economic capital requirements based on the risk identification process and quantification of capital requirements using an internal approach (Pillar 2);
- conducting ICAAP stress test exercises that aim to simulate the destruction of capital after a three-year adverse economic scenario;
- the management of economic capital (see part on “Economic Capital Adequacy”);
- a qualitative ICAAP mechanism that formalises, amongst other items, the major areas for risk management improvement.

The ICAAP is highly integrated within the Group's other strategic processes, such as the ILAAP (Internal Liquidity Adequacy and Assessment Process), the Risk Appetite Framework, the budgetary process, the recovery plan and the risk identification process.

In addition to solvency, Crédit Agricole S.A. also manages leverage and resolution ratios (MREL & TLAC) on behalf of Crédit Agricole Group.

Lastly, the solvency and resolution ratios are an integral part of the risk appetite framework applied within Crédit Agricole Group (described in the chapter on "Risk Factors and Risk management").

3.1.1 Applicable regulatory framework

Tightening up the regulatory framework, Basel 3 agreements enhanced the quality and level of regulatory capital required and added new risk categories to the regulatory framework.

In addition, a specific regulatory framework, allowing an alternative to bank default, has entered into force following the 2008 financial crisis.

The legislation concerning the regulatory prudential requirements applicable to credit institutions and investment firms was published in the Official Journal of the European Union on 26 June 2013. It includes directive 2013/36/EU (Capital Requirements Directive, known as "CRD 4") and regulation 575/2013 (Capital Requirements Regulation, known as "CRR") and entered into force on 1 January 2014, in accordance with the transitional provisions specified in the legislation.

Directive 2014/59/EU, the Bank Recovery and Resolution Directive (known as "BRRD"), was published in the Official Journal of the European Union on 12 June 2014 and has been in effect in France since 1 January 2016. The European Single Resolution Mechanism Regulation (known as "SRMR", Regulation 806/2014) was published on 15 July 2014 and came into effect on 19 August 2016, in accordance with the transitional provisions specified in the legislation.

On 7 June 2019, four pieces of legislation constituting the banking package were published in the Official Journal of the European Union:

- **CRR2:** Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 amending Regulation (EU) No. 575/2013;
- **SRMR2:** Regulation (EU) 2019/877 of the European Parliament and of the Council of 20 May 2019 amending Regulation (EU) No. 806/2014;
- **CRD 5:** Directive (EU) 2019/878 of the European Parliament and of the Council of 20 May 2019 amending Directive 2013/36/EU;
- **BRRD2:** Directive (EU) 2019/879 of the European Parliament and of the Council of 20 May 2019 amending Directive 2014/59/EU.

Regulations SRMR2 and CRR2 entered into force 20 days after their publication, *i.e.* on 27 June 2019 (although not all the provisions are immediately applicable). The CRD 5 and BRRD2 directives were both transposed into French law on 21 December 2020 by Decrees 2020-1635 and 2020-1636 and came into force seven days after their publication, *i.e.*, on 28 December 2020.

Regulation 2020/873, known as "Quick-Fix", was published on 26 June 2020 and came into force on 27 June 2020, amending Regulations 575/2013 ("CRR") and 2019/876 ("CRR2").

Under the CRR2/CRD 5 regime, four levels of capital requirements are calculated:

- the core Tier 1 ratio, or Common Equity Tier 1 (CET1) ratio;
- the Tier 1 ratio;
- the total capital ratio;
- the leverage ratio (which is to become a Pillar 1 regulatory requirement from June 2021).

A phasing-in period of calculation for these ratios shall permit to take into account:

- the transition from Basel 2 calculation rules to Basel 3 rules (the transitional provisions applied to own funds until 1 January 2018 and apply to hybrid debt instruments until 1 January 2022);
- the eligibility criteria defined by CRR2 (until 28 June 2025 as equity investments are concerned);
- the impacts related to the application of the IFRS 9 accounting standard.

A fully loaded view of the ratios, as if the regulatory changes were of immediate application, is also published.

In addition, two ratios are used to assess the adequacy of loss absorption and recapitalisation capacities in the context of bank resolution. These two requirements are applicable at Crédit Agricole Group level:

- the TLAC (Total Loss Absorbing Capacity) ratio, defined for Global Systemically Important Institutions (G-SII) and applicable in the European Union through its integration into the CRR2;
- the MREL (Minimum Requirement for Own Funds and Eligible Liabilities) ratio, applicable to all banking institutions in the European Union and defined in the BRRD.

The minimum requirements applicable to Crédit Agricole S.A. and to Crédit Agricole Group are met.

3.1.2 Supervision and regulatory scope

Credit institutions and certain investment activities referred to in Annex 1 of Directive 2004/39/EC are subject to solvency ratios, resolution ratios and large exposure ratios on an individual, and where applicable, sub-consolidated basis.

The French Regulatory and Resolution Supervisory Authority (ACPR) has accepted that certain subsidiaries of the Group may benefit from individual exemption or, as necessary, on a sub-consolidated basis under the conditions specified by Article 7 of the CRR. Accordingly, Crédit Agricole S.A. has been exempted by the ACPR from application on an individual basis.

The transition to single supervision on 4 November 2014 by the European Central Bank did not call into question the individual exemptions previously granted by the ACPR.

The detailed list of entities concerned by a difference between the accounting and prudential scopes is detailed in the part on "Appendix to the regulatory capital".

3.1.3 Capital policy

The Group unveiled its financial trajectory for the Group Project and the 2022 Medium-Term Plan during the Investors' Day on 6 June 2019. Targets in terms of results and scarce resources were explained on this occasion.

3.1.3.1 Crédit Agricole Group

Crédit Agricole Group aims to remain among the most capitalised global systemically important institutions (G-SII) in Europe by reaching and maintaining a CET1 ratio of more than 16% by 2022. This target will be achieved by retaining more than 80% of its results, bringing its core Tier 1 capital (CET1) to €100 billion by the end of 2022.

Crédit Agricole Group aims to achieve a subordinated MREL ratio (excluding eligible senior preferred debt) of 24% to 25% of risk-weighted assets by the end of 2022 and to maintain a subordinated MREL ratio (excluding preferred senior debt) of at least 8% of TLOF (Total Liabilities and Own Funds).

Achieving these two targets will confirm the robustness and strong financial position of Crédit Agricole Group, thus reinforcing the security of its clients' assets, its market access conditions, and its rating in respect of ratings agencies.

3.1.3.2 Crédit Agricole S.A.

Crédit Agricole S.A. has set itself the target of a CET1 ratio of 11% over the plan period. It is committed to a payout ratio of 50% in cash (in 2020, this distribution policy had to be adjusted due to exceptional circumstances, with a dividend payment for 2020 of 80 cents per share with a scrip dividend payment option, or €2.3 billion, of which €0.9 billion in cash, thanks to the formal commitment of SAS Rue La Boétie to opt for a scrip dividend payment⁽¹⁾, and scrupulously respecting the recommendation of 15 December 2020 of the European Central Bank).

In an uncertain economic and regulatory context, this capital policy makes it possible to achieve a balance between an attractive distribution policy for the shareholder and an agile allocation of capital.

3.1.3.3 Regional Banks

Through their financial structure, the Regional Banks have a strong ability to generate capital by retaining most of their earnings. Capital is also strengthened by the issuance of mutual shares by the Local Banks.

3.1.3.4 Subsidiaries

Subsidiaries under Crédit Agricole S.A. exclusive control and subject to compliance with capital requirements are capitalised at a consistent level, taking into account local regulatory requirements, capital requirements necessary to finance their development and a management buffer adapted to the volatility of their CET1 ratio.

3.1.4 Governance

The Capital Management Committee meets quarterly, chaired by the Deputy General Manager, Chief Financial Officer; it includes in particular the Group Chief Risk Officer, the Head of Group Financial Management, the Director of Financial Communication and the Group Head of Treasury and Funding.

This Committee has the following main tasks:

- to review the short- and medium-term solvency, leverage ratio and resolution projections for Crédit Agricole Group and for Crédit Agricole S.A. as well as the ratios monitored by rating agencies;
- to approve the structuring assumptions with an effect on solvency in line with the Medium-Term Plan;
- to set the rules for capital management and distribution within the Group;
- to decide on liability management transactions (subordinated debt management);
- to keep up to date with the latest supervision and regulatory news;
- to examine the relevant problems relating to the subsidiaries and to the Regional Banks;
- to prepare the decisions to be submitted if necessary to the Asset-Liability Management Committee and the Board of Directors;
- to study any other subject affecting solvency and resolution ratios at Group level.

The management of regulatory capital is performed using a process called capital planning.

Capital planning is designed to provide projections for capital and rare resource consumption (risk-weighted assets and size of the balance sheet) over the current Medium-Term Plan, covering both scopes of consolidation (the listed entity Crédit Agricole S.A. and Crédit Agricole Group, a global systemically important institution), with a view to

determining the trajectories for solvency ratios (CET1, Tier 1, total ratio and leverage ratio) and resolution ratios (MREL and TLAC, if applicable).

It covers the budgetary components of the financial trajectory, including organisational transaction projects, regulatory accounting and prudential changes, as well as model effects against risk bases. It also reflects the issuance policy (subordinated debts and eligible TLAC and MREL debts) and distribution with regard to the capital structure targets defined in line with the Group's strategy.

determines the leeway available to the Group for development. It is also used to set various risk thresholds used for risk appetite. It thus ensures compliance with the various regulatory prudential requirements and is used to calculate the Maximum Distributable Amount (MDA), as defined by CRD 5.

Capital planning is submitted to various governance bodies and is communicated to the competent authorities, either in the context of regular discussions or for specific transactions (such as authorisation requests).

The subsidiaries subject to regulatory prudential requirements compliance and the Regional Banks also perform this forecast exercise at a sub-consolidated level.

3.1.5 Financial conglomerate

3.1.5.1 Overall system

The European Directive of 16 December 2002 imposes supplementary consolidated supervision on "financial conglomerates", in particular those carrying out both banking and insurance activities.

This Directive notably requires the financial conglomerates to have appropriate risk management procedures and internal control framework.

The conglomerate approach is appropriate to Crédit Agricole Group, as it corresponds to the Group's natural scope, which combines banking and insurance activities, as well as to its internal governance (reflected in particular through the Risk Appetite framework). Furthermore, the ICAAP approach of Crédit Agricole Group is based on a conglomerate approach to define both the economic capital requirement and the internal capital available at Group level to cover this requirement.

For the conglomerate supervision, Crédit Agricole Group relies on three regulatory scopes:

- the banking scope (Basel 3) – banking ratios;
- the insurance scope (Solvency 2⁽²⁾) – insurance solvency ratio;
- the conglomerate scope – financial conglomerate ratio.

$$\text{Financial conglomerate ratio} = \frac{\text{Total Conglomerate Own Funds}}{\text{Banking requirements} + \text{Insurance requirements}} > 100\%$$

The conglomerate ratio is defined as the ratio of the phased-in total conglomerate own funds to the sum of banking and insurance capital requirements:

- a restatement is made in both the numerator and the denominator for the intragroups related to equity investments;
- the financial conglomerate own funds include the insurance subsidiary's own funds raised outside of the consolidation scope;

(1) And on the assumption that the employee mutual funds (FCPE) will also opt for the scrip dividend payment and that the other minority shareholders will opt for payment in cash.

(2) Solvency 2 is a European regulatory reform of the insurance industry.

- the denominator includes the banking and insurance activities according to their respective regulatory solvency requirements, thus taking into account the actual specific risks related to each of these two business sectors.

The conglomerate ratio must at all times be greater than 100%. The 100% threshold remains a binding requirement, the non-compliance with which would be detrimental: in the event of non-compliance or risk of non-compliance with the financial position of a conglomerate, the necessary measures must be taken to address the situation as soon as possible (as defined in the European FICOD Directive 2002/87).

As at 31 December 2020, Crédit Agricole Group's phased-in financial conglomerate ratio, which includes the Solvency 2 requirement relating to the equity interest in Crédit Agricole Assurances, was 170%. The ratio included the consideration of the French Decree of 24 December 2019 authorising the integration of the Policyholder Participation Reserve (PPE) in the equity of insurance companies, up to the amount required to cover the risks borne by the insurance company (Solvency Capital Requirement, or SCR). The level of Crédit Agricole Group's financial conglomerate ratio as of 31 December 2020 corresponds to a surplus of own funds of the financial conglomerate of Crédit Agricole Group of €56 billion.

This situation follows logically from compliance with the solvency requirements of each of the two sectors, banking and insurance.

3.1.5.2 Prudential requirements with respect to insurance in banking ratios

Financial conglomerates may, with the authorisation of the competent authority, use the option not to deduct their equity holdings in insurance companies from their prudential own funds but to treat them as risk-weighted assets. This provision, known as the "Danish compromise" (or Article 49-(1) of the CRR) has not been amended by CRR2 (Regulation (EU) 2019/876 of the European Parliament and of the Council of 20 May 2019 amending Regulation (EU) No. 575/2013).

On 18 October 2013, Crédit Agricole Group and Crédit Agricole S.A. received the authorisation from the ACPR to apply this treatment to Crédit Agricole Assurances Group entities.

Risk-weighted assets include the equity-accounted value of insurance investments for the validated conglomerate scope, pursuant to Article 49-(1) of the CRR. Due to the unlisted status of Crédit Agricole Assurances (CAA), the weighting given to this value is 370%.

The table below shows the amount of holdings covered under Article 49-(1) of the CRR.

Non-deducted equity holdings in insurance companies (INS1)

Non-deducted participations in insurance undertakings (INS1) (in millions of euros)	31/12/2020
Holdings of own funds instruments of a financial sector entity where the institution has a significant investment not deducted from own funds (before risk weighting)	9,196
Holdings of own funds instruments of a non-financial sector entity belonging to the general assets of the insurance and consolidated using the equity-accounted method where the institution has a significant investment not deducted from own funds (before risk weighting)	4,074
TOTAL RISK WEIGHTED EXPOSURE AMOUNT (RWA)	49,098

3.1.5.3 Crédit Agricole Group's ICAAP approach

In order to assess and permanently maintain the adequate capital level to cover the risks to which it is (or may be) exposed, the Group supplements its framework for the regulatory perspective of capital adequacy with an

economic internal perspective. Economic capital requirement (Pillar 2) therefore supplements regulatory capital requirement (Pillar 1). Economic capital requirement is based on the risks identification process and on an evaluation using internal approaches. The economic capital requirement must be covered by internal capital which is the Group's internal view of its available own funds.

The assessment of the economic capital requirement is one of the ICAAP components, which also covers the stress test programme – with the objective to introduce a forward-looking view of the impact of more unfavourable scenarios on the Group's risk level and solvency.

The monitoring and management of the economic perspective of capital adequacy has been developed in accordance with the interpretation of the main regulatory texts:

- Basel agreements;
- CRD 5 through its transposition into French regulations by the Decree of 21 December 2020;
- the guidelines of the European Banking Authority;
- the guide to the ICAAP and ILAAP and the harmonised collection of information on the subject.

ICAAP is first and foremost an internal process, and it is up to each institution to implement it in a proportionate and credible way. Thus, the implementation as well as the update of ICAAP process are the responsibility of each subsidiary.

3.1.6 Regulatory capital and internal capital

3.1.6.1 Regulatory capital

Basel 3 defines three levels of capital:

- Common Equity Tier 1 (CET1);
- Tier 1 capital, which consists of Common Equity Tier 1 and Additional Tier 1 (AT1) capital;
- total capital, consisting of Tier 1 capital and Tier 2 capital.

All the tables and remarks below include the retained earnings of the period.

3.1.6.1.1 Common Equity Tier 1 (CET1)

This includes:

- **share capital;**
- **reserves**, including share premiums, retained earnings, income net of tax after dividend payments as well as accumulated other comprehensive income, including unrealised capital gains and losses on financial assets held to collect and sale purposes and translation adjustments;
- **non-controlling interests**, which are partially derecognised, or even excluded, depending on whether or not the subsidiary is an eligible credit institution; this partial derecognition corresponds to the excess capital compared to the amount required to cover the subsidiary's capital requirements and applies to each tier of capital;
- **deductions**, which mainly include the following items:
 - CET1 instruments held under market-making agreements and share buyback programmes,
 - intangible assets, including start-up costs and goodwill,
 - prudent valuation which consists of adjusting the amount of the institution's assets and liabilities if, in accounting terms, it does not reflect a valuation that is deemed to be prudent by the regulations,
 - deferred tax assets (DTA) that rely on future profitability arising from tax loss carryforwards,
 - expected losses shortfall in relation to the credit exposures monitored using the internal ratings-based (IRB) approach, as well as anticipated losses related to equity exposures,

- capital instruments held in financial sector equity investments of less than or equal to 10% (“non-significant investments”), for the amount exceeding a ceiling of 10% of the CET1 capital of the subscribing institution, up to the proportion of CET1 instruments in the total capital instruments held; items not deducted are included in risk-weighted assets (variable weighting depending on the nature of instruments and the Basel methodology),
- deferred tax assets (DTAs) that rely on future profitability arising from temporary differences for the amount exceeding an individual ceiling of 10% of the institution’s CET1 capital; items not deducted are included in risk-weighted assets (weighting at 250%),
- CET1 instruments held in financial sector equity investments of more than 10% (“significant investments”) for the amount exceeding an individual ceiling of 10% of the institution’s CET1 capital; items not deducted are included in risk-weighted assets (weighting at 250%),
- the total of deferred tax assets (DTAs) dependent on future profitability related to temporary differences and CET1 instruments held in financial sector equity investments greater than 10% (“significant investments”) for the amount exceeding an individual ceiling of 17.65% of the institution’s CET1 capital; components not deducted are included in risk-weighted assets (weighting at 250%).

Reconciliation of equity to CET1 own funds

Reconciliation of accounting and phased-in regulatory CET1 capital (in millions of euros)	31/12/2020	31/12/2019
EQUITY – GROUP SHARE⁽¹⁾	119,565	114,972
(-) Expected dividend	(914)	(1,114)
(-) AT1 instruments accounted as equity	(5,888)	(5,134)
Minority interests (accounting value) ⁽¹⁾	6,909	6,562
(-) Components excluded from regulatory capital ⁽³⁾	(3,761)	(3,030)
Eligible minority interests⁽²⁾	3,148	3,532
(-) Equity value increases resulting from securitized assets	(265)	(321)
Cash flow hedge reserves	(829)	(533)
(-) Cumulative gains and losses attributable to changes in own credit risk for liabilities measured at fair value	277	174
(-) Fair value gains and losses resulting from the institution’s own credit risk related to derivative instruments in liabilities	(15)	(15)
(-) Prudent valuation	(1,225)	(1,439)
Prudential filters	(2,056)	(2,134)
Goodwill	(15,814)	(16,525)
Intangible assets	(2,284)	(2,842)
(-) Deduction of goodwill and intangible assets	(18,098)	(19,367)
Deferred tax assets that rely on future profitability excluding those arising from temporary differences	(131)	(138)
Shortfall in adjustments for credit risk relative to expected losses under the internal ratings-based approach	(440)	(437)
Amount exceeding thresholds	-	-
Other CET1 components	1,756	(1,128)
COMMON EQUITY TIER 1 (CET1)	96,942	89,052

(1) Information covered by the Statutory Auditors’ opinion.

(2) This item can be found in the hereunder table of simplified prudential equity capital.

(3) Of which hybrid securities issued by Crédit Agricole Assurances.

3.1.6.1.2 Additional Tier 1 (AT1) capital

This includes:

- eligible AT1 capital, which consists of perpetual debt instruments without any requirements or incentives to redeem (in particular step-up clauses);
- direct deductions of AT1 instruments (including market making);
- deductions of capital instruments held in financial sector equity investments of less than or equal to 10% (“non-significant investments”), for the amount exceeding a ceiling of 10% of the CET1 capital of the subscribing institution, up to the proportion of AT1 instruments in the total capital instruments held; items not deducted are included in risk-weighted assets (variable weighting depending on the nature of instruments and the Basel methodology);

- deductions of AT1 instruments held in equity investments in the financial sector of more than 10% (“significant investments”);
- other AT1 capital components or other deductions (including AT1 eligible non-controlling interests).

AT1 instruments eligible under CRR No. 575/2013 as amended by CRR No. 2019/876 (CRR2) include a bail-in mechanism that is triggered when the CET1 ratio is below a threshold that must be set at no lower than 5.125% for Crédit Agricole S.A. and 7% for the CET1 ratio of the Crédit Agricole Group. Instruments may be converted into equity or suffer a reduction in their par value. Payments must be totally flexible: no automatic compensation mechanisms and/or suspension of coupon payments at the issuer’s discretion are permitted.

The amount of AT1 instruments used in fully loaded ratios corresponds to AT1 capital instruments eligible under CRR No. 575/2013, as amended by CRR No. 2019/876 (CRR2).

The AT1 instruments issued by Crédit Agricole S.A. have two loss absorption mechanisms that are triggered when at least one of these two following conditions is met:

- Crédit Agricole S.A.'s CET1 ratio drops below 5.125%;
- Crédit Agricole Group's CET1 ratio drops below 7%.

At 31 December 2020, the phased-in CET1 ratios of Crédit Agricole S.A. and of Crédit Agricole Group were 13.1% and 17.2%, respectively. These ratios represent capital buffers of €27.0 billion for Crédit Agricole S.A. and €57.6 billion for the Crédit Agricole Group relative to the bail-in thresholds of 5.125% and 7% respectively.

At 31 December 2020, there were no applicable restrictions on the payment of coupons.

At the same date, the distributable items of Crédit Agricole S.A. entity totalled €38.8 billion, including €26.2 million in distributable reserves and €12.6 million in share premiums.

The CRR2 regulation adds eligibility criteria. For example, instruments issued by an institution established in the European Union that are subject to the law of a third country must include a bail-in clause in order to be eligible. These provisions apply to each category of AT1 and Tier 2 capital instruments.

These instruments are published at <https://www.credit-agricole.com/en/finance/finance/financial-publications> in Appendix II "Main characteristics of equity capital instruments" and correspond to deeply subordinated notes (TSS).

3.1.6.1.3 Tier 2 capital

This includes:

- subordinated debt instruments, which must have a minimum maturity of five years and for which:
 - early redemption incentives are prohibited,
 - a haircut applies during the five-year period prior to their maturity date;
- deductions of directly held Tier 2 instruments (including market making);
- the surplus provisions relative to expected eligible losses determined in accordance with the internal ratings-based (IRB) approach, limited to 0.6% of risk-weighted assets under IRB;
- deductions of capital instruments held in financial sector equity investments of less than or equal to 10% ("non-significant investments"), for the amount exceeding a ceiling of 10% of the CET1 capital of the subscribing institution, up to the proportion of Tier 2 instruments in the total capital instruments held; items not deducted are included in risk-weighted assets (variable weighting depending on the nature of instruments and the Basel methodology);
- deductions of Tier 2 instruments held in financial sector equity investments of more than 10% (significant investments), predominantly in the insurance sector;
- Tier 2 capital components or other deductions (including Tier 2 eligible non-controlling interests).

The amount of Tier 2 instruments used in fully loaded ratios corresponds to Tier 2 capital instruments eligible under CRR No. 575/2013, as amended by CRR No. 2019/876 (CRR2).

These instruments are published at <https://www.credit-agricole.com/en/finance/finance/financial-publications> in Appendix II "Main characteristics of capital instruments". They correspond to undated subordinated notes (*titres subordonnés à durée indéterminée* – TSDI), equity investments (*titres participatifs* – TP) and dated subordinated notes (*titres subordonnés remboursables* – TSR).

3.1.6.1.4 Transitional implementation

To facilitate compliance by credit institutions with CRR2/CRD 5, less stringent transitional provisions have been provided for, notably with the gradual introduction of new prudential treatment of capital components.

All these transitional provisions ended on 1 January 2018, with the exception of those concerning hybrid debt instruments, which will end on 1 January 2022.

Hybrid debt instruments that were eligible as capital under CRD 3 and are no longer eligible as capital following the entry into force of CRD 4 may be eligible, in certain circumstances, under the grandfather clause:

- any instrument issued after 31 December 2011, which does not comply with the CRR regulation has been excluded since 1 January 2014;
- instruments issued prior to that date may, under certain conditions, be eligible for the grandfather clause and are then gradually excluded over an eight-year period, decreasing by 10% per annum. In 2014, 80% of the total stock declared on 31 December 2012 was recognised, then 70% in 2015, and so on;
- the unrecognised part can be included in the lower level capital components (from AT1 to Tier 2, for example) if it meets the corresponding criteria.

CRR2 complements these provisions by introducing a new grandfather clause: ineligible instruments issued before 27 June 2019 will remain eligible under transitional provisions until 28 June 2025.

During the transitional phase, the amount of Tier 1 included in the ratios corresponds to the sum of:

- additional Tier 1 capital eligible under CRR2 (AT1);
- additional Tier 1 capital instruments eligible for CRR issued before 27 June 2019;
- a fraction of the CRR ineligible Tier 1 issued before 1 January 2014, equal to the lower of:
 - the regulatory amount of ineligible Tier 1 instruments at the end of the reporting period (after amortisation, any calls, redemptions, etc.),
 - 20% (regulatory threshold for 2020 financial year) of the Tier 1 stock at 31 December 2012, which stood at €9,313 million, *i.e.* a maximum recognisable amount of €1,863 million,
 - the amount of Tier 1 capital exceeding this regulatory threshold is included in phased-in Tier 2, up to the regulatory threshold applicable to Tier 2.

During the transitional phase, the amount of Tier 2 included in the ratios corresponds to the sum of:

- CRR2 eligible Tier 2;
- CRR eligible Tier 2 capital instruments issued before 27 June 2019;
- a fraction of the CRR ineligible Tier 2 issued before 1 January 2014, equal to the lower of:
 - the regulatory amount of ineligible Tier 2 securities at the reporting period-end and, as applicable, the remainder of Tier 1 securities exceeding the 20% threshold (threshold for 2020) of ineligible Tier 1 securities,
 - 20% (threshold for 2020) of the CRR ineligible Tier 2 stock at 31 December 2012; the CRR ineligible Tier 2 stock at 31 December 2012 stood at €4,704 million, or a maximum recognisable amount of €941 million.

Finally, the “Quick-Fix” regulation of 26 June 2020 extended until 2024 the transitional provisions set out in the CRR, by allowing to include the impacts associated with the application of the IFRS 9 accounting standard in the solvency ratios. Crédit Agricole S.A. and the Crédit Agricole Group had not opted for this provision when IFRS 9 was first applied in 2018. Following the publication of the “Quick-Fix” regulation, it was decided to opt for this provision as from June 2020.

During the transitional phase (until 2024), the impacts related to the application of the IFRS 9 accounting standard can be included in the CET1 equity, according to a calculation composed of several components:

- a static component making it possible to neutralise, in shareholders’ equity, part of the impact of the first-time application of IFRS 9. In 2020, neutralisation is achieved on the basis of a rate of 70%;

- a dynamic component, making it possible to neutralise part of the net increase in provisions recorded between 1 January 2018 and 1 January 2020 on performing outstandings (stages 1 and 2 of IFRS 9). In 2020, neutralisation is achieved on the basis of a rate of 70%;

- a second dynamic component, making it possible to neutralise part of the net increase in provisions recorded between 1 January 2020 and the balance sheet date on performing loans (compartments 1 and 2 of IFRS 9). In 2020, neutralisation is achieved on the basis of a rate of 100%.

3.1.6.1.5 Position at 31 December 2020

Simplified regulatory capital

Phased-in simplified regulatory capital (in millions of euros)	31/12/2020		31/12/2019	
	Phased-in	Fully loaded	Phased-in	Fully loaded
Capital instruments eligible as CET1 capital	23,303	23,303	22,544	22,544
Retained earnings and other reserves	87,398	87,398	83,384	83,384
Accumulated other comprehensive income	2,474	2,474	3,011	3,011
Minority interests (amount allowed in consolidated CET1)	3,148	3,148	3,532	3,532
Capital instruments and reserves	116,323	116,323	112,471	112,471
Prudential filters	(2,056)	(2,056)	(2,134)	(2,134)
(-) Deduction of intangible assets	(18,098)	(18,098)	(19,367)	(19,367)
Amount exceeding thresholds ⁽¹⁾	-	-	-	-
Other CET1 components	774	(1,045)	(1,918)	(1,918)
Regulatory adjustments	(19,381)	(21,200)	(23,419)	(23,419)
COMMON EQUITY TIER 1 (CET1)	96,942	95,123	89,052	89,052
Eligible AT1 capital instruments	4,335	4,335	3,816	3,816
Ineligible AT1 capital instruments qualifying under grandfathering clause	1,670	-	1,908	-
Holdings by the institution of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities	(107)	(107)	(107)	(107)
Other Tier 1 components	(118)	(118)	(496)	(195)
ADDITIONAL TIER 1 CAPITAL	5,780	4,110	5,121	3,514
TIER 1 CAPITAL	102,722	99,234	94,173	92,566
Eligible Tier 2 capital instruments	17,001	17,001	15,756	15,756
Ineligible Tier 2 capital instruments under grandfathering clause	65	-	193	-
Surplus provisions relative to expected losses eligible under the internal ratings-based approach ⁽²⁾	1,567	1,567	1,552	1,552
Holdings by the institution of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities	(2,818)	(2,818)	(3,824)	(3,824)
Other Tier 2 components	(213)	(213)	(169)	(164)
TIER 2 CAPITAL	15,603	15,537	13,508	13,320
TOTAL CAPITAL	118,325	114,771	107,681	105,886

(1) Financial-sector CET1 instruments in which the institution holds a significant stake account for €2,930 million, and the deferred taxes that rely on future profitability arising from temporary differences amount to €1,724 million as of the 31 December 2020.

(2) The transfer to Tier 2 of the surplus provisions relative to eligible expected losses determined in accordance with the internal ratings-based approach is limited to 0,6% of risk-weighted to assets under IRR.

For clarity, the full table of the composition of capital is presented under Pillar 3, available at <https://www.credit-agricole.com/en/finance/finance/financial-publications>.

Changes during the period

Non-phased Tier 1 capital (CET1) amounted to €95.1 billion at 31 December 2020, an increase of €6.1 billion compared to year-end 2019.

Details of changes are shown under detailed ratios categories:

- capital instruments and reserves amounted to €116.3 billion, up €3.9 billion from the end of 2019, mainly related to retained earnings for 2020 (annual earnings of €4.7 billion and estimated dividend to be distributed in cash of €1 billion). The appropriation to reserves of the dividend for the 2019 financial year for an amount of €0.9 billion, following the recommendation of the European Central Bank issued on 27 March, and the issuance of mutual shares by Local Banks in the amount of €0.6 billion also contributed to the growth of the item. Non-controlling interests were down €0.4 billion, the impact of unrealised capital gains and losses was also negative at €0.5 billion and AT1 coupons weighed on CET1 at €0.4 billion;
- prudential filters decreased compared with the end of 2019, with a positive impact of €0.1 billion;
- deductions for goodwill and other intangible assets amounted to €18.1 billion, down €1.3 billion, mainly as a result of the positive impact of taking into account the €1 billion write-down of the goodwill of CA Italy and the new prudential treatment of software in the amount of €0.6 billion. These items were partially offset by the negative impact of €0.4 billion related to Amundi's acquisition of the entire capital of Sabadell Asset Management, Banco Sabadell's asset management subsidiary;
- CET1 instruments held in financial sector equity investments of more than 10% amounted to €2.9 billion, down -€0.1 billion compared with the end of 2019; deferred tax assets dependent on future profitability and resulting from temporary differences amounted to €1.7 billion, up €0.3 billion; these two items benefit fully from the deductible amount and are therefore treated as risk-weighted assets at 250%; overall, the corresponding deduction in shareholders' equity is nil at 31 December 2020 (as at 31 December 2019);
- the other elements of CET1 have a positive impact of €0.9 billion.

Phased-in core Tier 1 (CET1) capital stood at €96.9 billion at 31 December 2020, showing an increase of €1.8 billion compared to the fully-loaded core Tier 1 (CET1). This increase is entirely due to a measure in the "Quick-Fix" regulation of 26 June 2020 mentioned above, in the paragraph on transitional provisions, which extended until 2024 the possibility to take into account in the solvency ratios the impacts related to the application of the IFRS 9 accounting standard. During this transitional phase, the impacts related to the application of this standard can therefore be included in CET1 equity, which the Group has chosen to do as from this decree of June 2020.

Fully loaded Tier 1 capital was €99.2 billion, or an increase of €6.7 billion compared to 31 December 2019, with an increase in additional Tier 1 capital of €0.6 billion, mainly as a result of the issuances of an €0.8 billion of additional Tier 1 equity instruments in October 2020.

Phased-in Tier 1 capital amounted to €102.7 billion, up €8.5 billion compared to 31 December 2019, with an increase in additional Tier 1 capital of €0.7 billion.

Non-eligible AT1 capital instruments benefiting from a grandfathering clause decreased by €0.2 billion, mainly due to two partial repurchase operations. In addition, the total amount of securities benefiting from a "grandfather" clause defined by CRR remains below the grandfathering, which makes it possible to retain, in addition to the instruments eligible for CRR, an amount of debt corresponding to a maximum of 20% of the stock at 31 December 2012.

Fully loaded Tier 2 capital amounted to €15.5 billion, up €2.2 billion compared to 31 December 2019. This change was attributable to:

- paid-in capital instruments eligible as Tier 2 capital amounted to €17 billion, an increase of €1.2 billion compared to 31 December 2019 due to issuances during the period totalling €2.7 billion and the impact of prudential haircuts and redemptions of approximately €1.5 billion;
- the surplus provision relative to expected losses eligible under the internal ratings-based approach was up €1.6 billion and remains unchanged compared to the end of 2019;
- subordinated loans and receivables from banks and insurance companies, all representative of Tier 2 instruments, were deducted in full from Tier 2 in the amount of €2.8 billion on a fully loaded basis, down €1 billion compared to 31 December 2019;
- other Tier 2 components were down slightly by around €0.1 billion.

Phased Tier 2 capital amounted to €15.6 billion, up €2.1 billion compared with 31 December 2019 and shows the same total change as the non-phased view.

In addition, the total amount of securities benefiting from a "grandfather" clause defined by CRR remains below the grandfathering, which makes it possible to retain, in addition to the instruments eligible for CRR, an amount of debt corresponding to a maximum of 20% of the stock at 31 December 2012.

In all, fully loaded total capital stood at €114.8 billion, up €8.9 billion compared to 31 December 2019.

Phased-in total capital was €118.3 billion, which was €10.6 billion more than at 31 December 2019. This regulatory capital does not take into account the non-preferred senior debt issuances, which are discussed in item 1.7.3 "Resolution ratios" below.

Changes in equity capital

Changes in phased-in prudential capital (in millions of euros)	31/12/2020 vs. 31/12/2019
Common Equity Tier 1 capital at 31/12/2019	89,052
Capital increase	758
Accounting attributable net income/loss for the year before dividend ⁽¹⁾	4,301
Expected dividend	(1,032)
Other comprehensive income	(537)
Eligible minority interests	(384)
Prudential filters	78
Goodwill and other intangible assets	1,269
Amount exceeding the exemption thresholds	-
Other CET1 components	3,438
COMMON EQUITY TIER 1 CAPITAL AT 31/12/2020	96,942
Additional Tier 1 capital at 31/12/2019	5,121
Issuances	750
Redemptions and foreign currency impact on the debt stock ⁽²⁾	(472)
Other Tier 1 components	381
ADDITIONAL TIER 1 CAPITAL AT 31/12/2020	5,780
TIER 1 CAPITAL AT 31/12/2020	102,722
Tier 2 capital at 31/12/2019	13,508
Issuances	2,721
Redemptions and foreign currency impact on the debt stock ⁽²⁾⁽³⁾	(1,544)
Other Tier 2 components	917
TIER 2 CAPITAL AT 31/12/2020	15,603
TOTAL CAPITAL AT 31/12/2020	118,325

(1) Before exclusion of goodwill impairment, which doesn't have any impact on CET1 ratio.

(2) Including the impact, if any, of the applicable cap to these instruments.

(3) Tier 2 instruments are subject to a haircut during the five years prior to their maturity date.

3.1.6.2 Internal capital

The Group has defined the internal capital (an internal view of own funds), which is compared to the economic capital requirement. Internal capital is based on a conglomerate approach, given the importance of the insurance businesses for the Group and takes into account the going concern principle.

3.1.7 Capital adequacy

The regulatory perspective of capital adequacy is ensured through the monitoring of solvency, leverage and resolution ratios. Each of these ratios reports the amount of regulatory capital and/or, when applicable, eligible instruments, to the risk, leverage or size of the balance sheet exposures.

These exposures are defined and calculated in section "Composition of and changes in risk-weighted assets". The regulatory perspective is supplemented by the economic internal perspective of capital adequacy, which is ensured by the monitoring of the economic capital requirements' coverage ratio.

3.1.7.1 Solvency ratios

Solvency ratios are intended to check the adequacy of the various categories of capital (CET1, Tier 1 and total capital) to cover risk-weighted assets arising as a result of credit risk, market risk and operational risk. The risk-weighted assets are computed using either a standardised approach or an internal approach (see "Composition of and changes in risk-weighted assets").

3.1.7.1.1 Regulatory prudential requirements

The CRR regulation governs the requirements with regard to Pillar 1. The supervisor also sets, on a discretionary basis, the minimum requirements, within the framework of Pillar 2.

Minimum requirements with regard to Pillar 1

The capital requirements established under Pillar 1 since 2015 are as follows:

Pillar 1 minimum requirement	
CET1	4.50%
Tier 1	6.00%
Own funds	8.00%

Minimum requirements with regard to Pillar 2

The European Central Bank (ECB) annually notify Crédit Agricole Group and Crédit Agricole S.A. their minimum capital requirements following the results of the Supervisory Review and Evaluation Process (SREP).

Since 2017, the ECB has changed the methodology used, splitting the regulatory prudential requirement into two parts:

- a "Pillar 2 Requirement" (P2R) which applies to all levels of equity capital and automatically results in restrictions on distributions (additional Tier 1 capital instrument coupons, dividends, variable compensation); accordingly, this requirement is public.

As from 12 March 2020 and considering the impact of the COVID-19 crisis, the European Central Bank brought forward the effective date of application of Article 104a of CRD 5 and allowed institutions under its supervision to use Tier 1 and Tier 2 capital to meet their additional P2R capital requirement. Overall, the P2R can now be met with 75% Tier 1 capital including as a minimum 75% CET1 capital;

- a Pillar 2 Guidance (P2G), which is not public and must be met with Common Equity Tier 1 capital.

Combined buffer requirement and restriction on distributions threshold

The regulator provides for the establishment of capital buffers, which are gradually being implemented:

- the capital conservation buffer (2.5% of the risk-weighted assets since 1 January 2019);
- the countercyclical buffer (in principle a rate set within a range of 0% to 2.5%), with the buffer at the institution's level calculated using the weighted average of the buffers defined for each country in which the institution operates applied to the relevant exposures at default (EAD); when the countercyclical buffer rate is calculated by one of the national authorities, the application date should be no later than 12 months from the publication date, except for the exceptional circumstances;

- the buffers for systemically important institutions (0% to 3% in general, up to 5% after agreement from the European Commission and more exceptionally above that figure); for global systemically important institutions (G-SII), between 0% and 3.5%, or for other systemically important institutions (O-SII), between 0% and 2%. These buffers are not cumulative, and in general, with some exceptions, the highest buffer rate applies. Only Crédit Agricole Group is a G-SII and has a buffer of 1% since 1 January 2019. Crédit Agricole S.A. is not subject to these requirements.

These buffers must be covered by Common Equity Tier 1 capital.

To date, counter-cyclical buffers have been activated in six countries by the relevant national authorities. Many countries have relaxed their counter-cyclical buffer requirement in the wake of the COVID-19 crisis. As for French exposures, the High Council for Financial Stability (*Haut Conseil de stabilité financière* – HCFS) lowered the countercyclical buffer rate from 0.25% to 0% on 2 April 2020.

With respect to Crédit Agricole Group's exposures in these countries, Crédit Agricole Group's countercyclical buffer rate was 0.014% at 31 December 2020.

Details of the countercyclical buffer calculation (CCYB1)

31/12/2020 (in millions of euros)	General credit exposures		Trading book exposure		Own funds requirements					Countercyclical capital buffer rate (%) 31/12/2020	Countercyclical capital buffer rate forecast (%) 31/12/2021 ⁽²⁾
	Standard approach	IRB approach	Sum of long and short position of trading book	Value of trading book exposure for internal models	General credit exposure	Trading book exposure	Securitisation exposure	TOTAL	Breakdown by country (%)		
Belgium	3,746	3,976	-	-	173	-	-	173	0.48%	0.00%	0.00%
Bulgaria	1	18	-	-	1	-	-	1	0.00%	0.50%	0.50%
Czech Republic	22	156	-	-	7	-	-	7	0.02%	0.50%	0.50%
Denmark	159	780	-	-	26	-	1	27	0.07%	0.00%	0.00%
France	92,338	647,464	124	1,451	24,066	126	218	24,409	66.91%	0.00%	0.00%
Germany	3,906	15,636	-	-	633	-	55	688	1.89%	0.00%	0.00%
Hong Kong	485	4,580	-	-	125	-	-	125	0.34%	1.00%	1.00%
Iceland	3	0	-	-	0	-	-	0	0.00%	0.00%	0.00%
Ireland	66	4,043	-	-	95	-	1	96	0.26%	0.00%	0.00%
Lithuania	28	1	-	-	2	-	-	2	0.01%	0.00%	0.00%
Luxembourg	2,828	154,258	-	-	1,462	-	-	1,462	4.01%	0.25%	0.50%
Norway	12	1,336	-	-	34	-	-	34	0.09%	1.00%	1.00%
Slovakia	3	8	-	-	1	-	-	1	0.00%	1.00%	1.00%
Sweden	89	1,986	-	-	63	-	1	64	0.18%	0.00%	0.00%
United Kingdom	1,518	15,828	-	-	507	-	33	540	1.48%	0.00%	0.00%
Other countries ⁽¹⁾	67,066	161,679	40	-	8,478	3	394	8,876	24.27%	0.00%	0.00%
TOTAL	172,270	1,011,748	164	1,451	35,672	129	703	36,504	100%	0.014%	0.025%

(1) For which no countercyclical buffer has been defined by the competent authority.

(2) The Group's countercyclical capital buffer rate expected at 31 December 2021 is calculated by using the buffer rates known to date and applicable no later than in 12 months and the breakdown of capital requirements by country as of 31 December 2020.

Requirements for the countercyclical buffer calculation (CCYB2)

	31/12/2020	31/12/2019
Total risk exposure	562,059	559,009
Institution-specific countercyclical buffer	0.014%	0.196%
Institution-specific countercyclical buffer	81	1,093

Summarised:

Combined buffer requirement	31/12/2020	31/12/2019
Phased-in capital conservation buffer	2.50%	2.50%
Phased-in systemic buffer	1.00%	1.00%
Countercyclical buffer	0.01%	0.20%
Combined buffer requirement	3.51%	3.70%

The transposition of Basel regulations into European law (CRD) has established a distribution restriction mechanism applicable to dividends, AT1 instruments and variable compensation. The principle of the Maximum Distributable Amount (MDA), the maximum amount that a bank can allocate to distributions, aims at restricting distributions where they would result in non-compliance with the combined buffer requirement.

The distance to the MDA trigger is the lowest of the respective distances to the SREP requirements in CET1 capital, Tier 1 capital and total capital. With the early application of Article 104a of CRD 5, P2R can now be met with 75% Tier 1 capital including as a minimum 75% CET1 capital. The CET1 requirement of Crédit Agricole Group has thus decreased by -66 basis points since first quarter 2020.

	CET1 SREP requirement	Tier 1 SREP requirement	Overall capital SREP requirement
Pillar 1 minimum requirement	4.50%	6.00%	8.00%
Pillar 2 requirement (P2R)	0.84%	1.13%	1.50%
Conservation buffer	2.50%	2.50%	2.50%
G-SIB buffer	1.00%	1.00%	1.00%
Countercyclical buffer	0.01%	0.01%	0.01%
SREP requirement (a)	8.86%	10.64%	13.01%
31/12/2020 Phased-in solvency ratios (b)	17.2%	18.3%	21.1%
Distance to SREP requirement (b)-(a)	839 bp	764 bp	804 bp
Distance to MDA trigger threshold	764 bp (€43 bn)		

At 31 December 2020, Crédit Agricole Group posted a buffer of 764 basis points above the MDA trigger, *i.e.* approximately €43 billion in CET1 capital. After taking into account Pillar 1, Pillar 2 and the combined buffer requirement, the overall capital requirement reaches the following level:

SREP own funds requirement	31/12/2020	31/12/2019
Pillar 1 minimum CET1 requirement	4.50%	4.50%
CET1 additional Pillar 2 requirement (P2R)	0.84%	1.50%
Combined buffer requirement	3.51%	3.70%
CET1 requirement	8.86%	9.70%
Pillar 1 minimum AT1 requirement	1.50%	1.50%
AT1 component of P2R	0.28%	
Pillar 1 minimum Tier 2 requirement	2.00%	2.00%
Tier 2 component of P2R	0.38%	
Overall capital requirement	13.01%	13.20%

Crédit Agricole Group must therefore comply with a minimum CET1 ratio of 8.86%. This includes the requirements under Pillar 1, Pillar 2 (P2R), plus the combined buffer requirement (based on the decisions known to date).

3.1.7.1.2 Position at 31 December 2020

Summary of the key figures

Key metrics (in millions of euros)	31/12/2020			31/12/2019		
	Phased-in	Fully loaded	Requirements	Phased-in	Fully loaded	Requirements
Common equity Tier 1 (CET1)	96,942	95,123		89,052	89,052	
Tier 1 capital	102,722	99,234		94,173	92,566	
Total capital	118,325	114,771		107,681	105,886	
Total risk weighted assets	562,059	561,467		559,009	559,009	
CET1 RATIO	17.2%	16.9%	8.9%	15.9%	15.9%	9.7%
TIER 1 RATIO	18.3%	17.7%	10.6%	16.8%	16.6%	11.2%
TOTAL CAPITAL RATIO	21.1%	20.4%	13.0%	19.3%	18.9%	13.2%

The applicable minimum requirements are fully met; the phased-in CET1 ratio of Crédit Agricole Group was 17.2% as at 31 December 2020.

Regional Banks capital adequacy ratios⁽¹⁾

2020 retained earnings are taken into account in the regulatory capital at 31 December 2020.

(in millions of euros)	31/12/2020		31/12/2019	
	Phased-in	Fully loaded	Phased-in	Fully loaded
Common Equity Tier 1 capital	61,490	61,487	57,340	57,336
Additional Tier 1	13	13	13	13
Tier 1	61,503	61,501	57,353	57,349
Tier 2	1,031	1,021	1,057	998
TOTAL CAPITAL	62,534	62,522	58,410	58,347
Credit risk	245,318	245,318	253,986	253,986
Market risk	267	267	275	275
Operational risk	19,957	19,957	18,051	18,051
Risk Weighted Assets	265,542	265,542	272,312	272,311
CET1 SOLVENCY RATIO	23.2%	23.2%	21.1%	21.1%
TIER 1 SOLVENCY RATIO	23.2%	23.2%	21.1%	21.1%
TOTAL SOLVENCY RATIO	23.5%	23.5%	21.4%	21.4%

The CET1 (fully loaded) solvency ratio for all Regional Banks (excluding Corsica) increased by 2.1 percentage points to 23.2%, well above the capital requirements (7% excluding the countercyclical buffer for the CET1 ratio and 10.5% excluding the countercyclical buffer for the total capital ratio).

Common Equity Tier 1 (CET1) increased by €4.15 billion over the year, due mainly to the issuance of mutual shares. Total fully loaded equity increased by €4.17 billion.

Risk weighted assets decreased by €6.7 billion. The increase in activity-related risk weighted assets was offset by the following factors:

- partial completion of the Switch of up to 35% (reduction in RWAs for a total amount of €11.9 billion);
- impact of the supporting factor for SMEs for €6.6 billion.

The Regional Banks have granted a joint and several guarantee for the benefit of third party creditors of Crédit Agricole S.A. for the total amount of their share capital and reserves in the event of a shortfall in Crédit Agricole S.A.'s assets following its court-supervised liquidation or dissolution. The guarantee agreement was renewed in 2017. In addition, Crédit Agricole S.A., in its capacity as Corporate centre, guarantees the solvency and liquidity of the Regional Banks. As a result, the international rating agencies give identical ratings to the issue programmes of Crédit Agricole S.A. and the rated Regional Banks.

(1) Total of 38 Regional Banks (excluding Caisse régionale de Corse).

Changes in CET1 over 2020



The CET1 ratio improved by 1.3 percentage points over the year in 2020. This was driven by various positive effects.

The ratio thus benefited from the allocation of the 2019 dividend to reserves in accordance with European Central Bank recommendation ECB/2020/19, generating a positive impact of +0.2 percentage points.

In addition, the retained earnings for 2020 allow for an increase in the CET1 ratio of +0.8 percentage points, taking into account a provision for a dividend on the Crédit Agricole S.A. share of 80 cents per share with the option of payment of the dividend in shares (with the formal commitment of SAS Rue La Boétie to elect payment in shares, on the assumption that the employee shareholding funds (FCPEs) will also opt for payment of the dividend in shares).

Various methodological and regulatory effects observed in 2020 also had an overall positive impact on the CET1 ratio of +0.7 percentage point. The implementation of the IFRS 9 phasing (+31 basis points),

the application of the SME supporting factor (+35 basis points), the decision of the European Court of Justice to no longer require for the deduction of irrevocable payment commitments issued by the ECB (+14 basis points) and the application of the new Delegated Regulation 2020/2176 relating to the prudential treatment of software (+9 basis points), notably offset the effects of the new regulatory methodology for securitisations (-16 basis points) and the review of internal models (TRIM -15 basis points).

The item "Other" notably includes various effects of acquisitions and disposals of entities (-5 basis points), including the acquisition of Sabadell Asset Management by Amundi (-6 basis points) and the ongoing disposal of Crédit Agricole Consumer Finance NI (-2 basis points). It also includes changes in business lines (-14 basis points), the capping of minority interests (-9 basis points) and changes in unrealised gains and/or losses, which were broadly neutral over the year (-1 basis point).

Impact of the application of the transitional provisions IFRS 9

The transitional provisions of IFRS 9 have been applied for the first time as from the Decree of 30 June 2020.

		a	b
Quantitative template		31/12/2020	30/06/2020
Available capital (amounts)			
1	Common Equity Tier 1 (CET1) capital	96,942	92,227
2	Common Equity Tier 1 (CET1) capital as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	95,123	90,613
3	Tier 1 capital	102,722	97,392
4	Tier 1 capital as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	100,904	95,778
5	Total capital	118,325	112,604
6	Total capital as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	116,506	110,990
Risk-weighted assets (amounts)			
7	Total risk-weighted assets	562,059	572,833
8	Total risk-weighted assets as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	561,467	572,323
Capital ratios			
9	Common Equity Tier 1 (as percentage of risk exposure amount)	17.2%	16.1%
10	Common Equity Tier 1 (as percentage of risk exposure amount) as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	16.9%	15.8%
11	Tier 1 (as percentage of risk exposure amount)	18.3%	17.0%
12	Tier 1 (as percentage of risk exposure amount) as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	18.0%	16.7%
13	Total capital (as percentage of risk exposure amount)	21.1%	19.7%
14	Total capital (as percentage of risk exposure amount) as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	20.8%	19.4%
Leverage ratio			
15	Leverage ratio total exposure	1,684,937	1,826,763
16	Leverage ratio	6.1%	5.3%
17	Leverage ratio as if IFRS 9 or analogous ECLs transitional arrangements had not been applied	6.0%	5.2%

3.1.7.2 Leverage ratio

3.1.7.2.1 Regulatory framework

The target of the leverage ratio is to help preserve financial stability by acting as a safety net to supplement risk-based capital requirements and by limiting the accumulation of excessive leverage in times of economic recovery. The Basel Committee, in the context of Basel 3 agreements, defined the leverage ratio rule, which was transposed into European law via Article 429 of the CRR, amended by Delegated Act 62/2015 of 10 October 2014 and published in the Official Journal of the European Union on 18 January 2015.

The leverage ratio is defined as the Tier 1 capital divided by the leverage exposure measure, *i.e.* balance sheet and off-balance-sheet assets after certain restatements of derivatives, transactions between Group affiliates, securities financing activities, items deducted from the numerator, and off-balance-sheet items.

Since the publication of European Regulation CRR2 in the Official Journal of the European Union on 7 June 2019, the leverage ratio has become a minimum Pillar 1 requirement applicable as from 28 June 2021:

- the minimum leverage ratio requirement will be 3%;
- from 1 January 2023, a leverage ratio buffer, defined as half of the entity's systemic buffer, will be added to this level for global systemically important institutions (G-SII), *i.e.* for Crédit Agricole Group;
- lastly, failure to comply with the leverage ratio buffer requirement will result in a distribution restriction and the calculation of a maximum distributable amount (L-MDA).

As of 1 January 2015 publication of the leverage ratio is mandatory at least once a year; institutions can choose to publish a fully loaded ratio or a phased-in ratio. If the institution decides to change its publication choice, at the time of first publication it must reconcile the data for all of the ratios previously published with the data for the new ratios selected for publication.

Crédit Agricole Group has opted to publish a phased-in leverage ratio.

At the beginning of 2019, Crédit Agricole Group received authorisation from the ECB (with application retroactive to 2016) to exempt from the calculation of its leverage ratio, the exposures related to the centralisation of deposits at *Caisse des Dépôts et Consignations* (CDC).

3.1.7.2.2 Position at 31 December 2020

The leverage ratio of Crédit Agricole Group was 6.1% on a phased-in Tier 1 basis. This ratio is calculated taking into account the provision of the "Quick-Fix" Regulation 2020/873 which allows the neutralisation of Central Bank exposures. This provision has been applicable since Q3 2020 following the ECB's declaration of the existence of exceptional circumstances. The application of this measure makes it possible to neutralise Central Bank exposures of €162 billion at 31 December 2020.

The intra-quarter phased-in leverage ratio for Crédit Agricole Group, which refers to the average end-of-month exposures for the first two months of the last quarter, was 6.0%, including the neutralisation of the ECB's exposures. Excluding the neutralisation of the Central Bank's exposures, the phased-in intra-quarter leverage ratio is 5.3%.

Leverage ratio – Common disclosure (LRCom)

CRR Leverage ratio exposures (in millions of euros)		31/12/2020	31/12/2019
On-balance sheet exposures (excluding derivatives and SFTs)			
1	On-balance sheet items (excluding derivatives, SFTs and fiduciary assets, but including collateral)	1,546,269	1,387,615
2	(Asset amounts deducted in determining Tier 1 capital)	(19,419)	(23,763)
3	TOTAL ON-BALANCE SHEET EXPOSURES (EXCLUDING DERIVATIVES, SFTS AND FIDUCIARY ASSETS) (SUM OF LINES 1 AND 2)	1,526,850	1,363,852
Derivative exposures			
4	Replacement cost associated with all derivatives transactions (ie net of eligible cash variation margin)	23,321	15,595
5	Add-on amounts for PFE associated with all derivatives transactions (mark-to-market method)	39,243	38,994
EU-5a	Exposure determined under Original Exposure Method		
6	Gross-up for derivatives collateral provided where deducted from the balance sheet assets pursuant to the applicable accounting framework	5,044	4,586
7	(Deductions of receivables assets for cash variation margin provided in derivatives transactions)	(19,102)	(18,897)
8	(Exempted CCP leg of client-cleared trade exposures)	(4,622)	(4,210)
9	Adjusted effective notional amount of written credit derivatives	13,631	14,844
10	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)	(5,980)	(6,099)
11	TOTAL DERIVATIVE EXPOSURES (SUM OF LINES 4 TO 10)	51,534	44,813
SFT exposures			
12	Gross SFT assets (with no recognition of netting), after adjusting for sales accounting transactions	265,051	223,403
13	(Netted amounts of cash payables and cash receivables of gross SFT assets)	(116,972)	(100,520)
14	Counterparty credit risk exposure for SFT assets	6,665	2,935
EU-14a	Derogation for SFTs: Counterparty credit risk exposure in accordance with Article 429b-(4) and 222 of Regulation (EU) No. 575/2013	-	-
15	Agent transaction exposures	-	-
EU-15a	(Exempted CCP leg of client-cleared SFT exposure)	-	-
16	TOTAL SECURITIES FINANCING TRANSACTION EXPOSURES (SUM OF LINES 12 TO 15A)	154,745	125,818
Other off-balance sheet exposures			
17	Off-balance sheet exposures at gross notional amount	341,852	337,972
18	(Adjustments for conversion to credit equivalent amounts)	(163,349)	(159,507)
19	OTHER OFF-BALANCE SHEET EXPOSURES (SUM OF LINES 17 TO 18)	178,503	178,464
Exempted exposures in accordance with Article 429-(7) and (14) of Regulation (EU) No. 575/2013 (on and off balance sheet)			
EU-19a	(Intragroup exposures (solo basis) exempted in accordance with Article 429-(7) of Regulation (EU) No. 575/2013 (on and off balance sheet))	-	-
EU-19b	(Exposures exempted in accordance with Article 429-(14) of Regulation (EU) No. 575/2013 (on and off balance sheet)) ⁽¹⁾	(226,694)	(55,428)
Capital and total exposures			
20	TIER 1 CAPITAL	102,722	94,173
21	TOTAL LEVERAGE RATIO TOTAL EXPOSURE MEASURE (SUM OF LINES 3, 11, 16, 19, EU-19A AND EU-19B)	1,684,937	1,657,519
Leverage ratio			
22	LEVERAGE RATIO	6.10%	5.68%
22.A	Leverage ratio (excluding the impact of temporary exemption of central bank exposures in accordance with Article 500 ter of Regulation (EU) No. 873/2020)	5.56%	5.68%
Choice on transitional arrangements and amount of derecognised fiduciary items			
EU-23	Choice on transitional arrangements for the definition of the capital measure	Transitory	Transitory
EU-24	Amount of derecognised fiduciary items in accordance with Article 429-(11) of Regulation (EU) No. 575/2013	-	-

(1) Including the exposures exempted in accordance with Article 500 ter of Regulation (EU) No. 873/2020.

Summary reconciliation of accounting assets and leverage ratio exposures (LRSum)

Applicable Amount (in millions of euros)		31/12/2020	31/12/2019
1	Total assets as per published financial statements	2,217,512	2,010,966
2	Adjustment for entities which are consolidated for accounting purposes but are outside the scope of regulatory consolidation	(387,002)	(381,319)
3	(Adjustment for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the leverage ratio total exposure measure in accordance with Article 429-(13) of Regulation (EU) No. 575/2013)	-	-
4	Adjustments for derivative financial instruments	(84,629)	(74,337)
5	Adjustments for securities financing transactions (SFTs)	6,666	2,937
6	Adjustment for off-balance sheet items (i.e. conversion to credit equivalent amounts of off-balance sheet exposures)	178,503	178,464
EU-6a	(Adjustment for intragroup exposures excluded from the leverage ratio total exposure measure in accordance with Article 429-(7) of Regulation (EU) No. 575/2013)	-	-
EU-6b	(Adjustment for exposures excluded from the leverage ratio total exposure measure in accordance with Article 429-(14) of Regulation (EU) No. 575/2013) ⁽¹⁾	(226,694)	(55,428)
7	Other adjustments	(19,419)	(23,763)
8	LEVERAGE RATIO TOTAL EXPOSURE MEASURE	1,684,937	1,657,519

(1) Including the exposures exempted in accordance with Article 500ter of Regulation (EU) No. 873/2020.

Breakdown of balance sheet exposures (excluding derivatives, SFTs and exempted exposures) (LRSpl)

CRR leverage ratio exposures (in millions of euros)		31/12/2020	31/12/2019
EU-1	Total on-balance sheet exposures (excluding derivatives, SFTs, and exempted exposures), of which:	1,319,576	1,332,187
EU-2	Trading book exposures	33,560	34,651
EU-3	Banking book exposures, of which:	1,286,016	1,297,535
EU-4	Covered bonds	5,624	5,891
EU-5	Exposures treated as sovereigns	136,902	212,244
EU-6	Exposures to regional governments, MDB, international organisations and PSE not treated as sovereigns	35,350	35,472
EU-7	Institutions	50,539	47,047
EU-8	Secured by mortgages of immovable properties	420,924	14,463
EU-9	Retail exposures	236,694	599,256
EU-10	Corporate	290,796	274,400
EU-11	Exposures in default	20,902	19,935
EU-12	Other exposures (e.g. equity, securitisations, and other non-credit obligation assets)	88,285	88,827

The qualitative elements (LRQua) required by Implementing Regulation (EU) 2016/200 of 15 February 2016 are as follows:

- the leverage ratio is not sensitive to risk factors and, on this basis, is considered to be a measurement that supplements the solvency (solvency ratio/resolution ratio) and liquidity risk management, which already limit the size of the balance sheet. Under the excessive leverage monitoring framework. The Groupe dispose controls and sets limits on the size of the balance sheet for businesses with low consumption of risk-weighted assets;
- the leverage ratio is up 0.4 percentage points over 2020, mainly due to the neutralisation of the Central Bank's exposures. Excluding this, the ratio was down slightly over the year (-0.1 percentage point), as the increase in Tier 1 capital made it possible to partially cover the increase in exposures.

3.1.7.3 Resolution ratios

The TLAC and MREL requirements described below are applicable at the level of the Crédit Agricole Group.

3.1.7.3.1 TLAC ratio

The TLAC ratio, whose modalities were indicated in a Term Sheet published on 9 November 2015, was established by the Financial Stability Board (FSB) at the request of the G20. The FSB thus defined the calculation of a ratio aimed at estimating the adequacy of the bail-in and recapitalisation capacities of global systemically important banks (G-SII). The Total Loss Absorbing Capacity (TLAC) ratio provides resolution authorities with the means to assess whether G-SIIs have sufficient bail-in and recapitalisation capacity before and during resolution. As a result, the resolution authorities will be able to implement an ordered resolution strategy that minimises impacts on financial stability, ensures the continuity of the G-SIIs' critical economic functions and limits the use of taxpayers' money. This ratio applies to global systemically important financial institutions, and therefore to Crédit Agricole Group.

The components that could absorb losses consist of equity, subordinated notes and debt to which the resolution authority can apply the bail-in.

The TLAC ratio requirement has been transposed into European Union law via CRR2 and has been applicable since 27 June 2019. As from that date, Crédit Agricole Group must comply with the following requirements at all times:

- a TLAC ratio above 16% of risk-weighted assets (RWA), plus – in accordance with CRD 5 – a combined buffer requirement (including, for Crédit Agricole Group, a capital conservation buffer of 2.5%, a systemic buffer of 1% and the countercyclical buffer). Considering the combined

capital buffer requirement, Crédit Agricole Group must comply with a TLAC ratio of above 19.5% (plus the countercyclical buffer);

- a TLAC ratio of above 6% of the Leverage Ratio Exposure (LRE).

The minimum TLAC ratio requirements will increase as from 1 January 2022, to 18% of risk-weighted assets – plus the combined buffer requirement at that date – and 6.75% of the leverage ratio exposure.

TLAC Requirements at Resolution Group Level – Crédit Agricole Group

EU KM2: Own funds and eligible liabilities, ratios and components (in millions of euros)		31/12/2020	30/09/2020	30/06/2020	31/03/2020	31/12/2019
1	Own funds and eligible liabilities ⁽¹⁾	143,073	139,045	136,125	128,906	126,474
2	Total risk exposure amount of the resolution group (TREA) ⁽²⁾	562,059	560,348	572,833	571,503	559,009
3	Own funds and eligible liabilities as a percentage of TREA	25.46%	24.81%	23.76%	22.56%	22.62%
4	Total exposure measure of the resolution group ⁽²⁾	1,684,937	1,723,918	1,826,763	1,773,829	1,657,519
5	Own funds and eligible liabilities as percentage of the total exposure measure	8.49%	8.07%	7.45%	7.27%	7.63%
6a	Does the subordination exemption in Article 72b-(4) of the CRR apply? (5% exemption)	No	No	No	No	No
6b	Pro-memo item – Aggregate amount of permitted non-subordinated eligible liabilities instruments if the subordination discretion as per Article 72b-(3) CRR is applied (max 3.5% exemption) ⁽³⁾	0	0	0	0	0
6c	Pro-memo item: If a capped subordination exemption applies under Article 72b-(3) CRR, the amount of funding issued that ranks pari passu with excluded liabilities and that is recognised under row 1, divided by funding issued that ranks pari passu with excluded Liabilities and that would be recognised under row 1 if no cap was applied (%)	N/A	N/A	N/A	N/A	N/A

(1) Total loss absorbing capacity.

(2) For the purpose of computing resolution ratios, the Total Exposure Risk Amount (TREA) of the resolution group is equivalent to the Risk Weighted Assets (RWA) at Crédit Agricole Group level; the Total Exposure Measure (TEM) of the resolution group is equivalent to the Leverage Ratio Exposure (LRE) at Crédit Agricole Group level.

(3) As part of its annual resolvability assessment, Crédit Agricole Group has chosen to waive the possibility offered by Article 72b-(3) of the Capital Requirements Regulation to use senior preferred debt for compliance with its TLAC requirements in 2021.

As at 31 December 2020, Crédit Agricole Group's TLAC ratio was 25.5% of risk-weighted assets and 8.5% of leverage exposure, excluding eligible preferred senior debt. It is higher than the respective requirements of 19.5% of risk-weighted assets (according to CRR2/CRD 5, to which must be added the countercyclical buffer of 0.01% as at 31 December 2020) and 6% of the leverage exposure, even though it is possible at that date to include up to 2.5% of risk-weighted assets as eligible preferred senior debt.

Achieving the TLAC ratio is supported by an annual issuance program on the market in 2020 of approximately €6 to €8 billion of TLAC debt. At 31 December 2020, €8.4 billion equivalent had been issued in the market; the amount of the Crédit Agricole Group senior non-preferred debt taken into account in the computation of the TLAC ratio was €23.9 billion. Over the year 2020, the TLAC ratio increased by 290 basis points, also in line with the strengthening of the CET1 and very moderate growth in risk-weighted assets (increase in the CET1 ratio from 15.9% to 17.2%).

TLAC composition at resolution Group level – Crédit Agricole Group

EU TLAC1 – Composition – G-SII Requirement for own funds and eligible liabilities (in millions of euros)		31/12/2020
Own funds and eligible liabilities and adjustments		
1	Common Equity Tier capital (CET1)	96,942
2	Additional Tier capital (AT1)	5,780
6	Tier 2 capital (T2)	15,603
11	Own funds for the purpose of Articles 92a CRR	118,325
Own funds and eligible liabilities: Non-regulatory capital elements		
12	Eligible liabilities instruments issued directly by the resolution entity that are subordinated to excluded liabilities (not grandfathered) ⁽¹⁾	24,748
EU-12a	Eligible liabilities instruments issued by other entities within the resolution group that are subordinated to excluded liabilities (not grandfathered)	23,926
EU-12b	Eligible liabilities instruments that are subordinated to excluded liabilities, issued prior to 27 June 2019 (subordinated grandfathered)	0
EU-12c	Tier 2 instruments with a residual maturity of at least one year to the extent they do not qualify as Tier 2 items	823
13	Eligible liabilities that are not subordinated to excluded liabilities (not grandfathered pre cap) ⁽²⁾	NA
EU-13a	Eligible liabilities that are not subordinated to excluded liabilities issued prior to 27 June 2019 (pre-cap) ⁽²⁾	NA
14	Amount of non subordinated instruments eligible, where applicable after application of Article 72b-(3) CRR ⁽²⁾	0
17	Eligible liabilities items before adjustments	24,748
EU-17a	Of which subordinated	24,748
Own funds and eligible liabilities: Adjustments to non-regulatory capital elements		
18	Own funds and eligible liabilities items before adjustments	143,073
19	(Deduction of exposures between MPE resolution groups)	NA
20	(Deduction of investments in other eligible liabilities instruments)	0
22	OWN FUNDS AND ELIGIBLE LIABILITIES AFTER ADJUSTMENTS	143,073
EU-22a	Of which own funds and subordinated	143,073
Risk-weighted exposure amount and leverage exposure measure of the resolution group		
22	Total risk exposure amount (TREA)⁽³⁾	562,059
23	Total exposure measure (TEM)⁽³⁾	1,684,937
Ratio of own funds and eligible liabilities		
25	Own funds and eligible liabilities (as a percentage of TREA)	25.46%
EU-25a	Of which own funds and subordinated	25.46%
26	Own funds and eligible liabilities (as a percentage of TEM)	8.49%
EU-26a	Of which own funds and subordinated	8.49%
28	Institution-specific combined buffer requirement	3.51%
29	of which: capital conservation buffer requirement	2.50%
30	of which: countercyclical buffer requirement	0.01%
31	of which: systemic risk buffer requirement	0.00%
EU-31a	of which: Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer	1.00%

(1) Senior non preferred debt instruments.

(2) As part of its annual resolvability assessment, Crédit Agricole Group has chosen to waive the possibility offered by Article 72b-(3) of the Capital Requirements Regulation to use senior preferred debt for compliance with its TLAC requirements in 2021.

(3) For the purpose of computing resolution ratios, the Total Exposure Risk Amount (TREA) of the resolution group is equivalent to the Risk Weighted Assets (RWA) at Crédit Agricole Group level; the Total Exposure Measure (TEM) of the resolution group is equivalent to the Leverage Ratio Exposure (LRE) at Crédit Agricole Group level.

Crédit Agricole Group's TLAC items, which rank from the most senior to the most junior, include senior non-preferred debt securities, subordinated securities not recognised as prudential capital (prudentially amortised portion), Tier 2 instruments, additional Tier 1 items and common equity Tier 1 capital items.

All these eligible liability items and their characteristics can be consulted in Appendix II, "Main characteristics of regulatory capital instruments and

other eligible TLAC instruments", available at <https://www.credit-agricole.com/en/finance/finance/financial-information>.

Under the final draft of the EBA technical implementation standards (EBA/ITS/2020/06), the table below details the breakdown of equity and liabilities eligible for TLAC for the Crédit Agricole S.A. resolution entity.

EU TLAC3: creditor ranking at the level of the resolution entity Crédit Agricole S.A.

31/12/2020 (in millions of euros)	Insolvency ranking			Sum of 1 to 3
	1 (most junior)	2	3 (most senior)	
1 Description of insolvency rank	Equity ⁽¹⁾	Subordinated claims ⁽²⁾	Senior non-preferred unsecured claims	
2 Liabilities and own funds	50,749	24,422	23,926	99,096
3 of which excluded liabilities	0	0	0	0
4 Liabilities and own funds less excluded liabilities	50,749	24,422	23,926	99,096
5 Subset of row 4 that are own funds and liabilities potentially eligible for meeting TLAC ⁽³⁾	50,749	23,791	23,926	98,466
6 of which residual maturity ≥ 1 year < 2 years	0	1	2,659	2,660
7 of which residual maturity ≥ 2 year < 5 years	0	5,848	8,871	14,719
8 of which residual maturity ≥ 5 years < 10 years	0	10,089	10,921	21,010
9 of which residual maturity ≥ 10 years, but excluding perpetual securities	0	1,848	1,474	3,322
10 of which perpetual securities	50,749	6,005	0	56,754

(1) Equity excluding Fund for General Banking Risk.

(2) Subordinated claims include instruments recognized as Additional Tier 1 and Tier 2 instruments before prudential deductions.

(3) Instruments with a residual maturity below one year are not included in eligible liabilities for meeting TLAC.

3.1.7.3.2 MREL ratio

The MREL (Minimum Requirement for Own Funds and Eligible Liabilities) ratio is defined in the European "Bank Recovery and Resolution Directive" (BRRD). More generally, the BRRD establishes a framework for the resolution of banks throughout the European Union and with the aim to provide resolution authorities with instruments and common powers to prevent the occurrence of banking crises, preserve financial stability and reduce taxpayers' exposure to losses. Directive (EU) 2019/879 of 20 May 2019, known as "BRRD2", amended the BRRD and was transposed into French law by Decree 2020-1636 of 21 December 2020.

The MREL ratio corresponds to an own funds and eligible liabilities buffer required to absorb losses in the event of resolution. The required minimum levels are decisions taken by the resolution authorities and then communicated to each institution, then revised periodically.

In 2020, Crédit Agricole Group was notified of the revision of its total consolidated MREL requirement and of a new subordinated MREL requirement (from which senior debt is generally excluded in line with the TLAC standards). These two requirements were already met by the Group at the time they were notified. Calibrated under BRRD, they are applicable until the next notification which will integrate the changes in the European regulatory framework (*i.e.* BRRD2).

Under BRRD, the MREL ratio is calculated as the amount of own funds and eligible liabilities expressed as a percentage of the institution's total liabilities and capital, after certain regulatory adjustments, Total Liabilities and Own Funds (TLOF) or expressed as Risk-Weighted Assets (RWA).

Regulatory capital, subordinated notes with a residual maturity of more than one year, non-preferred senior debts with a residual maturity of more than one year and certain preferred senior debts with residual maturities of more than one year are eligible for the numerator of the MREL ratio. MREL eligible preferred senior debt is subject to the appreciation of the Single Resolution Board (SRB).

The MREL ratio calibrates an eligible liabilities requirement but does not specify which debt would be called upon to absorb losses in the event of resolution.

Crédit Agricole Group's target is to reach a subordinated MREL ratio (excluding eligible senior preferred debt) of 24%-25% of the RWA by the end of 2022 and to maintain the subordinated MREL ratio above 8% of TLOF. This level would enable recourse to the Single Resolution Fund (subject to the decision of the resolution authority) before applying the bail-in to senior preferred debt, creating an additional layer of protection for investors in senior preferred debt.

At 31 December 2020, Crédit Agricole Group posted an estimated MREL ratio⁽¹⁾ of around 11% of TLOF and 8.5% excluding eligible senior preferred debt. Expressed as a percentage of risk-weighted assets, Crédit Agricole Group's estimated MREL ratio was approximately 33% at end-December 2020. It was 25.5% excluding eligible senior preferred debt, up 290 basis points over the year. The MTP target regarding subordinated MREL has been met since end-September 2020.

(1) Calculation carried out in accordance with the BRRD applicable to the requirements in force. Included are items eligible for the MREL issued by all Group entities.

3.1.7.4 Economic Capital Adequacy

The Group's approach for measuring economic capital requirement has been implemented at Crédit Agricole Group, Crédit Agricole S.A., and within the Group's main French and foreign entities.

The primary aim of the risk identification process is to accurately identify all major risks that are likely to impact the Group's balance sheet, income statement, prudential ratios, or the reputation of an entity or the Group and to apply a Group-wide, standard approach to placing them in categories and sub-categories. As a second stage, the risk identification aims to assess the importance of these risks in a systematic and exhaustive manner in order to establish the final list of major risks.

The risk identification process brings together several sources: an internal analysis based on the information gathered from the Risk department and other control functions, and additional information obtained from external sources. The process is formalised by each entity; for the Group it is coordinated by the Risk department and approved by the Board of Directors.

For each of the major risks identified, the economic capital requirement is quantified as follows:

- the risk measurements already covered by Pillar 1 are reviewed and, where necessary, completed by economic capital adjustments;
- the risks absent from Pillar 1 are subject to a specific calculation of economic capital needs, based on internal approaches;
- generally, the measures for economic capital needs are carried out with a calculation horizon of one year, and with a quantile (probability of default occurrence) for which the level is set on the basis of the Group's appetite in terms of external rating;
- lastly, the economic capital needs measurement takes into account, with caution, the impacts of diversification resulting from the broad spread of business activities within the same Group, including between banking and insurance.

A specific governance within the Group ensures the coherence of all risk quantification methodologies for the economic capital requirement.

The measurement of the economic capital requirement is supplemented by a projection over the current year, consistent with capital planning forecasts at that date, in order to integrate the impact of changes in activity on the risk profile.

At 31 December 2020, all the major risks identified during the risk identification process were taken into account for assessing economic capital requirement. The Group notably measures: interest rate risk on the banking portfolio, issuer risk, business and strategic risk, credit risk, and liquidity price risk.

The Group ensures that its internal capital covers the economic capital requirements. At Crédit Agricole Group level, the internal capital covered more than 180% of the economic capital requirement at 31 December 2020.

Crédit Agricole S.A. entities subject to the requirement to measure their economic capital requirement are responsible for doing so in accordance with standards and methodologies defined by the Group. In particular, they must ensure that their ICAAP approach is appropriately organised and governed. The economic capital requirement computed by the entities is reported in detail to Crédit Agricole S.A.

In addition to the quantitative aspect, the Group's approach relies on a qualitative component that supplements the calculation of the economic capital requirement with indicators of the business lines' exposure to risk and their permanent controls. The qualitative component meets three targets:

- evaluation of the risk management system and the control of entities within the scope of deployment along different axes, this assessment is a component of the risk identification system;
- if required, identification and formalising of points for improvement of the risk management and permanent control system, in the form of an action plan formalised by the entity;
- identification of any elements that are not adequately captured in quantitative ICAAP measures.

3.1.8 Appendix regarding regulatory capital

3.1.8.1 Differences in the treatment of equity investments between the accounting and regulatory scopes

Exposure type	Accounting treatment	Fully loaded Basel 3 regulatory treatment
Subsidiaries with financial operations	Fully consolidated	Full consolidation generating capital requirements for the subsidiary's operations.
Jointly held subsidiaries with financial operations	Equity-accounted	Proportional consolidation.
Subsidiaries with insurance operations	Fully consolidated	Regulatory treatment of these equity investments using equity accounting method, since the Group is identified as being a "financial conglomerate": ■ CET1 instruments weighted at 370% (for non-listed entities), with expected loss calculation at 2.4%, subject to approval by the banking supervisor; otherwise, deduction of the subsidiary's CET1 financial instruments from the Group's total CET1 instruments; ■ AT1 and Tier 2 instruments deducted from the total of corresponding financial instruments of the Group. In turn, as in previous years, Crédit Agricole S.A. and Crédit Agricole Group are subject to additional capital requirements and capital adequacy ratios applying to financial conglomerates.
Equity investments of >10% with operations that are financial in nature	■ Equity-accounted ■ Equity investments in credit institutions	■ Deduction of CET1 instruments from CET1, beyond an exemption threshold of 17.65% of CET1. This exemption threshold, applied after calculation of a 10% threshold of CET1, is common to the non-deducted portion of deferred tax assets that rely on future profitability arising from temporary differences. ■ AT1 and Tier 2 instruments deducted from the corresponding class of instruments of the Group.
Equity investments of ≤10% with financial or insurance operations	Equity investments and securities held for collection and sale	Deduction of CET1, AT1 and Tier 2 instruments, beyond an exemption threshold of 10% of CET1.
Investments ≤10% in a global systemically important institution (G-SII)	Financial assets	Deduction of eligible elements, or where not available in a sufficient quantity, deduction of Tier 2 instruments, beyond an exemption threshold of 10% of CET1 (for global systemically important institutions).
ABCP (Asset-backed commercial paper) business securitisation vehicles	Fully consolidated	Risk weighting of the equity-accounted value and commitments on these structures (liquidity facilities and letters of credit).

3.1.8.2 Difference between the accounting and regulatory scopes of consolidation

Entities consolidated for accounting purposes, but excluded from the regulatory scope of consolidation of credit institutions on a consolidated basis predominantly comprise insurance companies and several *ad hoc* entities that are equity-accounted for regulatory purposes. In addition, entities consolidated on an accounting basis

using proportional consolidation at 31 December 2013 and now equity-accounted in accordance with IFRS 11, are still consolidated proportionally for regulatory purposes. Information on these entities and their consolidation method for accounting purposes is provided in the notes to the consolidated financial statements, "Scope of consolidation at 31 December 2020".

Differences between accounting and regulatory scopes of consolidation and correspondence between financial statements and regulatory risk categories (LI1)

	a	b	c	d	e	f	g
	Carrying amounts of items						
	Carrying amounts as reported in published financial statements	Carrying amounts under scope of regulatory consolidation	subject to the credit risk framework	subject to the counterparty credit risk framework	subject to the securitisation framework	subject to the market risk framework	not subject to capital requirements or subject to capital deduction
31/12/2020 <i>(in billions of euros)</i>							
ASSETS							
Cash, central banks	198	198	198	-	-	-	-
Held for trading financial assets	258	260	-	235	-	139	0
Other financial instruments at fair value through profit or loss	180	18	18	-	-	-	-
Hedging derivatives	23	22	-	22	-	-	-
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	274	48	43	4	2	-	-
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	4	3	3	-	-	-	-
Loans and receivables due from credit institutions (excluding Crédit Agricole internal transactions)	90	88	82	6	-	-	-
Loans and receivables due from customers	965	981	977	4	-	-	-
Debt securities	110	101	92	9	-	-	-
Revaluation adjustment on interest rate hedged portfolios	14	14	-	-	-	-	14
Current and deferred tax assets	7	7	7	-	-	-	-
Accruals, prepayments and sundry assets	46	44	39	5	-	1	-
Non-current assets held for sale and discontinued operations	5	-	-	-	-	-	-
Investments in equity-accounted entities	7	17	16	-	-	-	1
Investment property	7	1	1	-	-	-	-
Property, plant and equipment	11	10	10	-	-	-	-
Intangible assets	3	3	-	-	-	-	3
Goodwill	15	14	-	-	-	-	14
TOTAL ASSETS	2,218	1,831	1,486	285	2	140	33
EQUITY AND LIABILITIES							
Central banks	1	1	-	-	-	-	1
Financial equity and liabilities held for trading	227	228	-	83	-	-	146
Financial equity and liabilities designated at fair value through profit or loss	36	35	-	-	-	-	35
Hedging derivatives	24	24	-	-	-	-	24
Due to credit institutions	199	183	-	5	-	-	178
Due to customers	963	981	-	2	-	-	979
Debt securities	172	162	-	-	-	-	162
Revaluation adjustment on interest rate hedged portfolios	12	11	-	-	-	-	11
Current and deferred tax liabilities	4	3	3	-	-	-	-
Accruals, deferred income and sundry liabilities	54	50	7	-	-	-	43
Liabilities associated with non-current assets held for sale and discontinued operations	4	-	-	-	-	-	-
Insurance company technical reserves	366	-	-	-	-	-	-
Provisions	7	7	-	-	-	-	7
Subordinated debt	24	21	-	-	-	-	21
Total liabilities	2,091	1,706	10	89	-	-	1,607
Total equity	126	125	-	-	-	-	125
Equity, Group share	120	120	-	-	-	-	120
Share capital and reserves	30	30	-	-	-	-	30
Consolidated reserves	82	82	-	-	-	-	82
Other comprehensive income	2	2	-	-	-	-	2
Other comprehensive income on discontinued operations	-	-	-	-	-	-	-
Net income/(loss) for the financial year	5	5	-	-	-	-	5
Non-controlling interests	7	5	-	-	-	-	5
TOTAL EQUITY AND LIABILITIES	2,218	1,831	10	89	-	-	1,732

The carrying amounts for the regulatory scope of consolidation (column b) are not equal to the sum of their breakdown by risk type (columns c to g).

3.2 MAIN SOURCES OF DIFFERENCES BETWEEN REGULATORY EXPOSURE AMOUNTS AND CARRYING AMOUNTS IN FINANCIAL STATEMENTS (LI2)

	a	b	c	d	e
	Items subject to:				
	TOTAL	Credit risk framework	Counterparty credit risk framework	Securitisation framework	Market risk framework ⁽¹⁾
31/12/2020 (in billions of euros)					
1 Asset carrying amount under the scope of regulatory consolidation (as per template EU LI1)⁽²⁾	1,798	1,486	285	2	140
2 Carrying amount of equity and liabilities under the regulatory scope of consolidation (as per template EU LI1)	98	10	89	-	-
3 Total net amount under the regulatory scope of consolidation	1,699	1,477	196	2	140
4 Off-balance-sheet amounts ⁽³⁾	738	179	-	43	
5 Differences in valuations	-	-	-		
6 Differences in netting rules, other than those already indicated on line 2	(132)		(132)		
7 Difference due to consideration of provisions	17	17	-		
8 Differences due to the use of credit risk mitigation techniques (CRMs)	(14)	(11)	(3)		
9 Differences due to credit conversion factors	(107)				
10 Differences due to Securitisation with risk transfer					
11 Other adjustments	30	11	19	-	
12 Exposure amount considered for regulatory purposes	1,799	1,674	81	45	

(1) Exposures related to market risk include the exposures subject to the calculation of counterparty risk on the derivatives.

(2) The "Total" column includes the assets deductible from the prudential capital.

(3) In line item "Off-balance sheet amounts", the amounts shown in the Total column, which relates to exposures pre-CCF, do not equal the sum of the amounts shown in the remaining columns, which are post-CCF.

3.3 OUTLINE OF THE DIFFERENCES IN THE SCOPES OF CONSOLIDATION (LI3: ENTITY BY ENTITY)⁽¹⁾

Name of the entity	Method of accounting consolidation	Method of regulatory consolidation			Description of the entity
		Full consolidation	Proportional consolidation	Equity-accounted	
Uni-médias	Full				X Information and Communication
Crédit Agricole Assurances (CAA)	Full				X Financial and Insurance Activities – Insurance
Crédit Agricole Life Insurance Company Japan Ltd.	Full				X Financial and Insurance Activities – Insurance
CA ASSICURAZIONI	Full				X Financial and Insurance Activities – Insurance
Crédit Agricole Creditor Insurance (CACI)	Full				X Financial and Insurance Activities – Auxiliary activities of financial and insurance services
Spirica	Full				X Financial and Insurance Activities – Insurance
Crédit Agricole Assurances Solutions	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
PREDICA	Full				X Financial and Insurance Activities – Insurance
Médicale de France	Full				X Financial and Insurance Activities – Insurance
PACIFICA	Full				X Financial and Insurance Activities – Insurance
Via Vita	Full				X Other Activities of Services
IRIS HOLDING FRANCE	Full				X Real-Estate Activities
HOLDING EUROMARSEILLE	Full				X Real-Estate Activities
Crédit Agricole Life Insurance Europe	Full				X Financial and Insurance Activities – Insurance
GNB SEGUROS (formerly BES SEGUROS)	Full				X Financial and Insurance Activities – Insurance
Crédit Agricole Life	Full				X Financial and Insurance Activities – Insurance
Crédit Agricole Vita S.p.A.	Full				X Financial and Insurance Activities – Insurance
ASSUR&ME	Full				X Financial and Insurance Activities – Auxiliary activities of financial and insurance services
VAUGIRARD INFRA S.L.	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
SAS ALTA VAI HOLDCO P	Full				X Real-Estate Activities
Predica Infrastructure S.A.	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
UBAF	Equity-accounted		X		Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
CAIRS Assurance S.A.	Full				X Financial and Insurance Activities – Insurance
Atlantic Asset Securitization LLC	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
LMA S.A.	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Héphaïstos Multidevises FCT	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Eucalyptus FCT	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Pacific USD FCT	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Shark FCC	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Pacific EUR FCC	Full				X Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Pacific IT FCT	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Triple P FCC	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
ESNI (Crédit Agricole CIB compartment)	Full				Financial and Insurance Activities – Auxiliary activities of financial and insurance services
La Fayette Asset Securitization LLC	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds

Name of the entity	Method of accounting consolidation	Method of regulatory consolidation			Description of the entity
		Full consolidation	Proportional consolidation	Equity-accounted	
TSUBAKI ON (FCT)	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
TSUBAKI OFF (FCT)	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
La Route Avance	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
FCT CFN DIH	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
S3 Latam Holdco 1	Equity-accounted			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Santander CACEIS Brasil Participações S.A.	Equity-accounted			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Banco Santander CACEIS México, S.A., Institución de Banca Múltiple	Equity-accounted			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
SANTANDER CACEIS COLOMBIA S.A., SOCIEDAD FIDUCIARIA	Equity-accounted			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
S3 Latam Holdco 2	Equity-accounted			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Santander CACEIS Brasil D.T.V.M., S.A.	Equity-accounted			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
ARES Reinsurance Ltd	Full				Financial and Insurance Activities – Auxiliary activities of financial and insurance services
FCA Bank S.P.A.	Equity-accounted			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
CACF BANKIA S.A.	Equity-accounted			X	Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
FINAREF RISQUES DIVERS	Full				X Financial and Insurance Activities – Insurance
CACI Reinsurance Ltd.	Full				Financial and Insurance Activities – Auxiliary activities of financial and insurance services
SPACE HOLDING (IRELAND) LIMITED	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
SPACE LUX	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
CACI LIFE LIMITED	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
CACI NON LIFE LIMITED	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
FCT (LCL compartment)	Full				Financial and Insurance Activities – Activities of financial services, excluding insurance and pension funds
Sacam Assurance Caution	Full				Financial and Insurance Activities – Auxiliary activities of financial and insurance services
CAMCA GROUP	Full				X Financial and Insurance Activities – Insurance

(1) The scope of consolidation is described in full in Note 12 to the consolidated financial statements.

UCITS, UL and SCI (non-trading real estate investment company) funds held by the insurance entities and detailed in Note 12 to the consolidated financial statements follow the same accounting and regulatory treatment as their holding entity.

3.4 COMPOSITION AND CHANGES IN RISK-WEIGHTED ASSETS

3.4.1 Summary of risk-weighted assets

3.4.1.1 Risk-weighted assets by type of risk (OV1)

The risk-weighted assets in respect of credit risk, market risk and operational risk were €562.1 billion at 31 December 2020 vs. €559.0 billion at 31 December 2019.

		RWA		Minimum capital requirements
(in millions of euros)		31/12/2020	31/12/2019 ⁽¹⁾	31/12/2020
1	Credit risk (excluding CCR)	457,872	455,399	36,629
2	Of which the standardised approach	136,040	137,984	10,883
3	Of which the foundation IRB (FIRB) approach	93,478	88,321	7,478
4	Of which the advanced IRB (AIRB) approach	156,478	157,308	12,518
5	Of which equity IRB under the simple risk-weighted approach or the IMA	71,876	71,786	5,750
6	CCR	22,914	21,475	1,833
7	Of which mark to market	7,702	8,101	616
8	Of which original exposure	-	-	-
9	Of which the standardised approach	-	-	-
10	Of which internal model method (IMM)	10,301	8,930	824
11	Of which risk exposure amount for contributions to the default fund of a CCP	348	403	28
12	Of which CVA	4,563	4,041	365
13	Settlement risk	1	16	-
14	Securitisation exposures in the banking book (after the cap)	8,736	7,655	699
15	Of which SEC-IRBA approach	2,370	1,880	190
16	Of which SEC-ERBA (including IAA)	5,214	4,237	417
17	Of which SEC-SA approach	1,152	1,004	92
18	Of which 1,250% deduction	-	0	-
	Of which securitisation transactions expired at 31/03/2020	-	534	-
19	Market risk	10,026	11,939	802
20	Of which the standardised approach	4,693	5,009	375
21	Of which IMA	5,333	6,930	427
22	Large exposures	-	-	-
23	Operational risk	56,463	56,137	4,517
24	Of which basic indicator approach	-	-	-
25	Of which standardised approach	11,349	11,186	908
26	Of which advanced measurement approach	45,114	44,951	3,609
27	Amounts below the thresholds for deduction (subject to 250% risk weight)	6,047	6,389	484
28	Floor adjustment Basel 1	-	-	-
29	TOTAL	562,059	559,009	44,964

(1) Proforma on 2019 securitisation exposures following the valuation of the entire securitisation stock on 1 January 2020 under the new regulatory framework (EU) 2017/2401.

3.4.1.2 Operating segment information

31/12/2020	Credit risk				Credit risk	Credit valuation adjustment risk	Operational risk	Market risk	Total risk-weighted assets
(in millions of euros)	Standardised approach	Weighting approach IRB	IRB approach ⁽¹⁾	Contributions to a CCP default fund					
French Retail Banking	41,424	19,050	167,601	-	228,076	251	23,843	46	252,215
International Retail Banking	33,836	977	4,244	3	39,060	6	4,230	74	43,370
Asset Gathering	6,538	49,779	768	-	57,086	343	7,275	60	64,763
Specialised Financial Services	32,546	1,189	17,815	-	51,549	21	3,413	2	54,985
Large Customers	19,884	1,246	75,930	344	97,404	3,943	16,978	6,701	125,026
Corporate Center	6,911	5,683	5,239	-	17,832	-	724	3,143	21,699
TOTAL RISK-WEIGHTED ASSETS	141,139	77,924	271,597	348	491,007	4,563	56,462	10,026	562,059

(1) Advanced IRB or Foundation IRB approach depending on business lines.

31/12/2019	Credit risk				Credit risk	Credit valuation adjustment risk	Operational risk	Market risk	Total risk-weighted assets
(in millions of euros)	Standardised approach	Weighting approach IRB	IRB approach ⁽¹⁾	Contributions to a CCP default fund					
French Retail Banking	40,162	18,496	168,152	-	226,810	320	23,405	36	250,569
International Retail Banking	35,387	1,029	4,411	9	40,836	5	4,245	281	45,367
Asset Gathering	6,673	49,888	801	-	57,361	314	7,185	63	64,924
Specialised Financial Services	35,632	1,202	17,800	-	54,634	24	3,206	3	57,868
Large Customers	19,799	2,460	69,790	394	92,443	3,377	17,387	8,796	122,003
Corporate Center	5,433	5,100	4,275	-	14,807	-	709	2,761	18,278
TOTAL RISK-WEIGHTED ASSETS	143,085	78,174	265,229	403	486,891	4,041	56,137	11,939	559,009

(1) Advanced IRB or Foundation IRB approach depending on business lines.

3.4.1.3 Changes in risk-weighted assets

The table below shows the changes in Crédit Agricole Group's risk weighted assets in 2020:

(in millions of euros)	31/12/2019	Foreign exchange	Organic change and optimisation	Equity-accounted value Insurance	Scope	Method and regulatory changes	Total variation 2020	31/12/2020
Credit risk	486,892	(4,194)	8,474	(91)	132	(206)	4,115	491,007
of which Equity risk	78,174	-	(160)	(91)	-	-	(250)	77,924
CVA	4,041	-	522	-	-	-	522	4,563
Market risk	11,939	-	(1,913)	-	0	-	(1,913)	10,026
Operational risk	56,137	-	232	-	94	-	325	56,462
TOTAL	559,009	(4,194)	7,315	(91)	226	(206)	3,050	562,059

Risk-weighted assets totalled €562.1 billion at 30 December 2020, an increase of €+3.1 billion (+0.5%) due to:

- growth in business lines (+€7.3 billion), in particular in Retail Banking (+€10.3 billion) partly offset by Large Customers division (-€3.3 billion);
- methodological and regulatory effects (-€0.2 billion), including a positive effect of the extension SME factor (-€11.8 billion), partly offset by a regulatory effect on securitization at Crédit Agricole CIB (+€5.5 billion) and targeted review of internal models at Crédit Agricole CIB (+€4.5 billion) and LCL (+€0.7 billion);
- the -€0.1 billion decrease in the equity stake in Insurance companies;
- a positive M&A effect (+€0.2 billion) with the acquisition of Sabadell Asset Management S.A. by Amundi and the acquisition of Hama by EFL.

3.4.2 Credit and counterparty risk

Definitions:

- **probability of default (PD)**: the probability that a counterparty will default within a period of one year;
- **exposure at default (EAD)**: the exposure amount in the event of default. The concept of exposure encompasses balance sheet assets plus a proportion of off-balance sheet commitments;
- **loss given default (LGD)**: ratio between the loss experienced on an exposure on a counterparty at default and the size of the exposure at default;
- **gross exposure**: amount of the exposure (balance sheet + off-balance sheet), after the impacts of offsetting and before the application of any credit risk mitigation techniques (guarantees and collateral) and the credit conversion factor (CCF);
- **credit conversion factor (CCF)**: ratio between the unused portion of a commitment that will be drawn and at risk at the time of default and the unused portion of the commitment calculated on the basis of the authorised limit or, where applicable, the unauthorised limit if higher;

■ **expected losses (EL)**: the amount of the average loss the bank expects to have to recognise in its loan book within one year;

■ **risk-weighted assets (RWA)**: risk-weighted assets are calculated by applying a weighting ratio to each exposure at default. The ratio is a function of the characteristics of the exposure and the calculation method used (IRB or standardised);

■ **valuation adjustments**: impairment losses on a specific asset due to credit risk, recognised either through a partial write-down or a deduction from the carrying amount of the asset;

■ **external credit ratings**: credit ratings provided by an external credit rating agency recognised by Regulation (EC) No. 1060/2009.

Part 3.2.1 provides an overview of changes in credit and counterparty risk. It is followed by a more detailed look at credit risk (in part 3.2.2) by regulatory approach (*i.e.* standardised approach and IRB approach). Counterparty risk is covered in part 3.2.3 and part 3.2.4 covers the credit and counterparty risk mitigation techniques.

3.4.2.1 General overview of credit and counterparty risk

3.4.2.1.1 Exposures by type of risk

The table below shows Crédit Agricole Group's exposure to global risk (credit, counterparty, dilution and settlement and delivery) by exposure class for the standardised and internal ratings-based approaches at 31 December 2020 and at 31 December 2019.

The 16 exposure classes under the standardised approach are grouped together to ensure the presentation aligns with the IRB exposures.

Overall risk exposure (credit, counterparty, dilution, settlement and delivery) at 31 December 2020

	Standardised						IRB				TOTAL		
	Gross exposure ⁽¹⁾	Gross exposure after CRM ⁽²⁾	EAD	RWA	Gross exposure ⁽¹⁾	Gross exposure after CRM ⁽²⁾	EAD	RWA	Gross exposure ⁽¹⁾	Gross exposure after CRM ⁽²⁾	EAD	RWA	Capital requirement
31/12/2020 <i>(in billions of euros)</i>													
Central governments or Central Banks	96.6	98.3	98.2	7.6	286.8	310.0	307.3	2.7	383.4	408.3	405.5	10.3	0.8
Institutions	38.6	51.7	49.2	8.1	110.7	116.7	113.3	17.7	149.3	168.4	162.5	25.7	2.1
Corporates	160.5	139.6	107.5	79.4	420.1	382.3	317.5	142.2	580.5	521.9	425.0	221.6	17.7
Retail customers	43.1	39.8	36.7	22.6	672.0	672.0	673.8	101.5	715.1	711.8	710.5	124.1	9.9
Loans to individuals	29.1	27.4	25.5	16.1	535.0	535.0	535.5	66.9	564.0	562.4	561.0	83.0	6.6
o/w secured by real estate assets	10.0	9.7	9.6	4.1	399.9	399.9	399.9	37.0	409.9	409.6	409.5	41.1	4.3
o/w revolving	4.1	2.9	1.4	1.1	19.8	19.8	19.7	4.1	22.9	22.7	21.1	5.2	0.4
o/w other	16.0	14.8	14.4	10.9	115.3	115.3	115.9	25.7	131.2	130.1	130.4	36.7	2.9
Loans to small and medium businesses	14.0	12.4	11.2	6.5	137.0	137.0	138.2	34.6	151.1	149.5	149.5	41.1	4.3
o/w secured by real estate assets	0.6	0.5	0.5	0.2	23.7	23.7	23.7	6.3	24.2	24.2	24.2	6.5	0.5
o/w other	13.5	11.9	10.7	6.2	113.3	113.3	114.6	28.3	126.8	125.2	125.3	34.5	2.8
Shares	1.2		1.2	1.5	20.5		20.5	71.9	21.7		21.7	73.3	5.9
Securitisations	5.5		4.3	1.2	40.6		40.6	7.6	46.1		44.9	8.7	0.7
Assets other than credit obligation	27.0		26.9	20.9	-		-	-	27.0		26.9	20.9	1.7
TOTAL	372.4		323.9	141.1	1,550.7		1,473.0	343.5	1,923.1		1,796.9	484.6	38.8

(1) Initial gross exposure.

(2) Gross exposure after credit risk mitigation (CRM).

Overall risk exposure (credit, counterparty, dilution, settlement and delivery) at 31 December 2019

31/12/2019 (in billions of euros)	Standardised					IRB					TOTAL		
	Gross exposure ⁽¹⁾	Gross exposure after CRM ⁽²⁾	EAD	RWA	Gross exposure ⁽¹⁾	Gross exposure after CRM ⁽²⁾	EAD	RWA	Gross exposure ⁽¹⁾	Gross exposure after CRM ⁽²⁾	EAD	RWA	Capital requirement
Central governments or Central Banks	61.8	61.8	61.7	7.1	218.2	229.7	227.3	2.3	280.0	291.5	289.0	9.4	0.8
Institutions	43.9	59.3	57.4	8.1	103.8	107.9	104.1	16.1	147.6	167.1	161.5	24.2	1.9
Corporates	159.1	138.0	104.0	82.8	390.9	364.9	299.4	133.8	550.1	502.9	403.5	216.6	17.3
Retail customers	44.5	41.3	37.8	23.4	630.2	630.2	629.3	106.4	674.7	671.4	667.1	129.7	10.4
Loans to individuals	30.2	28.6	26.2	16.7	508.8	508.8	507.1	70.6	539.1	537.4	533.3	87.3	7.0
o/w secured by real estate assets	10.4	9.9	9.9	4.3	374.8	374.8	374.8	39.9	385.2	384.8	384.7	44.2	3.5
o/w revolving	4.1	4.9	1.9	1.4	19.8	19.8	17.3	4.4	23.9	23.7	19.2	5.8	0.5
o/w other	15.7	14.8	14.5	10.9	114.2	114.2	115.0	26.3	130.0	129.0	129.5	37.3	3.0
Loans to small and medium businesses	14.3	12.7	11.5	6.6	121.3	121.3	122.2	35.8	135.6	134.0	133.7	42.4	3.4
o/w secured by real estate assets	0.6	0.6	0.6	0.3	22.4	22.4	22.4	6.2	23.0	23.0	23.0	6.5	0.5
o/w other	13.6	12.0	10.9	6.4	98.9	98.9	99.8	29.6	112.6	111.0	110.7	35.9	2.9
Shares	1.2		1.2	1.4	20.7		20.6	71.8	21.9		21.8	73.2	5.9
Securitisations	1.1		0.8	0.5	39.8		39.8	5.0	40.9		40.6	5.6	0.4
Assets other than credit obligation	25.3		25.2	19.2	-		-	-	25.3		25.2	19.2	1.5
TOTAL	336.9		288.0	142.6	1,403.6		1,320.5	335.4	1,740.6		1,608.5	478.0	38.2

(1) Initial gross exposure.

(2) Gross exposure after credit risk mitigation (CRM).

Measured in terms of gross exposure, the Group's total outstanding amounts were up +10.49%, reflecting the favourable business climate in the main business lines.

The main portfolio remains the Retail customer category, with total gross exposure of €715.1 billion at end-June 2020 versus €674.7 billion at end-2019.

The "Central governments and Central Banks" portfolio rose 36.89% due mainly to the increase in central bank deposits and in State-guaranteed loans.

RWA density (defined as the ratio of risk-weighted assets/EAD) was 17% on average for retail customers and 52% for Corporates at 31 December 2020.

Total net amount and average of exposures (CRB-B)

		31/12/2020		31/12/2019	
		Net value of exposures at the end of the period ⁽¹⁾	Average net exposures over the period	Net value of exposures at the end of the period	Average net exposures over the period ⁽²⁾
<i>(in millions of euros)</i>					
1	Central governments or Central Banks	286,730	282,516	218,183	204,013
2	Institutions	110,351	113,489	103,323	105,728
3	Corporates	413,502	411,436	385,529	375,695
4	Of which: Specialised lending	64,070	64,841	66,609	64,773
5	Of which: SMEs	43,010	40,902	36,205	35,291
6	Retail	661,558	644,169	619,468	602,643
7	Secured by real estate property	420,441	409,460	393,955	380,271
8	SMEs	22,910	22,350	21,672	21,125
9	Non-SMEs	397,531	387,110	372,283	359,146
10	Qualifying revolving	19,453	19,320	19,402	19,162
11	Other retail	221,665	215,388	206,111	203,210
12	SMEs	109,169	104,284	94,762	93,288
13	Non-SMEs	112,495	111,104	111,349	109,922
14	Equity	20,501	19,640	20,746	19,955
15	Total IRB approach	1,492,642	1,471,251	1,347,250	1,308,035
16	Central governments or Central Banks	91,178	75,333	58,027	47,485
17	Regional governments or local authorities	1,053	975	816	822
18	Public sector entities	3,870	3,760	2,953	2,123
19	Multilateral development banks	362	346	114	62
20	International organisations	1,116	1,135	907	852
21	Institutions	36,831	45,023	41,660	44,642
22	Corporates	116,609	115,529	116,301	115,726
23	Of which: SMEs	27,689	27,742	27,054	23,041
24	Retail	30,812	30,843	31,812	31,894
25	Of which: SMEs	13,028	12,617	13,166	12,764
26	Secured by mortgages on immovable property	12,406	12,582	12,613	12,353
27	Of which: SMEs	1,707	1,636	1,525	1,367
28	Exposures in default	2,117	2,263	2,342	2,688
29	Items associated with particularly high risk	2,214	2,514	2,691	891
30	Covered bonds	664	897	1,044	637
31	Claims on institutions and corporates with a short-term credit assessment	-	-	-	-
32	Collective investments undertakings	35,353	36,532	34,120	35,974
33	Equity exposures	1,226	1,247	1,179	1,359
34	Other exposures	26,850	25,025	25,173	24,170
35	Total standardised approach	362,661	354,005	331,752	321,679
36	TOTAL	1,855,303	1,825,255	1,679,002	1,629,714

(1) The 2020 average is calculated on the basis of data recorded at the end of each quarter 2020.

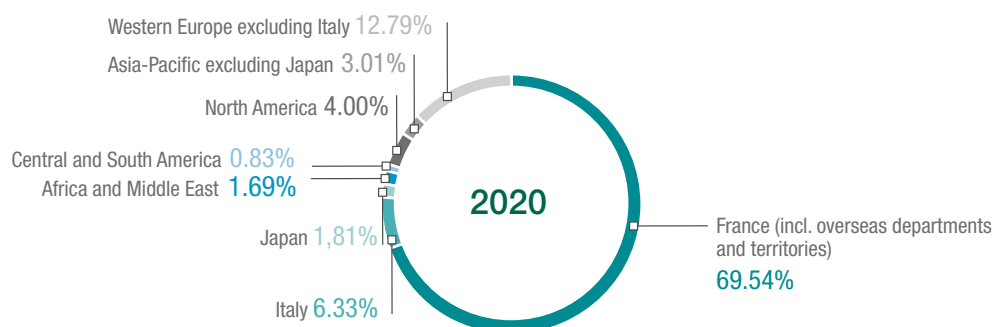
(2) The 2019 average is calculated on the basis of data recorded at the end of each quarter 2019.

Net exposures totalled €1,855.3 billion at 31 December 2020, 80.45% of which are subject to an internal ratings-based regulatory treatment.

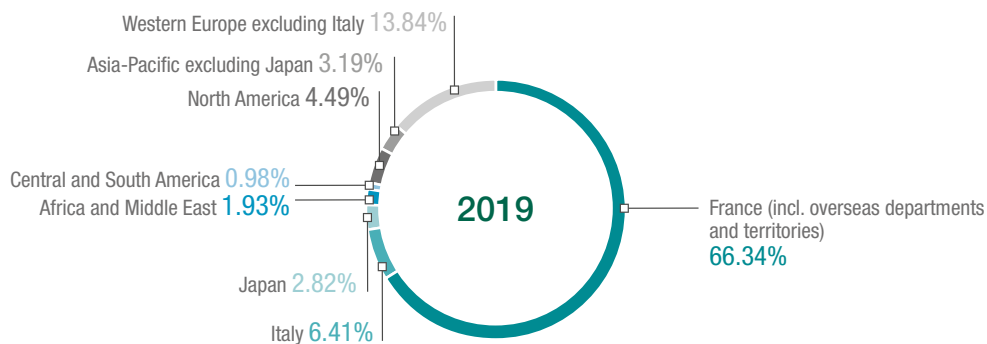
3.4.2.1.2 Exposures by geographic area

The breakdown by geographic area includes all Crédit Agricole Group exposures, except for securitisation transactions and “Assets other than credit obligations”.

At 31 December 2020



At 31 December 2019



Geographic breakdown of exposures (CRB-C)

31/12/2020 (in millions of euros)		Europe							
		France	Italy	Luxembourg	United Kingdom	Germany	Switzerland	Netherlands	Others
1	Central governments or Central Banks	202,701	974	8,470	2,253	7,891	2,273	271	12,033
2	Institutions	68,837	573	2,378	5,371	2,251	1,799	4,671	7,205
3	Corporates	189,306	11,803	12,693	18,557	13,046	7,958	11,256	32,233
4	Retail	604,999	37,017	1,071	677	4,471	1,840	72	6,739
5	Equity	19,560	277	313	49	36	13	23	46
6	Total IRB approach 31/12/2020	1,085,402	50,643	24,925	26,906	27,695	13,883	16,294	58,259
	Total IRB approach 31/12/2019	940,673	48,084	20,709	26,637	23,687	13,076	14,512	59,072
7	Central governments or Central Banks	50,014	22,382	8,805	18	1,253	1,313	448	4,974
8	Regional governments or local authorities	420	120	-	-	1	37	-	278
9	Public sector entities	1,040	112	-	-	776	-	-	1,760
10	Multilateral development banks	27	-	263	-	-	-	-	50
11	International organisations	19	-	1,094	-	-	-	-	4
12	Institutions	13,802	4,988	186	4,888	3,625	312	1,043	3,011
13	Corporates	74,266	20,042	2,771	865	1,676	260	611	7,237
14	Retail	8,674	9,134	5	739	2,264	198	1,301	6,786
15	Secured by mortgages on immovable property	1,633	3,071	23	25	267	3,867	4	2,170
16	Exposures in default	908	708	8	11	36	38	34	256
17	Items associated with particularly high risk	1,915	489	-	-	-	-	-	(190)
18	Covered bonds	142	-	-	-	-	-	-	-
19	Claims on institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-
20	Collective investments undertakings	29,423	3,692	1,334	-	2	-	-	19
21	Equity exposures	857	88	10	17	2	10	64	105
22	Other exposures	21,648	1,916	297	80	87	499	88	1,410
23	Total standardised approach 31/12/2020	204,787	66,741	14,796	6,643	9,988	6,533	3,594	27,867
	Total standardised approach 31/12/2019	173,184	59,506	9,825	13,244	8,900	5,815	4,219	32,691
24	TOTAL 31/12/2020	1,290,189	117,385	39,722	33,549	37,683	20,417	19,888	86,126
	TOTAL 31/12/2019	1,113,858	107,591	30,534	39,881	32,587	18,891	18,731	91,765

NB: Of which €301,350 million in Crédit Agricole internal transactions at 31 December 2018.

Of which €301,350 million in Crédit Agricole internal transactions at 31 December 2017.

For all supervisory approaches (i.e. based on internal ratings and standardised), the share of exposures in Europe increased to 89% at end-2020, compared with 87% at end-2019.

In particular, in Retail banking, the Group's exposure is concentrated on two countries: France and Italy represent 95.30% of exposures. The other portfolios are more geographically diversified. For example, nearly 23.68% of exposures in the Corporates portfolio are located outside Europe, primarily in North America and Asia.

Asia and Oceania		North America		Central and South America	Africa and Middle East	TOTAL
Japan	Others	USA	Others			
22,947	8,150	7,946	2,763	749	7,309	286,730
2,225	8,164	2,446	491	150	3,786	110,351
6,600	33,480	51,528	4,154	12,203	8,685	413,502
189	2,796	224	91	270	1,102	661,558
6	11	117	-	34	16	20,501
31,967	52,600	62,261	7,501	13,408	20,898	1,492,642
44,785	49,466	62,908	7,181	14,678	21,780	1,347,250
67	63	181	2	113	1,545	91,178
-	-	-	197	-	-	1,053
-	13	165	-	-	4	3,870
-	1	1	-	-	19	362
-	-	-	-	-	-	1,116
857	1,168	1,320	193	341	1,097	36,831
43	1,558	930	620	1,051	4,681	116,611
5	67	30	88	375	1,146	30,812
5	13	13	4	3	1,305	12,403
-	5	-	-	19	94	2,117
-	-	-	-	-	-	2,214
-	25	-	496	-	-	664
-	-	-	-	-	-	-
604	246	23	-	-	10	35,353
3	3	3	5	-	59	1,226
28	90	219	2	24	461	26,850
1,610	3,257	2,886	1,609	1,928	10,421	362,661
2,645	4,043	3,766	1,499	1,723	10,687	331,753
33,577	55,858	65,146	9,109	15,336	31,317	1,855,303
47,430	53,507	66,674	8,680	16,401	32,470	1,679,002

3.4.2.1.3 Exposures by business sector

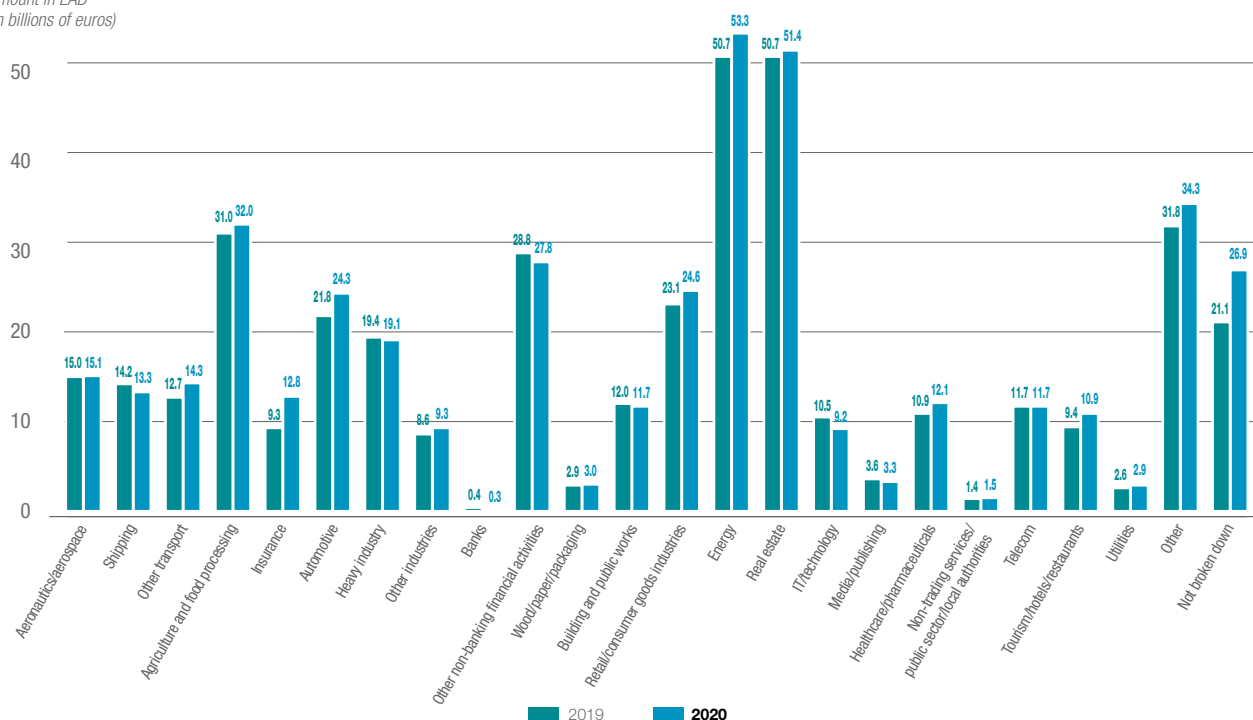
The breakdown by business sector is calculated on the total amount of Crédit Agricole Group exposures for the scope covering Central governments and Central Banks, Institutions, Corporates and Retail customers. A focus on the Corporate portfolio is shown below. A breakdown of the Retail customers portfolio is also provided by

Basel sub-portfolio (home loans, revolving credit, other loans to microenterprises, farmers and professional customers, other loans to individuals).

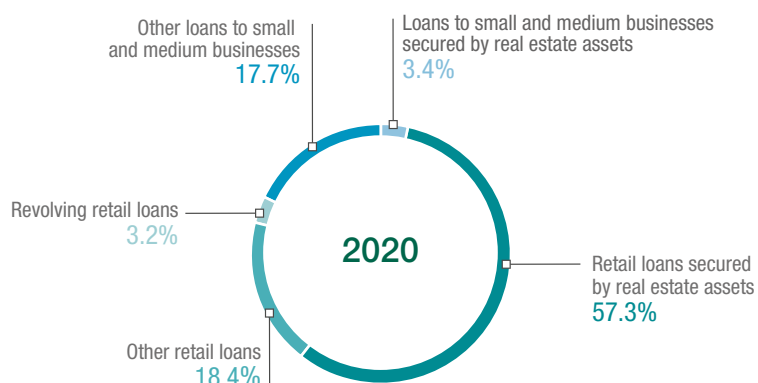
The breakdown of the Corporate portfolio by business sector still provides a good level of risk diversification.

Breakdown of the Corporate portfolio

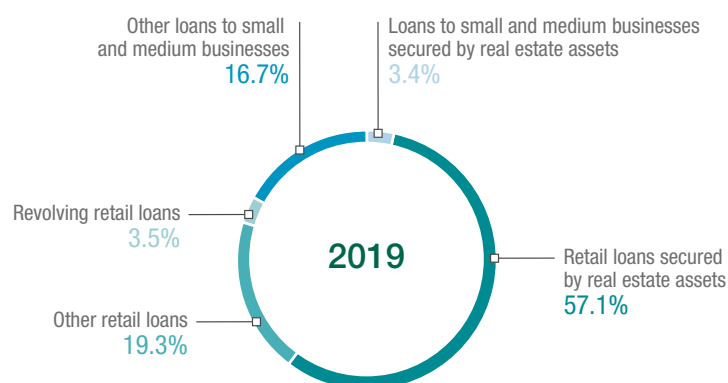
Amount in EAD
(in billions of euros)



Retail customers at 31 December 2020



Retail customers at 31 December 2019



Breakdown of the Retail customers portfolio

The chart above shows a breakdown of Crédit Agricole Group's Retail customers portfolio exposures by Basel sub-portfolio (outstanding amounts of €715.1 billion at 31 December 2020 compared with €674.7 billion at 31 December 2019, an increase of +6.0% on an annual basis).

Within the "Retail customers" portfolio, the relative share of "loans to individuals secured by real estate assets" has been rising over recent years (57.3% in 2020, compared with 57.1% in 2019). Conversely, the share of "revolving exposures to individuals" fell further in 2020 to 3.2% of outstanding retail customer loans from 3.5% in 2019.

Concentration of exposures by industry or counterparty types (CRB-D)

31/12/2020 (in millions of euros)	Agriculture, forestry and fishing	Mining and quarrying	Manufacturing	Production and distribution	Construction	Wholesale trade	Retail trade	Transport and storage	Accommodation and food service activities	Information and communication	Education and instruction- training
1 Central governments or Central Banks					202			341			1
2 Institutions	185		518	833	234	3	159	381	25	55	54
3 Corporates	4,918	22,072	99,655	30,375	14,039	35,104	21,000	37,838	8,380	20,565	675
4 Retail	43,631	41	3,243	1,482	4,050	1,860	7,542	1,068	4,487	343	685
5 Equity	187	36	319	60	36	76	5	73	18	48	1
6 Total IRB approach 31/12/2020	48,921	22,149	103,735	32,750	18,561	37,043	28,706	39,701	12,910	21,011	1,416
Total IRB approach 31/12/2019	47,035	21,262	96,135	29,152	16,474	36,181	24,351	38,019	9,989	22,659	1,292
7 Central governments or Central Banks		99	-								-
8 Regional governments or local authorities	-								-	-	-
9 Public sector entities	1	-	1	1	5	39	-	57	-	-	27
10 Multilateral development banks						1					
11 International organisations											
12 Institutions			548	1	-	-	2		-	-	-
13 Corporates	1,631	376	15,128	2,726	2,315	5,270	5,167	2,072	1,022	1,371	79
14 Retail	997	364	1,426	113	1,144	654	955	969	432	232	105
15 Secured by mortgages on immovable property	222	2	184	8	16	65	50	32	266	13	2
16 Exposures in default	46	4	265	8	218	93	70	48	57	13	3
17 Items associated with particularly high risk	8				95	-	2		-		
18 Covered bonds											
19 Claims on institutions and corporates with a short-term credit assessment											
20 Collective investments undertakings	-					7					
21 Equity exposures	30		-	46	4	5	-	20		7	-
22 Other exposures	3	1	9	3	14	7	21	58	1	4	-
23 Total standardised approach 31/12/2020	2,938	846	17,561	2,906	3,811	6,141	6,267	3,256	1,778	1,640	216
24 Total standardised approach 31/12/2019	2,880	862	17,234	2,878	3,958	6,854	6,843	3,320	1,330	1,677	193
24 TOTAL 31/12/2020	51,859	22,995	121,296	35,656	22,372	43,184	34,973	42,957	14,688	22,651	1,632
TOTAL 31/12/2019	49,915	22,124	113,369	32,030	20,432	43,035	31,194	41,339	11,319	24,336	1,485

31/12/2020 (in millions of euros)		Real estate activities	Finance and Insurance	Company Management financial participations	Professional, scientific and technical activities	Administrative and support service activities	Public administration and defence, compulsory social security	Human health services and social work activities	Other personal services outside public administration	Private persons	Arts, entertainment and recreation	Other services	TOTAL
1	Central governments or Central Banks	162	216,648	284	-	63,259	5,231	499			84	19	286,730
2	Institutions	2,532	68,735	107	20	837	33,946	1,022	69		120	516	110,351
3	Corporates	35,117	48,798	9,759	7,952	6,623	296	7,713	967	49	1,607	-	413,502
4	Retail	26,762	2,357	3,737	3,241	833	19	2,076	1,147	552,296	591	67	661,558
5	Equity	492	4,453	505	228	101	1	23	1		5	13,833	20,501
6	Total IRB approach 31/12/2020	65,065	340,991	14,392	11,441	8,394	97,521	16,065	2,683	552,345	2,407	14,435	1,492,642
	Total IRB approach 31/12/2019	62,278	268,753	12,753	9,369	6,275	89,477	14,792	2,014	520,630	2,176	16,184	1,347,250
7	Central governments or Central Banks		66,670				14,878	-			-	9,531	91,178
8	Regional governments or local authorities	-				-	917	4	4		-	128	1,053
9	Public sector entities	25	864	-	9	6	524	125	15		15	2,156	3,870
10	Multilateral development banks		330				2					29	362
11	International organisations		270				822					24	1,116
12	Institutions	-	32,003	3	-	-	-	-	-			4,274	36,831
13	Corporates	33,394	26,563	1,869	1,139	1,142	153	948	196	118	276	13,654	116,609
14	Retail	720	94	133	505	219	10	381	255	20,980	124	-	30,812
15	Secured by mortgages on immovable property	1,081	26	23	23	10		38	8	9,813	6	518	12,406
16	Exposures in default	418	18	17	21	17	1	3	6	669	14	108	2,117
17	Items associated with particularly high risk	1,695	8	-	1							405	2,214
18	Covered bonds		664									-	664
19	Claims on institutions and corporates with a short-term credit assessment											-	-
20	Collective investments undertakings	7	20,275									15,064	35,353
21	Equity exposures	96	61	4	1	-						952	1,226
22	Other exposures	194	-	136	9	62	1	1	-		-	26,326	26,850
23	Total standardised approach 31/12/2020	37,630	147,846	2,185	1,708	1,456	17,308	1,500	484	31,580	435	73,169	362,661
	Total standardised approach 31/12/2019	35,060	121,427	1,832	1,445	1,428	12,824	1,310	458	31,279	422	76,239	331,752
24	TOTAL 31/12/2020	102,695	488,837	16,577	13,149	9,850	114,829	17,565	3,167	583,925	2,842	87,604	1,855,303
	TOTAL 31/12/2019	97,338	390,180	14,585	10,814	7,703	102,301	16,102	2,472	551,909	2,598	92,423	1,679,002

3.4.2.1.4 Exposures by residual maturity

Maturity of exposures (CRB-E)

31/12/2020		Exposures net of impairment					
(in millions of euros)		On demand	≤1 year	>1 year ≤5 years	>5 years	No stated maturity	TOTAL
1	Central governments or Central Banks	138,062	75,420	36,671	36,567	10	286,730
2	Institutions	4,400	40,114	20,304	45,032	501	110,351
3	Corporates	10,884	147,513	175,829	79,276	-	413,502
4	Retail	6,216	-	-	655,342	-	661,558
5	Equity		-	83	1,688	18,730	20,501
6	Total IRB approach 31/12/2020	159,562	263,047	232,887	817,905	19,241	1,492,642
	Total IRB approach 31/12/2019	115,774	216,464	223,800	764,050	27,162	1,347,250
7	Central governments or Central Banks	65,890	2,457	10,761	2,540	9,530	91,178
8	Regional governments or local authorities	3	107	269	554	120	1,053
9	Public sector entities	18	163	1,255	279	2,155	3,870
10	Multilateral development banks		23	310		29	362
11	International organisations		-	1,092		24	1,116
12	Institutions	2,244	18,063	9,430	2,831	4,263	36,831
13	Corporates	6,970	45,151	28,599	23,027	12,862	116,609
14	Retail	522	600	66	26,125	3,499	30,812
15	Secured by mortgages on immovable property	7	45	509	11,329	516	12,406
16	Exposures in default	256	478	260	1,015	108	2,117
17	Items associated with particularly high risk	1,058	217	365	168	406	2,214
18	Covered bonds		224	440		-	664
19	Claims on institutions and corporates with a short-term credit assessment					-	-
20	Collective investments undertakings		7,255	5,328	7,728	15,042	35,353
21	Equity exposures		4	-	19	1,203	1,226
22	Other exposures		69	100	6	26,678	26,850
23	Total standardised approach 31/12/2020	76,968	74,855	58,783	75,620	76,435	362,661
	Total standardised approach 31/12/2019	43,062	66,944	66,479	80,387	74,880	331,752
24	TOTAL 31/12/2020	236,530	337,902	291,671	893,525	95,675	1,855,303
	TOTAL 31/12/2019	158,836	283,408	290,279	844,437	102,042	1,679,002

3.4.2.1.5 Defaulted exposures and value adjustments

Credit quality of exposures by exposure class and instrument (CR1-A)

31/12/2020		Gross carrying values of		Provisions/ Impairment	Net values
		Defaulted exposures	Non-defaulted exposures		
<i>(in millions of euros)</i>					
1	Central governments or Central Banks	52	286,727	49	286,730
2	Institutions	415	110,321	385	110,351
3	Corporates	8,169	411,886	6,552	413,502
4	Of which: Specialised lending	1,905	62,829	664	64,070
5	Of which: SMEs	1,635	43,259	1,884	43,010
6	Retail	12,039	659,952	10,432	661,558
7	Secured by real estate property	4,328	419,267	3,154	420,441
8	SMEs	772	22,913	775	22,910
9	Non-SMEs	3,556	396,354	2,379	397,531
10	Qualifying revolving	365	19,432	344	19,453
11	Other retail	7,346	221,253	6,934	221,665
12	SMEs	4,013	109,314	4,158	109,169
13	Non-SMEs	3,333	111,939	2,777	112,495
14	Equity	-	20,502	1	20,501
15	Total IRB approach 31/12/2020	20,674	1,489,388	17,419	1,492,642
	Total IRB approach 31/12/2019	19,606	1,344,216	16,572	1,347,250
16	Central governments or Central Banks	-	91,202	23	91,178
17	Regional governments or local authorities	-	1,053	-	1,053
18	Public sector entities	-	3,871	1	3,870
19	Multilateral development banks	-	362	-	362
20	International organisations	-	1,116	-	1,116
21	Institutions	-	36,836	5	36,831
22	Corporates	-	117,397	788	116,609
23	Of which: SMEs	-	27,944	255	27,689
24	Retail	-	31,136	324	30,812
25	Of which: SMEs	-	13,077	49	13,028
26	Secured by mortgages on immovable property	-	12,439	33	12,406
27	Of which: SMEs	-	1,707	-	1,707
28	Exposures in default	4,775	-	2,658	2,117
29	Items associated with particularly high risk	-	2,275	61	2,214
30	Covered bonds	-	665	1	664
31	Claims on institutions and corporates with a short-term credit assessment	-	-	-	-
32	Collective investments undertakings	-	35,385	31	35,353
33	Equity exposures	-	1,226	-	1,226
34	Other exposures	-	26,996	146	26,850
35	Total standardised approach 31/12/2020	4,775	361,958	4,072	362,661
	Total standardised approach 31/12/2019	5,264	330,538	4,050	331,752
36	TOTAL 31/12/2020	25,448	1,851,346	21,491	1,855,303
	TOTAL 31/12/2019	24,870	1,674,755	20,622	1,679,002

Defaulted exposures stood at €25.4 billion at 31 December 2020, an increase of 2.3% compared to 31 December 2019. They represent 1.4% of total gross exposures, compared with 1.5% at end-2019.

Quality of credit exposures by industry or counterparty types (CR1-B)

31/12/2020	Gross carrying values of		Provisions/ depreciation	Net values
	Defaulted exposures	Non-defaulted exposures		
<i>(in millions of euros)</i>				
1 Agriculture, forestry and fishing	308	51,901	350	51,859
2 Mining and quarrying	754	22,461	220	22,995
3 Manufacturing	1,908	121,029	1,641	121,296
4 Production and distribution	116	35,708	168	35,656
5 Construction and water supply	931	22,095	654	22,372
6 Wholesale trade	923	43,036	775	43,184
7 Retail trade	1,102	34,550	679	34,973
8 Transport and storage	1,814	41,811	668	42,957
9 Accommodation and food service activities	449	14,811	572	14,688
10 Information and communication	78	22,702	129	22,651
11 Education	15	1,632	15	1,632
12 Real estate activities	1,437	102,493	1,235	102,695
13 Finance and insurance companies	742	488,793	698	488,837
14 Financial holding companies	241	16,562	226	16,577
15 Professional, scientific and technical activities	159	13,147	157	13,149
16 Administrative and support service activities	181	9,817	148	9,850
17 Public administration and defence, compulsory social security	96	114,811	78	114,829
18 Human health services and social work activities	137	17,527	99	17,565
19 Other personal services	31	3,162	26	3,167
20 Private persons	13,582	578,318	7,975	583,925
21 Arts, entertainment and recreation	92	2,881	131	2,842
22 Other services	352	92,099	4,847	87,604
23 TOTAL 31/12/2020	25,448	1,851,346	21,491	1,855,303
TOTAL 31/12/2019	24,870	1,674,755	20,622	1,679,002

Quality of credit exposures by geographic area (CR1-C)

31/12/2020	Gross carrying values of		Provisions/ depreciation	Net values
	Defaulted exposures	Non-defaulted exposures		
<i>(in millions of euros)</i>				
1 Europe	22,091	1,642,146	19,278	1,644,958
2 France	15,294	1,289,340	14,446	1,290,189
3 Italy	4,071	116,103	2,789	117,385
4 Luxembourg	74	39,793	145	39,722
5 United Kingdom	145	33,593	188	33,549
6 Germany	340	37,667	324	37,683
7 Switzerland	176	20,309	69	20,417
8 Netherland	710	19,387	209	19,888
9 Others (Europe)	1,281	85,954	1,108	86,125
10 Asia and Oceania	698	89,031	294	89,435
11 Japan	297	33,363	82	33,577
12 Others (Asia and Oceania)	401	55,668	212	55,858
13 North America	323	74,351	419	74,255
14 USA	281	65,229	363	65,146
15 Others (North America)	42	9,122	56	9,109
16 Central and South America	1,174	14,693	529	15,338
17 Africa and Middle East	1,163	31,125	971	31,317
18 TOTAL 31/12/2020	25,448	1,851,346	21,491	1,855,303
TOTAL 31/12/2019	24,870	1,674,755	20,623	1,679,002

Ageing of past-due exposures (CR1-D)

		Gross carrying values					
31/12/2020 (in millions of euros)		≤30 days	>30 days ≤60 days	>60 days ≤90 days	>90 days ≤180 days	>180 days ≤1 year	>1 year
1	Loans	8,771	1,296	925	868	1,002	3,635
2	Debt securities	577	313	13	-	-	-
3	Total exposures	9,348	1,609	938	868	1,002	3,635

		Gross carrying values					
31/12/2019 (in millions of euros)		≤30 days	>30 days ≤60 days	>60 days ≤90 days	>90 days ≤180 days	>180 days ≤1 year	>1 year
1	Loans	9,169	1,787	1,465	1,141	915	4,007
2	Debt securities	914	348	9	-	-	-
3	Total exposures	10,083	2,135	1,474	1,141	915	4,007

Exposures up to 60 days past due account for 63% of total past-due exposures at 31 December 2020 and 62% at 31 December 2019.

Non-performing and forborne exposures (CR1-E)

		Gross carrying amount of performing and non-performing exposures							Accumulated impairment and provisions and negative fair value adjustments due to credit risk				Collaterals and financial guarantees received	
		Of which performing but past due >30 days and ≤90 days	Of which performing forborne	Of which non-performing			On performing exposures		On non-performing exposures		On non-performing exposures	Of which: forborne exposures		
				Of which: defaulted	Of which: impaired	Of which: forborne	Of which: forborne	Of which: forborne	Of which: forborne					
31/12/2020	(in millions of euros)													
10	Debt securities	162,880	326	-	105	90	-	1	(78)	-	(81)	(1)	2	-
20	Loans and advances	1,077,733	1,847	6,326	25,104	23,886	-	7,983	(6,665)	(549)	(13,474)	(3,419)	6,825	6,939
30	Off-balance sheet exposures	738,211	-	354	3,917	3,847	-	162	(1,134)	(22)	(521)	(34)	289	99

		Gross carrying amount of performing and non-performing exposures							Accumulated impairment and provisions and negative fair value adjustments due to credit@risk				Collaterals and financial guarantees received	
		Of which performing but past due >30 days and ≤90 days	Of which performing forborne	Of which non-performing			On performing exposures		On non-performing exposures		On non-performing exposures	Of which: forborne exposures		
				Of which: defaulted	Of which: impaired	Of which: forborne	Of which: forborne	Of which: forborne	Of which: forborne					
31/12/2019	(in millions of euros)													
10	Debt securities	141,747	368	12	150	85	85	1	(76)	-	(23)	(1)	-	-
20	Loans and advances	1,137,339	3,017	4,531	25,760	23,725	23,725	8,208	(5,321)	(350)	(14,286)	(3,539)	6,737	4,736
30	Off-balance sheet exposures	525,449	-	290	4,197	3,910	-	131	(880)	(26)	(602)	(23)	323	97

The information on non-performing and renegotiated exposures includes the gross carrying amount, impairment, provisions and related valuation adjustments, as well as the value of collateral and financial guarantees received.

The definitions of defaulted, impaired, renegotiated or forborne exposures are given in the financial statements of Crédit Agricole Group at end-2020 in part 1.2 "Accounting policies and principles".

Credit quality of forbore exposures (CQ1)

	Gross carrying amount/nominal amount of exposures with forbearance measures				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Collateral received and financial guarantees received on forbore exposures	
	Performing forbore	Non-performing forbore			On performing forbore exposures	On non-performing forbore exposures		Of which collateral and financial guarantees received on non-performing exposures with forbearance measures
			Of which defaulted	Of which impaired				
31/12/2020 (in millions of euros)								
005 Cash balances at Central Banks and other demand deposits	-	-	-	-	-	-	-	-
010 Loans and advances	6,326	7,983	7,138	7,138	(549)	(3,419)	6,939	2,474
020 Central Banks	-	-	-	-	-	-	-	-
030 General governments	24	11	3	3	(1)	(3)	-	-
040 Credit institutions	-	45	45	45	-	(26)	-	-
050 Other financial corporations	80	127	114	114	(8)	(76)	73	24
060 Non-financial corporations	4,018	4,909	4,494	4,494	(378)	(2,084)	4,634	1,627
070 Households	2,204	2,890	2,482	2,482	(162)	(1,229)	2,232	824
080 Loans and advances	-	1	1	1	-	(1)	-	-
090 Loan commitments given	354	162	150	150	(22)	(34)	99	33
100 TOTAL	6,681	8,145	7,289	7,289	(571)	(3,454)	7,039	2,508

	Gross carrying amount/nominal amount of exposures with forbearance measures				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Collateral received and financial guarantees received on forbore exposures of which collateral and financial guarantees received on non-performing exposures with forbearance measures	
	Performing forbore	Non-performing forbore			On performing forbore exposures	On non-performing forbore exposures		
			Of which defaulted	Of which impaired				
31/12/2019 (in millions of euros)								
1 Loans and advances	4,531	8,208	6,897	6,914	(350)	(3,539)		4,736
2 Central Banks	-	-	-	-	-	-		-
3 General governments	35	6	3	3	(1)	(3)		4
4 Credit institutions	-	51	51	51	-	(26)		-
5 Other financial corporations	43	121	110	110	(4)	(83)		36
6 Non-financial corporations	2,924	5,001	4,534	4,527	(224)	(2,289)		3,011
7 Households	1,529	3,029	2,199	2,223	(122)	(1,139)		1,686
8 Debt securities	12	1	1	1	-	(1)		-
9 Loan commitments given	290	131	110	110	(26)	(23)		97
10 TOTAL	4,833	8,340	7,008	7,025	(376)	(3,563)		4,833

Credit quality of performing and non-performing exposures by number of past due days (CQ3)

31/12/2020 (in millions of euros)	Gross carrying amount/nominal amount											
	Performing exposures				Non-performing exposures							
		Not past due or past due ≤30 days	Past due >30 days ≤90 days		Unlikely to pay that are not past-due or past-due ≤90 days	Past due >90 days ≤180 days	Past due >180 days ≤1 year	Past due >1 year ≤2 years	Past due >2 year ≤5 years	Past due >5 years ≤7 years	Past due >7 years	Of which defaulted
005 Cash balances at Central Banks and other demand deposits	201,146	201,101	46	15	-			15				15
010 Loans and advances	1,052,629	1,050,782	1,847	25,104	10,793	1,269	2,123	2,213	4,161	1,895	2,651	23,886
020 Central Banks	461	461										
030 General governments	42,090	42,023	67	106	54	2	1	2	43		4	98
040 Credit institutions	80,439	80,420	19	393	102			-	2	272	18	393
050 Other financial corporations	30,706	30,694	12	738	335	4	44	33	81	44	197	723
060 Non-financial corporations	361,471	360,563	908	14,137	6,123	841	1,007	1,224	2,502	1,012	1,427	13,467
070 Of which SMEs	186,887	186,429	458	8,130	3,061	174	411	847	1,787	681	1,170	7,665
080 Households	537,461	536,620	841	9,731	4,179	422	1,071	953	1,533	568	1,005	9,204
090 Debt securities	162,775	162,449	326	105	82	1					22	90
100 Central Banks	5,428	5,428										
110 General governments	75,079	75,069	11	-	-							
120 Credit institutions	40,342	40,340	2	5	5	1						5
130 Other financial corporations	26,325	26,011	314	12	12							-
140 Non-financial corporations	15,601	15,601		88	66						22	85
150 Off-balance sheet exposures	734,294			3,917								3,847
160 Central Banks	288,250											
170 General governments	15,257			-								-
180 Credit institutions	102,861			23								23
190 Other financial corporations	70,706			2,179								2,179
200 Non-financial corporations	213,149			1,579								1,541
210 Households	44,071			136								104
220 TOTAL	2,150,845	1,414,331	2,219	29,142	10,876	1,269	2,123	2,228	4,161	1,895	2,673	27,838

		Gross carrying amount/nominal amount									
		Performing exposures			Non-performing exposures						
		Not past due or past due ≤30 days	Past due >30 days ≤90 days		Unlikely to pay that are not past-due or past-due ≤90 days	Past due >90 days ≤180 days	Past due >180 days ≤1 year	Past due >1 year ≤5 years	Past due >5 years	Of which defaulted	
31/12/2019 <i>(in millions of euros)</i>											
1	Loans and advances	1,111,579	1,108,562	3,017	25,760	10,092	1,807	2,259	7,883	3,718	23,725
2	Central Banks	116,139	116,139								
3	General governments	42,747	42,658	90	133	45	1	-	60	27	128
4	Credit institutions	75,976	75,876	101	509	326	80		-	102	509
5	Other financial corporations	29,494	29,454	41	833	168	18	21	204	421	819
6	Non-financial corporations	333,417	331,724	1,693	13,880	5,265	960	936	4,982	1,738	12,927
7	Of which SMEs	152,145	151,746	399	7,640	2,529	271	644	3,136	1,060	7,132
8	Households	513,804	512,711	1,093	10,405	4,289	748	1,302	2,636	1,430	9,343
9	Debt securities	141,597	141,230	368	150	115	1		31	3	85
10	Central Banks	4,726	4,726								
11	General governments	63,266	63,266		33	2			31		
12	Credit institutions	34,584	34,584		5	4	1			1	5
13	Other financial corporations	25,455	25,097	358	83	83					53
14	Non-financial corporations	13,567	13,557	10	29	26				3	26
15	Off-balance sheet exposures	521,252			4,197						3,910
16	Central Banks	136,450									
17	General governments	16,267			31						31
18	Credit institutions	49,119			48						48
19	Other financial corporations	69,232			2,004						2,004
20	Non-financial corporations	207,041			1,891						1,728
21	Households	43,143			223						99
22	TOTAL	1,774,428	1,249,791	3,385	30,107	10,207	1,807	2,259	7,914	3,722	27,720

Performing and non-performing exposures and related provisions (CR1)

31/12/2020 <i>(in millions of euros)</i>	Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions												Accumulated partial financial write-off	Collateral and financial guarantees received	
	Gross carrying amount/nominal amount													On performing exposures	On non-performing exposures
	Performing exposures			Non-performing exposures			Performing exposures – accumulated impairment and provisions			Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions					
	Of which Bucket 1	Of which Bucket 2		Of which Bucket 2	Of which Bucket 3		Of which Bucket 1	Of which Bucket 2		Of which Bucket 2	Of which Bucket 3				
005 Cash balances at Central Banks and other demand deposits	201,146	201,146	-	15		15	(1)	(1)		(15)		(15)		3,228	
010 Loans and advances	1,052,629	980,923	71,513	25,104	1,209	23,881	(6,665)	(2,427)	(4,238)	(13,474)	(142)	(13,332)		563,092	6,825
020 Central Banks	461	461					-	-						-	
030 General governments	42,090	41,271	819	106	8	98	(20)	(14)	(6)	(47)	-	(47)		545	-
040 Credit institutions	80,439	80,378	61	393	-	393	(29)	(29)	-	(343)		(343)		98	
050 Other financial corporations	30,706	29,296	1,386	738	14	723	(328)	(158)	(169)	(566)	(3)	(563)		9,516	65
060 Non-financial corporations	361,471	318,234	43,209	14,137	669	13,462	(3,972)	(1,423)	(2,549)	(7,590)	(83)	(7,507)		171,010	3,953
070 Of which SMEs	186,887	165,379	21,481	8,130	465	7,665	(2,783)	(1,038)	(1,745)	(4,802)	(65)	(4,737)		100,596	2,253
080 Households	537,461	511,283	26,038	9,731	518	9,204	(2,317)	(803)	(1,513)	(4,928)	(57)	(4,871)		381,922	2,807
090 Debt securities	162,775	148,164	1,096	105	-	86	(78)	(67)	(11)	(81)	-	(81)		2,856	2
100 Central Banks	5,428	5,049	379				(6)	(4)	(2)						
110 General governments	75,079	74,749	330	-			(40)	(36)	(4)					1,866	
120 Credit institutions	40,342	40,005	5	5		5	(18)	(18)	-	(5)		(5)		557	
130 Other financial corporations	26,325	13,256	314	12		-	(4)	(3)	(1)	-				107	2
140 Non-financial corporations	15,601	15,105	68	88	-	81	(11)	(7)	(4)	(76)	-	(76)		325	
150 Off-balance sheet exposures	734,294	719,750	14,544	3,917	71	3,847	(1,134)	(521)	(613)	(521)	(7)	(515)		34,296	289
160 Central Banks	288,250	288,250					-	-							
170 General governments	15,257	14,504	753	-	-	-	(4)	(2)	(2)	(1)		(1)		1,478	
180 Credit institutions	102,861	102,828	32	23		23	(5)	(4)	(1)	(25)		(25)		192	-
190 Other financial corporations	70,706	70,426	280	2,179	-	2,179	(44)	(30)	(14)	(33)		(33)		2,107	2
200 Non-financial corporations	213,149	200,531	12,619	1,579	38	1,541	(930)	(399)	(531)	(418)	(2)	(417)		19,713	275
210 Households	44,071	43,210	860	136	32	104	(151)	(86)	(65)	(44)	(5)	(39)		10,806	12
220 TOTAL	2,150,845	2,049,984	87,154	29,142	1,280	27,829	(7,877)	(3,016)	(4,861)	(14,092)	(149)	(13,943)		603,472	7,116

														Collateral and financial guarantees received	
Gross carrying amount/nominal amount					Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions										
			Performing exposures			Non-performing exposures			Performing exposures – accumulated impairment and provisions			Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			On non-performing exposures
31/12/2019 <i>(in millions of euros)</i>			Of which Bucket 1	Of which Bucket 2		Of which Bucket 2	Of which Bucket 3		Of which Bucket 1	Of which Bucket 2		Of which Bucket 2	Of which Bucket 3		
1	Loans and advances	1,111,579	1,048,134	62,862	25,760	2,006	23,725	(5,321)	(1,863)	(3,458)	(14,286)	(227)	(14,059)	6,737	
2	Central Banks	116,139	116,139	0	-	-	-	(14)	(14)	-	-	-	-	-	
3	General governments	42,747	42,459	289	133	5	128	(38)	(32)	(6)	(46)	(1)	(45)	77	
4	Credit institutions	75,976	75,949	27	509	-	509	(30)	(30)	-	(392)	-	(392)	-	
5	Other financial corporations	29,494	28,423	1,050	833	14	819	(211)	(100)	(111)	(660)	(3)	(656)	57	
6	Non-financial corporations	333,417	303,216	29,812	13,880	953	12,927	(2,872)	(1,004)	(1,867)	(7,751)	(108)	(7,644)	3,501	
7	Of which: SMEs	152,145	136,338	15,807	7,640	512	7,128	(2,050)	(686)	(1,365)	(4,755)	(93)	(4,662)	1,624	
8	Households	513,804	481,948	31,684	10,405	1,034	9,343	(2,156)	(684)	(1,473)	(5,437)	(115)	(5,322)	3,102	
9	Debt securities	141,597	129,850	1,212	150	1	85	(76)	(58)	(18)	(23)	-	(23)	-	
10	Central Banks	4,726	4,180	546	-	-	-	(3)	(2)	(2)	-	-	-	-	
11	General governments	63,266	62,908	262	33	-	-	(32)	(29)	(2)	-	-	-	-	
12	Credit institutions	34,584	34,364	7	5	0	5	(19)	(18)	(1)	(5)	-	(5)	-	
13	Other financial corporations	25,455	15,158	359	83	-	53	(14)	(4)	(10)	-	-	-	-	
14	Non-financial corporations	13,567	13,240	38	29	1	26	(8)	(5)	(3)	(17)	-	(17)	-	
15	Off-balance sheet exposures	521,252	510,539	10,678	4,197	286	3,911	(880)	(420)	(460)	(602)	(27)	(574)	323	
16	Central Banks	136,450	136,449	0	-	-	-	-	-	-	-	-	-	-	
17	General governments	16,267	16,023	245	31	-	31	(4)	(3)	(1)	-	-	-	9	
18	Credit institutions	49,119	49,056	28	48	-	48	(4)	(3)	(1)	(24)	-	(24)	-	
19	Other financial corporations	69,232	69,113	119	2,004	0	2,004	(31)	(24)	(6)	(30)	-	(30)	2	
20	Non-financial corporations	207,041	197,995	9,046	1,891	162	1,729	(671)	(299)	(372)	(497)	(22)	(475)	292	
21	Households	43,143	41,902	1,240	223	125	99	(170)	(91)	(79)	(51)	(6)	(45)	20	
22	TOTAL	1,774,428	1,688,523	74,752	30,107	2,293	27,721	(6,277)	(2,342)	(3,935)	(14,910)	(254)	(14,656)	7,060	

Collateral obtained by taking possession and execution processes (CQ7)

31/12/2020 (in millions of euros)		Collateral obtained by taking possession	
		Value at initial recognition	Accumulated negative changes
010	Property, plant and equipment (PP&E)	3	-
020	Other than PP&E	247	(151)
030	Residential immovable property	39	(14)
040	Commercial immovable property	79	(40)
050	Movable property (auto, shipping, etc.)	124	(95)
060	Equity and debt instruments		
070	Other	5	(1)
080	TOTAL	250	(151)

Changes in the stock of specific credit risk adjustments (CR2-A)

31/12/2020 (in millions of euros)		Bucket 1	Bucket 2	Bucket 3	TOTAL
1	Opening balance at 1 January	1,908	3,702	14,065	19,675
2	Increases due to origination and acquisition	1,199	1,801	-	3,000
3	Decreases due to derecognition	(792)	(1,148)	(1,670)	(3,611)
4	Changes due to change in credit risk (net)	247	100	3,924	4,271
5	Changes due to modifications without derecognition (net)	3	-	(21)	(19)
6	Changes due to update in the institution's methodology for estimation (net)	-	-	-	-
7	Decrease in allowance account due to write-offs	-	-	(2,494)	(2,494)
8	Other adjustments	(70)	(63)	(390)	(523)
9	Closing balance⁽¹⁾	2,495	4,391	13,413	20,298
10	Recoveries of previously written-off amounts recorded directly to the statement of profit or loss	-	-	(268)	(268)
11	Amounts written-off directly to the statement of profit or loss	-	-	238	238

(1) Differences in total provisions between CR2-A, CR1-A and CR1-C tables are mainly due to divergences in scope. Impairment of fixed assets and equity investments and provisions for guarantee commitments given are only included in the CR1-A and CR1-C.

31/12/2019 (in millions of euros)		Bucket 1	Bucket 2	Bucket 3	TOTAL
1	Opening balance at 1 January	1,927	3,754	14,480	20,162
2	Increases due to origination and acquisition	872	1,128	-	2,000
3	Decreases due to derecognition	(715)	(982)	(1,530)	(3,228)
4	Changes due to change in credit risk (net)	(160)	(198)	3,224	2,866
5	Changes due to modifications without derecognition (net)	4	0	7	12
6	Changes due to update in the institution's methodology for estimation (net)	-	-	-	-
7	Decrease in allowance account due to write-offs	-	-	(1,975)	(1,975)
8	Other adjustments	(21)	-	(142)	(163)
9	Closing balance⁽¹⁾	1,908	3,702	14,065	19,675
10	Recoveries of previously written-off amounts recorded directly to the statement of profit or loss	-	-	(446)	(446)
11	Amounts written-off directly to the statement of profit or loss	-	-	277	277

(1) Differences in total provisions between CR2-A, CR1-A and CR1-C tables are mainly due to divergences in scope. Impairment of fixed assets and equity investments and provisions for guarantee commitments given are only included in the CR1-A and CR1-C.

Changes in the stock of defaulted and impaired loans and debt securities (RC2-B)

31/12/2020 (in millions of euros)		Gross carrying value defaulted exposures	
		31/12/2020	31/12/2019
1	Opening balance	23,810	23,758
2	Loans and debt securities that have defaulted or impaired since the last reporting period	5,880	5,038
3	Returned to non-defaulted status	(1,065)	(1,029)
4	Amounts written off	(3,036)	(2,763)
5	Other changes	(1,598)	(1,194)
6	Closing balance	23,992	23,810

3.4.2.2 Credit risk

Since late 2007, the ACPR has authorised Crédit Agricole S.A. to use its internal rating systems to calculate regulatory capital requirements for credit risk on Retail and Large customer exposures throughout almost all of its scope. The main recent developments regarding the Group's rollout plan are the switch to the Advanced IRB approach for all "Retail banking" portfolios in the CA Italia and FriulAdria entities in Italy in 2013 as well as the IRB validation of the "Corporates" portfolios of the Crédit Agricole Regional Banks and of LCL effective 1 October 2014.

The main Group entities or portfolios still using the standardised approach for measuring credit and/or operational risk at 31 December 2020 were as follows:

- the not-yet-validated CA Italia portfolios (non-retail customers portfolios and Carispezia scope) as well as all other entities in the International retail banking division;
- the Crédit Agricole Leasing & Factoring Group;
- some portfolios and foreign subsidiaries of the Crédit Agricole Consumer Finance Group;
- the real estate professionals portfolio.

Pursuant to the Group's commitment to phase in the advanced approach, agreed with the Supervisor (rollout plan), work on the main entities or portfolios still under the standardised approach continues. An update of the rollout plan is sent annually to the competent authority.

3.4.2.2.1 Exposures under the standardised approach

The exposure classes under the standardised approach are classified by counterparty type and financial product type, in one of the 17 classes set out in Article 112 of Regulation (EU) 575/2013 of 26 June 2013. The weightings applied to these same assets are calculated in accordance with Articles 114 to 134 of said Regulation.

For the "Central governments and Central Banks" and "Institutions" exposure classes, Crédit Agricole S.A. has chosen to use Moody's ratings to evaluate the risk under the standardised approach.

Accordingly, when the counterparty's credit valuation from the rating agency is known, it is used to determine the applicable weighting. With respect to the counterparties in the "Institutions" or "Corporates" exposure categories for which the credit valuation is not known, the weighting used is determined having regard to the credit valuation of the jurisdiction of the central government in which this counterparty is established, in accordance with the provisions of Articles 121 and 122 of the aforementioned Regulation.

With respect to exposures on debt instruments in the banking portfolio, the rule is to apply the issuer's weighting ratio. This rate is determined using the rules described in the foregoing paragraph.

Standardised approach – Credit risk exposure and credit risk mitigation (CRM) effects at 31 December 2020 (CR4)

31/12/2020 Exposure classes (in millions of euros)		Exposures before CCF and before CRM		Exposures post CCF and post CRM		RWA and RWA density	
		On-balance- sheet exposures	Off-balance- sheet exposures	On-balance- sheet exposures	Off-balance- sheet exposures	RWA	RWA density (%)
1	Central governments or Central Banks	85,499	116	87,205	35	7,609	8.72%
2	Regional government or local authorities	966	87	1,107	57	142	12.18%
3	Public sector entities	3,807	40	3,964	26	163	4.10%
4	Multilateral development banks	361	2	369	-	21	5.58%
5	International organisations	1,116	-	1,116	-	-	-
6	Banks (institutions)	20,378	5,786	35,326	3,352	6,511	16.83%
7	Corporates	81,877	30,837	64,787	11,776	63,808	83.34%
8	Retail	26,925	3,883	25,257	797	17,661	67.79%
9	Secured by mortgages on immovable property	12,228	178	12,082	84	5,149	42.32%
10	Exposures in default	2,020	93	1,728	38	2,117	119.86%
11	Exposures associated with particularly high risk	1,737	668	1,677	318	2,993	150.00%
12	Covered bonds	664	-	664	-	140	21.13%
13	Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-
14	Collective investment undertakings	16,364	18,989	16,364	6,229	7,391	32.71%
15	Equity	1,220	6	1,220	6	1,450	118.30%
16	Other items	26,843	6	26,843	6	20,885	77.79%
17	TOTAL	282,004	60,691	279,709	22,724	136,040	44.98%

Standardised approach – Credit risk exposure and credit risk mitigation (CRM) effects at 31 December 2019 (CR4)

31/12/2019 Exposure classes (in millions of euros)		Exposures before CCF and before CRM		Exposures post CCF and post CRM		RWA and RWA density	
		On-balance- sheet exposures	Off-balance- sheet exposures	On-balance- sheet exposures	Off-balance- sheet exposures	RWA	RWA density (%)
1	Central governments or Central Banks	55,411	159	55,411	46	7,072	12.75%
2	Regional government or local authorities	744	72	886	44	143	15.38%
3	Public sector entities	2,877	56	3,023	52	184	5.98%
4	Multilateral development banks	114	-	155	-	25	16.13%
5	International organisations	907	-	907	-	-	-
6	Banks (institutions)	20,561	4,069	38,018	2,262	6,517	16.18%
7	Corporates	81,336	30,689	64,230	11,617	66,731	87.98%
8	Retail	27,602	4,196	26,108	733	18,206	67.83%
9	Secured by mortgages on immovable property	12,446	167	12,127	75	5,353	43.87%
10	Exposures in default	2,178	160	1,816	75	2,262	119.62%
11	Exposures associated with particularly high risk	2,057	634	1,989	295	3,427	150.04%
12	Covered bonds	1,044	-	1,044	-	169	16.19%
13	Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-
14	Collective investment undertakings	13,226	20,894	13,226	6,363	7,235	36.93%
15	Equity	1,173	6	1,173	6	1,399	118.66%
16	Other items	25,165	7	25,165	7	19,263	76.53%
17	TOTAL	246,842	61,109	245,277	21,575	137,984	51.71%

Exposures by asset class and by risk weight at 31 December 2020 31 December 2019 (CR5)

31/12/2020 Exposure classes (in millions of euros)	Risk weight																	
	0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1,250%	Others	Deducted	TOTAL	o/w unrated
1 Central governments or Central Banks	82,046	-	-	-	6	-	334	-	-	3,127	3	-	-	-	-	1,724	87,240	87,239
2 Regional government or local authorities	455	-	-	-	709	-	-	-	-	-	-	-	-	-	-	-	1,164	1,163
3 Public sector entities	3,443	-	-	-	456	-	38	-	-	53	-	-	-	-	-	-	3,990	3,959
4 Multilateral development banks	342	-	-	-	8	-	-	-	-	19	-	-	-	-	-	-	369	369
5 International organisations	1,116	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1,116	1,116
6 Banks (institutions)	19,173	1,784	-	-	10,590	-	5,590	-	-	1,500	42	-	-	-	-	-	38,678	30,088
7 Corporates	-	-	-	-	5,291	-	11,069	-	-	57,885	2,317	-	-	-	-	-	76,563	46,803
8 Retail	-	-	-	-	-	-	-	-	26,054	-	-	-	-	-	-	-	26,054	26,054
9 Secured by mortgages on immovable property	-	-	-	-	-	8,212	2,063	-	1,891	-	-	-	-	-	-	-	12,166	12,166
10 Exposures in default	-	-	-	-	-	-	-	-	-	1,064	701	-	-	-	-	-	1,766	1,766
11 Exposures associated with particularly high risk	-	-	-	-	-	-	-	-	-	-	1,995	-	-	-	-	-	1,995	1,995
12 Covered bonds	-	-	-	269	352	-	-	-	-	43	-	-	-	-	-	-	664	-
13 Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14 Collective investment undertakings	9,192	-	1	85	5,025	-	4,130	-	-	3,856	304	-	-	-	-	-	22,593	21,116
15 Equity	-	-	-	-	-	-	-	-	-	1,076	-	150	-	-	-	-	1,226	1,226
16 Other items	4,579	-	-	-	1,732	-	-	-	-	20,539	-	-	-	-	-	-	26,849	26,242
17 TOTAL	120,346	1,784	1	354	24,169	8,212	23,224	-	27,945	89,162	5,362	150	-	-	-	1,724	302,433	261,302

Exposures by asset class and by risk weight at 31 December 2019 31 December 2019 (CR5)

31/12/2019 Exposure classes (in millions of euros)	Risk weight																	o/w unrated
	0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1,250%	Others	Deducted	TOTAL	
1 Central governments or Central Banks	50,170	-	-	-	101	-	378	-	-	3,432	8	-	-	-	-	1,367	55,457	55,456
2 Regional government or local authorities	219	-	-	-	710	-	-	-	-	1	-	-	-	-	-	-	930	930
3 Public sector entities	2,502	-	-	-	464	-	34	-	-	74	-	-	-	-	-	-	3,074	3,042
4 Multilateral development banks	116	-	-	-	17	-	-	-	-	21	-	-	-	-	-	-	155	155
5 International organisations	907	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	907	907
6 Banks (institutions)	20,343	2,275	-	-	10,602	-	5,497	-	-	1,486	77	-	-	-	-	-	40,281	31,302
7 Corporates	-	-	-	-	4,897	-	11,658	-	-	57,077	2,215	-	-	-	-	-	75,847	46,900
8 Retail	-	-	-	-	-	-	-	-	26,841	-	-	-	-	-	-	-	26,841	26,841
9 Secured by mortgages on immovable property	-	-	-	-	-	8,121	1,826	-	2,239	16	-	-	-	-	-	-	12,202	12,202
10 Exposures in default	-	-	-	-	-	-	-	-	-	1,147	744	-	-	-	-	-	1,890	1,890
11 Exposures associated with particularly high risk	-	-	-	-	-	-	-	-	-	-	2,285	-	-	-	-	-	2,285	2,285
12 Covered bonds	-	-	-	651	360	-	-	-	-	32	-	-	-	-	-	-	1,044	-
13 Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
14 Collective investment undertakings	7,709	-	5	80	3,218	-	4,237	-	-	4,093	247	-	-	-	-	-	19,589	18,098
15 Equity	-	-	-	-	-	-	-	-	-	1,033	-	146	-	-	-	-	1,179	1,179
16 Other items	4,394	-	-	-	1,895	-	-	-	-	18,883	-	-	-	-	-	-	25,172	25,172
17 TOTAL	86,361	2,275	5	732	22,265	8,121	23,630	-	29,080	87,296	5,576	146	-	-	-	1,367	266,852	226,359

Exposures to the asset classes "Central governments and Central Banks" and "Banks (institutions)" treated under the standardised approach were mainly risk-weighted at 0% at end-2020 and at end-2019. This reflects the quality of the activities carried out with these types of counterparties.

3.4.2.2.2 Credit risk – internal ratings-based approach

Outstanding loans are classified by counterparty type and financial product type, based on the seven exposure classes shown in the table below and set out in Article 147 of Regulation (EU) 575/2013 of 26 June 2013 on capital requirements for credit institutions and investment firms:

- in addition to exposures to “Central governments and Central Banks”, the Central government and Central Banks class includes exposures to certain regional and local authorities and public sector agencies that are treated as central government agencies, as well as multilateral development banks and international organisations;
- the “Institutions” class comprises exposure to credit institutions and investment companies, including those recognised in other countries. It also includes some exposures to regional and local authorities, public sector agencies and multilateral development banks that are not classified under central governments;
- the “Corporates” class is divided into large corporates and small and medium-sized companies, which are subject to different regulatory treatments;
- the “Retail customers” class is broken down into loans secured by real estate granted to individuals and to small and medium businesses, revolving credit, other loans granted to individuals and to small and medium businesses;
- the “Equity” class comprises exposures that convey a residual, subordinated claim on the assets or revenues of the issuer or have a similar economic substance;
- the “Securitisation” class includes exposures to securitisation transactions or structures, including those resulting from interest rate or exchange rate derivatives, independently of the institution’s role (whether it is the originator, sponsor or investor);
- the “Assets other than credit obligations” class does not currently include any assets using the IRB approach.

In accordance with the regulatory rules in effect, risk-weighted assets in the “Central governments and Central Banks”, “Institutions”, “Corporates” and “Retail customers” classes are calculated by applying a regulatory formula, the main parameters of which are the EAD, PD, LGD and the maturity associated with each exposure:

- for exposures to Large customers (Central governments and Central Banks, Institutions and Corporates), the formula is given in Article 153 of EU Regulation 575/2013 of 26 June 2013;
- for exposures to Retail customers, the formula is given in Article 154 of EU Regulation 575/2013 of 26 June 2013.

Risk-weighted assets in the “Equities” category are calculated by applying standardised weightings to the carrying amount of the exposures. These weightings, set out in Article 155 of EU Regulation 575/2013 of 26 June 2013, depend on the nature of the equities involved: 190% for private equity exposures in sufficiently diversified portfolios, 290% for exchange traded equity exposures and 370% for all other “Equity” exposures excluding equity investments of over 10% in financial firms used in the calculation of the exemption threshold (250% weighting).

The calculation of risk-weighted assets in respect of “Securitisation” exposures is set out in the dedicated section below.

Risk-weighted assets of “Assets other than credit obligations” exposures are calculated in accordance with Article 156 of Regulation (EU) 575/2013 of 26 June 2013. The parameters of the formulas cited above are estimated using historical default and loss data collected internally by Crédit Agricole S.A. Note that the definition of default used for the calculation of these parameters has a significant influence on the value thereof.

Exposure at Default (EAD) is the amount of exposure to a counterparty at the time of said counterparty’s default. For balance sheet items, EAD corresponds to exposure net of provisions for hedged items using the standardised approach to credit risk, and to gross amounts for hedged items using internal ratings. In the case of limits and financing commitments not used by the counterparty, a portion of the total commitment is taken into account by applying a credit conversion factor (CCF). The CCF is estimated using an internal method validated by the supervisory authority for Retail customers portfolios. The Internal CCF is estimated on the basis of the CCF observed in cases of default by class of exposure. For other portfolios, a standard CCF of 20%, 50% or 100% is applied, depending on the nature of the commitment and its term.

For Large customers, default is defined on a customer-by customer basis. As a result, it factors in the principle of contagion: an exposure to a defaulting customer causes the classification under default of all of the said customer’s loans within the entity responsible for the uniformity of the rating and all of its loans within Crédit Agricole S.A.

For Retail customers, following the change in the internal definition of default pursuant to the new EBA guidelines, the definition of default now also applies solely at the debtor level. Contagion rules are defined and precisely documented by the entity (joint account, outstandings of individuals or professionals, notion of risk group, etc.).

The pertinence and reliability of the rating data used are guaranteed by a process consisting in the initial validation and subsequent maintenance of internal models based on a structured and documented organisation implemented throughout the Group and involving entities, the Risk Management department and the Audit Group function.

The use of internal models for calculating solvency ratios has strengthened Crédit Agricole S.A.’s risk management. In particular, the development of “internal rating” approaches has led to the systematic collection of reliable data in respect of historical default and loss for the majority of Group entities. The collection of historical data of this nature now makes it possible to quantify credit risk by giving each rating an average Probability of Default (PD) and, for “advanced internal rating” approaches, a Loss Given Default (LGD).

In addition, the parameters of the “internal rating” models are used in the definition, implementation and monitoring of the entities’ risk and credit policies. For Large customers, the Group’s unique rating system (identical tools and methods, shared data), in place for many years, has contributed to strengthening and standardising the use of ratings and the associated risk parameters within the entities. The uniqueness of ratings for the Large Customer class thereby provides a shared framework on which to base standards and procedures, management tools, provisioning and risk-hedging policies, as well as alerts and close monitoring procedures. Due to their role in the monitoring and managing of risk within the various entities, ratings are subject to quality controls and regular monitoring at all stages of the rating process.

Internal models for measuring risks accordingly promote the development of sound risk-management practices among Group entities and improve the efficiency of the process of capital allocation by allowing a more accurate measurement of its consumption by business line and by entity.

The set of internal models used by the Crédit Agricole Group was presented for approval to the Standards and Methodology Committee before auditing by the Group Control and Audit department. This internal validation process pre-dates the application for formal approval to the ECB. The process of constructing and validating an internal rating model requires work over a period generally spanning three to five years, involving several on-site pre-validation and validation assignments.

After validation, systems governing internal ratings and the calculation of risk parameters are subject to permanent and periodic control within each Group entity.

Modelled parameter	Portfolio/Entity	Number of models
PD	Sovereigns	5
	Local authorities	8
	Financial institutions (banks, insurance, funds, etc.)	8
	Specialised financing	9
	Corporates	5
	Retail Banking – Regional Banks	4
	Retail Banking – LCL	2
	Retail Banking – Crédit Agricole Consumer Finance	16
	Retail Banking – Crédit Agricole CIB	1
	Retail Banking – CA Italia	3
LGD	Sovereigns	1
	Financial institutions (banks, insurance, funds, etc.)	4
	Specialised financing	8
	Corporates	1
	Retail Banking – Regional Banks	12
	Retail Banking – LCL	8
	Retail Banking – Crédit Agricole Consumer Finance	16
	Retail Banking – Crédit Agricole CIB	1
	Retail Banking – CA Italia	2
	Retail Banking – Regional Banks	2
CCF	Retail Banking – LCL	2
	Retail Banking – Crédit Agricole Consumer Finance	4

3.4.2.2.3 Quality of exposures under the internal ratings-based approach

Presentation of the internal ratings system and procedure

The internal ratings systems and procedures are described in the section entitled “Risk management – Credit risk – Risk measurement methods and systems”.

The Retail Customers credit risk exposure classes are presented separately as the internal ratings used for them are not the same as those for the other classes.

Credit risk exposures by portfolio and probability of default (PD) range
Foundation internal ratings-based approach at 31 December 2020 (CR6)

Exposure classes (in millions of euros)	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
Central governments and Central Banks	0.00 to <0.15	187,349	996	74.36%	200,587	0.00%	45.00%		926	0.46%	1	-
	0.15 to <0.25	713	11	76.16%	718	0.16%	45.00%		297	41.39%	1	-
	0.25 to <0.50	11	-	75.00%	9	0.30%	44.31%		5	61.88%	-	-
	0.50 to <0.75	93	4	75.00%	96	0.60%	45.00%		77	80.27%	-	-
	0.75 to <2.50	88	10	75.09%	96	1.24%	44.99%		107	110.73%	1	-
	2.50 to <10.00	9	1	75.00%	10	5.00%	45.00%		17	173.92%	-	-
	10.00 to <100.00	18	1	77.68%	18	20.00%	44.22%		45	248.77%	2	-
	100.00 (Default)	1	-	-	1	100.00%	45.00%		-	-	-	-
	Sub-total	188,283	1,023	74.38%	201,535	0.01%	45.00%		1,474	0.73%	4	21
Institutions	0.00 to <0.15	49,885	4,477	68.29%	54,244	0.03%	42.09%		8,753	16.14%	7	-
	0.15 to <0.25	1,132	101	74.72%	1,251	0.16%	38.02%		487	38.96%	1	-
	0.25 to <0.50	748	8	58.27%	752	0.30%	44.99%		517	68.76%	1	-
	0.50 to <0.75	260	32	68.31%	266	0.60%	44.77%		225	84.62%	1	-
	0.75 to <2.50	265	55	55.42%	294	1.06%	44.89%		319	108.69%	1	-
	2.50 to <10.00	9	2	41.36%	9	5.00%	45.00%		17	177.88%	-	-
	10.00 to <100.00	105	17	72.40%	110	19.34%	44.99%		277	252.17%	10	-
	100.00 (Default)	42	-	-	42	100.00%	45.00%		-	-	19	-
	Sub-total	52,445	4,693	68.26%	56,969	0.16%	42.08%		10,596	18.60%	40	26
Corporates – Other	0.00 to <0.15	20,364	8,006	73.20%	26,240	0.04%	44.73%		5,233	19.94%	5	-
	0.15 to <0.25	7,246	3,616	73.98%	9,290	0.16%	44.61%		4,059	43.69%	7	-
	0.25 to <0.50	8,914	4,799	69.35%	11,617	0.30%	44.41%		7,103	61.14%	15	-
	0.50 to <0.75	7,556	3,232	72.50%	8,852	0.60%	44.35%		7,485	84.56%	24	-
	0.75 to <2.50	18,922	6,302	73.60%	19,926	1.23%	43.87%		21,517	107.99%	107	-
	2.50 to <10.00	2,113	577	74.18%	1,863	5.00%	43.70%		3,141	168.64%	41	-
	10.00 to <100.00	1,815	409	69.59%	1,553	16.83%	44.45%		3,956	254.63%	116	-
	100.00 (Default)	1,342	364	54.07%	1,337	100.00%	44.79%		-	-	599	-
	Sub-total	68,273	27,305	72.33%	80,678	2.54%	44.39%		52,494	65.07%	913	1,660
Corporates – SME	0.00 to <0.15	524	150	77.55%	638	0.04%	44.50%		84	13.20%	-	-
	0.15 to <0.25	762	291	73.91%	937	0.16%	44.07%		313	33.45%	1	-
	0.25 to <0.50	2,211	609	73.32%	2,251	0.30%	43.57%		976	43.34%	3	-
	0.50 to <0.75	3,386	678	76.95%	3,417	0.60%	43.39%		1,979	57.90%	9	-
	0.75 to <2.50	21,361	4,242	76.42%	20,818	1.40%	43.09%		15,645	75.15%	125	-
	2.50 to <10.00	4,378	750	77.78%	4,057	5.00%	42.56%		4,327	106.65%	86	-
	10.00 to <100.00	2,574	399	77.07%	2,218	15.18%	42.95%		3,505	158.01%	145	-
	100.00 (Default)	1,382	186	78.72%	1,354	100.00%	44.23%		-	-	599	-
	Sub-total	36,579	7,305	76.39%	35,690	6.20%	43.17%		26,829	75.17%	968	1,866
Corporates – Specialised lending	0.00 to <0.15	139	34	77.61%	170	0.06%	43.50%		37	21.56%	-	-
	0.15 to <0.25	261	48	79.37%	297	0.16%	42.48%		116	38.91%	-	-
	0.25 to <0.50	873	210	77.88%	1,035	0.30%	43.98%		593	57.34%	1	-
	0.50 to <0.75	524	212	79.58%	693	0.60%	44.00%		543	78.38%	2	-
	0.75 to <2.50	368	146	76.81%	478	1.15%	43.92%		473	98.78%	2	-
	2.50 to <10.00	49	14	75.12%	60	5.00%	44.15%		94	155.84%	1	-
	10.00 to <100.00	69	45	76.33%	103	14.75%	43.76%		230	224.18%	7	-
	100.00 (Default)	6	1	100.00%	7	100.00%	40.02%		-	-	3	-
	Sub-total	2,289	710	78.12%	2,844	1.35%	43.78%		2,085	73.33%	17	32
TOTAL (ALL EXPOSURES CLASSES)		347,869	41,035	72.73%	377,715	1.17%	44.25%		93,478	24.75%	1,942	3,604

Credit risk exposures by portfolio and probability of default (PD) range
Foundation internal ratings-based approach at 31 December 2019 (CR6)

Exposure classes (in millions of euros)	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
Central governments and Central Banks	0.00 to <0.15	119,083	737	73.87%	120,649	0.00%	45.00%	-	869	0.72%	1	-
	0.15 to <0.25	614	6	75.00%	615	0.16%	45.00%	-	254	41.35%	-	-
	0.25 to <0.50	31	9	75.00%	38	0.30%	44.84%	-	22	58.31%	-	-
	0.50 to <0.75	80	1	75.00%	81	0.60%	45.00%	-	65	80.81%	-	-
	0.75 to <2.50	53	4	75.23%	54	1.39%	44.97%	-	63	116.24%	-	-
	2.50 to <10.00	4	2	75.00%	5	5.00%	45.00%	-	9	173.92%	-	-
	10.00 to <100.00	32	2	75.00%	33	19.92%	45.00%	-	85	256.14%	3	-
	100.00 (Default)	-	-	-	-	-	-	-	-	-	-	-
	Sub-total	119,897	761	73.89%	121,475	0.01%	45.00%	-	1,367	1.13%	5	27
Institutions	0.00 to <0.15	44,998	3,800	66.25%	48,739	0.03%	41.85%	-	7,743	15.89%	7	-
	0.15 to <0.25	633	83	74.17%	711	0.16%	37.84%	-	265	37.29%	-	-
	0.25 to <0.50	678	17	61.70%	699	0.30%	45.00%	-	472	67.43%	1	-
	0.50 to <0.75	379	35	67.66%	389	0.60%	44.84%	-	332	85.51%	1	-
	0.75 to <2.50	287	48	55.38%	311	1.07%	43.86%	-	328	105.43%	1	-
	2.50 to <10.00	32	5	56.14%	35	5.00%	44.74%	-	57	164.86%	1	-
	10.00 to <100.00	269	26	73.86%	284	18.64%	29.99%	-	470	165.36%	15	-
	100.00 (Default)	14	-	-	14	100.00%	45.00%	-	-	-	6	-
	Sub-total	47,289	4,015	66.31%	51,182	0.18%	41.81%	-	9,668	18.89%	33	46
Corporates – Other	0.00 to <0.15	18,857	7,888	73.41%	25,065	0.04%	44.76%	-	5,089	20.30%	5	-
	0.15 to <0.25	6,097	3,708	74.48%	8,897	0.16%	44.57%	-	3,883	43.65%	6	-
	0.25 to <0.50	8,171	4,986	71.23%	11,728	0.30%	44.44%	-	7,154	61.00%	16	-
	0.50 to <0.75	6,793	3,169	71.07%	8,901	0.60%	44.37%	-	7,515	84.43%	24	-
	0.75 to <2.50	13,859	4,754	72.21%	16,280	1.23%	43.90%	-	17,635	108.33%	88	-
	2.50 to <10.00	1,039	340	71.30%	1,143	5.00%	43.60%	-	1,933	169.10%	25	-
	10.00 to <100.00	1,117	383	62.13%	1,239	16.68%	44.07%	-	3,122	252.07%	91	-
	100.00 (Default)	1,197	303	50.59%	1,340	100.00%	44.87%	-	-	-	601	-
	Sub-total	57,131	25,532	72.18%	74,591	2.57%	44.43%	-	46,332	62.12%	856	1,254
Corporates – SME	0.00 to <0.15	521	82	75.21%	582	0.04%	44.51%	-	95	16.37%	-	-
	0.15 to <0.25	850	429	75.44%	1,176	0.16%	44.09%	-	468	39.83%	1	-
	0.25 to <0.50	1,977	513	75.66%	2,250	0.30%	43.60%	-	1,156	51.37%	3	-
	0.50 to <0.75	2,872	758	76.35%	3,414	0.60%	43.67%	-	2,371	69.46%	9	-
	0.75 to <2.50	17,315	3,914	77.04%	19,827	1.40%	43.13%	-	17,606	88.80%	119	-
	2.50 to <10.00	3,382	589	76.76%	3,532	5.00%	42.45%	-	4,305	121.88%	75	-
	10.00 to <100.00	1,946	347	78.16%	1,974	15.18%	42.53%	-	3,601	182.44%	128	-
	100.00 (Default)	1,266	156	77.63%	1,311	100.00%	44.15%	-	-	-	579	-
	Sub-total	30,129	6,789	76.77%	34,065	6.15%	43.20%	-	29,602	86.90%	914	1,593
Corporates – Specialised lending	0.00 to <0.15	128	60	76.46%	177	0.06%	44.33%	-	40	22.34%	-	-
	0.15 to <0.25	294	35	75.00%	318	0.16%	42.33%	-	123	38.69%	-	-
	0.25 to <0.50	711	122	75.27%	802	0.30%	44.14%	-	460	57.33%	1	-
	0.50 to <0.75	331	124	77.49%	428	0.60%	43.19%	-	332	77.67%	1	-
	0.75 to <2.50	217	89	78.60%	288	1.36%	44.36%	-	303	105.27%	2	-
	2.50 to <10.00	31	9	75.00%	36	5.00%	42.21%	-	54	148.98%	1	-
	10.00 to <100.00	13	8	73.94%	19	13.50%	42.41%	-	41	212.14%	1	-
	100.00 (Default)	-	-	-	-	-	-	-	-	-	-	-
	Sub-total	1,725	447	76.66%	2,068	0.67%	43.66%	-	1,352	65.38%	6	10
TOTAL (ALL PORTFOLIOS)		256,172	37,545	72.47%	283,381	1.46%	44.05%	-	88,321	31.17%	1,813	2,930

Credit risk exposures by portfolio and probability of default (PD) range
Advanced internal ratings-based approach at 31 December 2020 (CR6)

Exposure classes (in millions of euros)	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
Central governments and Central Banks	0.00 to <0.15	80,838	2,831	65.04%	94,308	0.00%	5.46%	1.63	370	0.39%	-	-
	0.15 to <0.25	1,184	10	53.12%	1,800	0.16%	9.98%	2.05	144	8.00%	8	-
	0.25 to <0.50	202	-	-	202	0.30%	10.00%	2.54	27	13.26%	-	-
	0.50 to <0.75	733	232	75.00%	459	0.60%	10.00%	1.77	70	15.27%	-	-
	0.75 to <2.50	575	541	74.18%	143	1.33%	45.00%	1.86	137	95.33%	1	-
	2.50 to <10.00	759	272	75.00%	52	5.00%	58.78%	3.55	120	228.47%	2	-
	10.00 to <100.00	199	203	75.42%	28	15.09%	79.88%	3.32	120	425.44%	3	-
	100.00 (Default)	51	-	-	23	100.00%	45.00%	3.82	-	-	14	-
	Sub-total	84,540	4,089	64.80%	97,015	0.04%	5.69%	1.64	988	1.02%	28	28
Institutions	0.00 to <0.15	21,509	2,683	101.02%	29,166	0.03%	11.36%	1.59	1,023	3.51%	1	-
	0.15 to <0.25	862	852	54.31%	821	0.16%	34.04%	2.12	255	31.10%	1	-
	0.25 to <0.50	772	920	25.65%	964	0.30%	41.94%	1.20	465	48.25%	1	-
	0.50 to <0.75	71	666	32.26%	268	0.60%	47.37%	1.43	164	61.33%	1	-
	0.75 to <2.50	288	767	41.56%	458	1.31%	32.85%	1.97	389	84.92%	2	-
	2.50 to <10.00	-	83	24.03%	20	5.00%	83.92%	0.76	59	300.45%	1	-
	10.00 to <100.00	-	18	33.40%	4	12.79%	76.51%	1.12	18	421.79%	-	-
	100.00 (Default)	200	168	99.29%	367	100.00%	45.01%	4.35	-	-	356	-
	Sub-total	23,702	6,157	80.51%	32,068	1.22%	13.90%	1.63	2,374	7.40%	363	360
Corporates – Other	0.00 to <0.15	25,683	55,300	58.83%	57,217	0.05%	34.21%	1.88	7,709	13.47%	9	-
	0.15 to <0.25	10,535	18,865	45.77%	17,501	0.16%	45.39%	2.18	5,780	33.03%	11	-
	0.25 to <0.50	8,761	17,076	46.92%	14,278	0.30%	45.10%	2.03	6,490	45.45%	16	-
	0.50 to <0.75	8,949	10,355	56.32%	10,493	0.60%	43.50%	1.95	6,257	59.63%	21	-
	0.75 to <2.50	12,357	11,725	57.57%	12,144	1.13%	49.08%	2.49	10,910	89.84%	53	-
	2.50 to <10.00	1,757	938	68.00%	1,146	5.00%	32.74%	2.17	1,190	103.81%	17	-
	10.00 to <100.00	1,709	1,608	36.63%	1,340	14.12%	43.04%	2.24	2,098	156.56%	54	-
	100.00 (Default)	2,115	750	39.29%	2,291	100.00%	45.36%	2.44	156	6.82%	1,679	-
	Sub-total	71,867	116,618	54.49%	116,410	2.44%	39.92%	2.04	40,590	34.87%	1,859	2,344
Corporates – SME	0.00 to <0.15	38	55	20.08%	41	0.05%	47.30%	3.06	9	21.23%	-	-
	0.15 to <0.25	6	2	75.00%	7	0.18%	31.50%	2.02	1	17.27%	-	-
	0.25 to <0.50	23	6	49.03%	17	0.30%	43.75%	1.20	4	25.09%	-	-
	0.50 to <0.75	19	4	45.64%	9	0.60%	42.95%	2.78	4	44.72%	-	-
	0.75 to <2.50	126	407	30.62%	197	1.48%	36.77%	2.23	112	57.15%	1	-
	2.50 to <10.00	9	8	45.41%	4	5.00%	41.58%	3.92	3	82.93%	-	-
	10.00 to <100.00	19	10	39.08%	18	16.31%	23.06%	1.96	14	78.23%	1	-
	100.00 (Default)	38	28	74.88%	59	100.00%	45.00%	2.25	33	55.50%	16	-
	Sub-total	279	519	34.11%	352	18.63%	39.11%	2.30	181	51.36%	18	19
Corporates – Specialised lending	0.00 to <0.15	1,928	991	55.49%	8,929	0.03%	7.99%	3.81	393	4.40%	-	-
	0.15 to <0.25	5,579	2,127	52.68%	8,741	0.16%	12.80%	3.72	1,008	11.53%	2	-
	0.25 to <0.50	8,573	2,524	51.15%	9,093	0.30%	12.79%	3.66	1,718	18.89%	3	-
	0.50 to <0.75	9,483	2,102	42.26%	9,171	0.60%	13.15%	3.07	2,056	22.41%	7	-
	0.75 to <2.50	14,384	4,744	49.40%	11,523	1.11%	15.47%	3.45	4,107	35.64%	19	-
	2.50 to <10.00	1,157	114	73.93%	1,038	5.00%	13.36%	3.57	549	52.88%	7	-
	10.00 to <100.00	1,624	326	73.20%	1,258	13.80%	14.68%	3.11	923	73.40%	25	-
	100.00 (Default)	1,788	79	96.73%	1,427	100.00%	31.94%	2.69	130	9.14%	306	-
	Sub-total	44,516	13,006	51.23%	51,179	3.67%	13.22%	3.50	10,884	21.27%	370	632

Exposure classes (in millions of euros)	PD Scale	On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
Retail – Secured by immovable property non SME	0.00 to <0.15	176,028	6,356	100.00%	182,384	0.07%	10.70%		4,004	2.20%	14	-
	0.15 to <0.25	75,397	2,953	100.00%	78,350	0.18%	12.14%		3,823	4.88%	17	-
	0.25 to <0.50	55,904	2,670	100.00%	58,575	0.39%	11.79%		5,078	8.67%	27	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	44,181	2,550	100.00%	46,732	1.04%	12.31%		8,183	17.51%	61	-
	2.50 to <10.00	26,702	1,437	99.91%	28,137	5.09%	13.13%		13,216	46.97%	194	-
	10.00 to <100.00	2,107	68	100.00%	2,175	27.68%	-		2,042	93.88%	96	-
	100.00 (Default)	3,547	9	18.32%	3,549	100.00%	41.14%		658	18.54%	1,460	-
	Sub-total	383,867	16,043	99.95%	399,902	1.45%	11.64%		37,004	9.25%	1,869	2,389
Retail – Other SME	0.00 to <0.15	199	6,078	109.14%	6,878	0.07%	39.56%		144	2.09%	2	-
	0.15 to <0.25	147	1,500	119.71%	1,942	0.18%	26.25%		58	3.00%	1	-
	0.25 to <0.50	368	3,534	75.16%	3,038	0.42%	47.91%		333	10.95%	6	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	1,282	2,811	83.25%	3,643	1.37%	46.07%		970	26.63%	25	-
	2.50 to <10.00	1,853	1,429	117.73%	3,562	5.04%	46.79%		2,173	61.02%	83	-
	10.00 to <100.00	175	56	177.77%	279	29.81%	46.13%		372	133.56%	39	-
	100.00 (Default)	346	18	8.31%	349	100.00%	82.68%		83	23.82%	288	-
	Sub-total	4,370	15,427	98.59%	19,689	3.14%	43.10%		4,133	20.99%	445	344
Retail – Qualifying revolving	0.00 to <0.15	34,862	1,938	106.61%	36,934	0.07%	13.73%		1,120	3.03%	4	-
	0.15 to <0.25	17,015	846	107.33%	17,931	0.18%	16.88%		1,268	7.07%	6	-
	0.25 to <0.50	16,836	861	106.76%	17,765	0.40%	22.61%		2,814	15.84%	16	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	22,936	1,021	108.86%	24,067	1.28%	33.22%		9,852	40.94%	108	-
	2.50 to <10.00	13,839	464	108.44%	14,450	4.81%	37.22%		8,700	60.21%	247	-
	10.00 to <100.00	1,292	29	104.53%	1,423	8.45%	13.50%		1,210	85.06%	196	-
	100.00 (Default)	3,323	10	30.05%	3,365	100.00%	68.41%		776	23.05%	2,317	-
	Sub-total	110,102	5,169	107.20%	115,934	3.81%	23.76%		25,740	22.20%	2,894	2,808
Retail – Secured by immovable property SME	0.00 to <0.15	764	12	100.45%	776	0.15%	15.60%		32	4.07%	-	-
	0.15 to <0.25	2,740	61	100.04%	2,801	0.21%	16.18%		155	5.53%	1	-
	0.25 to <0.50	6,462	149	100.22%	6,611	0.47%	20.65%		854	12.92%	6	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	8,310	277	100.21%	8,587	1.35%	17.47%		1,970	22.94%	21	-
	2.50 to <10.00	3,376	160	100.01%	3,536	7.20%	21.51%		2,495	70.55%	55	-
	10.00 to <100.00	572	30	100.00%	602	7.46%	5.95%		637	105.86%	35	-
	100.00 (Default)	771	1	1.35%	771	100.00%	63.92%		164	21.30%	493	-
	Sub-total	22,996	689	100.00%	23,685	4.82%	19.92%		6,307	26.63%	612	776
Retail – Other non-SME	0.00 to <0.15	6,619	1,155	122.32%	8,032	0.16%	10.46%		306	3.81%	1	-
	0.15 to <0.25	21,618	2,231	117.47%	24,239	0.22%	20.54%		2,669	11.01%	10	-
	0.25 to <0.50	27,256	2,614	112.33%	30,192	0.45%	24.99%		5,922	19.62%	34	-
	0.50 to <0.75	-	-	-	-	-	-		-	-	-	-
	0.75 to <2.50	27,926	2,816	110.87%	31,050	1.48%	24.70%		9,580	30.85%	113	-
	2.50 to <10.00	13,425	1,335	106.78%	14,852	6.94%	27.09%		7,315	49.25%	273	-
	10.00 to <100.00	2,123	191	102.80%	2,320	8.67%	-		1,682	72.51%	184	-
	100.00 (Default)	3,833	180	13.24%	3,861	100.00%	70.40%		803	20.80%	2,717	-
	Sub-total	102,799	10,523	111.55%	114,547	4.74%	24.27%		28,278	24.69%	3,332	4,162
TOTAL (ALL EXPOSURES CLASSES)		849,037	188,242	68.53%	970,781	2.30%	18.35%		156,478	16.12%	11,790	13,860

3 RISKS AND PILLAR 3

3. Pillar 3 disclosures

Credit risk exposures by portfolio and probability of default (PD) range Advanced internal ratings-based approach at 31 December 2019 (CR6)

Exposure classes (in millions of euros)	PD Scale	On-balance sheet exposures	Off-balance sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
Central governments and Central Banks	0.00 to <0.15	85,427	2,155	63.25%	97,936	0.00%	1.56%	1.59	289	0.30%	-	-
	0.15 to <0.25	1,110	10	64.96%	1,789	0.16%	9.91%	2.27	155	8.64%	-	-
	0.25 to <0.50	17	-	-	17	0.30%	10.00%	1.78	3	14.94%	-	-
	0.50 to <0.75	678	213	75.00%	425	0.60%	10.00%	1.65	64	15.14%	-	-
	0.75 to <2.50	609	595	75.02%	86	0.95%	45.71%	2.08	84	97.64%	-	-
	2.50 to <10.00	726	99	71.63%	52	5.00%	59.60%	3.55	118	228.29%	2	-
	10.00 to <100.00	122	214	75.63%	28	16.13%	78.70%	3.56	131	458.57%	4	-
	100.00 (Default)	100	17	75.00%	27	100.00%	45.00%	4.06	3	10.46%	15	-
	Sub-total	88,789	3,304	63.64%	100,361	0.05%	1.85%	1.61	846	0.84%	22	29
Institutions	0.00 to <0.15	21,608	2,577	94.45%	27,885	0.03%	11.12%	1.65	884	3.17%	1	-
	0.15 to <0.25	2,008	466	52.83%	714	0.16%	36.14%	2.11	260	36.37%	-	-
	0.25 to <0.50	598	963	38.76%	924	0.30%	38.28%	1.51	346	37.46%	1	-
	0.50 to <0.75	228	1,048	26.50%	497	0.60%	47.05%	1.39	312	62.84%	1	-
	0.75 to <2.50	285	680	45.53%	408	1.05%	31.07%	2.25	311	76.17%	2	-
	2.50 to <10.00	-	123	22.20%	27	5.00%	82.81%	0.81	82	303.12%	1	-
	10.00 to <100.00	-	23	31.28%	6	12.41%	70.17%	1.28	26	410.73%	1	-
	100.00 (Default)	401	20	20.20%	405	100.00%	45.01%	1.63	12	3.02%	386	-
	Sub-total	25,128	5,900	77.07%	30,866	1.38%	13.87%	1.65	2,233	7.24%	393	395
Corporates – Other	0.00 to <0.15	24,474	53,896	54.01%	53,725	0.04%	34.96%	2.08	7,435	13.84%	8	-
	0.15 to <0.25	11,849	19,075	47.13%	18,135	0.16%	43.04%	2.28	6,117	33.73%	11	-
	0.25 to <0.50	10,192	17,401	48.87%	14,497	0.30%	45.93%	2.38	7,078	48.82%	16	-
	0.50 to <0.75	7,643	9,299	57.53%	9,165	0.60%	46.30%	2.25	6,451	70.39%	20	-
	0.75 to <2.50	9,717	11,350	55.74%	10,098	1.11%	47.63%	2.54	8,483	84.02%	40	-
	2.50 to <10.00	605	440	46.06%	252	5.00%	52.77%	2.96	419	166.25%	5	-
	10.00 to <100.00	1,055	1,604	33.32%	843	15.49%	35.91%	1.80	1,364	161.85%	40	-
	100.00 (Default)	1,882	898	31.27%	1,986	100.00%	45.39%	2.46	292	14.68%	1,507	-
	Sub-total	67,417	113,963	52.13%	108,700	2.20%	40.14%	2.22	37,639	34.63%	1,647	1,950
Corporates – SME	0.00 to <0.15	44	1	72.93%	45	0.06%	45.81%	2.84	11	25.57%	-	-
	0.15 to <0.25	29	-	-	32	0.16%	49.98%	3.67	19	59.98%	-	-
	0.25 to <0.50	7	3	46.94%	9	0.30%	49.86%	1.70	4	47.45%	-	-
	0.50 to <0.75	6	345	20.38%	44	0.60%	51.08%	1.18	32	71.14%	-	-
	0.75 to <2.50	126	94	52.71%	153	1.53%	33.06%	2.47	98	64.35%	1	-
	2.50 to <10.00	16	3	59.65%	10	5.00%	44.42%	1.90	13	131.32%	-	-
	10.00 to <100.00	21	2	83.76%	22	17.76%	36.98%	1.60	37	168.16%	1	-
	100.00 (Default)	2	-	36.28%	2	100.00%	45.00%	1.19	-	-	4	-
	Sub-total	252	448	30.72%	317	2.92%	40.25%	2.35	215	67.83%	7	6
Corporates – Specialised lending	0.00 to <0.15	2,092	1,511	55.65%	10,419	0.03%	7.32%	3.64	409	3.93%	-	-
	0.15 to <0.25	8,127	2,003	63.82%	10,619	0.16%	10.23%	3.59	1,192	11.23%	2	-
	0.25 to <0.50	10,783	4,208	59.55%	11,405	0.30%	11.11%	3.47	1,866	16.36%	4	-
	0.50 to <0.75	10,011	2,757	51.42%	9,486	0.60%	12.01%	3.21	2,132	22.47%	7	-
	0.75 to <2.50	11,548	4,810	48.52%	10,105	1.10%	13.57%	3.42	3,328	32.94%	15	-
	2.50 to <10.00	1,030	67	48.95%	865	5.00%	14.22%	3.40	444	51.34%	6	-
	10.00 to <100.00	1,569	40	73.00%	907	13.94%	13.16%	2.90	608	67.04%	18	-
	100.00 (Default)	1,170	26	79.17%	1,142	100.00%	40.58%	2.93	23	2.00%	395	-
	Sub-total	46,330	15,422	55.89%	54,949	2.79%	11.52%	3.45	10,002	18.20%	447	571

Exposure classes (in millions of euros)	PD Scale	On-balance sheet exposures	Off-balance sheet exposures pre-CCF	Exposure weighted average CCF	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
Retail – Secured by immovable property non SME	0.00 to <0.15	141,938	5,402	100.00%	147,340	0.07%	11.50%	-	3,223	2.19%	11	-
	0.15 to <0.25	66,782	2,381	100.00%	69,163	0.19%	12.07%	-	3,563	5.15%	16	-
	0.25 to <0.50	71,175	3,641	99.98%	74,816	0.44%	11.78%	-	6,918	9.25%	39	-
	0.50 to <0.75	-	-	-	-	-	-	-	-	-	-	-
	0.75 to <2.50	39,487	2,878	100.00%	42,365	1.35%	11.66%	-	8,095	19.11%	66	-
	2.50 to <10.00	32,700	1,781	99.99%	34,481	4.90%	12.41%	-	14,878	43.15%	212	-
	10.00 to <100.00	2,694	85	99.40%	2,778	26.38%	-	-	2,457	88.42%	108	-
	100.00 (Default)	3,854	12	57.99%	3,861	100.00%	38.79%	-	778	20.15%	1,497	-
	Sub-total	358,631	16,180	99.96%	374,805	1.78%	11.92%	-	39,911	10.65%	1,949	2,538
Retail – Other SME	0.00 to <0.15	213	5,848	78.15%	4,782	0.07%	37.36%	-	91	1.91%	1	-
	0.15 to <0.25	153	1,612	93.66%	1,663	0.19%	27.32%	-	52	3.12%	1	-
	0.25 to <0.50	465	3,361	80.94%	3,185	0.46%	45.33%	-	333	10.44%	7	-
	0.50 to <0.75	-	-	-	-	-	-	-	-	-	-	-
	0.75 to <2.50	1,157	2,413	70.39%	2,856	1.54%	52.02%	-	866	30.31%	24	-
	2.50 to <10.00	2,172	1,765	110.66%	4,125	5.05%	47.84%	-	2,475	59.99%	98	-
	10.00 to <100.00	229	72	176.11%	355	30.84%	45.62%	-	461	130.02%	52	-
	100.00 (Default)	317	14	8.17%	320	100.00%	83.31%	-	104	32.50%	267	-
	Sub-total	4,706	15,085	83.39%	17,287	4.71%	44.19%	-	4,381	25.34%	450	388
Retail – Qualifying revolving	0.00 to <0.15	36,398	1,493	105.88%	38,011	0.07%	14.22%	-	1,147	3.02%	4	-
	0.15 to <0.25	15,442	646	106.13%	16,167	0.20%	17.95%	-	1,271	7.86%	6	-
	0.25 to <0.50	18,443	924	104.90%	19,466	0.44%	22.48%	-	3,183	16.35%	19	-
	0.50 to <0.75	-	-	-	-	-	-	-	-	-	-	-
	0.75 to <2.50	18,675	845	105.22%	19,602	1.38%	37.16%	-	8,807	44.93%	103	-
	2.50 to <10.00	15,993	454	107.40%	16,691	4.67%	36.56%	-	9,493	56.87%	270	-
	10.00 to <100.00	1,826	25	106.93%	1,968	11.78%	16.04%	-	1,655	84.07%	273	-
	100.00 (Default)	3,066	9	33.19%	3,082	100.00%	67.85%	-	753	24.45%	2,127	-
	Sub-total	109,843	4,394	105.61%	114,986	4.74%	24.49%	-	26,308	22.88%	2,803	2,941
Retail – Secured by immovable property SME	0.00 to <0.15	2,035	41	100.30%	2,075	0.15%	16.51%	-	94	4.55%	1	-
	0.15 to <0.25	3,279	68	100.03%	3,347	0.28%	18.06%	-	266	7.96%	2	-
	0.25 to <0.50	4,526	112	100.06%	4,638	0.54%	19.24%	-	624	13.46%	5	-
	0.50 to <0.75	-	-	-	-	-	-	-	-	-	-	-
	0.75 to <2.50	6,036	243	100.12%	6,279	1.39%	19.21%	-	1,579	25.16%	17	-
	2.50 to <10.00	4,221	193	100.01%	4,414	6.41%	19.17%	-	2,633	59.65%	56	-
	10.00 to <100.00	818	47	100.00%	865	7.18%	5.24%	-	853	98.68%	48	-
	100.00 (Default)	794	1	21.47%	794	100.00%	63.67%	-	168	21.15%	506	-
	Sub-total	21,709	703	99.99%	22,412	5.32%	19.95%	-	6,219	27.75%	634	740
Retail – Other non-SME	0.00 to <0.15	11,202	1,882	116.84%	13,400	0.16%	17.07%	-	1,004	7.49%	3	-
	0.15 to <0.25	16,531	2,044	113.14%	18,844	0.27%	21.50%	-	2,726	14.47%	11	-
	0.25 to <0.50	14,548	1,512	105.27%	16,140	0.52%	26.69%	-	4,055	25.13%	23	-
	0.50 to <0.75	-	-	-	-	-	-	-	-	-	-	-
	0.75 to <2.50	24,171	2,785	109.27%	27,214	1.43%	24.66%	-	9,146	33.61%	96	-
	2.50 to <10.00	15,215	1,585	105.68%	16,891	6.38%	28.06%	-	9,075	53.73%	293	-
	10.00 to <100.00	3,129	303	101.79%	3,438	9.02%	-	-	2,759	80.24%	261	-
	100.00 (Default)	3,820	175	17.02%	3,852	100.00%	73.38%	-	789	20.48%	2,816	-
	Sub-total	88,616	10,285	108.49%	99,778	5.56%	25.09%	-	29,554	29.62%	3,503	4,147
TOTAL (ALL PORTFOLIOS)		811,422	185,684	65.76%	924,461	2.42%	17.91%	-	157,308	17.02%	11,854	13,706

The disparities between customer classes seen in prior years in the retail banking portfolio were again apparent in 2020. The PD levels observed in loans secured by real estate assets are significantly lower than for other classes. For instance, 80.1% of gross exposures to the “Loans to individuals secured by real estate assets” portfolio have a PD of under 0.5%, while this figure is 54.0% for “Other loans to small and medium

businesses” in the IRB portfolio – the Group’s Retail banking arm. The differences in respect of PD levels are even more pronounced if we observe the contributions of expected losses attributable to significant differences in LGD levels from one portfolio to another: Exposure to “Loans to individuals secured by real estate assets” accounted for 59.4% of total Retail customer EAD but only 20.4% of expected losses.

PD and average LGD by non-defaulted exposure class under the A-IRB approach by geographic area

The LGDs in this table are regulatory and may be subject to floors on certain portfolios.

		31/12/2020		31/12/2019	
		A-IRB approach		A-IRB approach	
Type exposure	Geographical areas	PD	LGD	PD	LGD
LOANS TO SME					
o/w other loans	All geographical areas	2.12%	23.19%	2.65%	24.02%
	France (including overseas departments and territories)	2.12%	22.16%	2.65%	22.83%
	Western Europe excluding Italy	1.69%	25.39%	1.87%	27.18%
	Italy	2.06%	45.37%	2.66%	48.66%
o/w secured by real estate assets	All geographical areas	2.48%	18.91%	2.94%	18.83%
	France (including overseas departments and territories)	2.51%	19.11%	2.98%	19.03%
	Italy	2.06%	16.74%	2.59%	16.80%
LOANS TO INDIVIDUAL CUSTOMERS					
o/w secured by real estate assets	All geographical areas	0.76%	11.54%	0.96%	11.78%
	France (including overseas departments and territories)	0.76%	11.28%	0.96%	11.54%
	Italy	0.79%	17.20%	0.86%	17.17%
o/w revolving	All geographical areas	1.73%	42.19%	2.26%	43.06%
	France (including overseas departments and territories)	1.51%	37.78%	1.99%	37.56%
	Italy	3.04%	69.47%	3.51%	69.34%
o/w others	All geographical areas	1.40%	23.06%	1.63%	23.88%
	France (including overseas departments and territories)	1.35%	20.03%	1.62%	20.94%
	Western Europe excluding Italy	1.14%	18.23%	1.07%	17.44%
	Italy	2.43%	62.55%	2.83%	63.18%
	Asia-Pacific excluding Japan	-	-	-	-
CENTRAL GOVERNMENTS AND CENTRAL BANKS					
	All geographical areas	0.02%	5.74%	0.02%	1.87%
	France (including overseas departments and territories)	0.03%	5.97%	0.04%	2.38%
	North America	0.00%	4.99%	0.00%	1.00%
	Western Europe excluding Italy	0.01%	5.83%	0.01%	2.29%
	Italy	0.07%	8.48%	0.03%	5.81%
	Japan	0.00%	5.00%	0.00%	1.00%
	Asia-Pacific excluding Japan	0.05%	5.74%	0.05%	1.96%
	Africa and Middle East	0.12%	10.92%	0.08%	8.21%
	Eastern Europe	0.16%	10.00%	0.16%	10.00%
CORPORATES					
	All geographical areas	0.58%	32.05%	0.57%	30.98%
	France (including overseas departments and territories)	0.57%	29.23%	0.64%	28.32%
	North America	0.87%	29.88%	0.68%	29.41%
	Western Europe excluding Italy	0.46%	38.85%	0.41%	38.20%
	Italy	0.40%	40.58%	0.61%	40.49%
	Japan	1.00%	21.27%	0.60%	18.73%
	Asia-Pacific excluding Japan	0.31%	33.31%	0.35%	32.44%
	Africa and Middle East	0.22%	53.06%	0.67%	51.99%
	Eastern Europe	0.44%	41.30%	0.39%	41.06%
INSTITUTIONS					
	All geographical areas	0.10%	16.91%	0.10%	16.37%
	France (including overseas departments and territories)	0.09%	14.87%	0.09%	15.08%
	North America	0.07%	12.46%	0.09%	10.44%
	Western Europe excluding Italy	0.11%	20.82%	0.11%	18.78%
	Italy	0.04%	2.46%	0.05%	6.01%
	Japan	0.12%	17.07%	0.14%	22.64%
	Asia-Pacific excluding Japan	0.19%	34.19%	0.15%	29.69%
	Africa and Middle East	0.18%	30.45%	0.10%	23.44%
	Eastern Europe	0.55%	53.34%	0.56%	57.04%

Only the following entities located in France (Regional banks, Crédit Agricole S.A. social entity and LCL) use the F-IRB approach for their RWA calculations on the Central governments and Central Banks, Institutions and Corporates exposure classes.

3.4.2.2.4 Use of credit derivatives for hedging purposes

Effect of credit derivatives used for credit risk mitigation (CRM) on risk-weighted assets (RWA) under the internal ratings-based approach at 31 December 2020.

Effect of credit derivatives on risk-weighted assets (CR7)

31/12/2020 (in millions of euros)		Pre-credit derivatives RWAs	Actual RWAs
1	Exposures under FIRB	-	-
2	Central governments and Central Banks	-	-
3	Institutions	-	-
4	Corporates – SMEs	-	-
5	Corporates – Specialised lending	-	-
6	Corporates – Other	-	-
7	Exposures under AIRB	-	-
8	Central governments and Central Banks	-	-
9	Institutions	-	-
10	Corporates – SMEs	4,837	2,453
11	Corporates – Specialised lending	-	-
12	Corporates – Other	-	-
13	Retail – Secured by real estate SMEs	-	-
14	Retail – Secured by real estate non-SMEs	-	-
15	Retail – Qualifying revolving	-	-
16	Retail – Other SMEs	-	-
17	Retail – Other non-SMEs	-	-
18	Equity IRB	-	-
19	Other non credit obligation assets	-	-
20	TOTAL	4,837	2,453

3.4.2.2.5 Change in RWA between 31 December 2019 and 31 December 2020

Risk-weighted asset (RWA) flow statements of credit risk exposures under the internal ratings-based approach (CR8)

31/12/2020 (in millions of euros)		RWA amounts	Capital requirements
1	RWAs as at the end of the previous reporting period (31/12/2019)	245,629	19,650
2	Asset size	15,255	1,220
3	Asset quality	(10,344)	(828)
4	Model updates	2,428	194
5	Methodology and policy	(8,325)	(666)
6	Acquisitions and disposals	(134)	(11)
7	Foreign exchange movements	(2,917)	(233)
8	Other	8,364	669
9	RWAs as at the end of the reporting period (31/12/2020)	249,956	19,996

The scope of the analysis explaining variations in the credit RWAs is now excluding the equity exposures treated under the IRB Simple risk weight approach and the investments accounted by the equity method.

3.4.2.2.6 Backtesting results

In the following paragraphs, backtesting covers all the methods and procedures used to verify the performance and stability of the internal risk models (PD, LGD, CCF), specifically by comparing forecasts with actual results.

With regard to permanent control, a backtesting Committee has been established within each entity. The Committee (which may, for some entities, be a specific agenda item for the Risk Committee) is chaired by the Risk Management department of the relevant entity and includes a representative from the Group Risk Management department. It meets at least twice a year and is the subject of reports to the Chief Executive Officer and the Head of the entity's Permanent Control department, as well as the Group Risk Management department.

Periodic control is conducted annually by the Internal Audit function or any third party specifically authorised by it. The audit plan covers:

- systems for calculating ratings and estimating risk parameters, as well as compliance with minimum requirements;
- systems functioning (correct implementation).

The corresponding reports are sent to the person responsible for monitoring the relevant entity within the Group Risk Management department.

The entity performs internal controls (permanent and periodic) on:

- the quality of input and output data within the system;
- the conceptual and technical quality of systems for calculating ratings and estimating risk parameters;

- the completeness of data used for the calculation of risk-weighted assets.

Backtesting is critical in maintaining the pertinence and performance of rating models. A first phase of analysis is based chiefly on the quantitative analysis of the predictive model as a whole and its main explanatory variables.

This exercise can also detect significant changes in the structure and behaviour of portfolios and customers. Backtesting then results in decisions to adjust or recast models in order to factor in the new structural elements. This allows changes in non-cyclical behaviour or change in the franchise to be identified, revealing the impact of commercial or risk strategies implemented by the Bank.

Across the Group as a whole, each rating method is back-tested at least once a year by the unit responsible for the method (Group Risk Management department or its delegate). This provides the Group annually, through the Standards and Models Committee, with the result of backtesting after consulting an ad hoc Committee to confirm the proper application of selected statistical methods and the validity of results, and proposes, where appropriate, suitable corrective measures (revision of the method, recalibration, training, recommendations for control, etc.).

These ex-post controls are performed – through the cycle – on historical data covering as long a period as possible. The following tables show the backtesting results for 2020 in respect of the Probability of Default (PD) and Loss Given Default (LGD) models.

Backtesting of probability of default (PD) per portfolio 31 December 2020

Exposure class	PD range	Weighted average PD	Arithmetic average PD by obligors ⁽¹⁾	Number of obligors		Defaulted obligors in the year	Average historical annual default rate
				End of previous year	End of the year		
Particular	0 to <0.15	0.1%	0.1%	7,299,918	7,581,712	3,782	0.1%
	0.15 to <0.25	0.2%	0.2%	1,958,488	2,096,262	1,843	0.1%
	0.25 to <0.50	0.4%	0.4%	2,533,168	2,537,499	5,999	0.2%
	0.50 to <0.75	0.6%	0.6%	1,675,851	1,810,359	5,273	0.4%
	0.75 to <2.50	1.3%	1.3%	3,550,172	3,409,238	33,209	1.1%
	2.50 to <10.00	4.2%	4.4%	3,331,998	3,159,860	103,293	3.5%
	10.00 to <100	19.1%	23.8%	932,745	766,482	181,301	16.8%
	TOTAL	0.9%	1.6%	21,282,340	21,361,412	334,700	1.1%
Professional	0 to <0.15						
	0.15 to <0.25	0.2%	0.2%	432,067	488,626	585	0.1%
	0.25 to <0.50	0.3%	0.3%	364,155	411,786	920	0.2%
	0.50 to <0.75	0.6%	0.6%	241,888	269,077	943	0.4%
	0.75 to <2.50	1.5%	1.6%	559,269	564,767	6,313	1.1%
	2.50 to <10.00	5.6%	5.4%	231,662	200,994	7,945	4.0%
	10.00 to <100	16.9%	20.4%	198,382	151,845	29,717	15.8%
	TOTAL	2.0%	2.6%	2,027,423	2,087,095	46,423	2.0%

(1) The performance of the rating methodologies is measured by way of regular backtestings, in accordance with regulations. Backtestings compare the estimated probability of default (arithmetic average PD weighted by debtors) with the observed results (historical annual default rate).

Loss Given Default (LGD) retail customers at 31 December 2020

Exposure class	Estimated LGD (%)	LGD before Prudential margin (%)
Individual customers	15%	14%
Business customers	20%	19%

Backtesting of probability of default (PD) per portfolio (CR9) – excluding retail customers at 31 December 2020

Exposure class	PD range	Weighted average PD	Arithmetic average PD by obligors ⁽¹⁾	Number of obligors		Defaulted obligors in the year	Average historical annual default rate
				End of previous year	End of the year		
Sovereigns	0 to <0.15	0.0%	0.0%	126	161	-	0.0%
	0.15 to <0.25	0.2%	0.2%	36	41	-	0.0%
	0.25 to <0.50	0.3%	0.3%	3	5	-	0.0%
	0.50 to <0.75	0.6%	0.6%	10	7	-	0.0%
	0.75 to <2.50	1.7%	1.4%	19	22	-	0.0%
	2.50 to <10.00	5.0%	5.0%	13	13	-	2.0%
	10.00 to <100	15.3%	15.7%	12	15	-	5.7%
	TOTAL	0.1%	1.3%	219	264	-	0.5%
Local authorities ⁽²⁾	0 to <0.15	0.0%	0.0%	29,577	29,109	23	0.0%
	0.15 to <0.25	0.2%	0.2%	511	569	1	0.1%
	0.25 to <0.50	0.3%	0.3%	380	357	2	0.3%
	0.50 to <0.75	0.6%	0.6%	183	157	1	0.3%
	0.75 to <2.50	1.1%	1.3%	27	24	2	1.5%
	2.50 to <10.00	5.0%	5.0%	5	1	-	0.0%
	10.00 to <100	12.0%	17.3%	7	3	-	3.0%
	TOTAL	0.0%	0.0%	30,690	30,220	29	0.1%
Financial institutions	0 to <0.15	0.0%	0.0%	2,695	2,786	-	0.0%
	0.15 to <0.25	0.2%	0.2%	914	803	-	0.0%
	0.25 to <0.50	0.3%	0.3%	672	699	-	0.0%
	0.50 to <0.75	0.6%	0.6%	481	508	-	0.0%
	0.75 to <2.50	1.0%	1.0%	278	288	-	0.1%
	2.50 to <10.00	5.0%	5.0%	71	71	-	0.0%
	10.00 to <100	12.9%	14.4%	54	53	-	0.0%
	TOTAL	0.1%	0.4%	5,165	5,208	-	0.0%
Corporates ⁽²⁾	0 to <0.15	0.0%	0.0%	2,435	2,455	1	0.1%
	0.15 to <0.25	0.2%	0.2%	2,629	2,604	1	0.1%
	0.25 to <0.50	0.3%	0.3%	6,398	6,580	14	0.1%
	0.50 to <0.75	0.6%	0.6%	9,932	9,869	19	0.2%
	0.75 to <2.50	1.3%	1.4%	50,974	52,802	332	0.7%
	2.50 to <10.00	5.0%	5.0%	10,454	10,664	239	2.8%
	10.00 to <100	14.5%	14.9%	6,511	6,627	489	8.0%
	TOTAL	1.1%	2.6%	89,333	91,601	1,095	1.4%
Specialised financing	0 to <0.15	0.1%	0.1%	52	42	1	0.4%
	0.15 to <0.25	0.2%	0.2%	256	173	-	0.0%
	0.25 to <0.50	0.3%	0.3%	484	368	4	0.3%
	0.50 to <0.75	0.6%	0.6%	312	337	-	0.1%
	0.75 to <2.50	1.1%	1.1%	440	527	2	0.9%
	2.50 to <10.00	5.0%	5.0%	32	53	2	5.6%
	10.00 to <100	14.4%	15.2%	57	70	24	15.6%
	TOTAL	1.1%	1.4%	1,633	1,570	33	1.1%

(1) The performance of the rating methodologies is measured by way of regular backtestings, in accordance with regulations. Backtestings compare the estimated probability of default (arithmetic average PD weighted by debtors) with the observed results (historical annual default rate).

(2) PD internal models in the process of recalibration.

Loss Given Default (LGD) excluding retail customers at 31 December 2020

Exposure class	Estimated LGD (%)	LGD before Prudential margin (%)
Sovereigns	55%	12%
Local authorities	F-IRB approach	F-IRB approach
Financial institutions ⁽¹⁾	54%	59%
Corporates	45%	39%
Specialised financing	27%	24%

(1) LGD internal models in process.

3.4.2.2.7 Comparison between estimated and actual losses

The Expected Losses (EL)/Exposure at Default (EAD) ratio was 1.17% at 31 December 2020 (1.24% at 31 December 2019). This ratio is calculated for the Central governments and Central Banks, Institutions, Corporates, Retail customers and Equity portfolios under the A-IRB approach.

At the same time, the provisions to gross exposures ratio was 1.24% at 31 December 2020, compared with 1.28% at end-2019.

3.4.2.3 Counterparty risk

The Group calculates counterparty risk for all their exposures, whether in the banking portfolio or the trading book. For items in the trading book, counterparty risk is calculated in accordance with the provisions relating to the regulatory supervision of market risk.

The regulatory treatment of counterparty risk on transactions on forward financial instruments in the banking portfolio is defined on a regulatory basis in Regulation (EU) 575/2013 of 26 June 2013. Crédit Agricole Group uses the market price method to measure its exposure to counterparty risk on transactions on forward financial instruments in the banking portfolio (Article 274) or the internal model method (Article 283) within the scope of Crédit Agricole CIB.

3.4.2.3.1 Analysis of exposure to counterparty risk**Exposure to counterparty risk by approach at 31 December 2020**

31/12/2020 <i>(in billions of euros)</i>	Standard			IRB			TOTAL			
	Gross Exposure	EAD	RWA	Gross Exposure	EAD	RWA	Gross Exposure	EAD	RWA	Capital Requirement
Central governments and Central Banks	5.6	5.6	0.0	8.8	8.8	0.2	14.4	14.4	0.2	0.0
Institutions	10.7	8.6	1.1	23.7	24.2	4.7	34.4	32.8	5.8	0.5
Corporates	3.9	3.1	2.8	30.8	30.3	9.1	34.7	33.4	12.0	1.0
Retail customers	-	-	-	-	-	-	-	-	-	-
Shares	-	-	-	-	-	-	-	-	-	-
Securitisations	-	-	-	-	-	-	-	-	-	-
Other non credit-obligation assets	-	-	-	-	-	-	-	-	-	-
TOTAL	20.2	17.2	4.9	63.4	63.4	14.1	83.5	80.6	18.0	1.4

Exposure to counterparty risk by approach at 31 December 2019

31/12/2019 (in billions of euros)	Standard			IRB			TOTAL			
	Gross Exposure	EAD	RWA	Gross Exposure	EAD	RWA	Gross Exposure	EAD	RWA	Capital Requirement
Central governments and Central Banks	2.5	2.5	0.0	5.5	5.5	0.1	8.0	8.0	0.1	0.0
Institutions	17.0	14.8	1.0	21.4	22.0	4.2	38.5	36.8	5.3	0.4
Corporates	4.3	4.2	4.0	25.3	24.8	8.6	29.6	27.9	11.6	0.9
Retail customers	-	-	-	-	-	-	-	-	-	-
Shares	-	-	-	-	-	-	-	-	-	-
Securitisations	-	-	-	-	-	-	-	-	-	-
Other non credit-obligation assets	-	-	-	-	-	-	-	-	-	-
TOTAL	23.8	20.4	4.0	52.2	52.2	13.0	76.0	72.6	17.0	1.4

The total gross exposure to counterparty risk was €83.5 billion at 31 December 2020 (in the form of derivatives: €51.9 billion and in the form of securities financing activities: €31.7 billion).

Information concerning exposures on transactions on forward financial instruments is provided in Note 3.1 to the consolidated financial statements "Credit risk".

3.4.2.3.2 Exposure to counterparty risk by approach

Analysis of exposure to counterparty risk by approach (CCR1)

31/12/2020 (in millions of euros)		Notional	Replacement cost/current market value	Potential future credit exposure	EEPE	Multiplier	EAD post CRM	RWAs
1	Mark to market	-	3,587	3,372			8,551	3,950
2	Original exposure	-						
3	Standardised approach	-						
4	IMM (for derivatives and SFTs)	-			22,545	1.65	37,200	10,301
5	Of which securities financing transactions	-						-
6	Of which derivatives and long settlement transactions	-			22,545	1.65	37,200	10,301
7	Of which from contractual cross-product netting	-						
8	Financial collateral simple method (for SFTs)	-						
9	Financial collateral comprehensive method (for SFTs)	-					27,411	2,683
10	VaR for SFTs	-						
11	TOTAL 31/12/2020	-						16,934
	TOTAL 31/12/2019							15,312

3.4.2.3.3 Exposure to counterparty risk under the standardised approach

Exposure to counterparty risk under the standardised approach by regulatory portfolio and by risk weighting at 31 December 2020 (CCR3)

	Risk weight													
31/12/2020 Exposure classes (in millions of euros)	0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	Other	Total Exposure to credit risk	o/w unrated
Central governments or Central Banks	5,560	-	-	-	-	-	3	-	-	-	-	-	5,564	5,564
Regional governments or local authorities	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Public sector entities	13	-	-	-	9	-	-	-	-	-	-	-	22	17
Multilateral developments banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-
International organisations	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Banks (institutions)	-	5,634	-	-	1,694	-	1,174	-	-	44	4	-	8,551	6,535
Corporates	-	-	-	-	17	-	394	-	-	2,598	48	-	3,058	2,080
Retail	-	-	-	-	-	-	-	-	4	-	-	-	4	4
Default	-	-	-	-	-	-	-	-	-	-	3	-	3	-
Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other items	-	-	-	-	-	-	-	-	-	1	-	-	1	1
TOTAL EXPOSURE VALUE	5,574	5,634	-	-	1,720	-	1,572	-	4	2,644	55	-	17,203	14,201

Exposure to counterparty risk under the standardised approach by regulatory portfolio and by risk weighting at 31 December 2019 (CCR3)

														Risk weight	
31/12/2019 Exposure classes <i>(in millions of euros)</i>	0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	Other	Total Exposure to credit risk	o/w unrated	
Central governments or Central Banks	2,450	-	-	-	-	-	4	-	-	3	-	-	2,457	2,457	
Regional governments or local authorities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Public sector entities	10	-	-	-	6	-	3	-	-	-	-	-	19	10	
Multilateral developments banks	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
International organisations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Banks (institutions)	-	12,279	-	-	1,510	-	951	-	-	18	3	-	14,761	12,961	
Corporates	-	-	-	-	10	-	377	-	-	2,729	31	-	3,147	2,402	
Retail	-	-	-	-	-	-	-	-	15	-	-	-	15	15	
Default	-	-	-	-	-	-	-	-	-	-	3	-	3	-	
Institutions and corporates with a short-term credit assessment	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
Other items	-	-	-	-	-	-	-	-	-	1	-	-	1	1	
TOTAL EXPOSURE VALUE	2,459	12,279	-	-	1,526	-	1,335	-	15	2,751	38	-	20,403	17,845	

3.4.2.3.4 Exposure to counterparty risk under the advanced approach

Counterparty risk exposures by portfolio and probability of default (PD) range, supervisory portfolios for foundation internal ratings-based approach at 31 December 2020 (CCR4)

31/12/2020 Exposure classes (in millions of euros)	PD scale	Exposure value	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWA	Density of risk weighted exposure amounts
Institutions	0.00 to <0.15	566	0.03%	42.47%	-	105	18.49%
	0.15 to <0.25	40	0.16%	38.02%	-	17	42.56%
	0.25 to <0.50	-	0.30%	44.99%	-	-	57.64%
	0.50 to <0.75	22	0.60%	44.77%	-	23	104.03%
	0.75 to <2.50	-	1.25%	44.99%	-	-	115.67%
	2.50 to <10.00	-	-	-	-	-	-
	10.00 to <100.00	-	20.00%	45.00%	-	-	286.68%
	100.00 (Default)	-	-	-	-	-	-
	Sub-total	629	0.07%	42.27%	-	146	23.14%
Corporates – Other	0.00 to <0.15	659	0.03%	44.84%	-	49	7.42%
	0.15 to <0.25	17	0.16%	44.61%	-	7	44.27%
	0.25 to <0.50	92	0.30%	44.41%	-	56	60.59%
	0.50 to <0.75	58	0.60%	44.35%	-	49	83.57%
	0.75 to <2.50	76	1.09%	43.89%	-	83	108.20%
	2.50 to <10.00	6	5.00%	43.70%	-	11	174.84%
	10.00 to <100.00	9	19.10%	44.44%	-	24	270.13%
	100.00 (Default)	1	100.00%	44.79%	-	-	-
	Sub-total	918	0.49%	44.67%	-	279	30.34%
Corporates – SME	0.00 to <0.15	8	0.03%	44.62%	-	1	12.45%
	0.15 to <0.25	4	0.16%	44.07%	-	1	28.32%
	0.25 to <0.50	12	0.30%	43.57%	-	6	50.08%
	0.50 to <0.75	15	0.60%	43.39%	-	10	67.73%
	0.75 to <2.50	43	1.40%	43.11%	-	37	84.78%
	2.50 to <10.00	15	5.00%	42.56%	-	18	117.47%
	10.00 to <100.00	3	16.71%	43.03%	-	6	175.98%
	100.00 (Default)	1	100.00%	44.23%	-	-	-
	Sub-total	101	2.83%	43.28%	-	79	77.74%
TOTAL		1,648	0.47%	43.67%	-	503	30.50%

Counterparty risk exposures by portfolio and probability of default (PD) range, supervisory portfolios for foundation internal ratings-based approach at 31 December 2019 (CCR4)

31/12/2019 Exposure classes (in millions of euros)	PD scale	Exposure value	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWA	Density of risk weighted exposure amounts
Institutions	0.00 to <0.15	476	0.03%	42.14%	-	98	20.60%
	0.15 to <0.25	49	0.16%	37.84%	-	21	43.75%
	0.25 to <0.50	1	0.30%	45.00%	-	-	57.64%
	0.50 to <0.75	18	0.60%	44.84%	-	19	104.03%
	0.75 to <2.50	-	1.25%	41.38%	-	-	105.64%
	2.50 to <10.00	-	-	-	-	-	-
	10.00 to <100.00	-	20.00%	26.91%	-	-	286.68%
	100.00 (Default)	-	-	-	-	-	-
	Sub-total	544	0.07%	41.84%	-	139	25.57%
Corporates – Other	0.00 to <0.15	20	0.04%	44.83%	-	3	15.90%
	0.15 to <0.25	13	0.16%	44.57%	-	6	44.33%
	0.25 to <0.50	87	0.30%	44.44%	-	53	61.00%
	0.50 to <0.75	68	0.60%	44.37%	-	58	85.98%
	0.75 to <2.50	47	1.17%	43.90%	-	52	110.80%
	2.50 to <10.00	7	5.00%	43.60%	-	12	174.23%
	10.00 to <100.00	4	16.40%	44.03%	-	11	258.97%
	100.00 (Default)	-	100.00%	44.87%	-	-	-
	Sub-total	246	1.11%	44.33%	-	195	79.31%
Corporates – SME	0.00 to <0.15	9	0.04%	44.54%	-	2	17.01%
	0.15 to <0.25	2	0.16%	44.09%	-	1	44.28%
	0.25 to <0.50	8	0.30%	43.60%	-	5	58.51%
	0.50 to <0.75	10	0.60%	43.67%	-	9	83.38%
	0.75 to <2.50	46	1.38%	43.18%	-	45	96.95%
	2.50 to <10.00	4	5.00%	42.45%	-	5	139.50%
	10.00 to <100.00	9	17.93%	42.74%	-	22	232.99%
	100.00 (Default)	1	100.00%	44.15%	-	-	-
	Sub-total	90	4.27%	43.37%	-	88	97.14%
TOTAL		881	0.79%	42.70%	-	422	47.95%

Counterparty risk exposures by portfolio and probability of default (PD) range, supervisory portfolios for advanced internal ratings-based approach at 31 December 2020 (CCR4)

31/12/2020 Exposure classes (in millions of euros)	PD scale	Exposure value	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWA	Density of risk weighted exposure amounts
Central governments and Central Banks	0.00 to <0.15	8,257	0.01%	5.67%	2.85	89	1.08%
	0.15 to <0.25	385	0.16%	9.98%	2.05	29	7.53%
	0.25 to <0.50	21	0.30%	10.00%	2.54	2	9.45%
	0.50 to <0.75	24	0.60%	10.00%	1.77	6	24.31%
	0.75 to <2.50	101	0.80%	45.00%	1.09	72	71.45%
	2.50 to <10.00	8	5.00%	58.78%	3.55	15	197.58%
	10.00 to <100.00	-	20.00%	77.17%	3.68	-	249.17%
	100.00 (Default)	-	-	-	-	-	-
	Sub-total	8,796	0.03%	6.38%	2.80	214	2.44%
Institutions	0.00 to <0.15	17,384	0.04%	15.80%	1.63	1,513	8.70%
	0.15 to <0.25	2,510	0.16%	34.04%	2.12	944	37.59%
	0.25 to <0.50	2,073	0.30%	41.94%	1.20	953	45.96%
	0.50 to <0.75	738	0.60%	47.37%	1.43	635	86.04%
	0.75 to <2.50	980	0.82%	25.69%	2.85	443	45.17%
	2.50 to <10.00	19	5.00%	83.92%	0.76	48	252.29%
	10.00 to <100.00	4	19.81%	39.70%	3.13	9	206.80%
	100.00 (Default)	5	100.00%	45.01%	4.35	2	54.17%
	Sub-total	23,715	0.15%	21.44%	1.68	4,547	19.18%
Corporates – Other	0.00 to <0.15	14,908	0.04%	33.32%	1.75	1,586	10.64%
	0.15 to <0.25	2,498	0.16%	45.39%	2.18	1,096	43.86%
	0.25 to <0.50	2,477	0.30%	45.10%	2.03	1,104	44.58%
	0.50 to <0.75	2,782	0.60%	43.50%	1.95	1,650	59.30%
	0.75 to <2.50	2,059	1.19%	48.87%	2.51	1,827	88.76%
	2.50 to <10.00	129	5.00%	32.74%	2.17	180	139.51%
	10.00 to <100.00	110	14.40%	43.10%	2.23	237	214.53%
	100.00 (Default)	57	100.00%	45.36%	2.44	6	10.11%
	Sub-total	25,020	0.55%	38.16%	1.91	7,685	30.72%
Corporates – SME	0.00 to <0.15	54	0.03%	47.31%	2.56	8	14.55%
	0.15 to <0.25	4	0.18%	31.50%	2.02	1	33.65%
	0.25 to <0.50	14	0.30%	43.75%	1.20	6	44.81%
	0.50 to <0.75	6	0.60%	42.95%	2.78	5	89.25%
	0.75 to <2.50	27	1.67%	33.44%	2.49	28	102.79%
	2.50 to <10.00	5	5.00%	41.58%	3.92	6	127.39%
	10.00 to <100.00	1	16.39%	23.16%	1.96	2	176.38%
	100.00 (Default)	-	-	-	-	-	-
	Sub-total	111	0.87%	42.18%	2.42	57	51.04%
Corporates – Specialised lending	0.00 to <0.15	690	0.06%	12.04%	3.81	44	6.31%
	0.15 to <0.25	1,172	0.16%	12.80%	3.72	236	20.15%
	0.25 to <0.50	698	0.30%	12.79%	3.66	119	17.06%
	0.50 to <0.75	680	0.60%	13.15%	3.07	187	27.46%
	0.75 to <2.50	804	1.03%	15.78%	3.07	325	40.36%
	2.50 to <10.00	59	5.00%	13.36%	3.57	34	57.21%
	10.00 to <100.00	78	15.85%	16.19%	3.57	103	132.80%
	100.00 (Default)	31	100.00%	31.94%	2.69	-	0.99%
	Sub-total	4,212	1.50%	13.51%	3.55	1,047	24.87%
Retail other SME	0.00 to <0.15	-	0.16%	10.50%	1.07	-	12.48%
	0.15 to <0.25	1	0.22%	20.54%	1.36	-	28.81%
	0.25 to <0.50	2	0.45%	24.99%	1.35	1	44.88%
	0.50 to <0.75	-	-	-	-	-	-
	0.75 to <2.50	2	1.49%	25.27%	1.32	1	72.60%
	2.50 to <10.00	-	6.06%	29.07%	1.30	-	107.46%
	10.00 to <100.00	-	49.33%	30.20%	1.39	-	584.60%
	100.00 (Default)	-	100.00%	70.40%	1.15	-	73.76%
	Sub-total	5	4.55%	25.86%	1.33	3	62.73%
TOTAL		61,859	0.39%	25.56%	-	13,554	21.91%

Counterparty risk exposures by portfolio and probability of default (PD) range, supervisory portfolios for advanced internal ratings-based approach at 31 December 2019 (CCR4)

31/12/2019 Exposure classes (in millions of euros)	PD scale	Exposure value	Exposure weighted average PD (%)	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWA	Density of risk weighted exposure amounts
Central governments and Central Banks	0.00 to <0.15	5,053	0.01%	1.33%	3.07	14	0.28%
	0.15 to <0.25	255	0.16%	9.91%	2.27	20	7.95%
	0.25 to <0.50	46	0.30%	10.00%	1.78	4	9.62%
	0.50 to <0.75	80	0.60%	10.00%	1.65	14	17.36%
	0.75 to <2.50	49	1.34%	46.91%	2.75	57	117.28%
	2.50 to <10.00	-	-	-	-	-	-
	10.00 to <100.00	6	20.00%	67.81%	4.23	16	255.15%
	100.00 (Default)	-	-	-	-	-	-
	Sub-total	5,489	0.06%	2.40%	3.00	126	2.29%
Institutions	0.00 to <0.15	16,379	0.04%	15.57%	1.69	1,492	9.11%
	0.15 to <0.25	2,142	0.16%	36.14%	2.11	823	38.44%
	0.25 to <0.50	1,530	0.30%	38.28%	1.51	778	50.87%
	0.50 to <0.75	626	0.60%	47.05%	1.39	587	93.77%
	0.75 to <2.50	780	0.84%	23.93%	2.68	306	39.28%
	2.50 to <10.00	38	5.00%	82.81%	0.81	95	252.36%
	10.00 to <100.00	6	17.65%	50.14%	1.47	13	207.60%
	100.00 (Default)	-	-	-	-	-	-
	Sub-total	21,500	0.12%	20.51%	1.73	4,095	19.05%
Corporates – Other	0.00 to <0.15	10,647	0.04%	34.31%	2.04	1,327	12.47%
	0.15 to <0.25	2,256	0.16%	43.04%	2.28	1,016	45.02%
	0.25 to <0.50	2,673	0.30%	45.93%	2.38	1,101	41.18%
	0.50 to <0.75	2,501	0.60%	46.30%	2.25	1,443	57.68%
	0.75 to <2.50	2,143	0.99%	45.88%	2.41	1,694	79.03%
	2.50 to <10.00	63	5.00%	52.77%	2.96	87	137.95%
	10.00 to <100.00	865	19.71%	29.82%	1.03	964	111.46%
	100.00 (Default)	69	100.00%	45.39%	2.46	26	37.63%
	Sub-total	21,217	1.39%	39.16%	2.13	7,657	36.09%
Corporates – SME	0.00 to <0.15	55	0.03%	47.46%	1.26	11	19.60%
	0.15 to <0.25	3	0.16%	49.98%	4.67	1	41.66%
	0.25 to <0.50	-	0.30%	49.86%	1.70	-	54.48%
	0.50 to <0.75	3	0.60%	51.08%	1.18	2	76.00%
	0.75 to <2.50	28	1.62%	31.97%	2.45	35	124.67%
	2.50 to <10.00	3	5.00%	44.42%	1.90	5	167.58%
	10.00 to <100.00	3	13.78%	25.35%	1.40	7	248.32%
	100.00 (Default)	-	-	-	-	-	-
	Sub-total	95	1.09%	42.38%	1.72	61	64.33%
Corporates – Specialised lending	0.00 to <0.15	665	0.06%	11.80%	3.36	42	6.27%
	0.15 to <0.25	933	0.16%	10.23%	3.59	150	16.06%
	0.25 to <0.50	620	0.30%	11.11%	3.47	98	15.84%
	0.50 to <0.75	481	0.60%	12.01%	3.21	95	19.76%
	0.75 to <2.50	427	0.95%	12.73%	3.42	147	34.45%
	2.50 to <10.00	16	5.00%	14.22%	3.40	5	28.67%
	10.00 to <100.00	98	14.73%	14.39%	2.86	86	87.30%
	100.00 (Default)	22	100.00%	40.58%	2.93	11	47.78%
	Sub-total	3,263	1.50%	11.66%	3.41	633	19.40%
Retail other SME	0.00 to <0.15	-	0.16%	17.07%	1.17	-	14.46%
	0.15 to <0.25	-	0.27%	21.50%	1.32	-	28.56%
	0.25 to <0.50	2	0.52%	26.69%	1.36	1	47.03%
	0.50 to <0.75	-	-	-	-	-	-
	0.75 to <2.50	2	1.35%	26.26%	1.31	1	71.92%
	2.50 to <10.00	1	6.11%	28.68%	1.32	1	115.69%
	10.00 to <100.00	-	43.40%	28.70%	1.39	-	390.39%
	100.00 (Default)	-	100.00%	73.38%	1.14	-	149.19%
	Sub-total	5	5.30%	27.30%	1.33	3	70.66%
TOTAL		51,568	0.73%	25.72%	-	12,575	24.39%

3.4.2.3.5 Collateral

Impact of netting and collateral on exposure values (CCR5-A)

31/12/2020 (in millions of euros)		Gross positive fair value or net carrying amount	Netting benefits	Netted current credit exposure	Collateral held	Net credit exposure
1	Derivatives	255,752	221,709	33,973	4,271	29,702
2	SFTs	40,011	32,872	7,139	723	6,416
3	Cross-product netting					-
4	TOTAL	295,763	254,581	41,111	4,994	36,117

31/12/2019 (in millions of euros)		Gross positive fair value or net carrying amount	Netting benefits	Netted current credit exposure	Collateral held	Net credit exposure
1	Derivatives	214,168	185,921	28,247	4,032	24,215
2	SFTs	25,130	14,106	11,024	486	10,538
3	Cross-product netting					-
4	TOTAL	239,298	200,028	39,271	4,518	34,753

Composition of collateral for exposures to counterparty risk (CCR5-B)

31/12/2020 (in millions of euros)		Collateral used in derivative transactions				Collateral used in SFTs	
		Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received	Fair value of posted collateral
		Segregated	Unsegregated	Segregated	Unsegregated		
1	Cash	-	17,246	258	21,139	654	251
2	Corporate bonds, Sovereign debt, Government agency debt	-	7,080	393	2,585	274	-
3	Equity securities	-	137	-	-	-	-
4	Other collateral	-	74	17	-	-	-
	TOTAL	-	24,537	668	23,724	928	251

31/12/2019 (in millions of euros)		Collateral used in derivative transactions				Collateral used in SFTs	
		Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received	Fair value of posted collateral
		Segregated	Unsegregated	Segregated	Unsegregated		
1	Cash	-	13,204	366	17,231	684	218
2	Corporate bonds, Sovereign debt, Government agency debt	-	2,917	0	2,405	5,811	-
3	Equity securities	-	160	0	-	-	-
4	Other collateral	-	240	7	120	-	-
	TOTAL	-	16,521	373	19,756	6,495	218

3.4.2.3.6 Change in RWA under the internal model method (IMM) between 31 December 2019 and 31 December 2020

Risk-weighted assets (RWA) flow statement of counterparty risk exposures under the internal model method (IMM) (CCR7)

31/12/2020 (in millions of euros)		RWA amounts	Capital requirements
1	RWAs as at the end of the previous reporting period (31/12/2019)	8,930	714
2	Asset size	(1,216)	(97)
3	Credit quality of counterparties	(96)	(8)
4	Model updates (IMM only)	900	72
5	Methodology and policy (IMM only)	-	-
6	Acquisitions and disposals	-	-
7	Foreign exchange movements	2,082	167
8	Other	(300)	(24)
9	RWAs as at the end of the reporting period (31/12/2020)	10,301	824

3.4.2.3.7 Central Counterparty (CCP) Exposures

Central Counterparty (CCP) Exposures (CCR8)

		31/12/2020		31/12/2019	
(in millions of euros)		EAD post CRM	RWAs	EAD post CRM	RWAs
1	Exposures to QCCPs (total)		472		652
2	Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which				
3	(i) OTC derivatives	5,636	114	12,281	246
4	(ii) Exchange-traded derivatives	1,503	31	9,004	181
5	(iii) SFTs	121	2	147	3
6	(iv) Netting sets where cross-product netting has been approved	4,012	80	3,129	63
7	Segregated initial margin				
8	Non-segregated initial margin	3,785		3,166	
9	Prefunded default fund contributions	523	10	151	3
10	Alternative calculation of own funds requirements for exposures	691	348	744	403
11	Exposures to non-QCCPs (total)				
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which				
13	(i) OTC derivatives				
14	(ii) Exchange-traded derivatives				
15	(iii) SFTs				
16	(iv) Netting sets where cross-product netting has been approved				
17	Segregated initial margin				
18	Non-segregated initial margin				
19	Prefunded default fund contributions				
20	Unfunded default fund contributions				

3.4.2.3.8 CVA

The CRD 4 prudential framework introduced a new capital charge to cover volatility in the CVA (Credit Valuation Adjustment) or valuation adjustment for assets grouped together under the term “CVA Risk”, which is intended to include in the valuation of OTC derivatives credit events affecting our counterparties. The CVA is thus defined as the difference between the valuation excluding risk of default and the valuation including the probability of default of our counterparties.

Under the prudential framework, institutions use a regulatory formula (“standardised approach”) or are authorised to calculate their capital requirements using their internal models for both counterparty risk and specific rate risk using the advanced approach (“CVA VaR”).

The CVA requirement under the advanced approach is calculated on the basis of expected positive exposure on OTC derivative transactions involving “Financial institution” counterparties excluding intragroup transactions. Within this scope, the tools used to estimate capital requirements are the same as for market VaR in respect of specific interest rate risk.

Credit Valuation Adjustment (CVA) capital requirement (CCR2)

		31/12/2020		31/12/2019	
(in millions of euros)		Exposure value	RWA	Exposure value	RWA
1	Total transactions subject to the Advanced method	14,768	2,634	16,465	2,681
2	(i) VaR component (including the 3× multiplier)	-	545	-	250
3	(ii) stressed VaR component (including the 3× multiplier)	-	2,089	-	2,425
4	Transactions subject to the Standardised method	22,910	1,929	16,232	1,360
EU4	Transactions subject to the Alternative approach (Based on the Original Exposure Method)	-	-	-	-
5	Total transactions subject to own funds requirements for CVA risk	37,678	4,563	32,697	4,041

3.4.2.4 Credit and counterparty risk mitigation techniques

Exposures under the advanced approach (RC3)

31/12/2020 (in millions of euros)		Exposures unsecured – Carrying amount	Exposures to be secured	Exposures secured by collateral	Exposures secured by financial guarantees	Exposures secured by credit derivatives
1	Total loans	627,805	651,090	321,514	311,785	17,791
2	Total debt securities	160,023	2,858	-	2,858	-
3	Total exposures	787,828	653,948	321,514	314,642	17,791
4	Of which non-performing exposures	18,126	7,083	3,717	3,110	256

31/12/2019 (in millions of euros)		Exposures unsecured – Carrying amount	Exposures to be secured	Exposures secured by collateral	Exposures secured by financial guarantees	Exposures secured by credit derivatives
1	Total loans	545,492	591,846	304,514	271,000	16,332
2	Total debt securities	141,747	-	-	-	-
3	Total exposures	687,240	591,846	304,514	271,000	16,332

3.4.2.4.1 Credit risk mitigation techniques

Collateral management system for collateral received

The main categories of collateral taken into account by the bank are described in the section entitled “Risk management – Credit risk – Collateral and guarantees received”.

When a credit is granted, collateral is analysed to assess the value of the asset, its liquidity, volatility and the correlation between the value of the collateral and the quality of the counterparty financed. Regardless of collateral quality, the first criterion in the lending decision is always the borrower’s ability to repay sums due from cash flow generated by its operating activities, except for specific trade finance transactions.

For financial guarantees, a minimum exposure coverage ratio is usually included in loan contracts, with readjustment clauses. Financial guarantees are revalued according to the frequency of margin calls and the variability of the underlying value of financial assets transferred as guarantee or quarterly, as a minimum.

The minimum coverage ratio (or the haircut applied to the value of the guarantee under Basel III treatment) is determined by measuring the pseudo-maximum deviation of the value of the securities at the revaluation date. This measurement is calculated with a 99% confidence interval over a time horizon covering the period between each revaluation, the period between the default date and the date on which asset disposal starts, and the duration of the liquidation period. This haircut also applies for currency mismatch risk when the securities and the collateralised exposure are denominated in different currencies. Additional haircuts are applied when the size of the stocks position implies a block sale or when the borrower and the issuer of the collateral securities belong to the same risk group.

For retail banking (LCL, CA Italia), revaluation is automatic based on changes in the property market indexes. In contrast, for project-type property financing, assets are mainly revalued on the basis of an expert appraisal combining various approaches (asset value, rental value, etc.) and include external benchmarks.

Other types of assets may also be pledged as collateral. This is notably the case for certain activities such as aircraft, shipping, real estate or commodities financing. These businesses are conducted by middle offices, which have specific expertise in valuing the assets financed.

Protection providers

Two major types of guarantee are mainly used (other than intragroup guarantees): export credit insurance taken out by the Bank and unconditional payment guarantees.

The main guarantee providers (excluding credit derivatives – see section below) are export credit agencies, which enjoy a good quality sovereign rating. The main guarantee providers (excluding credit derivatives) are export credit agencies, most of which enjoy a sovereign rating and are

rated “Investment grade”. The largest agencies are BPI (France), Sace SPA (Italy), Euler Hermès (Germany) and Korea Export Insur (Korea).

The use of risk mitigation techniques by Crédit Agricole, to cover some of its commitments to third parties

Crédit Agricole may also use risk mitigation techniques to cover some of its transactions vis-à-vis third parties, in particular refinancing transactions. The latter may contain an additional collateralisation clause in the event of a downgrading of the credit quality of Crédit Agricole S.A. corporate entity. By way of example, at end-2020, in the event of a one-notch credit quality downgrade, the Group would have had to provide the counterparties of the refinancing transactions with additional collateral totalling €278 million.

External ratings given to the export credit agencies

	Moody's	Standard & Poor's	Fitch Ratings
31/12/2020 (in millions of euros)	Long term rating (outlook)	Long term rating (outlook)	Long term rating (outlook)
Bpifrance Financement (EPIC Bpifrance)	Aa2 [stable]	Unrated	AA [negative]
Euler Hermès S.A.	Aa3 [stable]	AA [stable]	Unrated
Sace S.p.A.	Unrated	Unrated	BBB- [stable]

Moreover, the guarantees received from mutual guarantee companies cover a substantial portion of the loans in the Group's “residential real estate” portfolio in France (see table below). These loans are backed by guarantees granted by Crédit Logement (rated Aa3 [stable] by Moody's)

or by the Group's subsidiary insurance company, CAMCA Assurance S.A. (rated A+ [negative] by Fitch). The guarantors are subject to prudential regulation applying to either financing companies for Crédit Logement, or insurance companies (Solvency 2) for CAMCA Assurance.

Mortgage loan amounts guaranteed by CAMCA and Crédit Logement

	Outstandings 31/12/2020		Outstandings 31/12/2019	
(in millions of euros)	Amount of guaranteed outstandings	% of guaranteed loans in the “residential mortgage loans” portfolio in France	Amount of guaranteed outstandings	% of guaranteed loans in the “residential mortgage loans” portfolio in France
Coverage by surety agencies (Crédit Logement, CAMCA)	235,157	58.10%	217,753	57.40%

When a guarantee is issued, the guarantor applies an independent selection policy in addition to that already implemented by the bank. Where Crédit Logement is concerned, the guarantee issued covers, with no deductible, the payment of all amounts legally due by defaulting borrowers in principal, interest, insurance premiums and costs. In respect of CAMCA Assurance, the guarantee mechanism is broadly similar to that of Crédit Logement, with the difference that the payments made by CAMCA Assurance with respect to the guarantee arise once the

bank's means of recourse against the borrower have been exhausted. Ultimately, these guarantee provisions significantly enhance the quality of the mortgage loans guaranteed and constitute a full transfer of risk in respect of the loans.

3.4.2.4.2 Risk mitigation techniques applied to counterparty risk

Credit derivatives for hedging purposes

These techniques are presented in the “Risk management” chapter, part 2.4.II.4 “Credit risk – Credit risk mitigation mechanisms – Use of credit derivatives” of Amendment A01 to the 2020 Universal registration document of Crédit Agricole Group.

Credit derivatives exposures (CCR6)

31/12/2020 (in millions of euros)	Protection bought	Protection sold
Notionals		
1 Single-name credit default swaps	6,819	-
2 Index credit default swaps	-	-
3 Total return swaps	-	-
4 Credit options	-	-
5 Other credit derivatives	-	-
6 TOTAL NOTIONALS	6,819	-
Fair values		
7 Positive fair value (asset)	9	-
8 Negative fair value (liability)	(504)	-

3.4.2.5 Equity exposures in the banking portfolio

Crédit Agricole group's equity exposures, excluding the trading book, consist of securities “that convey residual, subordinated claims on the assets or income of the issuer or have a similar economic substance”. These mainly include:

- listed and unlisted equities and shares in investment funds;

- options implicit in convertible, redeemable or exchangeable bonds;
- stock options;
- super-subordinated securities.

The accounting policies and valuation methods used are described in Note 1.2 to the financial statements “Accounting policies and principles”.

Equities under the simple risk-weight approach at 31 December 2020 (CR10.5)

31/12/2020 Categories (in millions of euros)	On-balance sheet amount	Off-balance sheet amount	Risk weight	Exposure amount	RWAs	Expected loss amount
Private equity exposures	1,407	29	190%	1,435	2,727	11
Exchange-traded equity exposures	1,821	-	290%	1,821	5,281	15
Other equity exposures	17,257	4	370%	17,262	63,868	414
TOTAL	20,485	33		20,518	71,876	440

Equities under the simple risk-weight approach at 31 December 2019 (CR10.5)

31/12/2019 Categories (in millions of euros)	On-balance sheet amount	Off-balance sheet amount	Risk weight	Exposure amount	RWAs	Expected loss amount
Private equity exposures	1,404	77	190%	1,481	2,814	12
Exchange-traded equity exposures	2,067	-	290%	2,067	5,994	17
Other equity exposures	17,201	-	370%	17,021	62,978	409
TOTAL	20,671	77		20,569	71,786	437

Equity exposures under the internal ratings based approach mainly consist of the portfolios of Crédit Agricole S.A., Crédit Agricole CIB and Crédit Agricole Investissement et Finance.

Equity exposures (on and off-balance sheet) under the internal ratings-based approach amounted to €20.5 billion at 31 December 2020 (compared with €20.7 billion at 31 December 2019).

Furthermore, equity exposures using the standardised approach amounted to €1.2 billion at 31 December 2020 for an RWA amount of €1.5 billion.

The cumulative amount of realised gains and losses on sales and disposals during the period under review is disclosed in Note 4 to the financial statements “Notes to the income statement and other comprehensive income”.

3.4.3 Securitisation

3.4.3.1 Definitions of securitisation transactions

The Crédit Agricole CIB Group acts as originator, sponsor and investor in securitisation transactions within the meaning of the Basel III framework.

Securitisation transactions, listed below, consist of transactions defined in directive 2013/36/EU ("CRD 4") and EU Regulation 575/2013 of 26 June 2013 ("CRR") in force since 1 January 2014. The directive and regulations incorporate into European law the Basel 3 international reform (issued in December 2010) introducing, among other things, new requirements for bank solvency and oversight of liquidity risk. These texts are supplemented by Regulations (EU) 2017/2401 and 2017/2402 of the European Parliament and the Council of 12 December 2017. Regulation 2017/2402 revises the general framework of securitisation and creates a specific framework for simple, transparent, and standardised securitisations, and Regulation 2017/2401 amends the calculation formulas applicable for securitisations with regard to the solvency ratio.

This includes transactions under which the credit risk associated with an exposure or set of exposures is sub-divided into tranches, which have the following two characteristics:

- payments made in such transaction or scheme depend on the performance of the underlying exposure or basket of exposures;
- the subordination of tranches determines how losses are distributed during the lifetime of the transaction or scheme.

Securitisation transactions include:

- traditional securitisations: a securitisation involving the transfer of the economic interest in the securitised exposures by transferring ownership of those exposures from the originator to a securitisation entity or by a sub-participation of a securitisation entity, in which the securities issued do not represent payment obligations for the originator;
- synthetic securitisations: the risk is transferred, whereby the transfer of risks takes place through the use of credit derivatives or guarantees and in which the securitised exposures remain exposures for the originator.

The securitisation exposures of Crédit Agricole CIB detailed below cover all securitisation exposures (recorded on or off-balance sheet) that generate risk-weighted assets (RWA) and capital requirements with respect to its regulatory portfolio, according to the following typologies:

- the securitisation exposures for which the Group is deemed an originator;
- exposures in which the Group is an investor;
- exposures in which the Group is a sponsor;
- securitisation swap exposures (exchange or interest rate hedges) allocated to securitisation vehicles.

Note that most securitisation transactions on behalf of European customers involve Ester Finance Technologies, a wholly owned credit institution subsidiary of Crédit Agricole CIB, which finances the purchase of receivables and therefore makes Crédit Agricole CIB both sponsor and, via Ester Finance Technologies, originator of these securitisation transactions.

The proprietary securitisation transactions carried out as part of non-derecognised collateralised financing transactions, are not described below. Their impact on the consolidated financial statements is detailed in Note 6.7 to the financial statements "Transferred assets not derecognised or derecognised with on-going involvement".

3.4.3.2 Purpose and strategy

3.4.3.2.1 Proprietary securitisation transactions

The Crédit Agricole S.A.'s proprietary securitisation transactions are the following:

Collateralised financing transactions

These transactions are designed for the issue of securities and, where appropriate, can be wholly or partially placed with investors, sold under repurchase agreements or kept on the issuer's balance sheet as liquid securities reserves that can be used to manage refinancing. This activity relates to several of the Group entities, mainly CA Consumer Finance and its subsidiaries. It should be noted that against this backdrop, Crédit Agricole Regional Banks have regularly carried out home loan securitisation transactions ("Residential Mortgage-Backed Securities" – RMBS) under the Crédit Agricole Habitat programme since 2015.

Crédit Agricole CIB's transfer of risks by means of proprietary securitisation transactions are the following:

Active management of the financing portfolio

In addition to using credit derivatives (see the "Risks and Pillar 3 – Use of credit derivatives" chapter), this activity consists of using synthetic securitisation to manage the credit risk of the bank, optimise capital allocation, reduce the concentration of outstanding loans to corporates, release resources to contribute to the renewal of the banking portfolio (as part of the Distribute to Originate model) and maximise the return on capital. This activity is managed by the Private Debt Solutions team, which reports both to the Execution Management department within the Finance Department and to the Debt Optimisation and Distribution department at Crédit Agricole CIB. The approach used to calculate the risk-weighted amounts on proprietary securitisation exposures is the regulatory formula approach. In this business, the Bank does not systematically purchase protection on all tranches, as the management goal is to cover some of the more risky financing portfolio tranches whilst keeping part of the overall risk.

New securitisations carried out by Crédit Agricole CIB in 2020

As part of the management of the financing portfolio, the Private Debt Solutions teams set up a new synthetic securitisation transaction with private investors. This five-year transaction involving a US\$1.15 billion corporate loan portfolio of Crédit Agricole CIB is the first synthetic securitisation to be simultaneously placed with several investors and unlocks new opportunities for the distribution of these loans. This transaction is secured by a cash collateral equal to the amount of risk guaranteed.

Transactions carried out by the Crédit Agricole Consumer Finance group in 2020

The Crédit Agricole Consumer Finance Group did not carry out any issues placed in the market in 2020.

The Crédit Agricole Consumer Finance Group carried out several self-subscribed issues to build reserves of liquid securities eligible for collateral in the Eurosystem.

3.4.3.2.2 Securitisation transactions carried out on behalf of customers as arranger, sponsor, intermediary or originator

Only Crédit Agricole CIB, within the Crédit Agricole S.A., carries out securitisation transactions on behalf of its customers.

Securitisation transactions on behalf of customers within Global Markets activities allow Crédit Agricole CIB to raise funds or manage a risk exposure on behalf of its customers. When carrying out these activities, Crédit Agricole CIB can act as an originator, sponsor, arranger or investor:

- as a sponsor and arranger, Crédit Agricole CIB structures and manages securitisation programmes that refinance assets of the bank's customers, mainly via ABCP (Asset Backed Commercial Paper) programmes, namely LMA in Europe, Atlantic and La Fayette in the United States and ITU in Brazil. These specific entities are protected from Crédit Agricole CIB bankruptcy risk but are consolidated for accounting purposes at Group level since the entry into force on 1 January 2014 of the IFRS 10 rules. The liquidity facilities protect investors from credit risk and guarantee the liquidity of the programmes;
- as an investor, the Group invests directly in certain securitisation exposures and is a liquidity provider or counterparty of derivative exposures (exchange or interest rate swaps for instance);
- as an arranger, sponsor or originator, Crédit Agricole CIB carries out securitisation transactions on behalf of its customers. At 31 December 2020, there were four active consolidated multi-seller vehicles (LMA, Atlantic, La Fayette and ITU), structured by the Group on behalf of third parties. LMA, Atlantic, La Fayette and ITU are fully supported ABCP programmes. This ABCP programme activity finances the working capital requirements of some of the Group's customers by backing short-term financing with traditional assets, such as trade receivables or financial loans. The amount of the assets held by these vehicles and financed through the issuance of marketable securities amounted to €24 billion at 31 December 2020 (€27 billion at 31 December 2019).

The default risk on the assets held by these vehicles is borne by the sellers of the underlying receivables through credit enhancement or by insurers for certain types of risk upstream of the ABCP transactions. Crédit Agricole CIB bears the risk through liquidity facilities.

Activities carried out as sponsor

The programme activity was sustained throughout 2020, and the newly securitised outstandings mainly relate to trade receivables and financial loans.

For part of this programme activity, Crédit Agricole CIB acts as the originator insofar as the structures involve the entity Ester Finance Technologies, which is a consolidated Group entity.

The amount committed to liquidity facilities granted to LMA, Atlantic, La Fayette and ITU as sponsors was €35 billion at 31 December 2020 (€37 billion at 31 December 2019).

Activities carried out as investor

As part of its sponsor activities, the Group can grant guarantees and liquidity facilities to securitisation vehicles or act as a counterparty for derivatives in ad hoc securitisation transactions. These are mainly exchange rate swaps provided to the ABCP programmes and interest rate swaps for some ABS issues. These activities are recorded in the banking portfolio as investor activities.

Moreover, Crédit Agricole CIB may be called upon to directly finance on its balance sheet some securitisation transactions on behalf of its

customers (mainly aircraft transactions and vehicle fleet financing) or provide support through a liquidity facility to an issue by special purpose vehicles external to the bank (SPV or ABCP programme not sponsored by the bank). In this case, Crédit Agricole CIB is deemed to be an investor. Overall, this activity represented commitments of €2 billion at 31 December 2020 (€2 billion at 31 December 2019).

Intermediation transactions

Crédit Agricole CIB participates in the structuring and in the placement of securities, backed by client asset pools and to be placed with investors.

In this activity, the Crédit Agricole CIB retains a relatively low risk via the possible contribution of back-up lines to securitisation vehicles or via a share of the securities issued.

3.4.3.2.3 Risk monitoring and recognition

Risk monitoring

The management of risks related to securitisation transactions follows the rules established by the Group, according to which these assets are recorded in the banking portfolio (credit and counterparty risk) or in the trading book (market and counterparty risk).

The development, sizing and targeting of securitisation transactions are periodically reviewed by Portfolio Strategy Committees specific to those activities and the countries to which they relate, as well as in the course of Group Risk Management Committee meetings.

Risks on securitisation transactions are measured against the capacity of the assets transferred over to financing structures to generate sufficient flows to cover the costs, mainly financial, of these structures.

Crédit Agricole CIB's securitisation exposures are treated in accordance with the IRB securitisation framework approach. The new weighting approaches, fully in force since 1 January 2020, are the following:

- "SEC IRBA" regulatory formula approach: this approach is primarily based on the prudential weighting of the underlying debt portfolio and the attachment point of the tranche in question;
- Standardised "SEC-SA" Approach: similar to the SEC-IRBA approach, this approach is based on the weighting of the underlying debt portfolio (but under the standardised approach) and mainly takes into account the attachment point and historical performance;
- "SEC IRBA" external ratings-based approach: this approach is based on ratings provided by public external rating agencies approved by the Committee of European Supervisors. The external agencies used are Standard & Poor's, Moody's, Fitch Ratings and Dominion Bond Rating Services (DBRS);
- Internal Assessment Approach (IAA): internal rating methodology approved by Crédit Agricole S.A.'s Standards and Methodology Committee for the main asset classes (particularly trade receivables and car financing).

In line with regulations, the internal assessment approaches used by Crédit Agricole CIB replicate the public methodologies of external rating agencies. The latter have two components:

- a quantitative component that in particular evaluates the enhancement of transactions having regard to historical performances as well as the possible risk of commingling generated by the transaction;
- a qualitative component that supplements the quantitative approach and that makes it possible, among other things, to evaluate the quality of structures as well as reporting.

The internal rating methodologies apply to the securitisation of trade receivables, car loans and dealer financing.

Stress test parameters are dependent on the rating of securitisations and of the securitised underlyings. For example, for a rating equivalent to AA (on the S&P scale), the stress test parameter for default risk is around 2.25 for trade receivables transactions, usually 3 for car loan securitisation, and for the securitisation of dealer financing, the credit stress scenario is comprised of a number of items including in particular a three notch downgrade in the car manufacturer's rating.

Note that aside from regulatory calculation purposes, internal ratings are used in the course of the origination process to evaluate the profitability of transactions.

As regards the management of internal models, an independent unit within Crédit Agricole Group is responsible for validating internal methodologies. Moreover, regular audits are conducted by the Control and Audit department to ensure the internal methodologies are relevant. Backtesting and stress testing are also done regularly by the modelling teams.

These ratings cover all types of risks generated by such securitisation transactions: intrinsic risks on receivables (debtor insolvency, payment delays, dilution, offsetting of receivables) or risks on the structuring of transactions (legal risks, risks relating to the receivables collection circuit, risks relating to the quality of information supplied periodically by managers of receivables sold, other risks related to the seller, etc.).

These critically examined ratings are only a tool for making decisions pertaining to the transactions; such decisions are taken by Credit Committees at various levels.

Credit decisions relate to transactions that are reviewed at least once a year by the same Committees. Committee decisions incorporate varying limits according to the evolution of the acquired portfolio (arrears rate, loss rate, rate of sector-based or geographical concentration, rate of dilution of receivables or periodic valuation of assets by independent experts, etc.). Non-compliance with these limits may cause the structure to become stricter or place the transaction in early amortisation.

These credit decisions also include, in liaison with the Bank's other credit Committees, an assessment focusing on the risk generated by the sellers of the receivables and the possibility of substituting the manager by a new one in the event of a failure in the management of those receivables.

Like all credit decisions, these decisions include aspects of compliance and "country risk".

At 31 December 2020, Ester Finance Technologies recognised impaired loans (Bucket 3) for €230.7 million and an impairment (Bucket 3) of €6.7 million. Net of impairment, this entity had €14.7 billion in securitised assets.

The liquidity risk associated with securitisation activities is monitored by the business lines in charge, but also centrally by the Market Risk and Steering departments of Crédit Agricole CIB. The impact of these activities is incorporated into the Internal Liquidity Model indicators, mainly stress scenarios, liquidity ratios and liquidity gaps. The management of liquidity risk at Crédit Agricole CIB is described in more detail in the "Liquidity and financing risk" paragraph of the "Risk factors" and "Risk management" sections in this chapter.

The management of foreign exchange risk with respect to securitisation transactions does not differ from that of the Group's other assets. As regards interest rate risk management, securitised assets are refinanced through special purpose vehicles according to interest rate matching rules similar to those applying to other assets.

For assets managed in run-off mode, each disposal of position is first approved by the Market Risk Department of Crédit Agricole CIB.

Accounting policies

Investments made in securitisation instruments (cash or synthetic) are recognised according to their classification and the associated valuation method (see Note 1.3 to the consolidated financial statements on accounting policies and principles for financial asset classification and valuation methods).

The securitisation exposures can be classified in the following accounting categories:

- "Financial assets at amortised cost": these securitisation exposures are measured following initial recognition at amortised cost based on the effective interest rate and may, if necessary, be impaired;
- "Financial assets at fair value recyclable through equity": these securitisation exposures are remeasured at fair value at the end of the reporting period and any changes in fair value are recognised in other comprehensive income;
- "Financial assets at fair value through profit or loss": these securitisation exposures are remeasured at fair value at the end of the reporting period and any changes in fair value are recognised through profit or loss under "Net gains (losses) on financial instruments at fair value through profit or loss".

Gains (losses) on the disposal of these securitisation exposures are recognised in accordance with the rules of the original category of the exposures sold.

As part of securitisation transactions, a derecognition test is carried out pursuant to IFRS 9 (the criteria can be found in Note 1.3 to the consolidated financial statements on accounting policies and principles).

In the case of synthetic securitisations, the assets are not derecognised in that they remain under the control of the institution. The assets are still recognised according to their classification and original valuation method (see Note 1.3 to the consolidated financial statements on accounting policies and principles for financial asset classification and valuation methods).

3.4.3.3 Summary of activities in 2020

Crédit Agricole CIB's Securitisation activity in 2020 was characterised by:

- support of the development of the public ABS market in the United States and in Europe. Crédit Agricole CIB structured and organised the placement (arranger and bookrunner) of a significant number of primary ABS issues on behalf of its major "Financial institution" customers, in particular in the automotive industry and in consumer finance;
- on the ABCP programme market, Crédit Agricole CIB maintained its ranking as one of the leaders in this segment, both in Europe and on the US market. This was achieved via the renewal and implementation of new securitisation transactions for trade receivables or financial loans on behalf of its mainly corporate customers, while ensuring that the profile of risks borne by the Bank remained good. The strategy of Crédit Agricole CIB, focused on the financing of its customers, is well perceived by investors and resulted in financing conditions that are always competitive.

At 31 December 2020, Crédit Agricole CIB had no early-redemption securitisation transactions. Moreover, Crédit Agricole CIB did not provide any implicit support to securitisation transactions in 2020.

Other than Crédit Agricole CIB, in 2020 the Crédit Agricole Consumer Finance Group carried out several self-subscribed securitisation transactions to build reserves of liquid securities eligible for collateral in the Eurosystem.

3.4.3.4 Exposures

3.4.3.4.1 Exposure at default to securitisation transaction risks in the banking portfolio that generate risk-weighted assets

Securitisation exposures in the banking portfolio IRB and STD (SEC1)

31/12/2020 <i>(in millions of euros)</i>		Institution acts as originator								Institution acts as sponsor				Institution acts as investor			
		Traditional				Synthetic			Traditional		Synthetic		Traditional		Synthetic		
		STS		Non-STS					STS	Non-STS			STS	Non-STS			
			of which SRT		of which SRT		Sub-total								Sub-total		
1	Total exposures	14,588	43	2,802	11	7,232	7,223	24,622	3,210	14,331	-	17,541	358	2,332	-	2,690	
2	Retail (total)	43	43	573	11	-	-	616	1,975	7,143	-	9,118	357	1,048	-	1,405	
3	Residential mortgage	-	-	-	-	-	-	-	-	-	-	-	357	43	-	400	
4	Credit card	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	
5	Other retail exposures	43	43	573	11	-	-	616	1,975	7,143	-	9,118	-	980	-	980	
6	Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	24	-	24	
7	Wholesale (total)	14,546	-	2,229	-	7,232	7,223	24,006	1,235	7,188	-	8,423	1	1,284	-	1,285	
8	Loans to corporates	-	-	-	-	6,703	6,694	6,703	-	1,141	-	1,141	-	-	-	-	
9	Commercial mortgage	-	-	-	-	-	-	-	-	-	-	-	-	16	-	16	
10	Lease and receivables	14,546	-	2,229	-	-	-	16,774	1,235	4,456	-	5,691	1	525	-	527	
11	Other wholesale	-	-	-	-	529	529	529	-	1,591	-	1,591	-	743	-	743	
12	Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	

Exposure at default of securitisation transactions broken down by balance sheet accounting classification

Underlying Asset (in millions of euros)	Exposure values on 31/12/2020		
	On Balance Sheet	Off Balance Sheet	TOTAL
1 Total exposures	1,739	43,114	44,853
2 Retail (total)	826	10,313	11,139
3 Residential mortgage	350	50	400
4 Credit card	-	-	-
5 Other retail exposures	452	10,263	10,715
6 Re-securitisation	24	-	24
7 Wholesale (total)	912	32,802	33,714
8 Loans to corporates	9	7,835	7,844
9 Commercial mortgage	-	16	16
10 Lease and receivables	308	22,684	22,992
11 Other wholesale	596	2,267	2,863
12 Re-securitisation	-	-	-

Securitisation exposures in the banking portfolio and related regulatory capital requirements – Bank acting as issuer or agent IRB and STD (SEC3)

31/12/2020	Exposure values (by RW bands/deductions)					Exposure values (by regulatory approach)					RWEA (by regulatory approach)				Capital charge after cap		
	≤20% RW	>20% to 50% RW	>50% to 100% RW	>100% to <1,250% RW	1,250% to RW/ deductions	SEC- IRBA	SEC- ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC- ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC- ERBA (including IAA)	SEC-SA	1,250%/ deductions
(in millions of euros)																	
1 Total exposures	32,987	9,083	23	17	5	7,947	30,783	3,380	-	2,100	5,125	585	-	168	410	47	-
2 Traditional transactions	30,227	4,620	23	13	-	724	30,783	3,376	-	140	5,125	528	-	11	410	42	-
3 Securitisation	30,227	4,620	23	13	-	724	30,783	3,376	-	140	5,125	528	-	11	410	42	-
4 Retail underlying	9,548	60	23	13	-	-	7,617	2,060	-	-	1,176	332	-	-	94	27	-
5 Of which STS	1,945	60	-	13	-	-	1,988	-	-	-	235	-	-	-	19	-	-
6 Wholesale	20,680	4,560	-	-	-	724	23,166	1,316	-	140	3,949	196	-	11	316	16	-
7 Of which STS	13,977	1,826	-	-	-	-	15,620	19	-	-	2,423	1	-	-	194	-	-
8 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
9 Synthetic transactions	2,760	4,463	-	5	5	7,223	-	5	-	1,959	-	57	-	157	-	5	-
10 Securitisation	2,760	4,463	-	5	5	7,223	-	5	-	1,959	-	57	-	157	-	5	-
11 Retail underlying	-	-	-	5	5	-	-	5	-	-	-	57	-	-	-	5	-
12 Wholesale	2,760	4,463	-	-	-	7,223	-	-	-	1,959	-	-	-	157	-	-	-
13 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-

Securitisation exposures in the banking portfolio and related regulatory capital requirements – Bank acting as investor IRB and STD (SEC4)

31/12/2020	Exposure values (by RW bands/deductions)					Exposure values (by regulatory approach)					RWEA (by regulatory approach)					Capital charge after cap	
(in millions of euros)	≤20% RW	>20% to 50% RW	>50% to 100% RW	>100% to <1,250% RW	1,250% RW/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250% RW/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC-SA	1,250%/ deductions	SEC- IRBA	SEC-ERBA (including IAA)	SEC- SA	1,250% RW/ deductions
1 Total exposures	2,088	566	38	46	-	1,013	854	876	-	270	89	567	1	22	7	45	-
2 Traditional securitisation	2,088	566	38	46	-	1,013	854	876	-	270	89	566	1	22	7	45	-
3 Securitisation	2,088	566	38	23	-	1,013	854	852	-	270	89	274	1	22	7	22	-
4 Retail underlying	928	566	1	-	-	501	425	569	-	172	72	75	1	14	6	6	-
5 Of which STS	357	-	-	-	-	-	-	357	-	-	-	36	-	-	-	3	-
6 Wholesale	1,160	-	37	23	-	512	428	283	-	98	17	199	-	8	1	16	-
7 Of which STS	1	-	-	-	-	-	1	-	-	-	-	-	-	-	-	-	-
8 Re-securitisation	-	-	-	24	-	-	-	24	-	-	-	292	-	-	-	23	-
9 Synthetic securitisation	-	-	-	-	-	-	-	-	-	-	-	1	-	-	-	-	-
10 Securitisation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
11 Retail underlying	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
12 Wholesale	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
13 Re-securitisation	-	-	-	-	-	-	-	-	-	-	-	1	-	-	-	-	-

3.4.3.5 Exposure at default of securitisation transaction risks in the trading book that generate risk-weighted assets

Exposure at default of securitisation transactions by role

Securitisation exposures in the trading book (SEC2)

31/12/2020 <i>(in millions of euros)</i>	Institution acts as originator				Institution acts as sponsor				Institution acts as investor			
	Traditional		Synthetic	Sub-total	Traditional		Synthetic	Sub-total	Traditional		Synthetic	Sub-total
	STS	Non-STS			STS	Non-STS			STS	Non-STS		
1 Total exposures										168		168
2 Retail (total)												
3 Residential mortgage												
4 Credit card												
5 Other retail exposures												
6 Re-securitisation												
7 Wholesale (total)										168		168
8 Loans to corporates												
9 Commercial mortgage												
10 Lease and receivables												
11 Other wholesale										152		152
12 Re-securitisation										16		16

Exposure at default only concerns traditional securitisations.

Exposure at default of securitisation transactions by approach and by weighting

Risk weighting tranche (in millions of euros)	31/12/2020			31/12/2019		
	Long Positions	Short Positions	Capital requirement	Long Positions	Short Positions	Capital requirement
EAD subject to weighting	-	-	-	-	-	-
7-10% weightings	-	-	-	-	-	-
12-18% weightings	36	-	1	138	-	1
20-35% weightings	3	-	-	34	-	-
40-75% weightings	111	-	1	5	-	-
100% weightings	1	-	-	1	-	-
150% weightings	-	-	-	-	-	-
200% weightings	-	-	-	-	-	-
225% weightings	-	-	-	-	-	-
250% weightings	-	-	-	-	-	-
300% weightings	-	-	-	-	-	-
350% weightings	-	-	-	-	-	-
425% weightings	-	-	-	-	-	-
500% weightings	-	-	-	-	-	-
650% weightings	-	-	-	-	-	-
750% weightings	-	-	-	-	-	-
850% weightings	-	-	-	-	-	-
1,250% weightings	16	-	3	19	-	3
Internal valuation approach	168	-	5	197	-	5
Supervisory Formula Approach	-	-	-	-	-	-
Transparency Approach	-	-	-	-	-	-
NET TOTAL OF DEDUCTIONS OF EQUITY	-	-	-	-	-	-
1,250%/ Positions deducted from capital	-	-	-	-	-	-
TOTAL TRADING BOOK	168	-	5	197	-	5

Capital requirements relating to securitisations held or acquired

	31/12/2020				31/12/2019			
	Long Positions	Short Positions	Total weighted positions	Capital requirement	Long Positions	Short Positions	Total weighted positions	Capital requirement
<i>(in millions of euros)</i>								
Weighted EAD	168	-	5	5	197	-	21	5
Securitisation	152	-	2	2	177	-	2	1
Resecuritisation	16	-	3	3	19	-	19	3
Deductions	-	-	-	-	-	-	-	-

Securitisation exposures – defaulted exposures and adjustment of specific credit risk (SEC5)

		Exposures securitised by the institution – Institution acts as originator or as sponsor		
		Total outstanding nominal amount	Total amount of specific credit risk adjustments made during the period	
			Of which exposures in default	
31/12/2020				
<i>(in millions of euros)</i>				
1	Total exposures	42,163	692	
2	Retail (total)	9,734	29	
3	Residential mortgage	-	-	
4	Credit card	-	-	
5	Other retail exposures	9,734	29	
6	Re-securitisation	-	-	
7	Wholesale (total)	32,429	663	
8	Loans to corporates	7,844	23	
9	Commercial mortgage	-	-	
10	Lease and receivables	22,465	639	
11	Other wholesale	2,120	1	
12	Re-securitisation	-	-	

3.4.4 Market risk

3.4.4.1 Internal model market risk measurement and management methodology

Market risk measurement and management by internal methods are described in the “Risk factors – Market risk – Market risk measurement and management methodology” section.

3.4.4.2 Rules and procedures for valuing the trading book

The rules for valuing the various items in the trading book are described in Note 1.2 to the financial statements, “Accounting policies and principles”.

Measurement models are reviewed periodically as described in the “Risk factors – Market risk – Market risk measurement and management methodology” section.

3.4.4.3 Exposure to market risk of the trading book

3.4.4.3.1 Risk-weighted exposure using the standardised approach

Risk-weighted exposure using the standardised approach (MR1)

	31/12/2020		31/12/2019	
	RWA	Capital requirement	RWA	Capital requirement
<i>(in millions of euros)</i>				
Futures and forwards				
1 Interest rate risk (general and specific)	470	38	831	67
2 Risk on shares (general and specific)	-	-	-	-
3 Currency risk	4,155	332	4,163	333
4 Commodities risk	7	1	15	1
Options				
5 Simplificated approach	-	-	-	-
6 Delta-plus method	1	-	-	-
7 Scenarios based approach	4	-	-	-
8 Securitisation	56	4	-	-
9 TOTAL	4,693	375	5,009	401

3.4.4.3.2 Exposures using the internal models approach

Risk-weighted assets and capital requirements

Market risk under the internal models approach (MR2)

	31/12/2020		31/12/2019	
	RWA	Capital requirement	RWA	Capital requirement
<i>(in millions of euros)</i>				
1 VaR (higher of values a and b)	1,694	136	1,743	139
(a) Previous day's VaR (VaRt-1)		29	-	30
(b) Multiplication factor (mc) x average of previous 60 working days (VaRavg)		136	-	139
2 SVaR (higher of values a and b)	2,188	175	3,337	267
(a) Latest available SVaR (SVaRt-1))		37	-	50
(b) Multiplication factor (ms) x average of previous 60 working days (sVaRavg)		175	-	267
3 IRC (higher of values a and b)	1,451	116	1,849	148
(a) Most recent IRC measure		69	-	65
(b) 12 weeks average IRC measure		116	-	148
4 Comprehensive risk measure (higher of values a, b and c)	-	-	-	-
(a) Most recent risk measure of comprehensive risk measure		-	-	-
(b) 12 weeks average of comprehensive risk measure		-	-	-
(c) Comprehensive risk measure Floor		-	-	-
5 Other	-	-	-	-
6 TOTAL	5,333	427	6,930	554

Values resulting from use of internal models

Value of the trading book using the internal models approach (IMA) (MR3)

(in millions of euros)		31/12/2020	31/12/2019
1	VaR (10 days, 99%)		
2	Maximum value	47	39
3	Mean value	34	31
4	Minimum value	26	21
5	End of period value	29	30
6	VaR in stressed period (10 days, 99%)		
7	Maximum value	68	75
8	Mean value	44	59
9	Minimum value	35	48
10	End of period value	37	50
11	Capital requirement in line with IRC (99.9%)		
12	Maximum value	198	300
13	Mean value	89	114
14	Minimum value	53	47
15	End of period value	53	50
16	Capital requirement in line with CRM (99.9%)		
17	Maximum value	-	-
18	Mean value	-	-
19	Minimum value	-	-
20	End of period value	-	-
21	Floor (standard measure method)	-	-

3.4.4.4 Backtesting of the VAR model (MR4)

The backtesting process of the VaR (Value at Risk) model to check the relevance of the model, as well as the results of this backtesting, are presented in part 5 “Risk management” of the Registration Document.

3.4.5 Global interest rate risk

The nature of interest rate risk, the main underlying assumptions retained and the frequency of interest rate risk measurements are described in the “Risk factors – Asset/Liability management – Global interest rate risk” section.

3.4.6 Operational risk

3.4.6.1 Advanced measurement approach

The French Regulatory and Resolution Supervisory Authority, the ACPR, has, since 1 January 2008, authorised the main Crédit Agricole Group

entities to use the Advanced Measurement Approach (AMA) to calculate their regulatory capital requirements for operational risk. The other Group entities use the standardised approach, in accordance with regulations.

The scope of application of the advanced measurement and standardised approaches and a description of the advanced measurement approach methodology are provided in the “Risk factors – Operational risk – Methodology” section.

3.4.6.2 Insurance techniques for reducing operational risk

The insurance techniques used to reduce operational risk are described in the “Risk management – Operational risk – Insurance and coverage of operational risks” section.

3.5 ASSET ENCUMBRANCE

Medians of the four quarterly end-of-period values over the previous 12 months.

Template A – Encumbered and unencumbered assets

	Carrying amount of encumbered assets		Fair value of encumbered assets		Carrying amount of unencumbered assets		Fair value of unencumbered assets	
		of which notionally eligible EHQLA and HQLA ⁽¹⁾⁽²⁾		of which notionally eligible EHQLA and HQLA ⁽¹⁾⁽²⁾		of which EHQLA and HQLA ⁽¹⁾		of which EHQLA and HQLA ⁽¹⁾
<i>(in millions of euros)</i>	010	030	040	050	060	080	090	100
010 Assets of the reporting institution	309,318	19,434			1,515,402	108,019		
030 Equity instruments	1,284	1,059			12,475	2,318		
040 Debt securities	21,257	18,517	20,576	18,428	166,828	106,448	156,415	110,464
050 of which: covered bonds	19	9	19	9	2,076	1,867	2,108	1,897
060 of which: asset-backed securities	93	-	93	-	36	10	13	10
070 of which: issued by general governments	17,478	15,315	15,943	14,730	78,858	70,622	83,938	74,155
080 of which: issued by financial corporations	4,327	3,126	4,133	3,129	69,432	28,344	58,365	29,002
090 of which: issued by non-financial corporations	708	586	709	586	16,467	7,448	10,433	7,510
120 Other assets	286,050	-			1,168,826	191,551		
121 of which: loans and advances than loans on demand	255,607	-			929,007	-		

(1) EHQLA: Assets of extremely high liquidity and credit qualities.

(2) HQLA: Assets of high liquidity and credit quality.

Template B – Collateral received

	Fair value of encumbered collateral received or own debt securities issued		Unencumbered	
			Fair value of collateral received or own debt securities issued available for encumbrance	
		of which notionally eligible EHQLA and HQLA ⁽¹⁾⁽²⁾		of which notionally eligible EHQLA and HQLA ⁽²⁾
<i>(in millions of euros)</i>	010	030	040	060
130 Collateral received by the reporting institution	169,656	154,871	55,123	41,037
140 Loans on demand	-	-	-	-
150 Equity instruments	4,294	423	9,377	333
160 Debt securities	165,577	154,500	45,665	40,719
170 of which: covered bonds	839	755	451	446
180 of which: asset-backed securities	-	-	-	-
190 of which: issued by general governments	143,511	142,941	28,998	28,221
200 of which: issued by financial corporations	15,844	9,169	13,027	10,793
210 of which: issued by non-financial corporations	3,953	2,083	3,193	1,835
220 Loans and advances other than loans on demand	-	-	-	-
230 Other collateral received	-	-	-	-
240 Own debt securities issued other than own covered bonds or asset-backed securities	4	4	-	
241 Own covered bonds and asset-backed securities issued and not yet pledged			27,409	1,887
250 TOTAL ASSETS, COLLATERAL RECEIVED AND OWN DEBT SECURITIES ISSUED	482,541	250,050		

(1) EHQLA: Assets of extremely high liquidity and credit qualities.

(2) HQLA: Assets of high liquidity and credit quality.

Template C – Sources of encumbrance

	Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered
(in millions of euros)	010	030
010 Carrying amount of selected financial liabilities	497,803	457,494
011 of which: derivatives	101,177	23,682
012 of which: deposits	340,924	370,189
013 of which: debt securities issued	63,296	73,684

Template D – Additional descriptive information

Crédit Agricole S.A. monitors and manages the encumbrance level of assets pledged in the Crédit Agricole Group.

The asset encumbrance ratio for the Crédit Agricole Group represented 23.9% at 31 December 2020.

Crédit Agricole group's asset encumbrance mainly covers loans and receivables (other than loans on demand). The pledge of receivables due from private customers aims to obtain refinancing under advantageous conditions or to constitute reserves that can easily be made liquid if needed. The policy of Crédit Agricole S.A. aims to both diversify the instruments used to improve resistance to liquidity stress, which could affect individual markets differently, and to limit the share of assets pledged in order to retain good quality assets that can be easily liquidated in the market through existing mechanisms in case of stress.

The rise in Crédit Agricole Group's asset encumbrance ratio over 2020 is in line with the average rise observed in France and Europe. This is attributable to the strong increase in drawings on the ECB's TLTROs in the context of the measures taken to contend with the COVID-19, even though the reduction in the haircuts as part of the easing measures relating to Eurosystem collateral rules announced by the ECB on 7 April 2020 enabled to limit the impact of this rise.

The sources of asset encumbrance mainly related to loans and receivables (other than loans on demand) are as follows:

- covered bonds referred to in Article 52(4), first sub-paragraph of Directive 2009/65/EC, issued under the following four programmes:
 - Crédit Agricole Home Loan SFH, pledging the receivables of the Regional Banks and LCL,
 - Crédit Agricole Public Sector SCF, pledging the receivables of Crédit Agricole CIB,
 - Crédit Agricole Italia OBG SRL, pledging the receivables of the Crédit Agricole Italia Group,
 - CAnb Hypothèques S.A., pledging the receivables of Crédit Agricole next bank (Suisse) S.A.

At 31 December 2020, the placed covered bonds amounted to €45.7 billion for a total of €51.5 billion in encumbered underlying assets, thus complying with the contractual and regulatory requirements in terms of over-collateralisation.

At 31 December 2020, the retained secured bonds not yet pledged as collateral amounted to €0.4 billion for a total of €0.4 billion in unencumbered underlying assets;

- asset-backed securities (ABS) issued during securitisation transactions – as defined in Article 4-(1), item 61, of Regulation (EU) No. 575/2013 – mainly carried out by the CA Consumer Finance Group and its subsidiaries, as well as by the Regional Banks and LCL (through FCT CA Habitat 2017, 2018, 2019 and 2020).

At 31 December 2020, placed asset-backed securities amounted to €7.7 billion for a total of €7.8 billion in encumbered underlying assets.

At 31 December 2020, asset-backed securities retained and not yet pledged as collateral amounted to €24.4 billion for a total of €25.4 billion of unencumbered underlying assets;

- guaranteed deposits (other than repurchase agreements) mainly associated with financing activities: from the ECB under TLTROs, via Crédit Agricole CIB's ESTER securitisation conduit, as well as French or supranational organisations (such as the CDC and the EIB).

At 31 December 2020, guaranteed deposits (other than repurchase agreements) amounted to €161.6 billion for a total of €204.1 billion in encumbered assets;

- debt securities (other than covered bonds or ABSs) issued to the *Caisse de Refinancement de l'Habitat* (CRH) in the form of promissory notes, pledging the collateral received from the Regional Banks and the receivables of LCL.

At 31 December 2020, these securities amounted to €9.0 billion for a total of €13.0 billion in encumbered assets.

As Crédit Agricole S.A. is the central actor in most of these secured financing mechanisms, these levels of encumbrance are broken down at an intragroup level between Crédit Agricole S.A., its subsidiaries and the Crédit Agricole Regional Banks.

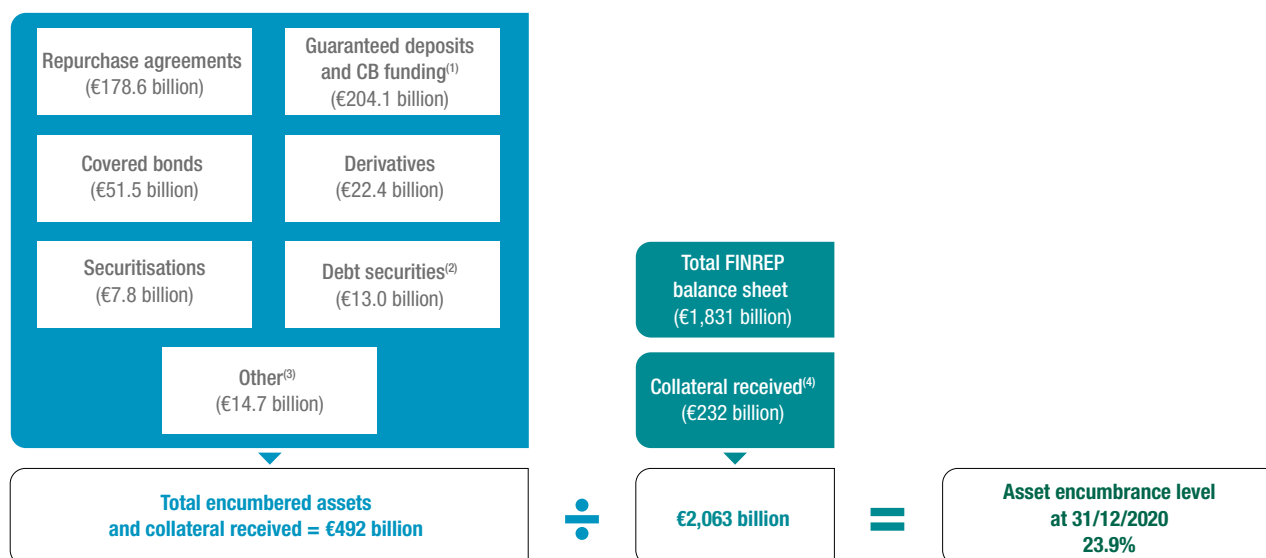
The other main sources of asset encumbrance in the Crédit Agricole Group are:

- repurchase agreements, mainly associated with the activity of Crédit Agricole CIB and mainly encumbering the collateral received comprising debt securities and, on an ancillary basis, equity instruments. In particular, this source concentrates the majority of encumbrance held in the second material currency (USD), within the meaning of Annex XVII of the Implementing Regulation (EU) No. 680/2014, other than the reporting currency (EUR).

At 31 December 2020, repurchase agreements amounted to €193.9 billion for a total of €178.6 billion in encumbered assets and collateral received;

- derivatives associated mainly with the OTC derivative activity of Crédit Agricole CIB and encumbering mainly cash as part of margin calls.

At 31 December 2020, margin calls amounted to €22.4 billion.



(1) Central banks.

(2) Other than covered bonds or ABSs.

(3) Mainly securities lending and borrowing.

(4) Excluding collateral received that could not be encumbered.

3.6 LIQUIDITY COVERAGE RATIO (LCR)

Quantitative information

Scope of consolidation (solo/consolidated) (in millions of euros)		Total unweighted value (average)				Total weighted value (average)			
QUARTER ENDING ON		31/03/2020	30/06/2020	30/09/2020	31/12/2020	31/03/2020	30/06/2020	30/09/2020	31/12/2020
Number of data points used in the calculation of averages		12	12	12	12	12	12	12	12
HIGH-QUALITY LIQUID ASSETS									
1	Total high-quality liquid assets (HQLA)					232,637	256,172	285,187	314,297
CASH-OUTFLOWS									
2	Retail deposits and deposits from small business customers, of which:	533,733	535,119	537,174	539,916	33,453	33,630	33,860	34,158
3	Stable deposits	420,368	413,724	407,502	401,549	21,018	20,686	20,375	20,077
4	Less stable deposits	113,365	121,395	129,672	138,367	12,435	12,944	13,485	14,080
5	Unsecured wholesale funding	271,894	292,609	313,025	330,720	126,218	136,320	145,065	152,299
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	106,444	117,683	128,816	138,741	26,395	29,199	31,971	34,436
7	Non-operational deposits (all counterparties)	150,328	159,005	167,762	175,590	84,701	91,201	96,647	101,473
8	Unsecured debt	15,121	15,921	16,448	16,390	15,121	15,921	16,448	16,390
9	Secured wholesale funding					21,284	21,943	22,519	22,294
10	Additional requirements	196,230	200,929	203,936	207,063	48,765	51,195	52,547	53,740
11	Outflows related to derivative exposures and other collateral requirements	19,399	22,719	24,385	25,928	16,027	18,566	20,261	21,700
12	Outflows related to loss of funding on debt products	-	-	-	-	-	-	-	-
13	Credit and liquidity facilities	176,831	178,209	179,551	181,135	32,737	32,629	32,286	32,040
14	Other contractual funding obligations	57,679	51,408	44,474	33,375	1,804	1,619	1,603	1,944
15	Other contingent funding obligations	50,164	50,066	49,421	49,321	1,719	2,259	2,736	2,845
16	TOTAL CASH OUTFLOWS					233,242	246,966	258,331	267,280
CASH-INFLOWS									
17	Secured lending (e.g. reverse repos)	160,671	159,172	160,158	159,769	17,837	18,565	19,578	20,015
18	Inflows from fully performing exposures	103,623	89,645	75,470	62,423	32,052	31,018	30,158	29,779
19	Other cash inflows	4,197	4,584	5,296	6,525	4,197	4,584	5,296	6,525
EU-19a	(Difference between total weighted inflows and total weighted outflows arising from transactions in third countries where there are transfer restrictions or which are denominated in non-convertible currencies)								
EU-19b	(Excess inflows from a related specialised credit institution)								
20	TOTAL CASH INFLOWS	268,490	253,401	240,924	228,717	54,085	54,167	55,032	56,319
EU-20a	Fully exempt inflows	-	-	-	-	-	-	-	-
EU-20b	Inflows Subject to 90% Cap	-	-	-	-	-	-	-	-
EU-20c	Inflows Subject to 75% Cap	237,118	219,874	205,005	192,799	54,085	54,167	55,032	56,319
21	FULLY EXEMPT INFLOWS					232,637	256,172	285,187	314,297
22	INFLOWS SUBJECT TO 90% CAP					179,157	192,799	203,298	210,961
23	INFLOWS SUBJECT TO 75% CAP					129.9%	132.9%	140.3%	149.0%

Qualitative information

Concentration of funding and liquidity sources	The Crédit Agricole Group follows a prudent refinancing policy, with very diversified access to the markets, in terms of investor base and products.
Derivative exposures and potential collateral calls	The cash outflows relating to this item materialize the contingent risk of an increase in margin calls on derivative transactions in an unfavorable market scenario and an increase in collateral requirements following a downgrade of the Group's external rating.
Currency mismatch in the LCR	As of 31 December 2020, the Group covers its net cash outflows with liquid assets denominated in the same currency in the main significant currencies (EUR, CHF, GBP, JPY, USD). The level of the residual asymmetries observed in certain currencies is covered by surplus of premium liquid assets available in other significant currencies and which could be easily converted to cover these needs, including in crisis situations.
A description of the degree of centralisation of liquidity management and interaction between the group's units	Crédit Agricole S.A. oversees the management of the liquidity risk. ■ Crédit Agricole S.A.'s treasury is responsible for refinancing the main short-term needs (≤ 1 year) of the Regional Banks and subsidiaries. It also coordinates the treasuries of the subsidiaries for their additional issuances. Crédit Agricole CIB is self-sufficient in the management of its short-term refinancing, in close coordination with the Treasury of Crédit Agricole S.A. ■ For long-term refinancing (> 1 year), Crédit Agricole S.A. identifies long-term resource needs, plans refinancing programs according to these ones and reallocates the resources raised to the Group entities. The Group's main issuers are: Crédit Agricole S.A., Crédit Agricole CIB, Crédit Agricole Consumer Finance, and CA Italia.
Other items in the LCR calculation that are not captured in the LCR disclosure template but that the institution considers relevant for its liquidity profile	In addition to the LCR surplus observed on 31 December 2020, the Group has non-HQLA liquidity reserves of €117 billion (after discounts), in the form of securities that can be sold on the market (€15 billion), as well as self-retained securitizations (€8 billion) and free trade receivables eligible for refinancing from Central Banks and prepositioned in these ones (€94 billion).

3.7 COMPENSATION POLICY

The information on the compensation policy required pursuant to EU Regulation 575-2013 (CRR) can be found in Chapter 3 of the Universal Registration Document.

3.8 CROSS-REFERENCE TABLES

Cross-reference table for Pillar 3 (CRR and CRD 4)

CRR article	Topic	Reference 2020 Universal Registration Document and Amendment A01	2020 Universal Registration Document and Amendment A01
90 (CRD 4)	Return on assets	Management report	Chapter 4 URD
435 (CRR)	1. Risk management policy and objectives	Presentation of committees – Corporate governance Main group level Committees dealing with risk – Risk factors	Chapter 3 URD p. 57 to 59 p. 43 to 55
436 (a)(b)	2. Scope of consolidation	Pillar 3 Financial statements Note 12.2	p. 122 to 123 and p. 125 to 127 p. 349 to 366
436 (c)(d)(e) (CRR)	2. Scope of consolidation	Unpublished information	
437 (CRR)	3. Equity	Reconciliation of accounting and regulatory capital Details of subordinated debt	p. 106 p. 108
438 (CRR)	4. Capital requirements	Risk-weighted assets by business line and trends	p. 127 to 129
439 (CRR)	5. Exposure to counterparty credit risk	General presentation of counterparty credit risk – exposures by type of risk Credit risk (all) Counterparty risk (all)	p. 129 to 177
440 (CRR)	6. Capital buffer	Minimum requirements and exposures by geographic area	p. 110 to 113 and p. 133 to 135
441 (CRR)	7. Indicators of global systemic importance	Communication on the indicators required for globally systemically important banks (G-SIBs) + website	p. 111 to 112 and press release
442 (CRR)	8. Adjustments for credit risk	Default exposures and value adjustments	p. 143 to 150
443 (CRR)	9. Asset encumbrance	Asset encumbrance	p. 188 to 190
444 (CRR)	10. Use of ECAs	Protection providers	p. 175 to 177
445 (CRR)	11. Exposure to market risk	Exposure to market risk of the trading book	
446 (CRR)	12. Operational risk	Operational risk	p. 98 to 99 and p. 187
447 (CRR)	13. Equity exposures excluding the trading book	Equity exposures in the banking portfolio	p. 132 to 177
448 (CRR)	14. Exposure to interest rate risk on positions not included in the trading book	Global interest rate risk – Risk factors	p. 82 to 83 and p. 188
449 (CRR)	15. Exposures to securitisation positions	Securitisation – Pillar 3	p. 178 to 185
450 (CRR)	16. Compensation policy	Compensation policy – Corporate governance	Chapter 3 URD and p. 192
451 (CRR)	17. Leverage	Leverage ratio	p. 114 to 117
452 (CRR)	18. Use of the IRB approach to credit risk	Credit risk – internal ratings-based approach	p. 153 to 155
453 (CRR)	19. Use of credit risk mitigation techniques	Credit risk mitigation mechanism	p. 70 to 72 and p. 175 to 177
454 (CRR)	20. Use of the advanced measurement approaches to operational risk	Operational risk	p. 98 to 99
455 (CRR)	21. Use of internal market risk models	Internal models approach to market risk capital requirements – Pillar 3	p. 185 to 187

Additional elements are presented on the consolidated report on risks available on our website: www.credit-agricole.com/en/finance/finance/financial-publications.

EDTF cross-reference table

		Recommendation	Management report and other	Risk factors	Pillar 3	Consolidated financial statements
Introduction	1	Cross-reference table			p. 190	
	2	Terminology and risk measurements, key parameters used		p. 43 to 101	p. 129 and p. 150 to 162	p. 213 to 233 and p. 239 to 274
	3	Presentation of main risks and/or emerging risks		p. 43 to 101		p. 239 to 274
	4	New regulatory framework for solvency and Group objectives	p. 39 to 41	p. 84 to 88	p. 102 to 106	p. 274
Governance and risk management strategy	5	Organisation of control and risk management	Chapter 3 URD and p. 127 to 132	p. 56 to 59		
	6	Risk management strategy and implementation	Chapter 3 URD and p. 127 to 132	p. 43 to 101	p. 102 to 111	
	7	Risk mapping by business line			p. 128	
	8	Governance and management of internal credit and market stress tests		p. 57 to 60 and p. 70		
Capital requirements and risk-weighted assets	9	Minimum capital requirements			p. 110 to 112	
	10a	Breakdown of composition of capital			p. 108 to 110 ⁽¹⁾	
	10b	Reconciliation of the balance sheet and prudential balance sheet and accounting equity and regulatory capital			p. 123 to 124 and p. 125 to 126	
	11	Change in regulatory capital			p. 108 to 110	
	12	Capital trajectory and target CRD 4 ratios	p. 39 to 41		p. 102 to 111	
	13	Risk-weighted assets by business line and risk type			p. 127 to 150	
	14	Risk-weighted assets and capital requirements by method and category of exposure		p. 69	p. 127 to 150	
	15	Exposure to credit risk by category of exposure and internal rating		p. 66 to 70 and p. 73	p. 130 to 177	
	16	Changes in risk-weighted assets by risk type			p. 127	
Liquidity	17	Description of back-testing models and efforts to improve their reliability		p. 76 to 78 and p. 98 to 99	p. 163 to 164	
	18	Management of liquidity and cash balance sheet		p. 84 to 88	p. 191 to 192	
	19	Asset encumbrance			p. 188 to 190	
	20	Breakdown of financial assets and financial liabilities by contractual maturity			p. 140	p. 265 to 267
	21	Liquidity and financing risk management		p. 84 to 88	p. 191 to 192	
Market risk	22 to 24	Market risk measurement		p. 76 to 81	p. 185 to 187	p. 213 to 233 and p. 261 to 265 and p. 332 to 347
	25	Market risk management techniques		p. 76 to 81		

		Recommendation	Management report and other Risk factors	Pillar 3	Consolidated financial statements
Credit risk	26	Maximum exposure, breakdown and diversification of credit risks	p. 66 to 76	p. 129 to 177	p. 239 to 274
	27 and 28	Provisioning policy and risk hedging	p. 73 to 74		p. 215 to 225, p. 260 and p. 279
	29	Derivative instruments: notional, counterparty risk, offsetting	p. 66 to 77 and p. 90 and p. 95 to 96	p. 166 to 177	p. 222 to 224 and p. 261 to 265, p. 303 to 304 and p. 336 to 337
	30	Credit risk mitigation mechanism	p. 70		p. 331 to 332
Other risks	31	Other risks: insurance sector risks, operational risks and legal risks, information systems security and business continuity plans	p. 43 to 66 and p. 90 to 101		p. 274 and p. 287 to 289 and p. 314 to 320
	32	Declared risks and ongoing actions regarding operational and legal risks	Chapter 5 URD and p. 98 to 99		p. 315 to 320

(1) Details of debt issues available on the website: www.credit-agricole.com/en/finance/finance/financial-publications.

DISCLOSURE OF EXPOSURES SUBJECT TO MEASURES APPLIED IN RESPONSE TO THE COVID-19 CRISIS – CRÉDIT AGRICOLE GROUP (PAYMENT MORATORIA AND PUBLIC GUARANTEES)

TEMPLATE 1 – INFORMATION ON LOANS AND ADVANCES SUBJECT TO LEGISLATIVE AND NON-LEGISLATIVE MORATORIA

Purpose: provide an overview of the credit quality of loans and advances subject to moratoria on loan repayments applied in the light of the COVID-19 crisis, in accordance with EBA/GL/2020/02.

		a	b	c	d	e	f	g
		Gross carrying amount						
		Performing				Non performing		
				Of which: exposures with forbearance measures	Of which: Instruments with significant increase in credit risk since initial recognition but not credit-impaired (Stage 2)		Of which: exposures with forbearance measures	Of which: Unlikely to pay that are not past- due or past-due ≤ 90 days
1	Loans and advances subject to moratorium	13,461,512,650.03	13,145,569,507.18	391,616,180.02	2,443,871,436.71	315,943,142.84	211,383,241.60	83,690,901.35
2	of which: Households	4,000,080,421.69	3,971,476,871.14	62,387,129.30	783,626,331.71	28,603,550.55	14,087,754.10	1,897,705.58
3	of which: Collateralised by residential immovable property	3,287,816,180.21	3,268,787,768.56	52,916,811.74	652,914,565.20	19,028,411.65	9,414,953.83	0
4	of which: Non-financial corporations	8,887,402,692.73	8,602,779,492.44	328,967,771.98	1,628,975,274.64	284,623,200.29	197,295,487.50	81,793,195.77
5	of which: Small and Medium-sized Enterprises	7,291,343,748.77	7,026,821,187.76	311,608,109.29	1,405,994,240.97	264,522,561.00	192,058,379.23	73,477,905.92
6	of which: Collateralised by commercial immovable property	2,047,197,827.21	1,965,312,005.35	109,607,043.11	405,310,404.61	81,885,821.86	55,356,676.73	18,461,419.86

Disclosure of exposures subject to measures applied in response to the COVID-19 crisis –
Crédit Agricole Group (payment moratoria and public guarantees)

h	i	j	k	l	m	n	o
Accumulated impairment, accumulated negative changes in fair value due to credit risk							Gross carrying amount
Performing				Non performing			Inflows to non-performing exposures
		Of which: exposures with forbearance measures	Of which: Instruments with significant increase in credit risk since initial recognition but not credit-impaired (Stage 2)		Of which: exposures with forbearance measures	Of which: Unlikely to pay that are not past-due or past-due ≤ 90 days	
-431,836,792.56	-330,541,329.82	-49,662,309.79	-257,607,249.99	-101,295,462.74	-61,027,223.92	-14,717,827.56	102,168.67
-55,082,174.71	-49,892,937.67	-3,706,187.33	-44,895,398.42	-5,189,237.04	-2,297,719.99	-98,640.14	23,411.00
-42,016,341.47	-39,758,428.40	-3,161,076.29	-36,962,086.69	-2,257,913.07	-1,086,633.70	0	0
-374,696,174.94	-278,589,949.24	-45,946,158.57	-210,982,575.71	-96,106,225.69	-58,729,503.93	-14,619,187.42	78,757.67
-330,315,886.17	-241,598,577.32	-45,105,437.76	-187,294,771.44	-88,717,308.85	-56,342,102.02	-13,960,760.81	78,757.67
-68,317,879.29	-51,955,288.14	-12,360,060.77	-41,839,241.15	-16,362,591.15	-11,165,201.77	-3,161,410.18	0

Disclosure of exposures subject to measures applied in response to the COVID-19 crisis –
Crédit Agricole Group (payment moratoria and public guarantees)

TEMPLATE 2 – BREAKDOWN OF LOANS AND ADVANCES SUBJECT TO LEGISLATIVE AND NON-LEGISLATIVE MORATORIA BY RESIDUAL MATURITY OF MORATORIA

Purpose: provide an overview of the volume of loans and advances subject to legislative and non-legislative moratoria in accordance with EBA/GL/2020/02 by residual maturity of these moratoria.

		a	b	c	d
		Number of obligors	Gross carrying amount		
				Of which: legislative moratoria	Of which: expired
1	Loans and advances for which moratorium was offered	424,140.00	54,904,313,519.61		
2	Loans and advances subject to moratorium (granted)	422,915.00	54,250,163,305.44	6,109,600,996.58	40,788,650,655.41
3	of which: Households		5,409,683,400.38	1,157,119,690.26	1,409,602,978.69
4	of which: Collateralised by residential immovable property		3,769,343,735.19	444,745,617.45	481,527,554.98
5	of which: Non-financial corporations		48,256,217,883.81	4,381,706,714.70	39,368,815,191.07
6	of which: Small and Medium-sized Enterprises		38,124,838,946.54	3,846,906,101.74	30,833,495,197.76
7	of which: Collateralised by commercial immovable property		8,152,090,173.24	1,365,158,431.46	6,104,892,346.02

TEMPLATE 3 – INFORMATION ON NEWLY ORIGINATED LOANS AND ADVANCES PROVIDED UNDER NEWLY APPLICABLE PUBLIC GUARANTEES SCHEMES INTRODUCED IN RESPONSE TO COVID-19 CRISIS

Purpose: provide an overview of the stock of newly originated loans and advances subject to public guarantee schemes introduced in response to COVID-19 crisis.

		a	b	c	d
		Gross carrying amount		Maximum amount of the guarantee that can be considered	Gross carrying amount
			Of which: forborne	Public guarantees received	Inflows to non-performing exposures
1	Newly originated loans and advances subject to public guarantee schemes	25,874,335,071.96	619,894,694.64	22,625,441,129.20	130,438,843.96
2	of which: Households	336,284,466.00			708,497.70
3	of which: Collateralised by residential immovable property	-			-
4	of which: Non-financial corporations	25,520,608,184.96	617,267,294.64	22,316,536,931.80	129,730,346.26
5	of which: Small and Medium-sized Enterprises	15,796,940,183.82			81,611,145.26
6	of which: Collateralised by commercial immovable property	-			-

Disclosure of exposures subject to measures applied in response to the COVID-19 crisis –
Crédit Agricole Group (payment moratoria and public guarantees)

e	f	g	h	i
Gross carrying amount				
Residual maturity of moratoria				
≤3 months	>3 months ≤6 months	>6 months ≤9 months	>9 months ≤12 months	>1 year
7,525,714,852.31	4,300,999,144.95	573,793,451.43	1,017,308,049.08	43,697,152.23
3,113,557,070.88	756,368,528.66	84,586,746.45	34,872,297.75	10,695,777.94
2,514,396,489.97	644,643,369.31	83,372,504.83	34,738,825.15	10,664,990.94
4,347,927,987.18	3,035,065,646.44	489,206,704.98	982,200,979.82	33,001,374.29
3,323,734,338.28	2,601,690,627.99	411,531,204.45	925,673,417.16	28,714,160.88
1,530,987,959.78	355,241,862.91	48,573,871.75	108,936,059.89	3,458,072.86



CONSOLIDATED FINANCIAL STATEMENTS

**Consolidated financial statements of the Crédit Agricole Group at 31 December 2020
Approved by Credit Agricole S.A. Board of Directors on 10 February 2021 and submitted
for the approval of the Ordinary General Meeting of 12 May 2021**

General framework

Crédit Agricole Group	201
Crédit Agricole internal relations	201
Information pertaining to the related parties	204

Consolidated financial statements 205

Income statement	205
Net income and other comprehensive income	206
Balance sheet – Assets	207
Balance sheet – Liabilities	207
Statement of changes in equity	208
Cash flow statement	210

Notes to the consolidated financial statements

212

Statutory Auditors' report on the consolidated financial statements

371

GENERAL FRAMEWORK

CRÉDIT AGRICOLE GROUP

The Crédit Agricole Group is made up of 2,410 Local Banks, 39 Regional Banks, its corporate centre “Crédit Agricole S.A.” and their subsidiaries.

Crédit Agricole Mutuel was structured according to the provisions of the Law of 5 November 1894, which established the principle of the creation of the Crédit Agricole Local Banks, the Law of 31 March 1899, which federated the Local Banks into the Crédit Agricole Regional Banks, and the Law of 5 August 1920, which created the *Office national du Crédit Agricole*, which has since been transformed into *Caisse nationale de Crédit Agricole*, then Crédit Agricole S.A., whose role as a corporate centre was reiterated and defined further by the French Monetary and Financial Code.

The Crédit Agricole Group is a banking group with a central body within the meaning of the European Union's first directive (EC 77/780), which has now been repealed:

- the commitments of the corporate centre and its affiliated institutions constitute solidarity commitments;
- the solvency and liquidity of all affiliated institutions are monitored as a whole on the basis of consolidated financial statements.

For groups with a corporate centre, Directive 86/635 on the accounts of European credit institutions stipulates that the corporate centre and its affiliated institutions as a whole must be included in the consolidated

financial statements drawn up, audited and published in accordance with this Directive.

Pursuant to this directive, the corporate centre and its affiliated institutions constitute the reporting entity representing the community of interests established in particular by the system of cross-guarantees that collectively cover the commitments of the various entities of the Crédit Agricole Group. In addition, the various laws and regulations referred to in the first paragraph explain and organise the legal, financial, economic and political community of interests between Crédit Agricole S.A. and the Regional Banks and Local Banks of Crédit Agricole Mutuel. This community is based, in particular, on a single mechanism for financial relations, a single economic and commercial policy and joint decision-making bodies, which have formed the foundation of the Crédit Agricole Group for more than a century.

In accordance with European regulation 1606/02, the consolidated financial statements of the reporting entity are prepared in accordance with IFRS as adopted by the European Union. The reporting entity is made up of the Local Banks, the Regional Banks and the “Crédit Agricole S.A. Corporate Centre”.

CRÉDIT AGRICOLE INTERNAL RELATIONS

Internal financing mechanisms

Crédit Agricole has instituted a number of internal financing mechanisms specific to the Group.

Regional Banks' current accounts

Each Regional Bank holds a current account with Crédit Agricole S.A., which records the financial movements resulting from internal financial transactions within the Group. This account, which may be in credit or debit, is presented in the balance sheet under “Crédit Agricole internal transactions – Current Accounts” and integrated on a specific line item, either “Loans and receivables due from credit institutions” or “Due to credit institutions”.

Special savings accounts

Funds held in special savings accounts (popular savings passbook accounts (*Livret d'épargne populaire*), sustainable development passbook accounts (*Livret de développement durable*), home purchase savings schemes and accounts, popular savings schemes, youth passbook accounts (*Livret jeune*) and passbook savings accounts (*Livret A*)) are collected by the Regional Banks on behalf of Crédit Agricole S.A. and must be transferred to the latter. Crédit Agricole S.A. recognises them on its balance sheet as “Due to customers”.

Term deposits and advances

The Regional Banks also collect savings funds (passbook accounts, bonds, warrants, certain term accounts and similar accounts etc.) on behalf of Crédit Agricole S.A. These funds are transferred to Crédit Agricole S.A., and are recognised as such on its balance sheet.

Special savings accounts and time deposits and advances are used by Crédit Agricole S.A. to make “advances” (loans) to the Regional Banks, with a view to funding their medium and long term loans.

A series of four internal financial reforms has been implemented. These reforms have permitted the transfer back to the Regional Banks, in the form of so-called “mirror advances” (with maturities and interest rates precisely matching those of the savings funds received) of first 15%, 25%, then 33% and, since 31 December 2001, 50% of the savings resources, which they are free to use at their discretion.

Since 1 January 2004, the financial margins generated by the centralised management of funds collected (and not transferred back via mirror advances) are shared by the Regional Banks and Crédit Agricole S.A. and are determined by using replacement models and applying market rates.

Furthermore, the Regional Banks may be refinanced in the form of advances negotiated at market price with Crédit Agricole S.A.

Transfer of Regional Banks' liquidity surpluses

The Regional Banks may use their “monetary” deposits (demand deposits, non-centralised time deposits and negotiable certificates of deposit) to finance lending to their customers. Surpluses must be transferred to Crédit Agricole S.A. where they are booked as current or time accounts, under “Crédit Agricole internal transactions”.

Foreign currency transactions

Crédit Agricole S.A. represents the Regional Banks with respect to the Banque de France and centralises their foreign exchange transactions.

Medium and long-term notes issued by Crédit Agricole S.A.

These are placed mainly on the market or by the Regional Banks with their customers. They are booked on the balance sheet by Crédit Agricole S.A. under liabilities either as “Debt securities” or as “Subordinated debt”, depending on the type of security issued.

TLTRO III mechanism

The ECB set out a third series of longer-term refinancing operations in March 2019, the terms and conditions of which were reviewed in September 2019 and again in March and April 2020, in connection with the COVID-19 situation.

The TLTRO III mechanism aims to provide long-term refinancing, with a subsidy in the event of reaching a lending performance target based on growth of lending to firms and households, which is applied over the three-year maturity of the TLTRO operation, with an additional subsidy, awarding a further and temporary incentive, which is applied over the one-year period between June 2020 and June 2021.

Provided that the level of outstanding amounts giving entitlement to these subsidies allow to consider the subsidies as already granted by the ECB in relation to the support to the economy both in the first year and in subsequent years, the interest accrued with a negative interest rate takes this subsidy into account.

All subsidies are spread over the expected refinancing period from the TLTRO III drawing date. Outstanding amounts that give entitlement to the subsidy already exceed the level required to be able to benefit from the planned levels of subsidies. The additional subsidy for the first year is linearly accrued over one year, starting from June 2020.

For the new subsidy announced by the ECB following its meeting of 10 December 2020, covering the period from June 2021 to June 2022, these principles will continue to apply as long as there is a reasonable assurance that the level of eligible amounts outstanding will render it possible to meet the conditions necessary to acquire these subsidies when they become due and payable by the ECB.

As at 31 December 2020, the Group has drawn €133 billion in TLTRO III at the ECB.

Hedging of liquidity and solvency risks, and banking resolution

Under the legal internal financial solidarity mechanism enshrined in Article L. 511-31 of the French Monetary and Financial Code (CMF), Crédit Agricole S.A., as the central body of the Crédit Agricole network, must take all necessary measures to ensure the liquidity and solvency of each affiliated credit institution, as well as the network as a whole. As a result, each member of the network benefits from this internal financial solidarity.

The general provisions of the CMF (*Code monétaire et financier* – French Monetary and Financial Code) are reflected in the internal provisions setting out the operational measures required for this legal solidarity mechanism.

In the initial public offering of Crédit Agricole S.A., CNCA (now Crédit Agricole S.A.) signed an agreement with the Regional Banks in 2001 aimed at governing internal relations within the Crédit Agricole network. The agreement notably provides for the creation of a Fund for Bank Liquidity and Solvency Risks (FRBLS) designed to enable Crédit Agricole S.A. to fulfil its role as central body by providing assistance to any affiliated members that may experience difficulties. The main provisions of this agreement are set out in Chapter III of the Registration Document filed by Crédit Agricole S.A. with France's *Commission des opérations de Bourse* on 22 October 2001 under number R. 01-453.

The European banking crisis management framework was adopted in 2014 by EU Directive 2014/59 (known as the “Bank Recovery and Resolution Directive — BRRD”), incorporated into French law by Order 2015-1024

of 20 August 2015, which also adapted French law to the provisions of European Regulation 806/2014 of 15 July 2014 establishing uniform rules and a uniform procedure for the resolution of credit institutions and certain investment firms in the framework of a Single Resolution Mechanism and a Single Resolution Fund. Directive (EU) 201/879 of 20 May 2019, known as “BRRD2”, amended the BRRD and was incorporated into French law by Order 2020-1636 of 21 December 2020.

This framework, which includes measures to prevent and to resolve banking crises, is intended to preserve financial stability, to ensure the continuity of activities, services and operations of institutions whose failure could significantly impact the economy, to protect depositors, and to avoid or limit the use of public financial support as much as possible. In this context, the European Resolution Authorities, including the Single Resolution Board, have been granted extensive powers to take all necessary measures in connection with the resolution of all or part of a credit institution or the group to which it belongs.

For cooperative banking groups, the “extended single point of entry” (“extended SPE”) resolution strategy is favoured by the resolution authorities, whereby resolution tools would be applied simultaneously at the level of Crédit Agricole S.A. and the affiliated entities. In this respect, and in the event of a resolution of the Crédit Agricole Group, the scope comprising Crédit Agricole S.A. (in its capacity as the corporate centre) and its affiliated entities would be considered as a whole as the expanded single entry point. Given the foregoing and the solidarity mechanisms that exist within the network, a member of the Crédit Agricole network cannot be put individually in resolution.

The resolution authorities may initiate resolution proceedings against a credit institution where it considers that: the institution has failed or is likely to fail, there is no reasonable prospect that another private measure will prevent the failure within a reasonable time, a resolution measure is necessary, and a liquidation procedure would be inadequate to achieve the resolution objectives mentioned above.

The resolution authorities may use one or more resolution tools, as described below, with the objective of recapitalising or restoring the viability of the institution. The resolution tools should be implemented in such a way that equity holders (shares, mutual shares, CCIs, CCAs) bear losses first, with creditors following up immediately, provided that they are not excluded from bail-in legally speaking or by a decision of the resolution authorities. French law also provides for a protective measure when certain resolution tools or decisions are implemented, such as the principle that equity holders and creditors of an institution in resolution may not incur greater losses than those they would have incurred if the institution had been liquidated in the context of a judicial liquidation procedure under the French Commercial Code (NCWOL principle referred to in Article L. 613-57.I of the CMF). Thus, investors are entitled to claim compensation if the treatment they receive in a resolution is less favourable than the treatment they would have received if the institution had been subject to normal insolvency proceedings.

In the event that the resolution authorities decide to put the Crédit Agricole Group in resolution, they will first write down the CET1 instruments (shares, mutual shares, CCI and CCA), additional Tier 1 and Tier 2 instruments, in order to absorb losses, and then possibly convert the additional Tier 1 and Tier 2 instruments into equity securities⁽¹⁾. Then, if the resolution authorities decide to use the bail-in tool, the latter would be applied to debt instruments⁽²⁾, resulting in the partial or total write-down of these instruments or their conversion into equity in order to absorb losses.

(1) Articles L. 613-48 and L. 613-48-3 of the French Monetary and Financial Code.

(2) Articles L. 613-55 and L. 613-55-1 of the French Monetary and Financial Code.

With respect to the corporate centre and all affiliated entities, the resolution authorities may decide to implement, in a coordinated manner, impairment or conversion measures and, where applicable, internal bailouts. In such an event, the impairment or conversion measures and, where applicable, internal bailout measures would apply to all entities within the Crédit Agricole network, regardless of the entity in question and regardless of the origin of the losses.

The creditor hierarchy in resolution is defined by the provisions of Article L. 613-55-5 of the CMF, effective as at the date of implementation of the resolution.

Equity holders and creditors of the same rank or with identical rights in liquidation will then be treated equally, regardless of the Group entity of which they are creditors.

The scope of this bail-in, which also aims to recapitalise the Crédit Agricole Group, is based on capital requirements at the consolidated level.

Investors must then be aware that there is therefore a significant risk that holders of shares, mutual shares, CCIs and CCAs and holders of debt instruments of a member of the network will lose all or part of their investment if a resolution procedure is implemented on the Group, regardless of the entity of which they are a creditor.

The other resolution tools available to the resolution authorities are essentially the total or partial transfer of the activities of the institution to a third party or to a bridge institution and the separation of the assets of the institution.

This resolution framework does not affect the legal internal financial solidarity mechanism enshrined in Article L. 511-31 of the French Monetary and Financial Code, which applies to the Crédit Agricole network, as defined in Article R. 512-18 of the same Code. Crédit Agricole S.A. considers that, in practice, this mechanism should be implemented prior to any resolution procedure.

The implementation of a resolution procedure to the Crédit Agricole Group would thus mean that the legal internal solidarity mechanism had failed to remedy the failure of one or more network entities, and hence of the network as a whole. It would also limit the likelihood that the conditions for triggering the guarantee covering the liabilities of Crédit Agricole S.A. (granted in 1988 to its third party creditors by the Regional Banks on a joint and several basis, and up to the aggregate amount of their own funds) are met. It should be recalled that this guarantee may be triggered in the event of an asset shortfall following Crédit Agricole S.A.'s bankruptcy or dissolution.

Specific guarantees provided by the Regional Banks to Crédit Agricole S.A. (Switch)

The Switch guarantee mechanism, established on 23 December 2011 and supplemented by an initial addendum signed on 19 December 2013 and twice amended in 2016 on 17 February (Amendment No. 2) and 21 July (Amendment No. 3), respectively, forms part of the financial relationship between Crédit Agricole S.A., as corporate centre, and the mutual network of Crédit Agricole Regional Banks. The most recent amendments to these guarantees took effect retroactively on 1 July 2016, replacing the previous guarantees, and expire on 1 March 2027, subject to total or partial early termination or extension in accordance with the terms of the contract. A first partial termination corresponding to 35% of the Switch guarantees took place on 2 March 2020.

With this mechanism, and subject to the upper limit specified in the agreement, the Regional Banks assume, on behalf of Crédit Agricole S.A., regulatory prudential requirements relating to the equity method of accounting for certain equity investments held by Crédit Agricole S.A. They also assume the associated economic risks in the form of compensation, where applicable.

The guarantees allow the transfer of regulatory prudential requirements that apply to Crédit Agricole S.A.'s equity investments in Crédit Agricole Assurances (CAA), the latter being equity-accounted for regulatory reasons: we are talking about the Insurance Switch guarantees. They are subject to fixed compensation covering the present value of the risk and the cost of capital for the Regional Banks.

The effectiveness of the mechanism is secured by cash deposits paid by the Regional Banks to Crédit Agricole S.A. These security deposits are calibrated to reflect the capital savings for Crédit Agricole S.A., and are compensated at a fixed rate based on conditions prevailing for long-term liquidity.

The Insurance Switch guarantees protect Crédit Agricole S.A. from a decline in the equity-accounted value of these equity investments, subject to payment by the Regional Banks of compensation from the cash deposit. Likewise, if the equity-accounted value later recovers, Crédit Agricole S.A. could return previously paid compensation in accordance with a clawback provision.

In regulatory terms:

- Crédit Agricole S.A. reduces its capital requirements in proportion to the amount of the guarantee provided by the Regional Banks;
- the Regional Banks symmetrically record capital requirements matching those offloaded by Crédit Agricole S.A.

This mechanism, which is neutral at the Crédit Agricole Group level, enables the rebalancing of capital allocation between Crédit Agricole S.A. and the Regional Banks.

Capital ties between Crédit Agricole S.A. and the Regional Banks

The capital ties between Crédit Agricole S.A. and the Regional Banks are governed by an agreement entered into by the parties prior to Crédit Agricole S.A.'s initial public offering.

Under the terms of this agreement, the Regional Banks exercise their control over Crédit Agricole S.A. through SAS Rue La Boétie, a holding company wholly owned by the Regional Banks. The purpose of SAS Rue La Boétie is to hold enough shares to ensure that it always owns at least 50% of the share capital and voting rights of Crédit Agricole S.A.

In addition, under the agreement, Crédit Agricole S.A. directly owned approximately 25% of the share capital of each Regional Bank (except for *Caisse régionale de la Corse* which is 99.9%-owned). Following the transaction to simplify the Group's capital structure on 3 August 2016, the bulk of the cooperative investment certificates ("*certificats coopératifs d'investissement*" or CCIs) and the cooperative associate certificates ("*certificats coopératifs d'associés*" or CCAs) held by Crédit Agricole S.A. were transferred to a holding company ("*Sacam Mutualisation*") jointly owned by the Regional Banks.

INFORMATION PERTAINING TO THE RELATED PARTIES

Parties related to the Crédit Agricole Group are the consolidated companies, including equity-accounted entities, as well as the Group's senior management.

Other shareholders' agreements

Shareholder agreements signed during the financial year are detailed in Note 2 "Major structural transactions and material events during the period".

Relationships between controlled companies affecting the consolidated balance sheet

A list of Crédit Agricole Group companies can be found in Note 12 "Scope of consolidation at 31 December 2020". Since the transactions and outstandings at year-end between the Group's fully consolidated companies are eliminated on consolidation, only transactions with companies consolidated by the equity method affect the Group's consolidated financial statements.

The main corresponding amounts outstanding and commitments in the consolidated balance sheet at 31 December 2020 relate to transactions with the equity-accounted entities for the following amounts:

- loans and receivables due from credit institutions: €2,783 million;
- loans and receivables due from customers: €2,811 million;
- debt due to credit institutions: €1,180 million;
- debts due to customers: €383 million;
- commitments given on financial instruments: €7,410 million;
- commitments received on financial instruments: €4,051 million.

The transactions entered into with these entities did not have a material effect on the income statement for the period.

Management of retirement, early retirement and end-of-career allowances: internal hedging contracts within the Group

As presented in Note 1.2 "Accounting policies and principles", employees are provided with various types of post-employment benefits. These include:

- end-of-career allowances;
- retirement plans, which may be either "defined-contribution" or "defined-benefit" plans.

The liability in this respect is partially funded by collective insurance contracts taken out with Predica, the Crédit Agricole Group's life insurance company.

These contracts govern:

- the setting up by the insurance company of mutual funds for investing contributions made by the employer to build up sufficient funds to cover end-of-career allowances or the various pension schemes;
- the management of the funds by the insurance company;
- the payment to the beneficiaries of the allowances and of the benefits due under the various plans.

Information on post-employment benefits is provided in Note 7 "Employee benefits and other compensation" in paragraphs 7.3 and 7.4.

Relations with senior management

Given the mutually held structure of the Crédit Agricole Group and the broad scope of the reporting entity, the concept of an executive as defined by IAS 24 is not representative of the governance rules in force within the Crédit Agricole Group.

Accordingly, the information on executive compensation required by IAS 24 is not presented.

CONSOLIDATED FINANCIAL STATEMENTS

INCOME STATEMENT

(in millions of euros)	Notes	31/12/2020	31/12/2019
Interest and similar income	4.1	31,500	33,509
Interest and similar expenses	4.1	(12,710)	(15,512)
Fee and commission income	4.2	13,376	13,721
Fee and commission expenses	4.2	(3,933)	(4,162)
Net gains (losses) on financial instruments at fair value through profit or loss	4.3	2,452	17,446
<i>Net gains (losses) on held for trading assets/liabilities</i>		2,526	4,751
<i>Net gains (losses) on other financial assets/liabilities at fair value through profit or loss</i>		(74)	12,695
Net gains (losses) on financial instruments at fair value through other comprehensive income	4.4	691	336
<i>Net gains (losses) on debt instruments at fair value through other comprehensive income that may be reclassified subsequently to profit or loss</i>		585	167
<i>Remuneration of equity instruments measured at fair value through other comprehensive income that will not be reclassified subsequently to profit or loss (dividends)</i>		106	169
Net gains (losses) arising from the derecognition of financial assets at amortised cost	4.5	33	(10)
Net gains (losses) arising from the reclassification of financial assets at amortised cost to financial assets at fair value through profit or loss		-	-
Net gains (losses) arising from the reclassification of financial assets at fair value through other comprehensive income to financial assets at fair value through profit or loss		-	-
Income on other activities	4.6	37,367	42,006
Expenses on other activities	4.6	(35,372)	(53,592)
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	5.3	192	(445)
Revenues		33,596	33,297
Operating expenses	4.7	(19,921)	(20,088)
Depreciation, amortisation and impairment of property, plant and equipment and intangible assets	4.8	(1,907)	(1,724)
Gross operating income		11,768	11,485
Cost of risk	4.9	(3,651)	(1,757)
Operating income		8,117	9,728
Share of net income of equity-accounted entities		419	356
Net gains (losses) on other assets	4.10	52	36
Change in value of goodwill	6.16	(968)	(642)
Pre-tax income		7,620	9,478
Income tax	4.11	(2,165)	(1,736)
Net income from discontinued operations	6.12	(262)	(38)
Net income		5,193	7,704
Non-controlling interests	6.21	504	506
NET INCOME GROUP SHARE		4,689	7,198

NET INCOME AND OTHER COMPREHENSIVE INCOME

(in millions of euros)	Notes	31/12/2020	31/12/2019
Net income		5,193	7,704
Actuarial gains and losses on post-employment benefits	4.12	(133)	(212)
Other comprehensive income on financial liabilities attributable to changes in own credit risk ⁽¹⁾	4.12	(149)	(77)
Other comprehensive income on equity instruments that will not be reclassified to profit or loss ⁽¹⁾	4.12	(242)	309
Pre-tax other comprehensive income on items that will not be reclassified to profit or loss excluding equity-accounted entities	4.12	(524)	20
Pre-tax other comprehensive income on items that will not be reclassified to profit or loss on equity-accounted entities	4.12	6	(24)
Income tax related to items that will not be reclassified to profit or loss excluding equity-accounted entities	4.12	103	45
Income tax related to items that will not be reclassified to profit or loss on equity-accounted entities	4.12	(2)	6
Other comprehensive income on items that will not be reclassified to profit or loss from discontinued operations	4.12	1	3
Other comprehensive income on items that will not be reclassified subsequently to profit or loss net of income tax	4.12	(416)	50
Gains and losses on translation adjustments	4.12	(806)	313
Gains and losses on debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	4.12	602	1,185
Gains and losses on hedging derivative instruments	4.12	345	360
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	4.12-5.3	(198)	435
Pre-tax other comprehensive income on items that may be reclassified to profit or loss excluding equity-accounted entities	4.12	(57)	2,293
Pre-tax other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities, Group Share	4.12	(135)	7
Income tax related to items that may be reclassified to profit or loss excluding equity-accounted entities	4.12	(276)	(493)
Income tax related to items that may be reclassified to profit or loss on equity-accounted entities	4.12	1	1
Other comprehensive income on items that may be reclassified to profit or loss from discontinued operations	4.12	5	(11)
Other comprehensive income on items that may be reclassified subsequently to profit or loss net of income tax	4.12	(462)	1,797
OTHER COMPREHENSIVE INCOME NET OF INCOME TAX	4.12	(878)	1,847
NET INCOME AND OTHER COMPREHENSIVE INCOME		4,315	9,551
Of which Group share		3,900	9,006
Of which non-controlling interests		415	545

(1) Of which €42 million of items transferred to Reserves of items that cannot be reclassified.

BALANCE SHEET – ASSETS

<i>(in millions of euros)</i>	Notes	31/12/2020	31/12/2019
Cash, central banks	6.1	197,792	97,135
Financial assets at fair value through profit or loss	3.1-6.2-6.6-6.7	438,534	404,336
<i>Held for trading financial assets</i>		258,187	227,698
<i>Other financial assets at fair value through profit or loss</i>		180,347	176,638
Hedging derivative Instruments	3.2-3.4	22,965	20,947
Financial assets at fair value through other comprehensive income	3.1-6.4-6.6-6.7	277,909	272,312
<i>Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss</i>		274,260	268,299
<i>Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss</i>		3,649	4,013
Financial assets at amortised cost	3.1-3.3-6.5-6.6-6.7	1,165,650	1,109,579
<i>Loans and receivables due from credit institutions</i>		89,954	100,949
<i>Loans and receivables due from customers</i>		965,490	913,496
<i>Debt securities</i>		110,206	95,134
Revaluation adjustment on interest rate hedged portfolios		13,524	11,714
Current and deferred tax assets	6.10	6,619	6,293
Accruals, prepayments and sundry assets	6.11	45,613	44,440
Non-current assets held for sale and discontinued operations	6.12	5,017	475
Deferred participation	6.17	-	-
Investments in equity-accounted entities	6.13	7,423	7,103
Investment property	6.14	7,362	7,277
Property, plant and equipment	6.15	10,539	10,153
Intangible assets	6.15	3,431	3,383
Goodwill	6.16	15,134	15,819
TOTAL ASSETS		2,217,512	2,010,966

BALANCE SHEET – LIABILITIES

<i>(in millions of euros)</i>	Notes	31/12/2020	31/12/2019
Central banks	6.1	864	2,183
Financial liabilities at fair value through profit or loss	6.2	263,160	245,109
<i>Held for trading financial liabilities</i>		227,318	205,061
<i>Financial liabilities designated at fair value through profit or loss</i>		35,842	40,048
Hedging derivative Instruments	3.2-3.4	23,725	20,498
Financial liabilities at amortised cost		1,334,171	1,168,448
<i>Due to credit institutions</i>	3.3-6.8	198,942	99,575
<i>Due to customers</i>	3.1-3.3-6.8	963,433	855,507
<i>Debt securities</i>	3.3-6.8	171,796	213,366
Revaluation adjustment on interest rate hedged portfolios		11,541	10,508
Current and deferred tax liabilities	6.10	3,507	3,995
Accruals, deferred income and sundry liabilities	6.11	54,204	51,366
Liabilities associated with non-current assets held for sale and discontinued operations	6.12	3,552	478
Insurance company technical reserves	6.17	365,556	358,249
Provisions	6.18	6,862	6,937
Subordinated debt	3.3-6.19	23,896	21,661
Total Liabilities		2,091,038	1,889,432
Equity		126,474	121,534
Equity – Group share		119,565	114,972
Share capital and reserves		30,217	28,676
Consolidated reserves		82,333	75,983
Other comprehensive income		2,319	3,115
Other comprehensive income on discontinued operations		7	-
Net income (loss) for the year		4,689	7,198
Non-controlling interests		6,909	6,562
TOTAL LIABILITIES AND EQUITY		2,217,512	2,010,966

STATEMENT OF CHANGES IN EQUITY

	Group share									
	Share and capital reserves					Other comprehensive income				
	Share capital	Share premium and consolidated reserves ⁽¹⁾	Elimination of treasury shares	Other equity instruments	Total capital and consolidated reserves	Other comprehensive income on items that may be reclassified to profit and loss	Other comprehensive income on items that will not be reclassified to profit and loss	Total other comprehensive income	Net income	Total equity
<i>(in millions of euros)</i>										
Equity at 1 January 2019 published	11,145	89,528	(274)	5,011	105,410	2,332	(1,025)	1,307	-	106,717
Impacts of new accounting standards	-	-	-	-	-	-	-	-	-	-
Equity at 1 January 2019	11,145	89,528	(274)	5,011	105,410	2,332	(1,025)	1,307	-	106,717
Capital increase	763	86	-	-	849	-	-	-	-	849
Changes in treasury shares held	-	-	50	-	50	-	-	-	-	50
Issuance/redemption of equity instruments	-	(116)	-	123	7	-	-	-	-	7
Remuneration of undated deeply subordinated notes	-	(485)	-	-	(485)	-	-	-	-	(485)
Dividends paid in 2019	-	(2,546)	-	-	(2,546)	-	-	-	-	(2,546)
Dividends received from Regional Banks and their subsidiaries	-	1,474	-	-	1,474	-	-	-	-	1,474
Impact of acquisitions/disposals on non-controlling interests	-	-	-	-	-	-	-	-	-	-
Changes due to share-based payments	-	27	-	-	27	-	-	-	-	27
Changes due to transactions with shareholders	763	(1,560)	50	123	(624)	-	-	-	-	(624)
Changes in other comprehensive income	-	(26)	-	-	(26)	1,739	78	1,817	-	1,791
Of which other comprehensive income on equity instruments that will not be reclassified to profit or loss reclassified to consolidated reserves	-	(19)	-	-	(19)	-	19	19	-	-
Of which other comprehensive income attributable to changes in own credit risk reclassified to consolidated reserves	-	(8)	-	-	(8)	-	8	8	-	-
Share of changes in equity-accounted entities	-	2	-	-	2	8	(17)	(9)	-	(7)
Net income for 2019	-	-	-	-	-	-	-	-	7,198	7,198
Other changes	-	(103)	-	-	(103)	-	-	-	-	(103)
Equity at 31 December 2019	11,908	87,841	(224)	5,134	104,659	4,079	(964)	3,115	7,198	114,972
Appropriation of 2019 net income	-	7,198	-	-	7,198	-	-	-	(7,198)	-
Equity at 1 January 2020	11,908	95,039	(224)	5,134	111,857	4,079	(964)	3,115	-	114,972
Impacts of new accounting standards	-	-	-	-	-	-	-	-	-	-
Equity at 1 January 2020 Restated	11,908	95,039	(224)	5,134	111,857	4,079	(964)	3,115	-	114,972
Capital increase	702	56	-	-	758	-	-	-	-	758
Changes in treasury shares held	-	-	(15)	-	(15)	-	-	-	-	(15)
Issuance/redemption of equity instruments	-	(5)	-	754	749	-	-	-	-	749
Remuneration of undated deeply subordinated notes	-	(383)	-	-	(383)	-	-	-	-	(383)
Dividends paid in 2020	-	(556)	-	-	(556)	-	-	-	-	(556)
Dividends received from Regional Banks and their subsidiaries	-	350	-	-	350	-	-	-	-	350
Impact of acquisitions/disposals on non-controlling interests	-	-	-	-	-	-	-	-	-	-
Changes due to share-based payments	-	49	-	-	49	-	-	-	-	49
Changes due to transactions with shareholders	702	(489)	(15)	754	952	-	-	-	-	952
Changes in other comprehensive income	-	(35)	-	-	(35)	(296)	(397)	(693)	-	(728)
Of which other comprehensive income on equity instruments that will not be reclassified to profit or loss reclassified to consolidated reserves	-	(30)	-	-	(30)	-	30	30	-	-
Of which other comprehensive income attributable to changes in own credit risk reclassified to consolidated reserves	-	(5)	-	-	(5)	-	5	5	-	-
Share of changes in equity-accounted entities	-	-	-	-	-	(100)	4	(96)	-	(96)
Net income for 2020	-	-	-	-	-	-	-	-	4,689	4,689
Other changes ⁽²⁾	-	(224)	-	-	(224)	-	-	-	-	(224)
EQUITY AT 31 DECEMBER 2020	12,610	94,291	(239)	5,888	112,550	3,683	(1,357)	2,326	4,689	119,565

(1) Consolidated reserves before elimination of treasury shares.

(2) Adjustment of the tax effects of a net investment hedge (NIH) reclassified as other comprehensive income on items that may be reclassified to profit and loss.

	Non-controlling interests					
	Other comprehensive income					
	Capital, associated reserves and income	Other comprehensive income on items that may be reclassified to profit and loss	Other comprehensive income on items that will not be reclassified to profit and loss	Total other comprehensive income	Total equity	Total consolidated equity
(in millions of euros)						
Equity at 1 January 2019 published	5,597	(120)	(6)	(126)	5,471	112,188
Impacts of new accounting standards	-	-	-	-	-	-
Equity at 1 January 2019	5,597	(120)	(6)	(126)	5,471	112,188
Capital increase	-	-	-	-	-	849
Changes in treasury shares held	-	-	-	-	-	50
Issuance/redemption of equity instruments	13	-	-	-	13	20
Remuneration of undated deeply subordinated notes	(12)	-	-	-	(12)	(497)
Dividends paid in 2019	(345)	-	-	-	(345)	(2,891)
Dividends received from Regional Banks and their subsidiaries	-	-	-	-	-	1,474
Impact of acquisitions/disposals on non-controlling interests	-	-	-	-	-	-
Changes due to share-based payments	11	-	-	-	11	38
Changes due to transactions with shareholders	(333)	-	-	-	(333)	(957)
Changes in other comprehensive income	-	50	(11)	39	39	1,830
Of which other comprehensive income on equity instruments that will not be reclassified to profit or loss reclassified to consolidated reserves	-	-	-	-	-	-
Of which other comprehensive income attributable to changes in own credit risk reclassified to consolidated reserves	-	-	-	-	-	-
Share of changes in equity-accounted entities	1	-	-	-	1	(6)
Net income for 2019	506	-	-	-	506	7,704
Other changes	878	-	-	-	878	775
Equity at 31 December 2019	6,649	(70)	(17)	(87)	6,562	121,534
Appropriation of 2019 net income	-	-	-	-	-	-
Equity at 1 January 2020	6,649	(70)	(17)	(87)	6,562	121,534
Impacts of new accounting standards	-	-	-	-	-	-
Equity at 1 January 2020 Restated	6,649	(70)	(17)	(87)	6,562	121,534
Capital increase	-	-	-	-	-	758
Changes in treasury shares held	-	-	-	-	-	(15)
Issuance/redemption of equity instruments	2	-	-	-	2	751
Remuneration of undated deeply subordinated notes	(91)	-	-	-	(91)	(474)
Dividends paid in 2020	(98)	-	-	-	(98)	(654)
Dividends received from Regional Banks and their subsidiaries	-	-	-	-	-	350
Impact of acquisitions/disposals on non-controlling interests	-	-	-	-	-	-
Changes due to share-based payments	7	-	-	-	7	56
Changes due to transactions with shareholders	(180)	-	-	-	(180)	772
Changes in other comprehensive income	(1)	(32)	(23)	(55)	(56)	(784)
Of which other comprehensive income on equity instruments that will not be reclassified to profit or loss reclassified to consolidated reserves	(1)	-	1	1	-	-
Of which other comprehensive income attributable to changes in own credit risk reclassified to consolidated reserves	-	-	-	-	-	-
Share of changes in equity-accounted entities	-	(34)	-	(34)	(34)	(130)
Net income for 2020	504	-	-	-	504	5,193
Other changes ⁽¹⁾	113	-	-	-	113	(111)
EQUITY AT 31 DECEMBER 2020	7,085	(136)	(40)	(176)	6,909	126,474

(1) The other changes principally concern the inclusion of Amundi BOC Wealth Management Company Limited (with an Amundi stake of 55%) with an impact of +€57 million in equity and the adjustment of tax effects of a net investment hedge (NIH) reclassified as other comprehensive income on items that may be reclassified to profit and loss.

CASH FLOW STATEMENT

The cash flow statement is presented using the indirect method.

Operating activities are representative of income-generating activities of the Crédit Agricole Group.

Tax inflows and outflows are included in full within operating activities.

Investment activities show the impact of cash inflows and outflows associated with purchases and sales of investments in consolidated and non-consolidated companies, property, plant and equipment and intangible assets. This section includes strategic equity investments classified as at “Fair value through profit or loss” or “Fair value through other comprehensive income on items that cannot be reclassified”.

Financing activities show the impact of cash inflows and outflows associated with operations of financial structure concerning equity and long-term borrowing.

The **net cash flows** attributable to the operating, investment and financing activities of **discontinued operations** are presented on separate lines in the cash flow statement.

Net cash and cash equivalents include cash, debit and credit balances with central banks and debit and credit demand balances with credit institutions.

(in millions of euros)	Notes	31/12/2020	31/12/2019
Pre-tax income		7,620	9,478
Net depreciation and impairment of property, plant and equipment and intangible assets		1,907	1,722
Impairment of goodwill and other fixed assets	6.16	968	642
Net addition to provisions		10,702	23,470
Share of net income (loss) of equity-accounted entities		(507)	(613)
Net income (loss) from investment activities		(52)	(36)
Net income (loss) from financing activities		3,044	2,982
Other movements		1,391	4,790
Total Non-cash and other adjustment items included in pre-tax income		17,453	32,957
Change in interbank items		88,338	(1,016)
Change in customer items		50,669	(4,533)
Change in financial assets and liabilities		(85,507)	(23,034)
Change in non-financial assets and liabilities		1,343	3,472
Dividends received from equity-accounted entities ⁽¹⁾		185	308
Taxes paid		(3,240)	(2,475)
Net change in assets and liabilities used in operating activities		51,788	(27,278)
Cash provided (used) by discontinued operations		(57)	32
Total Net cash flows from (used by) operating activities (A)		76,804	15,189
Change in equity investments ⁽²⁾		(2,388)	7,185
Change in property, plant and equipment and intangible assets		(1,439)	(1,854)
Cash provided (used) by discontinued operations		(3)	-
Total Net cash flows from (used by) investing activities (B)		(3,830)	5,331
Cash received from (paid to) shareholders ⁽³⁾		951	(935)
Net cash flows from (used in) financing activities ⁽⁴⁾		8,103	4,371
Cash provided (used) by discontinued operations		(129)	(9)
Total Net cash flows from (used by) financing activities (C)		8,925	3,427
Impact of exchange rate changes on cash and cash equivalent (D)		(1,307)	1,278
NET INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENT (A + B + C + D)		80,592	25,225
Cash and cash equivalents at beginning of period		114,350	89,125
Net cash accounts and accounts with central banks*		95,003	69,432
Net demand loans and deposits with credit institutions**		19,347	19,693
Cash and cash equivalents at end of period		194,942	114,350
Net cash accounts and accounts with central banks*		196,680	95,003
Net demand loans and deposits with credit institutions**		(1,738)	19,347
NET CHANGE IN CASH AND CASH EQUIVALENTS		80,592	25,225

* Consisting of the net balance of the "Cash, central banks" item, excluding accrued interest and including cash of entities reclassified as discontinued operations.

** Consisting of the balance of the "Non doubtful current accounts in debit" and "Non doubtful overnight accounts and advances" items as detailed in Note 6.5 and the "Current accounts in credit" and "Overnight accounts and deposits" items as detailed in Note 6.8 (excluding accrued interest).

(1) **Dividends received from equity-accounted entities:** at 31 December 2020, this amount includes the payment of dividends from insurance entities for €139 million, from Crédit Agricole Consumer Finance subsidiaries for €25 million, from Amundi subsidiaries for €13 million and from other Crédit Agricole Group entities for €8 million.

(2) **Change in equity investments:** this line shows the net effects on cash of acquisitions and disposals of equity investments.

– The net impact on Group cash of acquisitions and disposals of consolidated equity investments (subsidiaries and equity-accounted entities) at 31 December 2020 is -€604 million. The main transactions concern the acquisition of Sabadell Asset Management for -€424 million, CALEF's takeover of 70% of Hama Polska for -€31 million, and the subscription to capital increases of equity-accounted entities, including Korian for -€115 million, the creation of Amundi BOC Wealth Management Company Limited for -€72 million, the acquisition of 100% control of Menafinance for -€29.3 million of net cash acquired and +€30 million of net cash acquired in connection with the disposal of NACARAT.

– During the same period, the net impact on the Group cash position of acquisitions and disposals of non-consolidated equity investments came to -€1,784 million, essentially from insurance investments.

(3) **Cash received from (paid to) shareholders:** this amount is predominantly comprised of -€778 million in dividends paid, excluding dividends paid in shares, by the Crédit Agricole Group. It breaks down as follows:

– dividends paid by the Regional Banks and subsidiaries for -€206 million;

– dividends paid by subsidiaries to minority shareholders for -€98 million; and

– interest, equivalent to dividends on undated financial instruments treated as equity for -€474 million.

This amount also includes capital increases at the Local Banks for +€596 million, at Crédit Agricole S.A. for +€163 million and issues and redemptions of equity instruments for +€752 million.

(4) **Other cash provided (used) by financing activities:** at 31 December 2020, debt issues totalled +€21,267 million and redemptions -€12,217 million. Subordinated debt issues totalled +€3,733 million and redemptions -€1,613 million.

This line also includes cash flows from interest payments on subordinated debt and bonds for -€3,173 million.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

Note 1	Group accounting policies and principles, assessments and estimates applied	213	6.6	Transferred assets not derecognised or derecognised with on-going involvement	296
1.1	Applicable standards and comparability	213	6.7	Exposure to sovereign risk	300
1.2	Accounting policies and principles	215	6.8	Financial liabilities at amortised cost	302
1.3	Consolidation principles and methods (IFRS 10, IFRS 11 and IAS 28)	231	6.9	Information on the offsetting of financial assets and financial liabilities	303
Note 2	Major structural transactions and material events during the period	233	6.10	Current and deferred tax assets and liabilities	305
2.1	COVID-19 health crisis	233	6.11	Accrued income and expenses and other assets and liabilities	306
2.2	Main changes in the scope of consolidation	236	6.12	Non-current assets held for sale and discontinued operations	307
2.3	Benchmark bond issue on the Panda market	237	6.13	Joint ventures and associates	307
2.4	Social bond issuance	237	6.14	Investment property	310
2.5	New definition of default	237	6.15	Property, plant and equipment and intangible assets (excluding goodwill)	311
2.6	"Switch" guarantee mechanism	238	6.16	Goodwill	312
2.7	Depreciation of goodwill on CA Italia	238	6.17	Insurance company technical reserves	314
2.8	Capital increase reserved for employees	238	6.18	Provisions	315
2.9	Voluntary public cash tender offer by Crédit Agricole Italia for all shares of Credito Valtellinese	239	6.19	Subordinated debt	320
2.10	Cheque Image Exchange dispute	239	6.20	Undated subordinated and deeply subordinated debt	321
Note 3	Financial management, risk exposure and hedging policy	239	6.21	Net profit (loss) for the year attributable to minority interests	323
3.1	Credit risk	239	6.22	Breakdown of financial assets and financial liabilities by contractual maturity	324
3.2	Market risk	261	Note 7	Employee benefits and other compensation	325
3.3	Liquidity and financing risk	265	7.1	Analysis of employee expenses	325
3.4	Hedge accounting	267	7.2	Average headcount	325
3.5	Operational risks	274	7.3	Post-employment benefits, defined-contribution plans	325
3.6	Capital management and regulatory ratios	274	7.4	Post-employment benefits, defined-benefit plans	326
Note 4	Notes on net income and other comprehensive income	275	7.5	Other employee benefits	328
4.1	Interest income and expenses	275	7.6	Share-based payments	328
4.2	Fees and commissions income and expense	275	Note 8	Lease agreements	329
4.3	Net gains (losses) on financial instruments at fair value through profit or loss	276	8.1	Leases for which the Group is the lessee	329
4.4	Net gains (losses) on financial instruments at fair value through other comprehensive income	277	8.2	Leases for which the Group is the lessor	330
4.5	Net gains (losses) arising from the derecognition of financial assets at amortised cost	277	Note 9	Commitments given and received and other guarantees	331
4.6	Net income (expenses) on other activities	277	Note 10	Reclassification of financial instruments	332
4.7	Operating expenses	277	Note 11	Fair value of financial instruments	333
4.8	Amortisation of intangible assets and depreciation of property, plant and equipment	278	11.1	Fair value of financial assets and liabilities recognised at amortised cost	334
4.9	Cost of risk	279	11.2	Information about financial instruments measured at fair value	336
4.10	Net gains (losses) on other assets	279	11.3	Estimated impact of inclusion of the margin at inception	347
4.11	Income tax charge	280	Note 12	Scope of consolidation at 31 December 2020	348
4.12	Changes in other comprehensive income	281	12.1	Information on subsidiaries	348
Note 5	Segment reporting	284	12.2	Composition of the scope	349
5.1	Operating segment information	285	Note 13	Investments in non-consolidated companies and structured entities	367
5.2	Segment information: geographical analysis	286	13.1	Information on subsidiaries	367
5.3	Insurance specificities	287	13.2	Non-consolidated structured entities	367
Note 6	Notes to the balance sheet	290	Note 14	Events subsequent to 31 December 2020	370
6.1	Cash, central banks	290	14.1	Unwinding of 15% of the "Switch" guarantee mechanism	370
6.2	Financial assets and liabilities at fair value through profit or loss	290	14.2	Completion of the sale of Bankoia to Abanca	370
6.3	Hedging derivatives	292	14.3	Redemption by Crédit Agricole Consumer Finance of 49% of the capital of the joint venture Crédit Agricole Consumer Finance Bankia S.A.	370
6.4	Financial assets at fair value through other comprehensive income	292			
6.5	Financial assets at amortised cost	294			

NOTE 1 Group accounting policies and principles, assessments and estimates applied**1.1 APPLICABLE STANDARDS AND COMPARABILITY**

Pursuant to EC Regulation no. 1606/2002, the consolidated financial statements have been prepared in accordance with IAS/IFRS standards and IFRIC interpretations applicable at 31 December 2020 and as adopted by the European Union (carve-out version), thus using certain exceptions in the application of IAS 39 on macro-hedge accounting.

These standards and interpretations are available on the European Commission website at: https://ec.europa.eu/info/business-economy-euro/company-reporting-and-auditing/company-reporting/financial-reporting_en

The standards and interpretations are the same as those applied and described in the Group's financial statements for the financial year ended 31 December 2019.

They have been supplemented by the IFRS standards as adopted by the European Union at 31 December 2020 and that must be applied for the first time in 2020.

These cover the following:

Standards, amendments or interpretations	Applicable in the Group	Date of first-time application: financial years from
Amendment to references to the conceptual framework in the IFRS standards	Yes	1 January 2020
IAS 1/IAS 8 Presentation of Financial statements		
Definition of material	Yes	1 January 2020
Amendment to IFRS 9, IAS 39 and IFRS 7 Financial Instruments		
Interest rate benchmark reform – Phase 1	Yes	1 January 2020 ⁽¹⁾
Amendment to IFRS 3 Business combinations		
Definition of a business	Yes	1 January 2020
Amendment to IFRS 16 Leases⁽²⁾		
Rent concessions related to COVID-19	Yes	1 June 2020

(1) The Group decided to early apply the amendment to IFRS 9, IAS 39 and IFRS 7 Financial Instruments on the Interest rate benchmark reform from 1 January 2019. Non-significant impact at 31 December 2020 of the application of the interest rate benchmark reform - Phase 1.

(2) Non-material impact at 31 December 2020 of the application of the amendment to IFRS 16 in 2020.

Moreover, as long as the early application of standards and interpretations adopted by the European Union is optional for a period, this option is not selected by the Group, unless otherwise stated.

This is the case in particular for:

Standards, amendments or interpretations	Applicable in the Group	Date of first-time application: financial years from
Amendment to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16		
Interest rate benchmark reform – Phase 2 ⁽²⁾	Yes	1 January 2021 ⁽¹⁾
Amendment to IFRS 4		
Optional deferral of the application of IFRS 9 for entities engaged primarily in insurance activities, including entities in the insurance industry owned by a financial conglomerate as at 1 January 2023	No	1 January 2021

(1) The Group decided to early apply the amendment to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 on the Interest rate benchmark reform – Phase 2 from 1 January 2020.

(2) Non-significant impact at 31 December 2020 of the application of the Interest rate benchmark reform – Phase 2.

Benchmark indices reforms

Reforms of benchmark indices, often referred to as “IBOR reforms”, have entered a new phase with the very gradual development of the use of risk-free rate indices (RFR: Risk Free Rates) in new contracts. The situation remains heterogeneous across currencies and asset classes. At this stage, a more significant increase in transaction volumes has been observed in the derivatives markets, particularly with the use of SONIA. Conversely, liquidity on the €STR markets is less developed.

For a majority of existing contracts that benchmark the interest rate indices that must be replaced, it is now considered that the replacement rates will

be a combination of forward rates (pre-determined or post-determined) calculated from RFRs and an adjustment spread, with the latter aimed at ensuring economic equivalence with the replaced index. Despite this strong orientation, at this stage the adoption of RFR and the limited number of contracts renegotiated to update fallback clauses or to proactively replace the benchmark, reflect heterogeneous levels of maturity in the detailed definition of the transition mechanisms – including agreements – according to currencies and asset classes. Developments of information systems, which are contingent on precise definitions of target replacement rates in order to be finalised, are still in progress.

The private sector remains at the forefront of these transitions. However, recent announcements suggest a possible intervention by the authorities to support transitions for contract scopes that could not be timely renegotiated, be it to replace the benchmark rate in anticipation of the disappearance of indexes, or to insert robust fallback clauses that allow for a transition to the disappearance of indexes. Nevertheless, in the absence of an ex-ante definition of the scope of contracts that could benefit from such support, the preparation of transition plans continues. In addition, proactive early transitions are still strongly encouraged by some authorities, such as the British authority (FCA: Financial Conduct Authority).

Specifically for the scope of derivative contracts, and by extension to Repo contracts and securities lending/borrowing contracts, the ISDA has finalised the implementation of a protocol that will enable the new fallback clauses to be automatically incorporated into the contract. This protocol is likely to simplify the transition of derivative contracts between the parties that have agreed to it. Crédit Agricole CIB and the entities that are most active in derivatives have joined. For other non-derivative instruments, such mechanism does not exist and numerous bilateral renegotiations will be necessary.

Crédit Agricole continues to steer benchmark index transitions through the Benchmarks project, by incorporating the recommendations of national working groups and the milestones set by the authorities, primarily the FCA. Thus, the project aims to follow the standards defined by the market. The timetable for the transition project revolves around the phases of adoption and alternative rate offers and the dates on which the use of indices whose discontinuation is announced. The transition plans finalised for each Crédit Agricole Group entity, incorporating the most recent conclusions of the working groups and market associations and, where applicable, details of possible government intervention, will be in operation in 2021.

With regard to the transition from Eonia to €STR (transition no later than 3 January 2022), work has been initiated. The clearing houses have switched the compensation of Eonia collateral to the €STR. The flows that benchmark the €STR are increasing only very gradually. Moreover, Euribor – like any benchmark – is likely to see its methodology changed or replaced in the long term. Nonetheless, the short-term replacement scenario of Euribor, following a timetable that would be similar to that of Libor transitions, is not anticipated at this stage.

As things stand, the list of the main benchmark indices at the Crédit Agricole Group level, and/or defined as critical by ESMA, that are affected by a certain or potential transition remains unchanged:

- Eonia, which will disappear on 3 January 2022;

- Libor (USD, GBP, CHF, JPY and EUR), which could cease to exist at the end of 2021 but has not yet been officially announced;

- Euribor, Wibor, Stibor, which may disappear, but not as anticipated in the short term.

Euribor, Libor (notably USD) and Eonia represent – in descending order – the Group's largest exposure to the benchmark indices.

In addition to preparing for the anticipated transitions and, at the very least, compliance with BMR, the project's work also aims at identifying and managing the risks inherent in the transitions to the benchmark indices, particularly on the financial, operational and customer protection aspects.

In order to ensure that the accounting hedging relationships affected by this benchmark interest rate reform can continue despite the uncertainties over the timetable and terms of transition between the current indices and the new indices, the IASB published amendments to IAS 39, IFRS 9 and IFRS 7 in September 2019, which were adopted by the European Union on 15 January 2020. The Group will apply these amendments as long as uncertainties about the benchmarks will concern the timings and amounts of interest rate benchmark-based cash flows and considers, in this respect, that all its hedging contracts, mainly those relating to Eonia, Euribor and Libor rates (USD, GBP, CHF, JPY), are eligible for hedge accounting at 31 December 2020.

As at 31 December 2020, the inventory of hedging derivatives impacted by the reform and on which uncertainties remain shows a nominal amount of €714 billion.

Other amendments, published by the IASB in August 2020, supplement those published in 2019 and focus on the accounting consequences of replacing the former reference interest rates with other reference rates following the reforms.

These amendments, known as "Phase 2", mainly are changes in contractual cash flows. They allow entities not to de-recognise or adjust the carrying amount of financial instruments to reflect the changes required by the reform, but rather to update the effective interest rate to reflect the change in the alternative reference rate.

With regard to hedge accounting, entities will not have to de-designate their hedging relationships when making the changes required by the reform.

The Group decided to early apply these amendments, from 1 January 2020.

At 31 December 2020, the breakdown by significant benchmark index of instruments, based on the old benchmark rates and which must move to the new rates before maturity, is as follows:

(in millions of euros)	EONIA	EURIBOR	LIBOR USD	LIBOR GBP	LIBOR JPY	LIBOR CHF	LIBOR EUR	WIBOR	STIBOR
Total non-derivative financial assets	4,924	179,740	76,655	6,484	13,958	3,043	2	2,734	156
Total non-derivative financial liabilities	6,891	85,164	38,152	2,424	1,349	145	5	1,537	68
Total notional amount of derivatives	480,999	3,739,984	2,856,661	363,087	956,350	95,769	-	9,313	29,402

With regard to Eonia index exposures, the outstandings carried forward are those with a maturity date after 3 January 2022, the transition date.

For non-derivative financial instruments, the exposures correspond to the nominal value of the securities and the outstanding capital of depreciable instruments.

Duration of leases IFRS 16 – IFRS IC decision of 26 November 2019

During the first half of 2019, IFRS IC received a request about the determination of the enforceable term for the recognition of lease agreements under IFRS 16, in particular for two types of lease agreements:

- leases without a contractual term, cancellable by either party subject to notice to terminate;
- leases that are renewable automatically (unless terminated by one of the parties), with no contractual penalty due in the event of termination.

At its meeting on 26 November 2019, IFRS IC recalled that, in application of IFRS 16 and in general, a lease is no longer enforceable when the lessee and lessor each have the right to terminate the lease without permission from the other party with no more than an insignificant penalty, and clarified that in determining the enforceable term of a lease, the broader economics of the contract must be taken into account, and that the notion of penalty is understood to go beyond contractual termination payments and includes any economic incentive not to terminate the contract.

This decision constitutes a change in the Group's approach to determining lease terms, and goes beyond the specific cases for which IFRS IC has received requests, as recalled by the AMF in its recommendations at 31 December 2019. In fact, the determination of the lease term to be used for the valuation of the right of use and the lease liability is made in accordance with IFRS 16 within this enforceable period.

As soon as this final decision of IFRS IC was published, the Crédit Agricole Group set up a project involving the accounting, finance, risk and IT departments in order to bring the matter into compliance for the 31 December 2020 year end.

The Group has chosen a term corresponding to the first exit option after five years as the reasonably certain term of a lease. This term, at the inception of French commercial leases, will be applied in the majority of cases. The main exception will be the case of a lease in which the Group has waived its three-year interim exit options (*e.g.* in return for a reduction in rental

income); in this case, the term of the lease will remain nine years. Crédit Agricole group did not identify any significant impact at 31 December 2020 of the IFRS IC November 26, 2019 decision's application.

Standards and interpretations not yet adopted by the European Union as at 31 December 2020

The standards and interpretations published by the IASB at 31 December 2020 but not yet adopted by the European Union are not applied by the Group. They will become mandatory only as from the date planned by the European Union and have not been applied by the Group at 31 December 2020.

This concerns IFRS 17 in particular.

IFRS 17 "Insurance Contracts" issued in May 2017 will replace IFRS 4. It will apply to financial years beginning 1 January 2023 subject to adoption by the European Union.

IFRS 17 sets out the new measurement and recognition principles for insurance contract liabilities and evaluation of their profitability, in addition to their presentation. Between 2017 and 2019, a framework on the implementation project in order to identify the challenges and impacts of the standard on the Group's insurance subsidiaries began. Analysis and preparation work for implementation continued in 2020.

1.2 ACCOUNTING POLICIES AND PRINCIPLES

Use of assessments and estimates to prepare the financial statements

Estimates made to draw up the financial statements are by nature based on certain assumptions and involve risks and uncertainties as to whether they will be achieved in the future.

Future results may be influenced by many factors, including:

- activity in domestic and international financial markets;
- fluctuations in interest and foreign exchange rates;
- the economic and political climate in certain industries or countries;
- changes in regulations or legislation.

This list is not exhaustive.

Accounting estimates based on assumptions are principally used in the following assessments:

- financial instruments measured at fair value;
- investments in non-consolidated companies;
- pension schemes and other post-employment benefits;
- stock option plans;
- impairment of debt instruments at amortised cost or at fair value through other comprehensive income that can be reclassified to profit or loss;
- provisions;
- impairment of goodwill;
- deferred tax assets;
- valuation of equity-accounted entities;

- policyholders' deferred profit sharing.

The procedures for the use of assessments or estimates are described in the relevant sections below.

Financial instruments (IFRS 9, IAS 32 and IAS 39)

Definitions

IAS 32 defines a financial instrument as any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity, meaning any contract representing contractual rights or obligations to receive or pay cash or other financial assets.

Derivative instruments are financial assets or liabilities whose value changes according to that of an underlying asset, which requires a low or nil initial investment, and for which settlement occurs at a future date.

Financial assets and liabilities are treated in the financial statements in accordance with IFRS 9 as adopted by the European Union, including for financial assets held by the Group's insurance entities.

IFRS 9 sets the principles governing the classification and measurement of financial instruments, impairment of credit risk and hedge accounting, excluding macro-hedging transactions.

It should nevertheless be noted that the Crédit Agricole Group has opted not to apply the IFRS 9 general hedging model. All hedging relationships consequently remain within the scope of IAS 39 pending future provisions relating to macro-hedging.

Conventions for valuing financial assets and liabilities

Initial measurement

During their initial recognition, financial assets and liabilities are measured at fair value as defined by IFRS 13.

Fair value as defined by IFRS 13 corresponds to the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants, on the principal or the most advantageous market, at the valuation date.

Subsequent measurement

After initial recognition, financial assets and liabilities are measured according to their classification either at amortised cost using the Effective Interest Rate Method (EIR) for debt instruments or at fair value as defined by IFRS 13. Derivative instruments are always measured at fair value.

Amortised cost corresponds to the amount at which the financial asset or liability is measured during its initial recognition, including transaction costs directly attributable to its acquisition or issue, reduced by repayments of principal, increased or reduced by the cumulative amortisation calculated by the Effective Interest Rate Method (EIR) on any difference (discount or premium) between the initial amount and the amount at maturity. In the case of a financial asset at amortised cost or at fair value through comprehensive income that can be reclassified to profit or loss, the amount may be adjusted if necessary in order to correct for impairment (see the section on "Provisions for credit risk").

The effective interest rate (EIR) is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to obtain the net carrying amount of the financial asset or financial liability.

Financial assets

Classification and measurement of financial assets

Non-derivative financial assets (debt or equity instruments) are classified on the balance sheet in accounting categories that determine their accounting treatment and their subsequent valuation mode.

The criteria for the classification and valuation of financial assets depends on the nature of the financial assets, according to whether they are qualified as:

- debt instruments (*e.g.* loans and fixed or determinable income securities); or
- equity instruments (*e.g.* shares).

These financial assets are classified in one of the following three categories:

- financial assets at fair value through profit or loss;
- financial assets at amortised cost (debt instruments only);
- financial assets at fair value through equity (for debt instruments, that can be reclassified to profit or loss; for equity instruments, that cannot be reclassified to profit or loss).

Debt instruments

The classification and valuation of a debt instrument depend on the combination of two criteria: the business model defined at portfolio level and the analysis of the contractual terms determined by debt instrument, unless the fair value option is used.

The three business models

The business model represents the strategy followed by the management of the Crédit Agricole Group for managing its financial assets in order to achieve its objectives. The business model is specified for a portfolio of assets and does not constitute a case-by-case intention for an isolated financial asset.

We distinguish three business models:

- the hold to collect model where the aim is to collect contractual cash flows over the lifetime of the assets; this model does not always imply holding all of the assets until their contractual maturity; however, sales of assets are strictly governed;
- the hold to collect and sell model where the aim is to collect the contractual cash flows over the lifetime of the assets and to sell the assets; under this model, both the sale of the financial assets and receipt of cash flows are essential; and
- the other/sell model, where the main aim is to sell the assets.

In particular, it concerns portfolios where the aim is to collect cash flows via sales, portfolios whose performance is assessed based on fair value and portfolios of financial assets held for trading.

When the management strategy for managing financial assets does not correspond to either the collect model or the collect and sell model, these financial assets are classified in a portfolio whose management model is other/sell.

The contractual terms ("Solely Payments of Principal & Interest" or "SPPI" test)

"SPPI" testing combines a set of criteria, examined cumulatively, to establish whether contractual cash flows meet the characteristics of simple financing (principal repayments and interest payments on the remaining amount of principal due).

The test is satisfied when the financing gives entitlement only to the repayment of the principal and when the payment of interest received reflects the time value of money, the credit risk associated with the instrument, the other costs and risks of a conventional loan contract and a reasonable margin, whether the interest rate is fixed or variable.

In simple financing, interest represents the cost of the passage of time, the price of credit and liquidity risk over the period, and other components related to the cost of carrying the asset (*e.g.* administrative costs etc.).

In some cases, when qualitative analysis of this nature does not allow a conclusion to be made, quantitative analysis (or benchmark testing) is carried out. This additional analysis consists of comparing the contractual cash flows of the asset under review with the cash flows of a benchmark asset.

If the difference between the cash flows of the financial asset and the benchmark asset is considered immaterial, the asset is deemed to be simple financing.

Moreover, specific analysis is conducted when the financial asset is issued by special purpose entities establishing a differentiated order of payment among the holders of the financial assets by contractually linking multiple instruments and creating concentrations of credit risk ("tranches").

Each tranche is assigned a rank of subordination that specifies the order of distribution of cash flows generated by the structured entity.

In this case, the "SPPI" test requires an analysis of the characteristics of contractual cash flows of the asset concerned and underlying assets according to the "look-through" approach and the credit risk borne by the tranches subscribed compared to the credit risk of the underlying assets.

The mode of recognition of debt instruments resulting from qualification of the business model combined with the “SPPI” test may be presented in the following diagram:

Debt instrument		Business models		
		Collect	Collect and sell	Other/Sell
SPPI test	Passed	Amortised cost	Fair value through other comprehensive income (items that may be reclassified)	Fair value through profit or loss (SPPI test N/A)
	Not passed	Fair value through profit or loss	Fair value through profit or loss	Fair value through profit or loss (SPPI test N/A)

Debt instruments at amortised cost

Debt instruments are measured at amortised cost if they are eligible for the hold to collect model and if they pass the “SPPI” test.

They are recorded at the settlement date and their initial valuation also includes accrued interest and transaction costs.

Amortisation of any premiums or discounts and loans and receivables transaction costs on fixed-income securities is recognised in the income statement using the Effective Interest Rate Method.

This category of financial assets is impaired under the conditions described in the specific paragraph “Provisioning for credit risks”.

Debt instruments at fair value through other comprehensive income (items that can be reclassified)

Debt instruments are measured at fair value through other comprehensive income on items that can be reclassified if they are eligible for the collect and sell model and if they pass the SPPI test.

They are recorded at the trade date and their initial valuation also includes accrued interest and transaction costs.

Amortisation of any premiums or discounts and transaction costs on fixed-income securities is recognised in the income statement using the Effective Interest Rate Method.

These financial assets are subsequently measured at fair value, with changes in fair value recorded in other comprehensive income on items that can be reclassified and offset against the outstandings account (excluding accrued interest recognised in profit or loss according to the Effective Interest Rate Method).

If the securities are sold, these changes are transferred to the income statement.

This category of financial instruments is subject to adjustments for expected losses (ECL) under the conditions described in the specific paragraph “Provisions for credit risks” (without this affecting the fair value on the balance sheet).

Debt instruments at fair value through profit or loss

Debt instruments are measured at fair value through profit or loss in the following cases:

- the instruments are classified in portfolios composed of financial assets held for trading or for which the main objective is disposal.
Financial assets held for trading are assets acquired or generated by the enterprise primarily with the aim of disposal in the short term or which are included in a portfolio of financial instruments managed as a unit and with the purpose of making a profit from short term price fluctuations or an arbitrage margin. Although contractual cash flows are received during the period the Crédit Agricole Group holds the assets, receiving these contractual cash flows is not essential but ancillary;
- debt instruments that do not fulfil the criteria of the “SPPI” test. This is notably the case of the UCITS;

- financial instruments classified in portfolios which the Crédit Agricole Group designates at fair value in order to reduce an accounting treatment difference on the income statement. In this case, the instrument is classified as designated at fair value through profit or loss.

Financial assets measured at fair value through profit or loss are initially recognised at fair value, excluding transaction costs (directly recorded to profit or loss) and including accrued interest.

They are subsequently measured at fair value and changes in fair value are recognised in profit or loss, under “Revenues”, offset against the outstandings account. Interest on these instruments are recorded under “Net gains (losses) on financial instruments at fair value through profit and loss”.

This category of financial assets is not impaired.

Debt instruments measured by definition at fair value through profit or loss whose business model is “Other/sell” are recorded at the trade date.

Debt instruments designated at fair value through profit or loss are recorded on the trade date.

Debt instruments measured by definition at fair value through profit or loss, failing the SPPI test, are recorded at the settlement date.

Equity instruments

Equity instruments are by default recognised at fair value through profit or loss, except in the case of the irrevocable option for classification at fair value through other comprehensive income on items that cannot be reclassified, providing that these instruments are not held for trading purposes.

Equity instruments at fair value through profit or loss

Financial assets measured at fair value through profit or loss are initially recognised at fair value, excluding transaction costs (directly recorded to profit or loss). Equity instruments held for trading purposes are recorded at the trade date. Equity instruments measured at fair value through profit or loss and not held for trading are recorded at the settlement date.

They are subsequently measured at fair value and changes in fair value are recognised in profit or loss, under Revenues, offset against the outstandings account.

This category of financial assets is not impaired.

Equity instruments at fair value through other comprehensive income on items that cannot be reclassified (irrevocable option)

The irrevocable option to recognise equity instruments at fair value through other comprehensive income on items that cannot be reclassified is adopted at the transactional level (line by line) and applies from the date of initial recognition. These securities are recorded at the trade date.

The initial fair value includes transaction costs.

During subsequent valuations, changes in fair value are recognised in other comprehensive income on items that cannot be reclassified. In case of disposal, these changes are not reclassified to profit or loss. The gain or loss on disposal is recognised in other comprehensive income.

Only dividends are recognised in profit or loss, if:

- the right of the entity to receive payment is established;
- it is probable that the economic benefits associated with the dividends will flow to the entity;
- the amount of dividends can be reliably estimated.

Reclassification of financial assets

In the case of a significant change in the business model used for managing financial assets (new activity, acquisition of entities, disposal or discontinuation of a significant activity), a reclassification of these financial assets is necessary. The reclassification applies to all financial assets in the portfolio from the date of reclassification.

In other cases, the business model remains unchanged for existing financial assets. If a new business model is identified, it applies prospectively to new financial assets grouped in a new management portfolio.

Temporary investments in/disposals of securities

Temporary disposals of securities (loans of securities, securities delivered under repurchase agreements) do not generally fulfil the conditions for derecognition.

Securities lent or sold under repurchase agreements remain on the balance sheet. In the case of securities under repurchase agreements, the amounts received, representing the liability to the transferee, are recognised on the liabilities side of the balance sheet by the transferor.

Securities borrowed or received under repurchase agreements are not recognised on the balance sheet of the transferee.

In the case of securities under repurchase agreements, a debt to the transferor is recorded on the balance sheet of the transferee and offset against the amount paid. If the security is subsequently resold, the transferee records a liability equivalent to the fair value of fulfilling their obligation to return the security received under the agreement.

Revenue and expenses relating to such transactions are posted to profit and loss on a prorated basis, except in the case of classification of assets and liabilities at fair value through profit or loss.

Derecognition of financial assets

A financial asset (or group of financial assets) is fully or partially derecognised if:

- the contractual rights to the cash flows from the financial asset expire;
- or are transferred or are deemed to have expired or been transferred because they belong *de facto* to one or more beneficiaries; and substantially all the risks and rewards of the financial asset are transferred.

In this case, any rights or obligations created or retained at the time of transfer are recognised separately as assets and liabilities.

If the contractual rights to the cash flows are transferred but some of the risks and rewards of ownership as well as control are retained, the financial assets continue to be recognised to the extent of the Group's continuing involvement in the asset.

Financial assets renegotiated for commercial reasons without financial difficulties of the counterpart with the aim of developing or keeping a commercial relation are derecognised at the date of the renegotiation. The new loans granted to customers are recorded at this date at their fair value on the date of renegotiation. Subsequent recognition depends on the business model and the SPPI test.

Interests paid by the government (IAS 20)

Under French government measures to support the agricultural and rural sector and to help home buyers, certain Crédit Agricole Group entities grant subsidised loans at rates fixed by the government. Consequently, the government pays these entities the difference between the subsidised lending rate and a predetermined benchmark rate. Thus, the loans that benefit from these subsidies are granted at market rates.

The subsidy system is periodically reviewed by the government.

In accordance with IAS 20, subsidies received from the government are recorded in profit or loss under Interest and similar income and spread over the life of the corresponding loans.

Overlay approach applicable to insurance activities

The Crédit Agricole Group uses the overlay approach for financial assets held for the purposes of an activity related to insurance contracts, which are designated in accordance with the option offered by the amendments to IFRS 4 "Applying IFRS 9 'Financial Instruments' with IFRS 4 'Insurance Contracts'", published by the IASB in September 2016.

This approach aims to remedy the temporary accounting consequences of the discrepancy between the effective date of IFRS 9 and that of the new standard on insurance contracts replacing IFRS 4 (IFRS 17). This has the effect of eliminating from the income statement part of the additional accounting mismatch and the temporary volatility which could be caused by application of IFRS 9 before IFRS 17 came into force.

Eligible financial assets are designated instrument by instrument, and this may be done:

- at 1 January 2018, during the initial application of IFRS 9; or
- subsequently, but only at the time of the initial recognition of the assets in question.

In application of the overlay approach, the Crédit Agricole Group reclassifies, for designated financial assets only, their impact in the income statement under other comprehensive income such that the amount presented in the income statement corresponds to that which would have been presented in the income statement if IAS 39 had been applied.

Consequently, the amount reclassified is equal to the difference between:

- the amount presented in net income under IFRS 9 for designated financial assets; and
- the amount that would have been presented in net income for designated financial assets if the insurer had applied IAS 39.

In the income statement, the effects of this reclassification are recognised under "revenues", before tax effects, on the line "Reclassification of net gains or losses on financial assets related to the overlay approach". The tax effects related to this reclassification are presented on the line "Income tax charge".

In the statement of other comprehensive income, the effects of this reclassification are recognised as net gains and losses recognised directly in other comprehensive income on items that may be reclassified to profit or loss on the line "Reclassification of net gains or losses on financial assets related to the overlay approach".

The financial assets that may be designated must fulfil the following characteristics:

- they are held by insurers within the Group for purposes of insurance activities;
- they are measured at fair value through profit or loss under IFRS 9 but would not have been measured in this way under IAS 39; they are financial assets which, under IAS 39 would have been recognised at amortised cost (assets held to maturity, loans and receivables) or at fair value through other comprehensive income (available-for-sale financial assets).

Evaluation of the impact of the designated financial assets on the income statement

Pursuant to the overlay approach, the Crédit Agricole Group continues to apply the accounting policies and principles that the Group applied under IAS 39 for the recognition of profit or loss from designated financial assets:

Financial assets at amortised cost under IAS 39

Financial assets at amortised cost are initially recognised at their initial fair value, including directly-attributable transaction costs and accrued interest.

They are subsequently measured at amortised cost with amortisation of any premium or discount and transaction costs using the corrected Effective Interest Rate Method.

Available-for-sale financial assets under IAS 39

"Available-for-sale financial assets" are initially recognised at initial fair value, including transaction costs that are directly attributable to the acquisition, and accrued interest.

"Available-for-sale financial assets" are later measured at fair value and subsequent changes in fair value are recorded in other comprehensive income.

If the securities are sold, these changes are transferred to the income statement.

Amortisation of any premiums or discounts and transaction costs on fixed-income securities is recognised in the income statement using the Effective Interest Rate Method.

Impairment of designated financial assets under IAS 39

Impairment must be recognised when there is objective evidence of impairment resulting from one or more events occurring after the initial recognition of the financial asset.

Objective evidence of loss corresponds to a prolonged or significant decline in the value of the security for equity securities or the appearance of significant deterioration in credit risk evidenced by a risk of non-recovery for debt securities.

For equity securities, the Crédit Agricole Group uses quantitative criteria as indicators of potential impairment. These quantitative criteria are mainly based on a loss of 30% or more of the value of the equity instrument over a period of six consecutive months. The Crédit Agricole Group may also take account of other factors such as financial difficulties of the issuer, or short-term prospects etc.

Notwithstanding the above-mentioned criteria, the Crédit Agricole Group recognises an impairment loss when there is a decline in the value of the equity instrument higher than 50% or prolonged over three years.

Financial liabilities

Classification and measurement of financial liabilities

Financial liabilities are classified on the balance sheet in the following two accounting categories:

- financial liabilities at fair value through profit or loss, either due to their nature or optionally;
- financial liabilities at amortised cost.

Financial liabilities at fair value through profit or loss due to their nature

Financial instruments issued primarily to be bought back in the short term, instruments forming part of an identified portfolio of financial instruments which are managed together and which have indications of a recent profile of short-term profit-taking, and derivatives (with the exception of certain hedging derivatives) are measured at fair value due to their nature.

Changes in the fair value of this portfolio are recognised through profit or loss.

Financial liabilities designated at fair value through profit or loss

Financial liabilities fulfilling one of the three conditions defined by the standard below may be designated for measurement at fair value through profit or loss: for hybrid issues comprising one or more separable embedded derivatives, in order to reduce or eliminate the distortion of accounting treatment or groups of managed financial liabilities for which performance is measured at fair value.

This option is irrevocable and applies mandatorily from the date of initial recognition of the instrument.

During subsequent measurement, these financial liabilities are measured at fair value through profit or loss for changes in fair value not related to own credit risk and through other comprehensive income on items that cannot be reclassified for changes in value related to own credit risk, unless this aggravates an accounting mismatch (in which case any changes in value related to the Company's own credit risk are recorded in the income statement, as required by the standard).

Financial liabilities measured at amortised cost

All other liabilities fulfilling the definition of a financial liability (excluding derivatives) are measured at amortised cost.

These liabilities are initially measured at fair value (including transaction income and costs) and subsequently at amortised cost using the Effective Interest Rate Method.

Deposits and savings accounts

Deposits and savings accounts are recorded under the category "Financial liabilities at amortised cost – Due to customers" in spite of the characteristics of the collection system within the Crédit Agricole Group, with deposits originating from the Regional Banks centralised at Crédit Agricole S.A. For the Group, the ultimate counterparty for these deposits is the end customer.

The deposits and savings are initially measured at fair value and subsequently at amortised cost.

Regulated savings products are by nature deemed to be at market rates.

Provisions are accounted where necessary against home purchase savings schemes and accounts as set out in Note 6.18 "Provisions".

Reclassification of financial liabilities

The initial classification of financial liabilities is irrevocable. No subsequent reclassification is authorised.

Distinction between debt instruments and equity

Securities are classed as debt instruments or equity instruments based on the economic substance of the contractual terms.

A financial liability is a debt instrument if it includes a contractual obligation:

- to provide another entity with cash, another financial asset or a variable number of equity instruments; or
- to exchange financial assets and liabilities with another entity at potentially unfavourable conditions.

An equity instrument is a non-redeemable financial instrument which offers discretionary return representing a residual interest in a company after deduction of all its financial liabilities (net assets) and which is not qualified as a debt instrument.

Treasury share buyback

Treasury shares or equivalent derivative instruments such as options on treasury shares bought by the Crédit Agricole Group with a fixed strike ratio, including shares held to cover stock option plans, do not meet the definition of a financial asset and are deducted from equity. They do not generate any impact on the income statement.

Derecognition and modification of financial liabilities

A financial liability is derecognised in full or in part:

- when it is extinguished; or
- when quantitative or qualitative analyses suggest it has undergone a substantial change following restructuring.

A substantial modification of an existing financial liability must be recorded as an extinction of an initial financial liability and the recognition of a new financial liability (novation). Any differential between the carrying amount of the extinct liability and the new liability will be recognised immediately in the income statement.

If the financial liability is not derecognised, the original effective interest rate is maintained. A discount/premium is recognised immediately in the income statement at the date of modification and is then spread, using the original effective interest rate, over the remaining life of the instrument.

Negative interest on financial assets and financial liabilities

In accordance with the IFRS IC decision of January 2015, negative interest income (expense) on financial assets that do not meet the definition of income under IFRS 15 is recognised as interest expense in the income statement and not as a reduction of interest income. The same applies to negative interest expense (income) on financial liabilities.

Provisions for credit risks

Scope of application

In accordance with IFRS 9, the Crédit Agricole Group recognises a correction for changes in value for expected credit losses (ECL) on the following outstanding amounts:

- financial assets of debt instruments recognised at amortised cost or fair value through other comprehensive income (items that can be reclassified) (loans and receivables, debt securities);
- financing commitments which are not measured at fair value through profit or loss;
- guarantee commitments coming under IFRS 9 and which are not measured at fair value through profit or loss;
- rental receivables coming under IFRS 16; and
- trade receivables generated by transactions under IFRS 15.

Equity instruments (at fair value through profit or loss or through Other Comprehensive Income on items that cannot be reclassified) are not concerned by impairment provisions.

Derivative instruments and other instruments at fair value through profit or loss are subject to the calculation of counterparty risk which is not covered by the ECL model. This calculation is described in Chapter 5 "Risks and Pillar 3".

Credit risk and provisioning stages

Credit risk is defined as risk of loss related to default by a counterparty leading to its inability to meet its commitments to the Group.

The process of provisioning credit risk has three stages (Buckets):

- **1st stage (Bucket 1):** upon initial recognition of the financial instrument (credit, debt security, guarantee etc.), the entity recognises the 12-month expected credit losses;

- **2nd stage (Bucket 2):** if the credit quality deteriorates significantly for a given transaction or portfolio, the entity recognises the losses expected to maturity;

- **3rd stage (Bucket 3):** when one or more default events have occurred on the transaction or on a counterparty with an adverse effect on the estimated future cash flows, the entity recognises incurred credit losses to maturity. Subsequently, if the conditions for classifying financial instruments in Bucket 3 are not met, the financial instruments are reclassified in Bucket 2, then in Bucket 1 according to the subsequent improvement in the quality of the credit risk.

Definition of default

The definition of default for the requirements of ECL provisioning is identical to that used in management and for the calculation of regulatory ratios. A debtor is, therefore, considered to be in default when at least one of the following conditions has been met:

- a significant arrear in payment, generally more than 90 days past due, unless specific circumstances point to the fact that the delay is due to reasons independent of the debtor's financial situation;
- the entity believes that the debtor is unlikely to settle its credit obligations unless it avails itself of certain measures such as enforcement of collateral security right.

A loan in default (Bucket 3) is said to be impaired when one or more events occur which have a negative effect on the estimated future cash flows from this financial asset. Indications of impairment of a financial asset cover observable data on the following events:

- significant financial difficulties of the issuer or borrower;
- a breach of contract, such as default or overdue payment;
- the granting, by the lender(s) to the borrower, for economic or contractual reasons related to financial difficulties of the borrower, of one or more favours that the lender(s) would not have considered under other circumstances;
- the increasing probability of bankruptcy or financial restructuring of the borrower;
- the disappearance of an active market for the financial asset due to financial difficulties;
- the purchase or creation of a financial asset with a significant discount, which reflects the credit losses suffered.

It is not necessarily possible to isolate a particular event. The impairment of the financial asset could result from the combined effect of several events.

The defaulting counterparty returns to a sound situation only after a period of observation that makes it possible to confirm that the debtor is no longer in default (assessment by the Risk Management Department).

Definition of expected credit loss ("ECL")

ECL is defined as the weighted expected probable value of the discounted credit loss (principal and interest). It represents the present value of the difference between the contractual cash flows and the expected cash flows (including principal and interest).

The ECL approach is designed to anticipate as early as possible the recognition of expected credit losses.

ECL governance and measurement

The governance of the system for measuring IFRS 9 parameters is based on the structure implemented as part of the Basel framework. The Group's Risk Management Department is responsible for defining the methodological framework and supervising the loan loss provisioning system.

The Group primarily relies on the internal rating system and current Basel processes to generate the IFRS 9 parameters required to calculate ECL. The assessment of the change in credit risk is based on an expected loss model and extrapolation based on reasonable scenarios. All information that is available, relevant, reasonable and justifiable, including of a forward-looking nature, must be retained.

The formula includes the probability of default, loss given default and exposure at default parameters.

These calculations are broadly based on the internal models used as part of the regulatory framework, but with adjustments to determine an economic ECL. IFRS 9 recommends a Point in Time analysis while having regard to historical loss data and forward looking macro-economic data, whereas the prudential regulation analyses the perspectives Through The Cycle for probability of default and in a Downturn for Loss Given Default.

The accounting approach also requires the recalculation of certain Basel parameters, in particular to eliminate internal recovery costs or floors that are imposed by the regulator in the regulatory calculation of Loss Given Default ("LGD").

ECLs are calculated according to the type of product concerned: financial instruments or off-balance sheet instruments.

The expected credit losses for the coming 12 months make up a percentage of the lifetime expected credit losses, and represent the lifetime cash flow shortfalls in the event of a default during the 12 months following the reporting period (or a shorter period if the expected lifetime of the financial instrument is less than 12 months), weighted by the probability of default within 12 months.

Expected credit losses are discounted at the effective interest rate used for the initial recognition of the financial instrument.

The terms of measurement of ECLs include collateral and other credit enhancements that are part of the contractual terms and which the entity does not account for separately. The estimate of the expected cash flow shortfalls from a guaranteed financial instrument reflects the amount and timing of the recovery of the guarantees. In accordance with IFRS 9, the inclusion of guarantees and sureties does not affect the assessment of the significant deterioration in credit risk: this is based on the evolution of the debtor's credit risk without taking into account guarantees.

The models and parameters used are backtested at least annually.

Forward-looking macroeconomic data are taken into account in accordance with a methodological framework applicable at two levels:

- at Group level for the determination of a shared framework for the consideration of forward-looking data in the estimation of PD and LGD parameters over the transaction amortisation period;
- at the level of each entity in respect of its own portfolios.

Significant deterioration of credit risk

All Group entities must assess, for each financial instrument, the deterioration of credit risk from origination to each reporting date. Based on this assessment of the change in credit risk, the entities must classify their exposure into different risk categories (Buckets).

To assess significant deterioration, the Group uses a process based on two levels of analysis:

- the first level is based on absolute and relative Group criteria and rules that apply to all Group entities;
- the second level is linked to the expert assessment, based on local forward-looking information, of the risk held by each entity in its portfolios that may lead to an adjustment in the Group Bucket 2 reclassification criteria (switching a portfolio or sub-portfolio to ECL at maturity).

Each financial instrument is, without exception, assessed for significant deterioration. Contagion is not required for the downgrading of financial instruments of the same counterparty from Bucket 1 to Bucket 2. The significant deterioration assessment must consider the change in credit risk of the principal debtor without taking account of any guarantee, including for transactions with a shareholder guarantee.

Possible losses in respect of portfolios of small loans with similar characteristics may be estimated on a statistical basis rather than individually assessed.

To measure the significant deterioration of credit risk since initial recognition, it is necessary to look back at the internal rating and PD (Probability of Default) at origination.

Origination means the trading date, on which the entity became bound by the contractual terms of the financial instrument. For financing and guarantee commitments, origination means the date on which the irrevocable commitment was made.

In the absence of an internal rating model, the Crédit Agricole Group uses the absolute threshold of non-payment for over 30 days as the maximum threshold for significant deterioration and classification in Bucket 2.

For outstandings (with the exception of securities) for which internal rating systems are in place (in particular exposures monitored by authorised methods), the Crédit Agricole Group considers that all of the information incorporated into the rating systems allows for a more detailed assessment than the non-payment for over 30 days criterion alone.

If deterioration since origination is no longer observed, impairment may be reduced to 12-month expected credit losses (Bucket 1).

To make up for the fact that certain significant deterioration factors or indicators may not be identifiable at instrument level, the standard allows for the assessment of significant deterioration at financial instrument portfolio level, or for groups of portfolios or parts of portfolios.

Portfolios can be created for the collective assessment of deterioration for instruments that share common characteristics, such as:

- instrument type;
- credit risk rating (including internal Basel 2 rating for entities with an internal ratings system);
- collateral type;
- date of initial recognition;
- remaining term until maturity;
- business sector;
- geographical location of the borrower;
- the value of collateral relative to the financial assets, if this has an impact on the probability of default (for example, non-recourse loans in certain countries or loan-to-value ratios);
- distribution channel, purpose of financing etc.

Differentiation of significant deterioration by market is therefore possible (home loans, consumer finance, loans to farmers or small businesses, corporate finance etc.).

The grouping of financial instruments for the purposes of collective credit risk assessment may change over time, as new information becomes available.

For securities, the Crédit Agricole Group uses an approach that consists in applying an absolute level of credit risk, in accordance with IFRS 9, below which exposures are classified in Bucket 1 and provisions are made based on 12-month ECL.

As such, the following rules shall apply to monitor the significant deterioration of securities:

- “Investment Grade” securities, at the reporting date, are classified in Bucket 1 and provisions are made based on 12-month ECL;
- “Non-Investment Grade” securities (NIG), at the reporting date, must be subject to monitoring for significant deterioration, since origination, and be classified in Bucket 2 (lifetime ECL) in the event of significant deterioration in credit risk.

Relative deterioration must be assessed prior to the occurrence of a known default (Bucket 3).

Restructuring due to financial difficulty

Debt instruments restructured due to financial difficulties are those for which the entity has amended the original financial terms (interest rate, term etc.) for economic or legal reasons linked to the financial difficulties of the borrower, under conditions that would not have been considered under other circumstances. As such, these can be any debt instruments, regardless of the risk deterioration category of the debt instrument since the initial recognition.

In accordance with the EBA (European Banking Authority) definition as stated in the “Risk Factors” chapter, debt restructuring for financial difficulties of the debtor refers to any modification to one or more credit agreements for that same reason, as well as any refinancing granted due to financial difficulties experienced by the customer.

This definition of restructuring must be applied to each agreement and not at client level (no contagion).

The definition of loans restructured due to financial difficulty is therefore comprised of two cumulative criteria:

- contract modification or debt refinancing (concessions);
- a customer who is in a financial difficulty (a debtor facing, or about to face, difficulties in honouring financial commitments).

“Contract modification” refers to the following example situations:

- there is a difference between the modified contract and the former terms of the contract, to the benefit of the borrower;
- the contract modifications result in more favourable conditions for the borrower, from which other customers of the bank, with a similar risk profile and at the same time, do not benefit.

“Refinancing” refers to situations in which a new debt is granted to the client to enable it to repay in full or in part another debt for which it cannot meet the contractual terms and conditions due to its financial position.

The restructuring of a loan (whether performing or non-performing) infers the presumed existence of a proven risk of loss (Bucket 3). The need to recognise impairment on the restructured exposure must therefore be analysed accordingly (a restructuring does not automatically result in the recognition of impairment for proven losses or classification as default).

The “restructured loan” classification is temporary.

Once the restructuring as defined by the EBA has been carried out, the exposure continues to be classified as “restructured” for at least two years, if the exposure was performing when restructured, and three years if the exposure was in default when restructured. These periods are extended in the event of the occurrence of certain events (*e.g.* further incidents).

In the absence of derecognition for this type of event, the reduction of future cash flows granted to a counterparty, or the postponing of these flows as part of a restructuring, shall result in the recognition of a discount in the cost of risk.

It represents loss of future cash flow discounted at the original effective rate. It is equal to the difference between:

- the carrying amount of the loan;
- and the sum of theoretical future cash flows from the “restructured” loan, discounted at the original effective interest rate (defined at the date of the financing commitment).

In the event of a waiver of part of the share capital, this amount shall constitute a loss to be recorded immediately in cost of risk.

The discount recognised when a loan is restructured is accounted for under cost of risk.

Upon reversal of the discount, the portion associated with the passage of time is recorded in revenues.

Accounts uncollectible

When a loan is deemed uncollectible, *i.e.* when it cannot be recovered in full or in part, the amount deemed uncollectible must be derecognised from the balance sheet and written off.

The decision as to when to write off a loan is taken on the basis of an expert opinion. This must therefore be established by each entity, with its Risk Management Department, according to its own business knowledge. Before any write-offs, a Bucket 3 provision must be made (with the exception of assets at fair value through profit or loss).

For loans at amortised cost or fair value through other comprehensive income on items that can be reclassified, the amount written off is recorded under cost of risk (nominal amount) and “revenues” (interests).

Derivative financial instruments

Classification and measurement

Derivative instruments are financial assets or liabilities classified by default as derivative instruments held-for-trading unless they can be considered to be hedging derivatives.

They are recorded on the balance sheet at their initial fair value on the trading date.

They are subsequently recognised at their fair value.

At the end of each reporting period, the counterparty of the change in fair value of derivatives on the balance sheet is recorded:

- through profit or loss if it concerns derivative instruments held-for-trading and for fair value hedges;
- through other comprehensive income for cash flow hedging derivatives and net investments in foreign operations for the effective portion of the hedge.

Hedge accounting

General framework

The Crédit Agricole Group does not apply the “hedge accounting” component of IFRS 9, as permitted by the standard. All hedging relationships will continue to be documented in accordance with the rules of IAS 39 until, at the latest, the date on which the macro-hedging text is adopted by the European Union. However, hedge accounting under IAS 39 uses the classification and measurement principles of IFRS 9 to decide which financial instruments qualify.

Under IFRS 9, and taking account of the IAS 39 hedging principles, debt instruments at amortised cost or fair value through other comprehensive income (items that may be reclassified) qualify as fair value hedges and as cash flow hedges.

Documentation

Hedging relationships must comply with the following principles:

- fair value hedges are intended to provide protection from exposure to changes in the fair value of an asset or a liability that has been recognised, or of a firm commitment that has not been recognised, attributable to the risk(s) hedged and that may have an impact on net income (for instance, the hedging of all or some changes in fair value caused by the interest rate risk of a fixed-rate debt);
- cash flow hedges are intended to provide protection from exposure to changes in the future cash flow of an asset or liability that has been recognised, or of a transaction considered to be highly probable, attributable to the risk(s) hedged and that could (in the event of a planned transaction not carried out) have an impact on net income (for instance, the hedging of changes in all or some of the future interest payments on a floating-rate debt);
- net investment hedges in foreign operations are intended to provide protection against the risk of unfavourable changes in fair value associated with the foreign exchange risk of an investment carried out abroad in a currency other than the euro, the Crédit Agricole Group's presentation currency.

Hedges must also meet the following criteria in order to be eligible for hedge accounting:

- the hedging instrument and the hedged item must be eligible;
- there must be formal documentation from inception, primarily including the individual identification and characteristics of the hedged item, the hedging instrument, the nature of the hedging relationship and the nature of the hedged risk;
- the effectiveness of the hedge must be demonstrated, at inception and retrospectively, by testing at each reporting date.

For interest rate hedges for a portfolio of financial assets or financial liabilities, Crédit Agricole Group documents the hedging relationship for fair value hedges in accordance with the carve-out version of IAS 39 as adopted by the European Union. In particular:

- the Group documents these hedging relationships based on its gross position in derivative instruments and hedged items;
- the effectiveness of the hedging relationships is measured by maturity schedules.

Further details on the Group's risk management strategy and its application are presented in Chapter 5 "Risks and Pillar 3".

Measurement

The remeasurement of the derivative at fair value is recorded in the financial statements as follows:

- fair value hedges: the change in value of the derivative is recognised in the income statement symmetrically with the change in value of the hedged item in the amount of the hedged risk. Only the net amount of any ineffective portion of the hedge is recognised in the income statement;
- cash flow hedges: the change in value of the derivative is recognised in the balance sheet through a specific account in other comprehensive income (items that may be reclassified) for the effective portion and any eventual ineffective portion of the hedge is recognised in the income statement. Profits or losses on the derivative accrued through other comprehensive income are reclassified to profit or loss when the hedged cash flows occur;
- hedges of net investment in a foreign operation: the change in value of the derivative is recognised in the balance sheet in the translation adjustment equity account (items that may be reclassified) and any ineffective portion of the hedge is recognised in the income statement.

Where the conditions for benefiting from hedge accounting are no longer met, the following accounting treatment must be applied prospectively, unless the hedged item disappears:

- fair value hedges: only the hedging instrument continues to be revalued through profit or loss. The hedged item is wholly accounted for according to its classification. For debt instruments at fair value through other comprehensive income (items that may be reclassified), changes in fair value subsequent to the ending of the hedging relationship are recorded in other comprehensive income in their entirety. For hedged items valued at amortised cost, which were interest rate hedged, the revaluation adjustment is amortised over the remaining life of those hedged items;
- cash flow hedges: the hedging instrument is valued at fair value through profit or loss. The amounts accumulated in other comprehensive income under the effective portion of the hedge remain in other comprehensive income until the hedged item affects profit or loss. For interest rate hedged instruments, income statement is affected according to the payment of interest. The revaluation adjustment is therefore amortised over the remaining life of those hedged items;
- hedges of net investment in a foreign operation: The amounts accumulated in other comprehensive income under the effective portion of the hedge remain in other comprehensive income as long as the net investment is held. The income is recorded once the net investment in a foreign operation exits the scope of consolidation.

Embedded derivatives

An embedded derivative is a component of a hybrid contract that meets the definition of a derivative product. This definition applies only to financial liabilities and non-financial contracts. Embedded derivatives must be accounted for separately from the host contract if the following three conditions are met:

- the hybrid contract is not measured at fair value through profit or loss;
- the embedded component taken separately from the host contract has the characteristics of a derivative;
- the characteristics of the derivative are not closely related to those of the host contract.

Determination of the fair value of financial instruments

When determining the fair value of financial instruments, observable inputs must be prioritised. It is presented using the hierarchy defined in IFRS 13.

IFRS 13 defines fair value as the price that would be received to sell an asset or paid to transfer a liability in an ordinary transaction between market participants, on the principal or the most advantageous market, at the valuation date.

Fair value applies individually to each financial asset or financial liability. A portfolio exemption may be used where the management and risk monitoring strategy so allow and are appropriately documented. Thus, certain fair value parameters are calculated on a net basis when a group of financial assets and financial liabilities is managed on the basis of its net exposure to market or credit risks. This is notably the case for the CVA/DVA calculation described in Chapter 5 "Risks and Pillar 3".

The Crédit Agricole Group considers that the best evidence of fair value is reference to quoted prices published in an active market.

When such quoted prices are not available, fair value is determined using valuation techniques that maximise the use of relevant observable data and minimise the use of unobservable data.

When a debt is valued at fair value through profit or loss (by nature or designated), fair value takes account of the own credit risk of the issuer.

Fair value of structured issues

In accordance with IFRS 13, the Crédit Agricole Group values its structured issues, recognised at fair value, by taking as a reference the issuer spread that specialist participants agree to receive to acquire new Group issues.

Counterparty risk on derivative instruments

The Crédit Agricole Group incorporates into fair value the assessment of counterparty risk for derivative assets (Credit Valuation Adjustment or CVA) and, using a symmetrical treatment, the non-performance risk for derivative liabilities (Debit Valuation Adjustment or DVA or own credit risk).

The CVA makes it possible to determine the expected losses due to the counterparty from the perspective of the Crédit Agricole Group, and DVA, the expected losses due to the Crédit Agricole Group from the perspective of the counterparty.

The CVA/DVA is calculated on the basis of an estimate of expected losses based on the probability of default and loss given default. The methodology used maximises the use of observable market inputs. It is primarily based on market data such as registered and listed CDS (or Single Name CDS) or index CDS in the absence of registered CDS on the counterparty. In certain circumstances, historical default data may also be used.

Fair value hierarchy

The standard classifies fair value into three levels based on the observability of inputs used in valuation techniques:

Level 1: fair value corresponding to quoted prices (unadjusted) in active markets

Level 1 is composed of financial instruments that are directly quoted in active markets for identical assets and liabilities that the entity can access at the valuation date. These are stocks and bonds quoted in active markets (such as the Paris Stock Exchange, the London Stock Exchange or the New York Stock Exchange etc.) and also fund securities quoted in an active market and derivatives traded on an organised market, in particular futures.

A market is regarded as being active if quoted prices are readily and regularly available from an exchange, broker, dealer, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

For financial assets and liabilities with offsetting market risks, the Crédit Agricole Group uses mid-prices as a basis for establishing fair values for the offsetting risk positions. The Group applies the current asking price to open short positions and the current bid price to open long positions.

Level 2: fair value measured using directly or indirectly observable inputs other than those in Level 1

The inputs used are observable either directly (*i.e.* prices) or indirectly (derived from prices) and generally consist of data from outside the entity, which are publicly available or accessible and based on a market consensus.

Level 2 consists of:

- stocks and bonds quoted in an inactive market or not quoted in an active market but for which the fair value is established using a valuation methodology usually used by market participants (such as discounted cash flow techniques or the Black & Scholes model) and based on observable market data;
- instruments that are traded over the counter, the fair value of which is measured with models using observable market data, *i.e.* that can be derived from various independently available external sources which can be obtained on a regular basis. For example, the fair value of interest

rate swaps is generally derived from the yield curves of market interest rates as observed at the reporting date.

When the models are consistent notably with standard models based on observable market data (such as interest rate yield curves or implied volatility surfaces), the day one gain or loss resulting from the initial fair value measurement of the related instruments is recognised in profit or loss at inception.

Level 3: fair value that is measured using significant unobservable inputs

For some complex instruments that are not traded in an active market, fair value measurement is based on valuation techniques using assumptions that cannot be observed on the market for an identical instrument. These instruments are disclosed within Level 3.

This mainly concerns complex interest rate instruments, equity derivatives, structured credit instruments for which fair value measurement includes, for instance, correlation or volatility inputs that are not directly benchmarkable with market data.

The transaction price is deemed to reflect the fair value at initial recognition, any recognition of day one gain or loss is deferred.

The margin relating to these structured financial instruments is generally recognised through profit or loss over the period during which inputs are deemed unobservable. When market data become "observable", the remaining margin to be deferred is immediately recognised in profit or loss.

Valuation methodologies and models used for financial instruments that are disclosed within Levels 2 and 3 incorporate all factors that market participants would consider in setting a price. They shall be beforehand validated by an independent control. Fair value measurement notably includes both liquidity risk and counterparty risk.

Offsetting of financial assets and financial liabilities

In accordance with IAS 32, the Crédit Agricole Group nets a financial asset and a financial liability and reports the net amount when, and only when, it has a legally enforceable right to offset the amounts reported and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

The derivative instruments and the repurchase agreements handled with clearing houses that meet the two criteria required by IAS 32 have been offset on the balance sheet.

Net gains (losses) on financial instruments

Net gains (losses) on financial instruments at fair value through profit or loss

For financial instruments recognised at fair value through profit or loss, this item notably includes the following income statement elements:

- dividends and other revenues from equities and other variable-income securities which are classified under financial assets at fair value through profit or loss;
- changes in fair value of financial assets or liabilities at fair value through profit or loss;
- gains and losses on disposal of financial assets at fair value through profit or loss;

- changes in fair value and gains and losses on disposal or termination of derivative instruments not included in a fair value hedge or cash flow hedge relationship.

This item also includes the ineffective portion of hedges.

Net gains (losses) on financial instruments at fair value through other comprehensive income

For financial assets recognised at fair value through other comprehensive income, this item notably includes the following income statements elements:

- dividends from equity instruments classified as financial assets at fair value through other comprehensive income that cannot be reclassified;
- gains (losses) on disposals and income associated with the termination of hedging relationships on debt instruments classified as financial assets at fair value through other comprehensive income that can be reclassified;
- net income on disposals or associated with the termination of fair value hedging instruments of financial assets at fair value through other comprehensive income when the hedged item is sold.

Financing commitments and guarantees given

Financing commitments that are not designated as fair value through profit or loss or not treated as derivative instruments within the meaning of IFRS 9 are not recognised on the balance sheet. They are, however, covered by provisions in accordance with the provisions of IFRS 9.

A financial guarantee contract is a contract under which the issuer must make specific payments to reimburse the holder for a loss incurred due to a specific debtor's failure to make a payment when due under the initial or amended terms of a debt instrument.

Financial guarantee contracts are recognised at fair value initially then subsequently at the higher of:

- the value adjustment amount for losses determined in accordance with the provisions of the "Impairment" section of IFRS 9; or
- the amount originally recognised less, where applicable, the sum of income recognised in accordance with the principles of IFRS 15 "Revenue from contracts with customers".

Provisions (IAS 37 and 19)

The Crédit Agricole Group has identified all obligations (legal or constructive) resulting from a past event for which it is probable that an outflow of resources will be required to settle the obligation, and for which the due date or amount of the settlement is uncertain but can be reliably estimated. These estimates are discounted where applicable whenever there is a material impact.

For obligations other than those related to credit risk, the Crédit Agricole Group has set aside general provisions to cover:

- operational risks;
- employee benefits;
- commitment execution risks;
- claims and liability guarantees;
- tax risks (excluding income tax);
- risks related to home purchase savings schemes.

The latter provision is designed to cover the Group's obligations in the event of unfavourable moves impacting home purchase savings schemes. These obligations are: i) to pay a fixed interest rate on the savings contract determined at inception for an undefined period of time; and ii) to grant a loan to home purchase savings plan and account savers at a rate fixed at

inception of the contract. The provision is calculated for each generation of a home purchase savings scheme and for all home purchase savings accounts, with no netting of obligations between generations.

The amount of these obligations is calculated taking account notably of:

- subscriber behaviour models, based on assumptions regarding subscriber behaviour drawn from historical experience, which may not necessarily reflect actual trends in future behaviour;
- an estimate of the amount and term of the loans that will be granted in the future, based on historical experience over an extended period of time;
- the yield curve for market rates and reasonably foreseeable trends.

Certain estimates may be made to determine the amount of the following provisions:

- the provision for operational risks, which although subject to examination for identified risks, requires Management to make assessments with regard to incident frequency and the potential financial impact;
- the provision for legal risks, which is based on Management's best estimate in light of the information in its possession at the end of the reporting period.

Detailed information is provided in Note 6.18 "Provisions".

Employee benefits (IAS 19)

In accordance with IAS 19, employee benefits are recorded in four categories:

- short-term employee benefits, including salaries, social security contributions, annual leave, profit-sharing and incentive plans and premiums, are defined as those which are expected to be settled within 12 months of the financial year in which the related services have been rendered;
- post-employment benefits falling into two categories: defined-benefit schemes and defined-contribution schemes;
- other long-term benefits (long-service awards, bonuses and compensation payable 12 months or more after the end of the financial year);
- severance payments.

Post-employment benefits

Defined-benefit plans

At each reporting date, the Crédit Agricole Group sets aside reserves to cover its liabilities for retirement and similar benefits and all other employee benefits falling under the category of defined-benefit plans.

In keeping with IAS 19, these commitments are stated based on a set of actuarial, financial and demographic assumptions, and in accordance with the Projected Credit Units method. Under this method, for each year of service, a charge is booked in an amount corresponding to the employee's vested benefits for the period. The charge is calculated based on the discounted future benefit.

Liabilities for retirement and other future employee benefits are based on assumptions made by Management with respect to the discount rate, staff turnover rate and probable increases in salary and social security costs. (See Note 7.4 "Post-employment benefits, defined-benefit schemes").

Discount rates are determined based on the average term of the commitment, that is, the arithmetical average of the terms calculated between the valuation date and the payment date weighted by employee turnover assumptions. The underlying used is the discount rate by reference to the iBoxx AA.

In accordance with IAS 19, the Crédit Agricole Group revised all actuarial gains and losses that were recognised in other comprehensive income that cannot be reclassified. Actuarial gains and losses consist of experience adjustments (difference between what has been estimated and what has occurred) and the effect of changes in actuarial assumptions.

The expected return on plan assets is determined using discount rates applied to measure the defined benefit obligation. The difference between the expected and actual return on plan assets is recognised in other comprehensive income that cannot be reclassified.

The amount of the provision is equal to:

- the present value of the obligation to provide the defined benefits at the end of the reporting period, calculated in accordance with the actuarial method recommended by IAS 19;
- if necessary, reduced by the fair value of the assets allocated to covering these commitments. These may be represented by an eligible insurance policy. In the event that 100% of the obligation is covered by a policy that meets exactly the expense amount payable over the period for all or part of a defined-benefit plan, the fair value of the policy is deemed to be the value of the corresponding obligation, (*i.e.* the amount of the corresponding actuarial liability).

For such obligations that are not covered, a provision for retirement benefits is recognised under Provisions on the liabilities side of the balance sheet. This provision is equal to the Crédit Agricole Group's liabilities towards employees in service at financial year-end, governed by the Crédit Agricole Group's collective agreement that came into effect on 1 January 2005.

A provision to cover the cost of early retirement commitments is also listed under Provisions. This provision covers the additional discounted cost of the various early retirement agreements signed by the Crédit Agricole Group entities under which employees of eligible age may take early retirement.

Lastly, certain Group companies are liable to pay supplementary retirement benefits. A provision is calculated on the basis of the Company's actuarial liability for these benefits. These provisions are also shown on the liabilities side of the balance sheet under "Provisions".

Defined contribution plans

"Employers" contribute to a variety of compulsory pension schemes. Plan assets are managed by independent organisations and the contributing companies have no legal or implied obligation to pay additional contributions if the funds do not have sufficient assets to cover all benefits corresponding to services rendered by employees during the year and during prior years. Consequently, the Crédit Agricole Group has no liabilities in this respect other than its contributions due for the financial year ended.

Other long-term benefits

Other long-term benefits are employee benefits other than post-employment benefits or termination benefits but not fully due to employees within 12 months after the end of the financial year in which the related services have been rendered.

These include, in particular, bonuses and other deferred compensation payable 12 or more months after the end of the financial year in which they vest, but which are not share-based.

The measurement method is similar to the one used by the Group for post-employment benefits with defined-benefit schemes.

Share-based payments (IFRS 2)

IFRS 2 "Share-based payments" requires valuation of share-based payment transactions in the enterprise's income statement and balance sheet. This standard applies to transactions with employees and more specifically to:

- share-based payment transactions settled in equity instruments;
- share-based payment transactions settled in cash.

Share-based payment plans initiated by Crédit Agricole Group that are eligible for IFRS 2 are mainly transactions settled in equity instruments (stock options, free share allocation plans, variable compensation settled in indexed cash or in shares etc.).

Options granted are measured at their fair value at the date of grant primarily using the Black & Scholes model. These options are recognised as a charge under Employee expenses, with a corresponding adjustment to equity, spread over the vesting period.

Employee share issues offered to employees as part of the Employee savings plans are also subject to the IFRS 2 standard. Shares may be offered to employees with a maximum discount of 30%. These plans have no vesting period but the shares are subject to a lock-up period of five years. The benefit granted to employees is measured as the difference between the fair value per share acquired taking account of the lock-up period and the purchase price paid by the employee on the subscription date multiplied by the number of shares subscribed.

A more detailed description of the method, existing plans and valuation methods is provided in Note 7.6 "Share-based payments".

The cost of share-based payments settled in the Crédit Agricole Group equity instruments and the cost of share subscriptions are recognised in the financial statements of the entities that employ the plan beneficiaries. The impact is recorded under Employee expenses, with a corresponding increase in Consolidated reserves Group share.

Current and deferred taxes (IAS 12)

In accordance with IAS 12, the income tax charge includes all income taxes, whether current or deferred.

It defines current tax liability as "the amount of income tax payable (recoverable) in respect of the taxable profit (tax loss) for a financial year". Taxable income is the profit (or loss) for a given accounting period measured in accordance with the rules determined by the tax authorities.

The applicable rates and rules used to measure the current tax liability are those in effect in each country where the Group's companies are established.

The current tax liability includes all taxes on income, payable or recoverable, for which payment is not subordinated to the completion of future transactions, even if payment is spread over several years.

The current tax liability must be recognised as a liability until it is paid. If the amount that has already been paid for the current year and previous years exceeds the amount due for these years, the surplus must be recognised under assets.

Moreover, certain transactions carried out by the entity may have tax consequences that are not taken into account in measuring the current tax liability. IAS 12 defines a difference between the carrying amount of an asset or liability and its tax base as a temporary difference.

This standard requires that deferred taxes be recognised in the following cases:

- a deferred tax liability should be recognised for any taxable temporary differences between the carrying amount of an asset or liability on the balance sheet and its tax base, unless the deferred tax liability arises from:
 - initial recognition of goodwill,
 - the initial recognition of an asset or a liability in a transaction that is not a business combination and that does not affect either the accounting or the taxable profit (taxable loss) at the transaction date;
- a deferred tax asset should be recognised for any deductible temporary differences between the carrying amount of an asset or liability on the balance sheet and its tax base, insofar as it is deemed probable that a future taxable profit will be available against which such deductible temporary differences can be allocated;
- a deferred tax asset should also be recognised for carrying forward unused tax losses and tax credits insofar as it is probable that a future taxable profit will be available against which the unused tax losses and tax credits can be allocated.

The tax rates applicable in each country are used as appropriate.

Deferred taxes are not discounted.

Taxable unrealised gains on securities do not generate any taxable temporary differences between the carrying amount of the asset and the tax base. As a result, deferred tax is not recognised on these gains. When the relevant securities are classified financial assets at fair value through other comprehensive income, unrealised gains and losses are recognised directly through other comprehensive income. The tax charge or saving effectively borne by the entity arising from these unrealised gains or losses is reclassified as a deduction from these gains.

In France long-term capital gains on the sale of equity investments, as defined by the General Tax Code, are exempt to tax; with the exception of 12% of long-term capital gains that are taxed at the normally applicable rate. Accordingly, unrealised gains recognised at the end of the year generate a temporary difference requiring the recognition of deferred tax on this share.

Under IFRS 16 “Leases”, a deferred tax liability is recognised on the right of use and a deferred tax asset on the rental debt for leases for which the Group is a lessee.

Current and deferred tax is recognised in net income for the financial year, unless the tax arises from:

- either a transaction or event that is recognised directly through other comprehensive income, during the same year or during another year, in which case it is directly debited or credited to other comprehensive income;
- or a business combination.

Deferred tax assets and liabilities are offset against each other if, and only if:

- the entity has a legally enforceable right to offset current tax assets against current tax liabilities; and
- the deferred tax assets and liabilities apply to income taxes assessed by the same tax authority:
 - a. either for the same taxable entity, or

- b. for different taxable entities that intend either to settle current tax assets and liabilities on a net basis, or to settle their tax assets and liabilities at the same time during each future financial year in which it is expected that substantial deferred tax assets or liabilities will be paid or recovered.

Tax risks relating to income tax result in the recognition of a current tax receivable or liability when the probability of receiving the asset or paying the liability is considered more likely than not. These risks are also taken into account in the valuation of current and deferred tax assets and liabilities.

IFRIC 23 on measuring uncertain tax positions applies when an entity has identified one or more uncertainties about the tax positions they have adopted. It also provides details of how to estimate them:

- the analysis must be based on an assessment by the tax authorities;
- the tax risk must be recognised as a liability as soon as he is more likely than unlikely that the tax authorities will question the treatment adopted, for an amount reflecting Management’s best estimate;
- in the event that the probability of a refund by the tax authorities is greater than 50%, a receivable must be recognised.

When tax credits on income from securities portfolios and amounts receivable are effectively used to pay income tax due for the year, they are recognised under the same heading as the income with which they are associated. The corresponding tax charge continues to be recognised under the “Income tax” charge heading in the income statement.

Treatment of fixed assets (IAS 16, 36, 38 and 40)

The Crédit Agricole Group applies component accounting for all of its property, plant and equipment. In accordance with the provisions of IAS 16, the depreciable amount takes account of the potential residual value of property, plant and equipment.

Land is measured at cost less any impairment losses.

Property used in operations, investment property and equipment are measured at their acquisition cost less accumulated depreciation and impairment losses since the time they were placed in service.

Purchased software is measured at acquisition cost less accumulated depreciation and impairment losses since acquisition.

Proprietary software is measured at cost less accumulated depreciation and impairment losses since completion.

Apart from software, intangible assets are mainly assets acquired during a business combination resulting from contractual rights (*e.g.* distribution agreement). These were valued on the basis of corresponding future economic benefits or expected service potential.

Fixed assets are depreciated over their estimated useful lives.

The following components and depreciation periods have been adopted by Crédit Agricole Group following the application of the measures on component accounting for property, plant and equipment. These depreciation periods are adjusted according to the type of asset and its location:

Component	Depreciation period
Land	Not depreciable
Structural works	30 to 80 years
Non-structural works	8 to 40 years
Plant and equipment	5 to 25 years
Fixtures and fittings	5 to 15 years
Computer equipment	4 to 7 years
Special equipment	4 to 5 years

Exceptional depreciation charges corresponding to tax-related depreciation and not to any real impairment in the value of the asset are eliminated in the consolidated financial statements.

Foreign currency transactions (IAS 21)

At the reporting date, assets and liabilities denominated in foreign currencies are translated to euros, the Crédit Agricole Group's operating currency.

In accordance with IAS 21, a distinction is made between monetary (*e.g.* debt instruments) and non-monetary items (*e.g.* equity instruments).

Foreign-currency denominated monetary assets and liabilities are translated at the closing rate. The resulting translation adjustments are recorded in the income statement. There are three exceptions to this rule:

- for debt instruments at fair value through other comprehensive income that can be reclassified, only the translation adjustments calculated on amortised cost are taken to the income statement; the balance is recorded in other comprehensive income that can be reclassified;
- translation adjustments on elements designated as cash flow hedges or forming part of a net investment in a foreign entity are recognised in other comprehensive income that can be reclassified;
- for financial liabilities designated at fair value through profit or loss, translation adjustments related to value changes attributable to own credit risk accounted in other comprehensive income (items that cannot be reclassified).

Non-monetary items are treated differently depending on the type of items before translation:

- items at historical cost are measured at the foreign exchange rate on the transaction date (historical rate);
- items at fair value are measured at the foreign exchange rate at the end of the reporting period.

Translation adjustments on non-monetary items are recognised:

- in the income statement if the gain or loss on the non-monetary item is recorded in the income statement;
- in other comprehensive income that cannot be reclassified if the gain or loss on the non-monetary item is recorded in other comprehensive income that cannot be reclassified.

Revenues from contracts with Customers (IFRS 15)

Fee and commission income and expenses are recognised in income based on the nature of services with which they are associated.

Fees and commissions that are an integral part of the effective yield on a financial instrument are recognised as an adjustment to the yield on the instrument and included in its effective interest rate.

The recognition of other types of fees and commissions on the income statement must reflect the rate of transfer to the customer of control of the goods or services sold:

- the net income from a transaction associated with the provision of services is recognised under "Fee and commissions" at the time of transfer of control of the service to the customer, if this can be reliably estimated. This transfer may take place as the service is provided (ongoing service) or on a specific date (one-off service):
 - a. fee and commission income from ongoing services (fees and commissions on payment instruments, for example) is recognised in income according to the degree of progress of the service provided,
 - b. fee and commission income paid or received as compensation for one-off services is recognised in income, in its entirety, when the service is provided.

Fee and commission income payable or receivable and contingent upon the achievement of a performance target is recognised for the amount at which it is highly probable that the income thus recognised will not later be subject to a significant downward adjustment upon resolution of the contingency. These estimates are updated at the end of each reporting period. In practice, this condition can result in the deferred recognition of certain items of performance-related fee and commission income until the expiry of the performance assessment period and until such income has been definitively acquired.

Insurance (IFRS 4)

Liabilities remain partially valued under French GAAP, as permitted by IAS and IFRS regulations, pending further amendments to the existing standards. Financial assets held by the Crédit Agricole Group's insurance companies have been reclassified into the financial assets categories set out in IFRS 9.

The technical reserves of non-life insurance contracts include:

- reserves for claims, to cover the total cost of claims incurred but not yet paid should they be already subject of a claim and assessed or not; and
- reserves relating to the acquisition of premiums (mainly provisions for unearned premiums), allowing for the recognition of premiums relating to risks hedged over the course of a financial year as earnings for said year, and therefore to carry forward the portion of premiums written over the course of the year for a risk hedging period subsequent to the current financial year.

Provision for increasing risks may be required for insurance transactions against the risk of sickness and disability when the premiums are unbroken. It is equal to the difference between the current values of the commitments made by the insurer and by the policyholders. It is calculated based on a continuous process of updating biometric bases (probability of incidence of a state of dependency, length of support, etc.). Since 2017, an additional provision to cover increasing risks has been created for the Assurance Dépendance product. It takes the form of a global provision, separate from the provision for increasing regulatory risks, allowing it to deal with a possible shortfall in future financial production today, as this could not be compensated quickly by price revaluations that are contractually limited to 5% *per annum*. Additionally, a provision is accounted to cover any potential technical drift.

The mathematical provisions of life insurance contracts and financial contracts containing discretionary participation features correspond to the difference between the current value of insurer commitments and policyholder commitments. Provisions are calculated using actuarial methods that include assumptions pertaining to the premiums, the performance of financial assets, contract redemption rates and changes in operating expenses.

Contracts containing discretionary participation features are collectively classified as a liability under insurance company's technical reserves. They are recognised in the same manner as insurance contracts. Premiums on these contracts are recognised as income and the increase in obligations to policyholders is recognised as an expense.

Life insurance technical reserves are conservatively estimated based on the technical rates defined in the contracts. Liabilities associated with contracts with or without discretionary participation features or minimum guarantee are measured based on the fair value of the underlying assets or its equivalent at the end of the reporting period and are recorded under financial liabilities.

The financial margin on these policies is taken to profit or loss, after reversal of technical items (premiums, benefits, etc.), according to deposit accounting principles.

Property and casualty insurance policy liabilities are estimated at the end of the reporting period, without applying any discount. Claims management costs associated with technical reserves are charged to a provision in the financial statements at the reporting date.

For non-life insurance contracts, acquisition costs are recognised as and when the premium is earned. For life insurance contracts, directly identifiable acquisition costs are deferred over the profit generation period.

Total expenses related to the insurance business are presented in Note 4.6 "Net income (expenses) on other activities".

Insurance or investment contracts with discretionary participation in profits are subject to "shadow accounting" in accordance with the option offered by IFRS 4. This shadow accounting consists in recording the portion of positive or negative revaluations of the financial assets backing these contracts in a policyholders' deferred profit sharing item, and of certain consolidation adjustments (e.g. elimination of the provision for liquidity risk) that may potentially accrue to policyholders.

In addition, CRC Regulation 2000-05 provides for the recognition of deferred profit sharing, which must be recognised in the case of deferred profit sharing liabilities and for their recoverable amount in the case of deferred profit sharing assets.

This policyholders' deferred profit sharing is recognised as a liability "Insurance contract technical reserves" or as an asset, with a corresponding entry in income statement or other comprehensive income similar to the unrealised gains and losses on the assets to which it relates.

With regard to savings contracts, the policyholders' deferred profit sharing rate is assessed prospectively on the basis of scenarios studied that are consistent with the insurance company's management guidelines. It is only updated if it varies significantly.

In the event of a net unrealised loss, a deferred profit sharing asset is only recognised if it is highly probable that it will be allocated, by entity, to future profit sharings. This is especially the case if this deferred profit sharing asset can be deducted from future policyholder sharings, either directly by deducting it from the deferred profit sharing liabilities recorded for future disposal profits, or indirectly by being recoverable from future sums paid to policyholders.

The recoverability tests implemented in the event of a deferred profit sharing asset are in accordance with the CNC recommendation of 19 December 2008. They are based:

- firstly, on liquidity analyses of the Company, which show the enterprise's capacity to access funding sources to meet its obligations and its ability to hold assets with unrealised losses even if new production declines. The tests were performed with and without new production;

- secondly, on a comparison between the average value of future services measured by the internal model replicating the Company's management decisions and the value of the assets representing the obligations at market value. This shows the Company's ability to meet its obligations.

Lastly, sensitivity tests on the ability to activate policyholders' deferred profit sharing are also carried out, based in particular on a uniform increase in redemptions applied to redemption rates drawn from scenarios similar to those used by the French Regulatory and Resolution Supervisory Authority, or on a further decline in the equity and real estate markets.

Furthermore, in accordance with the provisions of IFRS 4, the Group ensures at each reporting date that the liabilities recognised for insurance policies and investment contracts containing discretionary participation (net of deferred acquisition costs and associated intangible assets) are adequate to meet estimated future cash flows.

The liability adequacy test used to verify this must meet the following minimum requirements, as defined in the standard:

- it must consider all future contractual cash flows, including associated management costs, fees and commissions as well as options and guarantees implicit in these contracts;
- if the test shows that the liability is inadequate, it is wholly recognised in profit or loss.

Lease (IFRS 16)

The Group may be the lessor or lessee of a lease.

Leases for which the Group is the lessor

Leases are analysed in accordance with their substance and financial reality. They are classified as either finance leases or operating leases.

- In the case of finance leases, they are considered equivalent to a fixed asset sale to the lessee financed by a credit granted by the lessor. The analysis of the economic substance of finance leases leads the lessor to:
 - remove the leased asset from the balance sheet;
 - record a financial debt for the customer under "financial assets at amortised cost" for a value equal to the present value at the contract's implicit rate of the rental payments due to the lessor under the lease, plus any non-guaranteed residual value owed to the lessor;
 - recognise deferred taxes for temporary differences relating to the financial debt and the net carrying amount of the leased asset;
 - break down rental income corresponding into interest and capital depreciation.
- In the case of operating leases, the lessor recognises the leased assets under "Property, plant and equipment" on the assets side of its balance sheet and records the rental income on a straight-line basis under "Income from other activities" in the income statement.

Leases for which the Group is the lessee

Leases are recognised in the balance sheet on the date on which the leased asset is made available. The lessee records an asset representing the right of use of the leased asset under "property, plant and equipment" over the estimated term of the contract and a liability representing the rental payment obligation under "miscellaneous liabilities" over the same term.

The lease period of a contract corresponds to the non-cancellable term of the lease adjusted for the contract extension options that the lessee is reasonably certain to exercise and the termination option that the lessee is reasonably certain not to exercise.

In France, the term used for the “3/6/9” commercial leases is generally nine years with an initial non-cancellable period of three years. The Group has chosen a term corresponding to the first exit option after five years as the reasonably certain term of a lease. This term, at the inception of French commercial leases, is applied in the majority of cases. The main exception is the case of a lease in which the interim exit options have been waived (*e.g.* in return for a reduction in rental income); in this case, the term of the lease remains nine years. This five-year term is also applied to leases that are automatically extended.

The lease liability is recognised for an amount equal to the present value of the rental payments over the term of the contract. Rental payments include fixed rents, variable rents based on a rate or index, and payments that the lessee expects to pay as residual value guarantees, purchase options or early termination penalties. Variable rents that are not based on an index or rate and the non-deductible VAT on rents are excluded when calculating the debt and are recognised under “operating expenses”.

The discount rate applicable to the calculation of the right-of-use asset and the lease liability is, by default, the lessee’s marginal rate of indebtedness over the term of the agreement at the date of signature of the agreement, when the implicit rate cannot easily be established. The marginal indebtedness rate takes account of the rent payment structure. It reflects the terms of the lease (term, guarantee, economic environment etc.) – here, the Group applies the IFRS IC decision of 17 September 2019 since the implementation of IFRS 16 (no impact of this decision).

The lease expense is broken down into interest and amortisation of capital.

The right of use of the asset is valued at the initial value of the lease liability plus the initial direct costs, advance payments and restoration costs, reduced by the lease inducements. It is amortised over the estimated term of the lease.

The lease liability and the right of use may be adjusted in the event of amendment to the lease, re-estimation of the lease period or rent review related to the application of indices or rates.

Deferred taxes are recognised as temporary differences in right-of-use and rental liabilities by the lessee.

In accordance with the exception set out in the standard, short-term leases (initial term of less than 12 months) and leases for which the new value of the leased asset is low are not recognised on the balance sheet; the corresponding leasing expenses are recorded on a straight-line basis in the income statement under “operating expenses”.

In accordance with the standard, the Group does not apply IFRS 16 to leases of intangible assets.

Non-current assets held for sale and discontinued operations (IFRS 5)

A non-current asset (or a disposal group) is classified as held-for-sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use.

For this to be the case, the asset (or disposal group) must be available for immediate sale in its present condition and its sale must be highly probable.

The relevant assets and liabilities are shown separately on the balance sheet under “Non-current assets held for sale and discontinued operations” and “Liabilities associated with non-current assets held for sale and discontinued operations”.

A non-current asset (or disposal group) classified as held for sale is measured at the lower of its carrying amount and fair value less costs of sale. In case of unrealised losses, impairment is recognised in the income statement. Non-current assets are no longer amortised when they are reclassified.

If the fair value of a group of assets held for sale less its selling costs is less than its carrying amount after impairment of non-current assets, the difference is allocated to the other assets in the group of assets held for sale including the financial assets and is recognised under net income from discontinued operations.

A discontinued operation is a component that the Group has either disposed of, or that is classified as held for sale, according to the following situations:

- it represents a separate major business line or geographical area of operations;
- it is part of a single coordinated plan to dispose of a separate major business line or geographical area of operations; or
- it is a subsidiary acquired exclusively with a view to resale.

The following are disclosed on a separate line of the income statement:

- the profit or loss from discontinued operations until the date of disposal, net of tax;
- the gain or loss recognised on the disposal or on measurement to fair value less costs of sale of the assets and liabilities constituting the discontinued operations, net of tax.

1.3 CONSOLIDATION PRINCIPLES AND METHODS (IFRS 10, IFRS 11 AND IAS 28)

Scope of consolidation

The consolidated financial statements include the financial statements of the Crédit Agricole Group and those of all companies over which, in compliance with IFRS 10, IFRS 11 and IAS 28, the Crédit Agricole Group exercises control, joint control or significant influence.

The Crédit Agricole Group's consolidated financial statements include:

- the accounts of Crédit Agricole S.A. as a corporate centre;
- the accounts of institutions affiliated to the corporate centre pursuant to Directive 86/635, relating to the accounts of European credit institutions, which together with Crédit Agricole S.A., the Regional Banks and the Local Banks constitute the "reporting entity"; and
- those of all companies over which, in accordance with the provisions of IFRS 10, IFRS 11 and IAS 28, Crédit Agricole S.A., the Regional Banks and Local Banks have control, joint control or significant influence.

This is presumed when Crédit Agricole S.A., the Regional Banks and the Local Banks hold, directly or indirectly, at least 20% of the existing and potential voting rights.

Definitions of control

In compliance with international accounting standards, all entities under control, under joint control or under significant influence are consolidated, provided that they are not covered by the exclusions below.

Exclusive control over an entity is deemed to exist if the Crédit Agricole Group is exposed to or entitled to receive variable returns as a result of its involvement with the entity and if the power it holds over this entity allows it to influence these returns. Power in this context means substantive (voting or contractual) rights. Rights are considered substantive if the holder of the rights can in practice exercise them when decisions about the Company's relevant activities are made.

The Crédit Agricole Group is deemed to control a subsidiary through voting rights when its rights give it the practical ability to direct the subsidiary's relevant activities. The Crédit Agricole Group is generally considered to control a subsidiary when it holds more than half the existing or potential voting rights in an entity, whether directly or indirectly through subsidiaries, except when it can be clearly demonstrated that such ownership does not give it the power to direct its relevant activities. Control is also deemed to exist where the Crédit Agricole Group holds half or less than half of the voting rights, including potential rights, in an entity but is able in practice to direct its relevant activities at its sole discretion, notably because of the existence of contractual arrangements, the size of its stake in the voting rights compared to those of other investors, or other reasons.

Control of a structured entity is not assessed on the basis of voting rights as these have no effect on the entity's returns. When assessing control, consideration is given not only to contractual arrangements in force but also to whether the Crédit Agricole Group was involved in creating the entity and what decisions it made at that time, what agreements were made at its inception and what risks are borne by the Crédit Agricole Group, any rights under agreements that give the investor the power to direct relevant activities in specific circumstances only and any other facts or circumstances that indicate the investor can direct the entity's relevant activities. Where there is a management agreement, the extent of decision-making powers granted to the delegated manager and the remuneration accorded by such contractual arrangements are examined

to establish whether the manager is in practice acting as an agent (with delegated powers) or as a principal (on their own account).

Furthermore, when decisions on the entity's relevant activities are taken, the indicators used to assess whether an entity is acting as agent or principal are as follows: the extent of the decision-making powers compared to the powers over the entity delegated to the manager, the remuneration provided for under the contractual arrangements, any substantive rights that may affect the decision-making capacity of other parties involved in the entity and the exposure to variable returns of other interests in the entity.

Joint control is deemed to exist when there is a contractual division of control over an economic activity. Decisions affecting the entity's relevant activities require unanimous agreement of the joint controllers.

In traditional entities, significant influence is defined as the power to influence but not control a company's financial and operational policies. The Crédit Agricole Group is presumed to have significant influence if it owns 20% or more of the voting rights in an entity, whether directly or indirectly through subsidiaries.

Exclusions from the scope of consolidation

In accordance with IAS 28, minority interests held by entities for which the paragraph 18 option has been applied, are excluded from the scope of consolidation insofar as they are classified under financial assets at fair value through profit or loss by nature.

Consolidation methods

The methods of consolidation are respectively defined by IFRS 10 and IAS 28. They depend on the type of control exercised by the Crédit Agricole Group over the entities that can be consolidated, regardless of activity or whether or not they have legal entity status:

- full consolidation, for controlled entities, including entities with different financial statement structures, even if their business is not an extension of that of the Crédit Agricole Group;
- the equity method, for the entities over which Crédit Agricole S.A. exercises significant influence and joint control.

Full consolidation consists in substituting for the value of the shares each of the assets and liabilities carried by each subsidiary. The equity and income attributable to non-controlling interests is presented separately in the consolidated balance sheet and income statement.

Non-controlling interests are as defined by IFRS 10 and incorporate instruments representing current ownership interests and that give right to a proportional share of the net assets in the event of liquidation and the other equity instruments issued by the subsidiary and not held by the Group.

The equity method consists in substituting for the value of shares the Group's proportional share of the equity and income of the companies concerned.

The change in the carrying amount of these shares includes changes in goodwill.

In the event of incremental share purchases or partial disposals with continued joint control or significant influence, the Crédit Agricole Group recognises:

- in the case of an increase in the percentage of interest, additional goodwill;
- in the case of a reduction in the percentage of interest, a gain or loss on disposal/dilution in profit or loss.

Restatements and eliminations

Where necessary, financial statements are restated to harmonise the valuation methods applied to consolidated companies.

The impact of Group internal transactions on the consolidated balance sheet and income statement is eliminated for fully consolidated entities.

Capital gains or losses arising from intra-group asset transfers are eliminated; any potential impairment measured at the time of disposal in an internal transaction is recognised.

Translation of the financial statements of foreign operations (IAS 21)

The financial statements of entities representing a “foreign operation” (subsidiary, branch, associate or joint venture) are translated to euro in two steps:

- if applicable, the local currency in which the financial statements are prepared is converted into the functional currency (currency of the main business environment of the entity). The conversion is made as if the information had been recognised initially in the functional currency (same conversion principles as for foreign currency transactions here above);
- the functional currency is converted into euros, the currency in which the Group's consolidated financial statements are presented. Assets and liabilities, including goodwill, are converted at the closing exchange rate. Equity items, such as share capital or reserves, are converted at their historical foreign exchange rates. Income and expenses included in the income statement are converted at the average exchange rate for the period. Foreign exchange impacts resulting from this conversion are recognised as a separate component of shareholders' equity. In the event of exit from the foreign operation (disposal, repayment of capital, liquidation, discontinuation of activity) or in the event of deconsolidation due to a loss of control (even without disposal), these translation adjustments are recognised in the income statement when the result of exit or loss of control is recognised.

Business Combinations – Goodwill

Business combinations are accounted for using the acquisition method in accordance with IFRS 3, except for business combinations under common control, which are excluded from the scope of application of IFRS 3. Pursuant to IAS 8, these transactions are entered at carrying amount using the pooling of interests method, with reference to US standard ASU805-50 which seems to comply with the IFRS general principles.

At the date of acquisition, the identifiable assets, liabilities and contingent liabilities of the acquired entity which satisfy the conditions for recognition set out in IFRS 3 are recognised at fair value.

Notably, restructuring liabilities are only recognised as a liability of the acquired entity if, at the date of acquisition, the acquiree is under an obligation to complete the restructuring.

Price adjustment clauses are recognised at fair value even if their application is not probable. Subsequent changes in the fair value of clauses if they are financial liabilities are recognised in the income statement. Only price adjustment clauses relating to transactions where control was obtained at the latest by 31 December 2009 may still be recorded against goodwill, because these transactions were accounted for under IFRS 3 pre revision (2004).

The non-controlling interests that are shares of current interests giving rights to a share of the net assets in the event of liquidation may be measured, at acquirer's choice, in two ways:

- at fair value on the date of acquisition;
- at the share of the identifiable assets and liabilities of the acquired company revalued at fair value.

The option may be exercised at each acquisition.

The balance of non-controlling interests (equity instruments issued by the subsidiary and not held by the Group) should be recognised for its fair value on the date of acquisition.

The initial assessment of assets, liabilities and contingent liabilities may be revised within a maximum period of 12 months after the date of acquisition.

Some transactions relating to the acquired entity are recognised separately from the business combination. These include:

- transactions that end a pre-existing relationship between the acquired company and the acquiring company;
- transactions that compensate employees or the selling shareholders of the acquired company for future services;
- transactions aimed at reimbursing the acquiree or its former shareholders for acquisition-related costs that they have assumed on behalf of the acquirer.

These separate transactions are generally recognised in the income statement at the acquisition date.

The transferred consideration at the time of a business combination (the acquisition cost) is measured as the total of fair values transferred by the acquirer, at the date of acquisition in exchange for control of the acquired entity (for example: cash, equity instruments etc.).

The costs directly attributable to the business combination shall be recognised as expenses, separately from the business combination. If the transaction is highly probable, they are recognised under “Net gains (losses) on other assets”, otherwise they are recognised under “Operating expenses”.

The difference between the sum of acquisition costs and non-controlling interests and the net balance at the date of acquisition of acquired identifiable assets and liabilities assumed, valued at their fair value, is recognised, when it is positive, in the assets side of the consolidated balance sheet, under “Goodwill” when the acquired entity is fully consolidated and under “Investments in equity-accounted entities” when the acquired company is consolidated using the equity method of accounting. Any badwill is recognised immediately through profit or loss.

Goodwill is carried in the balance sheet at its initial amount in the currency of the acquired entity and converted at the closing rate at the end of the reporting period.

When control is taken by stages, the interest held before taking control is revalued at fair value through profit or loss at the date of acquisition and the goodwill is calculated once, using the fair value at the date of acquisition of acquired assets and liabilities taken over.

Goodwill is tested for impairment whenever there is objective evidence of a loss of value and at least once a year.

The choices and assumptions used in assessing non-controlling interests at the date of acquisition may influence the amount of initial goodwill and any impairment resulting from a loss of value.

For the purpose of impairment testing, goodwill is allocated to the Group Cash Generating Units (CGUs) that are expected to benefit from the business combination. The CGUs have been defined within the Group's business lines as the smallest identifiable group of assets and liabilities functioning in a single business model. Impairment testing consists of comparing the carrying amount of each CGU, including any goodwill allocated to it, with its recoverable amount.

The recoverable amount of the CGU is defined as the higher of fair value less than of selling costs and value in use. The value in use is the present value of the future cash flows of the CGU, as set out in medium-term business plans prepared by the Group for management purposes.

When the recoverable amount is lower than the carrying amount, a corresponding impairment loss is recognised for the goodwill allocated to the CGU. This impairment is irreversible.

In the case of an increase in the percentage ownership interest of the Crédit Agricole Group in an entity that is already exclusively controlled, the difference between the acquisition cost and the share of net assets acquired is recognised under "Consolidated reserves Group share"; in the event that the Crédit Agricole Group's percentage ownership interest in an entity that remains under its exclusive control declines, the difference between the selling price and the carrying amount of the share of net assets sold is also recognised directly under "Consolidated reserves Group share". Expenses arising from these transactions are recognised in equity.

The accounting treatment of sale options granted to minority shareholders is as follows:

- when a sale option is granted to the minority shareholders of a fully consolidated subsidiary, a liability is recognised in the balance sheet; on

initial recognition, the liability is measured at the estimated present value of the exercise price of the options granted to the minority shareholders. Against this liability, the share of net assets belonging to the minority shareholders concerned is reduced to zero and the remainder is deducted from equity;

- subsequent changes in the estimated value of the exercise price will affect the amount of the liability, offset by an equity adjustment. Symmetrically, subsequent changes in the share of net assets due to minority shareholders are cancelled, offset in equity.

When there is a loss of control, the proceeds from the disposal are calculated on the entirety of the entity sold and any investment share kept is recognised in the balance sheet at its fair value on the date control was lost.

NOTE 2 Major structural transactions and material events during the period

The scope of consolidation and changes to it as at 31 December 2020 are shown in detail at the end of the notes in Note 12 "Scope of consolidation at 31 December 2020".

2.1 COVID-19 HEALTH CRISIS

Faced with the COVID-19 health crisis and its economic consequences, the Crédit Agricole Group underwent a massive mobilisation. To support its customers whose business would be impacted by the coronavirus crisis, the Group actively participated in the economic support measures implemented by the public and local authorities.

2.1.1 State-Guaranteed Loans (SGL)

In the context of the health and economic crisis related to COVID-19, starting 25 March 2020, the Crédit Agricole Group has granted all of its corporate customers, whatever their size and status (farmers, professionals, merchants, artisans, companies, etc.), access to the massive and unprecedented State-guaranteed loan scheme, in addition to the measures already announced (extension of due dates, accelerated procedures for examining applications, etc.). Companies can apply for these loans until 30 June 2021.

This financing takes the form of a 12-month loan, and the borrower has the option to amortise it over an additional period of one to five years.

Over this additional period, the loan may, during the amortisation phase, have a further period of one year during which only the interest and the cost of the State guarantee will be paid.

The total term of the loan may not exceed six years.

The Group's offer for the first year takes the form of a zero-interest loan; only the cost of the guarantee is re-invoiced (via a commission paid by the customer) in accordance with the eligibility conditions defined by the State to benefit from the guarantee.

The amount of these loans may be as high as three months of revenues, thus allowing entrepreneurs to have access to the necessary financing to get through the current period.

The vast majority of these loans belong to a "Collection" business model and meet the test for contractual terms. They are therefore recognised at amortised cost.

At 31 December 2020, the amount of State-guaranteed loans granted to customers by the Crédit Agricole Group in France amounted to €25.9 billion. The amount of the guarantee received from the French State in connection with these loans amounts to €22.6 billion.

2.1.2 Due date extension on loans granted to customers

Starting March 2020, the Group joined the French banking community initiative coordinated by the *Fédération des Banques Françaises* (FBF) to offer an extension of the due dates for outstanding loans by up to six months for Corporate and Professional customers at no additional cost.

The implementation of a postponement of due dates of this nature without penalties or additional costs and with maintenance of the contractual rate over a maximum period of six months implies that only interim interest will be collected after the postponement over the remaining duration of the loan, excluding any guarantee costs of the French Public Investment Bank.

As proposed by the Group, the postponement of due dates implies:

- an extension of the term of the loan if the customer wishes to maintain its initial loan instalments; or
- an increase in its instalments after the suspension if the customer wants to maintain its initial term.

This postponement results in a postponement of the original due dates.

Outstanding loans to customers in France with non-contractual due date postponements amounted to €43.1 billion in 2020, including €4.4 billion outstanding as at 31 December 2020 at Crédit Agricole Group level.

2.1.3 Impact of these measures on credit risk

In accordance with the IASB communication of 27 March 2020 relating to the recognition of expected credit losses under IFRS 9 on financial instruments under the current exceptional circumstances, the importance of exercising judgement in the application of IFRS 9 credit risk principles and the resulting classification of financial instruments was restated.

The due date extension on loans granted to customers does not systematically cast doubts on the customer's financial position, and there is no automatic increase in counterparty risk. Amendments to the agreement cannot generally be considered as developments linked to restructuring events due to financial difficulties.

As a result, this postponement does not result in an automatic changeover of outstandings, the impairment of which are based on expected loan losses over 12 months (Bucket 1) to recognition of impairment of expected losses at maturity (Bucket 2), nor does it result in the automatic transfer of outstandings to the doubtful category (Bucket 3).

Similarly, the calculation of the amount of expected losses must take into account the specific circumstances and the support measures put in place by the public authorities.

2.1.4 Credit risk rating measurement

In the context of the health and economic crisis related to COVID-19, the Group has revised its macroeconomic forecasts (forward-looking) for the determination of the credit risk estimate at year-end. As a reminder, an initial recognition of the effects of the health crisis and its macro-economic effects has already been included in the Q2 2020 report.

Background of select macroeconomic scenarios

The Group used four scenarios for calculating IFRS 9 provisioning parameters with projections for 2022.

These four scenarios incorporate differentiated hypotheses as to the impacts of the COVID-19 crisis on the economy in faster, slower and full return to normality of mobility, activity and consumption, and largely depend on how the health situation development, which is still very uncertain today (taking into account a second lock-down, but also favourable prospects related to the discovery of vaccines at the end of the year). The strength of customer type confidence is also decisive which – depending on health, economic and employment expectations – results in different levels of wait-and-see and cautious behaviour. This in turn determines the propensity of households to consume the abundant savings they accumulated during the lockdown and the capacity of businesses to invest. The scale, effectiveness and timing of government stimulus support programmes also have a significant impact on the development of activity.

The rebound in Q3 2020, enabled by ending lockdowns in most European countries, was stronger than expected. In France, GDP rebounded by 18.2% in Q3 versus Q2, after a -13.7% decline in Q2 versus Q1. The extent of the second wave led to significant restrictions in Europe in Q4. In France, it seemed likely that the second lockdown would be extended beyond early December, in order to control levels as the virus started to circulate again (target of maximum 5,000 infections per day). With an assumption of a lockdown until mid-December, France's GDP was expected to drop by about -8% in Q4 vs. Q3. The average annual growth in 2020 was not expected to be affected much (-10.1% vs. -9.1% forecast in September), but the achieved growth (*i.e.* 2021 annual growth if the quarterly GDP is equal to that of Q4 2020, therefore zero quarterly growth) for 2021 is negative (-1.6%).

■ **The first scenario describes a gradual yet not synchronised recovery from the crisis, with the growth profile strongly dependent on health assumptions, for which uncertainty is high. Moreover, health developments and measures taken are not identical among European countries.**

Scenario 1 assumes the pandemic will persist in 2021 with a “stop and go” scenario during Q1 and Q2 (alternating relaxation, restrictions and short lockdown periods), but less detrimental than in 2020 (better

control of epidemic flows, fewer restrictions on mobility). Even with a vaccine on the market, we assume that a large roll-out would not take place until mid-2021.

For 2021, a GDP growth forecast for France of +4.6%, compared to the +7.3% forecast used for late June, including a fairly clear rebound for Q1 2021, but more moderate than for Q3 2020, due to a cautious lifting of the lockdown – with ongoing restrictive curfew-type measures likely – and in Q2 2021 a third wave (particularly related to climate issues and insufficient effectiveness of the testing strategy) is assumed to result in a new, shorter episode of lockdown and a decline in GDP. Lastly, in the second half of 2021, a rebound (lifting of lockdown) and an improvement in the situation pertaining to vaccination campaigns. But a cautious recovery, despite support measures: some sectors will remain markedly weakened (aeronautics, automotive, trade, tourism, hotels, restaurants, culture, etc.); uncertainty about a resumption of investments despite the stimulus plan; bankruptcies; continued high precautionary savings by households in light of rising unemployment, limiting the use of the savings accumulated during successive lockdowns.

As a result, the ECB would move towards more easing and more purchases of sovereign debt securities. Indeed, with the outlook for growth and inflation still bleak, future sovereign debt issuance should induce the ECB to do more. We do not expect a rate cut in the foreseeable future. Net asset purchases under the PEPP (€750 billion in March to €1,350 billion in June) are due to end in June 2021. This scenario assumes that the ECB will increase its purchasing programmes during H2 2021 as well as 2022 (via an extension and expansion of the PEPP or a simple increase in the APP).

Since the peak of risk aversion in March, the yield on the 10-year Bund did try to recover but has been systematically reduced to -0.50%/-0.60%. No view on the evolution of the pandemic, on the growth profile of 2021 and, more generally, a very high degree of uncertainty. Also, the Bund remains at a very low level.

■ **The second scenario involves more negative health developments and more severe restrictive measures.**

The second scenario uses identical forecasts to those of the first scenario for the year 2020. The profile for 2021 is assumed to be fairly comparable to Q1 2021 (cautious lifting of lockdown), but in Q2 2021, a stronger and faster third wave is assumed, resulting in a more serious lockdown of about two months, versus a month in the central scenario. This Scenario 2 would result in a much sharper decline in GDP in Q2, but also followed by a stronger rebound in Q3.

In this scenario, for 2021: there would be an average GDP increase expected at +3% vs. +4.6% in Scenario 1.

■ **The third scenario is slightly more favourable than Scenario 1 and assumes a significantly stronger recovery in 2021 (GDP growth in France of +7.1% due to faster control of the health situation).**

■ **The fourth scenario, the least likely, is characterised by a slightly stronger decline in activity in 2021 and an additional shock, in France, that would involve renewed social tensions, blockades, and strikes.**

In France, in this scenario, domestic demand will fall sharply in H1 2021. There is a persistent circulation of the virus. State support measures will not be renewed in 2021 and, lastly, an increase in unemployment and bankruptcies is observed.

With no visibility and with excess capacity, there is a marked downward revision of investments.

Households remain very cautious with few major purchases.

There are also renewed social tensions and a freezing of the reform programme. Lastly, at the national level, there is a downgrade of the credit rating by a notch.

In this scenario, in France, gradual recovery is postponed in 2021 (average increase of only +1.9% of GDP), with the activity trend level weighed down by a higher increase in unemployment (12.5% in 2021 after 10% in 2020).

Furthermore, concerning:

- **support measures:** note that the risk parameter forecast process has been revised in 2020 to better reflect the impact of government programmes in IFRS 9 forecasts. The effect of this revision is to mitigate the sudden intensity of the crisis and the strength of the recovery, and to spread these over a longer period (three years).

The variables relating to the interest rates level, and more generally all the variables linked to the capital markets, have not been modified, because their forecasts already structurally include the effects of the support policies;

- **local and subsidiary scenarios:** as noted above, sector complements established at the local level ("local forward looking") by some Group entities can complement the centrally defined macroeconomic scenarios.

At the end of December 2020, including local forward looking scenarios, the share of Bucket 1/Bucket 2 provisions on the one hand (provisioning for performing loans) and Bucket 3 provisions on the other hand (provisioning for proven risks) represented **34% and 66% respectively of the Crédit Agricole Group's total stock of provisions at 31 December 2020.**

At the end of December 2020, net additions to provisions for Bucket 1/ Bucket 2 **represented 45% of the Crédit Agricole Group's annual cost of risk** compared to **55%** for the Bucket 3 share of proven risks and other provisions.

Sensitivity analysis of IFRS 9 provisions (Buckets 1 and 2 ECL amounts)

Scenario 1 was weighted at 55% for the calculation of IFRS ECL amounts for Q4-2020. By way of example, the 10-point reduction in the weighting of Scenario 1 in the calculations at Q4-2020 in favour of the more unfavourable Scenario 2, lead to a rise in the ECL stock under "forward looking central" of around **0.7%** for the Crédit Agricole Group. However, such a change in the weight would not necessarily have a significant impact due to "local forward looking" adjustments, which could mitigate the effect.

2.1.5 Decision regarding the 2019 dividend

On 27 March 2020, the European Central Bank issued recommendations asking that the banks under its supervision not pay dividends as long as the coronavirus crisis persists, and until "at least the beginning of October 2020".

This deadline appeared to be incompatible with the French Commercial Code, which stipulates that an annual dividend must be paid no later than 30 September.

Under these conditions, the Board of Directors of Crédit Agricole S.A., which was consulted in writing on 1 April 2020 pursuant to the legal provisions on the functioning of deliberative bodies during the COVID-19 epidemic, decided not to propose to the General Meeting of 13 May 2020 the distribution of a dividend initially set at €0.70 per share for the 2019 financial year, and to allocate the entire profit for 2019 to a reserve account.

On 28 July 2020, the ECB extended its recommendation not to pay dividends until January 2021.

On 15 December 2020, the ECB changed its recommendations, asking all banks to consider not distributing cash dividends and not repurchasing shares, or to limit such distributions, until 30 September 2021. Accordingly, in the event of a distribution, dividends and share buybacks must remain below 15% of the cumulative distributable earnings for financial years 2019 and 2020 and must not exceed 20 basis points of the CET1 ratio, whichever is lower. In addition, banks planning to make distributions should contact their joint prudential supervisory team to determine whether the level of distribution they are contemplating is prudent.

As at 31 December 2020, Crédit Agricole S.A. had not distributed any dividends for the 2019 financial year.

2.1.6 Exceptional distribution by SAS Rue La Boétie to the Regional Banks

Following the ECB recommendations issued in the context of COVID-19, Crédit Agricole S.A. was unable to pay its shareholders the dividend it had announced on 14 February 2020. The absence of this dividend payment created a sharp distortion in the Group's internal business model.

As a result, the General Meeting of SAS Rue La Boétie, the majority shareholder of Crédit Agricole S.A. held jointly by the Regional Banks, decided to make an exceptional distribution of €1.1 billion from its resources, proposing to reimburse the Regional Banks for part of the issue premiums of SAS Rue La Boétie.

Within the meaning of paragraph BC5.25 of IFRS 9, this payment does not meet the definition of a dividend, but is a reimbursement of the investment cost of the securities acquired by the Regional Banks. The distribution will therefore result in a reduction in the consolidated cost price of the shares of SAS Rue La Boétie for each Regional Bank. As these are internal transactions, all transactions are eliminated in the Crédit Agricole Group's consolidated financial statements.

Current tax related to the repayment of the issue premium has a €3.6 million impact in the consolidated income statement at 31 December 2020.

2.1.7 Insurance support scheme for professionals

In the context of the health and economic crisis related to COVID-19 and with the aim of supporting and helping professionals through this crisis, the Crédit Agricole Group decided on 22 April 2020 to implement an unprecedented extra-contractual support scheme for all of its policyholders who have taken out professional multi-risk insurance with business interruption.

This insurance support scheme entails the payment of a sum corresponding to a flat-rate estimate of the loss of income for the relevant economic sector during the period.

As at 31 December 2020, a sum of €237.5 million impacting revenues had been paid under this scheme to the Group's professional policyholders, of which:

- €231.5 million was paid by the Crédit Agricole Group:
 - €96.5 million by Pacifica,
 - €96.5 million by the Regional Banks and LCL,
 - €38.5 million by La Médicale de France;
- €6 million outside the Group was paid by the general agents of La Médicale de France.

2.2 MAIN CHANGES IN THE SCOPE OF CONSOLIDATION

2.2.1 Acquisition of Sabadell Asset Management by Amundi

On 21 January 2020, Amundi and Banco Sabadell announced the signing of a 10-year strategic partnership for the distribution of asset management products in the Banco Sabadell network in Spain.

The combination of the strong regional presence of the Banco Sabadell network and Amundi's comprehensive range of savings products and solutions creates significant potential for growth in Spain between the two partners.

Within this framework, Amundi acquires the entire share capital of Sabadell Asset Management, Banco Sabadell's asset management subsidiary, with €22 billion in assets under management at 31 December 2019.

On 30 June 2020, all regulatory authorisations required to complete this transaction had been obtained, and Amundi acquired the entire share capital of Sabadell Asset Management for a cash purchase price of €430 million. An earn-out of up to €30 million could be payable by 2024.

This acquisition, financed exclusively by Amundi's excess share capital, generated the recognition of €335 million in goodwill.

In accordance with IFRS 3R, the goodwill is a preliminary measurement and may be revalued in the coming year.

2.2.2 Acquisition of additional Menafinance shares by Crédit Agricole Consumer Finance

Following the ten-year renewal of its partnership with Fnac Darty Group in February 2020, Crédit Agricole Consumer Finance took control of Menafinance, the entity that provides consumer credit to Darty customers. This entity was previously under the joint control of the two partners and was equity-accounted by the Crédit Agricole Group.

As a result, on 30 June 2020, Crédit Agricole Consumer Finance acquired the 50% of Menafinance's share capital held by Fnac Darty Group, *i.e.* 185,358 Menafinance shares for a total amount of €29.3 million.

Since the transaction, Menafinance has been wholly owned by Crédit Agricole Consumer Finance and is fully consolidated in the Crédit Agricole Group.

At 30 June 2020, in accordance with IFRS 3R, this additional acquisition had a positive impact of €12.6 million on profit Group share for the revaluation of shares previously held. In addition, it generated the recognition of goodwill of €25.2 million.

On 1 October 2020, Menafinance was absorbed by Crédit Agricole Consumer Finance.

2.2.3 Full disposal of Crédit Agricole CIB's remaining stake in the share capital of BSF

On 28 September 2020, Crédit Agricole Corporate & Investment Bank (Crédit Agricole CIB) announced the disposal of its remaining 4% stake in the capital of Banque Saudi Fransi (BSF). The buyers were two Saudi government-related institutional investors. They acquired the stake held by Crédit Agricole CIB in BSF at a price of 30.00 Saudi Riyals (SAR) per share, for a total consideration of SAR 1.45 billion equivalent to around €332 million.

BSF shares were accounted in Crédit Agricole CIB balance sheet as Financial assets at fair value through Other Comprehensive Income; thus the transaction will have no impact on P&L.

At 31 December 2020, following the sale, Crédit Agricole CIB no longer holds any interest in the share capital of Banque Saudi Fransi (BSF).

2.2.4 Disposal plans (IFRS 5)

2.2.4.1 Crédit Agricole Bank Romania

Crédit Agricole Bank Romania is a fully-owned subsidiary of Crédit Agricole S.A.

During 2019, Crédit Agricole S.A. initiated a process to put Crédit Agricole Bank Romania up for sale.

Crédit Agricole Bank Romania's assets and liabilities have thus been reclassified under IFRS 5 in the consolidated financial statements at 31 December 2019.

In December 2020, negotiations with the Romanian bank Vista Bank Romania S.A. led to the signing of an agreement to sell Crédit Agricole Bank Romania to Vista Bank Romania S.A. on 4 January 2021. The completion of this transaction, which is subject to the approval of the competent Romanian regulatory authorities (the National Bank of Romania and the National Competition Council), is expected to take place in the first half of 2021.

Crédit Agricole Bank Romania is therefore maintained pursuant to IFRS 5 in the Crédit Agricole S.A. consolidated financial statements at 31 December 2020 for an amount of €521 million in "Non-current assets held for sale" and for an amount of €501 million in "Liabilities associated with non-current assets held for sale".

The net income is classified under "Net income from discontinued or held-for-sale operations" for an amount of -€7.5 million.

2.2.4.2 Crédit Agricole Consumer Finance Nederland (CACF NL)

Crédit Agricole Consumer Finance Nederland is a wholly owned subsidiary of Crédit Agricole S.A.

In October 2019, the Executive Management of Crédit Agricole S.A. and Crédit Agricole Consumer Finance began the process of putting Crédit Agricole Consumer Finance NL up for sale.

A programme to actively search for a potential acquirer was launched, leading to the receipt in the fourth quarter of 2020 of several offers. The Group decided to enter into exclusive negotiations with one of them.

Therefore, pursuant to IFRS 5, the assets and liabilities of Crédit Agricole Consumer Finance Nederland are classified as at 31 December 2020 in the balance sheet under "Non-current assets held for sale" for the sum of €1,704 million and under "Liabilities associated with non-current assets held for sale" for the sum of €477 million. The net income is classified under "Net income from discontinued or held-for-sale operations" for an amount of -€189.8 million.

The impact on the income statement includes the impact of the reclassification as Non-current assets held for sale of the share of goodwill of the CGU to which Crédit Agricole Consumer Finance NL is attached, as well as the estimated loss on that transaction.

2.2.4.3 Bankoia S.A.

Bankoia is a 99.8%-owned subsidiary of the Crédit Agricole Group. Caisse régionale Pyrénées Gascogne owns 94.8% of the shares of this company, and 5% is held by Crédit Agricole S.A.

On 29 September 2020, a sale agreement, with conditions precedent, was signed by the Regional Bank with the Spanish bank Abanca, which will acquire the Group's entire stake in Bankoia.

At 31 December 2020, all conditions precedent had not yet been lifted.

In application of IFRS 5, the assets and liabilities of BANKOIA are classified as at 31 December 2020 in the balance sheet under "Non-current assets held for sale" for the sum of €2,283.3 million and under "Liabilities associated with non-current assets held for sale" for the sum of €2,123 million. The net income is classified under "Net income from discontinued or held-for-sale operations" for an amount of -€40.7 million.

The impact on the income statement incorporates the estimated loss on this transaction.

2.2.4.4 Crédit Agricole CIB (Miami) and CA Indosuez Wealth (Brazil) S.A. DTVM

Crédit Agricole CIB (Miami) is a branch of Crédit Agricole CIB (Crédit Agricole CIB), which is in turn 97.8% controlled by Crédit Agricole S.A.

CA Indosuez Wealth (Brazil) S.A. DTVM is a subsidiary 97.8% controlled by Crédit Agricole S.A. The shares of this company are wholly owned by Crédit Agricole CIB (Crédit Agricole CIB), which in turn is 97.8% controlled by Crédit Agricole S.A.

In 2020, the Executive Management of Crédit Agricole S.A. and Crédit Agricole CIB began the process of putting the entity CA Indosuez Wealth (Brazil) S.A. DTVM and the goodwill associated with outstanding loans to customers of the Crédit Agricole CIB (Miami) branch of Crédit Agricole CIB (Crédit Agricole CIB) up for sale.

A programme to actively search for a potential acquirer was launched, leading to the receipt in the fourth quarter of 2020 of several binding offers and opening up negotiations over contract documentation.

Therefore, pursuant to IFRS 5, the assets and liabilities of Crédit Agricole CIB (Miami) and CA Indosuez Wealth (Brazil) are reclassified as at 31 December 2020 in the balance sheet under "Non-current assets held for sale" for the sum of €503.8 million and under "Liabilities associated with non-current assets held for sale" for the sum of €450.9 million.

The income statement impact of -€23.5 million is classified under "Net income from discontinued or held-for-sale operations".

2.2.5 Creation of a joint venture between Amundi and BOC Wealth Management

Following the 20 December 2019 approval of the China Banking and Insurance Regulatory Commission, Amundi, a subsidiary of Crédit Agricole S.A., and BOC Wealth Management, a subsidiary of Bank of China, obtained a licence on 30 September 2020 for their joint venture in China, Amundi BOC Wealth Management Company Limited.

The new company, registered in the Lingang Free Zone in Shanghai, is owned at 55% by Amundi and 45% by BOC Wealth Management. It is the first asset management company with an international majority shareholder to be able to develop and market an offer in China under "asset management" product rules.

The savings solutions offered by the joint venture will benefit from Amundi's expertise in asset allocation and its rigorous risk management processes and tools and from Bank of China's support in brand strategy and distribution in branches and online.

Amundi BOC Wealth Management Company Limited is under the exclusive control of Amundi and is therefore fully consolidated (FC) under the Crédit Agricole Group.

2.3 BENCHMARK BOND ISSUE ON THE PANDA MARKET

On 11 September 2020, following its initial Panda Bond issue in December 2019, Crédit Agricole S.A. successfully issued its second CNY 1 billion (equivalent to €125 million) senior preferred bond with a maturity of three years and a 3.5% fixed rate. Crédit Agricole S.A. thus becomes a repeat issuer in the fast paced developing Panda Bond market, with the view to fund its activities in China and further diversify its long-term funding. The proceeds will be used to finance its wholly-owned banking subsidiary Crédit Agricole CIB (China) Limited in order to support its international client base through financing and capital market transactions.

This successful benchmark issuance was bought by Chinese and International institutional investors on the Chinese bond market and the Hong Kong Bond Connect exchange. The order book was 1.64 times oversubscribed, illustrating the investors' continuous confidence in Crédit Agricole S.A. and recognition to its CNY 5 billion bonds issuance programme, the foremost one issued by a French bank and a European G-SIB (global systemically important banks) financial institution.

Crédit Agricole S.A., the issuer, as the Central Body and member of the Crédit Agricole Network, and its Panda Bonds have obtained a domestic rating of AAA from China Chengxin International Credit Rating.

2.4 SOCIAL BOND ISSUANCE

In the context of the current crisis, which is severely affecting the most vulnerable, the Crédit Agricole Group is resolutely pursuing its mutualist commitment to promote development for all. On 2 December 2020, Crédit Agricole S.A. successfully carried out its first social bond issuance for €1 billion.

The framework of these social bonds issuances aims to reduce social inequalities by revitalising the most vulnerable territories and by promoting employment, solidarity initiatives and access to essential goods and services.

Key issuer in the green bond market, the Group is today naturally broadening the field of its sustainable finance initiatives with this inaugural social bond issue.

This theme-based issuance contributes to the Group's ambition, included in its Societal Project, to pursue its mutualist commitment to promote development for all. This issuance will be focused in particular on financing professionals and SME customers of the Regional Banks and LCL in territories where the unemployment rate is higher than the national average.

2.5 NEW DEFINITION OF DEFAULT

At 31 December 2020, the Crédit Agricole Group had implemented the new rules relating to the application of the definition of default (EBA Guidelines (EBA/GL/2016/7) and thresholds defined by the European Union (Article 1 of Regulation (EU) 2018/1845 ECB of 21 November 2018).

This change in defaults is classified as a change in accounting estimates. Its impact, amounting to +€18 million, is recognised as income in the income statement under "Cost of risk".

2.6 “SWITCH” GUARANTEE MECHANISM

The “Switch” guarantee mechanism represents a transfer to the Regional Banks of a share of the regulatory requirements that apply to Crédit Agricole S.A. for its insurance activities in return for a fixed remuneration of the Regional Banks.

2.6.1 Unwinding of 35% of the “Switch” guarantee mechanism

On 2 March 2020, Crédit Agricole S.A. unwound 35% of the “Switch” guarantee mechanism set up between the Regional Banks and Crédit Agricole S.A.

The partial unwinding of this intra-group transaction strengthens Crédit Agricole S.A.’s earning power with an accretive impact of €70 million in 2020. It is in line with the Medium-Term Plan’s objective of unwinding 50% of the switch by 2022.

For the Regional Banks, this transaction resulted in a 35% reduction in commitments given (€3.2 billion) and a 35% reduction in the security deposit given to Crédit Agricole S.A. (approximately €1 billion).

This transaction has no impact on the results nor on the solvency ratios of Crédit Agricole Group.

2.6.2 Triggering of the “Switch” guarantee mechanism

The “Switch” guarantee mechanism hedges the Equity-Accounted Value of Crédit Agricole Assurances. It is activated in the event of a decrease in its value.

If the mechanism is activated, the Regional Banks will be required to pay Crédit Agricole S.A. the proceeds of the half-yearly reduction in the equity-accounted value adjusted by the coverage ratio, which has stood at 44.51% since 2 March 2020, the date on which the 35% guarantee was unwound.

At 30 June 2020, as a result of the tensions in the equity and bond markets in the first half of 2020, the Crédit Agricole Assurances adjusted estimated equity-accounted value had fallen by €147 million in the first half of 2020. It triggered the guarantee mechanism in the amount of €65.4 million. In the Crédit Agricole S.A. financial statements, this resulted in the recognition in the income statement of income under Cost of risk of €65.4 million. In the Regional bank’s financial statements, it resulted in the recognition in the income statement of expense under Cost of risk for the same amount. The impact is therefore neutral at the Crédit Agricole Group level.

At 30 September 2020, the Crédit Agricole Assurances adjusted final equity-accounted value for the first half of 2020 was determined. As a result, the indemnity received by Crédit Agricole S.A. from the Regional Banks’ security deposit, which was immediately reconstituted by a payment of funds, was adjusted.

At 30 September 2020, a total indemnity of €37.6 million was recognised as an expense under cost of risk in the Regional Banks’ financial statements in respect of the triggering of the Switch guarantee mechanism. Income of the same amount was recognised in Crédit Agricole S.A.’s financial statements. The impact is therefore neutral at the Crédit Agricole Group level.

2.6.3 “Switch” guarantee mechanism – Claw-back

At 31 December 2020, the increase in the Equity-Accounted Value adjusted for Crédit Agricole Assurances’ distributions in the second half of 2020 offset the decline observed in June 2020.

This increase in equity-accounted value resulted in the implementation of a full claw-back of the guarantee in the fourth quarter of 2020, leading to the recognition of an accrued expense of €37.6 million in the Crédit Agricole S.A. financial statements. Income of the same amount is recognised in the accounts of the Regional Banks under Cost of risk. The impact is therefore neutral at the Crédit Agricole Group level.

2.7 DEPRECIATION OF GOODWILL ON CA ITALIA

As part of the preparing the publication of its consolidated financial statements, Crédit Agricole S.A. conducted the annual valuation tests of the goodwill recorded in its balance sheet during the fourth quarter of 2020. In accordance with IFRS accounting standards, these tests are based on a comparison between the value recorded in the assets of the consolidated balance sheet of Crédit Agricole S.A. and the value in use. The calculation of the value in use is based on discounting the future cash flows.

Due to an anticipated prolonged period of very low interest rates, which is weighing on Crédit Agricole Italia’s interest margins and therefore on

its value in use for Crédit Agricole S.A. and Crédit Agricole Group, on 15 December 2020, Crédit Agricole S.A.’s Board of Directors decided to impair the goodwill carried on Crédit Agricole Italia. This non-deductible impairment has an impact on net income Group share of €884 million in the Q4 2020 consolidated financial statements of the Crédit Agricole Group.

This charge does not affect the solvency of the Crédit Agricole Group, as the goodwill has already been fully deducted from the prudential capital, or its liquidity.

2.8 CAPITAL INCREASE RESERVED FOR EMPLOYEES

The capital increase of Crédit Agricole S.A. reserved for employees, with the subscription period running from 12 to 25 November 2020, was completed definitively on 22 December 2020. 47,113 Crédit Agricole Group employees, in France and 17 other countries, subscribed for a total amount of €162.9 million.

The proposed investment scheme was a standard offer with a subscription price including a 30% rebate on the share price. The issue and delivery of the new shares to employees took place on 22 December 2020.

This capital increase created 31,999,928 new shares, thereby bringing the total number of shares comprising the share capital of Crédit Agricole S.A. to 2,916,688,640.

2.9 VOLUNTARY PUBLIC CASH TENDER OFFER BY CRÉDIT AGRICOLE ITALIA FOR ALL SHARES OF CREDITO VALTELLINESE

On 23 November 2020, Crédit Agricole Italia S.p.A. (Crédit Agricole Italia), a 75.6%-owned subsidiary of Crédit Agricole S.A., launched a voluntary public all-cash tender offer (the "Offer") for all ordinary shares of Credito Valtellinese S.p.A. (Credito Valtellinese).

The acquisition of Credito Valtellinese will strengthen Crédit Agricole competitive positioning in Italy, its second domestic market, thus confirming our continued and longstanding commitment in supporting our clients and local communities in Italy.

The Offer price equals to €10.50 for each Credito Valtellinese's share. This corresponds to a total investment of €737 million by Crédit Agricole Italia to acquire 100% of Credito Valtellinese's shares.

In the context of the Offer, Crédit Agricole Assurances (a subsidiary of Crédit Agricole S.A.) will sell to Crédit Agricole Italia its stake in Credito Valtellinese, equal to 9.8% of the share capital. The Offer is conditional upon Crédit Agricole Italia's acquisition of at least 66.67% of the share capital with voting rights of Credito Valtellinese. In addition, Crédit Agricole Italia retains the discretionary right to waive the above condition if at least 50% of the share capital with voting rights of Credito Valtellinese +1 share is acquired.

2.10 CHEQUE IMAGE EXCHANGE DISPUTE

In its judgment of 21 December 2017, the Paris Court of Appeal upheld the decision of the French Competition Authority (ADLC), which in 2010 had fined the major French banks for colluding to fix the price and terms of clearing cheques.

Just as the other banks party to this procedure, the Crédit Agricole Group has filed an appeal with France's Supreme Court (*Cour de cassation*).

The Supreme Court ruled in favour of the banks in the Cheque Image Exchange case on 29 January 2020 and referred the case back to the Paris Court of Appeal, with a change in the composition of the Court.

This decision returns the case and the parties to their status before the Court of Appeal's decision of 21 December 2017. The banks are therefore

once again subject to the French Competition Authority's unfavourable decision of 20 September 2010.

In practice, as a result of the French Supreme Court's decision, Crédit Agricole S.A. will be required to pay the French State Treasury the difference between the fine imposed by the French Competition Authority in September 2010 (€82.9 million) and the reduced fine imposed by the Paris Court of Appeal in December 2017 (€76.5 million), i.e. €6.4 million. On 7 April 2020, the sum of €6.4 million was paid to the French State Treasury.

Based on the same principle as the fine paid in December 2017, this additional charge is shared equally between Crédit Agricole S.A. and the Regional Banks and is recognised in the consolidated financial statements.

NOTE 3 Financial management, risk exposure and hedging policy

Crédit Agricole S.A.'s Financial Management department is responsible for organising financial flows within the Crédit Agricole Group, defining and implementing refinancing rules, asset and liability management, and managing regulatory prudential ratios. It sets out the principles and ensures a cohesive financial management system throughout the Group.

The Group's management of banking risks is handled by the Group Risk Management and Permanent Controls department. This department reports

to the Chief Executive Officer of Crédit Agricole S.A. and its task is to control credit, financial and operational risks.

A description of these processes and commentary appears in the chapter on "Risk Factors" in the management report, as allowed by IFRS 7. Nonetheless, the accounting breakdowns are still presented in the financial statements.

3.1 CREDIT RISK

3.1.1 Change in carrying amounts and value adjustments for losses during the period

Value adjustments for losses correspond to the impairment of assets and to provisions for off-balance sheet commitments recognised in net income ("Cost of Risk") relating to credit risk.

The following tables present a reconciliation of the opening and closing balances of value adjustments for losses recognised under "Cost of Risk" and associated carrying amounts, by accounting category and type of instrument.

Financial assets at amortised cost: Debt securities

	Performing assets								
	Assets subject to 12-month ECL (Bucket 1)		Assets subject to lifetime ECL (Bucket 2)		Credit-impaired assets (Bucket 3)				
	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount (a)	Loss allowance (b)	Net carrying amount (a) + (b)
(in millions of euros)									
Balance at 31 December 2019	94,778	(36)	396	(12)	28	(20)	95,202	(68)	95,134
Transfers between buckets during the period	(75)	-	75	2	-	-	-	1	
Transfers from Bucket 1 to Bucket 2	(90)	-	90	-	-		-	-	
Return from Bucket 2 to Bucket 1	15	-	(15)	2	-		-	2	
Transfers to Bucket 3 ⁽¹⁾	-	-	-	-	-	-	-	-	
Return from Bucket 3 to Bucket 2/Bucket 1	-	-	-	-	-	-	-	-	
Total after transfers	94,706	(36)	471	(12)	28	(20)	95,203	(67)	95,136
Changes in gross carrying amounts and loss allowances	14,172	(5)	(21)	8	21	(25)	14,172	(22)	
New financial production: purchase, granting, origination... ⁽²⁾	53,046	(35)	340	(3)			53,386	(38)	
Derecognition: disposal, repayment, maturity...	(36,994)	42	(364)	10	-	-	(37,358)	52	
Write-offs					-	-	-	-	
Changes of cash flows resulting in restructuring due to financial difficulties	-	1	-	-	-	-	-	1	
Changes in models' credit risk parameters during the period		(14)		1		(26)	-	(39)	
Changes in model/methodology		-		-		-	-	-	
Changes in scope	-	-	-	-	-	-	-	-	
Other ⁽⁴⁾	(1,880)	1	3	-	21	1	(1,856)	2	
Total	108,878	(41)	450	(4)	49	(45)	109,375	(90)	109,285
Changes in carrying amount due to specific accounting assessment methods (with no significant impact on loss allowance) ⁽³⁾	921		-		-		921		
BALANCE AT 31 DECEMBER 2020	109,799	(41)	450	(4)	49	(45)	110,296	(90)	110,206
Contractual amount outstanding of financial assets written off during the period, that are still subject to enforcement measures	-		-		-		-		

(1) Transfers to Bucket 3 correspond to outstanding amounts initially classified as Bucket 1 which, during the year, were downgraded directly to Bucket 3, or to Bucket 2 and later to Bucket 3.

(2) Originations in Bucket 2 could include some originated loans in Bucket 1 reclassified in Bucket 2 during the period.

(3) Includes the impacts of fair value adjustments of micro-hedged instruments, the impacts relating to the use of the EIR method (notably the amortisation of premiums/discounts), the impacts of the accretion of discounts on restructured loans (recovered as revenue over the remaining term of the asset).

(4) The items in the "Others" line are mainly translation adjustments and reclassifications under IFRS 5.

Financial assets at amortised cost: Loans and receivables due from credit institutions

	Performing assets						TOTAL		
	Assets subject to 12-month ECL (Bucket 1)		Assets subject to lifetime ECL (Bucket 2)		Credit-impaired assets (Bucket 3)				
	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount (a)	Loss allowance (b)	Net carrying amount (a) + (b)
(in millions of euros)									
Balance at 31 December 2019	100,832	(25)	26	-	505	(388)	101,363	(413)	100,950
Transfers between buckets during the period	(62)	-	62	-	-	-	-	-	
Transfers from Bucket 1 to Bucket 2	(64)	-	64	-			-	-	
Return from Bucket 2 to Bucket 1	2	-	(2)	-			-	-	
Transfers to Bucket 3 ⁽¹⁾	-	-	-	-	-	-	-	-	
Return from Bucket 3 to Bucket 2/ Bucket 1	-	-	-	-	-	-	-	-	
Total after transfers	100,770	(25)	88	-	505	(390)	101,363	(416)	100,948
Changes in gross carrying amounts and loss allowances	(12,319)	2	(27)	-	(100)	33	(12,444)	35	
New financial production: purchase, granting, origination... ⁽²⁾	45,491	(22)	9	-			45,500	(22)	
Derecognition: disposal, repayment, maturity...	(56,928)	12	(34)	-	(66)	5	(57,027)	17	
Write-offs					(3)	3	(3)	3	
Changes of cash flows resulting in restructuring due to financial difficulties	-	(4)	-	-	-	-	-	(4)	
Changes in models' credit risk parameters during the period		10		-		(1)	-	9	
Changes in model/methodology		-		-		-	-	-	
Changes in scope	(90)	-	-	-	-	-	(90)	-	
Other ⁽⁴⁾	(792)	6	(2)	-	(31)	26	(825)	32	
Total	88,451	(23)	61	-	405	(357)	88,919	(381)	88,537
Changes in carrying amount due to specific accounting assessment methods (with no significant impact on loss allowance) ⁽³⁾	1,414		-		2		1,416		
BALANCE AT 31 DECEMBER 2020	89,865	(23)	61	-	407	(357)	90,335	(381)	89,954
Contractual amount outstanding of financial assets written off during the period, that are still subject to enforcement measures	-		-		-		-		

(1) Transfers to Bucket 3 correspond to outstanding amounts initially classified as Bucket 1 which, during the year, were downgraded directly to Bucket 3, or to Bucket 2 and later to Bucket 3.

(2) Originations in Bucket 2 could include some originated loans in Bucket 1 reclassified in Bucket 2 during the period.

(3) Includes the impacts of fair value adjustments of micro-hedged instruments, the impacts relating to the use of the EIR method (notably the amortisation of premiums/discounts), the impacts of the accretion of discounts on restructured loans (recovered as revenue over the remaining term of the asset), the changes in accrued interests.

(4) Transfers to Bucket 3 correspond to outstanding amounts initially classified as Bucket 1 which, during the year, were downgraded directly to Bucket 3, or to Bucket 2 and later to Bucket 3.

Financial assets at amortised cost: Loans and receivables due from customers

	Performing assets						TOTAL		
	Assets subject to 12-month ECL (Bucket 1)		Assets subject to lifetime ECL (Bucket 2)		Credit-impaired assets (Bucket 3)				
	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount	Loss allowance	Gross carrying amount (a)	Loss allowance (b)	Net carrying amount (a) + (b)
(in millions of euros)									
Balance at 31 December 2019	845,325	(1,776)	64,163	(3,653)	22,999	(13,561)	932,487	(18,991)	913,496
Transfers between buckets during the period	(13,718)	(347)	8,925	681	4,794	(1,627)	-	(1,294)	
Transfers from Bucket 1 to Bucket 2	(37,246)	154	37,246	(833)			-	(680)	
Return from Bucket 2 to Bucket 1	25,628	(517)	(25,628)	1,232			-	715	
Transfers to Bucket 3 ⁽¹⁾	(2,430)	20	(3,417)	336	5,848	(1,969)	-	(1,613)	
Return from Bucket 3 to Bucket 2/ Bucket 1	330	(4)	724	(54)	(1,054)	342	-	284	
Total after transfers	831,607	(2,123)	73,088	(2,970)	27,793	(15,190)	932,487	(20,285)	912,203
Changes in gross carrying amounts and loss allowances	57,925	(225)	(902)	(1,384)	(5,978)	2,306	51,047	700	
New financial production: purchase, granting, origination... ⁽²⁾⁽⁴⁾	329,553	(1,097)	18,180	(1,425)			347,733	(2,522)	
Derecognition: disposal, repayment, maturity...	(262,915)	735	(17,896)	1,131	(2,969)	1,302	(283,780)	3,169	
Write-offs					(2,660)	2,491	(2,660)	2,491	
Changes of cash flows resulting in restructuring due to financial difficulties	(2)	-	(14)	1	(20)	25	(35)	26	
Changes in models' credit risk parameters during the period ⁽⁶⁾		80		(1,164)		(1,847)	-	(2,930)	
Changes in model/methodology		-		17		-	-	17	
Changes in scope	272	(3)	28	(3)	33	(32)	333	(38)	
Other ⁽⁷⁾	(8,983)	60	(1,200)	59	(362)	367	(10,544)	487	
Total	889,532	(2,348)	72,186	(4,354)	21,815	(12,884)	983,534	(19,585)	963,950
Changes in carrying amount due to specific accounting assessment methods (with no significant impact on loss allowance) ⁽³⁾	88		(57)		1,511		1,541		
BALANCE AT 31 DECEMBER 2020 ⁽⁶⁾	889,620	(2,348)	72,129	(4,354)	23,326	(12,884)	985,075	(19,585)	965,490
Contractual amount outstanding of financial assets written off during the period, that are still subject to enforcement measures	-		-		-		-		

(1) Transfers to Bucket 3 correspond to outstanding amounts initially classified as Bucket 1 which, during the year, were downgraded directly to Bucket 3, or to Bucket 2 and later to Bucket 3.

(2) Originations in Bucket 2 could include some originated loans in Bucket 1 reclassified in Bucket 2 during the period.

(3) Includes the impacts of fair value adjustments of micro-hedged instruments, the impacts relating to the use of the EIR method (notably the amortisation of premiums/discounts), the impacts of the accretion of discounts on restructured loans (recovered as revenue over the remaining term of the asset), the changes in accrued interests.

(4) At 31 December 2020, the amount of State-guaranteed loans (SGL) granted to customers by the Group as part of measures by the French State to support the economy in the wake of the COVID-19 health crisis amounted to €25.9 billion.

(5) Outstanding loans to customers in France with non-contractual due date postponements amounted to €43.1 billion in 2020, including €4.4 billion still outstanding as at 31 December 2020 at Crédit Agricole Group level.

(6) Concerning Bucket 3 – this line corresponds to the change in the assessment of the credit risk on files already in default.

(7) The items in the "Others" line are mainly translation adjustments and reclassifications under IFRS 5.

Financial assets at fair value through other comprehensive income: Debt securities

	Performing assets						TOTAL	
	Assets subject to 12-month ECL (Bucket 1)		Assets subject to lifetime ECL (Bucket 2)		Credit-impaired assets (Bucket 3)			
	Carrying amount	Loss allowance	Carrying amount	Loss allowance	Carrying amount	Loss allowance	Carrying amount	Loss allowance
(in millions of euros)								
Balance at 31 December 2019	265,675	(141)	2,623	(34)	-	(4)	268,299	(179)
Transfers between buckets during the period	(350)	-	340	(4)	6	-	(4)	(3)
Transfers from Bucket 1 to Bucket 2	(357)	-	353	(5)			(4)	(4)
Return from Bucket 2 to Bucket 1	13	-	(13)	1			-	1
Transfers to Bucket 3 ⁽¹⁾	(6)	-	-	-	6	-	-	-
Return from Bucket 3 to Bucket 2/Bucket 1	-	-	-	-	-	-	-	-
Total after transfers	265,325	(141)	2,963	(38)	6	(4)	268,295	(182)
Changes in carrying amounts and loss allowances	7,155	44	(600)	-	(6)	(33)	6,547	9
Fair value revaluation during the period	3,923		(35)		-		3,888	
New financial production: purchase, granting, origination... ⁽²⁾	42,563	(32)	8,359	(9)	-	-	50,922	(41)
Derecognition: disposal, repayment, maturity...	(38,686)	31	(8,877)	8	(1)	-	(47,564)	39
Write-offs	-	-	-	-	-	-	-	-
Changes of cash flows resulting in restructuring due to financial difficulties	-	-	4	4	(5)	(5)	(2)	(2)
Changes in models' credit risk parameters during the period		44		(3)		(5)	-	35
Changes in model/methodology		-		-		-	-	-
Changes in scope	7	-	-	-	-	-	7	-
Other ⁽⁴⁾	(652)	1	(51)	-	-	(23)	(703)	(22)
Total	272,480	(97)	2,363	(38)	-	(37)	274,842	(173)
Changes in carrying amount due to specific accounting assessment methods (with no significant impact on loss allowance) ⁽³⁾	(567)		(16)		-		(582)	
BALANCE AT 31 DECEMBER 2020	271,913	(97)	2,347	(38)	-	(37)	274,260	(173)
Contractual amount outstanding of financial assets written off during the period, that are still subject to enforcement measures	-		-		-		-	

(1) Transfers to Bucket 3 correspond to outstanding amounts initially classified as Bucket 1 which, during the year, were downgraded directly to Bucket 3, or to Bucket 2 and later to Bucket 3.

(2) Originations in Bucket 2 could include some originated loans in Bucket 1 reclassified in Bucket 2 during the period.

(3) Includes the impacts of the use of the EIR method (notably the amortisation of premiums/discounts).

(4) Transfers to Bucket 3 correspond to outstanding amounts initially classified as Bucket 1 which, during the year, were downgraded directly to Bucket 3, or to Bucket 2 and later to Bucket 3.

Financing commitments

	Performing commitments						TOTAL		
	Commitments subject to 12-month ECL (Bucket 1)		Commitments subject to lifetime ECL (Bucket 2)		Provisioned commitments (Bucket 3)				
	Amount of commitment	Loss allowance	Amount of commitment	Loss allowance	Amount of commitment	Loss allowance	Amount of commitment (a)	Loss allowance (b)	Net amount of commitment (a) + (b)
(in millions of euros)									
Balance at 31 December 2019	201,823	(328)	6,684	(309)	679	(109)	209,186	(748)	208,437
Transfers between buckets during the period	(4,063)	(12)	3,955	(31)	108	(31)	-	(73)	
Transfers from Bucket 1 to Bucket 2	(5,574)	26	5,574	(102)			-	(76)	
Return from Bucket 2 to Bucket 1	1,570	(38)	(1,570)	66			-	28	
Transfers to Bucket 3 ⁽¹⁾	(85)	1	(78)	6	163	(34)	-	(27)	
Return from Bucket 3 to Bucket 2/Bucket 1	26	(1)	29	(1)	(55)	3	-	2	
Total after transfers	197,760	(342)	10,639	(340)	787	(140)	209,186	(821)	208,971
Changes in commitments and loss allowances	15,553	(57)	(604)	(52)	(200)	23	14,750	(87)	
New commitments given ⁽²⁾	136,109	(438)	4,041	(450)			140,149	(888)	
End of commitments	(123,179)	379	(4,333)	469	(413)	55	(127,924)	904	
Write-offs	-	-	-	-	(1)	2	(1)	2	
Changes of cash flows resulting in restructuring due to financial difficulties	(1)	-	-	-	-	(1)	(2)	(1)	
Changes in models' credit risk parameters during the period		1		(83)		(34)	-	(117)	
Changes in model/ methodology		-		-		-	-	-	
Changes in scope	604	-	3	-	1	-	608	-	
Other ⁽³⁾	2,020	1	(315)	12	213	1	1,919	13	
BALANCE AT 31 DECEMBER 2020	213,313	(399)	10,035	(392)	587	(117)	223,935	(908)	223,027

(1) Transfers to Bucket 3 correspond to outstanding amounts initially classified as Bucket 1 which, during the year, were downgraded directly to Bucket 3, or to Bucket 2 and later to Bucket 3.

(2) New commitments given in Bucket 2 could include some originations in Bucket 1 reclassified in Bucket 2 during the period.

(3) The items in the "Others" line are mainly translation adjustments and reclassifications under IFRS 5.

Guarantee commitments

	Performing commitments						TOTAL		
	Commitments subject to 12-month ECL (Bucket 1)		Commitments subject to lifetime ECL (Bucket 2)		Provisioned commitments (Bucket 3)				
(in millions of euros)	Amount of commitment	Loss allowance	Amount of commitment	Loss allowance	Amount of commitment	Loss allowance	Amount of commitment (a)	Loss allowance (b)	Net amount of commitment (a) + (b)
Balance at 31 December 2019	83,519	(90)	4,224	(179)	3,230	(466)	90,974	(733)	90,240
Transfers between buckets during the period	(799)	(13)	696	8	103	(13)	-	(20)	
Transfers from Bucket 1 to Bucket 2	(1,220)	5	1,220	(27)			-	(22)	
Return from Bucket 2 to Bucket 1	472	(19)	(472)	33			-	13	
Transfers to Bucket 3 ⁽¹⁾	(116)	1	(53)	2	169	(18)	-	(16)	
Return from Bucket 3 to Bucket 2/Bucket 1	65	-	1	-	(66)	5	-	5	
Total after transfers	82,720	(103)	4,920	(170)	3,333	(479)	90,974	(753)	90,221
Changes in commitments and loss allowances	(1,707)	(19)	(357)	(56)	(78)	80	(2,143)	6	
New commitments given ⁽²⁾	48,953	(117)	3,273	(125)			52,227	(242)	
End of commitments	(45,779)	100	(3,464)	93	(766)	188	(50,010)	381	
Write-offs	-	-	-	-	(16)	16	(16)	16	
Changes of cash flows resulting in restructuring due to financial difficulties	-	-	-	-	-	(1)	-	(1)	
Changes in models' credit risk parameters during the period		(3)		(27)		(132)	-	(160)	
Changes in model/ methodology		-		-		-	-	-	
Changes in scope	-	-	-	-	-	-	-	-	
Other ⁽³⁾	(4,881)	1	(166)	3	704	9	(4,344)	12	
BALANCE AT 31 DECEMBER 2020	81,013	(122)	4,563	(226)	3,255	(399)	88,831	(747)	88,084

(1) Transfers to Bucket 3 correspond to outstanding amounts initially classified as Bucket 1 which, during the year, were downgraded directly to Bucket 3, or to Bucket 2 and later to Bucket 3.

(2) New commitments given in Bucket 2 could include some originations in Bucket 1 reclassified in Bucket 2 during the period.

(3) The items in the "Others" line are mainly translation adjustments and reclassifications under IFRS 5.

3.1.2 Maximum exposure to credit risk

An entity's maximum exposure to credit risk represents the carrying amount, net of any impairment loss recognised and without taking account of any collateral held or other credit enhancements (*e.g.* netting contracts that do not qualify for offset in accordance with IAS 32).

The tables below show the maximum exposures as well as the amount of collateral held and other credit enhancements allowing this exposure to be reduced.

Impaired assets at the end of the reporting period constitute the impaired assets (Bucket 3).

Financial assets not subject to impairment requirements (accounted at fair value through profit or loss)

	31/12/2020					
	Credit risk mitigation					
	Collateral held as security			Other credit enhancement		
	Maximum exposure to credit risk	Financial instruments provided as collateral	Mortgages	Pledged securities	Financial Guarantees	Credit derivatives
<i>(in millions of euros)</i>						
Financial assets at fair value through profit or loss (excluding equity securities and assets backing unit-linked contracts)	328,068	-	3,864	702	152	-
Held for trading financial assets	251,966	-	-	691	-	-
Debt instruments that do not meet the conditions of the "SPPI" test	76,025	-	3,864	11	152	-
Financial assets designated at fair value through profit or loss	77	-	-	-	-	-
Hedging derivative Instruments	22,965	-	-	1,329	-	-
TOTAL	351,033	-	3,864	2,031	152	-

	31/12/2019					
	Credit risk mitigation					
	Collateral held as security			Other credit enhancement		
	Maximum exposure to credit risk	Financial instruments provided as collateral	Mortgages	Pledged securities	Financial Guarantees	Credit derivatives
<i>(in millions of euros)</i>						
Financial assets at fair value through profit or loss (excluding equity securities and assets backing unit-linked contracts)	297,264	-	3,327	1,798	79	-
Held for trading financial assets	220,797	-	-	1,769	-	-
Debt instruments that do not meet the conditions of the "SPPI" test	76,374	-	3,327	29	79	-
Financial assets designated at fair value through profit or loss	93	-	-	-	-	-
Hedging derivative Instruments	20,947	-	-	1,298	-	-
TOTAL	318,211	-	3,327	3,096	79	-

Financial assets subject to impairment requirements

	31/12/2020					
	Credit risk mitigation					
	Collateral held as security			Other credit enhancement		
	Maximum exposure to credit risk	Financial instruments provided as collateral	Mortgages	Pledged securities	Financial Guarantees	Credit derivatives
<i>(in millions of euros)</i>						
Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss	274,260	-	-	-	44	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Loans and receivables due from credit institutions	-	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Loans and receivables due from customers	-	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Debt securities	274,260	-	-	-	44	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Financial assets at amortised cost	1,165,650	12,683	239,763	28,733	298,482	700
of which impaired assets at the reporting date	10,499	77	1,790	252	2,589	-
Loans and receivables due from credit institutions	89,954	4,634	-	930	3,302	700
of which impaired assets at the reporting date	50	-	-	-	28	-
Loans and receivables due from customers	965,490	8,049	239,763	27,803	292,444	-
of which impaired assets at the reporting date	10,443	77	1,790	252	2,561	-
Debt securities	110,206	-	-	-	2,736	-
of which impaired assets at the reporting date	5	-	-	-	-	-
TOTAL	1,439,910	12,683	239,763	28,733	298,526	700
of which impaired assets at the reporting date	10,499	77	1,790	252	2,589	-

	31/12/2019					
	Credit risk mitigation					
	Collateral held as security			Other credit enhancement		
	Maximum exposure to credit risk	Financial instruments provided as collateral	Mortgages	Pledged securities	Financial Guarantees	Credit derivatives
<i>(in millions of euros)</i>						
Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss	268,298	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Loans and receivables due from credit institutions	-	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Loans and receivables due from customers	-	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Debt securities	268,298	-	-	-	-	-
of which impaired assets at the reporting date	-	-	-	-	-	-
Financial assets at amortised cost	1,109,562	12,088	228,887	25,601	256,700	288
of which impaired assets at the reporting date	9,560	104	1,879	229	1,817	-
Loans and receivables due from credit institutions	100,931	4,030	-	90	5,157	-
of which impaired assets at the reporting date	115	-	-	-	77	-
Loans and receivables due from customers	913,496	8,058	228,887	25,511	251,542	288
of which impaired assets at the reporting date	9,436	104	1,879	229	1,740	-
Debt securities	95,134	-	-	-	-	-
of which impaired assets at the reporting date	9	-	-	-	-	-
TOTAL	1,377,860	12,088	228,887	25,601	256,700	288
of which impaired assets at the reporting date	9,560	104	1,879	229	1,817	-

Off-balance sheet commitments subject to provision requirements

	31/12/2020					
	Credit risk mitigation					
	Collateral held as security			Other credit enhancement		
(in millions of euros)	Maximum exposure to credit risk	Financial instruments provided as collateral	Mortgages	Pledged securities	Financial Guarantees	Credit derivatives
Guarantee commitments	88,084	36	37	612	4,731	553
of which provisioned commitments at the reporting date	2,856	1	1	93	21	-
Financing commitments	223,027	1	4,891	2,276	21,509	7,827
of which provisioned commitments at the reporting date	471	-	6	17	42	-
TOTAL	311,111	37	4,928	2,888	26,240	8,380
of which provisioned commitments at the reporting date	3,327	1	6	110	63	-

	31/12/2019					
	Credit risk mitigation					
	Collateral held as security			Other credit enhancement		
(in millions of euros)	Maximum exposure to credit risk	Financial instruments provided as collateral	Mortgages	Pledged securities	Financial Guarantees	Credit derivatives
Guarantee commitments	90,241	25	23	620	6,137	784
of which provisioned commitments at the reporting date	2,765	1	1	27	26	-
Financing commitments	208,438	3	4,878	2,342	21,648	7,785
of which provisioned commitments at the reporting date	571	-	4	22	87	-
TOTAL	298,679	28	4,900	2,961	27,785	8,569
of which provisioned commitments at the reporting date	3,336	1	4	86	112	-

A description of the assets held as collateral is provided in Note 9 "Commitments given and received and other guarantees".

3.1.3 Modified financial assets

Modified financial assets are those assets that have been restructured due to financial difficulties. Loans for which the entity changed the initial financial terms (interest rate, term) for economic or legal reasons connected with the borrower's financial difficulties, in a manner that would not have been considered under other circumstances. They thus consist of loans classified as in default and performing loans at the date they are restructured. (A more detailed definition of restructured loans and their accounting treatment can be found in Note 1.2 "Accounting policies and principles", Chapter entitled "Financial instruments – Credit risk").

For assets restructured during the period, the carrying amount following restructuring consists of:

	Performing assets		Credit-impaired assets
(in millions of euros)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	(Bucket 3)
Loans and receivables due from credit institutions	9	-	-
Gross carrying amount before modification	9	-	-
Net gains (losses) resulting from the modification	-	-	-
Loans and receivables due from customers	7	1,363	1,243
Gross carrying amount before modification	9	1,377	1,263
Net gains (losses) resulting from the modification	(2)	(14)	(20)
Debt securities	-	4	(5)
Gross carrying amount before modification	-	-	-
Net gains (losses) resulting from the modification	-	4	(5)

In accordance with the principles set out in Note 1.2 "Accounting policies and principles", Chapter entitled "Financial instruments – Credit risk", restructured assets at a stage of impairment corresponding to that of Bucket 2 (performing assets) or Bucket 3 (impaired assets) may go back into Bucket 1 (performing assets). The carrying amount of modified assets affected by this reclassification during the period is:

	Gross carrying amount
	Assets subject to 12-month ECL (Bucket 1)
(in millions of euros)	
Restructured assets previously classified in Bucket 2 or Bucket 3 and reclassified in Bucket 1 during the period	
Loans and receivables due from credit institutions	-
Loans and receivables due from customers	18
Debt securities	-
TOTAL	18

3.1.4 Credit risk concentrations

The carrying amounts and commitments are presented net of impairment and provisions.

Exposure to credit risk by category of credit risk

The credit risk categories are presented by probability of default intervals. The correspondence between internal ratings and probability of default intervals is discussed in the Chapter entitled "Risk and Pillar 3 – Credit Risk Management" in Crédit Agricole S.A.'s Universal Registration Document.

Financial assets at amortised cost

		At 31 December 2020			
		Carrying amount			
		Performing assets			TOTAL
<i>(in millions of euros)</i>	Credit risk rating grades	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	
Retail customers	PD ≤ 0,5%	422,523	1,216	-	423,739
	0,5% < PD ≤ 2%	96,766	2,167	-	98,933
	2% < PD ≤ 20%	43,355	26,949	-	70,304
	20% < PD < 100%	-	4,848	-	4,848
	PD = 100%	-	-	11,553	11,553
Total Retail customers		562,644	35,180	11,553	609,377
Non-retail customers	PD ≤ 0,6%	429,857	5,696	-	435,553
	0,6% < PD < 12%	96,783	22,945	-	119,728
	12% ≤ PD < 100%	-	8,819	-	8,819
	PD = 100%	-	-	12,226	12,226
Total Non-retail customers		526,640	37,460	12,226	576,326
Impairment		(2,412)	(4,358)	(13,283)	(20,053)
TOTAL		1,086,872	68,282	10,496	1,165,650

		At 31 December 2019			
		Carrying amount			
		Performing assets			TOTAL
(in millions of euros)	Credit risk rating grades	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	
Retail customers	PD ≤ 0,5%	357,040	813	-	357,853
	0,5% < PD ≤ 2%	107,073	1,286	-	108,359
	2% < PD ≤ 20%	61,444	31,514	-	92,958
	20% < PD < 100%	-	6,398	-	6,398
	PD = 100%	-	-	11,560	11,560
Total Retail customers		525,557	40,011	11,560	577,129
Non-retail customers	PD ≤ 0,6%	429,046	4,927	-	433,973
	0,6% < PD < 12%	86,336	12,280	-	98,616
	12% ≤ PD < 100%	-	7,365	-	7,365
	PD = 100%	-	-	11,971	11,971
Total Non-retail customers		515,382	24,572	11,971	551,925
Impairment		(1,840)	(3,664)	(13,971)	(19,475)
TOTAL		1,039,100	60,919	9,560	1,109,579

Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss

		At 31 December 2020			
		Carrying amount			
		Performing assets			TOTAL
(in millions of euros)	Credit risk rating grades	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	
Retail customers	PD ≤ 0,5%	-	-	-	-
	0,5% < PD ≤ 2%	-	-	-	-
	2% < PD ≤ 20%	-	-	-	-
	20% < PD < 100%	-	-	-	-
	PD = 100%	-	-	-	-
Total Retail customers		-	-	-	-
Non-retail customers	PD ≤ 0,6%	271,167	1,157	-	272,324
	0,6% < PD < 12%	746	1,190	-	1,936
	12% ≤ PD < 100%	-	-	-	-
	PD = 100%	-	-	-	-
Total Non-retail customers		271,913	2,347	-	274,260
TOTAL		271,913	2,347	-	274,260

At 31 December 2019					
Carrying amount					
(in millions of euros)	Credit risk rating grades	Performing assets			TOTAL
		Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	
Retail customers	PD ≤ 0,5%	51	3	-	54
	0,5% < PD ≤ 2%	-	-	-	-
	2% < PD ≤ 20%	-	-	-	-
	20% < PD < 100%	-	-	-	-
	PD = 100%	-	-	-	-
Total Retail customers		51	3	-	54
Non-retail customers	PD ≤ 0,6%	265,265	1,118	-	266,453
	0,6% < PD < 12%	359	1,426	-	1,785
	12% ≤ PD < 100%	-	6	-	6
	PD = 100%	-	-	-	-
Total Non-retail customers		265,624	2,620	-	268,244
TOTAL		265,675	2,623	-	268,298

Financing commitments

At 31 December 2020					
Amount of commitment					
(in millions of euros)	Credit risk rating grades	Performing commitments			TOTAL
		Commitments subject to 2-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	
Retail customers	PD ≤ 0,5%	38,938	113	-	39,051
	0,5% < PD ≤ 2%	6,947	299	-	7,246
	2% < PD ≤ 20%	3,547	1,003	-	4,550
	20% < PD < 100%	-	231	-	231
	PD = 100%	-	-	133	133
Total Retail customers		49,432	1,646	133	51,211
Non-retail customers	PD ≤ 0,6%	142,794	1,532	-	144,326
	0,6% < PD < 12%	21,087	5,640	-	26,727
	12% ≤ PD < 100%	-	1,217	-	1,217
	PD = 100%	-	-	454	454
Total Non-retail customers		163,881	8,389	454	172,724
Provisions ⁽¹⁾		(399)	(392)	(117)	(908)
TOTAL		212,914	9,643	470	223,027

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

At 31 December 2019 ⁽²⁾					
Amount of commitment					
(in millions of euros)	Credit risk rating grades	Performing commitments		Provisioned commitments (Bucket 3)	TOTAL
		Commitments subject to 2-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)		
Retail customers	PD ≤ 0,5%	32,227	44	-	32,271
	0,5% < PD ≤ 2%	8,657	84	-	8,741
	2% < PD ≤ 20%	6,672	1,373	-	8,045
	20% < PD < 100%	-	344	-	344
	PD = 100%	-	-	124	124
Total Retail customers		47,556	1,845	124	49,525
Non-retail customers	PD ≤ 0,6%	133,810	1,525	-	135,335
	0,6% < PD < 12%	20,457	2,391	-	22,848
	12% ≤ PD < 100%	-	922	-	922
	PD = 100%	-	-	556	556
Total Non-retail customers		154,267	4,838	556	159,661
Provisions ⁽¹⁾		(330)	(309)	(109)	(748)
TOTAL		201,493	6,374	571	208,438

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

(2) The 2019 amounts have been adjusted in line with the breakdown principles used in 2020.

Guarantee commitments

At 31 December 2020					
Amount of commitment					
(in millions of euros)	Credit risk rating grades	Performing commitments		Provisioned commitments (Bucket 3)	TOTAL
		Commitments subject to 2-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)		
Retail customers	PD ≤ 0,5%	1,559	40	-	1,599
	0,5% < PD ≤ 2%	409	5	-	414
	2% < PD ≤ 20%	156	86	-	242
	20% < PD < 100%	-	13	-	13
	PD = 100%	-	-	114	114
Total Retail customers		2,124	144	114	2,382
Non-retail customers	PD ≤ 0,6%	69,334	1,314	-	70,648
	0,6% < PD < 12%	9,555	1,364	-	10,919
	12% ≤ PD < 100%	-	1,741	-	1,741
	PD = 100%	-	-	3,141	3,141
Total Non-retail customers		78,889	4,419	3,141	86,449
Provisions ⁽¹⁾		(122)	(226)	(399)	(747)
TOTAL		80,891	4,337	2,856	88,084

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

		At 31 December 2019 ⁽²⁾			
		Amount of commitment			
		Performing commitments			TOTAL
(in millions of euros)	Credit risk rating grades	Commitments subject to 2-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	
Retail customers	PD ≤ 0,5%	1,369	18	-	1,387
	0,5% < PD ≤ 2%	470	1	-	471
	2% < PD ≤ 20%	173	84	-	257
	20% < PD < 100%	-	19	-	19
	PD = 100%	-	-	112	112
Total Retail customers		2,012	122	112	2,246
Non-retail customers	PD ≤ 0,6%	72,452	1,400	-	73,852
	0,6% < PD < 12%	9,055	1,281	-	10,336
	12% ≤ PD < 100%	-	1,421	-	1,421
	PD = 100%	-	-	3,119	3,119
Total Non-retail customers		81,507	4,102	3,119	88,728
Provisions ⁽¹⁾		(89)	(178)	(466)	(733)
TOTAL		83,430	4,046	2,765	90,241

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

(2) The 2019 amounts have been adjusted in line with the breakdown principles used in 2020.

Credit risk concentrations by customer type

Financial assets designated at fair value through profit or loss by customer type

		31/12/2020			31/12/2019		
		Amount of changes in fair value resulting from changes in credit risk			Amount of changes in fair value resulting from changes in credit risk		
(in millions of euros)	Carrying amount	During the period	Cumulative	Carrying amount	During the period	Cumulative	
General administration	-	-	-	18	-	-	
Central banks	-	-	-	-	-	-	
Credit institutions	-	-	-	2	-	-	
Large corporates	77	-	-	73	-	-	
Retail customers	-	-	-	-	-	-	
Total Financial assets designated at fair value through profit or loss	77	-	-	93	-	-	

Financial assets measured at amortised cost by customer type

		At 31 December 2020			
		Carrying amount			
		Performing assets			TOTAL
(in millions of euros)		Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	
General administration		90,408	890	98	91,396
Central banks		4,924	-	-	4,924
Credit institutions		117,048	66	411	117,525
Large corporates		314,260	36,504	11,718	362,483
Retail customers		562,644	35,180	11,552	609,376
Impairment		(2,412)	(4,358)	(13,283)	(20,054)
TOTAL		1,086,872	68,282	10,496	1,165,650

	At 31 December 2019			
	Carrying amount			
	Performing assets			
(in millions of euros)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	TOTAL
General administration	82,587	294	126	83,007
Central banks	26,066	-	-	26,066
Credit institutions	99,959	33	509	100,501
Large corporates	306,770	24,245	11,336	342,351
Retail customers	525,557	40,012	11,560	577,129
Impairment	(1,840)	(3,664)	(13,971)	(19,475)
TOTAL	1,039,099	60,920	9,560	1,109,579

Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss by customer type

	At 31 December 2020			
	Carrying amount			
	Performing assets			
(in millions of euros)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	TOTAL
General administration	129,712	694	-	130,406
Central banks	372	378	-	750
Credit institutions	66,945	4	-	66,949
Large corporates	74,884	1,271	-	76,155
Retail customers	-	-	-	-
TOTAL	271,913	2,347	-	274,260

	At 31 December 2019			
	Carrying amount			
	Performing assets			
(in millions of euros)	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	TOTAL
General administration	121,806	701	-	122,507
Central banks	384	544	-	928
Credit institutions	69,392	4	-	69,396
Large corporates	74,043	1,371	-	75,414
Retail customers	51	3	-	54
TOTAL	265,676	2,623	-	268,299

Due to customers by customer type

(in millions of euros)	31/12/2020	31/12/2019
General administration	11,773	27,036
Large corporates	377,600	298,084
Retail customers	574,060	530,387
TOTAL AMOUNT DUE TO CUSTOMERS	963,433	855,507

Financing commitments by customer type

	At 31 December 2020			
	Amount of commitment			
	Performing commitments			
(in millions of euros)	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	TOTAL
General administration	6,854	753	-	7,607
Central banks	-	-	-	-
Credit institutions	14,739	-	(1)	14,738
Large corporates	142,288	7,637	454	150,379
Retail customers	49,432	1,645	134	51,211
Provisions ⁽¹⁾	(399)	(392)	(117)	(908)
TOTAL	212,914	9,643	470	223,027

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

	At 31 December 2019			
	Amount of commitment			
	Performing commitments			
(in millions of euros)	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	TOTAL
General administration	5,518	216	31	5,765
Central banks	94	-	-	94
Credit institutions	11,884	-	1	11,885
Large corporates	136,770	4,622	524	141,916
Retail customers	47,556	1,846	124	49,526
Provisions ⁽¹⁾	(330)	(309)	(109)	(748)
TOTAL	201,492	6,375	571	208,438

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

Guarantee commitments by customer type

	At 31 December 2020			
	Amount of commitment			
	Performing commitments			
(in millions of euros)	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	TOTAL
General administration	300	-	-	300
Central banks	465	-	-	465
Credit institutions	7,570	32	23	7,625
Large corporates	70,554	4,387	3,118	78,059
Retail customers	2,124	144	114	2,382
Provisions ⁽¹⁾	(122)	(226)	(399)	(747)
TOTAL	80,891	4,337	2,856	88,084

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

				At 31 December 2019
				Amount of commitment
(in millions of euros)	Performing commitments			TOTAL
	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	
General administration	350	6	-	356
Central banks	511	-	-	511
Credit institutions	7,874	28	47	7,949
Large corporates	72,772	4,068	3,071	79,911
Retail customers	2,012	122	112	2,246
Provisions ⁽¹⁾	(89)	(177)	(466)	(732)
TOTAL	83,430	4,047	2,764	90,241

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

Credit risk concentrations by geographical area

Financial assets at amortised cost by geographical area

				At 31 December 2020
				Carrying amount
(in millions of euros)	Performing assets			TOTAL
	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	
France (including overseas departments and territories)	823,670	51,418	14,577	889,665
Other European Union countries	155,188	9,293	5,679	170,160
Other European countries	20,383	967	346	21,696
North America	29,084	3,356	302	32,742
Central and South America	6,907	2,076	1,212	10,195
Africa and Middle East	17,285	2,505	1,132	20,922
Asia-Pacific (ex. Japan)	30,643	1,829	300	32,772
Japan	4,347	1,196	231	5,774
Supranational organisations	1,777	-	-	1,777
Impairment	(2,412)	(4,358)	(13,283)	(20,053)
TOTAL	1,086,872	68,282	10,496	1,165,650

				At 31 December 2019
				Carrying amount
(in millions of euros)	Performing assets			TOTAL
	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	
France (including overseas departments and territories)	765,087	48,885	14,394	828,366
Other European Union countries	152,660	8,118	6,190	166,968
Other European countries	21,008	934	352	22,294
North America	35,190	973	398	36,561
Central and South America	9,495	1,221	692	11,408
Africa and Middle East	17,546	2,241	1,247	21,034
Asia-Pacific (ex. Japan)	31,333	1,724	258	33,316
Japan	5,950	487	-	6,437
Supranational organisations	2,670	-	-	2,670
Impairment	(1,840)	(3,664)	(13,971)	(19,475)
TOTAL	1,039,099	60,920	9,560	1,109,579

Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss by geographical area

	At 31 December 2020			
	Carrying amount			
	Performing assets			TOTAL
	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	134,498	748	-	135,246
Other European Union countries	102,218	952	-	103,170
Other European countries	3,935	-	-	3,935
North America	20,993	6	-	20,999
Central and South America	374	-	-	374
Africa and Middle East	710	641	-	1,351
Asia-Pacific (ex. Japan)	5,351	-	-	5,351
Japan	1,454	-	-	1,454
Supranational organisations	2,380	-	-	2,380
TOTAL	271,913	2,347	-	274,260

	At 31 December 2019			
	Carrying amount			
	Performing assets			TOTAL
	Assets subject to 12-month ECL (Bucket 1)	Assets subject to lifetime ECL (Bucket 2)	Credit-impaired assets (Bucket 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	131,478	895	-	132,373
Other European Union countries	101,245	921	-	102,166
Other European countries	4,209	-	-	4,209
North America	19,003	3	-	19,006
Central and South America	333	-	-	333
Africa and Middle East	566	804	-	1,370
Asia-Pacific (ex. Japan)	5,569	-	-	5,569
Japan	639	-	-	639
Supranational organisations	2,634	-	-	2,634
TOTAL	265,676	2,623	-	268,299

Due to customers by geographical area

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
France (including overseas departments and territories)	737,768	644,849
Other European Union countries	138,488	131,147
Other European countries	17,906	15,881
North America	23,075	14,658
Central and South America	5,498	4,467
Africa and Middle East	14,111	18,186
Asia-Pacific (ex. Japan)	13,949	13,026
Japan	12,633	13,284
Supranational organisations	5	9
TOTAL AMOUNT DUE TO CUSTOMERS	963,433	855,507

Financing commitments by geographical area

	At 31 December 2020			
	Amount of commitment			
	Performing commitments			TOTAL
	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	121,138	4,305	361	125,804
Other European Union countries	49,120	1,382	197	50,699
Other European countries	6,403	181	5	6,589
North America	22,734	2,483	3	25,220
Central and South America	1,943	1,231	1	3,175
Africa and Middle East	4,885	435	-	5,320
Asia-Pacific (ex. Japan)	6,219	18	20	6,257
Japan	871	-	-	871
Supranational organisations	-	-	-	-
Provisions ⁽¹⁾	(399)	(392)	(117)	(908)
TOTAL	212,914	9,643	470	223,027

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

	At 31 December 2019			
	Amount of commitment			
	Performing commitments			TOTAL
	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	111,021	3,491	347	114,859
Other European Union countries	41,941	1,498	165	43,604
Other European countries	6,558	175	71	6,804
North America	26,043	1,102	80	27,225
Central and South America	3,395	63	17	3,475
Africa and Middle East	5,332	240	-	5,572
Asia-Pacific (ex. Japan)	6,574	85	-	6,659
Japan	959	29	-	988
Supranational organisations	-	-	-	-
Provisions ⁽¹⁾	(330)	(309)	(109)	(748)
TOTAL	201,493	6,374	571	208,438

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

Guarantee commitments by geographical area

	At 31 December 2020			
	Amount of commitment			
	Performing commitments			TOTAL
	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	36,980	916	506	38,402
Other European Union countries	16,480	1,700	2,613	20,793
Other European countries	3,261	128	-	3,389
North America	11,448	1,267	54	12,769
Central and South America	1,341	2	18	1,361
Africa and Middle East	2,530	108	46	2,684
Asia-Pacific (ex. Japan)	6,946	334	18	7,298
Japan	2,027	108	-	2,135
Supranational organisations	-	-	-	-
Provisions ⁽¹⁾	(122)	(226)	(399)	(747)
TOTAL	80,891	4,337	2,856	88,084

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

	At 31 December 2019			
	Amount of commitment			
	Performing commitments			TOTAL
	Commitments subject to 12-month ECL (Bucket 1)	Commitments subject to lifetime ECL (Bucket 2)	Provisioned commitments (Bucket 3)	
<i>(in millions of euros)</i>				
France (including overseas departments and territories)	38,641	772	594	40,007
Other European Union countries	16,317	1,632	2,134	20,083
Other European countries	4,350	698	-	5,048
North America	10,244	635	397	11,276
Central and South America	1,059	1	29	1,089
Africa and Middle East	3,329	66	76	3,471
Asia-Pacific (ex. Japan)	6,732	236	-	6,968
Japan	2,846	185	-	3,031
Supranational organisations	-	-	-	-
Provisions ⁽¹⁾	(89)	(178)	(465)	(732)
TOTAL	83,429	4,047	2,765	90,241

(1) Expected or proven losses in respect of off-balance sheet commitments are covered by provisions recognised as liabilities on the balance sheet.

3.1.5 Information on watch list or individually impaired financial assets

Analysis of watch list or individually impaired financial assets by customer type

(in millions of euros)	Carrying amount at 31/12/2020								
	Assets without significant increase in credit risk since initial recognition (Bucket 1)			Assets with significant increase in credit risk since initial recognition but not impaired (Bucket 2)			Credit-impaired assets (Bucket 3)		
	> 30 days up to			> 30 days up to			> 30 days up to		
	≤ 30 days	≤ 90 days	> 90 days	≤ 30 days	> 30 days up to ≤ 90 days	> 90 days	≤ 30 days	≤ 90 days	> 90 days
Debt securities	577	13	-	-	313	-	-	-	-
General administration	-	11	-	-	-	-	-	-	-
Central banks	-	-	-	-	-	-	-	-	-
Credit institutions	-	2	-	-	-	-	-	-	-
Large corporates	577	-	-	-	313	-	-	-	-
Retail customers	-	-	-	-	-	-	-	-	-
Loans and receivables	4,101	584	-	4,228	1,183	17	273	404	5,665
General administration	227	66	-	27	1	-	-	1	34
Central banks	-	-	-	-	-	-	-	-	-
Credit institutions	8	65	-	-	-	-	-	-	41
Large corporates	2,072	277	-	1,455	482	12	46	169	2,875
Retail customers	1,794	176	-	2,746	700	5	226	235	2,716
TOTAL	4,678	597	-	4,228	1,496	17	273	404	5,665

(in millions of euros)	Carrying amount at 31/12/2019								
	Assets without significant increase in credit risk since initial recognition (Bucket 1)			Assets with significant increase in credit risk since initial recognition but not impaired (Bucket 2)			Credit-impaired assets (Bucket 3)		
	> 30 days up to			> 30 days up to			> 30 days up to		
	≤ 30 days	≤ 90 days	> 90 days	≤ 30 days	> 30 days up to ≤ 90 days	> 90 days	≤ 30 days	≤ 90 days	> 90 days
Debt securities	914	-	-	-	357	-	-	-	-
General administration	-	-	-	-	-	-	-	-	-
Central banks	-	-	-	-	-	-	-	-	-
Credit institutions	-	-	-	-	-	-	-	-	-
Large corporates	914	-	-	-	357	-	-	-	-
Retail customers	-	-	-	-	-	-	-	-	-
Loans and receivables	5,615	1,298	-	3,133	1,597	17	287	311	5,992
General administration	346	86	-	5	3	-	-	-	46
Central banks	-	-	-	-	-	-	-	-	-
Credit institutions	37	101	-	-	-	-	-	-	59
Large corporates	2,746	832	-	759	552	11	64	58	2,864
Retail customers	2,487	279	-	2,369	1,041	7	223	253	3,023
TOTAL	6,530	1,298	-	3,133	1,954	17	287	311	5,992

3.2 MARKET RISK

(See chapter on "Risk Factors – Market Risk".)

Derivative instruments: analysis by residual maturity

The breakdown of market values of derivative instruments is shown by remaining contractual maturity.

Hedging derivative instruments – Fair value of assets

	31/12/2020						
	Exchange-traded transactions			Over-the-counter transactions			
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total market value
Interest rate instruments	-	-	-	4,023	4,613	13,841	22,477
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	4,019	4,607	13,834	22,460
Interest rate options	-	-	-	-	-	-	-
Caps – floors – collars	-	-	-	4	6	7	17
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	142	94	14	250
Currency futures	-	-	-	142	94	14	250
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	15	-	-	15
Other	-	-	-	15	-	-	15
Subtotal	-	-	-	4,180	4,707	13,855	22,742
Forward currency transactions	-	-	-	214	2	7	223
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – ASSETS	-	-	-	4,394	4,709	13,862	22,965

	31/12/2019						
	Exchange-traded transactions			Over-the-counter transactions			
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total market value
Interest rate instruments	-	-	-	2,638	4,677	12,868	20,183
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	2,610	4,669	12,859	20,138
Interest rate options	-	-	-	-	-	-	-
Caps – floors – collars	-	-	-	28	8	9	45
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	150	55	14	219
Currency futures	-	-	-	150	55	14	219
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	36	-	-	36
Other	-	-	-	36	-	-	36
Subtotal	-	-	-	2,824	4,732	12,882	20,438
Forward currency transactions	-	-	-	499	3	7	509
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – ASSETS	-	-	-	3,323	4,735	12,889	20,947

Hedging derivative instruments – fair value of liabilities

	31/12/2020						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	2,026	6,387	14,662	23,075
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	2,023	6,380	14,658	23,061
Interest rate options	-	-	-	-	-	-	-
Caps – floors – collars	-	-	-	3	7	4	14
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	141	10	24	175
Currency futures	-	-	-	141	10	24	175
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	35	-	-	35
Other	-	-	-	35	-	-	35
Subtotal	-	-	-	2,202	6,397	14,686	23,285
Forward currency transactions	-	-	-	436	2	2	440
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – LIABILITIES	-	-	-	2,638	6,399	14,688	23,725

	31/12/2019						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	1,754	5,267	13,001	20,022
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	1,754	5,259	13,001	20,014
Interest rate options	-	-	-	-	-	-	-
Caps – floors – collars	-	-	-	-	8	-	8
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	154	3	16	173
Currency futures	-	-	-	154	3	16	173
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	24	-	-	24
Other	-	-	-	24	-	-	24
Subtotal	-	-	-	1,932	5,270	13,017	20,219
Forward currency transactions	-	-	-	275	2	2	279
TOTAL FAIR VALUE OF HEDGING DERIVATIVES – LIABILITIES	-	-	-	2,207	5,272	13,019	20,498

Derivative instruments held for trading – fair value of assets

	31/12/2020						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	5	1	-	4,904	15,622	53,088	73,620
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	3	-	-	3
Interest rate swaps	-	-	-	4,178	12,278	38,379	54,835
Interest rate options	-	-	-	158	2,233	13,429	15,820
Caps – floors – collars	-	-	-	565	1,111	1,280	2,956
Other options	5	1	-	-	-	-	6
Currency instruments and gold	-	-	-	6,625	3,528	3,902	14,055
Currency futures	-	-	-	4,349	2,884	3,564	10,797
Currency options	-	-	-	2,276	644	338	3,258
Other instruments	724	671	128	1,814	5,444	1,957	10,738
Equity and index derivatives	724	671	128	1,511	5,298	1,066	9,398
Precious metal derivatives	-	-	-	96	2	-	98
Commodities derivatives	-	-	-	-	-	-	-
Credit derivatives	-	-	-	18	80	51	149
Other	-	-	-	189	64	840	1,093
Subtotal	729	672	128	13,343	24,594	58,947	98,413
Forward currency transactions	-	-	-	14,793	1,153	175	16,121
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – ASSETS	729	672	128	28,136	25,747	59,122	114,534

	31/12/2019						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	9	2	-	2,207	17,554	50,949	70,721
Futures	2	-	-	-	-	-	2
FRAs	-	-	-	3	44	-	47
Interest rate swaps	-	-	-	1,622	13,633	37,803	53,058
Interest rate options	-	-	-	121	2,455	11,869	14,445
Caps – floors – collars	-	-	-	461	1,422	1,277	3,160
Other options	7	2	-	-	-	-	9
Currency instruments and gold	-	-	-	4,217	3,052	2,932	10,201
Currency futures	-	-	-	3,367	2,047	2,381	7,796
Currency options	-	-	-	850	1,005	550	2,405
Other instruments	352	451	71	1,599	4,944	1,484	8,901
Equity and index derivatives	352	451	71	1,323	4,815	1,113	8,125
Precious metal derivatives	-	-	-	43	-	-	43
Commodities derivatives	-	-	-	1	-	-	1
Credit derivatives	-	-	-	35	99	54	188
Other	-	-	-	197	30	317	544
Subtotal	361	453	71	8,023	25,551	55,365	89,823
Forward currency transactions	-	-	-	8,610	1,111	51	9,773
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – ASSETS	361	453	71	16,633	26,662	55,416	99,596

Derivative instruments held for trading – fair value of liabilities

	31/12/2020						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	3,647	15,561	52,898	72,106
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	3,145	12,128	35,811	51,084
Interest rate options	-	-	-	180	2,370	15,247	17,797
Caps – floors – collars	-	-	-	319	1,063	1,840	3,222
Other options	-	-	-	3	-	-	3
Currency instruments and gold	-	-	-	4,803	3,311	3,439	11,553
Currency futures	-	-	-	2,860	2,771	3,250	8,881
Currency options	-	-	-	1,943	540	189	2,672
Other instruments	450	750	185	1,458	3,338	1,024	7,205
Equity and index derivatives	450	750	185	896	2,978	778	6,037
Precious metal derivatives	-	-	-	85	2	-	87
Commodities derivatives	-	-	-	-	-	-	-
Credit derivatives	-	-	-	195	318	30	543
Other	-	-	-	282	40	216	538
Subtotal	450	750	185	9,908	22,210	57,361	90,864
Forward currency transactions	-	-	-	15,586	1,321	(44)	16,863
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – LIABILITIES	450	750	185	25,494	23,531	57,317	107,727

	31/12/2019						
	Exchange-traded transactions			Over-the-counter transactions			Total market value
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	143	-	-	2,185	17,253	51,780	71,361
Futures	140	-	-	-	-	-	140
FRAs	-	-	-	24	-	-	24
Interest rate swaps	-	-	-	1,820	13,277	37,216	52,313
Interest rate options	-	-	-	230	2,358	12,697	15,285
Caps – floors – collars	-	-	-	112	1,505	1,867	3,484
Other options	3	-	-	-	113	-	115
Currency instruments and gold	-	-	-	4,432	2,668	2,602	9,702
Currency futures	-	-	-	3,502	2,144	2,313	7,959
Currency options	-	-	-	930	524	289	1,743
Other instruments	230	422	102	832	3,130	926	5,642
Equity and index derivatives	230	422	102	355	2,663	802	4,574
Precious metal derivatives	-	-	-	30	1	-	31
Commodities derivatives	-	-	-	1	-	-	1
Credit derivatives	-	-	-	226	407	37	670
Other	-	-	-	220	59	87	366
Subtotal	373	422	102	7,449	23,051	55,308	86,705
Forward currency transactions	-	-	-	8,487	1,700	220	10,407
TOTAL FAIR VALUE OF TRANSACTION DERIVATIVES – LIABILITIES	373	422	102	15,936	24,751	55,528	97,112

Derivative instruments: amount of commitment

	31/12/2020	31/12/2019
	Total notional amount outstanding	Total notional amount outstanding
<i>(in millions of euros)</i>		
Interest rate instruments	11,645,684	11,546,983
Futures	115,287	155,916
FRAs	2,561,506	2,671,646
Interest rate swaps	7,625,143	7,153,325
Interest rate options	723,536	838,944
Caps – floors – collars	519,805	517,624
Other options	100,407	209,528
Currency instruments and gold	469,974	498,301
Currency futures	253,145	285,748
Currency options	216,829	212,553
Other instruments	176,727	160,084
Equity and index derivatives	117,885	104,196
Precious metal derivatives	3,863	3,848
Commodities derivatives	4	22
Credit derivatives	20,620	25,089
Other	34,355	26,929
Subtotal	12,292,385	12,205,368
Forward currency transactions	1,889,485	2,055,084
TOTAL NOTIONAL AMOUNT	14,181,870	14,260,452

Foreign exchange risk

(See chapter on “Risk Management – Foreign Exchange Risk”.)

3.3 LIQUIDITY AND FINANCING RISK

(See chapter on “Risk management – Balance Sheet Management”.)

Loans and receivables due from credit institutions and due from customers by residual maturity

	31/12/2020					
	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	TOTAL
<i>(in millions of euros)</i>						
Loans and receivables due from credit institutions	29,493	2,534	57,345	963	-	90,335
Loans and receivables due from customers (including finance leases)	113,622	119,886	331,417	415,954	4,195	985,074
Total	143,115	122,420	388,762	416,917	4,195	1,075,409
Impairment						(19,965)
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND FROM CUSTOMERS						1,055,444

	31/12/2019					
	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	TOTAL
<i>(in millions of euros)</i>						
Loans and receivables due from credit institutions	52,214	4,564	43,561	1,026	-	101,365
Loans and receivables due from customers (including finance leases)	124,186	92,627	313,377	396,655	5,641	932,486
Total	176,400	97,191	356,938	397,681	5,641	1,033,851
Impairment						(19,406)
TOTAL LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS AND FROM CUSTOMERS						1,014,445

Due to credit institutions and to customers by residual maturity

	31/12/2020					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	TOTAL
Due to credit institutions	46,415	5,757	139,694	7,076	-	198,942
Due to customers	883,800	40,022	33,312	6,300	(1)	963,433
TOTAL AMOUNT DUE TO CREDIT INSTITUTIONS AND TO CUSTOMERS	930,215	45,779	173,006	13,376	-	1,162,375

	31/12/2019					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	TOTAL
Due to credit institutions	57,612	13,940	21,437	6,586	-	99,575
Due to customers	763,202	46,608	37,528	8,169	-	855,507
TOTAL AMOUNT DUE TO CREDIT INSTITUTIONS AND TO CUSTOMERS	820,814	60,548	58,965	14,755	-	955,082

Debt securities and subordinated debt

	31/12/2020					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	TOTAL
DEBT SECURITIES						
Interest bearing notes	1	2	8	-	-	11
Interbank securities	986	300	5,847	1,945	-	9,078
Negotiable debt securities	36,163	17,493	2,680	103	-	56,439
Bonds	4,386	7,871	49,205	41,945	-	103,407
Other debt securities	560	723	1,457	121	-	2,861
TOTAL DEBT SECURITIES	42,096	26,389	59,197	44,114	-	171,796
SUBORDINATED DEBT						
Dated subordinated debt	447	1,501	5,872	15,422	-	23,242
Undated subordinated debt	1	-	-	-	410	411
Mutual security deposits	1	-	-	-	180	181
Participating securities and loans	2	-	60	-	-	62
TOTAL SUBORDINATED DEBT	451	1,501	5,932	15,422	590	23,896

	31/12/2019					
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite	TOTAL
DEBT SECURITIES						
Interest bearing notes	2	3	8	-	-	13
Interbank securities	706	835	6,195	1,553	-	9,289
Negotiable debt securities	55,080	36,510	5,623	104	-	97,317
Bonds	3,454	4,891	51,157	43,537	-	103,039
Other debt securities	592	794	2,322	-	-	3,708
TOTAL DEBT SECURITIES	59,834	43,033	65,305	45,194	-	213,366
SUBORDINATED DEBT						
Dated subordinated debt	237	1,230	1,986	17,334	-	20,787
Undated subordinated debt	12	-	-	-	633	645
Mutual security deposits	1	-	-	-	167	168
Participating securities and loans	62	-	-	-	-	62
TOTAL SUBORDINATED DEBT	312	1,230	1,986	17,334	800	21,662

Financial guarantees at risk given by expected maturity

The amounts presented correspond to the expected amount of the call of financial guarantees at risk, *i.e.* guarantees that have been impaired or are on a watch-list.

	31/12/2020				
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite
Financial guarantees given	110	2,570	-	-	-
	TOTAL				
	2,680				

	31/12/2019				
(in millions of euros)	≤ 3 months	> 3 months to ≤ 1 year	> 1 year to ≤ 5 years	> 5 years	Indefinite
Financial guarantees given	111	635	-	-	-
	TOTAL				
	746				

Contractual maturities of derivative instruments are given in Note 3.2 "Market Risk".

3.4 HEDGE ACCOUNTING

(See Note 3.2 "Market Risk" and chapter on "Risk Management – Balance Sheet Management".)

Fair value hedges

A fair value hedge modifies the risk caused by changes in the fair value of a fixed-rate financial instrument as a result of changes in interest rates. Fair value hedges transform fixed-rate assets or liabilities into floating-rate assets or liabilities.

Items hedged are principally fixed-rate loans, securities, deposits and subordinated debt.

Future cash flow hedges

A cash flow hedge modifies the risk related to variability in cash flows arising from floating-rate financial instruments.

Items hedged are principally floating-rate loans and deposits.

Hedge of net investment in foreign currency

A hedge of a net investment in foreign currency modifies the risk inherent in exchange rate fluctuations connected with foreign currency investments in subsidiaries.

Hedging derivatives

	31/12/2020			31/12/2019		
	Market value		Notional amount	Market value		Notional amount
(in millions of euros)	positive	negative		positive	negative	
Fair value hedges	20,795	23,455	978,435	18,888	20,147	988,903
Interest rate	20,584	23,020	957,340	18,442	19,914	947,732
Foreign exchange	211	435	21,095	446	233	41,171
Other	-	-	-	-	-	-
Cash flow hedges	2,131	264	59,346	2,048	318	65,313
Interest rate	1,893	55	25,380	1,741	107	27,557
Foreign exchange	223	174	33,838	271	187	37,632
Other	15	35	128	36	24	124
Hedges of net investments in foreign operations	39	6	2,910	11	33	2,879
TOTAL HEDGING DERIVATIVE INSTRUMENTS	22,965	23,725	1,040,691	20,947	20,498	1,057,095

Derivative instruments: Analysis by residual maturity (notionals)

The breakdown of notionals values of derivative instruments is shown by remaining contractual maturity.

	31/12/2020						
	Exchange-traded			Over-the-counter			Total notional
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	402,804	300,509	279,407	982,720
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	402,370	299,222	276,309	977,901
Interest rate options	-	-	-	-	-	-	-
Caps – floors – collars	-	-	-	434	1,287	3,098	4,819
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	8,218	1,558	9	9,785
Currency futures	-	-	-	8,218	1,558	9	9,785
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	128	-	-	128
Other	-	-	-	128	-	-	128
Subtotal	-	-	-	411,150	302,067	279,416	992,633
Forward currency transactions	-	-	-	44,426	1,682	1,950	48,058
TOTAL NOTIONAL OF HEDGING DERIVATIVES	-	-	-	455,576	303,749	281,366	1,040,691

	31/12/2019						
	Exchange-traded			Over-the-counter			Total notional
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	
Interest rate instruments	-	-	-	375,298	286,535	313,456	975,289
Futures	-	-	-	-	-	-	-
FRAs	-	-	-	-	-	-	-
Interest rate swaps	-	-	-	375,197	284,651	310,157	970,005
Interest rate options	-	-	-	-	-	-	-
Caps – floors – collars	-	-	-	101	1,884	3,299	5,284
Other options	-	-	-	-	-	-	-
Currency instruments	-	-	-	9,658	1,051	-	10,709
Currency futures	-	-	-	9,658	1,051	-	10,709
Currency options	-	-	-	-	-	-	-
Other instruments	-	-	-	124	-	-	124
Other	-	-	-	124	-	-	124
Subtotal	-	-	-	385,080	287,586	313,456	986,122
Forward currency transactions	-	-	-	68,264	785	1,924	70,973
TOTAL NOTIONAL OF HEDGING DERIVATIVES	-	-	-	453,344	288,371	315,380	1,057,095

Note 3.2 “Market risk – Derivative instruments: analysis by residual maturity” breaks down the market value of hedging derivative instruments by remaining contractual maturity.

Fair value hedges

Hedging derivatives

(in millions of euros)	31/12/2020			
	Carrying amount		Changes in fair value during the period (of which end of hedges during the period)	Notional Amount
	Assets	Liabilities		
Fair value hedges				
Exchange-traded	-	-	-	-
Interest rate	-	-	-	-
<i>Futures</i>	-	-	-	-
<i>Options</i>	-	-	-	-
Foreign exchange	-	-	-	-
<i>Futures</i>	-	-	-	-
<i>Options</i>	-	-	-	-
Other	-	-	-	-
Over-the-counter markets	7,119	9,027	109	283,475
Interest rate	6,908	8,592	559	262,380
<i>Futures</i>	6,907	8,592	585	261,737
<i>Options</i>	1	-	(26)	643
Foreign exchange	211	435	(450)	21,095
<i>Futures</i>	211	435	(450)	21,095
<i>Options</i>	-	-	-	-
Other	-	-	-	-
Total Fair value micro-hedging	7,119	9,027	109	283,475
Fair value hedges of the interest rate exposure of a portfolio of financial instruments	13,676	14,428	(950)	694,960
TOTAL FAIR VALUE HEDGES	20,795	23,455	(841)	978,435

(in millions of euros)	31/12/2019			
	Carrying amount		Changes in fair value during the period (of which end of hedges during the period)	Notional Amount
	Assets	Liabilities		
Fair value hedges				
Exchange-traded	-	-	-	-
Interest rate	-	-	-	-
<i>Futures</i>	-	-	-	-
<i>Options</i>	-	-	-	-
Foreign exchange	-	-	-	-
<i>Futures</i>	-	-	-	-
<i>Options</i>	-	-	-	-
Other	-	-	-	-
Over-the-counter markets	6,145	7,256	1,395	301,295
Interest rate	5,699	7,023	1,251	260,124
<i>Futures</i>	5,698	7,023	1,288	259,338
<i>Options</i>	1	-	(37)	786
Foreign exchange	446	233	144	41,171
<i>Futures</i>	446	233	144	41,171
<i>Options</i>	-	-	-	-
Other	-	-	-	-
Total Fair value micro-hedging	6,145	7,256	1,395	301,295
Fair value hedges of the interest rate exposure of a portfolio of financial instruments	12,743	12,891	(651)	687,608
TOTAL FAIR VALUE HEDGES	18,888	20,147	744	988,903

Changes in the fair value of hedging derivatives are recognised under "Net gains (losses) on financial instruments at fair value through profit or loss" in the income statement.

Hedged items

Micro-hedging	31/12/2020			
	Present hedges		Ended hedges	
	Carrying amount	of which accumulated fair value hedge adjustments	Accumulated fair value hedge adjustments to be adjusted for hedging remaining to be amortised	Fair value hedge adjustments during the period (including termination of hedges during the period)
<i>(in millions of euros)</i>				
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	36,847	735	-	295
Interest rate	36,847	735	-	296
Foreign exchange	-	-	-	(1)
Other	-	-	-	-
Debt instruments at amortised cost	97,612	4,333	85	1,056
Interest rate	94,037	4,093	85	755
Foreign exchange	3,575	240	-	301
Other	-	-	-	-
Total Fair value hedges on assets items	134,459	5,068	85	1,351
Debt instruments at amortised cost	151,641	5,777	1	1,457
Interest rate	140,562	5,735	1	1,604
Foreign exchange	11,079	42	-	(147)
Other	-	-	-	-
Total fair value hedges on liabilities items	151,641	5,777	1	1,457

Micro-hedging	31/12/2019			
	Present hedges		Ended hedges	
	Carrying amount	of which accumulated fair value hedge adjustments	Accumulated fair value hedge adjustments to be adjusted for hedging remaining to be amortised	Fair value hedge adjustments during the period (including termination of hedges during the period)
<i>(in millions of euros)</i>				
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	31,776	68	-	200
Interest rate	31,776	68	-	203
Foreign exchange	-	-	-	(3)
Other	-	-	-	-
Debt instruments at amortised cost	101,828	3,284	2	906
Interest rate	89,219	3,284	2	1,012
Foreign exchange	12,609	-	-	(106)
Other	-	-	-	-
Total Fair value hedges on assets items	133,604	3,352	2	1,106
Debt instruments at amortised cost	158,028	4,555	4	2,504
Interest rate	136,002	4,497	4	2,463
Foreign exchange	22,026	58	-	41
Other	-	-	-	-
Total fair value hedges on liabilities items	158,028	4,555	4	2,504

The fair value of the hedged portions of micro-hedged financial instruments at fair value is recognised in the balance sheet item to which it relates. Changes in the fair value of the hedged portions of micro-hedged financial instruments at fair value are recognised under "Net gains (losses) on financial instruments at fair value through profit or loss" in the income statement.

Macro-hedging	31/12/2020	
	Carrying amount	Accumulated fair value hedge adjustments to be adjusted for hedging remaining to be adjusted, on ended hedges
<i>(in millions of euros)</i>		
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	5,874	-
Debt instruments at amortised cost	477,094	616
Total – Assets	482,968	616
Debt instruments at amortised cost	235,920	186
Total – Liabilities	235,920	186

Macro-hedging	31/12/2019	
	Carrying amount	Accumulated fair value hedge adjustments to be adjusted for hedging remaining to be adjusted, on ended hedges
<i>(in millions of euros)</i>		
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	6,424	-
Debt instruments at amortised cost	423,580	396
Total – Assets	430,004	396
Debt instruments at amortised cost	264,911	195
Total – Liabilities	264,911	195

The fair value of the hedged portions of macro-hedged financial instruments at fair value is recognised under “Revaluation adjustment on interest rate hedged portfolios” on the balance sheet. Changes in the fair value of the hedged portions of macro-hedged financial instruments at fair value are recognised under “Net gains (losses) on financial instruments at fair value through profit or loss” in the income statement.

Gains (losses) from hedge accounting

	31/12/2020		
	Net Income (Total Gains (losses) from hedge accounting)		
<i>(in millions of euros)</i>	Change in fair value of hedging derivatives (including termination of hedges)	Change in fair value of hedged items (including termination of hedges)	Hedge ineffectiveness portion
Interest rate	(391)	354	(37)
Foreign exchange	(450)	448	(2)
Other	-	-	-
TOTAL	(841)	802	(39)

	31/12/2019		
	Net Income (Total Gains (losses) from hedge accounting)		
<i>(in millions of euros)</i>	Change in fair value of hedging derivatives (including termination of hedges)	Change in fair value of hedged items (including termination of hedges)	Hedge ineffectiveness portion
Interest rate	600	(623)	(23)
Foreign exchange	144	(149)	(5)
Other	-	-	-
TOTAL	744	(772)	(28)

Cash flow hedges and hedges of net investments in foreign operation (NIH)

Hedging derivatives

	31/12/2020			
	Carrying amount		Changes in fair value during the period (including termination of hedges during the period)	Notional amount
(in millions of euros)	Assets	Liabilities		
Cash flow hedges				
Exchange-traded	-	-	-	-
Interest rate	-	-	-	-
<i>Futures</i>	-	-	-	-
<i>Options</i>	-	-	-	-
Foreign exchange	-	-	-	-
<i>Futures</i>	-	-	-	-
<i>Options</i>	-	-	-	-
Other	-	-	-	-
Over-the-counter markets	961	245	(167)	31,838
Interest rate	730	52	(209)	3,774
<i>Futures</i>	730	52	(209)	3,759
<i>Options</i>	-	-	-	15
Foreign exchange	216	158	42	27,936
<i>Futures</i>	216	158	42	27,936
<i>Options</i>	-	-	-	-
Other	15	35	-	128
Total Cash flow micro-hedging	961	245	(167)	31,838
Cash flow hedges of the interest rate exposure of a portfolio of financial instruments	1,163	3	386	21,606
Cash flow hedges of the foreign exchange exposure of a portfolio of financial instruments	7	16	(83)	5,902
Total Cash flow macro-hedging	1,170	19	303	27,508
TOTAL CASH FLOW HEDGES	2,131	264	136	59,346
Hedges of net investments in foreign operations	39	6	45	2,910

			31/12/2019	
	Carrying amount		Changes in fair value during the period (including termination of hedges during the period)	Notional amount
(in millions of euros)	Assets	Liabilities		
Cash flow hedges				
Exchange-traded	-	-	-	-
Interest rate	-	-	-	-
<i>Futures</i>	-	-	-	-
<i>Options</i>	-	-	-	-
Foreign exchange	-	-	-	-
<i>Futures</i>	-	-	-	-
<i>Options</i>	-	-	-	-
Other	-	-	-	-
Over-the-counter markets	1,250	259	105	38,055
Interest rate	955	82	122	7,441
<i>Futures</i>	955	82	122	7,426
<i>Options</i>	-	-	-	15
Foreign exchange	258	154	(17)	30,489
<i>Futures</i>	258	154	(17)	30,489
<i>Options</i>	-	-	-	-
Other	37	23	-	125
Total Cash flow micro-hedging	1,250	259	105	38,055
Cash flow hedges of the interest rate exposure of a portfolio of financial instruments	785	25	163	20,116
Cash flow hedges of the foreign exchange exposure of a portfolio of financial instruments	13	33	(2)	7,142
Total Cash flow macro-hedging	798	58	161	27,258
TOTAL CASH FLOW HEDGES	2,048	318	266	65,313
Hedges of net investments in foreign operations	11	33	(13)	2,879

Changes in the fair value of hedging derivatives are recognised under “Other comprehensive income” save for the ineffective portion of the hedging relationship which is recognised under “Net gains (losses) on financial instruments at fair value through profit or loss” in the income statement.

Gains (losses) from hedge accounting

	31/12/2020		
	Other comprehensive income on items that may be reclassified to profit and loss	Net income (hedge accounting income or loss)	
(in millions of euros)	Effective portion of the hedge recognised during the period	Amount reclassified from other comprehensive income into profit or loss during the period	Hedge ineffectiveness portion
Cash flow hedges	-	-	-
Interest rate	177	-	-
Foreign exchange	(41)	-	-
Commodities	-	-	-
Other	-	-	-
Total Cash flow hedges	136	-	-
Hedges of net investments in foreign operations	45	-	-
TOTAL CASH FLOW HEDGES AND HEDGES OF NET INVESTMENTS IN FOREIGN OPERATIONS	181	-	-

	31/12/2019		
	Other comprehensive income on items that may be reclassified to profit and loss	Net income (hedge accounting income or loss)	
(in millions of euros)	Effective portion of the hedge recognised during the period	Amount reclassified from other comprehensive income into profit or loss during the period	Hedge ineffectiveness portion
Cash flow hedges	-	-	-
Interest rate	263	-	-
Foreign exchange	(12)	-	-
Commodities	-	-	-
Other	-	-	-
Total Cash flow hedges	251	-	-
Hedges of net investments in foreign operations	(10)	-	-
TOTAL CASH FLOW HEDGES AND HEDGES OF NET INVESTMENTS IN FOREIGN OPERATIONS	241	-	-

3.5 OPERATIONAL RISKS

(See chapter on “Risk management – Operational Risks”.)

3.6 CAPITAL MANAGEMENT AND REGULATORY RATIOS

The Crédit Agricole S.A. Finance department is tasked with ensuring the adequacy of liquidity and capital between the requirements generated by the Group's global operations and its liquidity and capital financial resources. It is responsible for monitoring the prudential and regulatory ratios (solvency, liquidity, leverage, resolution) of Crédit Agricole Group and of Crédit Agricole S.A. To this end, it sets out the principles and ensures a cohesive financial management system throughout the Group.

Information on capital management and compliance with regulatory ratios as required by IAS 1 is presented in the Chapter “Risks and Pillar 3”.

The Group's management of banking risks is handled by the Group Risk Management and Permanent Controls department. This department reports to the Chief Executive Officer of Crédit Agricole S.A. and its task is to control credit, financial and operational risks.

A description of these processes and commentary appear in the chapter on “Risk management” in the management report, as allowed by IFRS 7. Nonetheless, the accounting breakdowns are still presented in the financial statements.

NOTE 4 Notes on net income and other comprehensive income**4.1 INTEREST INCOME AND EXPENSES**

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
On financial assets at amortised cost	23,664	25,537
Interbank transactions	1,862	1,725
Crédit Agricole internal transactions		2
Customer transactions	20,035	21,867
Finance leases	924	844
Debt securities	843	1,099
On financial assets recognised at fair value through other comprehensive income	4,973	5,403
Interbank transactions	-	-
Customer transactions	-	-
Debt securities	4,973	5,403
Accrued interest receivable on hedging instruments	2,803	2,532
Other interest income	60	37
INTEREST AND SIMILAR INCOME⁽¹⁾⁽²⁾	31,500	33,509
On financial liabilities at amortised cost	(10,225)	(13,108)
Interbank transactions	(1,093)	(1,367)
Crédit Agricole internal transactions		(2)
Customer transactions	(5,259)	(7,182)
Finance leases	(265)	(144)
Debt securities	(3,054)	(3,762)
Subordinated debt	(554)	(651)
Accrued interest receivable on hedging instruments	(2,399)	(2,313)
Other interest expenses	(86)	(91)
INTEREST AND SIMILAR EXPENSES⁽³⁾	(12,710)	(15,512)

(1) Of which €372 million for impaired receivables (Bucket 3) at 31 December 2020 versus €339 million at 31 December 2019.

(2) Of which €924 million for negative interest on financial liabilities at 31 December 2020 (€244 million at 31 December 2019).

(3) Of which -€316 million for negative interest on financial assets at 31 December 2020 (-€57 million at 31 December 2019).

4.2 FEES AND COMMISSIONS INCOME AND EXPENSE

<i>(in millions of euros)</i>	31/12/2020			31/12/2019		
	Income	Expense	Net	Income	Expense	Net
Interbank transactions	245	(64)	181	266	(53)	213
Customer transactions	1,466	(219)	1,247	3,662	(259)	3,403
Securities transactions	54	(151)	(97)	49	(100)	(51)
Foreign exchange transactions	51	(39)	12	52	(44)	8
Derivative instruments and other off-balance sheet items	384	(201)	183	340	(242)	98
Payment instruments and other banking and financial services	6,269	(1,908)	4,361	4,468	(1,928)	2,540
UCITS management, fiduciary and similar operations	4,903	(1,347)	3,556	4,884	(1,536)	3,348
TOTAL FEES AND COMMISSIONS INCOME AND EXPENSE	13,376	(3,933)	9,443	13,721	(4,162)	9,559

Asset Gathering and Retail Banking (French and International) are the main contributors of the commission income from customer transactions and transactions involving payment instruments and other banking and financial services.

Commission income from managing UCITS, trusts and similar activities are mainly related to Asset Gathering.

4.3 NET GAINS (LOSSES) ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
Dividends received	962	1,535
Unrealised or realised gains (losses) on held for trading assets/liabilities	2,900	3,890
Unrealised or realised gains (losses) on equity instruments at fair value through profit or loss	(2,740)	3,519
Unrealised or realised gains (losses) on debt instruments that do not meet the conditions of the "SPPI" test	764	3,088
Net gains (losses) on assets backing unit-linked contracts	1,153	6,440
Unrealised or realised gains (losses) on assets/liabilities designated at fair value through profit or loss ⁽¹⁾	(640)	(1,767)
Net gains (losses) on Foreign exchange transactions and similar financial instruments (excluding gains or losses on hedges of net investments in foreign operations)	92	767
Gains (losses) from hedge accounting	(39)	(28)
NET GAINS (LOSSES) ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	2,452	17,446

(1) Except spread of issuer loan for liabilities at fair value through equity non-recyclable.

Analysis of net gains (losses) from hedge accounting:

	31/12/2020		
<i>(in millions of euros)</i>	Gains	Losses	Net
Fair value hedges	9,487	(9,484)	3
Changes in fair value of hedged items attributable to hedged risks	4,234	(4,340)	(106)
Changes in fair value of hedging derivatives (including termination of hedges)	5,253	(5,144)	109
Cash flow hedges	-	-	-
Changes in fair value of hedging derivatives – ineffective portion	-	-	-
Hedges of net investments in foreign operations	-	-	-
Changes in fair value of hedging derivatives – ineffective portion	-	-	-
Fair value hedges of the interest rate exposure of a portfolio of financial instruments	19,129	(19,171)	(42)
Changes in fair value of hedged items	10,141	(9,233)	908
Changes in fair value of hedging derivatives	8,988	(9,938)	(950)
Cash flow hedges of the interest rate exposure of a portfolio of financial instruments	-	-	-
Changes in fair value of hedging instrument – ineffective portion	-	-	-
TOTAL GAINS (LOSSES) FROM HEDGE ACCOUNTING	28,617	(28,656)	(39)

	31/12/2019		
<i>(in millions of euros)</i>	Gains	Losses	Net
Fair value hedges	10,252	(10,255)	(3)
Changes in fair value of hedged items attributable to hedged risks	4,380	(5,778)	(1,398)
Changes in fair value of hedging derivatives (including termination of hedges)	5,872	(4,477)	1,395
Cash flow hedges	-	-	-
Changes in fair value of hedging derivatives – ineffective portion	-	-	-
Hedges of net investments in foreign operations	-	-	-
Changes in fair value of hedging derivatives – ineffective portion	-	-	-
Fair value hedges of the interest rate exposure of a portfolio of financial instruments	19,665	(19,690)	(25)
Changes in fair value of hedged items	10,109	(9,483)	626
Changes in fair value of hedging derivatives	9,556	(10,207)	(651)
Cash flow hedges of the interest rate exposure of a portfolio of financial instruments	-	-	-
Changes in fair value of hedging instrument – ineffective portion	-	-	-
TOTAL GAINS (LOSSES) FROM HEDGE ACCOUNTING	29,917	(29,945)	(28)

Details of gains (losses) from hedge accounting by type of relationship (fair value hedges, cash flow hedges, etc.) are presented in Note 3.4 "Hedge accounting".

4.4 NET GAINS (LOSSES) ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

(in millions of euros)	31/12/2020	31/12/2019
Net gains (losses) on debt instruments at fair value through other comprehensive income that may be reclassified subsequently to profit or loss ⁽¹⁾	585	167
Remuneration of equity instruments measured at fair value through other comprehensive income that will not be reclassified subsequently to profit or loss (dividends) ⁽²⁾	106	169
NET GAINS (LOSSES) ON FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME	691	336

(1) Excluding realised gains or losses from impaired debt instruments (Bucket 3) mentioned in Note 4.9 "Cost of risk".

(2) Of which €19 million in dividends on equity instruments at fair value through non-recyclable equity derecognised during the period.

4.5 NET GAINS (LOSSES) ARISING FROM THE DERECOGNITION OF FINANCIAL ASSETS AT AMORTISED COST

(in millions of euros)	31/12/2020	31/12/2019
Debt securities	39	8
Loans and receivables due from credit institutions	-	-
Loans and receivables due from customers	-	1
Gains arising from the derecognition of financial assets at amortised cost	39	9
Debt securities	(2)	(2)
Loans and receivables due from credit institutions	-	-
Loans and receivables due from customers	(4)	(17)
Losses arising from the derecognition of financial assets at amortised cost	(6)	(19)
NET GAINS (LOSSES) ARISING FROM THE DERECOGNITION OF FINANCIAL ASSETS AT AMORTISED COST⁽¹⁾	33	(10)

(1) Excluding realised gains or losses from the derecognition of impaired debt instruments (Bucket 3) mentioned in Note 4.9 "Cost of risk".

4.6 NET INCOME (EXPENSES) ON OTHER ACTIVITIES

(in millions of euros)	31/12/2020	31/12/2019
Gains (losses) on fixed assets not used in operations	(25)	(22)
Other net income from insurance activities ⁽¹⁾	6,179	14,252
Change in insurance technical reserves ⁽²⁾	(4,625)	(26,373)
Net income from investment property	216	172
Other net income (expense)	250	386
INCOME (EXPENSE) RELATED TO OTHER ACTIVITIES	1,995	(11,585)

(1) The €8,073 million decrease in other net income from insurance activities was mainly due to a decrease in net inflows in the amount of €8,100 million on the Retirement Savings activity.

(2) The €21,748 million decrease in insurance company technical reserves is due in the main to the net positive inflows and the adjustments evolution of the value on the unit-linked policies.

4.7 OPERATING EXPENSES

(in millions of euros)	31/12/2020	31/12/2019
Employee expenses	(12,685)	(12,656)
Taxes other than on income or payroll-related and regulatory contributions ⁽¹⁾	(1,392)	(1,216)
External services and other operating expenses	(5,844)	(6,217)
OPERATING EXPENSES	(19,921)	(20,088)

(1) Of which -€561 million accounted for under the Single Resolution Fund at 31 December 2020 and -€424 million at 31 December 2019.

Fees paid to Statutory Auditors

The breakdown of fees paid to Statutory Auditors by firm and type of engagement by fully consolidated Crédit Agricole Group companies was as follows in 2020:

Board of Auditors of the Crédit Agricole Group

	Ernst & Young		PricewaterhouseCoopers		TOTAL 2020
	2020	2019	2020	2019	
<i>(in millions of euros excluding taxes)</i>					
Statutory audit, certification, review of individual and consolidated financial statements	19.37	19.91	15.99	15.89	35.36
Issuer	2.16	1.90	2.19	1.92	4.35
Fully consolidated subsidiaries	17.21	18.01	13.80	13.97	31.01
Non audit services	4.97	6.37	7.77	6.15	12.74
Issuer	0.48	0.46	0.95	0.96	1.43
Fully consolidated subsidiaries	4.49	5.91	6.82	5.19	11.31
TOTAL	24.34	26.28	23.76	22.04	48.10

The total sum of fees paid to PricewaterhouseCoopers Audit, Statutory Auditor of Crédit Agricole S.A., appearing in the consolidated income statement for the year, amounts to €11.9 million, of which €10.1 million relates to the certification of the accounts of Crédit Agricole S.A. and its subsidiaries, and €1.8 million relates to non-audit services (comfort letters, agreed-upon procedures, responsibility statements, services relating to social and environmental information, consultations, etc.).

The total sum of fees paid to Ernst & Young et Autres, Statutory Auditor of Crédit Agricole S.A., appearing in the consolidated income statement for the year, amounts to €8.6 million, of which €7.5 million relates to the certification of the accounts of Crédit Agricole S.A. and its subsidiaries, and €1.1 million relates to non-audit services (comfort letters, agreed-upon procedures, responsibility statements, review of tax returns, services relating to social and environmental information, consultations, etc.).

Other Statutory Auditors engaged in the audit of fully consolidated Crédit Agricole Group subsidiaries

	Mazars		KPMG		Deloitte		Other		TOTAL 2020
	2020	2019	2020	2019	2020	2019	2020	2019	
<i>(in millions of euros excluding taxes)</i>									
Statutory audit, certification, review of individual and consolidated financial statements	2.59	2.39	1.91	2.01	0.24	0.19	1.85	1.65	6.59
Non audit services ⁽¹⁾	0.20	0.16	0.28	0.15	-	-	0.10	0.10	0.58
TOTAL	2.79	2.55	2.19	2.16	0.24	0.19	1.95	1.75	7.17

(1) Services other than the certification of the accounts listed correspond to the assignments carried out by these firms in the companies where they are Statutory Auditors.

4.8 AMORTISATION OF INTANGIBLE ASSETS AND DEPRECIATION OF PROPERTY, PLANT AND EQUIPMENT

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
Depreciation and amortisation	(1,906)	(1,723)
Property, plant and equipment ⁽¹⁾	(1,440)	(1,289)
Intangible assets	(466)	(434)
Impairment losses (reversals)	(1)	(1)
Property, plant and equipment	1	1
Intangible assets	(2)	(2)
DEPRECIATION, AMORTISATION AND IMPAIRMENT OF PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS	(1,907)	(1,724)

(1) Of which -€564 million recognised for depreciation on the right-of-use asset at 31 December 2020.

4.9 COST OF RISK

(in millions of euros)	31/12/2020	31/12/2019
Charges net of reversals to impairments on performing assets (Bucket 1 or Bucket 2) (A)	(1,633)	116
Bucket 1: Loss allowance measured at an amount equal to 12-month expected credit loss	(735)	(19)
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	(5)	(2)
Debt instruments at amortised cost	(627)	-
Commitments by signature	(103)	(17)
Bucket 2: Loss allowance measured at an amount equal to lifetime expected credit loss	(898)	135
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	(1)	1
Debt instruments at amortised cost	(750)	48
Commitments by signature	(147)	86
Charges net of reversals to impairments on credit-impaired assets (Bucket 3) (B)	(2,007)	(1,768)
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	(10)	-
Debt instruments at amortised cost	(2,027)	(1,599)
Commitments by signature	30	(170)
Other assets (C)	(10)	(170)
Risks and expenses (D)	55	45
Charges net of reversals to impairment losses and provisions (E)=(A)+(B)+(C)+(D)	(3,595)	(1,777)
Realised gains (losses) on disposal of impaired debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	-	-
Realised gains (losses) on impaired debt instruments at amortised cost	-	-
Losses on non-impaired loans and bad debt	(232)	(270)
Recoveries on loans and receivables written off	229	396
Recognised at amortised cost	229	396
Recognised in other comprehensive income that may be reclassified to profit or loss	-	-
Discounts on restructured loans	(35)	(37)
Losses on commitments by signature	(1)	(1)
Other losses	(123)	(82)
Other gains	106	14
COST OF RISK	(3,651)	(1,757)

4.10 NET GAINS (LOSSES) ON OTHER ASSETS

(in millions of euros)	31/12/2020	31/12/2019
Property, plant and equipment and intangible assets used in operations	49	42
Gains on disposals	100	72
Losses on disposals	(51)	(30)
Consolidated equity investments	(4)	13
Gains on disposals	11	16
Losses on disposals	(15)	(3)
Net income (expense) on combinations	7	(19)
NET GAINS (LOSSES) ON OTHER ASSETS	52	36

4.11 INCOME TAX CHARGE

Income tax charge

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
Current tax charge	(2,802)	(1,881)
Deferred tax charge	535	93
Reclassification of current tax charge (income) related to overlay approach	102	51
TOTAL TAX CHARGE	(2,165)	(1,737)

Reconciliation of theoretical tax rate and effective tax rate

At 31 December 2020

<i>(in millions of euros)</i>	Base	Tax rate	Tax
Pre-tax income, goodwill impairment, discontinued operations and share of net income of equity-accounted entities	8,169	32.02%	(2,616)
Impact of permanent differences		(3.04)%	248
Impact of different tax rates on foreign subsidiaries		(1.80)%	147
Impact of losses for the year, utilisation of tax loss carryforwards and temporary differences		0.65%	(53)
Impact of reduced tax rate		(0.43)%	35
Impact of other items		(0.91)%	74
EFFECTIVE TAX RATE AND TAX CHARGE		26.51%	(2,165)

The theoretical tax rate is the standard tax rate (including the additional social contribution) on taxable profits in France at 31 December 2020.

At 31 December 2019

<i>(in millions of euros)</i>	Base	Tax rate	Tax
Pre-tax income, goodwill impairment, discontinued operations and share of net income of equity-accounted entities	9,764	34.43%	(3,362)
Impact of permanent differences		(12.37)%	1,207
Impact of different tax rates on foreign subsidiaries		(2.11)%	206
Impact of losses for the year, utilisation of tax loss carryforwards and temporary differences		0.46%	(45)
Impact of reduced tax rate		(1.05)%	102
Impact of other items		(1.58)%	155
EFFECTIVE TAX RATE AND TAX CHARGE⁽¹⁾		17.79%	(1,737)

(1) Excluding Emporiki tax income, the effective tax rate was 28.70% at 31 December 2019.

The theoretical tax rate is the standard tax rate (including the additional social contribution) on taxable profits in France at 31 December 2019.

4.12 CHANGES IN OTHER COMPREHENSIVE INCOME

The breakdown of income and expenses recognised for the period is presented below:

Breakdown of total other comprehensive income

(in millions of euros)	31/12/2020	31/12/2019
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS NET OF INCOME TAX		
Gains and losses on translation adjustments	(806)	313
Revaluation adjustment of the period	(806)	313
Reclassified to profit or loss	-	-
Other changes	-	-
Gains and losses on debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	602	1,185
Revaluation adjustment of the period	842	1,296
Reclassified to profit or loss	(181)	(157)
Other changes	(59)	46
Gains and losses on hedging derivative instruments	345	360
Revaluation adjustment of the period	348	363
Reclassified to profit or loss	-	-
Other changes	(3)	(3)
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	(198)	435
Revaluation adjustment of the period	(198)	445
Reclassified to profit or loss	-	-
Other changes	-	(10)
Pre-tax other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities	(135)	7
Income tax related to items that may be reclassified to profit or loss excluding equity-accounted entities	(276)	(493)
Income tax related to items that may be reclassified to profit or loss on equity-accounted entities	1	1
Other comprehensive income on items that may be reclassified to profit or loss from discontinued operations	5	(11)
Other comprehensive income on items that may be reclassified subsequently to profit or loss net of income tax	(462)	1,797
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS NET OF INCOME TAX		
Actuarial gains and losses on post-employment benefits	(133)	(212)
Other comprehensive income on financial liabilities attributable to changes in own credit risk	(149)	(77)
Revaluation adjustment of the period	(155)	(88)
Reclassified to reserves	6	11
Other changes	-	-
Other comprehensive income on equity instruments that will not be reclassified to profit or loss	(242)	309
Revaluation adjustment of the period	(189)	323
Reclassified to reserves	36	20
Other changes	(89)	(34)
Pre-tax other comprehensive income on items that will not be reclassified to profit or loss on equity-accounted entities	6	(24)
Income tax related to items that will not be reclassified to profit or loss excluding equity-accounted entities	103	45
Income tax related to items that will not be reclassified to profit or loss on equity-accounted entities	(2)	6
Other comprehensive income on items that will not be reclassified to profit or loss from discontinued operations	1	3
Other comprehensive income on items that will not be reclassified subsequently to profit or loss net of income tax	(416)	50
OTHER COMPREHENSIVE INCOME NET OF INCOME TAX	(878)	1,847
Of which Group share	(789)	1,808
Of which non-controlling interests	(89)	39

Breakdown of tax impacts related to other comprehensive income

	31/12/2019								Changes	31/12/2020			
	Income tax		Net of income tax of which		Income tax		Net of income tax of which			Income tax		Net of income tax of which	
(in millions of euros)	Gross	charges	income tax	Group Share	Gross	charges	income tax	Group Share		Gross	charges	income tax	Group Share
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS													
Gains and losses on translation adjustments	111	(4)	107	184	(805)	(2)	(807)	(772)		(694)	(6)	(700)	(588)
Gains and losses on debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	3,650	(969)	2,681	2,672	603	(127)	476	471		4,253	(1,096)	3,157	3,143
Gains and losses on hedging derivative instruments	806	(242)	564	564	345	(49)	296	296		1,151	(291)	860	860
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	588	86	674	671	(198)	(99)	(297)	(295)		390	(13)	377	376
Other comprehensive income on items that may be reclassified to profit or loss excluding equity-accounted entities	5,155	(1,129)	4,026	4,091	(55)	(277)	(332)	(300)		5,100	(1,406)	3,694	3,791
Other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities	(20)	2	(18)	(13)	(134)	-	(134)	(100)		(154)	2	(152)	(113)
Other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities on discontinued operations	2	(1)	1	1	3	1	4	4		5	-	5	5
Other comprehensive income on items that may be reclassified subsequently to profit or loss	5,137	(1,128)	4,009	4,079	(186)	(276)	(462)	(396)		4,951	(1,404)	3,547	3,683
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS													
Actuarial gains and losses on post-employment benefits	(1,200)	280	(920)	(891)	(133)	30	(103)	(101)		(1,333)	310	(1,023)	(992)
Other comprehensive income on financial liabilities attributable to changes in own credit risk	(214)	58	(156)	(157)	(149)	40	(109)	(108)		(363)	98	(265)	(265)
Other comprehensive income on equity instruments that will not be reclassified to profit or loss	276	(126)	150	138	(242)	34	(208)	(187)		34	(92)	(58)	(49)
Other comprehensive income on items that will not be reclassified to profit or loss excluding equity-accounted entities	(1,138)	212	(926)	(910)	(524)	104	(420)	(396)		(1,662)	316	(1,346)	(1,306)
Other comprehensive income on items that will not be reclassified to profit or loss on equity-accounted entities	(47)	(9)	(56)	(55)	6	(2)	4	4		(41)	(11)	(52)	(52)
Other comprehensive income on items that will not be reclassified to profit or loss from discontinued operations	1	-	1	1	-	-	-	-		1	-	1	1
Other comprehensive income on items that will not be reclassified subsequently to profit or loss	(1,184)	203	(981)	(964)	(517)	101	(416)	(393)		(1,701)	304	(1,397)	(1,357)
OTHER COMPREHENSIVE INCOME	3,953	(925)	3,028	3,115	(704)	(174)	(878)	(789)		3,249	(1,099)	2,150	2,326

	12/31/2018						Changes				12/31/2019		
	Income tax		Net of income tax	of which Group Share	Income tax		Net of income tax	of which Group Share	Income tax		Net of income tax	of which Group Share	
	Gross	charges			Gross	charges			Gross	charges			
(in millions of euros)													
OTHER COMPREHENSIVE INCOME ON ITEMS THAT MAY BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS													
Gains and losses on translation adjustments	(202)	(4)	(206)	(105)	313	-	313	289	111	(4)	107	184	
Gains and losses on debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	2,465	(657)	1,808	1,825	1,185	(312)	873	847	3,650	(969)	2,681	2,672	
Gains and losses on hedging derivative instruments	446	(126)	320	319	360	(116)	244	245	806	(242)	564	564	
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	153	151	304	302	435	(65)	370	369	588	86	674	671	
Other comprehensive income on items that may be reclassified to profit or loss excluding equity-accounted entities	2,862	(636)	2,226	2,341	2,293	(493)	1,800	1,750	5,155	(1,129)	4,026	4,091	
Other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities	(27)	1	(26)	(21)	7	1	8	8	(20)	2	(18)	(13)	
Other comprehensive income on items that may be reclassified to profit or loss on equity-accounted entities on discontinued operations	13	(1)	12	12	(11)	-	(11)	(11)	2	(1)	1	1	
Other comprehensive income on items that may be reclassified subsequently to profit or loss	2,848	(636)	2,212	2,332	2,289	(492)	1,797	1,747	5,137	(1,128)	4,009	4,079	
OTHER COMPREHENSIVE INCOME ON ITEMS THAT WILL NOT BE RECLASSIFIED SUBSEQUENTLY TO PROFIT OR LOSS													
Actuarial gains and losses on post-employment benefits	(988)	241	(747)	(729)	(212)	39	(173)	(162)	(1,200)	280	(920)	(891)	
Other comprehensive income on financial liabilities attributable to changes in own credit risk	(137)	36	(101)	(101)	(77)	22	(55)	(56)	(214)	58	(156)	(157)	
Other comprehensive income on equity instruments that will not be reclassified to profit or loss	(33)	(110)	(143)	(155)	309	(16)	293	293	276	(126)	150	138	
Other comprehensive income on items that will not be reclassified to profit or loss excluding equity-accounted entities	(1,158)	167	(991)	(985)	20	45	65	75	(1,138)	212	(926)	(910)	
Other comprehensive income on items that will not be reclassified to profit or loss on equity-accounted entities	(23)	(15)	(38)	(38)	(24)	6	(18)	(17)	(47)	(9)	(56)	(55)	
Other comprehensive income on items that will not be reclassified to profit or loss from discontinued operations	(2)	-	(2)	(2)	3	-	3	3	1	-	1	1	
Other comprehensive income on items that will not be reclassified subsequently to profit or loss	(1,183)	152	(1,031)	(1,025)	(1)	51	50	61	(1,184)	203	(981)	(964)	
OTHER COMPREHENSIVE INCOME	1,665	(484)	1,181	1,307	2,288	(441)	1,847	1,808	3,953	(925)	3,028	3,115	

NOTE 5 Segment reporting

Definition of operating segments

According to IFRS 8, information disclosed is based on the internal reporting that is used by the Executive Committee to manage the Crédit Agricole Group, to assess performance, and to make decisions about resources to be allocated to the identified operating segments.

Operating segments according to the internal reporting consist of the business lines of the Group.

At 31 December 2020, Crédit Agricole Group's business activities were organised into seven operating segments:

- the following six business lines:
 - French Retail Banking – Regional Banks,
 - French Retail Banking – LCL,
 - International Retail Banking,
 - Asset Gathering,
 - Specialised Financial Services,
 - Large Customers;
- as well as the “Corporate Centre”.

Presentation of business lines

1. French Retail Banking – Regional Banks

This business line includes the Regional Banks and their subsidiaries.

The Regional Banks represent the retail banks for individuals, farmers, SMEs, corporates, and local groups, with strong local roots.

Crédit Agricole's Regional Banks market the full range of banking and financial products and services: savings vehicles (money market, bonds, securities and funds), financing products (notably mortgages and consumer credit), insurance products (life and personal risk insurance and property and casualty insurance), as well as payment instruments, personal services, non-banking services and wealth management.

2. French Retail Banking – LCL

LCL is a French retail banking network with a strong presence in urban areas. It is organised into four business lines: retail banking for individual customers, retail banking for small businesses, private banking and corporate banking.

LCL offers a full range of banking products and services, together with asset management, insurance and wealth management products.

3. International Retail Banking

This business line encompasses foreign subsidiaries and investments that are mainly involved in retail banking.

These subsidiaries and equity investments are primarily located in Europe: with Gruppo Bancario, CA Italia, Crédit Agricole Polska in Poland and others in Ukraine and Serbia.

Other subsidiaries operate around the Mediterranean, *e.g.* Crédit du Maroc and Crédit Agricole Egypt.

Finally, this division also includes banks that are not significant in size.

On 4 January 2021, Crédit Agricole S.A. announced that it had signed a sale contract for Crédit Agricole Bank Romania. The completion of this transaction is subject to the approval of the competent Romanian regulatory authorities and is expected to take place in the first half of 2021.

Foreign consumer credit, leasing and factoring subsidiaries (subsidiaries of Crédit Agricole Consumer Finance, Crédit Agricole Leasing & Factoring and EFL in Poland, etc.) are not included in this segment, but in “Specialised Financial Services”, except Calit in Italy, which is included in International Retail Banking.

4. Asset Gathering

This business line brings together:

- insurance activities (savings solutions and property and casualty insurance):
 - life insurance and personal insurance, conducted mainly by Predica in France and CA Vita in Italy,
 - property and casualty insurance, conducted primarily by Pacifica,
 - creditor insurance, conducted by Crédit Agricole Creditor Insurance and group insurance conducted mainly by Predica in France;
- asset management activities of the Amundi Group, offering savings solutions for retail customers and investment solutions for institutions. Following its acquisition by Amundi, Sabadell Asset Management, Banco Sabadell's asset management subsidiary, was integrated into this division in the third quarter of 2020. In addition, Amundi, and BOC Wealth Management, the subsidiary of Bank of China, announced on 30 September 2020 that they had obtained their licence from the China Banking and Insurance Regulatory Commission for their joint venture in China, Amundi BOC Wealth Management Company Limited;
- as well as wealth management activities conducted mainly by Crédit Agricole Indosuez Wealth Management subsidiaries (CA Indosuez Switzerland S.A., CA Indosuez Wealth Europe, CFM Indosuez Wealth, CA Indosuez Wealth France).

5. Specialised Financial Services

Specialised Financial Services comprises the Group subsidiaries that provide financial products and services to individual customers, small businesses, corporates and local authorities in France and abroad. These include:

- consumer finance companies around Crédit Agricole Consumer Finance in France and through its subsidiaries or partnerships outside France (Agos, FCA Bank, Creditplus Bank, Ribank, Credibom, Interbank Group and CACF Bankia S.A.). Following its acquisition by Crédit Agricole Consumer Finance, Menafinance was integrated into that division in the second quarter of 2020;
- specialised financial services for companies such as factoring and lease finance (Crédit Agricole Leasing & Factoring Group, EFL).

6. Large Customers

The Large Customers division includes the Corporate and Investment bank, which itself consists of two main lines of business most of which are carried out by Crédit Agricole CIB, and Asset servicing for institutions realised by CACEIS:

- financing activities, which include corporate banking and structured finance in France and internationally. Structured Finance consists of originating, structuring and financing real assets and projects, often collateralised by physical assets (planes, boats, office buildings, commodities, etc.) and complex and structured credit instruments;

- capital markets and investment banking activities bring together capital market activities (treasury, foreign exchange, interest rate derivatives, bond markets), and investment banking activities (mergers and acquisitions consulting and primary equity advisory);
- asset servicing: CACEIS Bank for custody and CACEIS Fund Administration for fund administration. Following its acquisition by CACEIS during the third quarter of 2019, KAS Bank was integrated into this division in September 2019. And as part of the merger of the activities of CACEIS and Santander Securities Services ("S3") finalized in December 2019, S3's activities in Spain and 49.99% of its activities in Latin America were integrated into this division in December 2019.

7. Corporate Centre

This segment encompasses:

- Crédit Agricole's corporate centre function, asset and liability management and management of debt connected with acquisitions of subsidiaries or equity investments and the net impact of tax consolidation for Crédit Agricole;
- the results of private equity activities and various other Crédit Agricole Group companies (notably CA Immobilier, Uni-médias, Foncaris, etc.);
- the results from management companies including computing and payment companies (CA-GIP and CAPS) and real-estate companies.

The division also includes the technical and volatile impacts related to intragroup transactions.

5.1 OPERATING SEGMENT INFORMATION

Transactions between operating segments are effected at arm's length.

Segment assets are determined based on balance sheet elements for each operating segment.

	31/12/2020							
	French Retail Banking		International Retail Banking	Asset Gathering	Specialised Financial Services	Large Customers	Corporate Centre	TOTAL
(in millions of euros)	Regional banks	LCL						
Revenues	13,057	3,521	2,723	5,750	2,526	6,297	(278)	33,596
Operating expenses	(8,836)	(2,319)	(1,809)	(2,871)	(1,288)	(3,783)	(922)	(21,828)
Gross operating income	4,221	1,202	914	2,879	1,238	2,514	(1,200)	11,768
Cost of risk	(1,042)	(390)	(566)	(56)	(732)	(829)	(36)	(3,651)
Operating income	3,179	812	348	2,823	506	1,685	(1,236)	8,117
Share of net income of equity-accounted entities	2	-	-	66	344	7	-	419
Net gains (losses) on other assets	(13)	2	72	3	(3)	1	(10)	52
Change in value of goodwill ⁽¹⁾	(3)	-	-	-	-	-	(965)	(968)
Pre-tax income	3,165	814	420	2,892	847	1,693	(2,211)	7,620
Income tax	(1,066)	(252)	(104)	(775)	(69)	(277)	378	(2,165)
Net income from discontinued operations	-	-	(48)	(24)	(135)	-	(55)	(262)
Net income	2,099	562	268	2,093	643	1,416	(1,888)	5,193
Non-controlling interests	3	-	75	362	84	57	(77)	504
NET INCOME GROUP SHARE	2,096	562	193	1,731	559	1,359	(1,811)	4,689

(1) Goodwill Crédit Agricole Italia impairment for -€965 million.

	31/12/2020							
	French Retail Banking		International Retail Banking	Asset Gathering	Specialised Financial Services	Large Customers	Corporate Centre	TOTAL
(in millions of euros)	Regional banks	LCL						
Segment assets	-	-	-	-	-	-	-	-
Of which investments in equity-accounted entities	97	-	-	4,422	2,642	262	-	7,423
Of which goodwill	25	4,354	832	7,326	1,120	1,405	72	15,134
TOTAL ASSETS	781,801	181,650	97,078	518,507	85,291	898,364	(345,179)	2,217,512

31/12/2019

(in millions of euros)	French Retail Banking		International Retail Banking	Asset Gathering	Specialised Financial Services	Large Customers	Corporate Centre	TOTAL
	Regional banks	LCL						
Revenues	13,117	3,457	2,898	6,061	2,716	5,601	(553)	33,297
Operating expenses	(8,922)	(2,371)	(1,835)	(2,904)	(1,362)	(3,499)	(919)	(21,812)
Gross operating income	4,195	1,086	1,063	3,157	1,354	2,102	(1,472)	11,485
Cost of risk	(498)	(218)	(338)	(19)	(497)	(159)	(28)	(1,757)
Operating income	3,697	868	725	3,138	857	1,943	(1,500)	9,728
Share of net income of equity-accounted entities	11	-	-	46	295	4	-	356
Net gains (losses) on other assets	(5)	2	2	32	-	6	(1)	36
Change in value of goodwill ⁽¹⁾	-	-	-	-	-	22	(664)	(642)
Pre-tax income	3,703	870	727	3,216	1,152	1,975	(2,165)	9,478
Income tax	(1,307)	(274)	(201)	(879)	(233)	(406)	1,564	(1,736)
Net income from discontinued operations	-	-	(46)	8	-	-	-	(38)
Net income	2,396	596	480	2,345	919	1,569	(601)	7,704
Non-controlling interests	-	-	105	310	104	-	(13)	506
NET INCOME GROUP SHARE	2,396	596	375	2,035	815	1,569	(588)	7,198

(1) Goodwill LCL impairment for -€664 million.

31/12/2019

(in millions of euros)	French Retail Banking		International Retail Banking	Asset Gathering	Specialised Financial Services	Large Customers	Corporate Centre	TOTAL
	Regional banks	LCL						
Segment assets	-	-	-	-	-	-	-	-
Of which investments in equity-accounted entities	131	-	-	4,278	2,344	350	-	7,103
Of which goodwill	27	4,354	1,800	7,041	1,129	1,396	72	15,819
TOTAL ASSETS	717,137	163,690	86,863	503,939	77,558	824,515	(362,736)	2,010,966

5.2 SEGMENT INFORMATION: GEOGRAPHICAL ANALYSIS

The geographical analysis of segment assets and results is based on the place where operations are booked for accounting purposes.

(in millions of euros)	31/12/2020				31/12/2019			
	Net income Group Share	Of which Revenues	Segment assets	Of which goodwill	Net income Group Share	Of which Revenues	Segment assets	Of which goodwill
France (including overseas departments and territories)	3,477	23,930	1,841,878	9,942	4,706	23,740	1,649,252	9,885
Italy	(154)	3,102	109,350	1,241	731	3,158	97,112	2,184
Other European Union countries	569	3,244	94,242	2,712	811	3,065	90,347	2,464
Other European countries	90	753	22,522	727	162	775	22,877	726
North America	277	1,110	65,364	430	215	1,146	61,570	472
Central and South America	76	104	1,391	-	16	50	641	-
Africa and Middle East	86	471	10,126	35	160	491	9,348	38
Asia-Pacific (ex. Japan)	219	590	27,838	25	290	561	26,693	27
Japan	49	292	44,801	22	107	311	53,125	23
TOTAL	4,689	33,596	2,217,512	15,134	7,198	33,297	2,010,966	15,819

5.3 INSURANCE SPECIFICITIES

(See chapter on "Risk management – Insurance sector risks" on managing this sector risk.)

Gross income from insurance activities

	31/12/2020			31/12/2019		
(in millions of euros)	Income statement prior to reclassification of overlay approach	Reclassification related to overlay approach	Income statement post reclassification of overlay approach	Income statement prior to reclassification of overlay approach	Reclassification related to overlay approach	Income statement post reclassification of overlay approach
Written premium	30,063	-	30,063	37,562	-	37,562
Change in unearned premiums	(223)	-	(223)	(225)	-	(225)
Earned premiums	29,840	-	29,840	37,337	-	37,337
Other operating income	236	-	236	(118)	-	(118)
Investment income	7,194	(6)	7,188	7,780	(4)	7,776
Investment expenses	(588)	2	(586)	(457)	1	(456)
Gains (losses) on disposals of investments net of impairment and amortisation reversals	426	484	910	72	103	175
Change in fair value of investments at fair value through profit or loss	(1,776)	2,422	646	12,405	(4,041)	8,364
Change in impairment on investments	26	(483)	(457)	(39)	(112)	(151)
Investment income net of expenses	5,282	2,419	7,701	19,761	(4,053)	15,708
Claims expenses⁽¹⁾	(28,370)	(2,227)	(30,597)	(49,494)	3,608	(45,886)
Revenue from reinsurance operations	670	-	670	699	-	699
Expenses from reinsurance operations	(862)	-	(862)	(752)	-	(752)
Net reinsurance income (expense)	(192)	-	(192)	(53)	-	(53)
Contract acquisition costs	(2,350)	-	(2,350)	(2,185)	-	(2,185)
Amortisation of investment securities and similar	-	-	-	-	-	-
Administration costs	(2,257)	-	(2,257)	(2,197)	-	(2,197)
Other current operating income (expense)	(491)	-	(491)	(416)	-	(416)
Other operating income (expense)	(7)	-	(7)	6	-	6
Operating income	1,691	192	1,883	2,641	(445)	2,196
Financing expenses	(225)	-	(225)	(239)	-	(239)
Share of net income of associates	-	-	-	-	-	-
Income tax charge	(572)	102	(470)	(618)	51	(567)
Net income from discontinued or held-for-sale operations	-	-	-	8	-	8
Consolidated net income	894	294	1,188	1,792	(394)	1,399
Non-controlling interests	80	-	80	3	-	3
NET INCOME GROUP SHARE	814	294	1,108	1,789	(394)	1,396

(1) Including -€23 billion of cost of claims at 31 December 2020 (-€23 billion at 31 December 2019), -€1 billion of changes in policyholder profit-sharing at 31 December 2020 (-€1 billion at 31 December 2019), and -€6 billion of changes in technical reserves at 31 December 2020 (-€21 billion at 31 December 2019).

Breakdown of insurance company investments

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
Financial assets at fair value through profit or loss	175,851	173,454
Held for trading financial assets	936	776
Treasury bills and similar securities	-	-
Bonds and other fixed income securities	-	-
Equities and other variable income securities	-	-
Derivative instruments	936	776
Other financial assets at fair value through profit or loss	174,915	172,678
Equity instruments	31,097	33,087
Equities and other variable income securities	11,082	9,682
Non-consolidated equity investments	5,555	4,502
Designated financial assets applying the overlay approach	14,460	18,903
Debt instruments that do not meet the conditions of the "SPPI" test	69,389	70,456
Loans and receivables	831	718
Debt securities	68,558	69,738
Treasury bills and similar securities	175	171
Bonds and other fixed income securities	5,015	4,810
UCITS	43,669	44,243
Designated financial assets applying the overlay approach	19,699	20,514
Assets backing unit-linked contracts	74,429	69,135
Treasury bills and similar securities	498	457
Bonds and other fixed income securities	14,912	13,819
Equities and other variable income securities	8,377	6,822
UCITS	50,642	48,037
Financial assets designated at fair value through profit or loss	-	-
Loans and receivables	-	-
Debt securities	-	-
Treasury bills and similar securities	-	-
Bonds and other fixed income securities	-	-
Hedging derivative Instruments	710	929
Financial assets at fair value through other comprehensive income	232,590	230,238
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	232,355	230,044
Debt securities	232,355	230,044
Treasury bills and similar securities	75,101	69,197
Bonds and other fixed income securities	157,254	160,847
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	235	194
Equities and other variable income securities	2	2
Non-consolidated equity investments	233	192
Financial assets at amortised cost	5,566	4,773
Loans and receivables	4,265	3,816
Debt securities	1,301	957
Treasury bills and similar securities	117	76
Bonds and other fixed income securities	1,185	881
Impairment	(1)	-
Investment property	6,373	6,428
Investments in associates and joint venture	4,127	4,002
TOTAL INSURANCE COMPANY INVESTMENTS	425,217	419,824

As of 31 December 2020, investments in equity-accounted insurance entities amount to €4,127 million compared to €4,002 million at 31 December 2019.

	31/12/2020			31/12/2019		
	Carrying amount	Unrealised gains	Unrealised losses	Carrying amount	Unrealised gains	Unrealised losses
<i>(in millions of euros)</i>						
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	232,355	23,683	(24)	230,044	20,632	(128)
Debt securities	232,355	23,683	(24)	230,044	20,632	(128)
<i>Treasury bills and similar securities</i>	<i>75,101</i>	<i>10,216</i>	<i>-</i>	<i>69,197</i>	<i>7,604</i>	<i>(69)</i>
<i>Bonds and other fixed income securities</i>	<i>157,254</i>	<i>13,467</i>	<i>(24)</i>	<i>160,847</i>	<i>13,028</i>	<i>(59)</i>
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	235	27	(10)	194	5	(23)
Equities and other variable income securities	2	-	-	2	-	-
Non-consolidated equity investments	233	27	(10)	192	5	(23)
Total of financial assets at fair value through other comprehensive income	232,590	23,710	(34)	230,238	20,637	(151)
Income tax charge		(6,191)	9		(5,398)	39
OTHER COMPREHENSIVE INCOME ON FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME (NET OF INCOME TAX)		17,519	(25)		15,239	(112)

Reclassification between net income and other comprehensive income on financial assets designated under the overlay approach

	31/12/2020			31/12/2019		
	Amount reported for the designated financial assets applying IFRS 9	Amount that would have been reported for the designated financial assets applying IAS 39	Amount reclassified in other comprehensive income applying the overlay approach	Amount reported for the designated financial assets applying IFRS 9	Amount that would have been reported for the designated financial assets applying IAS 39	Amount reclassified in other comprehensive income applying the overlay approach
<i>(in millions of euros)</i>						
Investment income	756	750	(6)	1,029	1,025	(4)
Investment expenses	(10)	(8)	2	(7)	(6)	1
Gains (losses) on disposals of investments net of impairment and amortisation reversals	(1)	483	484	71	174	103
Change in fair value of investments at fair value through profit or loss	(2,422)	-	2,422	4,041	-	(4,041)
Change in impairment on investments	-	(483)	(483)	-	(112)	(112)
Investment income net of expenses	(1,677)	742	2,419	5,134	1,081	(4,053)
Claims expenses			(2,227)			3,608
Operating income			192			(445)
Income tax charge			102			51
NET INCOME GROUP SHARE			294			(394)

NOTE 6 Notes to the balance sheet**6.1 CASH, CENTRAL BANKS**

	31/12/2020		31/12/2019	
(in millions of euros)	Assets	Liabilities	Assets	Liabilities
Cash	4,023	-	4,039	-
Central banks	193,769	864	93,096	2,183
CARRYING AMOUNT	197,792	864	97,135	2,183

6.2 FINANCIAL ASSETS AND LIABILITIES AT FAIR VALUE THROUGH PROFIT OR LOSS**Financial assets at fair value through profit or loss**

(in millions of euros)	31/12/2020	31/12/2019
Held for trading financial assets	258,187	227,698
Other financial assets at fair value through profit or loss	180,347	176,638
Equity instruments	35,077	37,131
Debt instruments that do not meet the conditions of the "SPPI" test	81,293	79,894
Assets backing unit-linked contracts	63,900	59,520
Financial assets designated at fair value through profit or loss	77	93
CARRYING AMOUNT	438,534	404,336
Of which lent securities	666	615

Held for trading financial assets

(in millions of euros)	31/12/2020	31/12/2019
Equity instruments	6,221	6,901
Equities and other variable income securities	6,221	6,901
Debt securities	18,517	18,379
Treasury bills and similar securities	13,081	13,665
Bonds and other fixed income securities	5,384	4,606
UCITS	52	108
Loans and receivables	118,915	102,822
Loans and receivables due from credit institutions	-	61
Loans and receivables due from customers	872	894
Securities bought under repurchase agreements	118,043	101,867
Pledged securities	-	-
Derivative instruments	114,534	99,596
CARRYING AMOUNT	258,187	227,698

Securities acquired under repurchase agreements include those that the entity is authorised to use as collateral.

Equity instruments at fair value through profit or loss

(in millions of euros)	31/12/2020	31/12/2019
Equities and other variable income securities	22,407	25,170
Non-consolidated equity investments	12,670	11,961
TOTAL EQUITY INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS	35,077	37,131

Debt instruments that do not meet the conditions of the "SPPI" test

(in millions of euros)	31/12/2020	31/12/2019
Debt securities	77,806	75,627
Treasury bills and similar securities	178	252
Bonds and other fixed income securities	13,466	12,773
UCITS	64,162	62,602
Loans and receivables	3,488	4,267
Loans and receivables due from credit institutions	-	-
Loans and receivables due from customers	3,487	4,267
Securities bought under repurchase agreements	-	-
Pledged securities	-	-
TOTAL DEBT INSTRUMENTS THAT DO NOT MEET THE CONDITIONS OF THE "SPPI" TEST	81,293	79,894

Financial assets designated at fair value through profit or loss

(in millions of euros)	31/12/2020	31/12/2019
Loans and receivables	-	-
Loans and receivables due from credit institutions	-	-
Loans and receivables due from customers	-	-
Debt securities	77	93
Treasury bills and similar securities	-	19
Bonds and other fixed income securities	77	74
TOTAL FINANCIAL ASSETS DESIGNATED AT FAIR VALUE THROUGH PROFIT OR LOSS	77	93

Financial liabilities at fair value through profit or loss

(in millions of euros)	31/12/2020	31/12/2019
Held for trading financial liabilities	227,318	205,061
Financial liabilities designated at fair value through profit or loss	35,842	40,048
CARRYING AMOUNT	263,160	245,109

This table includes liabilities to holders of mutual funds consolidated in Insurance.

Financial liabilities held for trading

(in millions of euros)	31/12/2020	31/12/2019
Securities sold short	37,179	33,472
Securities sold under repurchase agreements	82,412	74,423
Debt securities	-	54
Due to customers	-	-
Due to credit institutions	-	-
Derivative instruments	107,727	97,112
CARRYING AMOUNT	227,318	205,061

Financial liabilities designated at fair value through profit or loss

Financial liabilities for which changes in issuer spread are recognised in other comprehensive income and will not be reclassified

	31/12/2020				
(in millions of euros)	Carrying amount	Difference between carrying amount and amount contractually required to pay at maturity	Accumulated amount of change in fair value attributable to changes in own credit risk	Amount of change in fair value during the period attributable to changes in own credit risk	Amount realised at derecognition ⁽¹⁾
Deposits and subordinated liabilities	3,548	-	-	-	-
Deposits	3,548	-	-	-	-
Subordinated liabilities	-	-	-	-	-
Debt securities	21,652	875	363	155	(6)
Other financial liabilities	-	-	-	-	-
TOTAL	25,200	875	363	155	(6)

(1) The amount realised upon derecognition is transferred to consolidated reserves.

	31/12/2019				
(in millions of euros)	Carrying amount	Difference between carrying amount and amount contractually required to pay at maturity	Accumulated amount of change in fair value attributable to changes in own credit risk	Amount of change in fair value during the period attributable to changes in own credit risk	Amount realised at derecognition ⁽¹⁾
Deposits and subordinated liabilities	3,993	-	-	-	-
Deposits	3,993	-	-	-	-
Subordinated liabilities	-	-	-	-	-
Debt securities	26,030	22	214	88	(11)
Other financial liabilities	-	-	-	-	-
TOTAL	30,023	22	214	88	(11)

(1) The amount realised upon derecognition is transferred to consolidated reserves.

Pursuant to IFRS 9, the Crédit Agricole Group calculates changes in fair value attributable to changes in own credit risk using a methodology that allows for them to be separated from changes in value attributable to changes in market conditions.

Basis for calculating own credit risk

The source taken into account for the calculation of own credit risk may vary from one issuer to another. Within the Crédit Agricole Group, the source used is the change in its cost of market refinancing based on the type of issuance.

Calculation of unrealised gains/losses on own credit adjustment (recognised in other comprehensive income)

The Crédit Agricole Group's preferred approach is based on the liquidity component of issues. All issues are replicated by a group of vanilla loans/borrowings. Changes in fair value attributable to changes in own credit risk of all issues therefore correspond to those of said loans. These are equal to the changes in fair value of the loan book caused by changes in the cost of refinancing.

Calculation of realised gains/losses on own credit risk (recognised in consolidated reserves)

The Crédit Agricole Group has elected to transfer fair value changes attributable to changes in own credit risk upon unwinding to consolidated reserves. Accordingly, when there is a total or partial early redemption,

a sensitivity-based calculation is done. This consists of measuring the change in fair value attributable to the changes in own credit risk of a given issuance as being the sum of the credit spread sensitivities multiplied by the change in this spread between the issuance date and the redemption date.

Financial liabilities for which changes in issuer spread are recognised in net income

	31/12/2020			
(in millions of euros)	Carrying amount	Difference between carrying amount and due on maturity	Accumulated amount of change in fair value attributable to changes in own credit risk	Amount of change in fair value during the period attributable to changes in own credit risk
Deposits and subordinated liabilities	10,642	-	-	-
Deposits	10,642	-	-	-
Subordinated liabilities	-	-	-	-
Debt securities	-	-	-	-
Other financial liabilities	-	-	-	-
TOTAL	10,642	-	-	-

	31/12/2019			
(in millions of euros)	Carrying amount	Difference between carrying amount and due on maturity	Accumulated amount of change in fair value attributable to changes in own credit risk	Amount of change in fair value during the period attributable to changes in own credit risk
Deposits and subordinated liabilities	10,025	152	-	-
Deposits	10,025	152	-	-
Subordinated liabilities	-	-	-	-
Debt securities	-	-	-	-
Other financial liabilities	-	-	-	-
TOTAL	10,025	152	-	-

6.3 HEDGING DERIVATIVES

Detailed information is provided in Note 3.4 on "Hedge accounting".

6.4 FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

	31/12/2020		
(in millions of euros)	Carrying amount	Unrealised gains	Unrealised losses
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	274,260	23,955	(470)
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	3,649	1,106	(1,073)
TOTAL	277,909	25,061	(1,543)

	31/12/2019		
(in millions of euros)	Carrying amount	Unrealised gains	Unrealised losses
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	268,299	20,560	(418)
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	4,013	1,369	(1,105)
TOTAL	272,312	21,929	(1,523)

Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss

	31/12/2020		
(in millions of euros)	Carrying amount	Unrealised gains	Unrealised losses
Treasury bills and similar securities	89,552	10,488	(94)
Bonds and other fixed income securities	184,708	13,468	(376)
Total Debt securities	274,260	23,956	(470)
Loans and receivables due from credit institutions	-	-	-
Loans and receivables due from customers	-	-	-
Total Loans and receivables	-	-	-
Total Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	274,260	23,955	(470)
Income tax		(6,224)	80
OTHER COMPREHENSIVE INCOME ON DEBT INSTRUMENTS THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)		17,731	(390)

	31/12/2019		
(in millions of euros)	Carrying amount	Unrealised gains	Unrealised losses
Treasury bills and similar securities	84,250	7,880	(168)
Bonds and other fixed income securities	184,049	12,680	(250)
Total Debt securities	268,299	20,560	(418)
Loans and receivables due from credit institutions	-	-	-
Loans and receivables due from customers	-	-	-
Total Loans and receivables	-	-	-
Total Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	268,299	20,560	(418)
Income tax		(5,391)	90
OTHER COMPREHENSIVE INCOME ON DEBT INSTRUMENTS THAT MAY BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)		15,169	(328)

Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss

Other comprehensive income on equity instruments that cannot be reclassified

	31/12/2020		
(in millions of euros)	Carrying amount	Unrealised gains	Unrealised losses
Equities and other variable income securities	784	17	(95)
Non-consolidated equity investments	2,865	1,089	(978)
Total Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	3,649	1,106	(1,073)
Income tax		(107)	16
OTHER COMPREHENSIVE INCOME ON EQUITY INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)		999	(1,057)

	31/12/2019		
(in millions of euros)	Carrying amount	Unrealised gains	Unrealised losses
Equities and other variable income securities	997	38	(39)
Non-consolidated equity investments	3,016	1,331	(1,066)
Total Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	4,013	1,369	(1,105)
Income tax		(144)	18
OTHER COMPREHENSIVE INCOME ON EQUITY INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)		1,225	(1,087)

Equity instruments derecognised during the period

	31/12/2020		
(in millions of euros)	Fair value at the date of derecognition	Cumulative gains realised ⁽¹⁾	Cumulative losses realised ⁽¹⁾
Equities and other variable income securities	332	-	(11)
Non-consolidated equity investments	61	11	(31)
Total Investments in equity instruments	393	11	(42)
Income tax		(1)	6
OTHER COMPREHENSIVE INCOME ON EQUITY INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)⁽¹⁾		10	(36)

(1) The amount realised upon derecognition is transferred to consolidated reserves.

	31/12/2019		
(in thousands of euros)	Fair value at the date of derecognition	Cumulative gains realised ⁽¹⁾	Cumulative gains realised ⁽¹⁾
Equities and other variable income securities	(1)	-	(5)
Non-consolidated equity investments	1,098	52	(66)
Total Investments in equity instruments	1,097	52	(71)
Income tax		-	-
OTHER COMPREHENSIVE INCOME ON EQUITY INSTRUMENTS THAT WILL NOT BE RECLASSIFIED TO PROFIT OR LOSS (NET OF INCOME TAX)⁽¹⁾		52	(71)

(1) Realised gains and losses are transferred to consolidated reserves.

6.5 FINANCIAL ASSETS AT AMORTISED COST

(in millions of euros)	31/12/2020	31/12/2019
Loans and receivables due from credit institutions	89,954	100,949
Loans and receivables due from customers ⁽¹⁾	965,490	913,497
Debt securities	110,206	95,134
CARRYING AMOUNT	1,165,650	1,109,580

(1) Outstanding loans to customers in France with non-contractual due date postponements amounted to €43.1 billion in 2020 including €4.4 billion still outstanding as at 31 December 2020 at Crédit Agricole Group level.

Loans and receivables due from credit institutions

(in millions of euros)	31/12/2020	31/12/2019
CREDIT INSTITUTIONS		
Loans and receivables	81,974	95,147
<i>of which non doubtful current accounts in debit⁽¹⁾</i>	6,496	6,669
<i>of which non doubtful overnight accounts and advances⁽¹⁾</i>	177	22,497
Pledged securities	1	1
Securities bought under repurchase agreements	7,653	5,538
Subordinated loans	616	621
Other loans and receivables	91	59
Gross amount	90,335	101,365
Impairment	(381)	(416)
NET VALUE OF LOANS AND RECEIVABLES DUE FROM CREDIT INSTITUTIONS	89,954	100,949

(1) These transactions are partly comprised of the item "Net demand loans and deposits with credit institutions" on the "Cash Flow Statement".

Loans and receivables due from customers

(in millions of euros)	31/12/2020	31/12/2019
LOANS AND RECEIVABLES DUE FROM CUSTOMERS		
Trade receivables	23,892	28,299
Other customer loans	922,220	862,914
Pledged securities	205	232
Securities bought under repurchase agreements	3,713	4,071
Subordinated loans	137	121
Insurance receivables	308	309
Reinsurance receivables	845	770
Advances in associates' current accounts	918	1,015
Current accounts in debit	15,020	17,577
Gross amount	967,258	915,308
Impairment	(19,034)	(18,492)
Net value of loans and receivables due from customers	948,224	896,816
FINANCE LEASES		
Property leasing	5,474	5,518
Equipment leases, operating leases and similar transactions	12,342	11,661
Gross amount	17,816	17,179
Impairment	(550)	(499)
Net value of lease financing operations	17,266	16,680
CARRYING AMOUNT	965,490	913,496

Debt securities

(in millions of euros)	31/12/2020	31/12/2019
Treasury bills and similar securities	39,979	33,361
Bonds and other fixed income securities	70,318	61,842
Total	110,297	95,203
Impairment	(91)	(69)
CARRYING AMOUNT	110,206	95,134

6.6 TRANSFERRED ASSETS NOT DERECOGNISED OR DERECOGNISED WITH ON-GOING INVOLVEMENT

Transferred assets not derecognised in full at 31 December 2020

	Transferred assets but still fully recognized				
	Transferred assets				
(in millions of euros)	Carrying amount	Of which securitisation (non-deconsolidating)	Of which securities sold/ bought under repurchase agreements	Of which other ⁽¹⁾	Fair value ⁽²⁾
Held for trading financial assets	14,130	-	14,130	-	14,130
Equity instruments	3,173	-	3,173	-	3,173
Debt securities	10,957	-	10,957	-	10,957
Loans and receivables	-	-	-	-	-
Other financial assets at fair value through profit or loss	-	-	-	-	-
Equity instruments	-	-	-	-	-
Debt securities	-	-	-	-	-
Loans and receivables	-	-	-	-	-
Financial assets at fair value through other comprehensive income	26,059	-	25,905	154	25,999
Equity instruments	-	-	-	-	-
Debt securities	26,059	-	25,905	154	25,999
Loans and receivables	-	-	-	-	-
Financial assets at amortised cost	15,737	14,152	1,580	5	16,396
Debt securities	1,585	-	1,580	5	1,585
Loans and receivables	14,152	14,152	-	-	14,811
Total Financial assets	55,926	14,152	41,615	159	56,525
Finance leases	-	-	-	-	-
TOTAL TRANSFERRED ASSETS	55,926	14,152	41,615	159	56,525

(1) Including securities lending without cash collateral.

(2) In the event that "the counterparty (counterparties) to the associated liabilities has (have) recourse only to the transferred assets" (IFRS 7.42D.(d)).

Transferred assets but still fully recognized						Transferred assets recognised to the extent of on the entity's continuing involvement			
Carrying amount	Of which securitisation (non-deconsolidating)	Of which securities sold/ bought under repurchase agreements	Associated liabilities		Assets and associated liabilities Net fair value ⁽²⁾	Initial total carrying amount of assets prior to transfer	Carrying amount of assets still recognised (continuing involvement)	Carrying amount of associated liabilities	
			Of which other ⁽¹⁾	Fair value ⁽²⁾					
13,908	-	13,908	-	13,908	222	-	-	-	
3,123	-	3,123	-	3,123	50	-	-	-	
10,785	-	10,785	-	10,785	172	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
25,874	-	25,874	-	25,874	124	-	-	-	
-	-	-	-	-	-	-	-	-	
25,874	-	25,874	-	25,874	124	-	-	-	
-	-	-	-	-	-	-	-	-	
13,457	11,927	1,530	-	13,461	2,936	-	-	-	
1,530	-	1,530	-	1,530	54	-	-	-	
11,927	11,927	-	-	11,931	2,882	-	-	-	
53,239	11,927	41,312	-	53,243	3,282	-	-	-	
-	-	-	-	-	-	-	-	-	
53,239	11,927	41,312	-	53,243	3,282	-	-	-	

Transferred assets not derecognised in full at 31 December 2019

Transferred assets but still fully recognized					
Transferred assets					
(in millions of euros)	Carrying amount	Of which securitisation (non-deconsolidating)	Of which securities sold/bought under repurchase agreements	Of which other ⁽¹⁾	Fair value ⁽²⁾
Held for trading financial assets	14,139	-	14,139	-	14,139
Equity instruments	3,911	-	3,911	-	3,911
Debt securities	10,228	-	10,228	-	10,228
Loans and receivables	-	-	-	-	-
Other financial assets at fair value through profit or loss	-	-	-	-	-
Equity instruments	-	-	-	-	-
Debt securities	-	-	-	-	-
Loans and receivables	-	-	-	-	-
Financial assets at fair value through other comprehensive income	24,393	-	24,092	300	24,027
Equity instruments	-	-	-	-	-
Debt securities	24,393	-	24,092	300	24,027
Loans and receivables	-	-	-	-	-
Financial assets at amortised cost	16,312	15,121	1,186	5	16,358
Debt securities	1,191	-	1,186	5	1,197
Loans and receivables	15,121	15,121	-	-	15,161
Total Financial assets	54,844	15,121	39,417	305	54,524
Finance leases	-	-	-	-	-
TOTAL TRANSFERRED ASSETS	54,844	15,121	39,417	305	54,524

(1) Including securities lending without cash collateral.

(2) In the event that "the counterparty (counterparties) to the associated liabilities has (have) recourse only to the transferred assets" (IFRS 7.42D.(d)).

Securitisations

Consolidated securitisations with external investors are a transfer of assets within the meaning of the amendment to IFRS 7. The Group effectively has an indirect contractual obligation to deliver to external investors the cash flows from assets sold to the securitisation fund (although these assets are recorded in the Group balance sheet through the consolidation of the fund). Receivables assigned to the securitisation fund are used as collateral for investors.

Fully self-subscribed consolidated securitisations do not constitute a transfer of assets within the meaning of IFRS 7.

Crédit Agricole Consumer Finance Securitisations

At 31 December 2020, Crédit Agricole Consumer Finance managed 14 consolidated vehicles for securitisation of retail consumer loans and car dealer financing in Europe. Securitisation transactions carried out within Crédit Agricole Consumer Finance Group are not considered to form part of a deconsolidation transaction under IFRS and have therefore been reintegrated into Crédit Agricole S.A. consolidated financial statements.

The carrying amounts of the relevant assets (net of related liabilities) amounted to €2,831 million at 31 December 2020. They include, in particular, outstanding customer loans with a net carrying amount of €4,221 million. The amount of securities mobilised on the market stood at €4,221 million. The value of securities still available to be mobilised stood at €5,301 million.

CA Italia securitisations

At 31 December 2020, Crédit Agricole Italia managed one home loan securitisation vehicle. This securitisation transaction is not considered to form part of a deconsolidation transaction under IFRS and has therefore been reintegrated into the Crédit Agricole Group consolidated financial statements.

The carrying amounts of the relevant assets amounted to €10,611 million at 31 December 2020.

FCT Crédit Agricole Habitat 2017, 2018, 2019 and 2020 securitisation

At 31 December 2020, the Regional Banks managed four home loan securitisation vehicles. These securitisation transactions are not considered to form part of a deconsolidation transaction under IFRS and have therefore been reintegrated into Crédit Agricole Group consolidated financial statements. The carrying amounts of the relevant assets amounted to €18,033 million at 31 December 2020.

During the year, the Crédit Agricole Group did not recognise any liability incurred in respect of the transferred assets that were derecognised in full.

FCT Crédit Agricole Habitat 2015 securitisation: dismantling in September 2020

The Regional Banks repurchased the securitised loans and the fund units were repaid to them. Write-downs on securitised loans have been reconstituted in the Regional Banks' accounts.

Transferred assets but still fully recognized						Transferred assets recognised to the extent of on the entity's continuing involvement			
Associated liabilities					Assets and associated liabilities				
Carrying amount	Of which securitisation (non-deconsolidating)	Of which securities sold/bought under repurchase agreements	Of which other ⁽¹⁾	Fair value ⁽²⁾	Net fair value ⁽²⁾	Initial total carrying amount of assets prior to transfer	Carrying amount of assets still recognised (continuing involvement)	Carrying amount of associated liabilities	
13,331	-	13,331	-	13,331	808	-	-	-	
3,688	-	3,688	-	3,688	223	-	-	-	
9,643	-	9,643	-	9,643	585	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	-	
24,049	-	24,048	-	24,048	(21)	-	-	-	
-	-	-	-	-	-	-	-	-	
24,049	-	24,048	-	24,048	(21)	-	-	-	
-	-	-	-	-	-	-	-	-	
14,139	12,997	1,142	-	14,149	2,209	-	-	-	
1,142	-	1,142	-	1,146	51	-	-	-	
12,997	12,997	-	-	13,003	2,158	-	-	-	
51,519	12,997	38,521	-	51,528	2,996	-	-	-	
-	-	-	-	-	-	-	-	-	
51,519	12,997	38,521	-	51,528	2,996	-	-	-	

6.7 EXPOSURE TO SOVEREIGN RISK

The scope of sovereign exposures recorded covers exposures to Governments, but does not include local authorities. Tax debt is excluded from these amounts. Exposure to sovereign debt corresponds to an exposure net of impairment (carrying amount) presented both gross and net of hedging.

The Group's exposure to sovereign risk is as follows:

Banking activity

31/12/2020	Exposures Banking activity net of impairment						
	Financial assets at fair value through profit or loss		Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss	Financial assets at amortised cost	Total banking activity before hedging	Hedging	Total banking activity after hedging
(in millions of euros)	Held-for-trading financial assets	Other financial instruments at fair value through profit or loss					
Saudi Arabia	-	-	-	890	890	-	890
Argentina	-	-	-	44	44	-	44
Austria	119	2	3	329	453	(2)	451
Belgium	-	35	2,481	2,206	4,722	(208)	4,514
Brazil	8	-	112	158	278	-	278
China	189	-	34	136	359	(2)	357
Egypt	1	7	641	347	996	-	996
Spain	-	10	1,363	2,278	3,651	(120)	3,531
United States	1,721	1	73	819	2,614	(7)	2,607
France	35	5,928	4,066	20,822	30,851	(744)	30,107
Greece	-	-	-	-	-	-	-
Hong Kong	58	-	-	880	938	(1)	937
Iran	-	-	-	-	-	-	-
Ireland	-	14	-	-	14	-	14
Italy	-	56	3,072	8,262	11,390	(286)	11,104
Japan	-	-	246	1,435	1,681	1	1,682
Lebanon	-	-	-	-	-	-	-
Lithuania	-	-	-	-	-	-	-
Morocco	11	23	244	-	278	-	278
Poland	-	-	950	229	1,179	-	1,179
United Kingdom	-	-	-	-	-	-	-
Russia	-	-	-	-	-	-	-
Syria	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-
Ukraine	-	-	78	208	286	-	286
Venezuela	-	-	-	30	30	-	30
Yemen	-	-	-	-	-	-	-
Other sovereign countries	1,086	811	1,076	4,961	7,934	(27)	7,907
TOTAL	3,228	6,887	14,439	44,034	68,588	(1,396)	67,192

31/12/2019	Exposures Banking activity net of impairment						
	Financial assets at fair value through profit or loss		Financial assets at fair value through other comprehensive income that may be reclassified to profit or loss	Financial assets at amortised cost	Total banking activity before hedging	Hedging	Total banking activity after hedging
(in millions of euros)	Held-for-trading financial assets	Other financial instruments at fair value through profit or loss					
Saudi Arabia	-	-	-	899	899	-	899
Argentina	-	-	-	-	-	-	-
Austria	68	50	5	154	277	(7)	270
Belgium	-	17	2,479	1,129	3,625	(209)	3,416
Brazil	57	-	77	191	325	-	325
China	12	-	36	-	48	-	48
Egypt	2	8	804	-	814	-	814
Spain	-	44	1,421	772	2,237	(4)	2,233
United States	4,083	-	205	2,858	7,146	(21)	7,125
France	41	4,474	5,129	18,888	28,532	(1,301)	27,231
Greece	-	-	-	-	-	-	-
Hong Kong	46	-	-	890	936	(1)	935
Iran	-	-	-	-	-	-	-
Ireland	1	16	-	-	17	-	17
Italy	24	111	2,827	5,083	8,045	(454)	7,591
Japan	-	-	-	889	889	8	897
Lebanon	-	-	-	-	-	-	-
Lithuania	-	4	-	-	4	-	4
Morocco	68	7	258	-	333	-	333
Poland	14	-	722	242	978	-	978
United Kingdom	-	-	-	-	-	-	-
Russia	1	-	-	-	1	-	1
Syria	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-
Ukraine	-	-	55	148	203	-	203
Venezuela	-	-	-	42	42	-	42
Yemen	-	-	-	-	-	-	-
Other sovereign countries	993	262	929	5,302	7,486	(553)	6,933
TOTAL	5,410	4,993	14,947	37,487	62,837	(2,542)	60,295

Insurance activity

For the insurance activity, exposure to sovereign debt is presented as net of impairment, before hedging, and corresponds to an exposure before application of sharing mechanisms between insurer and policyholder specific to life insurance.

Gross exposures (in millions of euros)	31/12/2020	31/12/2019
Saudi Arabia	1	6
Argentina	-	1
Austria	2,486	3,040
Belgium	4,152	3,299
Brazil	-	-
China	-	-
Egypt	-	-
Spain	3,777	1,318
United States	50	131
France	54,728	52,971
Greece	-	4
Hong Kong	-	-
Iran	-	-
Ireland	200	725
Italy	9,103	7,602
Japan	132	97
Lebanon	-	-
Lithuania	77	-
Morocco	-	-
Poland	325	363
United Kingdom	6	15
Russia	-	-
Syria	-	-
Turkey	-	2
Ukraine	-	-
Venezuela	1	1
Yemen	-	-
Other sovereign countries	3,160	2,352
TOTAL EXPOSURES	78,198	71,927

6.8 FINANCIAL LIABILITIES AT AMORTISED COST

(in millions of euros)	31/12/2020	31/12/2019
Due to credit institutions	198,942	99,575
Due to customers	963,433	855,507
Debt securities	171,796	213,366
CARRYING AMOUNT	1,334,171	1,168,448

Due to banks

(in millions of euros)	31/12/2020	31/12/2019
CREDIT INSTITUTIONS		
Accounts and borrowings	177,124	71,875
of which current accounts in credit ⁽¹⁾	6,591	7,933
of which overnight accounts and deposits ⁽¹⁾	1,953	2,359
Pledged securities	-	-
Securities sold under repurchase agreements	21,818	27,700
TOTAL	198,942	99,575

(1) These transactions are partly comprised of the item "Net demand loans and deposits with credit institutions" on the "Cash Flow Statement".

Due to customers

(in millions of euros)	31/12/2020	31/12/2019
Current accounts in credit	495,518	391,429
Special savings accounts	329,528	307,589
Other amounts due to customers	134,106	152,294
Securities sold under repurchase agreements	1,520	1,593
Insurance liabilities	906	981
Reinsurance liabilities	590	467
Cash deposits received from ceding and retroceding companies against technical insurance commitments	1,265	1,154
CARRYING AMOUNT	963,433	855,507

Debt securities issued

(in millions of euros)	31/12/2020	31/12/2019
Interest bearing notes	11	13
Interbank securities	9,078	9,289
Negotiable debt securities	56,439	97,317
Bonds ⁽¹⁾	103,407	103,038
Other debt securities	2,861	3,708
CARRYING AMOUNT	171,796	213,365

(1) Includes issues of Covered Bonds and issues of senior non-preferred bonds.

The debt instruments issued by Crédit Agricole S.A. and subscribed for by Crédit Agricole S.A. insurance companies were eliminated for euro contracts. They were eliminated for the portion backing unit-linked contracts with financial risk borne by the policyholder.

6.9 INFORMATION ON THE OFFSETTING OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

Offsetting – Financial assets

31/12/2020						
Offsetting effects on financial assets covered by master netting agreements and similar agreements						
Type of financial instrument (in millions of euros)	Gross amounts of recognised financial assets before offsetting	Gross amounts of recognised financial liabilities set off in the financial statements	Net amounts of financial assets presented in the financial statements ⁽²⁾	Other amounts that can be offset under given conditions		Net amount after all offsetting effects
				Gross amounts of financial liabilities covered by master netting agreements	Amounts of other financial instruments received as collateral, including security deposits	
Derivatives ⁽¹⁾⁽³⁾	137,884	10	137,874	120,741	10,661	6,472
Reverse repurchase agreements ⁽⁴⁾	196,815	67,200	129,615	5,617	123,202	796
Securities lending	12,916	-	12,916	-	-	12,916
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL ASSETS SUBJECT TO OFFSETTING	347,615	67,210	280,405	126,358	133,863	20,184

(1) Including margin calls but before any XVA impact.

(2) The net amount of financial assets shown in the summary statements is equal to the amount shown on the balance sheet as assets.

(3) 95% of derivatives on the asset side at the reporting date were subject to offsetting.

(4) 99% of reverse repurchase agreements on the assets side at the reporting date were subject to offsetting.

At 31 December 2020, derivative instruments were not subject to accounting clearing within the meaning of IAS 32R, but daily settlement (application of the "settlement to market" mechanism).

31/12/2019						
Offsetting effects on financial assets covered by master netting agreements and similar agreements						
Type of financial instrument (in millions of euros)	Gross amounts of recognised financial assets before offsetting	Gross amounts of recognised financial liabilities set off in the financial statements	Net amounts of financial assets presented in the financial statements ⁽²⁾	Other amounts that can be offset under given conditions		Net amount after all offsetting effects
				Gross amounts of financial liabilities covered by master netting agreements	Amounts of other financial instruments received as collateral, including security deposits	
Derivatives ⁽¹⁾	120,914	21	120,893	109,720	10,376	797
Reverse repurchase agreements	174,609	62,900	111,709	9,615	101,324	771
Securities lending	2,740	-	2,740	-	-	2,740
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL ASSETS SUBJECT TO OFFSETTING	298,263	62,921	235,342	119,335	111,700	4,308

(1) Including margin calls but before any XVA impact.

(2) The net amount of financial assets shown in the summary statements is equal to the amount shown on the balance sheet as assets.

At 31 December 2019, derivative instruments were not subject to accounting clearing within the meaning of IAS 32R, but daily settlement (application of the "settlement to market" mechanism).

Offsetting – Financial liabilities

31/12/2020						
Offsetting effects on financial liabilities covered by master netting agreements and similar agreements						
Type of financial instrument (in millions of euros)	Gross amounts of recognised financial liabilities before offsetting	Gross amounts of recognised financial assets set off in the financial statements	Net amounts of financial liabilities presented in the financial statements ⁽²⁾	Other amounts that can be offset under given conditions		Net amount after all offsetting effects
				Gross amounts of financial assets covered by master netting agreements	Amounts of other financial instruments received as collateral, including security deposits	
Derivatives ⁽¹⁾⁽³⁾	131,476	10	131,466	120,741	8,932	1,793
Repurchase agreements ⁽⁴⁾	172,972	67,200	105,772	5,617	98,883	1,272
Securities borrowed	-	-	-	-	-	-
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL LIABILITIES SUBJECT TO OFFSETTING	304,448	67,210	237,238	126,358	107,815	3,065

(1) Including margin calls but before any XVA impact.

(2) The net amount of financial liabilities shown in the summary statements is equal to the amount shown on the balance sheet as liabilities.

(3) 99% of derivatives on the liabilities side at the reporting date were subject to offsetting.

(4) 99% of repurchase agreements on the liabilities side at the reporting date were subject to offsetting.

At 31 December 2020, derivative instruments were not subject to accounting clearing within the meaning of IAS 32R, but daily settlement (application of the "settlement to market" mechanism).

31/12/2019						
Offsetting effects on financial liabilities covered by master netting agreements and similar agreements						
Type of financial instrument (in millions of euros)	Gross amounts of recognised financial liabilities before offsetting	Gross amounts of recognised financial assets set off in the financial statements	Net amounts of financial liabilities presented in the financial statements ⁽²⁾	Other amounts that can be offset under given conditions		Net amount after all offsetting effects
				Gross amounts of financial assets covered by master netting agreements	Amounts of other financial instruments received as collateral, including security deposits	
Derivatives ⁽¹⁾	117,610	-	117,610	108,043	7,020	2,547
Repurchase agreements	166,699	62,900	103,799	9,615	87,732	6,452
Securities borrowed	6,060	-	6,060	-	-	6,060
Other financial instruments	-	-	-	-	-	-
TOTAL FINANCIAL LIABILITIES SUBJECT TO OFFSETTING	290,369	62,900	227,469	117,658	94,752	15,059

(1) Including margin calls but before any XVA impact.

(2) The net amount of financial liabilities shown in the summary statements is equal to the amount shown on the balance sheet as liabilities.

At 31 December 2019, derivative instruments were not subject to accounting clearing within the meaning of IAS 32R, but daily settlement (application of the "settlement to market" mechanism).

6.10 CURRENT AND DEFERRED TAX ASSETS AND LIABILITIES

(in millions of euros)	31/12/2020	31/12/2019
Current tax	1,481	1,526
Deferred tax	5,138	4,767
TOTAL CURRENT AND DEFERRED TAX ASSETS	6,619	6,293
Current tax	1,332	1,760
Deferred tax	2,175	2,236
TOTAL CURRENT AND DEFERRED TAX LIABILITIES	3,507	3,996

Tax audits

Crédit Agricole S.A. tax audit

After an audit of accounts for the 2014 and 2015 financial years, Crédit Agricole S.A. was the subject of adjustments as part of a proposed correction received at the end of December 2018. Crédit Agricole S.A. paid the amounts due in this respect and reversed the related provision.

Crédit Agricole CIB Paris tax audit

After an audit of accounts for the 2013, 2014 and 2015 financial years, Crédit Agricole CIB was the subject of adjustments as part of a proposed correction received at the end of December 2018. Crédit Agricole CIB has challenged the proposed adjustments with stated arguments. A provision has been recognised to cover the estimated risk.

Crédit Agricole CIB Milan tax audit regarding transfer pricing

Following audits, Crédit Agricole CIB Milan received adjustment notices from the Italian tax authorities regarding transfer pricing for the 2005 to 2014 financial years. Crédit Agricole CIB has challenged the proposed adjustments with stated arguments. At the same time, the case has been referred to the competent French-Italian authorities for all financial years. A provision has been recognised to cover the estimated risk.

CLSA liability guarantee

In 2013, Crédit Agricole Group sold the CLSA entities to the Chinese group CITICS.

Following tax adjustments made on some CLSA entities in India and the Philippines, CITICS invoked the liability guarantee against Crédit Agricole Group. The adjustments have been challenged with stated arguments. A provision has been recognised to cover the estimated risk.

Crédit Agricole Consumer Finance tax audit

Crédit Agricole Consumer Finance was the subject of an audit of accounts for the 2016 and 2017 financial years. It received an adjustment notice in late 2019. Crédit Agricole Consumer Finance has recorded a provision in its accounts for the adjustments that are disputed as from 2018 and an additional provision in 2019.

Earlier, Crédit Agricole Consumer Finance had been the subject of a different audit of accounts for the 2014 and 2015 financial years. A proposal for restatement was received at the end of 2017 and is the subject of a provision. In 2020, Crédit Agricole Consumer Finance paid the amounts due and reversed the related provision.

Predica tax audit

Predica was the subject of an audit of accounts for the 2015 and 2016 financial years. It received an adjustment notice in early 2019. Predica has recorded a provision in its accounts for the adjustments that are disputed.

Agos Ducato tax audit

In the course of a tax audit, Agos Ducato received a proposal from the Italian tax authorities for an adjustment in relation to FY 2014. Agos Ducato contested the adjustments by providing a substantiated objection. A tax audit is also underway for the financial years 2015 to 2018. A provision has been recognised to cover the estimated risk.

Net deferred tax assets and liabilities break down as follows:

(in millions of euros)	31/12/2020	31/12/2019
Temporary timing differences – tax	4,660	4,347
Non-deductible accrued expenses	370	405
Non-deductible provisions for liabilities and charges	3,824	3,628
Other temporary differences ⁽¹⁾	466	314
Deferred tax on reserves for unrealised gains or losses	(1,206)	(692)
Financial assets at fair value through other comprehensive income	(1,205)	(648)
Cash flow hedges	(282)	(372)
Gains and losses/Actuarial differences	190	165
Other comprehensive income attributable to changes in own credit risk	92	72
Reclassification of net gains (losses) of designated financial assets applying the overlay approach	-	91
Deferred tax on profit or loss	(491)	(1,124)
of which Reclassification of net gains (losses) of designated financial assets applying the overlay approach	-	(91)
TOTAL DEFERRED TAX	2,963	2,531

(1) The portion of deferred tax related to tax loss carryforwards was €376 million for 2020 compared to €392 million for 2019.

Deferred tax assets are netted on the balance sheet by taxable entity.

In order to assess the level of deferred tax assets to be recognised, the Crédit Agricole Group takes into account for each company or tax group concerned the dedicated tax status and the earnings projections established during the budgetary process.

6.11 ACCRUED INCOME AND EXPENSES AND OTHER ASSETS AND LIABILITIES

Accruals, prepayments and sundry assets

(in millions of euros)	31/12/2020	31/12/2019
Other assets	38,184	37,027
Inventory accounts and miscellaneous	299	284
Collective management of Livret de développement durable (LDD) savings account	-	-
Sundry debtors ⁽¹⁾	34,531	32,755
Settlements accounts	720	1,553
Due from shareholders – unpaid capital	-	-
Other insurance assets	327	329
Reinsurer's share of technical reserves	2,307	2,106
Accruals and deferred income	7,429	7,413
Collection and transfer accounts	3,240	3,438
Adjustment and suspense accounts	298	259
Accrued income	2,117	1,871
Prepaid expenses	673	637
Other accruals prepayments and sundry assets	1,101	1,209
CARRYING AMOUNT	45,613	44,440

(1) Including €99 million in respect of the contribution to the Single Resolution Fund in the form of a security deposit. The Single Resolution Fund may use the security deposit to provide funding unconditionally and at any time.

Accruals, deferred income and sundry liabilities

(in millions of euros)	31/12/2020	31/12/2019
Other liabilities⁽¹⁾	37,134	33,860
Settlements accounts	1,769	2,505
Sundry creditors	32,129	28,655
Liabilities related to trading securities	906	840
Other insurance liabilities	12	31
Lease liabilities ⁽³⁾	2,318	1,829
Accruals and deferred income	17,070	17,506
Collection and transfer accounts ⁽²⁾	3,742	3,587
Adjustment and suspense accounts	1,144	1,632
Unearned income	3,842	4,076
Accrued expenses	7,020	7,321
Other accruals prepayments and sundry assets	1,322	890
CARRYING AMOUNT	54,204	51,366

(1) The amounts shown include related debts.

(2) Net amounts are shown.

(3) Taking into account the effects of first-time adoption of the IFRS IC decision of 26 November 2019 respecting the duration of IFRS 16 leases, the balance of rental liabilities in the balance sheet would have been €2,401 million at 31 December 2019 (see Note 1.1 Applicable standards and comparability).

6.12 NON-CURRENT ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS

Balance sheet of discontinued or held for sale operations

(in millions of euros)	31/12/2020	31/12/2019
Cash, central banks	162	55
Financial assets at fair value through profit or loss	11	-
Hedging derivative Instruments	-	-
Financial assets at fair value through other comprehensive income	275	40
Financial assets at amortised cost	4,456	370
Revaluation adjustment on interest rate hedged portfolios	-	-
Current and deferred tax assets	32	-
Accruals, prepayments and sundry assets	45	1
Investments in equity-accounted entities	-	-
Investment property	1	-
Property, plant and equipment	46	5
Intangible assets	(11)	4
Goodwill	-	-
Total Assets	5,017	475
Central banks	408	-
Financial liabilities at fair value through profit or loss	1	-
Hedging derivative Instruments	-	-
Financial liabilities at amortised cost	2,878	420
Revaluation adjustment on interest rate hedged portfolios	-	-
Current and deferred tax liabilities	13	-
Accruals, deferred income and sundry liabilities	53	5
Provisions	21	1
Subordinated debt	-	9
Adjustment to fair value of non current assets held for sale and discontinued operations (excluding taxes)	178	43
Total Liabilities and equity	3,552	478
NET ASSET FROM NON-CURRENT ASSETS HELD FOR SALE AND DISCONTINUED OPERATIONS	1,465	(3)

Income statement from discontinued operations

(in millions of euros)	31/12/2020	31/12/2019
Revenues	59	12
Operating expenses	(89)	(12)
Depreciation, amortisation and impairment of property, plant and equipment and intangible assets	(34)	(2)
Cost of risk	(6)	(1)
Pre-tax income	(70)	(3)
Share of net income of equity-accounted entities	-	-
Net gains (losses) on other assets	-	-
Change in value of goodwill	(55)	-
Income tax	(5)	-
Net income	(130)	(3)
Income associated with fair value adjustments of discontinued operations	(132)	(43)
Net income from discontinued operations	(262)	(46)
Non-controlling interests	-	-
NET INCOME FROM DISCONTINUED OPERATIONS – GROUP SHARE	(262)	(46)

Discontinued operations cash flow statement

(in millions of euros)	31/12/2020	31/12/2019
Net cash flows from (used by) operating activities	(57)	(23)
Net cash flows from (used by) investment activities	(3)	-
Net cash flows from (used by) financing activities	(129)	7
TOTAL	(189)	(16)

6.13 JOINT VENTURES AND ASSOCIATES

Financial information of joint ventures and associates

At 31 December 2020:

- the equity-accounted value of joint ventures totalled €2,829 million (€2,584 million at 31 December 2019);
- the equity-accounted value of associates totalled €4,594 million (€4,519 million at 31 December 2019).

FCA Bank is a joint venture created with the Fiat Chrysler Automobiles Group. In 2019, Crédit Agricole S.A., Crédit Agricole Consumer Finance and Fiat Chrysler Automobiles (formerly Fiat Group Automobiles) signed an

agreement to extend their 50/50 joint venture until 31 December 2024. Present in 18 European countries, the company manages all financing activities for dealers and customers of 18 makes: Fiat, Fiat Professional, Lancia, Alfa Romeo, Abarth, Maserati, Chrysler, Jeep, Ferrari, Aston Martin, Morgan, Dodge, RAM, Harley Davidson, MV Agusta and Hymen in Europe, Jaguar and Land Rover in continental Europe. As such, it is strategic for the development of the Automobile JV business.

Material associates and joint ventures are presented in the table below. These are the main joint ventures and associates that make up the "Equity-accounted value on the balance sheet".

	31/12/2020					
(in millions of euros)	% of interest	Equity-accounted value	Share of market value	Dividends paid to Group's entities	Share of net income ⁽¹⁾	Share of shareholders' equity ⁽²⁾
Joint ventures						
FCA Bank	50.0%	2,117	-	-	307	1,811
S3 Latam Holdco 1	34.8%	262	-	-	7	525
Others		450	-	16	(10)	550
Net carrying amount of investments in equity-accounted entities (joint ventures)		2,829			304	2,886
Associates						
Icade	19.0%	935	892	56	49	544
Korian	24.3%	768	801	-	18	728
Ramsay Générale de Santé	39.6%	669	785	-	5	401
Altarea	24.7%	583	613	37	5	486
GAC Sofinco Auto Finance Co. (ex-GAC Crédit Agricole Consumer Finance)	50.0%	375	-	26	52	375
SCI Heart of La Défense	33.3%	264	230	10	4	264
Frey	19.4%	146	143	7	6	144
ABC-CA Fund Management Co.	23.2%	143	-	-	16	143
Wafasalaf	49.0%	127	-	-	(9)	71
SBI Funds Management Private Limited	25.8%	123	-	6	39	99
Others		461		52	18	251
Net carrying amount of investments in equity-accounted entities (associates)		4,594			203	3,506
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES		7,423			507	6,392

(1) The share of income of insurance activities and associates as well as the related share of benefits are classified as Net Banking Income in the income statement.

(2) Shareholders' equity Group share in the financial statements of the joint venture or associate when the joint venture or associate is a sub-group.

The market value shown in the table above is the quoted price of the shares on the market at 31 December 2020. This value may not be representative of the selling value since the value in use of equity-accounted entities may be different from the equity-accounted value determined pursuant to IAS 28.

Investments in equity-accounted entities were subject to impairment tests, in case of an indication of impairment, using the same methodology as for goodwill.

	31/12/2019					
(in millions of euros)	% of interest	Equity-accounted value	Share of market value	Dividends paid to Group's entities	Share of net income ⁽¹⁾	Share of shareholders' equity ⁽²⁾
Joint ventures						
FCA Bank	50.0%	1,818	-	90	232	1,572
S3 Latam Holdco 1	34.8%	234	-	-	-	357
Others		532	-	-	56	719
Net carrying amount of investments in equity-accounted entities (joint ventures)		2,584			288	2,648
Associates						
Icade	19.0%	929	1372	63	32	539
Ramsay – Générale de Santé	39.6%	663	735	0	3	395
Korian	24.4%	650	838	11	29	610
Altarea	24.7%	596	835	51	65	497
Gac – Sofinco Auto Finance Co. (ex-GAC Crédit Agricole Consumer Finance)	50.0%	358	0	6	51	358
SCI Heart of La Défense	33.3%	269	266	14	11	269
Frey	19.3%	146	156	4	7	113
Wafasalaf	49.0%	139	0	13	15	81
ABC-CA Fund Management Co.	23.3%	131	0	0	9	131
SBI Funds Management Private Limited	25.9%	103	0	5	24	76
Others		535			78	290
Net carrying amount of investments in equity-accounted entities (associates)		4,519			324	3,359
NET CARRYING AMOUNT OF INVESTMENTS IN EQUITY-ACCOUNTED ENTITIES		7,103			612	6,007

(1) The share of income of insurance activities and associates as well as the related share of benefits are classified as Net Banking Income in the income statement.

(2) Shareholders' equity Group share in the financial statements of the joint venture or associate when the joint venture or associate is a sub-group.

Condensed financial information for the material associates and joint ventures of the Crédit Agricole Group is shown below:

	31/12/2020			
(in millions of euros)	Revenues	Net income	Total assets	Total Equity
Joint ventures				
FCA Bank	836	501	25,767	3,622
S3 Latam Holdco 1	77	29	1,182	1,049
Associates				
Icade	258	258	12,429	3,715
Korian	74	74	11,884	2,620
Ramsay Générale de Santé	13	13	6,715	1,037
Altarea	19	19	9,114	2,939
GAC Sofinco Auto Finance Co. (ex-GAC Crédit Agricole Consumer Finance)	233	104	6,338	789
SCI Heart of La Défense	13	13	1,880	795
Frey	31	31	1,430	743
ABC-CA Fund Management Co.	98	48	512	430
Wafasalaf	102	(18)	1,224	145
SBI Funds Management Private Limited	170	104	301	269

	31/12/2019			
(in millions of euros)	Revenues	Net income	Total assets	Total Equity
Joint ventures				
FCA Bank	1,018	467	31,582	3,143
S3 Latam Holdco 1	-	-	715	714
Associates				
Icade	175	175	11,828	3,596
Ramsay Générale de Santé	8	8	4,361	1,039
Korian	119	119	10,720	2,478
Altarea	263	263	8,563	3,187
GAC Sofinco Auto Finance Co. (ex-GAC Crédit Agricole Consumer Finance)	217	101	5,214	1,471
SCI Heart of La Défense	33	33	1,881	816
Frey	35	35	1,056	583
Wafasalaf	103	30	1,244	332
ABC-CA Fund Management Co.	80	28	461	785
SBI Funds Management Private Limited	150	66	254	413

Significant restrictions on joint ventures and associates

The Crédit Agricole Group is subject to the following restrictions:

Regulatory constraints

The subsidiaries of the Crédit Agricole Group are subject to prudential regulation and regulatory capital requirements in their host countries. The minimum equity capital (solvency ratio), leverage ratio and liquidity ratio requirements limit the capacity of these entities to pay dividends or to transfer assets to the Crédit Agricole Group.

Legal constraints

The subsidiaries of the Crédit Agricole Group are subject to legal provisions concerning the distribution of capital and distributable earnings. These requirements limit the ability of the subsidiaries to distribute dividends. In the majority of cases, these are less restrictive than the regulatory limitations mentioned above.

Restriction on assets backing unit-linked contracts for the Insurance business

Assets backing unit-linked contracts of the Crédit Agricole Group are held for the benefit of policyholders. Assets of the insurance subsidiaries of Crédit Agricole Group are mainly held for satisfying their obligation towards their policyholders. Assets transfers to other entities are possible following the legal conditions. However, in case of a transfer, a part of the profit due to the transfer must be intended for the policyholders.

6.14 INVESTMENT PROPERTY

(in millions of euros)	31/12/2019	Changes in scope	Increases (acquisitions)	Decreases (disposals)	Translation adjustments	Other movements	31/12/2020
Gross amount	7,787	108	392	(352)	-	(2)	7,933
Depreciation and impairment	(511)	(30)	(46)	19	-	(3)	(571)
CARRYING AMOUNT⁽¹⁾	7,276	78	346	(333)	-	(5)	7,362

(1) Including investment property let to third parties.

(in millions of euros)	31/12/2018	Changes in scope	Increases (acquisitions)	Decreases (disposals)	Translation adjustments	Other movements	31/12/2019
Gross amount	7,439	97	654	(403)	-	-	7,787
Depreciation and impairment	(472)	(15)	(37)	26	-	(13)	(511)
CARRYING AMOUNT⁽¹⁾	6,967	82	617	(377)	-	(13)	7,276

(1) Including investment property let to third parties.

Fair value of investment properties

The market value of investment property recorded at amortised cost, as valued by “expert appraisers”, was €11,379 million at 31 December 2020 *versus* €11,023 million at 31 December 2019.

(in millions of euros)		31/12/2020	31/12/2019
Quoted prices in active markets for identical instruments	Level 1	2	2
Valuation based on observable data	Level 2	11,138	10,777
Valuation based on unobservable data	Level 3	239	244
MARKET VALUE OF INVESTMENT PROPERTIES		11,379	11,023

All investment property are recognised at cost in the balance sheet.

6.15 PROPERTY, PLANT AND EQUIPMENT AND INTANGIBLE ASSETS (EXCLUDING GOODWILL)

Property, plant and equipment used in operations includes the rights of use of assets leased as lessee.

Depreciation and impairment of property, plant and equipment is presented including depreciation on property, plant and equipment leased under operating leases.

(in millions of euros)	31/12/2019	Changes in scope	Increases (acquisitions)	Decreases (disposals and redemptions)	Translation adjustments	Other movements ⁽¹⁾	31/12/2020
Property, plant and equipment used in operations							
Gross amount	21,187	177	1,810	(1,149)	(117)	571	22,479
Depreciation and impairment	(11,034)	(67)	(1,415)	567	60	(51)	(11,940)
CARRYING AMOUNT	10,153	110	395	(582)	(57)	520	10,539
Intangible assets							
Gross amount	8,816	98	685	(334)	(27)	(44)	9,219
Depreciation and impairment	(5,433)	(1)	(544)	238	15	(38)	(5,788)
CARRYING AMOUNT	3,383	97	141	(96)	(12)	(82)	3,431

(1) Taking into account the effects of first-time adoption of the IFRS IC decision of 26 November 2019 respecting the duration of IFRS 16 leases, the balance of rights of use in the balance sheet would have been €2,466 million at 31 December 2019 (*versus* €1,898 million before application of the IFRS IC decision) (see Note 1.1 “Applicable standards and comparability”).

(in millions of euros)	31/12/2018	01/01/2019 ⁽¹⁾	Changes in scope ⁽²⁾	Increases (acquisitions)	Decreases (disposals and redemptions)	Translation adjustments	Other movements	31/12/2019
Property, plant and equipment used in operations								
Gross amount	17,861	19,894	288	1,837	(1,118)	57	229	21,187
Depreciation and impairment	(10,083)	(10,181)	(211)	(1,319)	769	(25)	(67)	(11,034)
CARRYING AMOUNT	7,778	9,713	77	518	(349)	32	162	10,153
Intangible assets								
Gross amount	7,466	7,292	1,238	674	(414)	11	15	8,816
Depreciation and impairment	(5,024)	(4,926)	(347)	(509)	386	(6)	(31)	(5,433)
CARRYING AMOUNT	2,442	2,366	891	165	(28)	5	(16)	3,383

(1) Right of use impact recognised in First Time Application of the IFRS 16 standard.

(2) Mainly due to the entry into the scope of consolidation of Agos S.p.A and Santander Securities Services S.A..

6.16 GOODWILL

(in millions of euros)	31/12/2019 gross	31/12/2019 net	Increases (acquisitions)	Decreases (Divestments)	Impairment losses during the period	Translation adjustments	Other movements	31/12/2020 gross	31/12/2020 net
French Retail Banking	5,596	4,381	1	-	(3)	-	-	5,595	4,379
of which LCL Group	5,558	4,354	-	-	-	-	-	5,558	4,354
of which CR	38	27	1	-	(3)	-	-	37	25
International Retail Banking	3,409	1,800	-	-	(965)	(3)	-	3,379	832
of which Italy ⁽³⁾	3,042	1,762	-	-	(965)	(1)	-	3,042	796
of which Poland	221	-	-	-	-	-	-	207	-
of which Ukraine	49	-	-	-	-	-	-	38	-
of which other countries	97	38	-	-	-	(2)	-	92	36
Asset Gathering	7,039	7,041	335	-	-	(50)	-	7,325	7,326
of which asset management ⁽¹⁾	4,929	4,931	335	-	-	(51)	-	5,214	5,215
of which insurance	1,262	1,262	-	-	-	-	-	1,262	1,262
of which international wealth management	848	848	-	-	-	1	-	849	849
Specialised Financial Services	2,832	1,129	47	(55)	-	(1)	-	2,823	1,120
of which Consumer finance (excl. Agos) ⁽²⁾	1,695	956	25	(55)	-	-	-	1,665	926
of which Consumer finance-Agos	672	103	-	-	-	-	-	672	103
of which Factoring ⁽⁴⁾	465	70	22	-	-	(1)	-	486	91
Large Customers	2,716	1,396	17	-	-	(1)	(7)	2,726	1,405
of which Corporate and investment banking	1,817	497	-	-	-	(1)	-	1,817	496
of which Asset servicing	899	899	17	-	-	-	(7)	909	909
Corporate Centre	72	72	-	-	-	-	-	72	72
TOTAL	21,664	15,819	400	(55)	(968)	(55)	(7)	21,920	15,134
Group share	19,973	14,242	295	(55)	(887)	(40)	(31)	20,122	13,524
Non-controlling interests	1,691	1,577	105	-	(81)	(15)	24	1,798	1,610

(1) Goodwill of €335 million at 31 December 2020 following the acquisition of Sabadell Asset Management by the AMUNDI Group.

(2) Goodwill of €25 million at 31 December 2020 following the additional acquisition of Ménafinance shares by the Crédit Agricole Consumer Finance Group, resulting in a change in consolidation method from equity-accounted to full consolidation.

(3) Following the annual valuation tests of the goodwill recorded in its balance sheet during the fourth quarter of 2020, CA Italia recognised an impairment of €965 million at 31 December 2020.

(4) Goodwill of €21 million at 31 December 2020 following the acquisition of Hama Polska by the Crédit Agricole Leasing & Factoring Group.

Determining the value in use of the CGUs

Goodwill was subject to impairment tests based on the assessment of the value in use of the cash generating units (CGU) with which it is associated. Determining the value in use was based on discounting the CGUs' estimated future cash flows calculated from activities forecasts over a period over three years (2021-2023) developed for Group management purposes, extrapolated over a fourth and fifth year in order to merge towards a standardised year-end incorporating the catch-up effects expected after COVID.

The economic scenario on which the projected financial trajectories are based has been adjusted as a result of changes in the public health situation, nevertheless, this financial year remains particularly difficult due to the dependence of growth on the evolution of the pandemic, which is still very uncertain.

This scenario is based on an economy that has been severely impacted by the public health crisis in 2020, which has led to a significant drop in GDP. For almost nine months, activity was in fact marked by periods in which entire sections of the economy were shut down, alternating with phases of partial recovery as constraints were relaxed. The scenario assumes that the epidemic will persist in 2021, prolonging this succession of alternating restrictions and short periods of lockdown and removal of constraints during the first half of the year, but which should be less drastic and less damaging to the economy than in 2020 (better control of epidemic flows, less severe restrictions on mobility and production, production facilities preserved overall). It envisages a gradual and moderate recovery in 2021: (i) linked to the control of the spread of the virus thanks to vaccination campaigns, (ii) but limited due to the behaviour of agents who should remain more cautious (precautionary savings, postponement of investments) and the after-effects of the crisis (rise in unemployment, increase in insolvencies). In this context, growth forecasts are moderately dynamic for 2021 with a very low level of inflation expected.

States should extend their policies to support the economy in order to limit damage to the productive apparatus and the labour market, and put in place stimulus packages to bolster investment and support household consumption. Certain sectors will however remain fragile and still marked by certain restrictions (automobile, commerce, tourism, hotels, restaurants, culture, etc.).

In order to stimulate growth and inflation while preserving financial stability, central banks will maintain very accommodating monetary policies that

keep interest rates low for a prolonged period, and even negative for short-term Euro rates. In Europe, asset purchase programmes should make it possible to avoid fragmentation (limited widening of spreads). Under these conditions, the prospect of a rise in interest rates seems more distant than anticipated until now, having a more significant impact on the International Retail Banking – Italy CGU, whose sensitivity is greater to these developments.

At 31 December 2020, perpetual growth rates, discount rates and CET1 capital allocation rates as a proportion of risk-weighted assets were distributed by business lines as shown in the table below:

In 2020 (for Crédit Agricole S.A. fully consolidated entities)	Perpetual growth rates	Discount rates	Capital allocated
French Retail Banking – LCL	2.0%	7.6%	8.8%
International Retail Banking – Italy	2.0%	8.8%	9.0%
International Retail Banking – Others	5.0%	17.0%	9.5%
Specialised Financial Services ⁽¹⁾	2.0%	7.6% to 9.3%	8.8% to 9.1%
Asset Gathering			8.9% to 9.1%
	2.0%	7.6% to 8.5%	80% of the solvency margin (Insurance)
Large Customers	2.0%	8% to 9.4%	8.9%

(1) The consumer finance CGU (excluding Agos) now excludes Crédit Agricole Consumer Finance NL, which was classified under IFRS 5 "Assets held for sale" last September, resulting in an impairment of the CGU's goodwill in the amount of €55 million.

The increase by the European Central Bank (ECB) of regulatory prudential requirements under Pillar 1 and Pillar 2 with effect from 2016 led Crédit Agricole S.A. to gradually raise the level of CET1 capital allocated to CGUs as a percentage of risk-weighted assets. This allocation, including counter-cyclical buffers, ranged last year between 9.50% and 9.75% of risk-weighted assets for all CGUs, a rate to which the various applicable counter-cyclical buffers should be added, in particular the one set up in France by the High Commission for Financial Stability (HCSF).

Following the public health crisis, the High Commission for Financial Stability, in its decision of 18 June 2020, announced the elimination of certain counter-cyclical buffers. The European Central Bank also announced the early application of Article 104a of CRD 5, which authorises the coverage of Pillar 2 Requirements (P2R) with 56.25% of CET1 capital, thereby reducing

the CET1 requirement by 66 basis points in both P2R and P2G for Crédit Agricole S.A. Due to a higher Pillar 2 Requirement (P2R) in Italy, this gain is 77 basis points for the International Retail Banking – Italy CGU. Some counter-cyclical buffers imposed by foreign supervisors have also been reduced to zero.

All of these measures resulted in a reduction in the allocation of CET1 capital of between 77 and 115 basis points, depending on the CGU being considered, compared with the previous year.

The valuation parameters, in particular the discount rates, were updated at 31 December 2020.

Perpetual growth rates to infinity at 31 December 2020 remain unchanged from those used at 31 December 2019.

Sensitivity of the valuation of CGUs to the main valuation parameters

The sensitivity of the value in use of the CGUs comprising each of the major business segments to the variation of certain valuation parameters is presented in the following table:

In 2020	Sensitivity to capital allocated	Sensitivity to discount rates		Sensitivity to cost of risk in the final year		Sensitivity to the cost/income ratio in the final year	
	+100 bp	-50 bp	+50 bp	-10%	+10%	-100 bp	+100 bp
French Retail Banking – LCL	(2.1%)	8.8%	(7.3%)	2.7%	(2.7%)	+3.1%	(3.1%)
International Retail Banking – Italy	(5.4%)	6.4%	(5.5%)	3.6%	(3.6%)	2.7%	(2.7%)
International Retail Banking – Others	(2.6%)	3.9%	(3.6%)	0.6%	(0.6%)	1.4%	(1.4%)
Specialised Financial Services	(2.1%)	9.8%	(8.3%)	7.7%	(7.7%)	3.6%	(3.6%)
Asset Gathering	(0.7%)	8.6%	(7.3%)	N/A	N/A	1.4%	(1.4%)
Large Customers	(8.8%)	7.8%	(6.8%)	1.1%	(1.1%)	2.4%	(2.4%)

Sensitivity analysis have been conducted on goodwill – Group share with variations of the main parameters of valuation applied uniformly for all CGU. These tests show that only the International Retail Banking – Italy CGU, whose value in use, after impairment, is just equal to the consolidated value, is sensitive to changes in the parameters of the model.

■ With regard to financial parameters, the sensitivity scenarios tested would lead to the identification of an impairment charge only for the International Retail Banking – Italy CGU. In fact:

- a change of +50 basis points in discount rates would result in an additional impairment charge of around €240 million for the International Retail Banking – Italy CGU. As regards the Retail Banking in France – LCL CGU, the difference would remain positive at around €390 million.

Note that a +100 basis point change in discount rates would result in an impairment charge for the Retail Banking – LCL CGU of €360 million. For the International Retail Banking – Italy CGU, the additional charge would be €450 million;

- a change of +100 basis points in the level of capital allocated to the banking CGUs would lead to an additional impairment charge of around €240 million for the International Retail Banking – Italy CGU and would not result in an impairment charge for the other CGUs.

■ With regard to operational parameters:

- the simulated deterioration assumptions, namely a scenario of a +10% increase in the cost of risk in the last year of the projection and that of a +100 basis point change in the cost/income ratio for the same year, would not result in a negative difference between value in use and the carrying amount for any CGUs other than International Retail Banking – Italy: for it, the scenario of a +100 basis point change of the cost/income ratio in the final year of projection would result in a negative difference of about €120 million between value in use and consolidated value, whereas in the case of a +10% change in the cost of risk in the final year, the difference would be around €160 million.

6.17 INSURANCE COMPANY TECHNICAL RESERVES

Breakdown of insurance technical reserves

	31/12/2020				
(in millions of euros)	Life	Non-Life	International	Creditor	TOTAL
Insurance contracts	215,228	9,161	24,856	2,066	251,311
Investment contracts with discretionary profit-sharing	67,322	-	16,155	-	83,476
Investment contracts without discretionary profit-sharing	2,609	-	1,637	-	4,245
Deferred participation liability	25,556	137	1,284	-	26,976
Other technical reserves	-	-	-	-	-
Total Technical reserves	310,714	9,299	43,931	2,066	366,010
Deferred participation asset	-	-	-	-	-
Reinsurer's share of technical reserves	(1,255)	(628)	(73)	(351)	(2,307)
NET TECHNICAL RESERVES	309,459	8,671	43,857	1,716	363,703

	31/12/2019				
(in millions of euros)	Life	Non-Life	International	Creditor	TOTAL
Insurance contracts	208,188	8,263	24,167	2,005	242,623
Investment contracts with discretionary profit-sharing	70,161	-	15,284	-	85,445
Investment contracts without discretionary profit-sharing	2,420	-	1,693	-	4,113
Deferred participation liability	25,823	99	764	-	26,686
Other technical reserves	-	-	-	-	-
Total Technical reserves	306,592	8,362	41,908	2,005	358,867
Deferred participation asset	-	-	-	-	-
Reinsurer's share of technical reserves	1,151	588	87	280	2,106
NET TECHNICAL RESERVES	307,743	8,950	41,995	2,285	360,973

Reinsurers' share in technical reserves and other insurance liabilities is recognised under "Accruals, prepayments and sundry liabilities". The breakdown of insurance company technical reserves is presented before

elimination of issues in euro and in units of account subscribed by insurance companies.

Deferred policyholders' profit sharing, before tax, at 31 December 2020 and 31 December 2019 breaks down as follows:

	31/12/2020	31/12/2019
Deferred participation benefits (in millions of euros)	Deferred participation benefits liabilities (in assets when appropriate)	Deferred participation benefits in liabilities (in assets when appropriate)
Deferred participation on revaluation of financial assets at fair value through other comprehensive income and hedging derivatives	(22,905)	(22,649)
of which deferred participation on revaluation of financial assets at fair value through other comprehensive income ⁽¹⁾	(23,508)	(23,421)
of which deferred participation on hedging derivatives	603	772
Deferred participation on financial assets at fair value through profit or loss adjustment	(1,611)	(1,783)
Other deferred profit sharing	(2,461)	(2,254)
TOTAL PRE-TAX OTHER DEFERRED PARTICIPATION BENEFITS	(26,977)	(26,686)

(1) See Note 6.4 "Assets at fair value through other comprehensive income".

6.18 PROVISIONS

(in millions of euros)	31/12/2019	Changes in scope	Additions	Reversals, amounts used	Reversals, amounts not used	Translation adjustments	Other movements	31/12/2020
Home purchase schemes risks	1,195	-	188	-	(29)	-	-	1,354
Execution risks of commitments by signature	1,481	2	2,575	(18)	(2,355)	(28)	(1)	1,656
Operational risks	403	-	81	(31)	(92)	(2)	(16)	343
Employee retirement and similar benefits ⁽¹⁾	1,982	-	191	(147)	(166)	(5)	117	1,972
Litigation	852	-	112	(62)	(88)	(3)	(3)	808
Equity investments	6	-	2	(1)	(2)	-	-	5
Restructuring	33	-	7	(3)	(9)	-	(1)	27
Other risks	985	1	252	(143)	(289)	(3)	(106)	697
TOTAL	6,937	3	3,408	(405)	(3,030)	(41)	(10)	6,862

(1) Of which €1,530 million for post-employment benefits under defined-benefit schemes, as detailed in Note 7.4, including €151 million for the provision for long-service awards.

At 31 December 2020, employee retirement and similar benefits included €71 million (€103 million at 31 December 2019) of provisions arising from social costs of the restructuring plans. The provision for restructuring includes the non-social costs of those plans.

(in millions of euros)	31/12/2018	01/01/2019 ⁽¹⁾	Changes in scope	Additions	Reversals, amounts used	Reversals, amounts unused	Translation adjustments	Other movements	31/12/2019
Home purchase schemes risks	766	766	-	429	-	-	-	-	1,195
Execution risks of commitments by signature	1,406	1,406	-	2,384	(43)	(2,285)	8	11	1,481
Operational risks	385	385	-	77	(21)	(59)	1	20	403
Employee retirement and similar benefits	1,973	1,973	17	207	(253)	(134)	8	164	1,982
Litigation	2,445	806	3	93	(50)	(98)	2	96	852
Equity investments	6	6	-	4	(1)	(3)	-	-	6
Restructuring	25	25	16	13	(2)	(3)	-	(16)	33
Other risks	1,101	1,101	29	246	(172)	(188)	-	(31)	985
TOTAL	8,107	6,468	65	3,453	(542)	(2,770)	19	244	6,937

(1) Reclassification of provisions for tax risks relating to income tax from "Provisions" to "Current and deferred tax liabilities" at 1 January 2019 for €1,639 million.

Inquiries and requests for regulatory information

The main files linked to inquiries and requests for regulatory information are:

Strauss/Wolf/Faudem

US citizens and members of their families who were victims of terrorist attacks attributed to Hamas and committed in Israel between 2001 and 2004 have brought proceedings against Crédit Lyonnais and another bank before a New York court.

They claim that these banks gave support to terrorists as they each kept an account opened (in 1990 in the case of Crédit Lyonnais) by a charity providing aid to Palestinians. The plaintiffs allege that the account was used to transfer funds to Palestinian entities accused of financing Hamas. The plaintiffs, who have not put a figure on the damages they have suffered, are claiming compensation for "injury, anguish and emotional pain".

As the matter and the proceedings currently stand, the plaintiffs have not provided proof that the charity was actually linked to terrorists, nor that Crédit Lyonnais was aware that its client could have been involved (if it were to be proven) in financing terrorism. The Court nonetheless demanded that this be demonstrated by the plaintiffs if they are to win their case. Crédit Lyonnais vigorously denies the plaintiffs' allegations.

Under a ruling made on 28 February 2013, the judge issued a Summary Judgement referring Crédit Lyonnais and the plaintiffs to a jury trial on the merits.

In February 2018, Crédit Lyonnais filed a new motion for a summary judgement based on recent case law so that the plaintiffs' claims can be dismissed without such a jury trial.

On January 2019 the plaintiffs tried to modify their briefs in order to add new plaintiffs before their action be time-barred. The judge refused this request and two new actions (Fisher and Miller) have been filed before the same court as the one in charge of the procedures Strauss /Wolf. They are similar to the pending actions, their legal analysis is identical and their result will depend on the outcome of the motion for a summary judgement filed by Crédit Lyonnais in February 2018. From a procedural standpoint they will remain outstanding until then.

On 31 March 2019 the court upheld in its entirety the motion for summary judgement filed by Crédit Lyonnais in February 2018. It considered that no reasonable jury could find in favour of the plaintiffs and dismissed all their claims. The plaintiffs appealed against this decision.

CIE (Cheque Image Exchange) case

In March 2008, LCL and Crédit Agricole S.A. and ten other banks were served notice of grievances on behalf of the *Conseil de la concurrence*, i.e. the French Competition Council (now the *Autorité de la concurrence*).

They are accused of colluding to implement and apply exchange fees for cashing cheques since the transition to the Cheque Image Exchange system, i.e. between 2002 and 2007. In the opinion of the *Autorité de la concurrence*, these fees constitute anti-competitive price agreements in the meaning of Article 81 paragraph 1 of the treaty establishing the European Community and Article L. 420-1 of the French Commercial Code, and allegedly caused damage to the economy.

In their defence, the banks categorically refuted the anticompetitiveness of the fees and contested the legality of the proceedings.

In a decision published on 20 September 2010, the *Autorité de la concurrence* stated that the Cheque Image Exchange fee (CEIC) was anti-competitive by its very aim and that it artificially increased the costs borne by remitting banks, which resulted in an unfavourable impact on the prices of banking services. Concerning one of the fees for related services, the fee for cancellation of wrongly cleared transactions (AOCT), the *Autorité de la concurrence* called on the banks to revise their amount within six months of the notification of the decision.

The accused banks were sanctioned for an overall amount of €384.92 million.

LCL and Crédit Agricole were respectively ordered to pay €20.7 million and €82.1 million for the CEIC and €0.2 million and €0.8 million for the AOCT.

All of the banks appealed the decision to the Paris Court of Appeal. By a decree of 23 February 2012, the Court overruled the decision, stating that the *Autorité de la concurrence* had not demonstrated the existence of competition restrictions rendering the agreement anti-competitive by object.

The *Autorité de la concurrence* filed an appeal with the Supreme Court on 23 March 2012.

On 14 April 2015, the French Supreme Court (*Cour de cassation*) overruled the Paris Court of Appeal's decision dated 23 February 2012 and remanded the case to the Paris Court of Appeal with a change in the composition of the Court on the sole ground that the Paris Court of Appeal declared the UFC-Que Choisir and ADUMPE's interventions in the proceedings devoid of purpose without having considered their arguments.

The Supreme Court did not rule on the merits of the case and Crédit Agricole has brought the case before the Paris Court of Appeal.

The Paris Court of Appeal issued its ruling on 21 December 2017. It confirmed the decision of the *Autorité de la concurrence* dated 20 September 2010 but reduced the monetary sanction against Crédit Agricole from €82,940,000 to €76,560,000. LCL's sanction remains unchanged, at an amount of €20,930,000.

As well as the other banks parties to this procedure, LCL and Crédit Agricole filed an appeal with the Supreme Court.

On 29 January 2020, the French Supreme Court overruled the Paris Court of Appeal's decision dated 21 December 2017 and referred the case to the same Court with a different composition on the ground that the Paris Court of Appeal had not characterized the existence of restrictions of competition by object.

Office of Foreign Assets Control (OFAC)

In October 2015, Crédit Agricole S.A. and its subsidiary Crédit Agricole Corporate and Investment Bank (Crédit Agricole CIB) reached agreements with the US federal and New York State authorities that had been conducting investigations regarding US dollar transactions with countries subject to US economic sanctions. The events covered by this agreement took place between 2003 and 2008.

Crédit Agricole CIB and Crédit Agricole S.A., which cooperated with the US federal and New York State authorities in connection with their investigations, have agreed to pay a total penalty amount of \$787.3 million (i.e. €692.7 million). The payment of this penalty has been allocated to the pre-existing reserve that had already been taken and, therefore, has not affected the accounts for the second half of 2015.

The agreements with the Board of Governors of the Federal Reserve System (Fed) and the New York State Department of Financial Services (NYDFS) are with CASA and Crédit Agricole CIB. The agreement with the Office of Foreign Assets Control (OFAC) of the US Department of the Treasury is with Crédit Agricole CIB. Crédit Agricole CIB also entered into separate Deferred Prosecution Agreements (DPAs) with the United States Attorney's Office for the District of Columbia (USAO) and the District Attorney of New York (DANY), the terms of which are three years. On 19 October 2018 the two deferred prosecution agreements with USAO and DANY ended at the end of the three year period, Crédit Agricole CIB having complied with all its obligations under the DPAs.

Crédit Agricole continues to strengthen its internal procedures and its compliance programmes regarding laws on international sanctions and will continue to cooperate fully with the US federal and New York State authorities, with its home regulators, the European Central Bank and the French Regulatory and Resolution Supervisory Authority (ACPR), and with the other regulators across its worldwide network.

Pursuant to the agreements with NYDFS and the US Federal Reserve, Crédit Agricole's compliance program is subject to regular reviews to evaluate its effectiveness, including a review by an independent consultant appointed by NYDFS for a term of one year and annual reviews by an independent consultant approved by the Federal Reserve.

Euribor/Libor and other indexes

Crédit Agricole S.A. and its subsidiary Crédit Agricole CIB, in their capacity as contributors to a number of interbank rates, have received requests for information from a number of authorities as part of investigations into: (i) the calculation of the Libor (London Interbank Offered Rates) in a number of currencies, the Euribor (Euro Interbank Offered Rate) and certain other market indices; and (ii) transactions connected with these rates and indices. These demands covered several periods from 2005 to 2012.

As part of its cooperation with the authorities, Crédit Agricole S.A. and its subsidiary Crédit Agricole CIB carried out investigations in order to gather the information requested by the various authorities and in particular the American authorities – the DOJ (Department of Justice) and CFTC (Commodity Future Trading Commission) – with which they are in discussions. It is currently not possible to know the outcome of these discussions, nor the date when they will be concluded.

Furthermore, Crédit Agricole CIB is currently under investigation opened by the Attorney General of the State of Florida on both the Libor and the Euribor.

Following its investigation and an unsuccessful settlement procedure, on 21 May 2014, the European Commission sent a statement of objection to Crédit Agricole S.A. and to Crédit Agricole CIB pertaining to agreements or concerted practices for the purpose and/or effect of preventing, restricting or distorting competition in derivatives related to the Euribor.

In a decision dated 7 December 2016, the European Commission jointly fined Crédit Agricole S.A. and Crédit Agricole CIB €114,654,000 for participating in a cartel in euro interest rate derivatives. Crédit Agricole S.A. and Crédit Agricole CIB are challenging this decision and have asked the European Court of Justice to overturn it.

Additionally, the Swiss competition authority, COMCO, is conducting an investigation into the market for interest rate derivatives, including the Euribor, with regard to Crédit Agricole S.A. and several Swiss and international banks. This investigation was closed following a settlement under which Crédit Agricole S.A. agreed to pay a penalty of CHF 4,465,701 and costs of proceedings amounting to CHF 187,012, without any admission of guilt.

Moreover, in June 2016 the South Korean competition authority (KFTC) decided to close the investigation launched in September 2015 into Crédit Agricole CIB and the Libor index on various currencies, Euribor and Tibor indices. The investigation into certain foreign exchange derivatives (ABS-NDF) has been closed by the KFTC according to a decision notified to Crédit Agricole CIB on 20 December 2018.

Concerning the two class actions in the United States in which Crédit Agricole S.A. and Crédit Agricole CIB have been named since 2012 and 2013 along with other financial institutions, both as defendants in one ("Sullivan" for the Euribor) and only Crédit Agricole S.A. as defendant for the other ("Lieberman" for Libor), the "Lieberman" class action that consists in the examination of its admissibility is at the preliminary stage; proceedings are still suspended before the US District Court of New York State. Concerning the "Sullivan" class action, Crédit Agricole S.A. and

Crédit Agricole CIB introduced a motion to dismiss the applicants' claim. The US District Court of New York State upheld the motion to dismiss regarding Crédit Agricole S.A. and Crédit Agricole CIB in first instance. On 14 June 2019, the plaintiffs appealed this decision.

Since 1 July 2016, Crédit Agricole S.A. and Crédit Agricole CIB, together with other banks, are also party to a new class action suit in the United States ("Frontpoint") relating to the SIBOR (Singapore Interbank Offered Rate) and SOR (Singapore Swap Offer Rate) indices. After having granted a first motion to dismiss filed by Crédit Agricole S.A. and Crédit Agricole CIB, the New York Federal District Court, ruling on a new request by the plaintiffs, excluded Crédit Agricole S.A. from the Frontpoint case on the grounds that it had not contributed to the relevant indices. The court considered, however, taking into account recent developments in case law, that its jurisdiction could apply to Crédit Agricole CIB, as well as to all the banks that are members of the SIBOR index panel. The allegations contained in the complaint regarding the SIBOR/USD index and the SOR index were also rejected by the court, therefore the SIBOR/Singapore dollar index alone is still taken into account. On 26 December 2018, the plaintiffs filed a new complaint aimed at reintroducing into the scope of the Frontpoint case the alleged manipulations of the SIBOR and SOR indices that affected the transactions in US dollars. Crédit Agricole CIB, alongside the other defendants, objected to this new complaint at the hearing held on 2 May 2019 before the New York Federal District Court. On 26 July 2019, the Federal Court granted the defendants' motion to dismiss. The plaintiffs filed a notice of appeal on August 26, 2019.

These class actions are civil actions in which the plaintiffs claim that they are victims of the methods used to set the Euribor, Libor, SIBOR and SOR rates, and seek repayment of the sums they allege were unlawfully received, as well as damages and reimbursement of costs and fees paid.

Banque Saudi Fransi

Crédit Agricole Corporate Investment Bank (Crédit Agricole CIB) had received in 2018 a request for arbitration submitted by Banque Saudi Fransi (BSF) before the International Chamber of Commerce (ICC). The dispute related to the performance of a technical services agreement between BSF and Crédit Agricole CIB that is no longer in force. BSF had quantified its claim at SAR 1,023,523,357, the equivalent of about €242 million. Crédit Agricole CIB and BSF have entered into an agreement effectively ending the ICC arbitration proceedings. This agreement has no significant impact on Crédit Agricole CIB's Financial Statements.

SSA Bonds

Several regulators have requested information from Crédit Agricole S.A. and Crédit Agricole CIB as part of investigations relating to the activities of a number of banks involved in the secondary trading of SSA (Supranational, Sub-Sovereign and Agencies) Bonds denominated in US dollars. Through the cooperation with these regulators, Crédit Agricole CIB proceeded to internal inquiries to gather the required information available. On 20 December 2018, the European Commission issued a Statement of Objections to a number of banks including Crédit Agricole S.A. and Crédit Agricole CIB within its inquiry on a possible infringement of rules of European Competition law in the secondary trading of Bonds SSA denominated in American dollars. Crédit Agricole S.A. and Crédit Agricole CIB became aware of these objections and issued a response on 29 March 2019, followed by an oral hearing on 10-11 July 2019.

Crédit Agricole CIB is included with other banks in a putative consolidated class action before the United States District Court for the Southern District of New York. That action was dismissed on 29 August 2018 on the basis that the plaintiffs failed to allege an injury sufficient to give them standing. However the plaintiffs have been given an opportunity to attempt to remedy

that defect. The plaintiffs filed an amended complaint on 7 November 2018. Crédit Agricole CIB as well as the other defendants have filed motions to dismiss the amended complaint. In the case of Crédit Agricole CIB, the complaint was deemed inadmissible on 30 September 2019 for lack of jurisdiction of the New York court, and in a subsequent decision, the Court ruled that the plaintiffs had in any event failed to establish a violation of US antitrust law. The plaintiffs appealed both decisions in June 2020.

On 7 February 2019, another class action was filed against Crédit Agricole CIB and the other defendants named in the class action already pending before the United States District Court for the Southern District of New York. The plaintiffs voluntarily discontinued the action in July 2020, but it could be resumed.

On 11 July 2018, Crédit Agricole S.A. and Crédit Agricole CIB were notified with other banks of a class action filed in Canada, before the Ontario Superior Court of Justice. Another action was filed the same day in the Federal Court. The action in the Ontario Superior Court of Justice was dismissed on 19 February 2020.

It is not possible at this stage to predict the outcome of these investigations, proceedings or class actions or the date on which they will end.

O'Sullivan and Tavera

On 9 November 2017, a group of individuals (or their families or estates) who claimed to have been injured or killed in attacks in Iraq filed a complaint ("O'Sullivan I") against several banks including Crédit Agricole S.A., and its subsidiary Crédit Agricole Corporate Investment Bank (Crédit Agricole CIB), in US Federal District Court in New York.

On 29 December 2018, the same group of individuals, together with 57 new plaintiffs, filed a separate action ("O'Sullivan II") against the same defendants.

On 21 December 2018, a different group of individuals filed a complaint ("Tavera") against the same defendants.

All three complaints allege that Crédit Agricole S.A., Crédit Agricole CIB, and other defendants conspired with Iran and its agents to violate US sanctions and engage in transactions with Iranian entities in violation of the US Anti-Terrorism Act and the Justice Against Sponsors of Terrorism Act. Specifically, the complaints allege that Crédit Agricole S.A., Crédit Agricole CIB, and other defendants processed US dollar transactions on behalf of Iran and Iranian entities in violation of sanctions administered by the US Treasury Department's Office of Foreign Assets Control, which allegedly enabled Iran to fund terrorist organisations that, as is alleged, attacked plaintiffs. The plaintiffs are seeking an unspecified amount of compensatory damages.

On 2 March 2018, Crédit Agricole CIB and other defendants filed a motion to dismiss the O'Sullivan I Complaint. On 28 March 2019, the Court granted defendants' motion to dismiss. On 22 April 2019, the plaintiffs filed a motion to amend their complaint. The defendants submitted an opposition to that motion on 20 May 2019 and the plaintiffs filed a reply on 10 June 2019. On 25 February 2020 the plaintiffs' motion to amend their complaint was denied and their original complaint dismissed with prejudice.

On 28 May 2020, the plaintiffs filed a new motion for a final decision subject to appeal. The defendants opposed the motion on 11 June 2020 and the plaintiffs responded on 18 June 2020. The Court has not yet ruled on the motion.

Italian Competition Authority

On 5 October 2018, CA Consumer Finance S.A. ("Crédit Agricole Consumer Finance") and its subsidiary FCA Bank S.p.A. received – together with several other banks and certain car manufacturers – a statement of objections from the *Autorità garante della concorrenza e del mercato* (Italian Competition Authority). It was alleged in this statement of objections that several banks offering financing solutions for vehicles commercialised by certain car manufacturers have restricted competition as a result of certain exchanges of information, in particular within two professional associations.

In a decision notified on 9 January 2019 the *Autorità garante della concorrenza e del mercato* considered that FCA Bank S.p.A. had participated in this alleged infringement and this infringement was also attributable to Crédit Agricole Consumer Finance.

FCA Bank S.p.A. has been fined €178.9 million. FCA Bank S.p.A. and Crédit Agricole Consumer Finance appealed against this decision before the Administrative Regional Court (TAR) of Lazio. On 4 April 2019, the TAR of Lazio issued an interim relief order staying the execution of the obligation to pay the fine imposed on FCA Bank S.p.A. subject to the provision by FCA Bank S.p.A. of a guarantee covering the amount of the fine.

In a ruling dated 24 November 2020, the TAR of Lazio annulled the decision of the *Autorità garante della concorrenza e del mercato*. The *Autorità garante della concorrenza e del mercato* filed an appeal against this decision before the Italian Council of State on 23 December 2020.

Intercontinental Exchange, Inc. ("ICE")

On 15 January 2019 a class action ("Putnam Bank") was filed before a federal court in New York (US District Court Southern District of New York) against Intercontinental Exchange, Inc. ("ICE") and a number of banks including Crédit Agricole S.A., Crédit Agricole CIB and Crédit Agricole Securities-USA. This action was filed by plaintiffs who allege that they have invested in financial instruments indexed to the USD ICE LIBOR. They accuse the banks of having collusively set the index USD ICE Libor at artificially low levels since February 2014 and made thus illegal profits.

On 31 January 2019 a similar action ("Livonia") was filed before the US District Court Southern District of New York, against a number of banks including Crédit Agricole S.A., Crédit Agricole CIB and Crédit Agricole Securities-USA. On 1 February 2019, these two class actions were consolidated for pre-trial purposes.

On 4 March 2019, a third class action ("Hawaii Sheet Metal Workers retirement funds") was filed against the same banks in the same court and consolidated with the two previous actions on 26 April 2019. On 1 July 2019, the plaintiffs filed a consolidated class action complaint.

On 30 August 2019, the defendants filed a motion to dismiss against this consolidated complaint.

On 26 March 2020, the judge granted the defendants' motion to dismiss. On 24 April 2020, the plaintiffs appealed this decision.

On 30 November 2020, the plaintiffs' lawyers, during the pleadings phase, informed the defendants of the named plaintiffs' wish to withdraw and on 1 December 2020 filed an application for a stay of proceedings, to which the defendants objected. The court rejected this request on 7 December 2020 and the plaintiffs responded on 15 December 2020.

On 28 December 2020, DYJ Holdings Inc. filed an application to intervene in lieu of the named plaintiffs. On 7 January 2021, the defendants objected and also filed a motion to dismiss the appeal.

Crédit Agricole Consumer Finance Nederland B.V.

The conditions for the review of the interest rates of revolving loans marketed by Crédit Agricole Consumer Finance Nederland B.V., a wholly owned subsidiary of Crédit Agricole Consumer Finance S.A., and its subsidiaries are the subject of borrowers' claims relating to the criteria for revising these rates and possible overpayments of interests.

On 21 January 2019, in two individual cases concerning two subsidiaries of Crédit Agricole Consumer Finance Nederland B.V., the Appeals Committee of KIFID (the Financial Services Complaints Authority) in the Netherlands decided that in case the consumers had no or insufficient information on the specific factors that determine the interest rate, the individual interest rate needed to follow the movement of market interest rates on consumer loans.

Crédit Agricole Consumer Finance Nederland B.V. implemented a compensation plan for the benefit of the borrowers in May of 2020 which takes into account the aforementioned decisions of KIFID.

CACEIS Germany

CACEIS Germany has received from the Bavarian tax authorities a request for the reimbursement of taxes on dividends repaid to some of its customers in 2010.

The request amounts to €312 million. In addition, CACEIS is requested to pay €148 million late interest (calculated at a rate of 6% p.a.).

CACEIS Germany vigorously contests this request, which it regards as completely unfounded. CACEIS Germany has requested a suspension of execution of the payment order pending a ruling in the substantive proceedings. A suspension of execution was granted for the payment of the €148 million late interest but was dismissed for the €312 million principal repayment requested. CACEIS has lodged an appeal against this ruling. As the decision dismissing the appeal was immediately enforceable, CACEIS made the €312 million payment and considering the appeal proceedings in progress, recorded a receivable of an equivalent amount in its financial statements.

Amundi – AMF procedure

Following an investigation conducted between 2017 and 2019, the French Financial Market Authority (AMF) notified Amundi of various complaints on 12 June 2020. The complaints concern the management of certain transactions carried out by two Amundi employees between 2014 and 2015. The case has been referred to a *Rapporteur* who will present his/her findings to the Sanctions Committee at the end of the investigation of the case. Amundi is cooperating fully in this procedure. To date, no sanctions have been announced against Amundi.

Home purchase savings plan provision

Deposits collected in home purchase savings accounts and plans during the savings phase

(in millions of euros)	31/12/2020	31/12/2019
HOME PURCHASE SAVINGS PLANS		
Under 4 years old	6,408	6,417
Between 4 and 10 years old	52,694	48,311
Over 10 years old	48,569	49,439
Total home purchase savings plans	107,671	104,167
Total home purchase savings accounts	12,654	11,946
TOTAL DEPOSITS COLLECTED UNDER HOME PURCHASE SAVINGS CONTRACTS	120,325	116,113

Customer deposits outstanding, excluding government subsidies, are based on the carrying amount at the end of November 2020 for the financial statements at 31 December 2020 and at the end of November 2019 for the financial statements at 31 December 2019.

Outstanding loans granted to holders of home purchase savings accounts and plans

(in millions of euros)	31/12/2020	31/12/2019
Home purchase savings plans	42	63
Home purchase savings accounts	207	321
TOTAL OUTSTANDING LOANS GRANTED UNDER HOME PURCHASE SAVINGS CONTRACTS	249	384

Provision for home purchase savings accounts and plans

(in millions of euros)	31/12/2020	31/12/2019
HOME PURCHASE SAVINGS PLANS		
Under 4 years old	5	3
Between 4 and 10 years old	531	545
Over 10 years old	818	647
Total home purchase savings plans	1,354	1,195
Total home purchase savings accounts	-	-
TOTAL PROVISIONS FOR HOME PURCHASE SAVINGS CONTRACTS	1,354	1,195

(in millions of euros)	31/12/2019	Additions	Reversals	Other movements	31/12/2020
Home purchase savings plans	1,195	188	(29)	-	1,354
Home purchase savings accounts	-	-	-	-	-
TOTAL PROVISIONS FOR HOME PURCHASE SAVINGS CONTRACTS	1,195	188	(29)	-	1,354

Age plan is determined based on the date of the midway point in the generation of plans to which they belong.

All of the home purchase savings plans and accounts collected by the Regional Banks are recognised at 100% as liabilities in the consolidated financial statements of the Crédit Agricole Group.

Half of the amount of outstanding loans related to home purchase savings plans and accounts is recognised by the Crédit Agricole Group and the other half by the Regional Banks in the tables above.

The amounts recognised under provisions represent the portion of risk borne by Crédit Agricole S.A., LCL and the Regional Banks.

6.19 SUBORDINATED DEBT

(in millions of euros)	31/12/2020	31/12/2019
Dated subordinated debt ⁽¹⁾	23,242	20,786
Undated subordinated debt ⁽²⁾	411	645
Mutual security deposits	181	168
Participating securities and loans	62	62
CARRYING AMOUNT	23,896	21,661

(1) Includes issues of dated subordinated notes "TSR".

(2) Includes issues of deeply subordinated notes "TSS" and undated subordinated notes "TSDI".

At 31 December 2020, outstanding deeply subordinated notes amounted to €247 million compared to €472 million at 31 December 2019.

The debt instruments issued by Crédit Agricole S.A. and subscribed by Crédit Agricole Group insurance companies were eliminated for euro contracts. They were eliminated for the portion backing unit-linked contracts with financial risk borne by the policyholder.

Subordinated debt

The issue of subordinated debt plays a part in regulatory capital management while contributing to refinancing all of Crédit Agricole S.A.'s operation.

The Capital Requirements Regulation and Directive CRD/CRR (as last amended by Directive (EU) 2019/878, called CRD 5, and Regulation (EU) 2019/876 of 20 May 2019, called CRR2) define, among other things, the conditions under which subordinated instruments qualify as regulatory capital and set out the terms and conditions for the phase-out of old instruments that do not meet these requirements, between 1 January 2014 (first effective date of the CRD Directive and the CRR Regulation) and 1 January 2022, and, for instruments issued before 27 June 2019 (date of entry into force of the CRD 5 Directive and the CRR2 Regulation amending CRD 4 and CRR), until 28 June 2025 and subject to certain criteria.

All subordinated debt issuance, whether new or old, is likely to be subject to Bail-in in certain circumstances, particularly in the event of resolution of the issuing bank, in accordance with applicable French law transposing Directive 2014/59/EU of the European Parliament and of the Council on the reorganisation and resolution of credit institutions and investment firms of 15 May 2014 (as amended, inter alia, by Directive (EU) 2019/879 of 20 May 2019 on the loss-absorption capacity and recapitalisation of credit institutions and investment firms) (the "BRRD Directive").

The different types of subordinated debt issued by Crédit Agricole S.A. and still outstanding are detailed below: these are undated deeply subordinated notes and dated subordinated notes.

Consequently, the ratio between the provision booked and the outstanding amounts shown on Crédit Agricole Group's balance sheet is not representative of the level of provisioning for home purchase savings risk.

Deeply subordinated notes (TSS)

The Crédit Agricole Group has issued several generations of undated deeply subordinated notes, given the various regulations and legislation applicable at the time of their issuance.

The common feature of these securities is that they are all issued for an indefinite period of time. They may be redeemed under the conditions that are contractually defined, subject to certain specific conditions related in particular to their original eligibility as Tier 1 equity.

New issuances of TSS are only made on international markets for institutional investors under English, French or State of New York (United States) law.

TSS differ from other debt securities by virtue of their ranking in liquidation (principal and interest) contractually defined by their deep subordination clause, which refers explicitly to applicable French law, depending on the date on which they were issued.

Dated subordinated notes (TSR) and contingent capital securities

Dated subordinated notes (TSR) issued by Crédit Agricole S.A. are loans with a fixed term (maturity). They may be redeemed prior to maturity under the conditions that are contractually defined, subject to certain conditions related in particular to their original eligibility as Tier 2 equity.

TSR are issued either on the French market under French law or on the international markets under French, UK, State of New York (United States) or Japanese law.

TSR differ from preferred or non-preferred senior bonds by virtue of ranking in liquidation (principal and interest) contractually defined by their subordination clause, which refers explicitly to applicable French law, depending on the date on which they were issued (TSR are junior to non-preferred and preferred senior bonds).

Early redemption as part of the conditions for all subordinated note issues (TSR or TSS)

Depending on the conditions determined at the time of their issue, the aforementioned TSR or TSS may be the subject of:

- on-market or off-market buy-back transactions or through public takeover bids or exchange offers subject to approval by the competent regulator and/or supervisory authority, and/or at the initiative of Crédit Agricole S.A., in accordance with the contractual clauses applicable to each issuance;
- the exercise of an early redemption option at the initiative of Crédit Agricole S.A. ("call option"), under the conditions and subject to approval by the competent regulator, where appropriate, at the times defined by the contractual terms of the issue, in the event that the issuance agreement for the securities contains such a clause.

Senior non-preferred debt issues

With the law on transparency, the fight against corruption and the modernisation of the economy (also referred to as the “Sapin 2 Law”) of 10 December 2016, France created a new category of senior debt – senior “non-preferred” debt – meeting the eligibility criteria of the TLAC and MREL ratios (as they are presently defined) (codified in Articles L. 613-30-3-I-4° and R. 613-28 of the French Monetary and Financial Code). This category of debt is also covered in the BRRD Directive.

Senior non-preferred securities differ from senior preferred securities by virtue of their ranking in liquidation contractually defined by reference to Articles L. 613-30-3-I-4° and R. 613-28 of the French Monetary and Financial Code referred to above (senior non-preferred securities are junior to senior preferred securities and senior to subordinated securities [including the TSS and TSR referred to above]).

The outstanding amount of senior non-preferred securities of Crédit Agricole S.A. and Crédit Agricole Group thus stood at €24.1 billion in euro equivalent at 31 December 2020, *versus* €18.5 billion in euro equivalent at 31 December 2019.

Covered bond-type issues

In order to increase the amount of medium and long-term financing, the Group issues Covered Bonds through two subsidiaries in France, one subsidiary in Italy and one subsidiary in Switzerland:

- Crédit Agricole Home Loan SFH, whose initial issue was launched in January 2009. The total amount outstanding, in euro equivalent, was €33 billion at 31 December 2020;
- Crédit Agricole Public Sector SCF, whose initial issue was launched in October 2012. The total amount issued and outstanding was €4 billion at 31 December 2020;
- Crédit Agricole Italia: the total amount issued and outstanding at 31 December 2020 was €10 billion in OBG (covered bonds), including €1.75 billion retained at 31 December 2020;
- Crédit Agricole Nextbank, whose initial issue was in September 2020 for 200 million Swiss francs, or €184 million in euro equivalent.

6.20 UNDATED SUBORDINATED AND DEEPLY SUBORDINATED DEBT

At 31 December 2020, the Crédit Agricole Group reviewed the accounting treatment of coupons paid to investors relating to RT1 (Restricted Tier 1) subordinated financial instruments issued by Crédit Agricole Assurances (CAA) and subscribed by investors outside the Group.

Since the compensation of these instruments is classified as “cumulative”, it is vested in the holders of those instruments, who are thus allocated a portion of the income.

This has the following consequences:

- coupons are allocated to non-controlling interests in the income statement by deducting them from the Group share of income;
- at the time of their payment, coupons are deducted from equity relating to non-controlling interests.

The main issues of undated subordinated and deeply subordinated debt classified in shareholders' equity Group share are:

		At 31/12/2020						
Issue date	Currency	Amount in currency at 31/12/2019 (in millions of units)	Partial repurchases and redemptions (in millions of units)	Amount in currency at 31/12/2020 (in millions of units)	Amount in euros at inception rate (in millions of euros)	Interests paid Group share (in millions of euros)	Issuance costs net of taxes (in millions of euros)	Shareholders' equity Group share (in millions of euros)
23/01/2014	USD	1,750	-	1,750	1,283	(827)	(8)	448
08/04/2014	GBP	500	-	500	607	(300)	(4)	303
08/04/2014	EUR	1,000	-	1,000	1,000	(436)	(6)	558
19/01/2016	USD	1,250	-	1,250	1,150	(440)	(8)	702
26/02/2019	USD	1,250	-	1,250	1,098	(121)	(7)	970
14/10/2020	EUR	-	-	750	750	(6)	(5)	739
Crédit Agricole S.A. Issues			-		5,888	(2,130)	(38)	3,720
Issues subscribed in-house								
Group share/ Non controlling interests effect					-	32	-	32
Issues subscribed by Crédit Agricole CIB for currency regulation					-	-	-	-
TOTAL					5,888	(2,098)	(38)	3,752

The main issues of undated subordinated and deeply subordinated debt classified in shareholder's equity – Non controlling interests share (insurance) are:

Issue date	Currency	Amount in currency at 31/12/2019 <i>(in millions of units)</i>	Partial repurchases and redemptions <i>(in millions of units)</i>	Amount in currency at 31/12/2020 <i>(in millions of units)</i>	At 31/12/2020	
					At 31/12/2020 Amount in euros at inception rate <i>(in millions of euros)</i>	Income – Non controlling interests <i>(in millions of euros)</i>
14/10/2014	EUR	745	-	745	745	(203)
13/01/2015	EUR	1,000	-	1,000	1,000	(211)
Insurance Issues					1745	(414)
TOTAL					1,745	(414)

Changes relating to undated subordinated and deeply subordinated debt affecting shareholders' equity Group share are as follows:

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
Undated deeply subordinated notes		
Interests paid accounted as reserves	(383)	(410)
Changes in nominal amounts	754	123
Income tax savings related to interest paid to security holders recognised in net income	127	145
Issuance costs (net of tax) accounted as reserves	(5)	(7)
Other	-	(109)
Undated subordinated notes		
Interests paid accounted as reserves ⁽¹⁾	-	(76)
Changes in nominal amounts	-	13
Income tax savings related to interest paid to security holders recognised in net income	24	26
Issuance costs (net of tax) accounted as reserves	-	-
Other	-	-

(1) Following the change in accounting method for RT1 coupons on 31 December 2020, these are now recognised in Net profit (loss) for the year attributable to minority interests.

As undated subordinated and deeply subordinated financial instruments are considered equity instruments issued, the tax effects on the compensation paid are recognised as income tax in the income statement.

6.21 NET PROFIT (LOSS) FOR THE YEAR ATTRIBUTABLE TO MINORITY INTERESTS

Information on significant non-controlling interests

The table below presents information on the consolidated subsidiaries and structured entities with significant non-controlling interests in relation to the total equity of the Group or of the sub-group level or where the total balance sheet of the entities held by the non-controlling interests is significant.

	31/12/2020				
(in millions of euros)	% of voting rights held by non-controlling interests	% of ownership interests held by non-controlling interests	Net income allocated to non-controlling interests during the reporting period	Accumulated non-controlling interests at the end of the reporting period	Dividends paid to non-controlling interests
Amundi Group	30%	30%	275	2,414	-
Crédit Agricole Italia Group	15%	15%	(45)	853	-
CACEIS Group	30%	30%	58	1,030	-
AGOS SPA	39%	39%	82	376	64
CA Égypte	40%	40%	26	145	22
Other entities ⁽¹⁾			108	2,091	12
TOTAL	-	-	504	6,909	98

(1) Of which €1,745 million related to the issuance of Additional Tier 1 undated subordinated bonds realised on 14 October 2014 and 13 January 2015 by Crédit Agricole Assurances, accounted for in equity of non-controlling interests.

	31/12/2019				
(in millions of euros)	% of voting rights held by non-controlling interests	% of ownership interests held by non-controlling interests	Net income allocated to non-controlling interests during the reporting period	Accumulated non-controlling interests at the end of the reporting period	Dividends paid to non-controlling interests
Amundi Group	30%	30%	279	2,093	171
Crédit Agricole Italia Group	15%	15%	55	896	28
CACEIS Group	30%	30%	-	1,010	2
AGOS SPA	39%	39%	104	363	106
CA Égypte	40%	40%	43	155	25
Other entities ⁽¹⁾			25	2,045	15
TOTAL			506	6,562	347

(1) Of which €1,726 million related to the issuance of Additional Tier 1 undated subordinated bonds realised on 14 October 2014 and 13 January 2015 by Crédit Agricole Assurances, accounted for in equity of non-controlling interests.

Individual summary financial information on significant non-controlling interests

The table below presents summary information on subsidiaries with significant non-controlling interests for the Crédit Agricole Group on the basis of the IFRS financial statements.

	31/12/2020			
(in millions of euros)	Total assets	Revenues	Net income	Net income and other comprehensive income
Amundi Group	28,888	2,521	907	757
Crédit Agricole Italia Group	76,328	1,891	217	240
CACEIS Group	120,695	1,129	189	156
AGOS SPA	17,309	809	223	222
CA Égypte	2,704	197	66	65
TOTAL	245,924	6,547	1,602	1,440

	31/12/2019			
				Net income and other comprehensive income
<i>(in millions of euros)</i>	Total assets	Revenues	Net income	
Amundi Group	24,261	2,636	959	966
Crédit Agricole Italia Group	64,231	1,950	326	401
CACEIS Group	88,015	939	158	205
AGOS SPA	18,180	868	267	266
CA Égypte	2,850	216	108	122
TOTAL	197,538	6,609	1,818	1,960

6.22 BREAKDOWN OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES BY CONTRACTUAL MATURITY

The breakdown of balance sheet financial assets and liabilities is made according to contractual maturity date.

The maturities of derivative instruments held for trading and for hedging correspond to their date of contractual maturity.

Equities and other variable-income securities are by nature without maturity; they are classified "Indefinite".

	31/12/2020					
		> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	TOTAL
<i>(in millions of euros)</i>	≤ 3 months					
Cash, central banks	197,792	-	-	-	-	197,792
Financial assets at fair value through profit or loss	122,462	28,506	39,987	82,117	165,462	438,534
Hedging derivative Instruments	1,538	2,856	4,709	13,862	-	22,965
Financial assets at fair value through other comprehensive income	9,165	14,925	100,815	149,271	3,733	277,909
Financial assets at amortised cost	153,961	136,215	426,599	445,749	3,126	1,165,650
Revaluation adjustment on interest rate hedged portfolios	13,524					13,524
TOTAL FINANCIAL ASSETS BY MATURITY	498,442	182,502	572,110	690,999	172,321	2,116,374
Central banks	864	-	-	-	-	864
Financial liabilities at fair value through profit or loss	108,788	20,907	41,417	92,048	-	263,160
Hedging derivative Instruments	1,961	677	6,399	14,682	6	23,725
Financial liabilities at amortised cost	972,311	72,168	232,203	57,489	-	1,334,171
Subordinated debt	451	1,501	5,932	15,422	590	23,896
Revaluation adjustment on interest rate hedged portfolios	11,541					11,541
TOTAL FINANCIAL LIABILITIES BY MATURITY	1,095,916	95,253	285,951	179,641	596	1,657,357

	31/12/2019					
		> 3 months up to ≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Indefinite	TOTAL
<i>(in millions of euros)</i>	≤ 3 months					
Cash, central banks	97,135	-	-	-	-	97,135
Financial assets at fair value through profit or loss	97,267	23,956	43,177	79,766	160,170	404,336
Hedging derivative Instruments	2,839	485	4,735	12,888	-	20,947
Financial assets at fair value through other comprehensive income	8,671	16,804	99,058	143,650	4,129	272,312
Financial assets at amortised cost	180,330	112,565	390,827	421,694	4,163	1,109,579
Revaluation adjustment on interest rate hedged portfolios	11,714					11,714
TOTAL FINANCIAL ASSETS BY MATURITY	397,956	153,810	537,797	657,998	168,462	1,916,023
Central banks	2,183	-	-	-	-	2,183
Financial liabilities at fair value through profit or loss	100,109	11,475	43,307	90,218	-	245,109
Hedging derivative Instruments	1,577	630	5,272	13,019	-	20,498
Financial liabilities at amortised cost	880,647	103,581	124,271	59,948	-	1,168,448
Subordinated debt	312	1,230	1,986	17,334	799	21,661
Revaluation adjustment on interest rate hedged portfolios	10,508					10,508
TOTAL FINANCIAL LIABILITIES BY MATURITY	995,336	116,916	174,836	180,519	799	1,468,407

NOTE 7 Employee benefits and other compensation

7.1 ANALYSIS OF EMPLOYEE EXPENSES

(in millions of euros)	31/12/2020	31/12/2019
Salaries ⁽¹⁾⁽²⁾	(7,969)	(7,912)
Contributions to defined-contribution plans	(754)	(737)
Contributions to defined-benefit plans	(155)	(197)
Other social security expenses	(2,319)	(2,272)
Profit-sharing and incentive plans	(673)	(743)
Payroll-related tax	(815)	(794)
TOTAL EMPLOYEE EXPENSES	(12,685)	(12,656)

(1) Regarding deferred variable compensation paid to market professionals, the Crédit Agricole Group booked a charge for share-based payments of €70 million at 31 December 2020 compared to €51 million at 31 December 2019.

(2) Retirement-related indemnities amounted to €224 million at 31 December 2020, compared with €175 million at 31 December 2019.

7.2 AVERAGE HEADCOUNT

Average headcount	31/12/2020	31/12/2019
France	104,584	104,605
International	37,576	38,070
TOTAL	142,159	142,675

7.3 POST-EMPLOYMENT BENEFITS, DEFINED-CONTRIBUTION PLANS

“Employers” contribute to a variety of compulsory pension schemes. Plan assets are managed by independent organisations and the contributing companies have no legal or implied obligation to pay additional contributions if the funds do not have sufficient assets to cover all benefits corresponding to services rendered by employees during the year and during prior years.

Consequently, Crédit Agricole Group companies have no liability in this respect other than the contributions payable.

Within the Group, there are several compulsory defined-contribution plans, the main ones being Agirc/Arrco, which are French supplementary retirement plans, and some supplementary plans in place notably within UES Crédit Agricole S.A.

Analysis of supplementary pension plans in France

Business Line	Entity	Compulsory supplementary pension plans	Estimate number of employees covered as at 31/12/2020	Estimate number of employees covered as at 31/12/2019
Central Support functions	UES Crédit Agricole S.A.	Agriculture industry plan 1.24%	1,750	1,745
		“Article 83” Group Executive managers plan	219	192
French Retail Banking – LCL	LCL	“Article 83” Group Executive managers plan	292	303
Large Customers	Crédit Agricole CIB	“Article 83” type plan	5,032	4,925
	CAAS/Pacifica/SIRCA/LA MDF	Agriculture industry plan 1.24%	4,443	4,189
	CAAS/Pacifica/CACI/LA MDF	“Article 83” Group Executive managers plan	79	65
Asset Gathering	CACI/CA Indosuez Wealth (France)/ CA Indosuez Wealth (Group)/Amundi	“Article 83” type plan	3,725	3,456

7.4 POST-EMPLOYMENT BENEFITS, DEFINED-BENEFIT PLANS

Change in actuarial liability

	31/12/2020			31/12/2019
	Eurozone	Outside Eurozone	All Zones	All Zones
<i>(in millions of euros)</i>				
Actuarial liability at 31/12/N-1	3,030	1,773	4,803	4,483
Exchange difference	-	(55)	(55)	68
Cost of service rendered during the period	139	40	179	192
Financial cost	27	22	49	70
Employee contributions	1	15	16	18
Benefit plan changes, withdrawals and settlement	(77)	(18)	(95)	(202)
Changes in scope	(1)	(2)	(3)	37
Benefits paid (mandatory)	(145)	(79)	(224)	(176)
Tax, administrative costs and bonuses	-	-	-	-
Actuarial gains/(losses) arising from changes in demographic assumptions ⁽¹⁾	(45)	39	(6)	(56)
Actuarial gains/(losses) arising from changes in financial assumptions ⁽¹⁾	164	87	251	369
ACTUARIAL LIABILITY AT 31/12/N	3,093	1,822	4,915	4,803

(1) Of which actuarial gains/losses related to experience adjustment.

Breakdown of net charge recognised in the income statement

	31/12/2020			31/12/2019
	Eurozone	Outside Eurozone	All Zones	All Zones
<i>(in millions of euros)</i>				
Service cost	(62)	(24)	(86)	10
Net interest income (expense)	(11)	(3)	(14)	(16)
IMPACT ON PROFIT OR LOSS AT 31/12/N	(73)	(27)	(100)	(6)

Breakdown of income recognised in oci that will not be reclassified to profit or loss

	31/12/2020			31/12/2019
	Eurozone	Outside Eurozone	All Zones	All Zones
<i>(in millions of euros)</i>				
Revaluation from net liabilities (from net assets)				
Total amount of actuarial gains or losses recognised in other comprehensive income that will not be reclassified to profit or loss at 31/12/N-1	838	321	1,159	963
Exchange difference	-	(4)	(4)	7
Actuarial gains/(losses) on assets	(18)	(88)	(106)	(112)
Actuarial gains/(losses) arising from changes in demographic assumptions ⁽¹⁾	(45)	39	(6)	(56)
Actuarial gains/(losses) arising from changes in financial assumptions ⁽¹⁾	164	87	251	369
Adjustment of assets restriction's	7	2	9	-
Impact in other comprehensive income at 31/12/N	108	36	144	207

(1) Of which actuarial gains/losses related to experience adjustment.

Change in fair value of assets

	31/12/2020		31/12/2019	
	Eurozone	Outside Eurozone	All Zones	All Zones
<i>(in millions of euros)</i>				
Fair value of assets at 31/12/N-1	1,799	1,512	3,311	3,020
Exchange difference	-	(51)	(51)	61
Interests on asset (income)	15	20	35	52
Actuarial gains/(losses)	17	89	106	111
Employer contributions	118	30	148	157
Employee contributions	-	16	16	18
Benefit plan changes, withdrawals and settlement	-	-	-	-
Changes in scope	(7)	(1)	(8)	16
Tax, administrative costs and bonuses	-	(1)	(1)	(1)
Benefits paid out under the benefit plan	(71)	(76)	(147)	(123)
FAIR VALUE OF ASSETS AT 31/12/N	1,871	1,538	3,409	3,311

Change in fair value of reimbursement rights

	31/12/2020		31/12/2019	
	Eurozone	Outside Eurozone	All Zones	All Zones
<i>(in millions of euros)</i>				
Fair value of reimbursement rights at 31/12/N-1	338	-	338	337
Exchange difference	-	-	-	-
Interests on reimbursement rights (income)	2	-	2	4
Actuarial gains/(losses)	-	-	-	1
Employer contributions	7	-	7	-
Employee contributions	-	-	-	-
Benefit plan changes, withdrawals and settlement	-	-	-	-
Changes in scope	6	-	6	5
Tax, administrative costs and bonuses	-	-	-	-
Benefits paid out under the benefit plan	(37)	-	(37)	(9)
FAIR VALUE OF REIMBURSEMENT RIGHTS AT 31/12/N	316	-	316	338

Net position

	31/12/2020		31/12/2019	
	Eurozone	Outside Eurozone	All Zones	All Zones
<i>(in millions of euros)</i>				
Closing actuarial liability	(3,093)	(1,822)	(4,915)	(4,803)
Impact of asset restriction	(7)	(11)	(18)	(9)
Fair value of assets at end of period	1,871	1,538	3,409	3,311
NET POSITION OF ASSETS/(LIABILITIES) AT END OF PERIOD	(1,229)	(295)	(1,524)	(1,495)

Defined-benefit plans: main actuarial assumptions

	31/12/2020		31/12/2019	
	Eurozone	Outside Eurozone	Eurozone	Outside Eurozone
<i>(in millions of euros)</i>				
Discount rate ⁽¹⁾	0.35%	0.99%	0.84%	1.27%
Actual return on plan assets and on reimbursement rights	2.39%	7.34%	3.83%	8.56%
Expected salary increase rates ⁽²⁾	1.40%	1.74%	1.36%	1.80%
Rate of change in medical costs	0.00%	0.00%	0.00%	0.00%

(1) Discount rates are determined as a function of the average duration of the commitment, that is, the arithmetic mean of durations calculated between the assessment date and the payment date weighted by assumptions of staff turnover. The underlying used is the discount rate by reference to the iBoxx AA.

(2) Depending on the employees concerned (managers or non-managers).

Information of plan assets: allocation of assets⁽¹⁾

(in millions of euros)	Eurozone			Outside Eurozone			All Zones		
	%	Amount	of which listed	%	Amount	of which listed	%	Amount	of which listed
Equities	10.0%	219	86	24.3%	374	374	15.9%	593	460
Bonds	64.6%	1,412	377	49.3%	758	758	58.3%	2,169	1,134
Property/Real estate	5.2%	114		11.6%	178		7.9%	293	
Other assets	20.2%	441		14.8%	228		18.0%	669	

At 31 December 2020, the sensitivity analysis showed that:

- a 50 basis point increase in discount rates would reduce the commitment by -4.57%;
- a 50 basis point decrease in discount rates would increase the commitment by +5.10%.

The Crédit Agricole Group's policy on covering employee benefit obligations reflects local rules on funding post-employment benefits in countries with minimum funding requirements. Overall, commitments arising from the Group's post-employment obligations were 76% covered at 31 December 2020 (including redemption rights).

7.5 OTHER EMPLOYEE BENEFITS

In France, the Group's main entities pay long-service awards. The amounts vary according to practices and collective bargaining agreements in place.

The provisions funded by the Crédit Agricole Group for these other employee benefit obligations amounted to €442 million at 31 December 2020.

7.6 SHARE-BASED PAYMENTS

7.6.1 Stock option plan

No new plan was implemented in 2020.

7.6.2 Deferred variable compensation settled either in shares or in cash indexed to the share price

The deferred variable compensation plans implemented by the Group take two forms:

- equity-settled plans;
- cash-settled plans indexed to the Crédit Agricole S.A. share price.

Since 1 January 2016, all existing and future deferred variable compensation plans are now cash-settled plans indexed to the Crédit Agricole S.A. share

price. The impact of the revaluation of the commitment on the basis of the Crédit Agricole S.A. share price, which is not material, was recognised in equity.

This deferred variable compensation is subject to continued employment and a performance condition. It is broken down into thirds that are payable in March 2021, March 2022 and March 2023.

The expense related to these plans is recognised in compensation expenses. It is spread on a straight-line basis over the vesting period to factor in continued employment, and a liability is recorded in employee expenses, the amount of which is subject to periodical revaluation through profit or loss until the settlement date, depending on the evolution of the share price of Crédit Agricole S.A. and on vesting conditions (continued employment and performance).

(1) Of which fair value of reimbursement rights.

NOTE 8 Lease agreements

8.1 LEASES FOR WHICH THE GROUP IS THE LESSEE

The "Property, plant and equipment" item in the balance sheet consists of own and leased assets that do not meet the definition of investment properties.

(in millions of euros)	31/12/2020	31/12/2019
Owned property, plant and equipment	8,210	8,255
Right-of-use on lease contracts	2,329	1,898
TOTAL PROPERTY, PLANT AND EQUIPMENT USED IN OPERATIONS	10,539	10,153

The Crédit Agricole Group is also a lessee under lease agreements for IT equipment (photocopiers, computers, etc.) with terms of one to three years. These are low-value and/or short-term leases. The Crédit Agricole Group has opted to apply the exemptions provided for in IFRS 16 and not to recognise the right-of-use asset and the lease liability for these leases in the balance sheet.

Change in right of use assets

The Crédit Agricole Group is the lessee of many assets including offices, agencies and IT equipment.

Information relating to the contracts of which the Crédit Agricole Group is a lessee is presented below:

(in millions of euros)	31/12/2019	Changes in scope	Increases (acquisitions)	Decreases (disposals)	Translation adjustments	Other movements ⁽¹⁾	31/12/2020
Property/Real estate							
Gross amount	2,308	2	622	(388)	(31)	621	3,134
Depreciation and impairment	(497)	-	(451)	90	9	(74)	(923)
Total Property/Real estate	1,811	2	171	(298)	(22)	547	2,211
Equipment							
Gross amount	162	78	62	(55)	(6)	(2)	239
Depreciation and impairment	(75)	(16)	(55)	22	2	1	(121)
Total Equipment	87	62	7	(33)	(4)	(1)	118
TOTAL RIGHT-OF-USE	1,898	64	178	(331)	(26)	546	2,329

(1) Taking into account the effects of first-time adoption of the IFRS IC decision of 26 November 2019 respecting the duration of IFRS 16 leases, the balance of rights of use in the balance sheet would have been €2,466 million at 31 December 2019 (see Note 1.1 "Applicable standards and comparability").

(in millions of euros)	31/12/2018	01/01/2019	Changes in scope	Increases (acquisitions)	Decreases (disposals)	Translation adjustments	Other movements	31/12/2019
Property/Real estate								
Gross amount	66	2,003	18	351	(99)	11	24	2,308
Depreciation and impairment	(24)	(84)	(2)	(379)	7	(1)	(38)	(497)
Total Property/Real estate	42	1,919	16	(28)	(92)	10	(14)	1,811
Equipment								
Gross amount	4	62	-	33	(4)	-	71	162
Depreciation and impairment	(2)	(2)	-	(44)	1	-	(30)	(75)
Total Equipment	2	60	-	(11)	(3)	-	41	87
TOTAL RIGHT-OF-USE	44	1,979	16	(39)	(95)	10	27	1,898

Maturity schedule of rental debts

	31/12/2020			
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total Lease liabilities
Lease liabilities	522	1,153	643	2,318

	31/12/2019			
(in millions of euros)	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total Lease liabilities
Lease liabilities	438	912	480	1,830

Details of rental contract income and expenses

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
Interest expense on lease liabilities	(34)	(31)
Total Interest and similar expenses (Revenues)	(34)	(31)
Expense relating to short-term leases	(15)	(130)
Expense relating to leases of low-value assets	(43)	(55)
Expense relating to variable lease payments not included in the measurement of lease liabilities	(18)	(11)
Income from subleasing right-of-use assets	1	1
Gains or losses arising from leaseback transactions	-	-
Gains or losses arising from lease modifications	-	-
Total Operating expenses	(75)	(195)
Depreciation for right-of-use	(564)	(420)
Total Depreciation and amortisation of property, plant and equipment	(564)	(420)
TOTAL EXPENSE AND INCOME ON LEASE CONTRACTS	(673)	(646)

Cash flow amounts for the period

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
Total Cash outflow for leases	(511)	(524)

8.2 LEASES FOR WHICH THE GROUP IS THE LESSOR

The Crédit Agricole Group offers its customers leasing activities that take the form of leasing agreements, lease financing with purchase options, finance leasing and long-term leasing arrangements. Lease agreements are classified as finance leases when the terms of the lease transfer substantially all of the risks and benefits inherent in ownership to the lessee.

Other lease agreements are classified as operating leases.

Income from rental contracts

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
Finance leases	754	763
Selling profit or loss	35	17
Finance income on the net investment in the lease	719	746
Income relating to variable lease payments	-	-
Operating leases	329	338
Lease income	329	338

Schedule of rent payments to be received

	31/12/2020						
<i>(in millions of euros)</i>	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total Lease payments receivable	Unearned finance income	Discounted residual value	Financial lease receivables
Finance leases	5,022	8,680	3,495	17,197	1,455	1,614	17,356

	31/12/2019						
<i>(in millions of euros)</i>	≤ 1 year	> 1 year up to ≤ 5 years	> 5 years	Total Lease payments receivable	Unearned finance income	Discounted residual value	Financial lease receivables
Finance leases	5,701	8,136	2,945	16,782	1,723	1,662	16,720

Lease agreements expire on their residual maturity date.

The amount by expiry corresponds to the undiscounted contractual amount.

NOTE 9 Commitments given and received and other guarantees

Financing and guarantee commitments and other guarantees include discontinued operations.

Commitments given and received

(in millions of euros)	31/12/2020	31/12/2019
COMMITMENTS GIVEN		
Financing commitments	223,935	209,187
Commitments given to credit institutions	14,738	11,979
Commitments given to customers	209,197	197,208
Confirmed credit lines	152,359	142,239
Documentary credits	4,842	4,527
Other confirmed credit lines	147,517	137,713
Other commitments given to customers	56,838	54,969
Guarantee commitments	88,831	91,002
Credit institutions	8,117	8,488
Confirmed documentary credit lines	2,955	3,400
Other guarantees	5,162	5,089
Customers	80,714	82,513
Property guarantees	5,231	5,264
Other customer guarantees	75,483	77,249
Securities commitments	4,557	4,765
Securities to be delivered	4,557	4,765
COMMITMENTS RECEIVED		
Financing commitments	138,115	83,987
Commitments received from credit institutions	133,963	81,041
Commitments received from customers	4,152	2,946
Guarantee commitments	399,827	373,659
Commitments received from credit institutions	107,543	104,946
Commitments received from customers	292,284	268,711
Guarantees received from government bodies or similar institutions ⁽¹⁾	70,856	47,618
Other guarantees received	221,428	221,093
Securities commitments	4,107	4,570
Securities to be received	4,107	4,570

(1) As part of the economic support measures in the wake of the COVID-19 health crisis, the Cr dit Agricole Group granted loans for which it received guarantee commitments from the French State (SGL). At 31 December 2020, these guarantee commitments received amounted to €22.6 billion.

Financial instruments given and received as collateral

(in millions of euros)	31/12/2020	31/12/2019
CARRYING AMOUNT OF FINANCIAL ASSETS PROVIDED AS COLLATERAL (INCLUDING TRANSFERRED ASSETS)		
Securities and receivables provided as collateral for the refinancing structures (Banque de France, CRH, etc.)	397,614	189,452
Securities lent	12,911	8,797
Security deposits on market transactions	19,208	18,229
Other security deposits	-	-
Securities sold under repurchase agreements	105,771	103,774
TOTAL CARRYING AMOUNT OF FINANCIAL ASSETS PROVIDED AS COLLATERAL	535,504	320,253
CARRYING AMOUNT OF FINANCIAL ASSETS RECEIVED IN GUARANTEE		
Other security deposits	-	-
Fair value of instruments received as reusable and reused collateral		
Securities borrowed	7	4
Securities bought under repurchase agreements	157,468	133,967
Securities sold short	37,172	33,468
TOTAL FAIR VALUE OF INSTRUMENTS RECEIVED AS REUSABLE AND REUSED COLLATERAL	194,647	167,439

Receivables pledged as collateral

At 31 December 2020, Crédit Agricole S.A. deposited €274.2 billion of receivables (mainly on behalf of the Regional Banks and LCL) for refinancing transactions with Banque de France, *versus* €81.9 billion at 31 December 2019.

At 31 December 2020, Crédit Agricole S.A. deposited €12.1 billion of receivables for refinancing transactions with *Caisse de refinancement de l'habitat* on behalf of the Regional Banks, *versus* €12.3 billion at 31 December 2019, and €1.2 billion of receivables were deposited directly by LCL.

At 31 December 2020, €2.9 billion in receivables of the Regional Banks had been pledged as collateral for the covered bonds issued by European Secured Notes Issuer (ESNI), a French securitisation company formed by five banks including Crédit Agricole Group.

At 31 December 2020, €38.3 billion of receivables from the Regional Banks and €9.3 billion of LCL receivables had been pledged as collateral for the covered bond issues of Crédit Agricole Home Loan SFH, a financial company wholly controlled by Crédit Agricole S.A.

As at 31 December 2020, in the context of transactions with EIB/CEB supranationals, Crédit Agricole S.A. deposited €2.8 billion in receivables on behalf of the Regional Banks.

As at 31 December 2020, in the context of refinancing transactions with CDC, Crédit Agricole S.A. deposited €2.6 billion in receivables on behalf of the Regional Banks.

These processes, for which there is no transfer of contractual cash flows, do not form part of the asset transfers mentioned in Note 6.6 "Transferred assets not derecognised or derecognised with continuing involvement".

Guarantees held and assets received as collateral

Guarantees held and assets received as collateral by the Crédit Agricole Group which it is allowed to sell or to use as collateral are mostly held within Crédit Agricole S.A. for €297.5 billion and within Crédit Agricole CIB for €178 billion. The majority of these are receivables pledged as collateral by the Regional Banks to Crédit Agricole S.A., the latter acting as the central body with regard to the external refinancing organisations, in order to obtain refinancing. These receivables (property-related, or loans to businesses or local authorities) are selected and rated for their quality and retained on the balance sheet of the Regional Banks.

The majority of these guarantees consist of mortgage liens, collateral or guarantees received, regardless of the quality of the assets guaranteed. They are mainly related to repurchase agreements and securities pledged to guarantee brokerage transactions.

The Crédit Agricole Group's policy is to sell seized collateral as soon as possible. Crédit Agricole CIB and Crédit Agricole S.A. had no such assets at 31 December 2020.

NOTE 10 Reclassification of financial instruments

Principles applied by the Crédit Agricole Group

Reclassifications are performed only under exceptional circumstances and following a decision by the Executive Management of the entity as a result of internal or external changes: significant changes in the entity's activity.

Reclassification performed by the Crédit Agricole Group

In 2020, the Crédit Agricole Group did not carry out any reclassification pursuant to paragraph 4.4.1 of IFRS 9.

NOTE 11 Fair value of financial instruments

Fair value is the price that would be received at the sale of an asset or paid to transfer a liability in a standard transaction between market participants at the measurement date.

Fair value is defined on the basis of the exit price.

The fair values shown below are estimates made on the reporting date using observable market data wherever possible. These are subject to change in subsequent periods due to developments in market conditions or other factors.

The calculations represent best estimates. They are based on a number of assumptions. It is assumed that market participants act in their best economic interest.

To the extent that these models contain uncertainties, the fair values shown may not be achieved upon actual sale or immediate settlement of the financial instruments concerned.

The fair value hierarchy of financial assets and liabilities is broken down according to the general observability criteria of the valuation inputs, pursuant to the principles defined under IFRS 13.

Level 1 of the hierarchy applies to the fair value of financial assets and liabilities quoted in active markets.

Level 2 of the hierarchy applies to the fair value of financial assets and liabilities with observable inputs. This agreement includes market data relating to interest rate risk or credit risk when the latter can be revalued

based on observable Credit Default Swap (CDS) spreads. Securities bought or sold under repurchase agreements subject of an active market, depending on the underlying and the maturity of the transaction are also included in Level 2 of the hierarchy, as are financial assets and liabilities with a demand component for which fair value is measured at unadjusted amortised cost.

Level 3 of the hierarchy is used for financial instruments at fair value for which the valuation draws upon, exclusively or for a significant part, unobservable market parameters.

Parameters for which no market information is available, or for which the available market information is considered insufficient, are regarded as unobservable. This qualification may call upon expert opinion. The information examined may include transactions actually concluded, firm or indicative quotations and information resulting from market consensus.

In some cases, market values are close to carrying amounts. These include:

- assets or liabilities at variable rates for which remuneration is frequently adjusted to prevailing market rates;
- short-term assets or liabilities where the redemption value is considered to be close to the market value;
- instruments executed on a regulated market for which the prices are set by the public authorities;
- demand assets and liabilities.

11.1 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES RECOGNISED AT AMORTISED COST

Amounts presented below include accruals and prepayments and are net of impairment.

Financial assets recognised at cost and measured at fair value on the balance sheet

	Value at 31/12/2020	Estimated fair value at 31/12/2020	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
<i>(in millions of euros)</i>					
FINANCIAL ASSETS NOT MEASURED AT FAIR VALUE ON BALANCE SHEET					
Loans and receivables	1,055,444	1,122,841	-	238,606	884,235
Loans and receivables due from credit institutions	89,954	109,882	-	109,302	580
Current accounts and overnight loans	6,673	10,320	-	10,245	75
Accounts and long-term loans	74,945	91,068	-	90,793	275
Pledged securities	-	-	-	-	-
Securities bought under repurchase agreements	7,653	7,665	-	7,665	-
Subordinated loans	616	735	-	505	230
Other loans and receivables	67	94	-	94	-
Loans and receivables due from customers	965,490	1,012,959	-	129,304	883,655
Trade receivables	41,018	41,329	-	21,445	19,884
Other customer loans	905,106	950,451	-	90,202	860,249
Pledged securities	205	205	-	205	-
Securities bought under repurchase agreements	3,713	3,713	-	3,460	253
Subordinated loans	135	137	-	81	56
Insurance receivables	308	308	-	82	226
Reinsurance receivables	845	845	-	5	840
Advances in associates' current accounts	858	938	-	675	263
Current accounts in debit	13,302	15,033	-	13,149	1,884
Debt securities	110,206	112,959	84,192	12,811	15,956
Treasury bills and similar securities	39,959	40,828	36,648	3,951	229
Bonds and other fixed income securities	70,247	72,131	47,544	8,860	15,727
TOTAL FINANCIAL ASSETS OF WHICH FAIR VALUE IS DISCLOSED	1,165,650	1,235,800	84,192	251,417	900,191

	Value at 31/12/2019	Estimated fair value at 31/12/2019	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
<i>(in millions of euros)</i>					
FINANCIAL ASSETS NOT MEASURED AT FAIR VALUE ON BALANCE SHEET					
Loans and receivables	1,014,445	1,044,734	-	355,060	689,675
Loans and receivables due from credit institutions	100,949	105,834	-	104,955	879
Current accounts and overnight loans	29,166	29,192	-	29,158	34
Accounts and long-term loans	65,592	70,410	-	69,794	616
Pledged securities	1	1	-	-	1
Securities bought under repurchase agreements	5,538	5,550	-	5,550	-
Subordinated loans	621	630	-	402	228
Other loans and receivables	31	51	-	51	-
Loans and receivables due from customers	913,496	938,900	-	250,104	688,795
Trade receivables	44,814	44,108	-	21,025	23,083
Other customer loans	846,565	871,568	-	209,193	662,375
Pledged securities	232	232	-	232	-
Securities bought under repurchase agreements	4,071	4,073	-	4,073	-
Subordinated loans	119	119	-	63	56
Insurance receivables	309	309	-	92	217
Reinsurance receivables	770	770	-	1	769
Advances in associates' current accounts	940	1,000	-	567	433
Current accounts in debit	15,676	16,721	-	14,858	1,864
Debt securities	95,134	96,391	71,413	7,572	17,406
Treasury bills and similar securities	33,346	34,080	32,250	1,589	241
Bonds and other fixed income securities	61,788	62,311	39,163	5,984	17,164
TOTAL FINANCIAL ASSETS OF WHICH FAIR VALUE IS DISCLOSED	1,109,579	1,141,125	71,413	362,632	707,080

Financial liabilities recognised at amortised cost and measured at fair value on the balance sheet

	Value at 31/12/2020	Estimated fair value at 31/12/2020	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
<i>(in millions of euros)</i>					
FINANCIAL LIABILITIES NOT MEASURED AT FAIR VALUE ON BALANCE SHEET					
Due to credit institutions	198,942	237,265	-	236,102	1,163
Current accounts and overnight borrowings	8,545	8,609	-	8,609	-
Accounts and term deposits	168,579	206,654	-	205,605	1,049
Pledged securities	-	-	-	-	-
Securities sold under repurchase agreements	21,818	22,002	-	21,888	114
Due to customers	963,433	981,214	-	648,587	332,627
Current accounts in credit	495,519	512,036	-	512,036	-
Special savings accounts	329,527	329,539	-	-	329,539
Other amounts due to customers	134,106	135,334	-	134,904	430
Securities sold under repurchase agreements	1,520	1,520	-	1,520	-
Insurance liabilities	906	905	-	101	804
Reinsurance liabilities	590	615	-	26	589
Cash deposits received from ceding and retroceding companies against technical insurance commitments	1,265	1,265	-	-	1,265
Debt securities	171,796	177,224	88,130	88,447	647
Subordinated debt	23,896	24,499	6,739	17,760	-
TOTAL FINANCIAL LIABILITIES OF WHICH FAIR VALUE IS DISCLOSED	1,358,067	1,420,202	94,869	990,896	334,437

	Value at 31/12/2019	Estimated fair value at 31/12/2019	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
<i>(in millions of euros)</i>					
FINANCIAL LIABILITIES NOT MEASURED AT FAIR VALUE ON BALANCE SHEET					
Due to credit institutions	99,575	108,265	-	108,216	49
Current accounts and overnight borrowings	10,293	10,292	-	10,292	-
Accounts and term deposits	61,583	70,243	-	70,194	49
Pledged securities	-	-	-	-	-
Securities sold under repurchase agreements	27,699	27,730	-	27,730	-
Due to customers	855,507	855,649	-	544,955	310,694
Current accounts in credit	391,428	391,502	-	391,466	35
Special savings accounts	307,589	307,589	-	386	307,203
Other amounts due to customers	152,294	152,362	-	151,397	966
Securities sold under repurchase agreements	1,593	1,593	-	1,593	-
Insurance liabilities	981	981	-	102	879
Reinsurance liabilities	467	467	-	11	456
Cash deposits received from ceding and retroceding companies against technical insurance commitments	1,155	1,155	-	-	1,155
Debt securities	213,366	216,518	72,771	143,044	703
Subordinated debt	21,661	21,984	5,837	16,069	77
TOTAL FINANCIAL LIABILITIES OF WHICH FAIR VALUE IS DISCLOSED	1,190,109	1,202,416	78,608	812,284	311,523

11.2 INFORMATION ABOUT FINANCIAL INSTRUMENTS MEASURED AT FAIR VALUE

Valuation mechanism

Financial instruments are valued by management information systems and checked by a team that reports to the Risk Management department and is independent from the market operators.

Valuations are based on the following:

- prices or inputs obtained from independent sources and/or validated by the Market Risk department using a series of available sources such as pricing service vendors, market consensus data and brokers;
- models approved by the quantitative teams in the Market Risk department.

The valuation produced for each instrument is a mid-market valuation, which does not take account of the direction of the trade, the bank's aggregate exposure, market liquidity or counterparty quality. Adjustments are then made to the market valuations to incorporate those factors, as well as the potential uncertainties inherent in the models or inputs used.

The main types of valuation adjustments are the following:

Mark-to-Market adjustments

These adjustments correct any potential variance between the mid-market valuation of an instrument obtained using internal valuation models and the associated inputs and the valuation obtained from external sources or market consensus data. These adjustments can be either positive or negative.

Bid/ask reserves

These adjustments incorporate the bid/ask spread for a given instrument in order to reflect the price at which the position could be reversed. These adjustments are always negative.

Uncertainty reserves

These adjustments constitute a risk premium taken into account by all market participants. These adjustments are always negative:

- input uncertainty reserves seek to incorporate in the valuation of an instrument any uncertainty that might exist as regards one or more of the inputs used;
- model uncertainty reserves seek to incorporate in the valuation of an instrument any uncertainty that might exist due to the choice of model used.

In addition, in accordance with IFRS 13 "Fair value measurement", Crédit Agricole S.A. prices in to the fair value calculated for its OTC derivatives (*i.e.* those traded over the counter) various adjustments linked to:

- default risk or credit rating (Credit Valuation Adjustment/Debit Valuation Adjustment);
- future funding costs and benefits (Funding Valuation Adjustment);
- liquidity risk associated with collateral (Liquidity Valuation Adjustment).

Credit Valuation Adjustment (CVA)

The CVA (Credit Valuation Adjustment) is a mark-to-market adjustment to incorporate the market value of the default risk (risk of non-payment of amounts due in the event of default or deterioration in credit quality) in the value of OTC derivatives of our counterparties. This adjustment is calculated per counterparty based on the positive future exposure of the trading portfolio (taking into account any netting or collateral agreements, where such exist) weighted by the probabilities of default and losses given default.

The methodology used maximises the use of market inputs/prices (probabilities of default are derived in priority directly from any existing listed CDS, proxies of listed CDS and other credit instruments where these are deemed sufficiently liquid). This adjustment is always negative and reduces the fair value of the OTC derivative assets held in the portfolio.

Debit Valuation Adjustment (DVA)

The Debit Valuation Adjustment (DVA) is a mark-to-market adjustment that aims to incorporate the market value of the default risk (potential losses to which Crédit Agricole S.A. may expose its counterparties in the event of default or a deterioration in its creditworthiness) in the value of perfectly collateralised OTC derivatives. This adjustment is calculated by collateral contract type on the basis of negative future exposure profiles of the trading portfolio weighted by default probabilities (Crédit Agricole S.A.) and losses incurred in the event of default.

The methodology used maximises the use of market inputs/prices (use of CASA CDS to determine default probabilities). This adjustment is always positive and reduces the fair value of the OTC derivative liabilities held in the portfolio.

Funding Valuation Adjustment (FVA)

The Funding Valuation Adjustment (FVA) is a mark-to-market adjustment that aims to incorporate the additional future funding costs and benefits based on ALM (Asset and Liability Management) funding costs in the value of not

collateralised or imperfectly collateralised OTC derivatives. This adjustment is calculated per counterparty based on the future exposure of the trading portfolio (taking into account any netting or collateral agreements, where such exist) weighted by ALM funding spreads.

As regards the scope of "clear" derivatives, an FVA adjustment called IMVA (Initial Margin Value Adjustment) is calculated to take into account the future financing costs and gains of the initial margins to be posted with the main derivatives clearing houses until the portfolio matures.

Liquidity Valuation Adjustment (LVA)

The LVA (Liquidity Valuation Adjustment) is the positive or negative valuation adjustment intended to reflect both the potential absence of collateral payments for counterparties with a CSA (Credit Support Annex), as well as the non-standard remuneration of CSAs.

Therefore, the LVA reflects the profit or loss resulting from additional liquidity costs. It is calculated on the scope of OTC derivatives with CSAs.

Breakdown of financial instruments at fair value by valuation model

Amounts presented below include accruals and prepayments and are net of impairment.

On the assets side, Level 2 to Level 3 transfers mainly result from a better identification of the fair value level of transactions present at 31 December 2019 (€138 million). Level 3 to Level 2 transfers result mainly from positions of repurchase agreements that have become observable in line with the observability mapping (€1.3 billion).

On the liabilities side, transfers observed from Level 2 to Level 3 result mainly from a better identification of fair value levels on transactions already present at 31 December 2019 (€425 million) and a review of the observability mapping (€624 million). Level 3 to Level 2 transfers result mainly from positions that have become observable in line with the observability mapping (€500 million).

Financial assets measured at fair value

(in millions of euros)	31/12/2020	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Held for trading financial assets	258,187	22,635	230,259	5,293
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	872	-	141	731
Securities bought under repurchase agreements	118,043	-	116,418	1,625
Pledged securities	-	-	-	-
Held for trading securities	24,738	22,542	1,769	427
<i>Treasury bills and similar securities</i>	<i>13,081</i>	<i>11,774</i>	<i>1,307</i>	-
<i>Bonds and other fixed income securities</i>	<i>5,384</i>	<i>4,768</i>	<i>460</i>	<i>156</i>
<i>UCITS</i>	<i>52</i>	<i>52</i>	-	-
<i>Equities and other variable income securities</i>	<i>6,221</i>	<i>5,948</i>	<i>2</i>	<i>271</i>
Derivative instruments	114,534	93	111,931	2,510
Other financial instruments at fair value through profit or loss	180,347	110,605	58,084	11,658
Equity instruments at fair value through profit or loss	35,077	21,501	7,724	5,852
Equities and other variable income securities	22,407	18,906	2,370	1,131
Non-consolidated equity investments	12,670	2,595	5,354	4,721
Debt instruments that do not meet the conditions of the "SPPI" test	81,293	44,677	30,842	5,774
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	3,487	-	3,483	4
Debt securities	77,806	44,677	27,359	5,770
<i>Treasury bills and similar securities</i>	<i>178</i>	<i>4</i>	<i>174</i>	-
<i>Bonds and other fixed income securities</i>	<i>13,466</i>	<i>2,126</i>	<i>10,614</i>	<i>726</i>
<i>UCITS</i>	<i>64,162</i>	<i>42,547</i>	<i>16,571</i>	<i>5,044</i>
Assets backing unit-linked contracts	63,900	44,426	19,442	32
Treasury bills and similar securities	498	489	9	-
Bonds and other fixed income securities	4,382	1,145	3,237	-
Equities and other variable income securities	8,377	1,543	6,834	-
UCITS	50,643	41,249	9,362	32
Financial assets designated at fair value through profit or loss	77	1	76	-
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	-	-	-	-
Securities designated at fair value through profit or loss	77	1	76	-
<i>Treasury bills and similar securities</i>	<i>-</i>	<i>-</i>	<i>-</i>	<i>-</i>
<i>Bonds and other fixed income securities</i>	<i>77</i>	<i>1</i>	<i>76</i>	<i>-</i>
Financial assets at fair value through other comprehensive income	277,909	250,642	27,017	250
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	3,649	560	2,839	250
<i>Equities and other variable income securities</i>	<i>784</i>	<i>17</i>	<i>724</i>	<i>43</i>
<i>Non-consolidated equity investments</i>	<i>2,865</i>	<i>543</i>	<i>2,115</i>	<i>207</i>
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	274,260	250,082	24,178	-
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	-	-	-	-
Debt securities	274,260	250,082	24,178	-
<i>Treasury bills and similar securities</i>	<i>89,552</i>	<i>88,877</i>	<i>675</i>	-
<i>Bonds and other fixed income securities</i>	<i>184,708</i>	<i>161,205</i>	<i>23,503</i>	-
Hedging derivative Instruments	22,965	17	22,948	-
TOTAL FINANCIAL ASSETS MEASURED AT FAIR VALUE	739,408	383,899	338,308	17,201
Transfers from Level 1: Quoted prices in active markets for identical instruments			1,532	12
Transfers from Level 2: Valuation based on observable data		154		938
Transfers from Level 3: Valuation based on unobservable data		1	1,316	
TOTAL TRANSFERS TO EACH LEVEL		155	2,848	950

Level 1 to Level 2 transfers mainly involve listed options on the underlying equity.

Level 1 to Level 3 transfers involve bonds and other fixed-income securities.

Level 2 to Level 1 transfers mainly involve treasury bills, bonds and other fixed-income securities.

Level 2 to Level 3 transfers mainly involve securities bought/sold under repurchase agreements from customers and trading derivative instruments.

Level 3 to Level 1 transfers involve bonds and other fixed-income securities.

Level 3 to Level 2 transfers mainly involve securities bought/sold under repurchase agreements from credit institutions, customers and trading derivative instruments. Several positions can now be observed.

(in millions of euros)	31/12/2019	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Held for trading financial assets	227,698	23,644	198,620	5,434
Loans and receivables due from credit institutions	61	-	61	-
Loans and receivables due from customers	894	-	-	894
Securities bought under repurchase agreements	101,867	-	99,948	1,919
Pledged securities	-	-	-	-
Held for trading securities	25,280	22,760	1,740	780
<i>Treasury bills and similar securities</i>	<i>13,665</i>	<i>12,494</i>	<i>1,170</i>	<i>1</i>
<i>Bonds and other fixed income securities</i>	<i>4,606</i>	<i>3,877</i>	<i>568</i>	<i>161</i>
<i>UCITS</i>	<i>108</i>	<i>84</i>	-	<i>24</i>
<i>Equities and other variable income securities</i>	<i>6,901</i>	<i>6,305</i>	<i>2</i>	<i>594</i>
Derivative instruments	99,596	884	96,871	1,841
Other financial instruments at fair value through profit or loss	176,638	115,053	52,252	9,333
Equity instruments at fair value through profit or loss	37,131	25,097	7,663	4,371
Equities and other variable income securities	25,170	21,743	2,426	1,001
Non-consolidated equity investments	11,961	3,354	5,237	3,370
Debt instruments that do not meet the conditions of the "SPPI" test	79,894	47,580	27,548	4,766
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	4,267	-	3,900	367
Debt securities	75,627	47,580	23,648	4,399
<i>Treasury bills and similar securities</i>	<i>252</i>	<i>111</i>	<i>139</i>	<i>2</i>
<i>Bonds and other fixed income securities</i>	<i>12,774</i>	<i>2,134</i>	<i>10,048</i>	<i>592</i>
<i>UCITS</i>	<i>62,601</i>	<i>45,335</i>	<i>13,461</i>	<i>3,805</i>
Assets backing unit-linked contracts	59,520	42,352	16,972	196
Treasury bills and similar securities	457	444	13	-
Bonds and other fixed income securities	4,204	1,218	2,986	-
Equities and other variable income securities	6,822	1,287	5,351	184
UCITS	48,037	39,403	8,622	12
Financial assets designated at fair value through profit or loss	93	24	69	-
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	-	-	-	-
Securities designated at fair value through profit or loss	93	24	69	-
<i>Treasury bills and similar securities</i>	<i>18</i>	<i>18</i>	-	-
<i>Bonds and other fixed income securities</i>	<i>75</i>	<i>6</i>	<i>69</i>	-
Financial assets at fair value through other comprehensive income	272,312	247,344	24,668	301
Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss	4,013	997	2,736	281
Equities and other variable income securities	997	460	502	35
Non-consolidated equity investments	3,016	537	2,234	245
Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss	268,299	246,347	21,932	20
Loans and receivables due from credit institutions	-	-	-	-
Loans and receivables due from customers	-	-	-	-
Debt securities	268,299	246,347	21,932	20
<i>Treasury bills and similar securities</i>	<i>84,250</i>	<i>83,549</i>	<i>701</i>	-
<i>Bonds and other fixed income securities</i>	<i>184,049</i>	<i>162,798</i>	<i>21,231</i>	<i>20</i>
Hedging derivative Instruments	20,947	35	20,912	-
TOTAL FINANCIAL ASSETS MEASURED AT FAIR VALUE	697,595	386,076	296,452	15,068
Transfers from Level 1: Quoted prices in active markets for identical instruments			4,420	106
Transfers from Level 2: Valuation based on observable data		474		2,142
Transfers from Level 3: Valuation based on unobservable data		72	1,805	
TOTAL TRANSFERS TO EACH LEVEL		546	6,225	2,248

Level 1 to Level 2 transfers concern the reclassification of derivatives instruments from organised markets to over the counter.

Level 1 to Level 3 transfers involve bonds and other fixed-income securities.

Level 2 to Level 1 transfers mainly involve treasury bills, bonds and other fixed-income securities.

Level 2 to Level 3 transfers mainly involve securities received under repurchase agreements from credit institutions and interest rate swaps.

Level 3 to Level 1 transfers mainly involve treasury bills.

Level 3 to Level 2 transfers mainly involve securities received under repurchase agreements from customers and trading derivatives including -€0.3 billion related to the review of the derivatives observability analysis.

Financial liabilities measured at fair value

<i>(in millions of euros)</i>	31/12/2020	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Held for trading financial liabilities	227,318	37,024	188,695	1,599
Securities sold short	37,179	36,931	248	-
Securities sold under repurchase agreements	82,412	-	81,923	489
Debt securities	-	-	-	-
Due to credit institutions	-	-	-	-
Due to customers	-	-	-	-
Derivative instruments	107,727	93	106,524	1,110
Financial liabilities designated at fair value through profit or loss	35,842	9,943	20,205	5,694
Hedging derivative Instruments	23,725	-	23,114	611
TOTAL FINANCIAL LIABILITIES MEASURED AT FAIR VALUE	286,885	46,967	232,014	7,904
Transfers from Level 1: Quoted prices in active markets for identical instruments			1,057	-
Transfers from Level 2: Valuation based on observable data		64		986
Transfers from Level 3: Valuation based on unobservable data		-	627	
TOTAL TRANSFERS TO EACH LEVEL		64	1,684	986

Level 1 to Level 2 transfers mainly involve listed options on the underlying equity.

Level 2 to Level 1 transfers mainly involve negotiable debt securities.

Level 3 to Level 1 transfers have no impact on full year 2020.

Level 3 to Level 2 transfers mainly involve securities received under repurchase agreements and interest rate swaps. The review of the observability mapping of the derivatives and the Financial liabilities measured at fair value by option amounts to €500 million and are relating to repurchase agreements.

Level 2 to Level 3 transfers mainly result from better identification of fair value levels on transactions already present at 31 december 2019 for €425 million and a review of the observability analysis for €624 million.

<i>(in millions of euros)</i>	31/12/2019	Quoted prices in active markets for identical instruments: Level 1	Valuation based on observable data: Level 2	Valuation based on unobservable data: Level 3
Held for trading financial liabilities	205,061	34,020	169,522	1,519
Securities sold short	33,472	33,259	213	-
Securities sold under repurchase agreements	74,423	-	73,553	870
Debt securities	54	-	54	-
Due to credit institutions	-	-	-	-
Due to customers	-	-	-	-
Derivative instruments	97,112	761	95,702	649
Financial liabilities designated at fair value through profit or loss	40,049	8,763	23,770	7,515
Hedging derivative Instruments	20,498	-	20,185	313
TOTAL FINANCIAL LIABILITIES MEASURED AT FAIR VALUE	265,608	42,783	213,477	9,347
Transfers from Level 1: Quoted prices in active markets for identical instruments			4,023	-
Transfers from Level 2: Valuation based on observable data		35		605
Transfers from Level 3: Valuation based on unobservable data		241	4,665	
TOTAL TRANSFERS TO EACH LEVEL		276	8,689	605

Level 1 to Level 2 transfers concern the reclassification of derivatives instruments from organised markets to over the counter.

Level 2 to Level 1 transfers concern short sales.

Level 2 to Level 3 transfers mainly involve securities bought/sold under repurchase agreements to credit institutions.

Level 3 to Level 1 transfers mainly involve short sales of treasury bills.

Level 3 to Level 2 transfers mainly involve securities bought/sold under repurchase agreements to customers, negotiable debt securities accounted at fair value through profit or loss and trading derivatives. The review of the observability analysis of the derivatives and the financial liabilities measured at fair value by option amounts to -€2.1 billion.

Financial instruments classified in Level 1

Level 1 comprises all derivatives quoted in an active market (options, futures, etc.), regardless of their underlying (interest rate, exchange rate, precious metals, major stock indexes), as well as equities and bonds quoted in an active market.

A market is considered as being active if quoted prices are readily and regularly available from exchange, brokers, dealers, pricing services or regulatory agencies, and those prices represent actual and regularly occurring market transactions on an arm's length basis.

Corporate, government and agency bonds that are valued on the basis of prices obtained from independent sources, deemed to be enforceable and updated regularly, are classified in Level 1. This covers the bulk of sovereign and agency bonds and Corporate securities held. Issuers whose bonds are not quoted are classified in Level 3.

Financial instruments classified in Level 2

The main financial instruments classified in Level 2 are:

- liabilities designated at fair value;

Liabilities designated at fair value. Financial liabilities designated at fair value are classified in Level 2 when their embedded derivative is deemed to be classified in Level 2;

- over-the-counter derivatives.

The main OTC derivatives classified in Level 2 are those valued using inputs considered to be observable and where the valuation technique does not generate any significant exposure to a model risk.

Level 2 therefore mainly includes:

- linear derivative products such as interest rate swaps, currency swaps and forward FX. They are valued using simple models widely used in the market, based either on directly observable inputs (foreign exchange rates, interest rates), or inputs derived from observable market prices (currency swaps);
- non-linear vanilla instruments such as caps, floors, swaptions, currency options, equity options and credit default swaps, including digital options. They are valued using simple models widely used in the market, based either on directly observable inputs (foreign exchange rates, interest rates, share prices) or inputs that can be derived from observable market prices (volatilities);
- certain structured products on which market quotations exist and on an ongoing basis and valued in a market consensus model;
- securities listed on a market deemed inactive and for which independent valuation data are available;
- futures and options listed on shares with insufficient volumes.

Financial instruments classified in Level 3

Financial instruments classified in Level 3 are those which do not meet the conditions for classification in Level 1 or 2. They are therefore mainly financial instruments with a high model risk whose valuation requires substantial use of unobservable inputs.

All or part of the initial margin on all new transactions classified in Level 3 is reserved at the date of initial recognition. It is written back into the profit or loss account either spread over the period during which the inputs are considered to be unobservable or in full on the date when the inputs become observable, or when the transaction is completed.

Level 3 therefore mainly includes:

Securities

Securities classified in Level 3 mainly include:

- unlisted shares or bonds for which no independent valuation is available;
- ABSs and CLOs for which there are indicative independent quotes but which are not necessarily executable;
- ABSs, CLOs and super senior and mezzanine CDO tranches where it cannot be demonstrated that the market is active.

Liabilities designated at fair value

Financial liabilities designated at fair value are classified in Level 3 when their embedded derivative is deemed to be classified in Level 3.

Over-the-counter derivatives

Unobservable income includes complex financial instruments that are significantly exposed to model risk or that involve parameters that are considered unobservable.

The aggregate of these principles is mapped for observability according to the three levels indicating for each product, currency and maturity the classification used.

The following are classified mainly in Level 3:

- interest rate exposures or very long-dated currency swaps or covering emerging currencies;
- equity exposures, mainly through products traded on shallow option markets or indexed to volatility or equity/equity correlations and long-dated;
- exposures to non-linear long-dated products (interest rate or currency) on major currencies/indexes;
- non-linear exposures to emerging market currencies;
- complex derivatives.

The main exposures involved are:

- structured interest rate products known as "path dependent", whose future cash flows depend on past fixings observed on IR swap rates. The valuation of these products requires the implementation of complex models;
- securitisation swaps generating an exposure to the prepayment rate. The prepayment rate is determined on the basis of historical data on similar portfolios. The assumptions and inputs used are checked regularly on the basis of actual prepayments;
- hybrid products: those products flow depend on correlation between two different types of underlying products, such as interest rates, indexes, FX rate, credit spread;
- CDOs based on corporate credit baskets. These are no longer significant;
- certain portfolios of complex equity derivatives;
- securities under repurchase agreements, for long maturities, or in emerging currencies, or relating to complex underlying securities.

Net change in financial instruments measured at fair value according to Level 3

Financial assets measured at fair value according to Level 3

(in millions of euros)	Total Financial assets measured at fair value according to Level 3	Held for trading financial assets									
		Loans and receivables due from credit institutions	Loans and receivables due from customers	Securities bought under repurchase agreements	Pledged securities	Treasury bills and similar securities	Bonds and other fixed income securities	Mutual funds	Held for trading securities		
									Equities and other variable income securities	Held for trading securities	Derivative instruments
Closing balance (31/12/2019)	15,067	-	894	1,919	-	-	161	24	-	780	1,841
Gains or losses during the period ⁽¹⁾	(687)	-	(47)	83	-	-	(6)	-	(327)	(334)	(10)
Recognised in profit or loss	(626)	-	(22)	82	-	-	(6)	-	(327)	(334)	(9)
Recognised in other comprehensive income	(61)	-	(25)	1	-	-	-	-	-	-	(1)
Purchases	5,452	-	414	565	-	-	12	-	5	17	907
Sales	(2,255)	-	(779)	(15)	-	-	(8)	(24)	-	(32)	(190)
Issues	116	-	-	-	-	-	-	-	-	-	4
Settlements	(106)	-	(21)	(5)	-	-	(1)	-	-	(2)	(16)
Reclassifications	-	-	275	-	-	-	-	-	593	-	-
Changes associated with scope during the period	(19)	-	-	-	-	-	-	-	-	-	-
Transfers	(367)	-	(5)	(922)	-	-	(2)	-	-	(2)	(26)
Transfers to Level 3	950	-	-	202	-	-	6	-	-	6	89
Transfers from Level 3	(1,317)	-	(5)	(1,124)	-	-	(8)	-	-	(8)	(115)
CLOSING BALANCE (31/12/2020)	17,201	-	731	1,625	-	-	156	-	271	427	2,510

	Other financial instruments at fair value through profit or loss									
	Equity instruments at fair value through profit or loss			Debt instruments that do not meet the conditions of the "SPPI" test						
	Equity and other variable income securities	Non-consolidated equity investments	Loans and receivables due from credit institutions	Loans and receivables due from customers	Securities bought under repurchase agreements	Pledged securities	Debt securities			
							Treasury bills and similar securities	Bonds and other fixed income securities	Mutual funds	Debt securities
(in millions of euros)										
Closing balance (31/12/2019)	1,000	3,331	-	367	-	-	2	591	3,814	4,407
Gains or losses during the period ⁽¹⁾	(65)	(215)	-	(11)	-	-	(1)	8	31	39
Recognised in profit or loss	(64)	(210)	-	1	-	-	(1)	8	31	39
Recognised in other comprehensive income	(1)	(5)	-	(12)	-	-	-	-	-	-
Purchases	133	1,807	-	13	-	-	4	144	1,503	1,616
Sales	(108)	(370)	-	(21)	-	-	-	(22)	(704)	(726)
Issues	57	55	-	-	-	-	-	-	-	-
Settlements	-	-	-	(42)	-	-	-	-	-	-
Reclassifications	6	11	-	(292)	-	-	-	-	-	-
Changes associated with scope during the period	-	-	-	(10)	-	-	(2)	(7)	-	(9)
Transfers	108	102	-	-	-	-	(3)	12	400	443
Transfers to Level 3	108	102	-	-	-	-	-	12	400	443
Transfers from Level 3	-	-	-	-	-	-	(3)	-	-	-
CLOSING BALANCE (31/12/2020)	1,131	4,721	-	4	-	-	-	726	5,044	5,770

	Other financial instruments at fair value through profit or loss								
	Assets backing unit-linked contracts				Financial assets designated at fair value through profit or loss				
	Treasury bills and similar securities	Bonds and other fixed income securities	Equities and other variable income securities	Mutual funds	Loans and receivables due from credit institutions	Loans and receivables due from customers	Debt securities		
							Treasury bills and similar securities	Bonds and other fixed income securities	Debt securities
<i>(in millions of euros)</i>									
Closing balance (31/12/2019)	-	184		12	-	-	-	-	-
Gains or losses during the period ⁽¹⁾	-	(184)	(184)	-	-	-	-	-	5
Recognised in profit or loss	-	(184)	(184)	-	-	-	-	-	5
Recognised in other comprehensive income	-	-	-	-	-	-	-	-	-
Purchases	-	-	-	25	-	-	-	-	(63)
Sales	-	-	-	(5)	-	-	-	-	(1)
Issues	-	-	-	-	-	-	-	-	28
Settlements	-	-	-	-	-	-	-	-	-
Reclassifications	-	-	-	-	-	-	-	-	-
Changes associated with scope during the period	-	-	-	-	-	-	-	-	-
Transfers	-	-	-	-	-	-	-	-	31
Transfers to Level 3	-	-	-	-	-	-	-	-	31
Transfers from Level 3	-	-	-	-	-	-	-	-	(1)
CLOSING BALANCE (31/12/2020)	-	-	-	32	-	-	-	-	-

	Financial assets at fair value through other comprehensive income							
	Equity instruments at fair value through other comprehensive income that will not be reclassified to profit or loss		Debt instruments at fair value through other comprehensive income that may be reclassified to profit or loss					
	Equities and other variable income securities	Non-consolidated equity investments	Loans and receivables due from credit institutions	Loans and receivables due from customers	Treasury bills and similar securities	Bonds and other fixed income securities	Debt securities	
							Debt securities	Hedging derivative instruments Debt securities
(in millions of euros)								
Closing balance (31/12/2019)	36	276	-	-	-	20	20	-
Gains or losses during the period ⁽¹⁾	1	(19)	-	-	21	54	75	-
Recognised in profit or loss	-	-	-	-	21	54	75	-
Recognised in other comprehensive income	1	(19)	-	-	-	-	-	-
Purchases	7	(41)	-	-	(21)	10	(11)	-
Sales	-	(9)	-	-	-	-	-	-
Issues	-	-	-	-	-	-	-	-
Settlements	-	-	-	-	-	(20)	(20)	-
Reclassifications	-	-	-	-	-	-	-	-
Changes associated with scope during the period	-	-	-	-	-	-	-	-
Transfers	(1)	-	-	-	-	(64)	(64)	-
Transfers to Level 3	-	-	-	-	-	-	-	-
Transfers from Level 3	(1)	-	-	-	-	(64)	(64)	-
CLOSING BALANCE (31/12/2020)	43	207	-	-	-	-	-	-

(1) This balance includes the gains and losses of the period made on assets reported on the balance sheet at the closing date, for the following amounts:

Gains/losses for the period from Level 3 assets held at the end of the period	(792)
Recognised in profit or loss	(773)
Recognised in other comprehensive income	(19)

Financial liabilities measured at fair value according to Level 3

(in millions of euros)	Held for trading financial liabilities							Financial liabilities designated at fair value through profit or loss	Hedging derivative instruments
	TOTAL	Securities sold short	Securities sold under repurchase agreements	Debt securities	Due to credit institutions	Due to customers	Derivative Instruments		
Closing balance (31/12/2019)	9,347	-	871	-	-	-	649	7,514	313
Gains or losses during the period ⁽¹⁾	(378)	-	(104)	-	-	-	188	(432)	(30)
Recognised in profit or loss	(375)	-	(104)	-	-	-	191	(432)	(30)
Recognised in other comprehensive income	(3)	-	-	-	-	-	(3)	-	-
Purchases	193	-	80	-	-	-	110	3	-
Sales	(191)	-	-	-	-	-	(6)	(185)	-
Issues	1,850	-	-	-	-	-	-	1,491	359
Reclassifications	-	-	-	-	-	-	-	-	-
Changes associated with scope during the period	-	-	-	-	-	-	-	-	-
Settlements	(3,276)	-	-	-	-	-	(76)	(3,169)	(31)
Transfers	359	-	(358)	-	-	-	245	472	-
Transfers to Level 3	986	-	74	-	-	-	262	650	-
Transfers from Level 3	(627)	-	(432)	-	-	-	(17)	(178)	-
CLOSING BALANCE (31/12/2020)	7,904	-	489	-	-	-	1,110	5,694	611

(1) This balance includes the gains and losses of the period made on liabilities reported on the balance sheet at the closing date, for the following amounts:

Gains/losses for the period from Level 3 liabilities held at the end of the period	(345)
Recognised in profit or loss	(345)
Recognised in other comprehensive income	-

Gains and losses recognised in profit or loss relating to financial instruments held for trading and designated at fair value through profit or loss and derivative instruments are recognised in "Net gains (losses) on financial instruments at fair value through profit or loss"; gains and losses recognised in profit or loss relating to financial assets at fair value through equity are recognised in "Net gains (losses) on financial instruments at fair value through profit or loss through other comprehensive income".

Sensitivity analysis for financial instruments measured using the Level 3 valuation model

The use of unobservable inputs introduces uncertainty, which we have assessed below using a sensitivity calculation on instruments valued using these inputs.

Scope of interest rate derivatives

As regards interest rate derivatives, two main factors are considered to be unobservable and of such nature that they result in the classification of the associated products in Level 3: correlation and prepayment rates (i.e. early redemption).

Correlation

Many products are sensitive to a correlation parameter. However, this parameter is not unique and there are many different types of correlation, including:

- forward correlation between two successive indices in the same currency, e.g.: 2-year CMS/10-year CMS;
- interest rate/interest rate correlation (different indices), e.g. Libor 3M USD/ Libor 3M EUR;
- interest rate/FX correlation (or Quanto), e.g. USD/JPY – USD;
- equity/equity correlation;
- equity/FX correlation;
- equity/interest rate correlation;
- FX/FX correlation.

Prepayment rate

The prepayment rate is the rate of early repayment on securitisation portfolios, whether voluntary or involuntary (default). Exposure to this risk factor may stem from two types of source: direct exposure to these asset classes, or certain "securitisation" swaps, i.e. where the variations in their nominal amounts are adjusted automatically to the nominal amount of the underlying portfolio, with no mark-to-market payment. The prepayment rate plays a significant part in their valuation.

Calculation of impact

With respect to correlation

The results presented below have been obtained by applying the following distinct risk shocks:

- correlations between successive indices in the same currency (*i.e.* CMS correlations);
- cross assets correlations (*e.g.*: equity/FX or IR/equity) and between two interest-rate curves in different currencies.

The result of the stress test is the sum of the absolute values obtained. For each type of correlation we considered absolute values by currency, maturity and portfolio, thus making a conservative assumption. For the CMS correlations, we considered the various underlyings independently (*e.g.* 1y10y, 2y10y).

As at 31 December 2019, the sensitivity to the parameters used in interest rate derivative models was therefore +/-€12 million.

The quantity expressed is a sensitivity for a normalised market variation assumption that is not intended to measure the impact of extreme variations.

With respect to the prepayment rate

Direct exposure to assets comprising a pre-payment risk concerns securitisations such as RMBS and CLO and mezzanine CDO tranches. These exposures are marginal. They can be taken into account through sensitivity to a 1 bp change in credit spreads. This sensitivity being very low (<€50 thousand/bp), exposure to pre-payment rate is thus considered to be negligible.

The pre-payment rate is not an observable market parameter and the valuation model used for the securitisation swaps is particularly conservative. The valuation used is defined as the lower of the valuation obtained using a very fast pre-payment rate and using a very slow pre-payment rate. A "normal" variation in the pre-payment rate will therefore have no material impact on mark-to-market, no Day One thus being used for these products.

11.3 ESTIMATED IMPACT OF INCLUSION OF THE MARGIN AT INCEPTION

<i>(in millions of euros)</i>	31/12/2020	31/12/2019
Deferred margin at 1 January	66	61
Margin generated by new transactions during the period	61	36
Recognised in net income during the period	-	-
Amortisation and cancelled/reimbursed/matured transactions	(63)	(24)
Effects of inputs or products reclassified as observable during the period	(6)	(7)
Other movements ⁽¹⁾	80	
DEFERRED MARGIN AT THE END OF THE PERIOD	138	66

(1) The amount of €80 million recorded in Other movements is linked to the revision of the historical method for calculating day one on the non-linear scope during fiscal year 2020.

The first day margin on market transactions falling within Level 3 of fair value is reserved for the balance sheet and recognised in profit or loss as time passes or when unobservable inputs become observable again.

NOTE 12 Scope of consolidation at 31 December 2020**12.1 INFORMATION ON SUBSIDIARIES****12.1.1 Restrictions on entities**

Regulatory, legal or contractual provisions may limit the Crédit Agricole Group's ability to have free access to the assets of its subsidiaries and to settle the Group's liabilities.

The Crédit Agricole Group is subject to the following restrictions:

Regulatory constraints

The subsidiaries of Crédit Agricole Group are subject to prudential regulation and regulatory capital requirements in their host countries. The minimum equity capital (solvency ratio), leverage ratio and liquidity ratio requirements limit the capacity of these entities to pay dividends or to transfer assets to the Crédit Agricole Group.

Legal constraints

The subsidiaries of the Crédit Agricole Group are subject to legal provisions concerning the distribution of capital and distributable earnings. These requirements limit the ability of the subsidiaries to distribute dividends. In the majority of cases, these are less restrictive than the regulatory limitations mentioned above.

Contractual constraints

Constraints related to guarantees: The Crédit Agricole Group encumbers certain financial assets to raise funds through securitisation or refinancing with central banks. Once pledged as guarantees, the assets can no longer be used by the Group. This mechanism is described in Note 9 "Commitments given and received and other guarantees".

Restriction on assets backing unit-linked contracts for the Insurance business

Assets backing unit-linked contracts of the Crédit Agricole Group are held for the benefit of policyholders. Assets of the insurance subsidiaries of Crédit Agricole Group are mainly held for satisfying their obligation towards their policyholders. Assets transfers to other entities are possible following the legal conditions. However, in case of a transfer, a part of the profit due to the transfer must be intended for the policyholders.

Other constraints

Crédit Agricole CIB Algérie must subject its dividend distribution to the prior approval of its regulatory authority (Bank of Algeria).

The dividend payment of CA Égypte is subject to the prior approval of the local regulator.

12.1.2 Support for structured entities under Group control

Crédit Agricole CIB has contractual arrangements with some consolidated structured entities that equate to commitments to provide financial support. To meet its funding needs, Crédit Agricole CIB uses structured debt issuance vehicles to raise cash on financial markets. Securities issued by these entities are fully underwritten by Crédit Agricole CIB. At 31 December 2020, the outstanding volume of these issues was €7 billion.

As part of its third-party securitisation business, Crédit Agricole CIB provides liquidity lines to its ABCP conduits. At 31 December 2020, the outstanding volume of these liquidity lines was €35 billion.

Crédit Agricole S.A. provided no other financial support for any structured entities consolidated at 31 December 2020 and 31 December 2019.

12.1.3 Securitisation transactions and dedicated funds

Various Group entities conduct securitisation operations on their own account as part of collateralised refinancing transactions. Depending on the circumstances, these transactions can be wholly or partially placed with investors, sold under repurchase agreements or kept on the issuer's balance sheet as liquid securities reserves that can be used to manage refinancing.

Following the IFRS 9 decision tree, these transactions are considered to form part of deconsolidating or non-deconsolidating transactions: for non-deconsolidating transactions, the assets are retained on the Crédit Agricole Group's consolidated balance sheet.

For more details on these securitisation transactions and on the indication of the carrying amount of the assets concerned and associated liabilities, see Note 6.6 "Transferred assets not derecognised or derecognised with on-going involvement".

12.2 COMPOSITION OF THE SCOPE

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
French Retail Banking									
Banking and financial institutions									
2,417 Local Banks	●		France		P	100.0	100.0	100.0	100.0
38 Regional Banks	●		France		P	100.0	100.0	100.0	100.0
Banque Chalus	■		France		S	100.0	100.0	100.0	100.0
Bforbank S.A.	■		France		S	100.0	100.0	100.0	100.0
Caisse Régionale Provence – Côte D'Azur, Agence de Monaco	■		Monaco	France	B	100.0	100.0	100.0	100.0
Cofam	■		France		S	100.0	100.0	100.0	100.0
CRCAM SUD MED. SUC	■		Spain	France	B	100.0	100.0	100.0	100.0
FIMO Courtage	■		France		S	100.0	100.0	99.0	99.0
Interfimo	■		France		S	99.0	99.0	99.0	99.0
LCL	■		France		S	100.0	100.0	100.0	100.0
LCL succursale de Monaco	■		Monaco	France	B	100.0	100.0	100.0	100.0
Sircam	■		France		S	100.0	100.0	100.0	100.0
Lease financing companies									
Locam	■		France		S	100.0	100.0	100.0	100.0
Investment companies									
Bercy Participations	■		France		S	100.0	100.0	100.0	100.0
BMDR Editions	▲	S2	France		A		2.6		2.3
CA Centre France Développement	■		France		S	100.0	100.0	100.0	100.0
CA INVESTISSEMENTS STRATÉGIQUES CENTRE-EST	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Consumer Finance Immobilier	■		France		S	100.0	100.0	100.0	100.0
CACL DIVERSIFIÉ	■	E2	France		S	100.0		100.0	
CADINVEST	■		France		S	100.0	100.0	100.0	100.0
CADS Capital	■		France		S	100.0	100.0	100.0	100.0
CADS Développement	■		France		S	100.0	100.0	100.0	100.0
Calixte Investissement	■		France		S	100.0	100.0	100.0	100.0
CAP REGIES	▲	S2	France		A		25.2		22.9
CD COM (ChampagneFM)	▲	S2	France		A		25.2		24.2
Centre Loire Expansion	■		France		S	100.0	100.0	100.0	100.0
Cercle Bleu	▲	S2	France		A		25.0		23.9
Charente Périgord Expansion	■		France		S	100.0	100.0	100.0	100.0
Contact FM	▲	S2	France		A		25.2		24.2
Courrier Picard	▲	S2	France		A		24.9		23.9
Crédit Agricole F.C. Investissement	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Languedoc Energies Nouvelles	■		France		S	100.0	100.0	100.0	100.0
Foncière du Maine	■		France		S	100.0	100.0	100.0	100.0
GROUPE ROSSEL LA VOIX	▲		France		A	25.2	25.2	25.2	25.2
HEBDO PRESSE DÉVELOPPEMENT	▲	S2	France		A		8.4		7.7
HUI JU TONG 2020-2	▲	E2	China		CSE	50.0		50.0	

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2019
Images en Nord	▲	S2	France		A		13.3		39.0
Imprimerie du Messager	▲	S2	France		A		25.2		24.1
Internep	▲	S2	France		A		25.2		24.2
L'ARDENNAIS	▲	S2	France		A		25.2		23.0
L'EST ÉCLAIR	▲	S2	France		A		25.2		23.0
La Voix du Nord	▲	S2	France		A		24.2		24.2
La Voix FM	▲	S2	France		A		25.2		24.2
LA VOIX MEDIAS	▲	S2	France		A		25.2		24.2
L'Aisne Nouvelle	▲	S2	France		A		24.5		23.2
L'Immobilière d'A Côte	■		France		CSE	100.0	100.0	100.0	100.0
L'Indépendant du Pas-de-Calais	▲	S2	France		A		12.4		11.9
NECI	■		France		S	100.0	100.0	100.0	100.0
Nep TV	▲	S2	France		A		25.2		24.2
NEW POLE CAP	▲	S2	France		A		23.9		23.0
Newsmaster France	▲	S2	France		A		12.6		12.1
NMP Développement	■		France		S	100.0	100.0	100.0	100.0
Nord Capital Investissement	■		France		S	99.3	99.3	99.3	99.3
Nord Eclair	▲	S2	France		A		25.2		24.2
Nord Est Expansion	■		France		CSE	100.0	100.0	100.0	100.0
Nord Littoral	▲	S2	France		A		25.2		24.2
NORDISPRESS	▲	S2	France		A		25.2		24.2
Normandie Conseil Medias	▲	S2	France		A		25.2		24.2
Picardie Matin	▲	S2	France		A		25.2		23.8
Presse Flamande	▲	S2	France		A		24.9		23.9
Répondances	▲	S2	France		A		25.2		24.2
Sequana	■		France		CSE	100.0	100.0	100.0	100.0
SOC D'ÉDITION & PUBLICATION LIBÉRATION (LIBÉRATION CHAMPAGNE)	▲	S2	France		A		25.1		22.9
Socadif	■		France		S	100.0	100.0	100.0	100.0
SOCIÉTÉ DU JOURNAL L'UNION	▲	S2	France		A		25.2		22.9
Société Financière de Ty Nay	■		France		CSE	100.0	100.0	100.0	100.0
Société Financière du Languedoc Roussillon (SOFILARO)	■		France		S	100.0	100.0	100.0	100.0
Société Normande d'Information et Medias	▲	S2	France		A		25.2		24.2
STM	▲	S2	France		A		15.8		24.8
TÉLÉ SAINT-QUENTIN	▲	S2	France		A		5.7		5.4
Insurance									
Camca Assurance	■		Luxembourg		S	100.0	100.0	87.8	87.8
Camca Courtage	■		France		S	100.0	100.0	81.0	81.0
Camca Lux Finance Management Company	■		Luxembourg		S	100.0	100.0	84.3	84.3
Camca Réassurance	■		Luxembourg		S	100.0	100.0	82.0	82.0
Fop Camca Lux Finance	■		Luxembourg		S	100.0	100.0	100.0	100.0
Groupe CAMCA	■		France		S	100.0	100.0	100.0	100.0
Sci 32 Liberté	■		Luxembourg		S	100.0	100.0	82.0	82.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
Sci Haussmann 122	■		France		S	100.0	100.0	81.0	81.0
Sci La Boétie 65	■		France		S	100.0	100.0	81.0	81.0
Tourism – property development									
57 COURS DE LA LIBERTÉ (SCI)	■		France		S	100.0	100.0	100.0	100.0
Angle Neuf	■		France		S	100.0	100.0	100.0	100.0
Aquitaine Immobilier Investissement	■		France		S	100.0	100.0	100.0	100.0
Charente Périgord Immobilier	■		France		S	100.0	100.0	100.0	100.0
CRÉDIT AGRICOLE ATLANTIQUE VENDEE IMMOBILIER PARTICIPATION	■		France		S	100.0	100.0	100.0	100.0
Franche Comté Développement Foncier	■		France		S	100.0	100.0	100.0	100.0
Franche Comté Développement Immobilier	■		France		S	100.0	100.0	100.0	100.0
Immeuble Franche Comté	■		France		S	100.0	100.0	100.0	100.0
Midi Toulousain Immobilier	■		France		S	100.0	100.0	100.0	100.0
Nacarot	▲	S2	France		A		30.8		30.8
NMP CHASSELOUP	■	E1	France		S	100.0		100.0	
NMP IMMO	■	E1	France		S	100.0		100.0	
NMP VANEAU	■	E1	France		S	100.0		100.0	
Nord Est Aménagement Promotion	■		France		S	100.0	100.0	100.0	100.0
Nord Est Immo	■		France		S	100.0	100.0	100.0	100.0
Nord Est Patrimoine Immobilier	■	D2	France		S	100.0	100.0	100.0	100.0
Normandie Seine Foncière	■		France		S	100.0	100.0	100.0	100.0
Normandie Seine Immobilier	■	E1	France		S	100.0		100.0	
NS Immobilier	■	E1	France		S	100.0		100.0	
S.A. Foncière de l'Érable	■		France		S	100.0	100.0	100.0	100.0
S.A.S. Chalons Mont Bernard	■	S5	France		S		100.0		100.0
S.A.S. Charleville Forest	■	S5	France		S		100.0		100.0
SAS CENTRE D'AFFAIRES DU PARC LUMIÈRE	■		France		S	100.0	100.0	100.0	100.0
SAS Crédit Agricole Centre Loire Investissement	■		France		S	100.0	100.0	100.0	100.0
SCI 1 PLACE FRANCSQUE- REGAUD	■		France		S	100.0	100.0	100.0	100.0
SCI 22 QUAI SARRAIL	■		France		S	100.0	100.0	100.0	100.0
SCI 25-27 RUE DES TUILERIES	■		France		S	100.0	100.0	100.0	100.0
SCI 27 QUAI ROMAIN-ROLLAND	■		France		S	100.0	100.0	100.0	100.0
SCI 3 QUAI J.-MOULIN	■		France		S	100.0	100.0	100.0	100.0
SCI 5 RUE DU BŒUF	■		France		S	100.0	100.0	100.0	100.0
SCI 50-52 MONTÉE DU GOURGUILLON	■		France		S	100.0	100.0	100.0	100.0
SCI CAP ARROW	■		France		S	100.0	100.0	100.0	100.0
SCI CONFIDENCE	■		France		S	100.0	100.0	100.0	100.0

(1) Consolidation method: : ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
SCI Crystal Europe	■		France		S	100.0	100.0	100.0	100.0
SCI DE LA CROIX ROCHERAN	■		France		S	100.0	100.0	100.0	100.0
SCI DE LA MAISON DU GRIFFON	■		France		S	100.0	100.0	100.0	100.0
SCI DES JARDINS D'ORSAY	■		France		S	100.0	100.0	100.0	100.0
SCI DU 113 RUE DES CHARMETTES	■		France		S	100.0	100.0	100.0	100.0
SCI DU 36	■		France		S	100.0	100.0	100.0	100.0
SCI DU 7 RUE PASSET	■		France		S	100.0	100.0	100.0	100.0
SCI DU JARDIN LAENNEC	■		France		S	100.0	100.0	100.0	100.0
SCI DU JARDIN SAINT-JOSEPH	■		France		S	100.0	100.0	100.0	100.0
SCI Euralliance Europe	■		France		S	100.0	100.0	100.0	100.0
SCI GAMBETTA	■		France		S	100.0	100.0	100.0	100.0
SCI GREEN CROZET	■		France		S	100.0	100.0	100.0	100.0
SCI JDL BÂTIMENT 5	■		France		S	100.0	100.0	100.0	100.0
SCI LA RUCHE 18-20	■		France		S	100.0	100.0	100.0	100.0
SCI LE BRETAGNE	■		France		S	75.0	75.0	75.0	75.0
SCI MONTAGNY 71	■		France		S	100.0	100.0	100.0	100.0
SCI Quartz Europe	■		France		S	100.0	100.0	100.0	100.0
SCI SILK OFFICE	■		France		S	100.0	100.0	100.0	100.0
SCI VILLA BELLA	■		France		S	100.0	100.0	100.0	100.0
SQUARE HABITAT ATLANTIQUE VENDEE	■		France		S	100.0	100.0	100.0	100.0
Square Habitat Nord de France	■		France		S	100.0	100.0	100.0	100.0
Square Habitat Toulouse 31	■		France		S	100.0	100.0	100.0	100.0
Other									
955	■		France		S	100.0	100.0	100.0	100.0
SNC 120 RUE SAINT-GEORGES	■		France		S	100.0	100.0	100.0	100.0
1 BD MONGE	■		France		S	100.0	100.0	100.0	100.0
11 GABRIEL PÉRI	■		France		S	100.0	100.0	100.0	100.0
15 RUE DE SAINT-CYR	■		France		S	100.0	100.0	100.0	100.0
2 PL. DUMAS DE LOIRE & 7 R 2 PLACES	■		France		S	100.0	100.0	100.0	100.0
21 ALSACE LORRAINE	■		France		S	100.0	100.0	100.0	100.0
24 RUE D'ALSACE	■		France		S	100.0	100.0	100.0	100.0
24 RUE DES TUILLIERS	■		France		S	100.0	100.0	100.0	100.0
29 LANTERNE	■		France		S	100.0	100.0	100.0	100.0
3 CUVIER	■		France		S	100.0	100.0	100.0	100.0
37 ROUTE DES BLANCHES (GEX FERNEY)	■		France		S	100.0	100.0	100.0	100.0
42 RUE MERCIERE	■		France		S	100.0	100.0	100.0	100.0
56055 AEURHC	■	E1	Luxembourg		CSE	51.6		51.4	
57 RUE MARCHANDE	■		France		S	100.0	100.0	100.0	100.0
6 RUE VAUBECOUR	■		France		S	100.0	100.0	100.0	100.0
78 DENFERT	■		France		S	100.0	100.0	100.0	100.0
7-9-11 RUE DU MILIEU	■		France		S	100.0	100.0	100.0	100.0
91 CREQUI	■		France		S	100.0	100.0	100.0	100.0
93 GRANDE RUE D'OULLINS	■		France		S	100.0	100.0	100.0	100.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
ADMINISTRATION GESTION IMMOBILIÈRE	■		France		S	100.0	100.0	100.0	100.0
Adret Gestion	■		France		CSE	100.0	100.0	100.0	100.0
ALGERIE 10	■		France		S	100.0	100.0	100.0	100.0
Alsace Elite	■	S1	France		CSE		97.0		97.0
AMUNDI EMERG MKT BD-M2EURHC	■	E1	Luxembourg		CSE	63.2		63.2	
Anjou Maine Gestion	■		France		S	100.0	100.0	100.0	100.0
Aquitaine Rendement	■		France		S	100.0	100.0	100.0	100.0
Armor Fonds Dédié	■	S1	France		S		100.0		100.0
AZUR	■		France		S	100.0	100.0	100.0	100.0
Bercy Champ de Mars	■		France		S	100.0	100.0	100.0	100.0
BERCY VILLIOT	■	E1	France		S	100.0		100.0	
BOUTIN 56	■		France		S	100.0	100.0	100.0	100.0
Brie Picardie Croissance	■		France		CSE	100.0	100.0	100.0	100.0
C.L. Verwaltungs und Beteiligungsgesellschaft GmbH	■	S3	Germany		S		100.0		100.0
CA Aquitaine Agences Immobilières	■		France		S	100.0	100.0	100.0	100.0
CA Aquitaine Immobilier	■		France		S	100.0	100.0	100.0	100.0
CA Centre-Est Développement Immobilier	■		France		S	100.0	100.0	100.0	100.0
CAAP CREATION	■		France		CSE	100.0	100.0	100.0	100.0
CAAP Immo	■		France		CSE	100.0	100.0	100.0	100.0
CAAP IMMO GESTION	■		France		CSE	100.0	100.0	100.0	100.0
CAAP Immo Invest	■		France		CSE	100.0	100.0	100.0	100.0
CAM HYDRO	■		France		S	100.0	100.0	100.0	100.0
CAP ACTIONS 3	■		France		CSE	100.0	100.0	100.0	100.0
CAP Régulier 1	■		France		CSE	100.0	100.0	100.0	100.0
CAP Régulier 2	■		France		S	100.0	100.0	100.0	100.0
CAPG ENERGIES NOUVELLES	■		France		S	100.0	100.0	100.0	100.0
CAPG INVESTISSEMENTS ENERGETIQUES	■		France		S	65.0	65.0	65.0	65.0
CAPI Centre-Est	■		France		S	100.0	100.0	100.0	100.0
CASRA CAPITAL	■		France		S	100.0	100.0	100.0	100.0
Centre France Location Immobilière	■		France		S	100.0	100.0	100.0	100.0
Chabrilac	■		France		S	100.0	100.0	93.5	93.5
CHALOPIN GUILLOTIERE	■		France		S	100.0	100.0	100.0	100.0
CHENE VERT	■	E1	France		S	100.0		100.0	
CL CLARES	■	E1	France		S	100.0		100.0	
CL Promotion	■	E1	France		S	100.0		100.0	
CMDS IMMOBILIER	■	E1	France		S	100.0		100.0	
Compagnie Foncière Lyonnaise	■		France		S	100.0	100.0	100.0	100.0
CONSTANTINE 12	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Centre Est Immobilier	■		France		S	100.0	100.0	100.0	100.0
CRÉDIT AGRICOLE ILLE-ET-VILAINE EXPANSION	■	E1	France		S	100.0		100.0	
Crédit Agricole Languedoc Immobilier	■		France		S	100.0	100.0	100.0	100.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
Crédit Lyonnais Développement Économique (CLDE)	■		France		S	100.0	100.0	100.0	100.0
CROIX ROUSSE	■		France		S	100.0	100.0	100.0	100.0
DAPAR	■		France		S	100.0	100.0	100.0	100.0
DE L'ARTOIS	■		France		S	100.0	100.0	100.0	100.0
DES CYGNES	■		France		S	100.0	100.0	100.0	100.0
DES ÉCHEVINS	■		France		S	100.0	100.0	100.0	100.0
DES PAYS-BAS	■		France		S	100.0	100.0	100.0	100.0
DU 34 RUE EDOUARD-HERRIOT	■		France		S	100.0	100.0	100.0	100.0
DU 46	■		France		S	100.0	100.0	100.0	100.0
DU BOIS DU PORT	■		France		S	100.0	100.0	100.0	100.0
DU CARILLON	■		France		S	100.0	100.0	100.0	100.0
DU CORBILLON	■		France		S	100.0	100.0	100.0	100.0
DU CORVETTE	■		France		S	100.0	100.0	100.0	100.0
DU ROZIER	■		France		S	100.0	100.0	100.0	100.0
DU TOURNE-FEUILLE	■		France		S	100.0	100.0	100.0	100.0
Edokial	■		France		S	66.0	66.0	95.7	95.7
Émeraude Croissance	■		France		CSE	100.0	100.0	100.0	100.0
EUROHABITAT	■		France		S	100.0	100.0	100.0	100.0
EUROPEAN CDT SRI PC	■	E1	France		CSE	44.6		43.8	
EUROTERTIAIRE 2	■		France		S	100.0	100.0	100.0	100.0
Everbreizh	■		France		CSE	100.0	100.0	100.0	100.0
FCP Centre Loire	■		France		CSE	100.0	100.0	100.0	100.0
FCT Crédit Agricole Habitat 2015 (sauf compartiment Corse)	■		France		CSE	-	100.0	-	100.0
FCT Crédit Agricole Habitat 2017 (sauf compartiment Corse)	■		France		CSE	100.0	100.0	100.0	100.0
FCT Crédit Agricole Habitat 2018 (sauf compartiment Corse)	■		France		CSE	100.0	100.0	100.0	100.0
FCT Crédit Agricole Habitat 2019 (sauf compartiment Corse)	■		France		CSE	100.0	100.0	100.0	100.0
FCT Crédit Agricole Habitat 2020 (sauf compartiment Corse)	■	E2	France		CSE	100.0		100.0	
FCT True Sale (Compartiment LCL)	■		France		CSE	100.0	100.0	100.0	100.0
Fief Nouveau	■		France		S	100.0	100.0	100.0	100.0
FINIST-LCR	■		France		CSE	100.0	100.0	100.0	100.0
FONCIERE ATLANTIQUE VENDEE	■	E2	France		S	100.0		100.0	
Foncière Crédit Agricole Sud Rhone Alpes	■		France		S	100.0	100.0	100.0	100.0
Foncière TP	■		France		S	100.0	100.0	100.0	100.0
Fonds dédié Elstar	■	S1	France		S		100.0		99.0
Force 29	■		France		S	100.0	100.0	100.0	100.0
Force Alsace	■	S1	France		CSE		100.0		100.0
Force Charente Maritime Deux Sèvres	■		France		S	100.0	100.0	100.0	100.0
Force Iroise	■		France		CSE	100.0	100.0	100.0	100.0
Force Languedoc	■		France		CSE	100.0	100.0	100.0	100.0
Force Lorraine Duo	■		France		CSE	100.0	100.0	100.0	100.0
Force Profile 20	■		France		S	100.0	100.0	99.9	99.9
Force Run	■		France		S	100.0	100.0	100.0	100.0

(1) Consolidation method : ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
Force Toulouse Diversifié	■		France	CSE		100.0	100.0	100.0	100.0
Force 4	■		France	CSE		100.0	100.0	100.0	100.0
GRANGE HAUTE	■		France	S		100.0	100.0	100.0	100.0
GRD ACT.ZONE EURO	■	E1	France	CSE		100.0		100.0	
HAPPY FM	▲	S2	France	A			25.2		24.2
Immocam	■		France	S		100.0	100.0	100.0	100.0
INDOSUEZ CAP EMERG.M	■	E1	France	CSE		100.0		100.0	
INFORSUD TECHNOLOGIES	■	D1	France	S		100.0	100.0	95.0	93.5
Inforsud Gestion	■		France	CSE		95.0	93.5	95.0	93.5
INTERIMOB	■		France	S		100.0	100.0	100.0	100.0
JOLIOT CURIE	■		France	S		100.0	100.0	100.0	100.0
L'EGLANTINE	■		France	S		100.0	100.0	100.0	100.0
LES OVALISTES	■		France	S		100.0	100.0	100.0	100.0
LEYNAUD 41	■		France	S		100.0	100.0	100.0	100.0
LOCA-CORB	■		France	S		100.0	100.0	100.0	100.0
LOCAFLEX	■		France	S		100.0	100.0	100.0	100.0
LOCAGUET	■		France	S		100.0	100.0	100.0	100.0
LYONNAISE DE PRÉFABRICATION	■		France	S		100.0	100.0	100.0	100.0
MACE MONGE	■		France	S		100.0	100.0	100.0	100.0
MAISON DE LA DANSE	■		France	S		100.0	100.0	100.0	100.0
MAZARIK 24	■		France	S		100.0	100.0	100.0	100.0
MGC	■		France	S		100.0	100.0	100.0	100.0
MOULIN DE PRESSENSÉ	■		France	S		100.0	100.0	100.0	100.0
NMP Gestion	■		France	CSE		100.0	100.0	100.0	100.0
NS ALTERNATIVE PERFORMANCE	■		France	S		100.0	100.0	100.0	100.0
Ozenne Institutionnel	■		France	CSE		100.0	100.0	100.0	100.0
P.N.S.	■		France	S		100.0	100.0	100.0	100.0
PCA IMMO	■		France	S		100.0	100.0	100.0	100.0
PED EUROPE	■		France	S		100.0		100.0	
PG Développement	■		France	S		100.0	100.0	100.0	100.0
PG IMMO	■		France	S		100.0	100.0	100.0	100.0
PG Invest	■		France	S		100.0	100.0	100.0	100.0
POLYLOC	■		France	S		100.0	100.0	100.0	100.0
Prestimmo	■		France	S		100.0	100.0	100.0	100.0
Pyrénées Gascogne Altitude	■		France	S		100.0	100.0	100.0	100.0
Pyrénées Gascogne Gestion	■		France	S		100.0	100.0	100.0	100.0
RENE 35	■		France	S		100.0	100.0	100.0	100.0
Réunion Télécom	■		France	S		86.0	86.0	86.0	86.0
Run Cartes	■		France	S		60.0	60.0	51.6	51.6
SAINT CLAR (SNC)	■		France	S		100.0	100.0	65.0	65.0
SARL PAUL VERLAINE	■		France	S		100.0	100.0	100.0	100.0
SAS Brie Picardie Expansion	■		France	S		100.0	100.0	100.0	100.0
SAS CATP EXPANSION	■		France	S		100.0	100.0	100.0	100.0
SAS SQUARE HABITAT CHARENTE-MARITIME DEUX-SÈVRES	■	E1	France	S		100.0		100.0	
SCI Campayrol	■		France	S		100.0	100.0	100.0	100.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
SCI LA LEVÉE	■	E1	France		S	100.0		100.0	
SCI SRA BELLEDONNE	■		France		S	100.0	100.0	100.0	100.0
SCI SRA CHARTREUSE	■		France		S	100.0	100.0	100.0	100.0
SCI SRA VERCORS	■		France		S	100.0	100.0	100.0	100.0
SCI Turenne Wilson	■		France		S	100.0	100.0	100.0	100.0
Scica HL	■		France		S	100.0	100.0	100.0	100.0
SILOS DE JONAGE	■		France		S	100.0	100.0	100.0	100.0
Société de Transactions Immobilières de Bourbon	■		France		S	100.0	100.0	100.0	100.0
SOCIÉTÉ D'ÉTUDES DE PARTICIPATIONS ET D'INVESTISSEMENT	■		France		S	100.0	100.0	100.0	100.0
SOCIÉTÉ D'EXPLOITATION DES TÉLÉPHÉRIQUES TARENTAISE-MAURIENNE	▲		France		A	38.1	38.1	38.1	38.1
SOLYMO	■		France		S	100.0	100.0	100.0	100.0
Square Habitat Gestion Sud Rhône Alpes	■		France		S	100.0	100.0	100.0	100.0
Square Habitat Pays Basque	■		France		S	100.0	100.0	100.0	100.0
Square Habitat Sud Rhône Alpes	■		France		S	100.0	100.0	100.0	100.0
STEPHANE	■		France		S	100.0	100.0	100.0	100.0
Sud Rhône Alpes Placement	■		France		S	100.0	100.0	99.9	99.9
Toulouse 31 Court Terme	■		France		CSE	100.0	100.0	100.0	100.0
UNI-INVEST ANJOU MAINE	■		France		S	100.0	100.0	100.0	100.0
Val de France Rendement	■		France		S	100.0	100.0	100.0	100.0
Valeurs Monétiques	■		France		S	100.0	100.0	86.0	86.0
VIVIER TOULON	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Languedoc Patrimoine	■	E1	France		S	100.0		100.0	
Val de France Expansion	■	E1	France		S	100.0		100.0	
VENDÔME SEL EURO PC	■	E1	France		CSE	43.6		43.6	
SCI CA Run Développement	■	E1	France		S	99.9		99.9	
Normandie Seine Participation	■	E2	France		S	100.0		100.0	

International Retail Banking

Banking and financial institutions

Arc Broker	■		Poland		S	100.0	100.0	100.0	100.0
Bankoa	■	D4	Spain		S	99.8	99.8	99.8	99.8
BANKOA KARTERA S.A.	■	D4	Spain		S	100.0	100.0	99.8	99.8
CRÉDIT AGRICOLE BANK	■		Ukraine		S	100.0	100.0	100.0	100.0
Crédit Agricole Bank Polska S.A.	■		Poland		S	100.0	100.0	100.0	100.0
Crédit Agricole Banka Srbija a.d. Novi Sad	■		Serbia		S	100.0	100.0	100.0	100.0
CRÉDIT AGRICOLE BANKOA GESTION	■	D4	Spain		S	100.0	100.0	99.8	99.8
Crédit Agricole Egypt S.A.E.	■		Egypt		S	60.5	60.5	60.5	60.5

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2019
Crédit Agricole Friuladria S.p.A.	■		Italy		S	82.4	81.8	70.0	69.5
Crédit Agricole Group Solutions	■		Italy		CSE	100.0	100.0	83.5	83.4
Crédit Agricole Italia	■		Italy		S	84.9	84.9	84.9	84.9
Crédit Agricole next Leasing Italia	■		Italy		S	100.0	100.0	87.2	87.2
Crédit Agricole next bank (Suisse) S.A.	■		Switzerland		S	100.0	100.0	100.0	100.0
Crédit Agricole Polska S.A.	■		Poland		S	100.0	100.0	100.0	100.0
Crédit Agricole Bank Romania	■	D4	Romania		S	100.0	100.0	100.0	100.0
Crédit Agricole Service sp z o.o.	■		Poland		S	100.0	100.0	100.0	100.0
Crédit du Maroc	■		Morocco		S	78.7	78.7	78.7	78.7
SIFIM	■		Morocco		S	100.0	100.0	78.7	78.7
SWISS HOME LOAN	■		Switzerland		CSE	94.5	94.5	94.5	94.5
Other									
IUB Holding	■		France		S	100.0	100.0	100.0	100.0
Savings Management									
Banking and financial institutions									
ABC-CA Fund Management CO	▲		China		A	33.3	33.3	23.3	23.3
AMUNDI	■		France		S	69.6	70.0	69.6	70.0
AMUNDI (UK) Ltd.	■		United Kingdom		S	100.0	100.0	69.6	70.0
AMUNDI Asset Management	■		France		S	100.0	100.0	69.6	70.0
AMUNDI ASSET MANAGEMENT AGENCIA EN CHILE	■		Chile		B	100.0	100.0	69.9	69.9
AMUNDI ASSET MANAGEMENT BELGIUM	■		Belgium		B	100.0	100.0	69.9	69.9
AMUNDI ASSET MANAGEMENT DUBAI (OFF SHORE) BRANCH	■		United Arab Emirates		B	100.0	100.0	69.9	69.9
AMUNDI ASSET MANAGEMENT HONG KONG BRANCH	■		Hong Kong		B	100.0	100.0	70.0	70.0
AMUNDI ASSET MANAGEMENT LONDON BRANCH	■		United Kingdom		B	100.0	100.0	69.6	70.0
AMUNDI ASSET MANAGEMENT MEXICO BRANCH	■		Mexico		B	100.0	100.0	69.9	69.9
AMUNDI ASSET MANAGEMENT NEDERLAND	■		Netherlands		B	100.0	100.0	70.0	70.0
Amundi Asset Management S.A.I S.A.	■		Romania		S	100.0	100.0	69.6	70.0
Amundi Austria GmbH	■		Austria		S	100.0	100.0	69.6	70.0
Amundi BOC Wealth Management Co. Ltd	■	E2	China		S	55.0		38.3	
Amundi Czech Republic Asset Management Bratislava Branch	■		Slovakia		B	100.0	100.0	69.9	69.9
Amundi Czech Republic Asset Management Sofia Branch	■		Bulgaria		B	100.0	100.0	69.9	69.9
Amundi Czech Republic Asset Management, A.S.	■		Czech Republic		S	100.0	100.0	69.6	70.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2019
Amundi Czech Republic, Investici Společnost, A.S.	■		Czech Republic		S	100.0	100.0	69.6	70.0
Amundi Deutschland GmbH	■		Germany		S	100.0	100.0	69.6	70.0
AMUNDI Finance	■		France		S	100.0	100.0	69.6	70.0
AMUNDI Finance Emissions	■		France		S	100.0	100.0	69.6	70.0
AMUNDI GLOBAL SERVICING	■		Luxembourg		S	100.0	100.0	69.6	70.0
AMUNDI Hellas MFMC S.A.	■		Greece		S	100.0	100.0	69.6	70.0
AMUNDI Hong Kong Ltd.	■		Hong Kong		S	100.0	100.0	69.6	70.0
AMUNDI Iberia S.G.I.I.C.S.A.	■		Spain		S	100.0	100.0	69.6	70.0
AMUNDI Immobilier	■		France		S	100.0	100.0	69.6	70.0
AMUNDI India Holding	■		France		S	100.0	100.0	69.6	70.0
AMUNDI Intermediation	■		France		S	100.0	100.0	69.6	70.0
Amundi Intermediation Asia PTE Ltd	■		Singapore		S	100.0	100.0	69.6	70.0
Amundi Intermediation Dublin Branch	■		Ireland		B	100.0	100.0	69.6	70.0
Amundi Intermediation London Branch	■		United Kingdom		B	100.0	100.0	69.6	70.0
Amundi Investment Fund Management Private Limited Company	■		Hungary		S	100.0	100.0	69.6	70.0
Amundi Ireland Ltd	■		Ireland		S	100.0	100.0	69.6	70.0
AMUNDI Issuance	■		France		S	100.0	100.0	69.6	70.0
AMUNDI Japan	■		Japan		S	100.0	100.0	69.6	70.0
AMUNDI Japan Holding	■	S4	Japan		S		100.0		70.0
Amundi Luxembourg S.A.	■		Luxembourg		S	100.0	100.0	69.6	70.0
AMUNDI Malaysia Sdn Bhd	■		Malaysia		S	100.0	100.0	69.6	70.0
Amundi Pioneer Asset Management Inc.	■		United States		S	100.0	100.0	69.6	70.0
Amundi Pioneer Asset Management USA Inc.	■		United States		S	100.0	100.0	69.6	70.0
Amundi Pioneer Distributor Inc.	■		United States		S	100.0	100.0	69.6	70.0
Amundi Pioneer Institutional Asset Management Inc.	■		United States		S	100.0	100.0	69.6	70.0
AMUNDI Polska	■		Poland		S	100.0	100.0	69.6	70.0
AMUNDI Private Equity Funds	■		France		S	100.0	100.0	69.6	70.0
AMUNDI Real Estate Italia SGR S.p.A.	■		Italy		S	100.0	100.0	69.6	70.0
AMUNDI SGR S.p.A.	■		Italy		S	100.0	100.0	69.6	70.0
AMUNDI Singapore Ltd.	■		Singapore		S	100.0	100.0	69.6	70.0
AMUNDI Suisse	■		Switzerland		S	100.0	100.0	69.6	70.0
Amundi Taiwan Limited	■		Taiwan		S	100.0	100.0	69.6	70.0
AMUNDI Tenue de Comptes	■		France		S	100.0	100.0	69.6	70.0
AMUNDI USA Inc.	■		United States		S	100.0	100.0	69.6	70.0
AMUNDI Ventures	■		France		S	100.0	100.0	69.6	70.0

(1) Consolidation method: : ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
BFT Investment Managers	■		France		S	100.0	100.0	69.6	70.0
CA Indosuez (Suisse) S.A. Hong Kong Branch	■		Hong Kong	Switzerland	B	100.0	100.0	100.0	100.0
CA Indosuez (Suisse) S.A. Singapore Branch	■		Singapore	Switzerland	B	100.0	100.0	100.0	100.0
CA Indosuez (Suisse) S.A. Switzerland Branch	■		Switzerland		B	100.0	100.0	100.0	100.0
CA Indosuez (Switzerland) S.A.	■		Switzerland		S	100.0	100.0	100.0	100.0
CA Indosuez Finanziaria S.A.	■		Switzerland		S	100.0	100.0	100.0	100.0
CA Indosuez Gestion	■		France		S	100.0	100.0	100.0	100.0
CA Indosuez Wealth (Europe)	■		Luxembourg		S	100.0	100.0	100.0	100.0
CA Indosuez Wealth (Europe) Belgium Branch	■		Belgium	Luxembourg	B	100.0	100.0	100.0	100.0
CA Indosuez Wealth (Europe) Spain Branch	■		Spain	Luxembourg	B	100.0	100.0	100.0	100.0
CA Indosuez Wealth (France)	■		France		S	100.0	100.0	100.0	100.0
CA Indosuez Wealth Italy S.P.A.	■		Italy		S	100.0	100.0	100.0	100.0
CA Luxembourg (succursale Italie)	■	S1	Italy	Luxembourg	B		100.0		100.0
CFM Indosuez Wealth	■		Monaco		S	70.2	70.2	69.0	69.0
CPRAM	■		France		S	100.0	100.0	69.6	70.0
Étoile Gestion	■		France		S	100.0	100.0	69.6	70.0
Fund Channel	■	D2	Luxembourg		S	100.0	50.0	68.1	35.0
Fund Channel Singapore Branch	■	D2	Singapore	Luxembourg	S	100.0	50.0	69.6	34.2
KBI Fund Managers Limited	■		Ireland		S	87.5	87.5	69.6	70.0
KBI Global Investors (North America) Limited	■		Ireland		S	87.5	87.5	69.6	70.0
KBI Global Investors Limited	■		Ireland		S	87.5	87.5	69.6	70.0
LCL Emissions	■		France		S	100.0	100.0	69.6	70.0
NH-AMUNDI ASSET MANAGEMENT	▲		South Korea		A	30.0	30.0	21.0	21.0
Pioneer Global Investments LTD Buenos Aires Branch	■	S1	Argentina		B		100.0		69.9
Pioneer Global Investments LTD Mexico city Branch	■		Mexico		B	100.0	100.0	69.9	69.9
Sabadell Asset Management, S.A., S.G.I.I.C.	■	E3	Spain		S	100.0		69.6	
Société Générale Gestion (S2G)	■		France		S	100.0	100.0	69.6	70.0
State Bank of India Fund Management	▲		India		A	37.0	37.0	25.9	25.9
Vanderbilt Capital Advisors LLC	■		United States		S	100.0	100.0	69.6	70.0
WAFA Gestion	▲		Morocco		A	34.0	34.0	23.8	23.8
SAS DEFENSE CB3	▲	E1	France		JV	25.0		25.0	
Investment companies									
CA Indosuez Wealth (Brazil) S.A. DTVM	■	D4	Brazil		S	100.0	100.0	100.0	100.0
CA Indosuez Wealth (Group)	■		France		S	100.0	100.0	100.0	100.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
CFM Indosuez Conseil en Investissement	■		France		S	70.2	70.2	69.0	69.0
CFM Indosuez Conseil en Investissement, Succursale de Nouméa	■		France		B	70.2	70.2	69.0	69.0
CFM Indosuez Gestion	■		Monaco		S	70.2	70.2	68.1	67.6
Insurance									
ASSUR&ME	■		France		CSE	100.0	100.0	100.0	100.0
CA Assicurazioni	■		Italy		S	100.0	100.0	100.0	100.0
CACI DANNI ⁽¹⁾	■		Italy	Ireland	B	100.0	100.0	100.0	100.0
CACI LIFE LIMITED	■		Ireland		S	100.0	100.0	100.0	100.0
CACI NON LIFE LIMITED	■		Ireland		S	100.0	100.0	100.0	100.0
CACI NON VIE ⁽¹⁾	■		France	Ireland	B	100.0	100.0	100.0	100.0
CACI Reinsurance Ltd.	■		Ireland		S	100.0	100.0	100.0	100.0
CACI VIE ⁽¹⁾	■		France	Ireland	B	100.0	100.0	100.0	100.0
CACI VITA ⁽¹⁾	■		Italy	Ireland	B	100.0	100.0	100.0	100.0
CALIE Europe Succursale France ⁽¹⁾	■		France	Luxembourg	B	94.1	100.0	94.1	100.0
CALIE Europe Succursale Pologne ⁽¹⁾	■		Poland	Luxembourg	B	100.0	100.0	100.0	100.0
Crédit Agricole Assurances (CAA)	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Creditor Insurance (CACI)	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Life	■		Greece		S	100.0	100.0	100.0	100.0
Crédit Agricole Life Insurance Company Japan Ltd.	■		Japan		S	100.0	100.0	100.0	100.0
Crédit Agricole Life Insurance Europe	■		Luxembourg		S	100.0	100.0	100.0	100.0
Crédit Agricole Vita S.p.A.	■		Italy		S	100.0	100.0	100.0	100.0
Finaref Risques Divers	■		France		S	100.0	100.0	100.0	100.0
Finaref Vie	■	S5	France		S		100.0		100.0
GNB SEGUROS	■		Portugal		S	100.0	75.0	100.0	75.0
Médicale de France	■		France		S	100.0	100.0	100.0	100.0
Pacifica	■		France		S	100.0	100.0	100.0	100.0
Predica	■		France		S	100.0	100.0	100.0	100.0
Predica – Prévoyance Dialogue du Crédit Agricole ⁽¹⁾	■		Spain		B	100.0	100.0	100.0	100.0
Space Holding (Ireland) Limited	■		Ireland		S	100.0	100.0	100.0	100.0
Space Lux	■		Luxembourg		S	100.0	100.0	100.0	100.0
Spirica	■		France		S	100.0	100.0	100.0	100.0
UCITS									
37785 QXEURC ⁽¹⁾	■	E2	Luxembourg		CSE	100.0		100.0	
ACAJOU	■		France		CSE	100.0	100.0	70.0	70.0
AGRICOLE RIVAGE DETTE ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
AIJPMGBIGOAHE	■	E1	Luxembourg		CSE	82.3		82.3	
AM DESE FIII DS3IMDI ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
AMUNDI GRD 24 FCP ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
AMUNDI PE Solution Alpha	■		France		CSE	100.0	100.0	70.0	70.0
APLEGROSENIUHD ⁽¹⁾	■		Luxembourg		CSE	50.9	50.9	50.9	50.9
ARTEMID ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2019
BFT CREDIT OPPORTUNITES -I-C ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
BFT Opportunité ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
BFT VALUE PREM OP CD ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CA VITA INFRASTRUCTURE CHOICE FIPS c.I.A. ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CA VITA PRIVATE DEBT CHOICE FIPS c.I.A. ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CA VITA PRIVATE EQUITY CHOICE ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2013 COMPARTIMENT 5 A5 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2013 FCPR B1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2013 FCPR C1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2013 FCPR D1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2013-2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2013-3 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2014 COMPARTIMENT 1 PART A1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2014 INVESTISSEMENT PART A3 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2015 COMPARTIMENT 1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2015 COMPARTIMENT 2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA 2016 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA COMMERCES 2 ⁽¹⁾	■	E2	France		CSE	100.0		100.0	
CAA INFRASTRUCTURE ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA INFRASTRUCTURE 2017 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA INFRASTRUCTURE 2018 – COMPARTIMENT 1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA INFRASTRUCTURE 2019 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PR FI II C1 A1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIV EQY 19 CF A ⁽¹⁾	■	E2	France		CSE	100.0		100.0	
CAA PRIV.FINANC. COMP.1 A1 FIC ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIV.FINANC. COMP.2 A2 FIC ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIVATE EQUITY 2017 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIVATE EQUITY 2017 BIS ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIVATE EQUITY 2017 FRANCE INVESTISSEMENT ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIVATE EQUITY 2017 MEZZANINE ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIVATE EQUITY 2017 TER ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIVATE EQUITY 2018 – COMPARTIMENT 1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2019
CAA PRIVATE EQUITY 2018 – COMPARTIMENT FRANCE INVESTISSEMENT ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIVATE EQUITY 2019 COMPARTIMENT 1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIVATE EQUITY 2019 COMPARTIMENT BIS ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA PRIVATE EQUITY 2019 COMPARTIMENT TER ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAA SECONDAIRE IV ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CAREPTA R 2016 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CEDAR	■		France		CSE	100.0	100.0	70.0	70.0
Chorial Allocation	■		France		CSE	99.7	99.7	69.8	69.8
CNP ACP 10 FCP ⁽¹⁾	■		France		CSE	98.2	100.0	98.2	100.0
COMPARTIMENT DS3 – IMMOBILIER VAUGIRARD ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
COMPARTIMENT DS3 – VAUGIRARD ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
CORSAIR 1.52% 25/10/38 ⁽¹⁾	■		Luxembourg		CSE	100.0	100.0	100.0	100.0
CORSAIR 1.5255% 25/04/35 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
CORSAIRE FINANCE IRELAND 0.83% 25-10-38 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
CORSAIRE FINANCE IRELAND 1.24% 25-10-38 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
CORSAIRE FINANCE IRELANDE 0.7% 25-10-38 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
EFFTHERMIE FPC ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR CAA 2013 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR CAA COMP TER PART A3 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR CAA COMPART BIS PART A2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR CAA COMPARTIMENT 1 PART A1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR CAA France Croissance 2 A ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR PREDICA 2007 A ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR PREDICA 2007 C2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR PREDICA 2008 A1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR PREDICA 2008 A2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR PREDICA 2008 A3 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR PREDICA SECONDAIRE I A1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR PREDICA SECONDAIRE I A2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR PREDICA SECONDAIRES II A ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR PREDICA SECONDAIRES II B ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCPR UI CAP AGRO ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
FCPR UI CAP SANTÉ A ⁽¹⁾	■		France		CSE	99.8	100.0	99.8	100.0
FCT BRIDGE 2016-1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCT CAA – Compartment 2017-1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCT CAREPTA – COMPARTIMENT 2014-1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCT CAREPTA – COMPARTIMENT 2014-2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCT CAREPTA – COMPARTIMENT RE-2016-1 ⁽¹⁾	■		France		CSE	97.8	100.0	97.8	100.0
FCT CAREPTA – RE 2015 -1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCT CAREPTA 2-2016 ⁽¹⁾	■	S1	France		CSE		100.0		100.0
FCT MID CAP 2 05/12/22 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FDA 18 FCP 2 DEC ⁽¹⁾	■	S1	France		CSE		100.0		100.0
FDCA3 P ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FEDERIS CORE EU CR 19 MM ⁽¹⁾	■		France		CSE	43.7	43.7	43.7	43.7
Federval ⁽¹⁾	■		France		CSE	97.9	97.9	97.9	97.9
FPCI Cogeneration France I ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FR0010671958 PREDIQUANT A5 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD 44 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD 44 N°3 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD 44 N2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD 44 N4 PART CD ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD 44 N5 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD 54 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD02 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD03 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD05 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD07 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD08 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD09 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD10 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD11 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD12 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD13 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD14 ⁽¹⁾	■		France		CSE	97.8	97.8	97.8	97.8
GRD17 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD18 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD19 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD20 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
GRD21 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
IAA CROISSANCE INTERNATIONALE ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
LF PRE ZCP 12 99 LUB ⁽¹⁾	■		France		CSE	72.4	100.0	72.4	100.0
Londres Croissance C16	■		France		CSE	100.0	100.0	70.0	70.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
LRP – CPT JANVIER 2013 0.30 13-21 11/01A ⁽¹⁾	■		Luxembourg		CSE	84.2	84.2	84.2	84.2
OBJECTIF LONG TERME FCP ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
OPCI GHD SPPICAV PROFESSIONNELLE ⁽¹⁾	■		France		CSE	90.0	90.0	90.0	90.0
Peg – Portfolio Eonia Garanti	■		France		CSE	97.2	97.2	68.0	68.0
Predica 2005 FCPR A ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Predica 2006 FCPR A ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Predica 2006-2007 FCPR ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
PREDICA 2010 A1 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
PREDICA 2010 A2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
PREDICA 2010 A3 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
PREDICA SECONDAIRES III ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Predicant A1 FCP ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Predicant A2 FCP ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Predicant A3 FCP ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Prediquant Eurocroissance A2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Prediquant Opportunités ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
PREDIQUANT PREMIUM ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
PREMIUM GR 0% 28 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 0.508% 25-10-38 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 0.63% 25-10-38 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 1.24% 25/04/35 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 1.531% 25-04-35 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 1.55% 25-07-40 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.52%06-21 EMTN ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.54%06-13.06.21 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.5575%21 EMTN ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.56%06-21 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.7% EMTN 08/08/21 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.72%12-250927 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN PLC 1.095% 25-10-38 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN PLC 4.30%2021 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN TV 06/22 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN TV 07/22 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN TV 07-22 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN TV 22 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0

(1) Consolidation method: : ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
PREMIUM GREEN TV 26/07/22 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN TV2027 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN TV23/05/2022 EMTN ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PREMIUM GREEN 4.33% 06-29/10/21 ⁽¹⁾	■		Ireland		CSE	100.0	100.0	100.0	100.0
PurpleProtAsset 1.36% 25/10/2038 ⁽¹⁾	■		Luxembourg		CSE	100.0	100.0	100.0	100.0
PurpleProtAsset 1.093% 20/10/2038 ⁽¹⁾	■		Luxembourg		CSE	100.0	100.0	100.0	100.0
RED CEDAR	■		France		CSE	100.0	100.0	69.9	69.9
UI CAP SANTÉ 2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FCT CAA COMPARTIMENT CESSION DES CREANCES LCL	■	E2	France		CSE	100.0		100.0	
Unit-linked funds (fonds UC)									
0057514 AUC ⁽¹⁾	■		Luxembourg		CSE	59.2	58.1	59.2	58.1
1827 A2EURC ⁽¹⁾	■	E2	Luxembourg		CSE	61.1		61.1	
56055 A5 EUR ⁽¹⁾	■	E2	Luxembourg		CSE	99.5		99.5	
5880 AEURC ⁽¹⁾	■	E2	Luxembourg		CSE	59.2		59.2	
5884 AEURC ⁽¹⁾	■	E2	Luxembourg		CSE	30.6		30.6	
5922 AEURHC ⁽¹⁾	■		Luxembourg		CSE	54.0	51.6	54.0	51.6
78752 AEURHC ⁽¹⁾	■		Luxembourg		CSE	41.1	40.2	41.1	40.2
A FD EQ E CON AE (C) ⁽¹⁾	■		Luxembourg		CSE	61.8	58.3	61.8	58.3
A FD EQ E FOC AE (C) ⁽¹⁾	■		Luxembourg		CSE	67.4	76.3	67.4	76.3
ACTICCIA VIE ⁽¹⁾	■		France		CSE	99.1	99.1	99.1	99.1
ACTICCIA VIE 3 ⁽¹⁾	■		France		CSE	99.3	99.4	99.3	99.4
ACTICCIA VIE 90 C ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
ACTICCIA VIE 90 N2 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
ACTICCIA VIE 90 N3 C ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
ACTICCIA VIE 90 N4 ⁽¹⁾	■		France		CSE	100.0	99.9	100.0	99.9
ACTICCIA VIE 90 N6 C ⁽¹⁾	■		France		CSE	100.0	99.9	100.0	99.9
ACTICCIA VIE N2 C ⁽¹⁾	■		France		CSE	99.3	99.3	99.3	99.3
ACTICCIA VIE N4 ⁽¹⁾	■		France		CSE	99.7	99.7	99.7	99.7
ACTIONS 50 3DEC ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
AF INDEX EQ JAPAN AE CAP ⁽¹⁾	■		Luxembourg		CSE	80.1	17.7	80.1	17.7
AF INDEX EQ USA A4E ⁽¹⁾	■		Luxembourg		CSE	63.0	70.2	63.0	70.2
AFOPRGLLIFEAE ⁽¹⁾	■		Luxembourg		CSE	42.2	47.3	42.2	47.3
AIMSCIWOAE ⁽¹⁾	■		Luxembourg		CSE	4.6	30.9	4.6	30.9
AM AC FR ISR PC 3D ⁽¹⁾	■		France		CSE	81.9	58.1	81.9	58.1
AM.AC.EU.ISR-P-3D ⁽¹⁾	■		France		CSE	36.0	44.0	36.0	44.0
AM.AC.MINER.-P-3D ⁽¹⁾	■		France		CSE	86.3	73.7	86.3	73.7
AM.AC.USA ISR P 3D ⁽¹⁾	■		France		CSE	58.9	54.5	58.9	54.5
AM.ACT. EMER.-P-3D ⁽¹⁾	■		France		CSE	42.8	43.4	42.8	43.4
AM.RDT PLUS -P-3D ⁽¹⁾	■		France		CSE	48.6	41.3	48.6	41.3
AMIRAL GROWTH OPP A ⁽¹⁾	■	E2	France		CSE	51.1		51.1	

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
AMUN TRESO CT PC 3D ⁽¹⁾	■		France		CSE	56.2	85.8	56.2	85.8
AMUN.ACT.REST.P-C ⁽¹⁾	■		France		CSE	37.9	70.7	37.9	70.7
AMUN.TRES.EONIA ISR E FCP 3DEC ⁽¹⁾	■		France		CSE	61.8	85.2	61.8	85.2
AMUNDI AC.FONC.PC 3D ⁽¹⁾	■		France		CSE	59.8	56.3	59.8	56.3
AMUNDI ACTIONS FRANCE C 3DEC ⁽¹⁾	■		France		CSE	54.9	56.6	54.9	56.6
AMUNDI AFD AV DURABL P1 FCP 3DEC ⁽¹⁾	■		France		CSE	78.8	78.4	78.8	78.4
AMUNDI ALLOCATION C ⁽¹⁾	■		France		CSE	99.3	97.7	99.3	97.7
AMUNDI B GL AGG AEC ⁽¹⁾	■		Luxembourg		CSE	9.6	55.3	9.6	55.3
AMUNDI BGE AEC ⁽¹⁾	■		Luxembourg		CSE	49.1	43.7	49.1	43.7
AMUNDI EQ E IN AHEC ⁽¹⁾	■		Luxembourg		CSE	41.2	37.4	41.2	37.4
AMUNDI GBL MACRO MULTI ASSET P ⁽¹⁾	■		France		CSE	70.1	69.6	70.1	69.6
AMUNDI GLB MUL.-ASSET- M2EURC ⁽¹⁾	■		Luxembourg		CSE	47.5	67.9	47.5	67.9
AMUNDI GLO M/A CONS-M2 EUR C ⁽¹⁾	■		Luxembourg		CSE	76.2	66.0	76.2	66.0
AMUNDI HORIZON 3D ⁽¹⁾	■		France		CSE	66.3	66.0	66.3	66.0
AMUNDI KBI ACTION PC ⁽¹⁾	■		France		CSE	87.7	87.4	87.7	87.4
AMUNDI KBI ACTIONS C ⁽¹⁾	■		France		CSE	89.9	25.2	89.9	25.2
AMUNDI KBI AQUA C ⁽¹⁾	■	E2	France		CSE	74.3		74.3	
AMUNDI OBLIG EURO C ⁽¹⁾	■		France		CSE	49.6	48.5	49.6	48.5
AMUNDI PATRIMOINE C 3DEC ⁽¹⁾	■		France		CSE	85.7	85.5	85.7	85.5
AMUNDI PULSATIONS ⁽¹⁾	■		France		CSE	57.5	57.6	57.5	57.6
AMUNDI SONANCE VIE 7 3DEC ⁽¹⁾	■		France		CSE	97.4	97.4	97.4	97.4
AMUNDI SONANCE VIE N8 3DEC ⁽¹⁾	■		France		CSE	98.6	98.7	98.6	98.7
AMUNDI TRANSM PAT C ⁽¹⁾	■		France		CSE	98.6	98.1	98.6	98.1
AMUNDI VALEURS DURAB ⁽¹⁾	■		France		CSE	63.3	67.9	63.3	67.9
AMUNDI-CSH IN-PC ⁽¹⁾	■		France		CSE	78.4	76.0	78.4	76.0
AMUNDI-EUR EQ GREEN IM-IEURC ⁽¹⁾	■		Luxembourg		CSE	65.5	80.2	65.5	80.2
AMUNDI-GL INFLAT BD-MEURC ⁽¹⁾	■		Luxembourg		CSE	57.5	60.4	57.5	60.4
AMUNDIOBLIG- MONDEP ⁽¹⁾	■		France		CSE	70.8	68.3	70.8	68.3
AMUNDI-VOLATILITY WRLD-IJSDC ⁽¹⁾	■	S1	Luxembourg		CSE		69.7		69.7
AMUNDI-VOLATILITY WRLD-OUSSC ⁽¹⁾	■	S1	Luxembourg		CSE		64.5		64.5
ANTINEA FCP ⁽¹⁾	■		France		CSE	37.3	55.2	37.3	55.2
ARC FLEXIBOND-D ⁽¹⁾	■		France		CSE	7.1	49.6	7.1	49.6
ATOUT EUROPE C FCP 3DEC ⁽¹⁾	■		France		CSE	84.7	82.4	84.7	82.4
ATOUT FRANCE C FCP 3DEC ⁽¹⁾	■		France		CSE	41.8	41.9	41.8	41.9
ATOUT PREM S ACTIONS 3DEC ⁽¹⁾	■		France		CSE	99.9	100.0	99.9	100.0

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1) (a)	Principal place of business	Country of incorporation if different from the principal place of business (b)	% control		% interest	
				31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
ATOUT VERT HORIZON FCP 3 DEC ⁽¹⁾	■	France	CSE	35.2	35.2	35.2	35.2
AXA EUR.SM.CAP E 3D ⁽¹⁾	■	France	CSE	93.0	82.4	93.0	82.4
BA-FII EUR EQ O-GEUR ⁽¹⁾	■	Luxembourg	CSE	51.9	50.7	51.9	50.7
BFT FRAN FUT-C SI.3D ⁽¹⁾	■	France	CSE	50.0	49.2	50.0	49.2
BFT SEL RDT 23 PC ⁽¹⁾	■	France	CSE	99.6	100.0	99.6	100.0
BFT STATERE P (C) ⁽¹⁾	■	France	CSE	42.7	43.6	42.7	43.6
BNP PAR.CRED. ERSC ⁽¹⁾	■ S2	France	CSE		60.8		60.8
CA MASTER EUROPE ⁽¹⁾	■	France	CSE	46.1	46.6	46.1	46.6
CA MASTER PATRIMOINE FCP 3DEC ⁽¹⁾	■	France	CSE	98.6	98.5	98.6	98.5
CADESDA 2DEC ⁽¹⁾	■	France	CSE	40.0	40.0	40.0	40.0
CALIFORNIA 09 ⁽¹⁾	■ E2	France	CSE	67.3		67.3	
CHORELIA N2 PART C ⁽¹⁾	■	France	CSE	87.8	87.8	87.8	87.8
CHORELIA N3 PART C ⁽¹⁾	■	Luxembourg	CSE	86.3	86.5	86.3	86.5
CHORELIA N4 PART C ⁽¹⁾	■	France	CSE	88.5	88.6	88.5	88.6
CHORELIA N5 PART C ⁽¹⁾	■	France	CSE	77.7	77.9	77.7	77.9
CHORELIA N6 PART C ⁽¹⁾	■	France	CSE	81.8	58.9	81.8	58.9
CHORELIA N7 C ⁽¹⁾	■ E2	France	CSE	87.7		87.7	
CHORELIA PART C ⁽¹⁾	■	France	CSE	85.1	85.2	85.1	85.2
CPR CONSO ACTIONNAIRE FCP P ⁽¹⁾	■	France	CSE	51.8	51.8	51.8	51.8
CPR CROIS.REA.-P ⁽¹⁾	■	France	CSE	28.3	39.1	28.3	39.1
CPR EUR.HILDIVP 3D ⁽¹⁾	■	France	CSE	44.3	43.2	44.3	43.2
CPR EUROLAND ESG P ⁽¹⁾	■ E2	France	CSE	5.4		5.4	
CPR FOCUS INF.-P-3D ⁽¹⁾	■	France	CSE	39.5	19.6	39.5	19.6
CPR GLO SILVER AGE P ⁽¹⁾	■	France	CSE	95.1	96.9	95.1	96.9
CPR I-SM B C-AEURA ⁽¹⁾	■	Luxembourg	CSE	64.0	61.1	64.0	61.1
CPR OBLIG 12 M.P 3D ⁽¹⁾	■	France	CSE	90.2	90.5	90.2	90.5
CPR REF. ST.EP.R.O-100 FCP 3DEC ⁽¹⁾	■	France	CSE	100.0	100.0	100.0	100.0
CPR REFL RESP O-100 I 3DEC ⁽¹⁾	■	France	CSE	99.3	97.0	99.3	97.0
CPR REFL RESP.O-100 P FCP 3DEC ⁽¹⁾	■	France	CSE	85.4	85.6	85.4	85.6
CPR REFLEX STRATEDIS O-100 P 3D ⁽¹⁾	■	France	CSE	99.8	99.8	99.8	99.8
CPR RENAI. JAP.-P-3D ⁽¹⁾	■	France	CSE	35.0	66.1	35.0	66.1
CPR SILVER AGE P 3DEC ⁽¹⁾	■	France	CSE	55.7	52.6	55.7	52.6
CPR-CLIM ACT-AEURA ⁽¹⁾	■	Luxembourg	CSE	43.0	53.3	43.0	53.3
CPRGLDISOPARAC ⁽¹⁾	■	Luxembourg	CSE	43.6	47.0	43.6	47.0
ECOFI MULTI OPPORTUN.FCP 3DEC ⁽¹⁾	■ S2	France	CSE		83.3		83.3

Crédit Agricole Group scope of consolidation	(1) (a)	Principal place of business	Country of incorporation if different from the principal place of business (b)	% control		% interest	
				31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
EPARINTER EURO BD ⁽¹⁾	■	France	CSE	54.1	44.7	54.1	44.7
EXAN.PLEI.FD P ⁽¹⁾	■ S1	France	CSE		4.2		4.2
EXANE 1 OVERDR CC ⁽¹⁾	■	Luxembourg	CSE	72.1	63.8	72.1	63.8
FE AMUNDI INC BLDR-IHE C ⁽¹⁾	■	Luxembourg	CSE	80.2	77.8	80.2	77.8
FONDS AV ECHUS FIA A ⁽¹⁾	■	France	CSE	80.9	0.2	100.0	0.2
FONDS AV ECHUS FIA B ⁽¹⁾	■ S2	France	CSE		100.0		100.0
FRANKLIN DIVER-DYN-I-ACC EU ⁽¹⁾	■	Luxembourg	CSE	48.0	50.1	50.2	50.1
FRANKLIN GLB MLT-AS IN-JAEUR ⁽¹⁾	■	Luxembourg	CSE	76.1	75.1	80.8	75.1
GRD CAR 39 FCP ⁽¹⁾	■	France	CSE	100.0	100.0	100.0	100.0
GRD FCR 99 FCP ⁽¹⁾	■	France	CSE	100.0	100.0	100.0	100.0
GRD IFC 97 FCP ⁽¹⁾	■	France	CSE	100.0	100.0	100.0	100.0
HASTINGS PATRIM AC ⁽¹⁾	■	France	CSE	42.3	41.0	43.3	41.0
HYMNOS P 3D ⁽¹⁾	■	France	CSE	74.0	46.5	50.3	46.5
IGSF-GBL GOLD FD-I C ⁽¹⁾	■	Luxembourg	CSE	25.9	46.3	42.7	46.3
IND.CAP EMERG.-C-3D ⁽¹⁾	■	France	CSE	42.0	80.6	46.6	80.6
INDO ALLOC MANDAT C ⁽¹⁾	■	France	CSE	92.4	2.0	96.8	2.0
INDO-FII EUR CP-IEUR ⁽¹⁾	■ S2	Luxembourg	CSE		51.7		51.7
INDOFIFLEXEG ⁽¹⁾	■ E2	Luxembourg	CSE	47.3		53.1	
INDO-GBL TR-PE ⁽¹⁾	■	Luxembourg	CSE	59.4	41.0	47.8	41.0
INDOS.EURO.PATPD 3D ⁽¹⁾	■	France	CSE	43.2	43.1	43.2	43.1
INDOSUEZ ALLOCATION ⁽¹⁾	■	France	CSE	99.5	81.6	99.5	81.6
INDOSUEZ EURO DIV G ⁽¹⁾	■ S2	Luxembourg	CSE		75.8		75.8
INDOSUEZ NAVIGATOR G ⁽¹⁾	■	Luxembourg	CSE	42.5	40.9	38.5	40.9
INDOSUEZSWZOPG ⁽¹⁾	■ S1	Luxembourg	CSE		50.8		50.8
INVEST RESP S3 3D ⁽¹⁾	■	France	CSE	74.6	74.1	74.6	74.1
JPM US EQY ALL CAP-C HDG ⁽¹⁾	■	Luxembourg	CSE	88.7	88.9	88.7	88.9
JPM US SEL EQ PLS-CA EUR HD ⁽¹⁾	■	Luxembourg	CSE	66.0	57.0	49.8	57.0
JPMORGAN F-JPM US VALUE-CEHA ⁽¹⁾	■	Luxembourg	CSE	84.5	59.3	-	59.3
JPMORGAN F-US GROWTH-C AHD ⁽¹⁾	■	Luxembourg	CSE	31.5	49.4	0.5	49.4
LCF CREDIT ERSC 3D ⁽¹⁾	■ S2	France	CSE		54.7		54.7
LCL 3 TEMPO AV 11/16 ⁽¹⁾	■	France	CSE	100.0	100.0	100.0	100.0
LCL 6 HORIZ. AV 0615 ⁽¹⁾	■	France	CSE	100.0	100.0	100.0	100.0
LCL AC.DEV.DU. EURO ⁽¹⁾	■	France	CSE	87.7	71.3	84.6	71.3
LCL AC.EMERGENTS 3D ⁽¹⁾	■	France	CSE	43.2	54.2	50.0	54.2
LCL AC.MDE HS EU.3D ⁽¹⁾	■	France	CSE	38.1	41.2	38.1	41.2
LCL ACT RES NATUREL ⁽¹⁾	■	France	CSE	45.7	45.3	45.7	45.3
LCL ACT.E-U ISR 3D ⁽¹⁾	■	France	CSE	26.9	55.5	57.6	55.5

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
LCL.ACT.IMMOBL.3D ⁽¹⁾	■	S2	France		CSE		49.3		49.3
LCL.ACT.OR MONDE ⁽¹⁾	■		France		CSE	49.5	46.8	49.5	46.8
LCL.ACT.USA ISR 3D ⁽¹⁾	■		France		CSE	87.0	85.6	87.0	85.6
LCL.ACTIONS EURO C ⁽¹⁾	■		France		CSE	36.7	64.3	64.0	64.3
LCL.ACTIONS EURO FUT ⁽¹⁾	■		France		CSE	76.3	73.9	77.5	73.9
LCL.ACTIONS MONDE FCP 3 DEC ⁽¹⁾	■		France		CSE	43.3	51.6	43.3	51.6
LCL.ALLOCATION DYNAMIQUE 3D FCP ⁽¹⁾	■		France		CSE	95.4	95.4	95.4	95.4
LCL.AUTOCALL VIE 17 ⁽¹⁾	■	S2	France		CSE		96.6		96.6
LCL.DEVELOPPEM. PME C ⁽¹⁾	■		France		CSE	67.9	68.5	67.9	68.5
LCL.DOUBLE HORIZON A ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
LCL.FLEX 30 ⁽¹⁾	■		France		CSE	49.4	45.7	49.4	45.7
LCL.FO.SE.FR. AV(AV11) FCP 3DEC ⁽¹⁾	■	S1	France		CSE		100.0		100.0
LCL.INVEST.EQ C ⁽¹⁾	■		France		CSE	93.4	92.9	93.4	92.9
LCL.INVEST. PRUD.3D ⁽¹⁾	■		France		CSE	92.7	92.1	92.7	92.1
LCL.L.GR.B.AV 17 C ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
LCL.MGEST 60 3DEC ⁽¹⁾	■		France		CSE	88.1	87.9	88.1	87.9
LCL.MGEST FL.O-100 ⁽¹⁾	■		France		CSE	92.5	92.0	92.5	92.0
LCL.OBL.CREDIT EURO ⁽¹⁾	■		France		CSE	84.4	81.4	82.1	81.4
LCL.OPTIM II VIE 17 ⁽¹⁾	■	S2	France		CSE		97.4		97.4
LCL.PREMIUM VIE 2015 ⁽¹⁾	■	S1	France		CSE		98.4		98.4
LCL.TRI.ESC.AV 0118 ⁽¹⁾	■	S2	France		CSE		100.0		100.0
LCL.TRIPLE TE AV OC ⁽¹⁾	■	S2	France		CSE		100.0		100.0
LCL.TRIPLE TEMPO AV (FEV.2015) ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
LCL.TRP HOZ AV 0117 ⁽¹⁾	■	S2	France		CSE		100.0		100.0
LOUVOIS PLACEMENT ⁽¹⁾	■	E2	France		CSE	40.1		40.1	
M.D.F.89 FCP ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
OBJECTIF DYNAMISME FCP ⁽¹⁾	■		France		CSE	98.3	98.5	98.3	98.5
OBJECTIF MEDIAN FCP ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
OBJECTIF PRUDENCE FCP ⁽¹⁾	■		France		CSE	77.3	80.1	80.1	80.1
OPCIMMO LCL SPPICAV 5DEC ⁽¹⁾	■		France		CSE	97.5	97.4	97.5	97.4
OPCIMMO PREM SPPICAV 5DEC ⁽¹⁾	■		France		CSE	95.0	94.7	95.0	94.7
OPTALIME FCP 3DEC ⁽¹⁾	■		France		CSE	99.6	99.6	99.6	99.6
PIMCO GLOBAL BND FD-CURNC EX ⁽¹⁾	■	E2	Ireland		CSE	52.9		41.2	
PORT EX ABS RET P ⁽¹⁾	■	E2	France		CSE	99.6		99.6	
PORT.METAUX PREC.A-C ⁽¹⁾	■		France		CSE	97.7	100.0	99.4	100.0
PORTF DET FI EUR AC ⁽¹⁾	■		France		CSE	98.9	99.8	98.9	99.8
RAVIE FCP 5DEC ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
RETAH PART C ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
RSD 2006 FCP 3DEC ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
SCI TANGRAM ⁽¹⁾	■	E2	France		S	95.7		100.0	
SCI VICQ D'AZIR VELLEFAUX ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
SCPI LFP MULTIMMO ⁽¹⁾	■		France		CSE	41.6	100.0	40.9	100.0
SOLIDARITE AMUNDI P ⁽¹⁾	■		France		CSE	79.2	68.6	74.7	68.6
SOLIDARITE INITIATIS SANTÉ ⁽¹⁾	■		France		CSE	79.6	82.1	79.6	82.1
SONANCE VIE 2 FCP 3DEC ⁽¹⁾	■	S1	France		CSE		100.0		100.0
SONANCE VIE 3 3DEC ⁽¹⁾	■	S2	France		CSE		100.0		100.0
SONANCE VIE 3DEC ⁽¹⁾	■	S1	France		CSE		100.0		100.0
SONANCE VIE 4 FCP ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
SONANCE VIE 5 FCP 3DEC ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
SONANCE VIE 6 FCP ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
SONANCE VIE 9 ⁽¹⁾	■		France		CSE	98.2	98.1	98.2	98.1
TRIANCE 6 ANS N10 C ⁽¹⁾	■		France		CSE	82.1	63.2	82.1	63.2
TRIANCE 6 ANS ⁽¹⁾	■		France		CSE	61.9	61.8	61.9	61.8
TRIANCE 6 ANS 5 C ⁽¹⁾	■		France		CSE	79.2	79.2	79.2	79.2
TRIANCE 6 ANS N 11 ⁽¹⁾	■	E2	France		CSE	83.2		81.8	
TRIANCE 6 ANS N 4 ⁽¹⁾	■	S1	France		CSE		74.7		74.7
TRIANCE 6 ANS N 9 ⁽¹⁾	■		France		CSE	79.7	79.9	79.7	79.9
TRIANCE 6 ANS N2 C ⁽¹⁾	■		France		CSE	74.8	75.0	74.8	75.0
TRIANCE 6 ANS N3 ⁽¹⁾	■		France		CSE	70.5	70.7	70.5	70.7
TRIANCE 6 ANS N6 ⁽¹⁾	■		France		CSE	84.6	84.5	84.6	84.5
TRIANCE 6 ANS N7 C ⁽¹⁾	■		France		CSE	82.1	82.2	82.1	82.2
TRIANCE 6 ANS N8 C ⁽¹⁾	■		France		CSE	86.6	86.9	86.6	86.9
TRIANCE 6 AN 12 C	■	E1	France		CSE	84.4		84.4	
UNIPERRE ASSURANCE (SCPI) ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
VENDOME INV.FCP 3DEC ⁽¹⁾	■		France		CSE	92.0	91.2	92.0	91.2
Real estate collective investment fund (OPCI)									
Nexus 1 ⁽¹⁾	■		Italy		CSE	88.8	98.5	78.5	98.5
OPCI CAA CROSSROADS	■		France		CSE	100.0		100.0	
OPCI Camp Invest ⁽¹⁾	■		France		CSE	80.1	80.1	100.0	80.1
OPCI ECO CAMPUS SPPICAV ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
OPCI Immanens	■		France		CSE	100.0	100.0	70.0	70.0
OPCI Immo Emissions	■		France		CSE	100.0	100.0	70.0	70.0
OPCI Iris Invest 2010 ⁽¹⁾	■		France		CSE	100.0	80.1	100.0	80.1
OPCI MASSY BUREAUX ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
OPCI Messidor ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Predica OPCI Bureau ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0

(1) Consolidation method : ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
Predica OPCI Commerces ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Predica OPCI Habitation ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Non-trading real estate investment company (SCI)									
B IMMOBILIER ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
DS Campus ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
FREY RETAIL VILLEBON	▲		France		JV	47.5	47.5	47.5	47.5
HDP BUREAUX ⁽¹⁾	■		France		S	95.0	95.0	95.0	95.0
HDP HOTEL ⁽¹⁾	■		France		S	95.0	95.0	95.0	95.0
HDP LA HALLE BOCA ⁽¹⁾	■		France		S	95.0	95.0	95.0	95.0
IMEFA 177 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
IMEFA 178 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
IMEFA 179 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
Issy Pont ⁽¹⁾	■		France		CSE	75.0	75.0	75.0	75.0
RUE DU BAC (SCI)	▲		France		JV	50.0	50.0	50.0	50.0
SCI ACADÉMIE MONTROUGE	▲	E2	France		JV	50.0		50.0	
SCI 1 TERRASSE BELLINI	▲		France		JV	33.3	33.3	33.3	33.3
SCI BMEDIC HABITATION ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI CAMPUS MEDICIS ST-DENIS ⁽¹⁾	■		France		S	70.0	70.0	70.0	70.0
SCI CAMPUS RIMBAUD ST-DENIS ⁽¹⁾	■		France		S	70.0	70.0	70.0	70.0
SCI CARPE DIEM	▲		France		JV	50.0	50.0	50.0	50.0
SCI EUROMARSEILLE 1	▲		France		JV	50.0	50.0	50.0	50.0
SCI EUROMARSEILLE 2	▲		France		JV	50.0	50.0	50.0	50.0
SCI FÉDÉRALE PÉREIRE VICTOIRE ⁽¹⁾	■		France		S	99.0	99.0	99.0	99.0
SCI FÉDÉRALE VILLIERS ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI FEDERLOG ⁽¹⁾	■		France		S	99.9	99.9	99.9	99.9
SCI FEDERLONDRES ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI FEDERPIERRE ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI FONDIS	▲		France		A	25.0	25.0	25.0	25.0
SCI GRENIER VELLE ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
SCI HEART OF LA DÉFENSE	▲		France		A	33.3	33.3	33.3	33.3
SCI Holding Dahlia ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
SCI ILOT 13	▲		France		JV	50.0	50.0	50.0	50.0
SCI IMEFA 001 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 002 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 003 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 004 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 005 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 006 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 008 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 009 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 010 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 011 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 012 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
SCI IMEFA 013 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 016 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 017 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 018 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 020 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 022 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 025 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0
SCI IMEFA 032 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 033 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 034 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 035 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 036 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 037 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 038 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 039 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 042 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 043 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 044 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 047 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 048 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 051 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 052 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 054 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 057 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 058 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 060 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 061 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 062 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 063 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 064 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 067 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 068 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 069 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 072 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 073 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 074 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 076 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 077 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 078 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 079 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 080 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 081 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 082 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 083 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 084 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 085 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 089 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 091 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 092 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 096 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0
SCI IMEFA 100 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0

(1) Consolidation method: : ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control				% interest			
						31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020
SCI IMEFA 101 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 102 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 103 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 104 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 105 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 107 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 108 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 109 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 110 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 112 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 113 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 115 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 116 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 117 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 118 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 120 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 121 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 122 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 123 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 126 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 128 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 129 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 131 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 132 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 140 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0				
SCI IMEFA 148 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 149 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 150 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 155 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 156 ⁽¹⁾	■		France		S	90.0	90.0	90.0	90.0				
SCI IMEFA 157 ⁽¹⁾	■		France		S	90.0	90.0	90.0	90.0				
SCI IMEFA 158 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 159 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 164 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 169 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 170 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 171 ⁽¹⁾	■		France		CSE	100.0	100.0	100.0	100.0				
SCI IMEFA 172 ⁽¹⁾	■		France		JV	100.0	100.0	100.0	100.0				
SCI IMEFA 173 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 174 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 175 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI IMEFA 176 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI LE VILLAGE VICTOR HUGO ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI MEDI BUREAUX ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI PACIFICA HUGO ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI PORTE DES LILAS – FRERES FLAVIEN ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI VALHUBERT ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI VAUGIRARD 36-44 ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SCI WAGRAM 22/30	▲		France		JV	50.0	50.0	50.0	50.0				
SCI WASHINGTON	▲		France		A	34.0	34.0	34.0	34.0				

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control				% interest			
						31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2020
TOUR MERLE (SCI)	▲		France		JV	50.0	50.0	50.0	50.0				
Other													
ALTA VAI HOLDCO P	■		France		S	100.0	100.0	100.0	100.0				
ALTAREA	▲		France		A	24.7	24.7	24.7	24.7				
AMUNDI IT Services	■		France		S	99.6	99.6	70.6	71.0				
ARCAPARK SAS	▲		France		JV	50.0	50.0	50.0	50.0				
Azqore	■		Switzerland		S	80.0	80.0	80.0	80.0				
Azqore S.A. Singapore Branch	■		Singapore	Switzerland	B	80.0	80.0	80.0	80.0				
CA Indosuez Wealth (Asset Management)	■		Luxembourg		S	100.0	100.0	100.0	100.0				
Crédit Agricole Assurances Solutions	■		France		S	100.0	100.0	100.0	100.0				
EUROPEAN MOTORWAY INVESTMENTS 1 ⁽¹⁾	■		Luxembourg		S	60.0	60.0	60.0	60.0				
FIXED INCOME DERIVATIVES – STRUCTURED FUND PLC	■	D2	Ireland		CSE	100.0		100.0					
FONCIERE HYPERSUD	▲		France		JV	51.4	51.4	51.4	51.4				
FREY	▲		France		A	19.4	19.3	19.4	19.3				
HOLDING EUROMARSEILLE	■		France		S	100.0	100.0	100.0	100.0				
lcade	▲		France		A	19.0	19.0	19.0	19.0				
INFRA FOCH TOPCO	▲		France		A	35.7	36.9	35.7	36.9				
IRIS HOLDING FRANCE	■		France		S	80.1	80.1	80.1	80.1				
KORIAN	▲		France		A	24.3	24.4	24.3	24.4				
PATRIMOINE ET COMMERCE	▲		France		A	20.8	20.3	20.8	20.3				
PREDICA ÉNERGIES DURABLES ⁽¹⁾	■		France		S	58.8	99.9	89.2	99.9				
PREDICA INFRASTRUCTURE S.A.	■		Luxembourg		S	100.0	100.0	100.0	100.0				
PREDIPARK ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
PREDIWATT ⁽¹⁾	■	E2	France		CSE	100.0		100.0					
RAMSAY – GÉNÉRALE DE SANTÉ	▲		France		A	39.6	39.6	39.6	39.6				
S.A. RESICO ⁽¹⁾	■		France		S	100.0	100.0	100.0	100.0				
SAS CRISTAL	▲		France		A	46.0	46.0	46.0	46.0				
SAS PARHOLDING	▲		France		A	50.0	50.0	50.0	50.0				
SAS PREDI-RUNGIS ⁽¹⁾	■		France		S	100.0	85.0	85.0	85.0				
SH PREDICA ÉNERGIES DURABLES SAS ⁽¹⁾	■		France		S	99.9	99.9	99.9	99.9				
VAUGIRARD AUTOVIA SLU ⁽¹⁾	■		Spain		S	100.0	100.0	100.0	100.0				
Vaugirard Infra S.L.	■		Spain		S	100.0	100.0	100.0	100.0				
Via Vita	■		France		S	100.0	100.0	100.0	100.0				
Specialised Financial Services													
Banking and financial institutions													
AD SUCCURSALE	■	D1	Morocco		B	100.0	100.0	100.0	100.0				
Agos	■		Italy		S	61.0	61.0	61.0	61.0				
Alsolia	■		France		S	100.0	100.0	100.0	100.0				
Crédit Agricole Consumer Finance BANKIA S.A.	▲		Spain		JV	51.0	51.0	51.0	51.0				
Creaifii	■		France		S	51.0	51.0	51.0	51.0				

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
Credibom	■		Portugal		S	100.0	100.0	100.0	100.0
Crediet Maatschappij "De IJssel" B.V.	■	S1	Netherlands		S		100.0		100.0
Crédit Agricole Consumer Finance	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Consumer Finance Nederland	■	D4	Netherlands		S	100.0	100.0	100.0	100.0
Crédit LIFT	■		France		S	100.0	100.0	100.0	100.0
Creditplus Bank AG	■		Germany		S	100.0	100.0	100.0	100.0
De Kredietdesk B.V.	■		Netherlands		S	100.0	100.0	100.0	100.0
DE NEDERLANDSE VOORSCHOTBANK BV	■	S1	Netherlands		S		100.0		100.0
EFL Services	■		Poland		S	100.0	100.0	100.0	100.0
HAMA POLSKA	■	E2	Poland		S	70.0		70.0	
EUROFACTOR GmbH	■		Germany		S	100.0	100.0	100.0	100.0
Eurofactor Italia S.p.A.	■		Italy		S	100.0	100.0	100.0	100.0
EUROFACTOR NEDERLAND	■		Netherlands	Germany	B	100.0	100.0	100.0	100.0
EUROFACTOR POLSKA S.A.	■		Poland		S	100.0	100.0	100.0	100.0
Eurofactor S.A. – NV (Benelux)	■		Belgium		B	100.0	100.0	100.0	100.0
Eurofactor S.A. (Portugal)	■	D2	Portugal		B	100.0	100.0	100.0	100.0
Eurofintus Financieringen B.V.	■	S1	Netherlands		S		100.0		100.0
FCA Automotive Services UK Ltd	▲		United Kingdom		JV	50.0	50.0	50.0	50.0
FCA Bank	▲		Italy		JV	50.0	50.0	50.0	50.0
FCA Bank GmbH, Hellenic Branch	▲		Greece		JV	50.0	50.0	50.0	50.0
FCA Bank Germany GmbH	▲		Germany		JV	50.0	50.0	50.0	50.0
FCA Bank GmbH	▲		Austria		JV	50.0	50.0	50.0	50.0
FCA BANK S.P.A. BELGIAN BRANCH	▲	D1	Belgium		JV	50.0	50.0	50.0	50.0
FCA BANK SPA, IRISH BRANCH	▲		Ireland		JV	50.0	50.0	50.0	50.0
FCA BANK SPA ODDZIAŁ W POLSCE, Polska Branch	▲	D1	Poland		JV	50.0	50.0	50.0	50.0
FCA Capital Danmark A/S	▲		Denmark		JV	50.0	50.0	50.0	50.0
FCA Capital España EFC S.A.	▲		Spain		JV	50.0	50.0	50.0	50.0
FCA CAPITAL France S.A.	▲	D1	France		JV	50.0	50.0	50.0	50.0
FCA Capital Hellas S.A.	▲		Greece		JV	50.0	50.0	50.0	50.0
FCA Capital IFIC	▲		Portugal		JV	50.0	50.0	50.0	50.0
FCA Capital Nederland B.V.	▲		Netherlands		JV	50.0	50.0	50.0	50.0
FCA Capital Norge AS	▲		Norway		JV	50.0	50.0	50.0	50.0
FCA Capital Re Limited	▲	D2	Ireland		JV	50.0	50.0	50.0	50.0
FCA Capital Suisse S.A.	▲		Switzerland		JV	50.0	50.0	50.0	50.0
FCA Capital Sverige	▲		Sweden		JV	50.0	50.0	50.0	50.0
FCA DEALER SERVICES ESPAÑA S.A., Morocco Branch	▲		Morocco	Spain	JV	50.0	50.0	50.0	50.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
FCA Dealer services España, S.A.	▲		Spain		JV	50.0	50.0	50.0	50.0
FCA Dealer Services Portugal S.A.	▲	D2	Portugal		JV	50.0	50.0	50.0	50.0
FCA Dealer Services UK Ltd	▲		United Kingdom		JV	50.0	50.0	50.0	50.0
FCA Insurance Hellas S.A.	▲		Greece		JV	50.0	50.0	50.0	50.0
FCA Leasing France	▲		France		JV	50.0	50.0	50.0	50.0
FCA Leasing GmbH	▲		Austria		JV	50.0	50.0	50.0	50.0
LEASYS POLSKA	▲	D1	Poland		JV	50.0	50.0	50.0	50.0
FERRARI FINANCIAL SERVICES GMBH	▲		Germany		JV	50.0	50.0	25.0	25.0
FERRARI FINANCIAL SERVICES GMBH, UK Branch	▲		United Kingdom		JV	50.0	50.0	50.0	50.0
FCA CAPITAL DANMARK A/S, Finland Branch	▲	D1	Finland		JV	50.0	50.0	50.0	50.0
Financierings Data Netwerk B.V.	▲		Netherlands		JV	50.0	50.0	50.0	50.0
Finaref Assurances S.A.S.	■		France		S	100.0	100.0	100.0	100.0
Finata Zuid-Nederland B.V.	■		Netherlands		S	98.1	98.1	98.1	98.1
GAC – Sofinco Auto Finance Co.	▲		China		A	50.0	50.0	50.0	50.0
GSA Ltd	■		Mauritius		S	100.0	100.0	100.0	100.0
IDM Finance B.V.	■	S1	Netherlands		S		100.0		100.0
IDM Financieringen B.V.	■	S1	Netherlands		S		100.0		100.0
IDM Lease Maatschappij B.V.	■		Netherlands		S	100.0	100.0	100.0	100.0
Iebe Lease B.V.	■		Netherlands		S	100.0	100.0	100.0	100.0
INTERBANK NV	■		Netherlands		S	100.0	100.0	100.0	100.0
INTERMEDIAIRE VOORSCHOTBANK BV	■	S1	Netherlands		S		100.0		100.0
Krediet '78 B.V.	■		Netherlands		S	100.0	100.0	100.0	100.0
Leasys	▲	D2	Italy		JV	50.0	50.0	50.0	50.0
LEASYS DANMARK, FILIAL AF LEASYS SPA	▲	E2	Denmark		JV	50.0		50.0	
LEASYS France S.A.S	▲	D2	France		JV	50.0	50.0	50.0	50.0
LEASYS Nederland	▲	D2	Netherlands		JV	50.0	50.0	50.0	50.0
LEASYS SPA Belgian Branch	▲	D2	Belgium		JV	50.0	50.0	50.0	50.0
LEASYS SPA GERMAN BRANCH	▲	D2	Germany		JV	50.0	50.0	50.0	50.0
LEASYS SPA, Spanish Branch	▲	D2	Spain		JV	50.0	50.0	50.0	50.0
Leasys UK Ltd	▲	D2	United Kingdom		JV	50.0	50.0	50.0	50.0
Mahuko Financieringen B.V.	■	S1	Netherlands		S		100.0		100.0
Menafinance	■	S5	France		S		50.0		50.0
NL Findio B.V.	■		Netherlands		S	100.0	100.0	100.0	100.0
RIBANK NV	■		Netherlands		S	100.0	100.0	100.0	100.0
Sofinco Participations	■		France		S	100.0	100.0	100.0	100.0
Société Européenne de Développement d'Assurances	■		France		S	100.0	100.0	100.0	100.0
Société Européenne de Développement du Financement	■		France		S	100.0	100.0	100.0	100.0

(1) Consolidation method: : ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2019
Themis Courtage	▲		Morocco		A	49.0	49.0	48.9	48.9
Ucafleet	▲		France		A	35.0	35.0	35.0	35.0
VoordeelBank B.V.	■	S1	Netherlands		S		100.0		100.0
Wafasalaf	▲		Morocco		A	49.0	49.0	49.0	49.0
LEASYS RENT SPA	▲	D2	Italy		JV	50.0	50.0	50.0	50.0
Lease financing companies									
Auxifip	■		France		S	100.0	100.0	100.0	100.0
Carefleet S.A.	■		Poland		S	100.0	100.0	100.0	100.0
Crédit Agricole Leasing & Factoring	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Leasing & Factoring, Sucursal en España	■		Spain	France	B	100.0	100.0	100.0	100.0
Crédit du Maroc Leasing et Factoring	■		Morocco		S	100.0	100.0	85.8	85.8
Europejski Fundusz Leasingowy (E.F.L.)	■		Poland		S	100.0	100.0	100.0	100.0
Finamur	■		France		S	100.0	100.0	100.0	100.0
Lixxbail	■		France		S	100.0	100.0	100.0	100.0
Lixxcourtage	■		France		S	100.0	100.0	100.0	100.0
Lixxcredit	■		France		S	100.0	100.0	100.0	100.0
Unifergie	■		France		S	100.0	100.0	100.0	100.0
Investment companies									
Insurance									
ARES Reinsurance Ltd.	■		Ireland		S	100.0	100.0	61.0	61.0
Other									
A-BEST ELEVEN UG	▲		Germany		SJV	50.0	50.0	50.0	50.0
A-BEST EIGHTEEN	▲	E2	Italy		SJV	50.0		50.0	
A-BEST FIFTEEN	▲		Italy		SJV	50.0	50.0	50.0	50.0
A-BEST FOURTEEN	▲		Italy		SJV	50.0	50.0	50.0	50.0
A-BEST SEVENTEEN	▲		Italy		SJV	50.0	50.0	50.0	50.0
A-BEST SIXTEEN	▲		Germany		SJV	50.0	50.0	50.0	50.0
A-BEST THIRTEEN	▲		Spain		SJV	50.0	50.0	50.0	50.0
A-BEST TWELVE	▲		Italy		SJV	50.0	50.0	50.0	50.0
CLICKAR SRL	▲	D2	Italy		SJV	50.0	50.0	50.0	50.0
EFL Finance S.A.	■		Poland		S	100.0	100.0	100.0	100.0
EFL Lease Abs 2017-1 Designated Activity Company	■		Ireland		CSE	100.0	100.0	100.0	100.0
ERASMUS FINANCE	▲		Ireland		SJV	50.0	50.0	50.0	50.0
FAST THREE SRL	▲		Italy		SJV	50.0	50.0	50.0	50.0
FCT GINKGO DEBT CONSO 2015-1	■		France		CSE	100.0	100.0	100.0	100.0
FCT GINKGO PERSONAL LOANS 2016-1	■		France		CSE	100.0	100.0	100.0	100.0
FCT GINKGO PERSONAL LOANS 2020-01	■	E2	France		CSE	100.0		100.0	
FCT GINKGO SALES FINANCE 2015-1	■		France		CSE	100.0	100.0	100.0	100.0
FCT GINKGO MASTER REVOLVING LOANS	■		France		CSE	100.0	100.0	100.0	100.0
FCT GINKGO SALES FINANCE 2017-1	■		France		CSE	100.0	100.0	100.0	100.0
GAC – SOFINCO 2014-01	▲		China		SA	50.0	50.0	50.0	50.0

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2020	31/12/ 2020	31/12/ 2019
HUI JU TONG 2019-1	▲		China		SJV	50.0	50.0	50.0	50.0
HUI TONG 2018-2	▲	E2	China		CSE	50.0		50.0	
HUI TONG 2018-3	▲	E2	China		CSE	50.0		50.0	
HUI TONG 2019-1	▲	E2	China		CSE	50.0		50.0	
HUI JU TONG 2020-2	▲	E2	China		CSE	50.0		50.0	
MAGOI BV	■		Netherlands		CSE	100.0	100.0	100.0	100.0
MATSUBA BV	■		Netherlands		CSE	100.0	100.0	100.0	100.0
NIXES SEVEN SRL	▲		Netherlands		SJV	50.0	50.0	50.0	50.0
NIXES SIX (LTD)	▲		Italy		SJV	50.0	50.0	50.0	50.0
RETAIL AUTOMOTIVE CP GERMANY 2016 UG	■	D1	Germany		CSE	100.0	100.0	100.0	100.0
SUNRISE SPV 20 SRL	■		Italy		CSE	100.0	100.0	61.0	61.0
SUNRISE SPV 30 SRL	■		Italy		CSE	100.0	100.0	61.0	61.0
SUNRISE SPV 40 SRL	■		Italy		CSE	100.0	100.0	61.0	61.0
SUNRISE SPV 50 SRL	■		Italy		CSE	100.0	100.0	61.0	61.0
SUNRISE SPV Z60 SRL	■		Italy		CSE	100.0	100.0	61.0	61.0
SUNRISE SPV Z70 SRL	■		Italy		CSE	100.0	100.0	61.0	61.0
SUNRISE SPV Z80 SRL	■		Italy		CSE	100.0	100.0	61.0	61.0
SUNRISE SPV Z90 SRL	■	E2	Italy		CSE	100.0		61.0	
SUNRISE SRL	■		Italy		CSE	100.0	100.0	61.0	61.0
THETIS FINANCE 2015-1	■		Portugal		CSE	100.0	100.0	100.0	100.0
AGOSCOM S.R.L.	■	E2	Italy		B	100.0		61.0	
LEASYS RENT FRANCE SAS	▲	D2	France		JV	50.0		50.0	

Corporate and Investment Banking

Banking and financial institutions

Banco Crédito Agricole Brasil S.A.	■		Brazil		S	100.0	100.0	100.0	100.0
Banco Santander CACEIS México, S.A., Institución de Banca Múltiple	▲	D1	Mexico		JV	50.0	50.0	34.7	34.7
BTN Förfärdning AB	▲	S2	Sweden	Netherlands	A		19.5		13.6
CACEIS Bank	■		France		S	100.0	100.0	69.5	69.5
CACEIS Bank S.A., Germany Branch	■		Germany		B	100.0	100.0	69.5	69.5
CACEIS Bank, Belgium Branch	■		Belgium		B	100.0	100.0	69.5	69.5
CACEIS Bank, Ireland Branch	■		Ireland		B	100.0	100.0	69.5	69.5
CACEIS Bank, Italy Branch	■		Italy		B	100.0	100.0	69.5	69.5
CACEIS Bank, Luxembourg Branch	■		Luxembourg		B	100.0	100.0	69.5	69.5
CACEIS Bank, Netherlands Branch	■	D2	Netherlands		B	100.0	100.0	69.5	69.5
CACEIS Bank, Switzerland Branch	■		Switzerland		B	100.0	100.0	69.5	69.5
CACEIS Bank, UK Branch	■		United Kingdom		B	100.0	100.0	69.5	69.5
CACEIS Belgium	■		Belgium		S	100.0	100.0	69.5	69.5
CACEIS Corporate Trust	■		France		S	100.0	100.0	69.5	69.5

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
CACEIS Fund Administration	■		France		S	100.0	100.0	69.5	69.5
CACEIS FUND ADMINISTRATION SPAIN S.A.U.	■	D1	Spain		S	100.0	100.0	69.5	69.5
CACEIS Ireland Limited	■		Ireland		S	100.0	100.0	69.5	69.5
CACEIS S.A.	■		France		S	69.5	69.5	69.5	69.5
CACEIS Switzerland S.A.	■		Switzerland		S	100.0	100.0	69.5	69.5
Crédit Agricole CIB (Belgique)	■		Belgium	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (ABU DHABI)	■		United Arab Emirates	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Allemagne)	■		Germany	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Canada)	■		Canada	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Corée du Sud)	■		South Korea	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Dubai DIFC)	■		United Arab Emirates	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Dubai)	■		United Arab Emirates	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Espagne)	■		Spain	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (États-Unis)	■		United States	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Finland)	■		Finland	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Hong-Kong)	■		Hong Kong	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Inde)	■		India	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Italie)	■		Italy	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Japon)	■		Japan	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Miami)	■	D4	United States	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (United Kingdom)	■		United Kingdom	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Singapour)	■		Singapore	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Suède)	■		Sweden	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB (Taïpei)	■		Taiwan	France	B	100.0	100.0	100.0	100.0
Crédit Agricole CIB Algérie Bank Spa	■		Algeria		S	100.0	100.0	100.0	100.0
Crédit Agricole CIB AO	■		Russia		S	100.0	100.0	100.0	100.0
Crédit Agricole CIB Australia Ltd.	■		Australia		S	100.0	100.0	100.0	100.0
Crédit Agricole CIB China Ltd.	■		China		S	100.0	100.0	100.0	100.0
Crédit Agricole CIB China Ltd. Chinese Branch	■		China		B	100.0	100.0	100.0	100.0
Crédit Agricole CIB S.A.	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole CIB Services Private Ltd.	■		India		S	100.0	100.0	100.0	100.0
ESTER FINANCE TECHNOLOGIES	■	D1	France		S	100.0	100.0	100.0	100.0
KAS Bank N.V.	■	S4	Netherlands		S		97.4		67.7
KAS Bank N.V. Frankfurt branch	■	S4	Germany	Netherlands	B		97.4		67.7

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
KAS Bank N.V. London branch	■	S4	United Kingdom	Netherlands	B		97.4		67.7
KAS Trust & Depositary Services B.V. Amsterdam	■	S4	Netherlands		S		97.4		67.7
S3 Latam Holdco 1	▲		Spain		JV	50.0	50.0	34.7	34.7
S3 Latam Holdco 2	▲		Spain		JV	50.0	50.0	34.7	34.7
SANTANDER CACEIS BRASIL DTVM S.A.	▲	D1	Brazil		JV	50.0	50.0	34.7	34.7
SANTANDER CACEIS BRASIL PARTICIPACOES S.A.	▲	D1	Brazil		JV	50.0	50.0	34.7	34.7
SANTANDER CACEIS COLOMBIA S.A., SOCIEDAD FIDUCIARIA	▲	D1	Colombia		JV	50.0	50.0	34.7	34.7
CACEIS BANK SPAIN, S.A.U.	■	D1	Spain		S	100.0	100.0	69.5	69.5
UBAF	▲		France		JV	47.0	47.0	47.0	47.0
UBAF (Corée du Sud)	▲		South Korea	France	B	47.0	47.0	47.0	47.0
UBAF (Japon)	▲		Japan	France	JV	47.0	47.0	47.0	47.0
UBAF (Singapour)	▲		Singapore	France	JV	47.0	47.0	47.0	47.0
Stockbrokers									
Crédit Agricole Securities (Asia) Limited Hong Kong	■		Hong Kong		S	100.0	100.0	100.0	100.0
Crédit Agricole Securities (Asia) Limited Seoul Branch	■		South Korea		B	100.0	100.0	100.0	100.0
Crédit Agricole Securities (USA) Inc.	■	D2	United States		S	100.0	100.0	100.0	100.0
Crédit Agricole Securities Asia BV (Tokyo)	■		Japan	Netherlands	B	100.0	100.0	100.0	100.0
Investment companies									
Compagnie Française de l'Asie (CFA)	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole CIB Air Finance S.A.	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole CIB Holdings Ltd.	■		United Kingdom		S	100.0	100.0	100.0	100.0
Crédit Agricole Global Partners Inc.	■		United States		S	100.0	100.0	100.0	100.0
Crédit Agricole Securities Asia BV	■		Netherlands		S	100.0	100.0	100.0	100.0
Doumer Finance S.A.S.	■		France		S	100.0	100.0	100.0	100.0
Fininvest	■		France		S	98.3	98.3	98.3	98.3
Fletirec	■		France		S	100.0	100.0	100.0	100.0
Insurance									
CAIRS Assurance S.A.	■		France		S	100.0	100.0	100.0	100.0
Other									
Atlantic Asset Securitization LLC	■		United States		CSE	100.0	100.0	-	-
Benelpart	■		Belgium		S	100.0	100.0	97.4	97.4
Calixis Finance	■	S4	France		CSE		100.0		100.0
Calliope SRL	■	S2	Italy		CSE		100.0		100.0
Clifap	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole America Services Inc.	■		United States		S	100.0	100.0	100.0	100.0
Crédit Agricole Asia Shipfinance Ltd.	■		Hong Kong		S	100.0	100.0	100.0	100.0

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
Crédit Agricole CIB Finance (Guernsey) Ltd.	■		Guernsey		CSE	99.9	99.9	99.9	99.9
Crédit Agricole CIB Finance Luxembourg S.A.	■		Luxembourg		CSE	100.0	100.0	100.0	100.0
Crédit Agricole CIB Financial Solutions	■		France		CSE	99.9	99.9	99.9	99.9
Crédit Agricole CIB Global Banking	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole CIB Pension Limited Partnership	■		United Kingdom		CSE	100.0	100.0	100.0	100.0
Crédit Agricole CIB Transactions	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Leasing (USA) Corp.	■		United States		S	100.0	100.0	100.0	100.0
DGAD International SARL	■	S2	Luxembourg		S		100.0		100.0
Elipso Finance S.r.l	▲	S2	Italy		SJV		50.0		50.0
ESNI (compartiment Crédit Agricole CIB)	■		France		CSE	100.0	100.0	100.0	100.0
Eucalyptus FCT	■		France		CSE	100.0	100.0	-	-
FCT CFN DIH	■		France		CSE	100.0	100.0	-	-
FIC-FIDC	■		Brazil		CSE	100.0	100.0	100.0	100.0
Financière des Scarabées	■		Belgium		S	100.0	100.0	98.7	98.7
Financière Lumis	■		France		S	100.0	100.0	100.0	100.0
Fundo A de Investimento Multimercado	■	D2	Brazil		CSE	100.0	100.0	100.0	100.0
Héphaistos EUR FCC	■	S1	France		CSE		100.0		-
Héphaistos GBP FCT	■	S1	France		CSE		100.0		-
Héphaistos Multidevises FCT	■		France		CSE	100.0	100.0	-	-
Héphaistos USD FCT	■	S1	France		CSE		100.0		-
Investor Service House S.A.	■		Luxembourg		S	100.0	100.0	69.5	69.5
ItalAsset Finance SRL	■		Italy		CSE	100.0	100.0	100.0	100.0
La Fayette Asset Securitization LLC	■		United States		CSE	100.0	100.0	-	-
La Route Avance	■		France		CSE	100.0	100.0	-	-
Lafina	■		Belgium		S	100.0	100.0	97.7	97.7
LMA S.A.	■		France		CSE	100.0	100.0	-	-
Merisma	■		France		CSE	100.0	100.0	100.0	100.0
Molinier Finances	■		France		S	100.0	100.0	97.1	97.1
Pacific EUR FCC	■		France		CSE	100.0	100.0	-	-
Pacific IT FCT	■		France		CSE	100.0	100.0	-	-
Pacific USD FCT	■		France		CSE	100.0	100.0	-	-
Partinvest S.A.	■		Luxembourg		S	100.0	100.0	69.5	69.5
Placements et réalisations immobilières (SNC)	■	S5	France		S		100.0		97.4
Sagrantino Italy SRL	■	S2	Italy		CSE		100.0		100.0
Shark FCC	■		France		CSE	100.0	100.0	-	-
Sinefinair B.V.	■		Netherlands		S	100.0	100.0	100.0	100.0
SNGI	■		France		S	100.0	100.0	100.0	100.0
SNGI Belgium	■		Belgium		S	100.0	100.0	100.0	100.0
Sococlabeq	■	S5	Belgium		S		100.0		97.7

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
Sofipac	■		Belgium		S	98.6	98.6	96.0	96.0
Sufinair B.V.	■		Netherlands		S	100.0	100.0	100.0	100.0
TCB	■		France		S	98.7	98.7	97.4	97.4
Triple P FCC	■		France		CSE	100.0	100.0	-	-
TSUBAKI OFF (FCT)	■		France		CSE	100.0	100.0	-	-
TSUBAKI ON (FCT)	■		France		CSE	100.0	100.0	-	-
Vulcain EUR FCT	■	S1	France		CSE		100.0		-
Vulcain Multi-Devises FCT	■	S1	France		CSE		100.0		-
Vulcain USD FCT	■	S1	France		CSE		100.0		-
Crédit Agricole CIB Qatar Financial Center Branch	■	E2	Qatar		B	100.0		100.0	
Corporate Centre									
Crédit Agricole S.A.									
Crédit Agricole S.A.	●		France		P	100.0	100.0	100.0	100.0
Succursale Crédit Agricole S.A.	■		United Kingdom	France	B	100.0	100.0	100.0	100.0
Banking and financial institutions									
Caisse régionale de Crédit Agricole mutuel de la Corse	●		France		P	100.0	100.0	100.0	100.0
CL Développement de la Corse	●		France		P	100.0	100.0	100.0	100.0
Crédit Agricole Home Loan SFH	■		France		CSE	100.0	100.0	100.0	100.0
Foncaris	■		France		S	100.0	100.0	100.0	100.0
Radian	■		France		CSE	100.0	100.0	100.0	100.0
Investment companies									
Crédit Agricole Capital Investissement et Finance (CACIF)	■		France		S	100.0	100.0	100.0	100.0
Delfinances	■		France		CSE	100.0	100.0	100.0	100.0
S.A.S. La Boétie	■		France		S	100.0	100.0	100.0	100.0
Sacam Assurances Cautions	■		France		S	100.0	100.0	100.0	100.0
Sacam Développement	■		France		S	100.0	100.0	100.0	100.0
Sacam Fireca	■		France		S	100.0	100.0	100.0	100.0
Sacam Immobilier	■		France		S	100.0	100.0	100.0	100.0
Sacam International	■		France		S	100.0	100.0	100.0	100.0
Sacam Mutualisation	■		France		S	100.0	100.0	100.0	100.0
Sacam Participations	■		France		S	100.0	100.0	100.0	100.0
Sodica	■		France		S	100.0	100.0	100.0	100.0
Other									
AMUNDI CA 15/01/2020	■	S1	France		CSE		100.0		100.0
AMUNDI CA 13/01/2021	■	E2	France		CSE	100.0		100.0	
BFT LCR	■		France		S	100.0	100.0	100.0	100.0
BFT LCR NIVEAU 2	■		France		S	100.0	100.0	100.0	100.0
CA Grands Crus	■		France		S	100.0	100.0	100.0	100.0
Cariou Holding	■		France		S	71.4	50.0	50.0	50.0
CPR EuroGov LCR	■		France		S	75.6	89.5	75.6	89.5

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
Crédit Agricole – Group Infrastructure Platform	■		France		S	100.0	100.0	99.7	99.7
Crédit Agricole Agriculture	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Immobilier	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Payment Services	■		France		CSE	100.0	100.0	100.0	100.0
Crédit Agricole Public Sector SCF	■		France		CSE	100.0	100.0	100.0	100.0
Crédit Agricole Régions Développement	■		France		S	73.6	75.7	100.0	75.7
Crédit Agricole Technologies et Services	■		France		S	100.0	100.0	100.0	100.0
DELTA	■		France		S	100.0	100.0	100.0	100.0
ESNI (compartiment Crédit Agricole S.A.)	■		France		CSE	100.0	100.0	100.0	100.0
FCT Crédit Agricole Habitat 2015 Compartiment Corse	■	S1	France		CSE	-	100.0	-	100.0
FCT Crédit Agricole Habitat 2017 Compartiment Corse	■		France		CSE	100.0	100.0	100.0	100.0
FCT Crédit Agricole Habitat 2018 Compartiment Corse	■		France		CSE	100.0	100.0	100.0	100.0
FCT Crédit Agricole Habitat 2019 Compartiment Corse	■		France		CSE	100.0	100.0	100.0	100.0
FCT Crédit Agricole Habitat 2020 Compartiment Corse	■	E2	France		CSE	100.0	100.0		
FIRECA	■		France		S	100.0	100.0	100.0	100.0
Grands Crus Investissements (GCI)	■		France		S	52.1	52.1	52.1	52.1
IDIA	■		France		S	100.0	100.0	100.0	100.0
IDIA DÉVELOPPEMENT	■		France		S	100.0	100.0	100.0	100.0
IDIA PARTICIPATIONS	■		France		S	100.0	100.0	100.0	100.0
Paymed	■		France		S	70.0	70.0	70.0	70.0
PORTFOLIO LCR 50	■	E2	France		S	100.0	100.0		
PORTFOLIO LCR 80 GREEN BONDS	■	E2	France		CSE	100.0	100.0		
PORTFOLIO LCR CREDIT	■		France		CSE	100.0	100.0	100.0	99.4
PORTFOLIO LCR CREDIT JUIN 2023	■	E2	France		CSE	100.0	100.0		
PORTFOLIO LCR GOV	■		France		CSE	99.9	99.8	84.3	92.7
PORTFOLIO LCR GOV 4A	■		France		CSE	100.0	100.0	96.7	98.4
S.A.S. Evergreen Montrouge	■		France		CSE	100.0	100.0	100.0	100.0
S.A.S. Sacam Avenir	■		France		S	100.0	100.0	100.0	100.0
Santeffi	■		France		S	100.0	100.0	100.0	100.0
SCI D2 CAM	■		France		S	100.0	100.0	100.0	100.0

(1) UCITS, unit funds and SCIs held by insurance entities.

(1) Consolidation method: ■ Full ▲ Equity Accounted ● Parent

Crédit Agricole Group scope of consolidation	(1)	(a)	Principal place of business	Country of incorporation if different from the principal place of business	(b)	% control		% interest	
						31/12/ 2020	31/12/ 2029	31/12/ 2020	31/12/ 2019
SCI Quentynvel	■		France		S	100.0	100.0	100.0	100.0
SNC Kalliste Assur	■		France		S	100.0	100.0	100.0	100.0
Société d'Epargne Foncière Agricole (SEFA)	■		France		S	100.0	100.0	100.0	100.0
Uni-medias	■		France		S	100.0	100.0	100.0	100.0
Tourism – property development									
Crédit Agricole Immobilier Promotion	■		France		S	100.0	100.0	100.0	100.0
Crédit Agricole Immobilier Services	■		France		S	100.0	100.0	100.0	100.0
SO.GL.CO	■		France		S	100.0	100.0	100.0	100.0

(a) Scope changes

Inclusions (E) into the scope of consolidation

E1: Breach of threshold

E2: Creation

E3: Acquisition (including controlling interests)

Exclusions (S) from the scope of consolidation

S1: Discontinuation of business (including dissolution and liquidation)

S2: Sale to non-Group companies or deconsolidation following loss of control

S3: Deconsolidated due to non-materiality

S4: Merger or takeover

S5: Transfer of all assets and liabilities

Other (D)

D1: Change of company name

D2: Change in consolidation method

D3: First time listed in the Note on scope of consolidation

D4: IFRS 5 entities

(b) Nature of control

S: Subsidiary

B: Branch

CSE: Consolidated structured entity

JV: Joint venture

SJV: Structured joint venture

JO: Joint operation

A: Associate

S.A.: Structured associate

NOTE 13 Investments in non-consolidated companies and structured entities

13.1 INFORMATION ON SUBSIDIARIES

These securities, which are recorded at fair value through profit or loss or at fair value through other comprehensive income that will not be reclassified to profit or loss are variable-income securities representing a significant portion of the share capital of the companies that issued them and are intended to be held on a long-term basis.

This line item amounted to €15,536 million at 31 December 2020, *versus* €14,978 million at 31 December 2019. At 31 December 2020, the main investment in non-consolidated companies where percentage of control is greater than 20% and which have significant value on the balance sheet is Crédit Logement (shares A and B). The Group's investment represents 32.50% of Crédit Logement's capital and amounts to €509 million but does not confer any significant influence over this entity, which is jointly held by various French banks and companies.

13.1.1 Non-consolidated controlled entities

Information relating to conventional entities under exclusive control, under joint control and subject to significant influence, and to controlled structured entities not included in the scope of consolidation are available on the Crédit Agricole website at the time of publication of the Update of the Universal Registration Document.

13.1.2 Material non-consolidated equity investments

Material equity investments accounting for a fraction of capital greater than or equal to 10% and not included in the scope of consolidation are presented in a table available online on the Crédit Agricole website at the time of publication of the Update of the Universal Registration Document.

13.2 NON-CONSOLIDATED STRUCTURED ENTITIES

IFRS 12 defines a structured entity as an entity that has been designed so that voting or similar rights are not the dominant factor in deciding who controls the entity, such as when any voting rights relate to the administrative tasks only and the relevant activities are directed by means of contractual arrangements.

Information on the nature and extent of interests held

At 31 December 2020, Crédit Agricole Group entities had interests in certain non-consolidated structured entities, the main characteristics of which are presented below on the basis of their type of activity:

Securitisation

The Crédit Agricole Group, mainly through its subsidiaries in the Large Customers business line, is tasked with structuring securitisation vehicles through the purchase of trade or financial receivables. The vehicles fund such purchases by issuing multiple tranches of debt and equity investments, with repayment being linked to the performance of the assets in such vehicles. Crédit Agricole Group invests in and provides liquidity facilities to the securitisation vehicles it has sponsored on behalf of customers.

Asset management

The Crédit Agricole Group, through its subsidiaries in the Asset Gathering business line, structures and manages entities on behalf of customers wishing to invest in specific assets in order to obtain the best possible return having regard to the chosen level of risk. Crédit Agricole Group entities may thus either be required to hold interests in such entities in order to ensure a successful launch or to guarantee the performance of such structures.

Investment funds

Entities in the Crédit Agricole Group Asset Gathering business line invest in companies established to meet investor demand in connection with treasury management and with the investment of insurance premiums received from insurance company customers, in accordance with the regulatory provisions in the French Insurance Code. Insurance company investments cover commitments to policyholders over the life of insurance policies. Their value and returns are correlated to these commitments.

Structured finance

Lastly, the Crédit Agricole Group, via its subsidiaries in the Large Customers business line, is involved in special purpose asset acquisition entities. These entities may take the form of asset financing companies or lease financing companies. In structured entities, the financing is secured by the asset. The Group's involvement is often limited to the financing or to financing commitments.

Sponsored entities

The Crédit Agricole Group sponsors structured entities in the following instances:

- the Crédit Agricole Group is involved in establishing the entity and that involvement, which is remunerated, is deemed essential for ensuring the proper completion of transactions;
- structuring takes place at the request of the Crédit Agricole Group and it is the main user thereof;
- the Crédit Agricole Group transfers its own assets to the structured entity;
- the Crédit Agricole Group is the manager;
- the name of a subsidiary or of the parent company of the Crédit Agricole Group is linked to the name of the structured entity or of the financial instruments issued by it.

The Crédit Agricole Group has sponsored non-consolidated structured entities in which it does not hold an interest at 31 December 2020.

Gross revenues from sponsored entities mainly comprise commissions in securitisation and investment funds, in which Crédit Agricole Assurances does not hold any interests at the reporting date. For Crédit Agricole Assurances, they amount to €18 million.

Information on the risks related to interests

Financial support for structured entities

In 2020, the Crédit Agricole Group did not provide financial support to any non-consolidated structured entities.

At 31 December 2020, the Crédit Agricole Group did not intend to provide financial support to any non-consolidated structured entities.

Interests in non-consolidated structured entities by type of activities

At 31 December 2020 and 31 December 2019, the Group's involvement in non-consolidated structured entities is disclosed in the following tables, for each group of sponsored structured entities that are significant to the Group.

	31/12/2020			
	Securitisation			
	Maximum loss			
	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure
<i>(in millions of euros)</i>				
Financial assets at fair value through profit or loss	6	6	-	6
Financial assets at fair value through other comprehensive income	-	-	-	-
Financial assets at amortised cost	-	-	-	-
Total Assets recognised relating to non-consolidated structured entities	6	6	-	6
Equity instruments	-	-	-	-
Financial liabilities at fair value through profit or loss	21	1	-	1
Liabilities	11	-	-	-
Total Liabilities recognised relating to non-consolidated structured entities	31	1	-	1
Commitments given	-	75	-	75
Financing commitments	-	18	-	18
Guarantee commitments	-	-	-	-
Other	-	57	-	57
Provisions for execution risks – commitments by signature	-	-	-	-
Total Commitments (net of provision) to non-consolidated structured entities	-	75	-	75
Total Balance sheet relating to non-consolidated structured entities	25	-	-	-

(1) Non-sponsored structured entities generate no specific risk related to the nature of the entity. Information concerning these exposures is set out in Note 3.1 "Credit risk" and Note 3.2 "Market risk". These are investment funds in which the Group is not a manager, and structured financing entities in which the Group has only granted a loan.

	31/12/2019			
	Securitisation			
	Maximum loss			
	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure
<i>(in millions of euros)</i>				
Financial assets at fair value through profit or loss	8	8	-	8
Financial assets at fair value through other comprehensive income	-	-	-	-
Financial assets at amortised cost	2,351	2,351	-	2,351
Total Assets recognised relating to non-consolidated structured entities	2,360	2,360	-	2,360
Equity instruments	-	-	-	-
Financial liabilities at fair value through profit or loss	-	-	-	-
Liabilities	128	-	-	-
Total Liabilities recognised relating to non-consolidated structured entities	128	-	-	-
Commitments given	-	1,608	-	1,608
Financing commitments	-	1,551	-	1,551
Guarantee commitments	-	-	-	-
Other	-	57	-	57
Provisions for execution risks – commitments by signature	-	-	-	-
Total Commitments (net of provision) to non-consolidated structured entities	-	1,608	-	1,608
Total Balance sheet relating to non-consolidated structured entities	2,232	-	-	-

(1) Non-sponsored structured entities generate no specific risk related to the nature of the entity. Information concerning these exposures is set out in Note 3.1 "Credit risk" and Note 3.2 "Market risk". These are investment funds in which the Group is not a manager, and structured financing entities in which the Group has only granted a loan.

31/12/2020												
Asset management					Investments funds ⁽¹⁾				Structured finance ⁽¹⁾			
Maximum loss					Maximum loss				Maximum loss			
Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	
3,179	3,179	-	3,179	54,122	54,122	-	54,122	17	17	-	17	
-	-	-	-	106	106	-	106	-	-	-	-	
-	-	-	-	207	207	-	207	2,007	2,007	-	2,007	
3,179	3,179	-	3,179	54,435	54,435	-	54,435	2,024	2,024	-	2,024	
-	-	-	-	-	-	-	-	-	-	-	-	
799	799	-	799	33	2	-	2	-	-	-	-	
-	-	-	-	-	-	-	-	416	-	-	-	
799	799	-	799	33	2	-	2	416	-	-	-	
-	18,210	399	17,811	-	277	-	277	-	1,044	-	1,044	
-	-	-	-	-	-	-	-	-	974	-	974	
-	18,242	399	17,843	-	-	-	-	-	70	-	70	
-	-	-	-	-	277	-	277	-	-	-	-	
-	(32)	-	(32)	-	-	-	-	-	-	-	-	
-	18,210	399	17,811	-	277	-	277	-	1,044	-	1,044	
113,940	-	-	-	380,588	-	-	-	1,461	-	-	-	

31/12/2019												
Asset management					Investments funds ⁽¹⁾				Structured finance ⁽¹⁾			
Maximum loss					Maximum loss				Maximum loss			
Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	Carrying amount	Maximum exposure to losses	Guarantees received and other credit enhancements	Net exposure	
1,898	1,898	-	1,898	53,897	53,897	-	50,547	20	20	-	20	
-	-	-	-	163	163	-	1	-	-	-	-	
-	-	-	-	-	-	-	-	2,261	2,261	-	2,261	
1,898	1,898	-	1,898	54,060	54,060	-	50,548	2,281	2,281	-	2,281	
-	-	-	-	-	-	-	-	-	-	-	-	
1,010	1,010	-	1,010	-	-	-	-	-	-	-	-	
-	-	-	-	-	-	-	-	492	-	-	-	
1,010	1,010	-	1,010	-	-	-	-	492	-	-	-	
-	20,311	-	20,336	-	-	-	-	-	1,380	-	1,380	
-	-	-	-	-	-	-	-	-	1,216	-	1,216	
-	20,336	-	20,336	-	-	-	-	-	164	-	164	
-	-	-	-	-	-	-	-	-	-	-	-	
-	(25)	-	-	-	-	-	-	-	-	-	-	
-	20,311	-	20,336	-	-	-	-	-	1,380	-	1,380	
76,800	-	-	-	347,204	-	-	-	2,262	-	-	-	

Maximum exposure to losses

The maximum exposure to loss risk on financial instruments corresponds to the value recognised on the balance sheet, with the exception of option sale derivatives and credit default swaps for which the exposure corresponds to

assets for the notional amount and to liabilities for the notional amount less the mark-to-market. The maximum exposure to loss risk on commitments given corresponds to the notional amount and the provision for commitments given in the amount recognised on the balance sheet.

NOTE 14 Events subsequent to 31 December 2020

14.1 UNWINDING OF 15% OF THE “SWITCH” GUARANTEE MECHANISM

On 1 March 2021, Crédit Agricole S.A. unwound 15% of the “Switch” guarantee mechanism set up between the Regional Banks and Crédit Agricole S.A.

This transaction has no impact on the results nor on the solvency ratios of Crédit Agricole Group.

14.2 COMPLETION OF THE SALE OF BANKOA TO ABANCA

On 28 January 2021, Crédit Agricole Pyrénées Gascogne and Crédit Agricole S.A. announced that they had signed a deal to sell Bankoa to the Spanish bank ABANCA. The authorisations of the regulatory authorities (the European Central Bank and the *Comisión Nacional del Mercado de Valores* (CNMV – Spain) have been obtained.

The signing of this agreement is the culmination of the disposal process resulting from discussions initiated at the end of 2019 between ABANCA, Crédit Agricole S.A. and Crédit Agricole Pyrénées Gascogne.

Bankoa is a 99.8%-owned subsidiary of the Crédit Agricole Group. *Caisse régionale Pyrénées Gascogne* owns 94.8% of the shares of this company, and 5% is held by Crédit Agricole S.A.

14.3 REDEMPTION BY CRÉDIT AGRICOLE CONSUMER FINANCE OF 49% OF THE CAPITAL OF THE JOINT VENTURE CRÉDIT AGRICOLE CONSUMER FINANCE BANKIA S.A.

On 3 February 2021, Crédit Agricole Consumer Finance (Crédit Agricole Consumer Finance) entered into a redemption agreement with Bankia for 49% of the capital held by the latter in the joint venture Crédit Agricole Consumer Finance Bankia S.A.

At the close of the transaction, the entity will be wholly owned by Crédit Agricole Consumer Finance and will be fully consolidated in the Crédit Agricole Group financial statements.

The transaction is suspended with the agreement of Banco de España (Bank of Spain).

STATUTORY AUDITORS' REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

This is a translation into English of the statutory auditors' report on the consolidated financial statements of the Company issued in French and it is provided solely for the convenience of English speaking users.

This statutory auditors' report includes information required by European regulation and French law, such as information about the appointment of the statutory auditors or verification of the information concerning the Group presented in the management report and other documents provided to shareholders.

This report should be read in conjunction with, and construed in accordance with, French law and professional auditing standards applicable in France.

(For the year ended December 31, 2020)

To the Annual General Meeting of Crédit Agricole S.A.,

CRÉDIT AGRICOLE S.A.

12, Place des Etats-Unis

92127 Montrouge cedex, France

OPINION

In compliance with the engagement entrusted to us by your Annual General Meeting, we have audited the accompanying consolidated financial statements of Crédit Agricole Group for the year ended December 31st, 2020.

As indicated in the Note entitled "General framework" to the consolidated financial statements, the consolidated financial statements of the Crédit Agricole Group, a network organised around a central body, are prepared based on the network formed by the Local Banks, the Regional Banks and Crédit Agricole S.A., the central body.

In our opinion, the consolidated financial statements give a true and fair view of the assets and liabilities and of the financial position of the Credit Agricole Group at December 31st, 2020 and of the results of its operations for the year then ended in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union.

The audit opinion expressed above is consistent with our report to the Audit Committee.

BASIS FOR OPINION

Audit framework

We conducted our audit in accordance with professional standards applicable in France. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Our responsibilities under these standards are further described in the Statutory Auditors' Responsibilities for the audit of the consolidated financial statements section of our report.

Independence

We conducted our audit engagement in compliance with the independence requirements of the French Commercial Code (*code de commerce*) and the French Code of Ethics (*code de déontologie*) for Statutory Auditors, for the period from 1 January 2020 to the date of our report and specifically we did not provide any prohibited non-audit services referred to in Article 5(1) of Regulation (EU) No 537/2014 or in the French Code of Ethics (*Code de déontologie*) for statutory auditors.

JUSTIFICATION OF ASSESSMENTS – KEY AUDIT MATTERS

Due to the global crisis related to the COVID-19 pandemic, the financial statements of this period have been prepared and audited under specific conditions. Indeed, this crisis and the exceptional measures taken in the context of the state of sanitary emergency have had numerous consequences for companies, particularly on their operations and their financing, and have led to greater uncertainties on their future prospects. Those measures, such as travel restrictions and remote working, have also had an impact on the companies' internal organization and the performance of the audits.

It is in this complex and evolving context that, in accordance with the requirements of Articles L.823-9 and R.823-7 of the French Commercial Code (*Code de commerce*) relating to the justification of our assessments, we inform you of the key audit matters relating to the risks of material misstatement that, in our professional judgement, were the most significant in our audit of the consolidated financial statements of the current period, as well as how we addressed those risks.

These matters were addressed in the context of our audit of the consolidated financial statements as a whole and in forming our opinion thereon, and we do not provide a separate opinion on specific items of the consolidated financial statements.

Credit risk and estimate of expected losses on performing, underperforming and non-performing exposures in the context of COVID-19 crisis

Identified risk	Our response
In accordance with IFRS 9, the Crédit Agricole Group recognises loss allowances in respect of expected credit losses (ECL) on exposures that are performing (Bucket 1), underperforming (Bucket 2) or non-performing (Bucket 3). Given the significant judgement required in determining such loss allowances, especially in the context of COVID-19 crisis on the period and as at December 31st, 2020, we deemed their estimate to be a key audit matter for the following main entities and risk segments: ■ Crédit Agricole regional banks: models of measurement for IFRS 9 parameters (probability of default (PD), loss given default (LGD)) and ECL calculation, as defined by the Group with respect to performing and underperforming exposures (Bucket 1 and 2); ■ Crédit Agricole CIB: loss allowances on performing (Bucket 1), underperforming (Bucket 2) and non-performing (Bucket 3) exposures, specifically for financing granted to companies in the transport and energy sectors, due to an uncertain economic environment post-COVID-19, the complexity of identifying exposures where there is a risk of non-recovery and the degree of judgement needed to estimate recovery flows; ■ Retail Banking: loss allowances on exposures in Buckets 1 and 2, particularly for the corporate and professional segments; ■ Consumer Finance: loss allowances on loans in Bucket 1, 2 and 3 in France and in Italy. As at December 31st, 2020, the loss allowances for expected losses related to all eligible exposures amounted to € 21,9 billion, including: ■ € 8,0 billion of loss allowances of performing and underperforming exposures (€ 3,0 billion for B1 and € 5,0 billion for B2); ■ € 13,8 billion of loss allowances of non-performing exposures (B3). Refer to notes 1.2 and 3.1 to the consolidated financial statements.	We examined the procedures implemented by the Risk Management department to classify loans (Bucket 1, 2 or 3) and measure the amount of recorded loss allowances. We examined the methods used to take into account the effects of the COVID-19 crisis, the macroeconomic forecasts and the treatment of measures to support the economy used for the calculation of loss allowances, as well as the related financial information. We tested the key controls implemented by the main entities for the annual portfolio reviews, the updating of credit ratings, the identification of sectors impacted by the COVID-19 crisis, underperforming and non-performing exposures, and the measurement of loss allowances. We also read the main findings of the main Crédit Agricole Group entities' specialised committees in charge of monitoring underperforming and non-performing loans. Regarding loss allowances on Buckets 1 and 2, we: ■ asked experts to assess the economic scenarios used, the methods and measurements for various loss allowances inputs and calculation models; We especially examined the adaptations made to take into account the impacts of measures dedicated to support the economy; ■ examined the methodology used by the Risk Management to identify significant increase in credit risk ("SICR") and accounting treatments implemented to take into account measures to support the economy; ■ tested the controls that we deemed to be of key importance in relation to the transfer of the data used to calculate loss allowances or the reconciliations between the bases used for their calculation and the accounting records; ■ carried out independent loss allowance calculations based on samples, compared the calculated amount with the amount booked and examined the adjustments made by management where applicable; ■ assessed the analyses carried out by management on Crédit Agricole CIB's corporate bank's exposures with a negative outlook with a focus on sectors strongly affected by the COVID-19 crisis Regarding individually calculated loss allowances in Bucket 3, we: ■ For Crédit Agricole CIB: – examined the estimates used for impaired significant counterparties; – examined, based on credit files sample, the factors underlying the main assumptions used to assess expected cash flows, taking into account in particular the collateral value. ■ For Consumer Finance, checked the consistency between data used in the calculation of loss allowances and data available in the management IT systems and based on samples, tested the quality of historical data used in the statistical estimates. Lastly, we examined the disclosures in relation to credit risk coverage provided in the notes to the consolidated financial statements.

Valuation of Goodwill

Identified risk	Our response
Goodwill is tested for impairment whenever there are objective indications of impairment and otherwise at least once a year. These tests are based on a comparison between the carrying amount of each Cash Generating Unit (CGU) and its recoverable amount, defined as the higher of fair value less costs to sell and value in use. Value in use is determined by discounting the estimated future cash flows of the CGU, as defined in the three-year financial forecasts determined by each entity's management for the purpose of its business monitoring and extended over two years. The rate of capital allocation is determined by considering any specific requirements set by the regulator (Pillar 2 in particular), when they exist. We deemed the measurement of goodwill to be a key audit matter as impairment tests necessarily require management to make decisions concerning the key assumptions to use, in particular for determining economic scenarios in a context of COVID-19 crisis, financial forecasts and discount rates. Given the difference between the value in use and the carrying amount, past performance and their sensitivity to the assumptions used by management, we paid particular attention to the tests conducted on the French retail banking – LCL, International retail banking – Italy and International wealth management CGUs.	We obtained an understanding of the processes implemented by the Crédit Agricole Group to assess the need for impairment of goodwill. We involved in our audit team valuation experts to assess the assumptions used to determine the discount rates and the perpetual growth rates used as well as the models used for calculating discounted cash flows. We tested the calculations and compared the main assumptions (rate of capital allocation, discount rate, perpetual growth rate, etc.) with external sources. We examined the financial forecasts prepared by the management of each entity concerned and used in the model to: ■ check their consistency with those that have been presented to the governance bodies (Board of Directors or Supervisory Board) of the entities or subgroups and the justification of potential adjustments made; ■ assess the main underlying assumptions, including for the extension of forecasts beyond the three-year period. These assumptions were assessed in view of the economic environment affected by the COVID-19 crisis, the former financial forecasts and the actual performance over prior periods; ■ conduct sensitivity analyses of the value in use to some of the assumptions (level of capital allocated, discount rate, cost of risk, cost to income ratio). We also examined the disclosures provided in the notes to the consolidated financial statements on the results of these impairment tests and the level of sensitivity to various measurement parameters.
Goodwill recorded in the balance sheet amounts as at December 31st, 2020 to € 15,1 billion, including € 4,4 billion related to French retail banking – LCL, € 832 million related to International retail banking (after an impairment of € 965 million recorded in 2020) and € 849 million to International wealth management. Refer to notes 1.2 and 6.16 to the consolidated financial statements.	

Legal, tax and compliance risks

Identified risk	Our response
The Crédit Agricole Group is subject to judicial proceedings and several investigations and requests for regulatory information from different regulators. These are mainly related to the Euribor/Libor and SSA Bonds matters with authorities from various countries (USA, UK) and the European Union. They also concern ongoing actions by the Italian competition authority and the Dutch credit mediator and supervisory body for the consumer finance business line. Various tax investigations are also ongoing in France and some of the countries in which the Group operates (including Germany). The decision to recognise a provision or a receivable and the amount to be recorded requires, by its nature, the use of judgement, due to the difficulty in assessing the outcome of pending litigation or uncertainties regarding certain tax treatments, particularly in the context of some structural transactions. Given the importance of judgment, these assessments carry a significant risk of material misstatement in the consolidated financial statements and are therefore a key audit matter.	We obtained an understanding of the process implemented by Management to assess the risks arising from these litigations and tax uncertainties, as well as the provisions or receivables, where applicable, through quarterly inquiries with management and more specifically with the Legal, Tax and Compliance departments of the Group and its main subsidiaries. Our work involved: ■ assessing the assumptions made to determine provisions or receivables based on available information (documentation prepared by the Legal or Tax department or external counsel of Crédit Agricole S.A. and main Group entities, correspondence from regulators and minutes of Legal Risks Committee meetings); ■ reading the analyses and conclusions of the Group's legal advisors and their responses to our requests for confirmation; ■ regarding more specifically tax risks, examining, with our tax specialists, the responses provided by the Group to the relevant authorities as well as the risk assessment made by the Group; ■ assessing, accordingly, the level of provisions or receivables as at December 31st, 2020. Lastly, we examined the related disclosures provided in the notes to the consolidated financial statements.
The various ongoing investigations, requests for information and actions of certain authorities as well as the most important tax inspections at December 31st, 2020 are described in notes 1.2, 6.10 and 6.18 to the consolidated financial statements.	

Measurement of certain Crédit Agricole CIB financial assets and liabilities and Crédit Agricole Assurances financial assets classified in level 3

Identified risk	Our response
Within the Large Corporate business line of the Crédit Agricole Group, Crédit Agricole CIB originates, structures, sells and trades derivative financial instruments, for corporates, financial institutions and large issuers. Moreover, the issue of debt instruments, some of which are "hybrid", to the Group's international and domestic customers contributes to the management of the Crédit Agricole CIB medium- and long-term refinancing : ■ Derivative financial instruments held for trading are recorded on the balance sheet at fair value through profit or loss. ■ "Hybrid" debt issued is recognised in financial liabilities at fair value through profit or loss by option. These instruments are classified in level 3 when their valuation requires the use of significant unobservable market inputs. The classification of such instruments by level of fair value and their measurement require judgement from management, in particular regarding: ■ the definition of the observability cartography of the valuation parameters, ■ the use of internal and nonstandard valuation models; ■ the valuation of parameters that are not supported by observable market data; ■ the assessment of valuation adjustments designed to take into account uncertainties in the models, parameters used or counterparty and liquidity risks; Moreover, insurance investments of Credit Agricole Assurances that are classified in level 3 are mostly parts of venture capital funds ("FCPR") and unlisted equity securities measured through unobservable market inputs. The valuation process of those instruments, which takes into account liquidity and counterparty risks when appropriate, has become more complex in the context of COVID-19 crisis. Taking into account the uncertain economic environment, we consider that the valuation of those financial assets and liabilities of Crédit Agricole CIB and financial assets of Crédit Agricole Assurances which are classified in level 3, to be a key audit matter, due to expert judgement and variety and complexity of methods used for the valuation.	We obtained an understanding processes and controls implemented by Crédit Agricole CIB to identify, measure and recognise derivative financial instruments and structured debt issued classified in level 3. We examined those controls that we have deemed of key importance and that are mainly performed by Risk Management, such as review of the observability cartography, the independent verification of measurement parameters and the internal approval of valuation models. We also examined the processes and controls for recording valuation adjustments and the accounting classification of financial products. With the support of our specialists in valuation of financial instruments, we carried out independent valuations, analysed those performed by Crédit Agricole CIB as well as the assumptions, inputs, methodologies and models used at December 31st, 2020. More particularly, we have examined the documentation relating to developments in the observability mapping made during the period. We also analysed the main valuation adjustments recorded, and examined the justification provided by management for the main differences observed in margin calls and losses and/or gains in the event of disposal of financial products. For insurance investments of Credit Agricole Assurances classified in level 3, we performed the following procedures: ■ We updated our understanding of the internal control environment and processes of valuation of these financial assets; ■ For assets measures through internal valuation models: – We examined the adequacy of the underlying assumptions, methods and parameters used taking into account market practices and the context of COVID-19 crisis; – We analysed the values determined and recorded at December 31st, 2020 ■ For assets measured by independent asset managers: – We compared the valuation recorded at December 31st, 2020 with the valuation disclosed in asset manager's reports; – For assets directly impacted by the COVID-19 crisis: we examined independent valuation reports and the correct analysis of underlying risks; – For assets which were valued before the closing date : we examined the analyses performed by the Group to prevent any material difference between the recorded values and the values at the closing date; ■ We also examined the appropriateness of disclosures provided in the notes to the consolidated financial statements.

Within assets, Crédit Agricole CIB's derivative financial instruments and Credit Agricole Assurances' financial assets are recorded in the balance sheet of the Crédit Agricole Group as financial assets at fair value which, in level 3, represent € 17,2 billion as at December 31st, 2020.

Within liabilities, Crédit Agricole CIB's derivative financial instruments and structured debt issued are recorded in the balance sheet of the Crédit Agricole Group as financial liabilities at fair value which, in level 3, represent € 7,9 billion as at December 31st, 2020.

See notes 1.2, 6.2 and 11.2 to the consolidated financial statements.

Specific technical reserves in relation to insurance policies

Identified risk	Our response
Within the Insurance business line of the Crédit Agricole Group, insurance liabilities are recognised as technical reserves in compliance with French consolidation standards and the applicable regulations, as permitted under IFRS 4. These technical reserves include some specific provisions that require judgment in their determination. These include: ■ the reserve for increasing risks of dependence, established where the present value of the insurer's commitments in terms of health or disability cover is higher than the projected contributions of policyholders; ■ reserves for late claims relating to nonlife insurance policies for which losses have occurred but have not yet been declared or valued. For Predica's life insurance technical reserves, the Group conducts an annual liability adequacy test to ensure that insurance liabilities are adequate to meet estimated future cash flows after projected management fees. Considering the sensitivity of the above specific reserves and of the liability adequacy test to the different underlying assumptions used, especially in the context of COVID-19 crisis (asset yield forecasts, policyholders' behaviour, insurer management's decisions, period of independent living or probability of occurrence of a state of dependency, future premiums, statistical models and expert assessments used for valuing late claims, discount rate, etc.), we deemed specific technical reserves and liability adequacy tests to be a key audit matter.	For the main specific reserves mentioned in the column opposite, we performed the below procedures with the support of our actuaries: ■ Obtaining an understanding of the compliance of the Group's methodology for measuring these reserves; ■ Obtaining an understanding of the control environment relating to the management or valuation of losses, the design of forecast models or stochastic models and the determination of the main assumptions to the model (asset yield, future premiums, mortality tables, probability of occurrence of a state of dependency, projected period of dependent living, discount rate, etc.); ■ Obtaining an understanding of the results of the controls implemented by the Group to check the accuracy of management data used to calculate the reserves; ■ analysing certain assumptions or data in the light of market practice, the historical data and the economic context related to the COVID-19 crisis; ■ examining the controls that we deemed of key importance in relation to the information systems supporting the processing of technical data and accounting entries; ■ recalculating certain reserves. More specifically for the Predica liability adequacy test, we have examined the sensitivity of the result to scenarios of changes in the main financial and portfolio assumptions in order to check that the provisions remain sufficient in these different scenarios.
Net insurance technical reserves amount to €363,7 billion as at December 31st, 2020. See notes 1.2, 4.6, and 6.17 to the consolidated financial statements.	

SPECIFIC VERIFICATIONS

We have also performed, in accordance with professional standards applicable in France, the specific verifications required by laws and regulations of the Group's information given in the management report of Board of Directors.

We have no matters to report as to its fair presentation and its consistency with the consolidated financial statements.

We attest that the consolidated non-financial statement provided for by Article L. 225-102-1 of the French Commercial Code (*Code de commerce*) is included in the Group's information given in the management report, it being specified that, in accordance with Article L. 823-10 of this Code, we have verified neither the fair presentation nor the consistency with the consolidated financial statements of the information contained therein.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

Format of presentation of the consolidated financial statements intended to be included in the annual financial report

We have also verified, in accordance with the professional standard applicable in France relating to the procedures performed by the statutory auditors relating to the annual and consolidated financial statements presented in the European single electronic format, that the presentation of the consolidated financial statements intended to be included in the annual financial report mentioned in Article L. 451-1-2, I of the French Monetary and Financial Code (*Code monétaire et financier*), prepared under the responsibility of the Chief Executive Officer, complies with the single electronic format defined in the European Delegated Regulation No 2019/815 of December 17th, 2018. As it relates to consolidated financial statements, our work includes verifying that the tagging of these consolidated financial statements complies with the format defined in the above delegated regulation.

Based on the work we have performed, we conclude that the presentation of the consolidated financial statements intended to be included in the annual financial report complies, in all material respects, with the European single electronic format.

We have no responsibility to verify that the consolidated financial statements that will ultimately be included by your company in the annual financial report filed with the AMF are in agreement with those on which we have performed our work.

Appointment of the Statutory Auditors

We were appointed as statutory auditors of Crédit Agricole S.A. by your Annual General Meeting held on May 19th, 2004 for PricewaterhouseCoopers Audit and in 1985 for ERNST & YOUNG et Autres.

As at December 31st, 2020, PricewaterhouseCoopers Audit and ERNST & YOUNG et Autres were in the 17th and 36th of total uninterrupted engagement, respectively.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern, and using the going concern basis of accounting, unless it expects to liquidate the Company or to cease operations.

The Audit Committee is responsible for monitoring the financial reporting process and the effectiveness of internal control and risk management systems and where applicable, its internal audit, regarding the accounting and financial reporting procedures.

The consolidated financial statements were approved by the Board of Directors.

STATUTORY AUDITORS' RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Objectives and audit approach

Our role is to issue a report on the consolidated financial statements. Our objective is to obtain reasonable assurance about whether the consolidated financial statements as a whole are free of material misstatement. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with professional standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions taken by users on the basis of these consolidated financial statements.

As specified in article L.823-10-1 of the French Commercial Code (*code de commerce*), our statutory audit does not include assurance on the viability or quality of the Company or the quality of management of the affairs of the Company.

As part of an audit conducted in accordance with professional standards applicable in France, the statutory auditor exercises professional judgement throughout the audit and furthermore:

- Identifies and assesses the risks of material misstatement in the consolidated financial statements, whether due to fraud or error, designs and performs audit procedures in response to those risks and obtains audit evidence considered to be sufficient and appropriate to provide a basis for their opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtains an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control.
- Evaluates the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management in the consolidated financial statements.
- Assesses the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. This assessment is based on the audit evidence obtained up to the date of the audit report. However, future events or conditions may cause the Company to cease to continue as a going concern. If the statutory auditor concludes that a material uncertainty exists, they are required to draw attention in the audit report to the related disclosures in the consolidated financial statements or, if such disclosures are not provided or are inadequate, to modify the opinion expressed therein.
- Evaluates the overall presentation of the consolidated financial statements and assesses whether these statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtains sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. The statutory auditors is responsible for the direction, supervision and performance of the audit of the consolidated financial statements and for the opinion expressed on these consolidated financial statements.

Report to the Audit Committee

We submit to the Audit Committee a report which includes in particular a description of the scope of the audit and the audit programme implemented, as well as the results of our audit. We also report, if any, significant deficiencies in internal control regarding the accounting and financial reporting procedures that we have identified.

Our report to the Audit Committee includes the risks of material misstatement that, in our professional judgement, were the most significant for the audit of the consolidated financial statements of the current period and which are therefore the key audit matters that we are required to describe in this report.

We also provide the Audit Committee with the declaration provided for in article 6 of Regulation (EU) No 537/2014, confirming our independence within the meaning of the rules applicable in France such as they are set in particular by Articles L.822-10 to L.822-14 of the French Commercial Code (*code de commerce*) and in the French Code of Ethics (*code de déontologie*) for statutory auditors. Where appropriate, we discuss the risks that may reasonably be thought to bear on our independence, and the related safeguards.

Neuilly-sur-Seine and Paris-La Défense, March 23rd, 2021

The Statutory Auditors

French original signed by

PricewaterhouseCoopers Audit
Anik Chaumartin

ERNST & YOUNG et Autres
Olivier Durand



GENERAL INFORMATION

Information on Crédit Agricole Group entities

Table on entities (article L. 511-45)
Entities

381

381
383

Material changes

394

Transactions with related parties

394

Person responsible for the Universal registration document and its amendments

395

Statement by the person responsible
Statutory auditors

395
396

Cross-reference tables

397

Cross reference table of the Universal registration document 397

INFORMATION ON CRÉDIT AGRICOLE GROUP ENTITIES

TABLE ON ENTITIES (ARTICLE L. 511-45)

Geographic location	Revenues excluding intragroup eliminations	Average headcount <i>(full time equivalent)</i>	Income before tax	Income tax charge – current	Income tax charge – deferred	Public grants received
FRANCE (INCLUDING DOM-TOM)						
France	23,139	102,963	4,896	(2,049)	566	-
France DOM-TOM	384	1,621	84	(26)	3	-
OTHER EU COUNTRIES						
Germany	527	1,331	39	(21)	9	-
Austria	48	119	25	(8)	1	-
Belgium	55	116	31	(7)	(1)	-
Bulgaria	-	2	-	-	-	-
Denmark	-	-	-	-	-	-
Spain	265	501	122	(38)	11	-
Finland	10	12	9	(1)	(1)	-
Greece	-	19	(2)	-	-	-
Hungary	3	19	-	-	-	-
Ireland	156	591	80	(8)	(3)	-
Italy	3,081	12,209	(297)	(154)	(1)	-
Luxembourg	879	1,503	504	(111)	21	-
Netherlands	91	80	(3)	(2)	6	-
Poland	359	5,177	(15)	(7)	2	-
Portugal	144	512	54	(14)	-	-
Czech Republic	23	95	10	(2)	1	-
Romania	1	9	-	-	-	-
United Kingdom	1,044	886	639	(98)	(35)	-
Slovakia	1	4	-	-	-	-
Sweden	28	46	15	(3)	-	-
OTHER EUROPE COUNTRIES						
Monaco	139	459	35	(6)	-	-
Russia	17	173	2	(1)	-	-
Serbia	47	870	10	(1)	-	-
Switzerland	381	1,356	(14)	2	6	-
Ukraine	110	2,399	70	(7)	1	-
Guernsey	1	-	-	-	-	-
NORTH AMERICA						
Canada	10	13	8	(2)	-	-
United States	1,100	1,115	402	(88)	5	-
Mexico	1	5	-	-	-	-
CENTRAL AND SOUTH AMERICA						
Argentina	-	-	-	-	-	-
Brazil	104	95	78	-	(6)	-
Chile	4	2	3	(1)	-	-

Geographic location	Revenues excluding intragroup eliminations	Average headcount <i>(full time equivalent)</i>	Income before tax	Income tax charge – current	Income tax charge – deferred	Public grants received
AFRICA AND MIDDLE EAST						
Algeria	4	23	2	-	-	-
Egypt	197	2,488	123	(32)	-	-
United Arab Emirates	58	106	22	-	-	-
Morocco	216	2,557	28	(21)	11	-
Mauritius	-	120	1	-	-	-
Qatar	-	1	-	-	-	-
ASIA AND OCEANIA (EXCLUDING JAPAN)						
Australia	50	32	34	(10)	-	-
China	66	176	23	(11)	4	-
South Korea	60	92	22	(4)	(1)	-
Hong Kong	244	703	53	(11)	1	-
India	39	190	22	(5)	-	-
Malaysia	9	22	6	(1)	-	-
Singapore	156	809	(9)	(3)	3	-
Taiwan	53	114	25	(13)	9	-
Vietnam						
JAPAN						
Japan	292	429	64	(38)	25	-
TOTAL	33,596	142,159	7,201	(2,802)	637	-

Excluded from this perimeter: held-for-sale operations or discontinued operations under IFRS 5, as well as equity-accounted entities.

Revenues from international entities correspond to their territorial contribution to the consolidated financial statements prior to elimination of reciprocal intragroup transactions.

ENTITIES

At 31 December 2020, the Group had the following entities:

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
2,417 Local Banks	FRB	France
38 Regional Banks	FRB	France
Banque Chalus	FRB	France
Bforbank S.A.	FRB	France
Caisse régionale Provence – Côte d'Azur, Agence de Monaco	FRB	Monaco
Cofam	FRB	France
CRCAM SUD MED. SUC	FRB	Spain
FIMO Courtage	FRB	France
Interfimo	FRB	France
LCL	FRB	France
LCL succursale de Monaco	FRB	Monaco
Sircam	FRB	France
Locam	FRB	France
Bercy Participations	FRB	France
CA Centre France Développement	FRB	France
CA INVESTISSEMENTS STRATÉGIQUES CENTRE-EST	FRB	France
CACF Immobilier	FRB	France
CACL DIVERSIFIÉ	FRB	France
CADINVEST	FRB	France
CADS Capital	FRB	France
CADS Développement	FRB	France
Calixte Investissement	FRB	France
Centre Loire Expansion	FRB	France
Charente Périgord Expansion	FRB	France
Crédit Agricole F.C. Investissement	FRB	France
Crédit Agricole Languedoc Énergies Nouvelles	FRB	France
Foncière du Maine	FRB	France
L'Immobilière d'À Côté	FRB	France
NECI	FRB	France
NMP Développement	FRB	France
Nord Capital Investissement	FRB	France
Nord Est Expansion	FRB	France
Sequana	FRB	France
Socadif	FRB	France
Société Financière de Ty Nay	FRB	France
Société Financière du Languedoc Roussillon (SOFILARO)	FRB	France
Camca Assurance	FRB	Luxembourg
Camca Courtage	FRB	France
Camca Lux Finance Management Company	FRB	Luxembourg
Camca Réassurance	FRB	Luxembourg
Fcp Camca Lux Finance	FRB	Luxembourg
Groupe CAMCA	FRB	France
SCI 32 Liberté	FRB	Luxembourg
SCI Haussmann 122	FRB	France
SCI La Boétie 65	FRB	France
57 COURS DE LA LIBERTÉ (SCI)	FRB	France
Angle Neuf	FRB	France
Aquitaine Immobilier Investissement	FRB	France
Charente Périgord Immobilier	FRB	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
CRÉDIT AGRICOLE ATLANTIQUE VENDÉE IMMOBILIER PARTICIPATION	FRB	France
Franche-Comté Développement Foncier	FRB	France
Franche-Comté Développement Immobilier	FRB	France
Immeuble Franche-Comté	FRB	France
Midi Toulousain Immobilier	FRB	France
NMP CHASSELOUP	FRB	France
NMP IMMO	FRB	France
NMP VANEAU	FRB	France
Nord-Est Aménagement Promotion	FRB	France
Nord-Est Immo	FRB	France
Nord-Est Patrimoine Immobilier	FRB	France
Normandie Seine Foncière	FRB	France
Normandie Seine Immobilier	FRB	France
NS Immobilier	FRB	France
S.A. Foncière de l'Érable	FRB	France
S.A.S. Chalons Mont Bernard	FRB	France
S.A.S. Charleville Forest	FRB	France
SAS CENTRE D'AFFAIRES DU PARC LUMIÈRE	FRB	France
SAS Crédit Agricole Centre Loire Investissement	FRB	France
SCI 1 PLACE FRANCISQUE-REGAUD	FRB	France
SCI 22 QUAI SARRAIL	FRB	France
SCI 25-27 RUE DES TUILERIES	FRB	France
SCI 27 QUAI ROMAIN-ROLLAND	FRB	France
SCI 3 QUAI J.-MOULIN	FRB	France
SCI 5 RUE DU BŒUF	FRB	France
SCI 50-52 MONTÉE DU GOURGUILLON	FRB	France
SCI CAP ARROW	FRB	France
SCI CONFIDENCE	FRB	France
SCI Crystal Europe	FRB	France
SCI DE LA CROIX ROCHERAN	FRB	France
SCI DE LA MAISON DU GRIFFON	FRB	France
SCI DES JARDINS D'ORSAY	FRB	France
SCI DU 113 RUE DES CHARMETTES	FRB	France
SCI DU 36	FRB	France
SCI DU 7 RUE PASSET	FRB	France
SCI DU JARDIN LAENNEC	FRB	France
SCI DU JARDIN SAINT-JOSEPH	FRB	France
SCI Euralliance Europe	FRB	France
SCI GAMBETTA	FRB	France
SCI GREEN CROZET	FRB	France
SCI JDL BÂTIMENT 5	FRB	France
SCI LA RUCHE 18-20	FRB	France
SCI LE BRETAGNE	FRB	France
SCI MONTAGNY 71	FRB	France
SCI Quartz Europe	FRB	France
SCI SILK OFFICE	FRB	France
SCI VILLA BELLA	FRB	France
SQUARE HABITAT ATLANTIQUE VENDÉE	FRB	France
Square Habitat Nord de France	FRB	France
Square Habitat Toulouse 31	FRB	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
955	FRB	France
SNC 120 RUE SAINT-GEORGES	FRB	France
1 BD MONGE	FRB	France
11 GABRIEL-PÉRI	FRB	France
15 RUE DE SAINT-CYR	FRB	France
2 PL. DUMAS DE LOIRE & 7 R 2 PLACES	FRB	France
21 ALSACE-LORRAINE	FRB	France
24 RUE D'ALSACE	FRB	France
24 RUE DES TUILLIERS	FRB	France
29 LANterne	FRB	France
3 CUVIER	FRB	France
37 ROUTE DES BLANCHES (GEX FERNEY)	FRB	France
42 RUE MERCIÈRE	FRB	France
56055 AEURHC	AG	Luxembourg
57 RUE MARCHANDE	FRB	France
6 RUE VAUBECOUR	FRB	France
78 DENFERT	FRB	France
7-9-11 RUE DU MILIEU	FRB	France
91 CREQUI	FRB	France
93 GRANDE RUE D'OULLINS	FRB	France
ADMINISTRATION GESTION IMMOBILIÈRE	FRB	France
Adret Gestion	FRB	France
ALGÉRIE 10	FRB	France
Alsace Élite	FRB	France
AMUNDI EMERG MKT BD-M2EURHC	AG	Luxembourg
Anjou Maine Gestion	FRB	France
Aquiaux Rendement	FRB	France
Armor Fonds Dédié	FRB	France
AZUR	FRB	France
Bercy Champ de Mars	FRB	France
BERCY VILLIOT	FRB	France
BOUTIN 56	FRB	France
Brie Picardie Croissance	FRB	France
C.L. Verwaltungs und Beteiligungsgesellschaft GmbH	FRB	Germany
CA Aquitaine Agences Immobilières	FRB	France
CA Aquitaine Immobilier	FRB	France
CA Centre-Est Développement Immobilier	FRB	France
CAAP CREATION	FRB	France
CAAP Immo	FRB	France
CAAP IMMO GESTION	FRB	France
CAAP Immo Invest	FRB	France
CAM HYDRO	FRB	France
CAP ACTIONS 3	FRB	France
CAP Régulier 1	FRB	France
CAP Régulier 2	FRB	France
CAPG ÉNERGIES NOUVELLES	FRB	France
CAPG INVESTISSEMENTS ÉNERGÉTIQUES	FRB	France
CAPIC Centre-Est	FRB	France
CASRA CAPITAL	FRB	France
Centre France Location Immobilière	FRB	France
Chabrillac	FRB	France
CHALOPIN GUILLOTIÈRE	FRB	France
CHÉNE VERT	FRB	France
CL CLARES	FRB	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
CL Promotion	FRB	France
CMDS IMMOBILIER	FRB	France
Compagnie Foncière Lyonnaise	FRB	France
CONSTANTINE 12	FRB	France
Crédit Agricole Centre Est Immobilier	FRB	France
CRÉDIT AGRICOLE ILLE-ET-VILAINE EXPANSION	FRB	France
Crédit Agricole Languedoc Immobilier	FRB	France
Crédit Lyonnais Développement Économique (CLDE)	FRB	France
CROIX-ROUSSE	FRB	France
DAPAR	FRB	France
DE L'ARTOIS	FRB	France
DES CYGNES	FRB	France
DES ÉCHEVINS	FRB	France
DES PAYS BAS	FRB	France
DU 34 RUE ÉDOUARD-HERRIOT	FRB	France
DU 46	FRB	France
DU BOIS DU PORT	FRB	France
DU CARILLON	FRB	France
DU CORBILLON	FRB	France
DU CORVETTE	FRB	France
DU ROZIER	FRB	France
DU TOURNE-FEUILLE	FRB	France
Edokial	FRB	France
Émeraude Croissance	FRB	France
EUROHABITAT	FRB	France
EUROPEAN CDT SRI PC	AG	France
EUROTERTIAIRE 2	FRB	France
Everbreizh	FRB	France
FCP Centre Loire	FRB	France
FCT Crédit Agricole Habitat 2015 (excl. Compartiment Corse)	FRB	France
FCT Crédit Agricole Habitat 2017 (excl. Compartiment Corse)	FRB	France
FCT Crédit Agricole Habitat 2018 (excl. Compartiment Corse)	FRB	France
FCT Crédit Agricole Habitat 2019 (excl. Compartiment Corse)	FRB	France
FCT Crédit Agricole Habitat 2020 (excl. Compartiment Corse)	FRB	France
FCT True Sale (Compartiment LCL)	FRB	France
Fief Nouveau	FRB	France
FINIST-LCR	FRB	France
FONCIÈRE ATLANTIQUE VENDÉE	FRB	France
Foncière Crédit Agricole Sud Rhône-Alpes	FRB	France
Foncière TP	FRB	France
Fonds dédié Elstar	FRB	France
Force 29	FRB	France
Force Alsace	FRB	France
Force Charente-Maritime Deux-Sèvres	FRB	France
Force Iroise	FRB	France
Force Languedoc	FRB	France
Force Lorraine Duo	FRB	France
Force Profile 20	FRB	France
Force Run	FRB	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
Force Toulouse Diversifié	FRB	France
Force 4	FRB	France
GRANGE HAUTE	FRB	France
GRD ACT.ZONE EURO	AG	France
Immocam	FRB	France
INDOSUEZ CAP EMERG.M	AG	France
INFORSUD TECHNOLOGIES	FRB	France
Inforsud Gestion	FRB	France
INTERIMOB	FRB	France
JOLIOT-CURIE	FRB	France
L'ÉGLANTINE	FRB	France
LES OVALISTES	FRB	France
LEYNAUD 41	FRB	France
LOCA-CORB	FRB	France
LOCAFLEX	FRB	France
LOCAGUET	FRB	France
LYONNAISE DE PRÉFABRICATION	FRB	France
MACE MONGE	FRB	France
MAISON DE LA DANSE	FRB	France
MAZARIK 24	FRB	France
MGC	FRB	France
MOULIN DE PRESSENSÉ	FRB	France
NMP Gestion	FRB	France
NS ALTERNATIVE PERFORMANCE	FRB	France
Ozenne Institutionnel	FRB	France
P.N.S.	FRB	France
PCA IMMO	FRB	France
PED EUROPE	AG	France
PG Développement	FRB	France
PG IMMO	FRB	France
PG Invest	FRB	France
POLYLOC	FRB	France
Prestimmo	FRB	France
Pyrénées Gascogne Altitude	FRB	France
Pyrénées Gascogne Gestion	FRB	France
RENE 35	FRB	France
Réunion Télécom	FRB	France
Run Cartes	FRB	France
SAINT-CLAR (SNC)	FRB	France
SARL PAUL VERLAINE	FRB	France
SAS Brie Picardie Expansion	FRB	France
SAS CATP EXPANSION	FRB	France
SAS SQUARE HABITAT CHARENTE-MARITIME DEUX-SÈVRES	FRB	France
SCI Campayrol	FRB	France
SCI LA LEVÉE	FRB	France
SCI SRA BELLEDONNE	FRB	France
SCI SRA CHARTREUSE	FRB	France
SCI SRA VERCORS	FRB	France
SCI Turenne Wilson	FRB	France
Scica HL	FRB	France
SILOS DE JONAGE	FRB	France
Société de Transactions Immobilières de Bourbon	FRB	France
SOCIÉTÉ D'ÉTUDES DE PARTICIPATIONS ET D'INVESTISSEMENT	FRB	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
SOLYMO	FRB	France
Square Habitat Gestion Sud Rhône-Alpes	FRB	France
Square Habitat Pays Basque	FRB	France
Square Habitat Sud Rhône-Alpes	FRB	France
STÉPHANE	FRB	France
Sud Rhône-Alpes Placement	FRB	France
Toulouse 31 Court Terme	FRB	France
UNI-INVEST ANJOU MAINE	FRB	France
Val de France Rendement	FRB	France
Valeurs Monétiques	FRB	France
VIMER TOULON	FRB	France
Crédit Agricole Languedoc Patrimoine	FRB	France
Val de France Expansion	FRB	France
VENDÔME SEL EURO PC	AG	France
SCI CA Run Développement	FRB	France
Normandie Seine Participation	FRB	France
Arc Broker	BPI	Poland
CRÉDIT AGRICOLE BANK	BPI	Ukraine
Crédit Agricole Bank Polska S.A.	BPI	Poland
Crédit Agricole Banka Srbija a.d. Novi Sad	BPI	Serbia
Crédit Agricole Egypt S.A.E.	BPI	Egypt
Crédit Agricole Friuladria S.p.A.	BPI	Italy
Crédit Agricole Group Solutions	BPI	Italy
Crédit Agricole Italia	BPI	Italy
Crédit Agricole Leasing Italia	BPI	Italy
Crédit Agricole nextbank (Suisse) SA	BPI	Switzerland
Crédit Agricole Polska S.A.	BPI	Poland
Crédit Agricole Service sp.z.o.o.	BPI	Poland
Crédit du Maroc	BPI	Morocco
SIFIM	BPI	Morocco
SWISS HOME LOAN	BPI	Switzerland
IUB Holding	BPI	France
AMUNDI	AG	France
AMUNDI (UK) Ltd	AG	United Kingdom
AMUNDI Asset Management	AG	France
AMUNDI ASSET MANAGEMENT AGENCIA EN CHILE	AG	Chile
AMUNDI ASSET MANAGEMENT BELGIUM	AG	Belgium
AMUNDI ASSET MANAGEMENT DUBAI (OFF SHORE) BRANCH	AG	United Arab Emirates
AMUNDI ASSET MANAGEMENT HONG KONG BRANCH	AG	Hong Kong
AMUNDI ASSET MANAGEMENT LONDON BRANCH	AG	United Kingdom
AMUNDI ASSET MANAGEMENT MEXICO BRANCH	AG	Mexico
AMUNDI ASSET MANAGEMENT NEDERLAND	AG	Netherlands
Amundi Asset Management S.A.I SA	AG	Romania
Amundi Austria GmbH	AG	Austria
Amundi BOC Wealth Management Co. Ltd	AG	China
Amundi Czech Republic Asset Management Bratislava Branch	AG	Slovakia
Amundi Czech Republic Asset Management Sofia Branch	AG	Bulgaria
Amundi Czech Republic Asset Management, A.S.	AG	Czech Republic

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
Amundi Czech Republic, Investicni Spolecnost, A.S.	AG	Czech Republic
Amundi Deutschland GmbH	AG	Germany
AMUNDI Finance	AG	France
AMUNDI Finance Emissions	AG	France
AMUNDI GLOBAL SERVICING	AG	Luxembourg
AMUNDI Hellas MFMC S.A.	AG	Greece
AMUNDI Hong Kong Ltd	AG	Hong Kong
AMUNDI Iberia S.G.I.I.C S.A.	AG	Spain
AMUNDI Immobilier	AG	France
AMUNDI India Holding	AG	France
AMUNDI Intermédiation	AG	France
Amundi Intermédiation Asia PTE Ltd	AG	Singapore
Amundi Intermédiation Dublin Branch	AG	Ireland
Amundi Intermédiation London Branch	AG	United Kingdom
Amundi Investment Fund Management Private Limited Company	AG	Hungary
Amundi Ireland Ltd	AG	Ireland
AMUNDI Issuance	AG	France
AMUNDI Japan	AG	Japan
AMUNDI Japan Holding	AG	Japan
Amundi Luxembourg SA	AG	Luxembourg
AMUNDI Malaysia Sdn Bhd	AG	Malaysia
Amundi Pioneer Asset Management Inc.	AG	United States
Amundi Pioneer Asset Management USA Inc.	AG	United States
Amundi Pioneer Distributor Inc.	AG	United States
Amundi Pioneer Institutional Asset Management Inc.	AG	United States
AMUNDI Polska	AG	Poland
AMUNDI Private Equity Funds	AG	France
AMUNDI Real Estate Italia SGR S.p.A.	AG	Italy
AMUNDI SGR S.p.A.	AG	Italy
AMUNDI Singapore Ltd	AG	Singapore
AMUNDI Suisse	AG	Switzerland
Amundi Taiwan Limited	AG	Taiwan
AMUNDI Tenue de Comptes	AG	France
AMUNDI USA Inc.	AG	United States
AMUNDI Ventures	AG	France
BFT Investment Managers	AG	France
CA Indosuez (Suisse) S.A. Hong Kong Branch	AG	Hong Kong
CA Indosuez (Suisse) S.A. Singapore Branch	AG	Singapore
CA Indosuez (Suisse) S.A. Switzerland Branch	AG	Switzerland
CA Indosuez (Switzerland) S.A.	AG	Switzerland
CA Indosuez Finanziaria S.A.	AG	Switzerland
CA Indosuez Gestion	AG	France
CA Indosuez Wealth (Europe)	AG	Luxembourg
CA Indosuez Wealth (Europe) Belgium Branch	AG	Belgium
CA Indosuez Wealth (Europe) Spain Branch	AG	Spain
CA Indosuez Wealth (France)	AG	France
CA Indosuez Wealth Italy S.P.A.	AG	Italy
CA Luxembourg (succursale Italie)	AG	Italy
CFM Indosuez Wealth	AG	Monaco
CPR AM	AG	France
Etoile Gestion	AG	France
Fund Channel	AG	Luxembourg

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
Fund Channel Singapore Branch	AG	Singapore
KBI Fund Managers Limited	AG	Ireland
KBI Global Investors (North America) Limited	AG	Ireland
KBI Global Investors Limited	AG	Ireland
LCL Emissions	AG	France
Pioneer Global Investments LTD Buenos Aires Branch	AG	Argentina
Pioneer Global Investments LTD Mexico city Branch	AG	Mexico
Sabadell Asset Management, S.A., S.G.I.I.C.	AG	Spain
Société Générale Gestion (S2G)	AG	France
Vanderbilt Capital Advisors LLC	AG	United States
CA Indosuez Wealth (Group)	AG	France
CFM Indosuez Conseil en Investissement	AG	France
CFM Indosuez Conseil en Investissement, Succursale de Nouméa	AG	France
CFM Indosuez Gestion	AG	Monaco
ASSUR&ME	AG	France
CA Assicurazioni	AG	Italy
CACI DANNI	AG	Italy
CACI LIFE LIMITED	AG	Ireland
CACI NON LIFE LIMITED	AG	Ireland
CACI NON VIE	AG	France
CACI Reinsurance Ltd	AG	Ireland
CACI VIE	AG	France
CACI VITA	AG	Italy
CALIE Europe Succursale France	AG	France
CALIE Europe Succursale Pologne	AG	Poland
Crédit Agricole Assurances (CAA)	AG	France
Crédit Agricole Creditor Insurance (CACI)	AG	France
Crédit Agricole Life	AG	Greece
Crédit Agricole Life Insurance Company Japan Ltd	AG	Japan
Crédit Agricole Life Insurance Europe	AG	Luxembourg
Crédit Agricole Vita S.p.A.	AG	Italy
Finaref Risques Divers	AG	France
Finaref Vie	AG	France
GNB SEGUROS	AG	Portugal
Médicale de France	AG	France
Pacifica	AG	France
Predica	AG	France
Predica – Prévoyance Dialogue du Crédit Agricole	AG	Spain
Space Holding (Ireland) Limited	AG	Ireland
Space Lux	AG	Luxembourg
Spirica	AG	France
37785 QXEURC	AG	Luxembourg
ACAJOU	AG	France
AGRICOLE RIVAGE DETTE	AG	France
AJPMGBIGOHE	AG	Luxembourg
AM DESE FIII DS3IMDI	AG	France
AMUNDI GRD 24 FCP	AG	France
AMUNDI PE Solution Alpha	AG	France
APLEGROSENIUHD	AG	Luxembourg
ARTEMID	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
BFT CRÉDIT OPPORTUNITÉS -I-C	AG	France
BFT opportunité	AG	France
BFT VALUE PREM OP CD	AG	France
CA VITA INFRASTRUCTURE CHOICE FIPS c.I.A.	AG	France
CA VITA PRIVATE DEBT CHOICE FIPS c.I.A	AG	France
CA VITA PRIVATE EQUITY CHOICE	AG	France
CAA 2013 COMPARTIMENT 5 A5	AG	France
CAA 2013 FCPR B1	AG	France
CAA 2013 FCPR C1	AG	France
CAA 2013 FCPR D1	AG	France
CAA 2013-2	AG	France
CAA 2013-3	AG	France
CAA 2014 COMPARTIMENT 1 PART A1	AG	France
CAA 2014 INVESTISSEMENT PART A3	AG	France
CAA 2015 COMPARTIMENT 1	AG	France
CAA 2015 COMPARTIMENT 2	AG	France
CAA 2016	AG	France
CAA COMMERCE 2	AG	France
CAA INFRASTRUCTURE	AG	France
CAA INFRASTRUCTURE 2017	AG	France
CAA INFRASTRUCTURE 2018 – COMPARTIMENT 1	AG	France
CAA INFRASTRUCTURE 2019	AG	France
CAA PR FI II C1 A1	AG	France
CAA PRIV EQY 19 CF A	AG	France
CAA PRIV.FINANC.COMP.1 A1 FIC	AG	France
CAA PRIV.FINANC.COMP.2 A2 FIC	AG	France
CAA PRIVATE EQUITY 2017	AG	France
CAA PRIVATE EQUITY 2017 BIS	AG	France
CAA PRIVATE EQUITY 2017 FRANCE INVESTISSEMENT	AG	France
CAA PRIVATE EQUITY 2017 MEZZANINE	AG	France
CAA PRIVATE EQUITY 2017 TER	AG	France
CAA PRIVATE EQUITY 2018 – COMPARTIMENT 1	AG	France
CAA PRIVATE EQUITY 2018 – COMPARTIMENT FRANCE INVESTISSEMENT	AG	France
CAA PRIVATE EQUITY 2019 COMPARTIMENT 1	AG	France
CAA PRIVATE EQUITY 2019 COMPARTIMENT BIS	AG	France
CAA PRIVATE EQUITY 2019 COMPARTIMENT TER	AG	France
CAA SECONDAIRE IV	AG	France
CAREPTA R 2016	AG	France
CEDAR	AG	France
Chorial Allocation	AG	France
CNP ACP 10 FCP	AG	France
COMPARTIMENT DS3 – IMMOBILIER VAUGIRARD	AG	France
COMPARTIMENT DS3 – VAUGIRARD	AG	France
CORSAIR 1.52% 25/10/38	AG	Luxembourg
CORSAIR 1.5255% 25/04/35	AG	Ireland
CORSAIRE FINANCE IRELAND 0.83% 25-10-38	AG	Ireland
CORSAIRE FINANCE IRELAND 1.24% 25-10-38	AG	Ireland
CORSAIRE FINANCE IRELAND 0.7% 25-10-38	AG	Ireland
EFFITHERMIE FPCI	AG	France
FCPR CAA 2013	AG	France
FCPR CAA COMP TER PART A3	AG	France
FCPR CAA COMPART BIS PART A2	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
FCPR CAA COMPARTIMENT 1 PART A1	AG	France
FCPR CAA France croissance 2 A	AG	France
FCPR PREDICA 2007 A	AG	France
FCPR PREDICA 2007 C2	AG	France
FCPR PREDICA 2008 A1	AG	France
FCPR PREDICA 2008 A2	AG	France
FCPR PREDICA 2008 A3	AG	France
FCPR PREDICA SECONDAIRE I A1	AG	France
FCPR PREDICA SECONDAIRE I A2	AG	France
FCPR PREDICA SECONDAIRES II A	AG	France
FCPR PREDICA SECONDAIRES II B	AG	France
FCPR UI CAP AGRO	AG	France
FCPR UI CAP SANTE A	AG	France
FCT BRIDGE 2016-1	AG	France
FCT CAA – Compartiment 2017-1	AG	France
FCT CAREPTA – COMPARTIMENT 2014-1	AG	France
FCT CAREPTA – COMPARTIMENT 2014-2	AG	France
FCT CAREPTA – COMPARTIMENT RE-2016-1	AG	France
FCT CAREPTA – RE 2015 -1	AG	France
FCT CAREPTA 2-2016	AG	France
FCT MID CAP 2 05/12/22	AG	France
FDA 18 FCP 2 DEC	AG	France
FDC A3 P	AG	France
FEDERIS CORE EU CR 19 MM	AG	France
Federal	AG	France
FPCI Cogeneration France I	AG	France
FR0010671958 PREDIQUANT A5	AG	France
GRD 44	AG	France
GRD 44 N°3	AG	France
GRD 44 N2	AG	France
GRD 44 N4 PART CD	AG	France
GRD 44 N5	AG	France
GRD 54	AG	France
GRD02	AG	France
GRD03	AG	France
GRD05	AG	France
GRD07	AG	France
GRD08	AG	France
GRD09	AG	France
GRD10	AG	France
GRD11	AG	France
GRD12	AG	France
GRD13	AG	France
GRD14	AG	France
GRD17	AG	France
GRD18	AG	France
GRD19	AG	France
GRD20	AG	France
GRD21	AG	France
IAA CROISSANCE INTERNATIONALE	AG	France
LF PRE ZCP 12 99 LIB	AG	France
Londres Croissance C16	AG	France
LRP – CPT JANVIER 2013 0.30 13-21 11/01A	AG	Luxembourg
OBJECTIF LONG TERME FCP	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
OPCI GHD SPPICAV PROFESSIONNELLE	AG	France
Peg – Portfolio Eonia Garanti	AG	France
Predica 2005 FCPR A	AG	France
Predica 2006 FCPR A	AG	France
Predica 2006-2007 FCPR	AG	France
PREDICA 2010 A1	AG	France
PREDICA 2010 A2	AG	France
PREDICA 2010 A3	AG	France
PREDICA SECONDAIRES III	AG	France
Predicant A1 FCP	AG	France
Predicant A2 FCP	AG	France
Predicant A3 FCP	AG	France
Prediquant Eurocroissance A2	AG	France
Prediquant opportunité	AG	France
PREDIQUANT PREMIUM	AG	France
PREMIUM GR 0% 28	AG	Ireland
PREMIUM GREEN 0.508% 25-10-38	AG	Ireland
PREMIUM GREEN 0.63% 25-10-38	AG	Ireland
PREMIUM GREEN 1.24% 25/04/35	AG	Ireland
PREMIUM GREEN 1.531% 25-04-35	AG	Ireland
PREMIUM GREEN 1.55% 25-07-40	AG	Ireland
PREMIUM GREEN 4.52% 06-21 EMTN	AG	Ireland
PREMIUM GREEN 4.54% 06-13.06.21	AG	Ireland
PREMIUM GREEN 4.5575% 21 EMTN	AG	Ireland
PREMIUM GREEN 4.56% 06-21	AG	Ireland
PREMIUM GREEN 4.7% EMTN 08/08/21	AG	Ireland
PREMIUM GREEN 4.72% 12-250927	AG	Ireland
PREMIUM GREEN PLC 1.095% 25-10-38	AG	Ireland
PREMIUM GREEN PLC 4.30% 2021	AG	Ireland
PREMIUM GREEN TV 06/22	AG	Ireland
PREMIUM GREEN TV 07/22	AG	Ireland
PREMIUM GREEN TV 07-22	AG	Ireland
PREMIUM GREEN TV 22	AG	Ireland
PREMIUM GREEN TV 26/07/22	AG	Ireland
PREMIUM GREEN TV2027	AG	Ireland
PREMIUM GREEN TV23/05/2022 EMTN	AG	Ireland
PREMIUM GREEN 4.33% 06-29/10/21	AG	Ireland
PurpleProtAsset 1.36% 25/10/2038	AG	Luxembourg
PurpleProtAsset 1.093% 20/10/2038	AG	Luxembourg
RED CEDAR	AG	France
UI CAP SANTÉ 2	AG	France
FCT CAA COMPARTIMENT CESSION DES CRÉANCES LCL	AG	France
0057514 AUC	AG	Luxembourg
1827 A2EURC	AG	Luxembourg
56055 A5 EUR	AG	Luxembourg
5880 AEURC	AG	Luxembourg
5884 AEURC	AG	Luxembourg
5922 AEURHC	AG	Luxembourg
78752 AEURHC	AG	Luxembourg
A FD EQ E CON AE (C)	AG	Luxembourg
A FD EQ E FOC AE (C)	AG	Luxembourg
ACTICCIA VIE	AG	France
ACTICCIA VIE 3	AG	France
ACTICCIA VIE 90 C	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
ACTICCIA VIE 90 N2	AG	France
ACTICCIA VIE 90 N3 C	AG	France
ACTICCIA VIE 90 N4	AG	France
ACTICCIA VIE 90 N6 C	AG	France
ACTICCIA VIE N2 C	AG	France
ACTICCIA VIE N4	AG	France
ACTIONS 50 3DEC	AG	France
AF INDEX EQ JAPAN AE CAP	AG	Luxembourg
AF INDEX EQ USA A4E	AG	Luxembourg
AFCPRGLIFEAE	AG	Luxembourg
AIMSCIWOAE	AG	Luxembourg
AM AC FR ISR PC 3D	AG	France
AM.AC.EU.ISR-P-3D	AG	France
AM.AC.MINER.-P-3D	AG	France
AM.AC.USA ISR P 3D	AG	France
AM.ACT.EMER.-P-3D	AG	France
AM.RDT PLUS -P-3D	AG	France
AMIRAL GROWTH OPP A	AG	France
AMUN TRESO CT PC 3D	AG	France
AMUN.ACT.REST.P-C	AG	France
AMUN.TRES.EONIA ISR E FCP 3DEC	AG	France
AMUNDI AC.FONC.PC 3D	AG	France
AMUNDI ACTIONS FRANCE C 3DEC	AG	France
AMUNDI AFD AV DURABL P1 FCP 3DEC	AG	France
AMUNDI ALLOCATION C	AG	France
AMUNDI B GL AGG AEC	AG	Luxembourg
AMUNDI BGEB AEC	AG	Luxembourg
AMUNDI EQ E IN AHEC	AG	Luxembourg
AMUNDI GBL MACRO MULTI ASSET P	AG	France
AMUNDI GLB MUL-ASSET-M2EURC	AG	Luxembourg
AMUNDI GLO M/A CONS-M2 EUR C	AG	Luxembourg
AMUNDI HORIZON 3D	AG	France
AMUNDI KBI ACTION PC	AG	France
AMUNDI KBI ACTIONS C	AG	France
AMUNDI KBI AQUA C	AG	France
AMUNDI OBLIG EURO C	AG	France
AMUNDI PATRIMOINE C 3DEC	AG	France
AMUNDI PULSATIONS	AG	France
AMUNDI SONANCE VIE 7 3DEC	AG	France
AMUNDI SONANCE VIE N8 3DEC	AG	France
AMUNDI TRANSM PAT C	AG	France
AMUNDI VALEURS DURAB	AG	France
AMUNDI-CSH IN-PC	AG	France
AMUNDI-EUR EQ GREEN IM-IEURC	AG	Luxembourg
AMUNDI-GL INFLAT BD-MEURC	AG	Luxembourg
AMUNDIOBLIGMONDEP	AG	France
AMUNDI-VOLATILITY WRDL-IUSDC	AG	Luxembourg
AMUNDI-VOLATILITY WRDL-OUSDC	AG	Luxembourg
ANTINEA FCP	AG	France
ARC FLEXIBOND-D	AG	France
ATOUT EUROPE C FCP 3DEC	AG	France
ATOUT FRANCE C FCP 3DEC	AG	France
ATOUT PREM S ACTIONS 3DEC	AG	France
ATOUT VERT HORIZON FCP 3 DEC	AG	France
AXA EUR.SM.CAP E 3D	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
BA-FII EUR EQ O-GEUR	AG	Luxembourg
BFT FRAN FUT-C SI.3D	AG	France
BFT SEL RDT 23 PC	AG	France
BFT STATERE P (C)	AG	France
BNP PAR.CRED.ERSC	AG	France
CA MASTER EUROPE	AG	France
CA MASTER PATRIMOINE FCP 3DEC	AG	France
CADEISDA 2DEC	AG	France
CALIFORNIA 09	AG	France
CHORELIA N2 PART C	AG	France
CHORELIA N3 PART C	AG	Luxembourg
CHORELIA N4 PART C	AG	France
CHORELIA N5 PART C	AG	France
CHORELIA N6 PART C	AG	France
CHORELIA N7 C	AG	France
CHORELIA PART C	AG	France
CPR CONSO ACTIONNAIRE FCP P	AG	France
CPR CROIS.REA. -P	AG	France
CPR EUR.HI.DIV.P 3D	AG	France
CPR EUROLAND ESG P	AG	France
CPR FOCUS INF. -P-3D	AG	France
CPR GLO SILVER AGE P	AG	France
CPR I-SM B C-AEURA	AG	Luxembourg
CPR OBLIG 12 M.P 3D	AG	France
CPR REF.ST.EPR.O-100 FCP 3DEC	AG	France
CPR REFL RESP 0-100 I 3DEC	AG	France
CPR REFL.RESP.O-100 P FCP 3DEC	AG	France
CPR REFLEX STRATEDIS 0-100 P 3D	AG	France
CPR RENAI.JAP. -P-3D	AG	France
CPR SILVER AGE P 3DEC	AG	France
CPR-CLIM ACT-AEURA	AG	Luxembourg
CPRGLDISOPARAC	AG	Luxembourg
ECOFI MULTI OPPORTUN.FCP 3DEC	AG	France
EPARINTER EURO BD	AG	France
EXAN.PLEI.FD P	AG	France
EXANE 1 OVERDR CC	AG	Luxembourg
FE AMUNDI INC BLDR-IHE C	AG	Luxembourg
FONDS AV ÉCHUS FIA A	AG	France
FONDS AV ÉCHUS FIA B	AG	France
FRANKLIN DIVER-DYN-I ACC EU	AG	Luxembourg
FRANKLIN GLB MLT-AS IN-IAEUR	AG	Luxembourg
GRD CAR 39 FCP	AG	France
GRD FCR 99 FCP	AG	France
GRD IFC 97 FCP	AG	France
HASTINGS PATRIM AC	AG	France
HYMNOS P 3D	AG	France
IGSF-GBL GOLD FD-I C	AG	Luxembourg
IND.CAP EMERG. -C-3D	AG	France
INDO ALLOC MANDAT C	AG	France
INDO-FII EUR CP-IEUR	AG	Luxembourg
INDOFIFLEXEG	AG	Luxembourg
INDO-GBL TR-PE	AG	Luxembourg
INDOS.EURO.PAT.PD 3D	AG	France
INDOSUEZ ALLOCATION	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
INDOSUEZ EURO DIV G	AG	Luxembourg
INDOSUEZ NAVIGATOR G	AG	Luxembourg
INDOSUEZSWZOPG	AG	Luxembourg
INVEST RESP S3 3D	AG	France
JPM US EQY ALL CAP-C HDG	AG	Luxembourg
JPM US SEL EQ PLS-CA EUR HD	AG	Luxembourg
JPMORGAN F-JPM US VALUE-CEHA	AG	Luxembourg
JPMORGAN F-US GROWTH-C AHD	AG	Luxembourg
LCL CREDIT ERSC 3D	AG	France
LCL 3 TEMPO AV 11/16	AG	France
LCL 6 HORIZ. AV 0615	AG	France
LCL AC.DEV.DU.EURO	AG	France
LCL AC. ÉMERGENTS 3D	AG	France
LCL AC.MDE HS EU.3D	AG	France
LCL ACT RES NATUREL	AG	France
LCL ACT.E-U ISR 3D	AG	France
LCL ACT.IMMOBI.3D	AG	France
LCL ACT.OR MONDE	AG	France
LCL ACT.USA ISR 3D	AG	France
LCL ACTIONS EURO C	AG	France
LCL ACTIONS EURO FUT	AG	France
LCL ACTIONS MONDE FCP 3 DEC	AG	France
LCL ALLOCATION DYNAMIQUE 3D FCP	AG	France
LCL AUTOCALL VIE 17	AG	France
LCL DEVELOPPEM.PME C	AG	France
LCL DOUBLE HORIZON A	AG	France
LCL FLEX 30	AG	France
LCL FO.SE.FR.AV(AV11) FCP 3DEC	AG	France
LCL INVEST.EQ C	AG	France
LCL INVEST.PRUD.3D	AG	France
LCL L.GR.B.AV 17 C	AG	France
LCL MGEST 60 3DEC	AG	France
LCL MGEST FL.O-100	AG	France
LCL OBL.CREDIT EURO	AG	France
LCL OPTIM II VIE 17	AG	France
LCL PREMIUM VIE 2015	AG	France
LCL TRI ESC AV 0118	AG	France
LCL TRIPLE TE AV OC	AG	France
LCL TRIPLE TEMPO AV (FEV.2015)	AG	France
LCL TRP HOZ AV 0117	AG	France
LOUVOIS PLACEMENT	AG	France
M.D.F.89 FCP	AG	France
OBJECTIF DYNAMISME FCP	AG	France
OBJECTIF MEDIAN FCP	AG	France
OBJECTIF PRUDENCE FCP	AG	France
OPCIMMO LCL SPPICAV 5DEC	AG	France
OPCIMMO PREM SPPICAV 5DEC	AG	France
OPTALIME FCP 3DEC	AG	France
PIMCO GLOBAL BND FD-CURNC EX	AG	Ireland
PORT EX ABS RET P	AG	France
PORT.METAUX PREC.A-C	AG	France
PORTF DET FI EUR AC	AG	France
RAVIE FCP 5DEC	AG	France
RETAH PART C	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
RSD 2006 FCP 3DEC	AG	France
SCI TANGRAM	AG	France
SCI VICQ D'AZIR VELLEFAUX	AG	France
SCPI LFP MULTIMMO	AG	France
SOLIDARITE AMUNDI P	AG	France
SOLIDARITE INITIATIS SANTÉ	AG	France
SONANCE VIE 2 FCP 3DEC	AG	France
SONANCE VIE 3 3DEC	AG	France
SONANCE VIE 3DEC	AG	France
SONANCE VIE 4 FCP	AG	France
SONANCE VIE 5 FCP 3DEC	AG	France
SONANCE VIE 6 FCP	AG	France
SONANCE VIE 9	AG	France
TRIAN 6 ANS N10 C	AG	France
TRIANANCE 6 ANS	AG	France
TRIANANCE 6 ANS 5 C	AG	France
TRIANANCE 6 ANS N 11	AG	France
TRIANANCE 6 ANS N 4	AG	France
TRIANANCE 6 ANS N 9	AG	France
TRIANANCE 6 ANS N2 C	AG	France
TRIANANCE 6 ANS N3	AG	France
TRIANANCE 6 ANS N6	AG	France
TRIANANCE 6 ANS N7 C	AG	France
TRIANANCE 6 ANS N8 C	AG	France
TRIANANCE 6 AN 12 C	AG	France
UNIPIERRE ASSURANCE (SCPI)	AG	France
VENDÔME INV.FCP 3DEC	AG	France
Nexus 1	AG	Italy
OPCI CAA CROSSROADS	AG	France
OPCI Camp Invest	AG	France
OPCI ECO CAMPUS SPPICAV	AG	France
OPCI Immanens	AG	France
OPCI Immo Emissions	AG	France
OPCI Iris Invest 2010	AG	France
OPCI MASSY BUREAUX	AG	France
OPCI Messidor	AG	France
Predica OPCI Bureau	AG	France
Predica OPCI Commerces	AG	France
Predica OPCI Habitation	AG	France
B IMMOBILIER	AG	France
DS Campus	AG	France
HDP BUREAUX	AG	France
HDP HÔTEL	AG	France
HDP LA HALLE BOCA	AG	France
IMEFA 177	AG	France
IMEFA 178	AG	France
IMEFA 179	AG	France
Issy Pont	AG	France
SCI BMEDIC HABITATION	AG	France
SCI CAMPUS MÉDICIS SAINT-DENIS	AG	France
SCI CAMPUS RIMBAUD SAINT-DENIS	AG	France
SCI FÉDÉRALE PÉREIRE VICTOIRE	AG	France
SCI FÉDÉRALE VILLIERS	AG	France
SCI FEDERLOG	AG	France
SCI FEDERLONDRES	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
SCI FEDERPIERRE	AG	France
SCI GRENIER VELLEF	AG	France
SCI Holding Dahlia	AG	France
SCI IMEFA 001	AG	France
SCI IMEFA 002	AG	France
SCI IMEFA 003	AG	France
SCI IMEFA 004	AG	France
SCI IMEFA 005	AG	France
SCI IMEFA 006	AG	France
SCI IMEFA 008	AG	France
SCI IMEFA 009	AG	France
SCI IMEFA 010	AG	France
SCI IMEFA 011	AG	France
SCI IMEFA 012	AG	France
SCI IMEFA 013	AG	France
SCI IMEFA 016	AG	France
SCI IMEFA 017	AG	France
SCI IMEFA 018	AG	France
SCI IMEFA 020	AG	France
SCI IMEFA 022	AG	France
SCI IMEFA 025	AG	France
SCI IMEFA 032	AG	France
SCI IMEFA 033	AG	France
SCI IMEFA 034	AG	France
SCI IMEFA 035	AG	France
SCI IMEFA 036	AG	France
SCI IMEFA 037	AG	France
SCI IMEFA 038	AG	France
SCI IMEFA 039	AG	France
SCI IMEFA 042	AG	France
SCI IMEFA 043	AG	France
SCI IMEFA 044	AG	France
SCI IMEFA 047	AG	France
SCI IMEFA 048	AG	France
SCI IMEFA 051	AG	France
SCI IMEFA 052	AG	France
SCI IMEFA 054	AG	France
SCI IMEFA 057	AG	France
SCI IMEFA 058	AG	France
SCI IMEFA 060	AG	France
SCI IMEFA 061	AG	France
SCI IMEFA 062	AG	France
SCI IMEFA 063	AG	France
SCI IMEFA 064	AG	France
SCI IMEFA 067	AG	France
SCI IMEFA 068	AG	France
SCI IMEFA 069	AG	France
SCI IMEFA 072	AG	France
SCI IMEFA 073	AG	France
SCI IMEFA 074	AG	France
SCI IMEFA 076	AG	France
SCI IMEFA 077	AG	France
SCI IMEFA 078	AG	France
SCI IMEFA 079	AG	France
SCI IMEFA 080	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
SCI IMEFA 081	AG	France
SCI IMEFA 082	AG	France
SCI IMEFA 083	AG	France
SCI IMEFA 084	AG	France
SCI IMEFA 085	AG	France
SCI IMEFA 089	AG	France
SCI IMEFA 091	AG	France
SCI IMEFA 092	AG	France
SCI IMEFA 096	AG	France
SCI IMEFA 100	AG	France
SCI IMEFA 101	AG	France
SCI IMEFA 102	AG	France
SCI IMEFA 103	AG	France
SCI IMEFA 104	AG	France
SCI IMEFA 105	AG	France
SCI IMEFA 107	AG	France
SCI IMEFA 108	AG	France
SCI IMEFA 109	AG	France
SCI IMEFA 110	AG	France
SCI IMEFA 112	AG	France
SCI IMEFA 113	AG	France
SCI IMEFA 115	AG	France
SCI IMEFA 116	AG	France
SCI IMEFA 117	AG	France
SCI IMEFA 118	AG	France
SCI IMEFA 120	AG	France
SCI IMEFA 121	AG	France
SCI IMEFA 122	AG	France
SCI IMEFA 123	AG	France
SCI IMEFA 126	AG	France
SCI IMEFA 128	AG	France
SCI IMEFA 129	AG	France
SCI IMEFA 131	AG	France
SCI IMEFA 132	AG	France
SCI IMEFA 140	AG	France
SCI IMEFA 148	AG	France
SCI IMEFA 149	AG	France
SCI IMEFA 150	AG	France
SCI IMEFA 155	AG	France
SCI IMEFA 156	AG	France
SCI IMEFA 157	AG	France
SCI IMEFA 158	AG	France
SCI IMEFA 159	AG	France
SCI IMEFA 164	AG	France
SCI IMEFA 169	AG	France
SCI IMEFA 170	AG	France
SCI IMEFA 171	AG	France
SCI IMEFA 172	AG	France
SCI IMEFA 173	AG	France
SCI IMEFA 174	AG	France
SCI IMEFA 175	AG	France
SCI IMEFA 176	AG	France
SCI LE VILLAGE VICTOR HUGO	AG	France
SCI MEDI BUREAUX	AG	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
SCI PACIFICA HUGO	AG	France
SCI PORTE DES LILAS – FRÈRES FLAVIEN	AG	France
SCI VALHUBERT	AG	France
SCI VAUGIRARD 36-44	AG	France
ALTA VAI HOLDCO P	AG	France
AMUNDI IT Services	AG	France
Azqore	AG	Switzerland
Azqore SA Singapore Branch	AG	Singapore
CA Indosuez Wealth (Asset Management)	AG	Luxembourg
Crédit Agricole Assurances Solutions	AG	France
EUROPEAN MOTORWAY INVESTMENTS 1	AG	Luxembourg
FIXED INCOME DERIVATIVES – STRUCTURED FUND PLC	AG	Ireland
HOLDING EUROMARSEILLE	AG	France
IRIS HOLDING FRANCE	AG	France
PREDICA ÉNERGIES DURABLES	AG	France
PREDICA INFRASTRUCTURE SA	AG	Luxembourg
PREDIPARK	AG	France
PREDIWATT	AG	France
SA RESICO	AG	France
SAS PREDI-RUNGIS	AG	France
SH PREDICA ÉNERGIES DURABLES SAS	AG	France
VAUGIRARD AUTOVIA SLU	AG	Spain
Vaugirard Infra S.L.	AG	Spain
Via Vita	AG	France
AD SUCCURSALE	SFS	Morocco
Agos	SFS	Italy
Alsolia	SFS	France
Crealfi	SFS	France
Credibom	SFS	Portugal
Crediet Maatschappij “De Ijssel” B.V.	SFS	Netherlands
Crédit Agricole Consumer Finance	SFS	France
Crédit LIFT	SFS	France
Creditplus Bank AG	SFS	Germany
De Kredietdesk B.V.	SFS	Netherlands
DE NEDERLANDSE VOORSCHOTBANK BV	SFS	Netherlands
EFL Services	SFS	Poland
HAMA POLSKA	SFS	Poland
EUROFACTOR GmbH	SFS	Germany
Eurofactor Italia S.p.A.	SFS	Italy
EUROFACTOR NEDERLAND	SFS	Pays-bas
EUROFACTOR POLSKA S.A.	SFS	Poland
Eurofactor SA – NV (Benelux)	SFS	Belgium
Eurofactor S.A. (Portugal)	SFS	Portugal
Eurofintus Financieringen B.V.	SFS	Netherlands
Finaref Assurances S.A.S.	SFS	France
Finata Zuid-Nederland B.V.	SFS	Netherlands
GSA Ltd	SFS	Maurice
IDM Finance B.V.	SFS	Netherlands
IDM Financieringen B.V.	SFS	Netherlands
IDM lease maatschappij B.V.	SFS	Netherlands
Lebe Lease B.V.	SFS	Netherlands
INTERBANK NV	SFS	Netherlands
INTERMEDIAIRE VOORSCHOTBANK BV	SFS	Netherlands

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
Krediet '78 B.V.	SFS	Netherlands
Mahuko Financieringen B.V.	SFS	Netherlands
Menafinance	SFS	France
NL Findio B.V.	SFS	Netherlands
RIBANK NV	SFS	Netherlands
Sofinco Participations	SFS	France
Société Européenne de Développement d'Assurances	SFS	France
Société Européenne de Développement du Financement	SFS	France
VoordeelBank B.V.	SFS	Netherlands
Auxifip	SFS	France
Carefleet S.A.	SFS	Poland
Crédit Agricole Leasing & Factoring	SFS	France
Crédit Agricole Leasing & Factoring, Sucursal en España	SFS	Spain
Crédit du Maroc Leasing et Factoring	SFS	Morocco
Europejski Fundusz Leasingowy (E.F.L.)	SFS	Poland
Finamur	SFS	France
Lixxbail	SFS	France
Lixxcourtage	SFS	France
Lixxcredit	SFS	France
Unifergie	SFS	France
ARES Reinsurance Ltd	SFS	Ireland
EFL Finance S.A.	SFS	Poland
EFL Lease Abs 2017-1 Designated Activity Company	SFS	Ireland
FCT GINGKO DEBT CONSO 2015-1	SFS	France
FCT GINGKO PERSONAL LOANS 2016-1	SFS	France
FCT GINGKO PERSONAL LOANS 2020-01	SFS	France
FCT GINGKO SALES FINANCE 2015-1	SFS	France
FCT GINGKO MASTER REVOLVING LOANS	SFS	France
FCT GINGKO SALES FINANCE 2017-1	SFS	France
MAGOI BV	SFS	Netherlands
MATSUBA BV	SFS	Netherlands
RETAIL AUTOMOTIVE CP GERMANY 2016 UG	SFS	Germany
SUNRISE SPV 20 SRL	SFS	Italy
SUNRISE SPV 30 SRL	SFS	Italy
SUNRISE SPV 40 SRL	SFS	Italy
SUNRISE SPV 50 SRL	SFS	Italy
SUNRISE SPV Z60 SRL	SFS	Italy
SUNRISE SPV Z70 SRL	SFS	Italy
SUNRISE SPV Z80 SRL	SFS	Italy
SUNRISE SPV Z90 SRL	SFS	Italy
SUNRISE SRL	SFS	Italy
THETIS FINANCE 2015-1	SFS	Portugal
AGOSCOM S.R.L.	SFS	Italy
Banco Crédit Agricole Brasil S.A.	LC	Brazil
CACEIS Bank	LC	France
CACEIS Bank S.A., Germany Branch	LC	Germany
CACEIS Bank, Belgium Branch	LC	Belgium
CACEIS Bank, Ireland Branch	LC	Ireland
CACEIS Bank, Italy Branch	LC	Italy
CACEIS Bank, Luxembourg Branch	LC	Luxembourg

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
CACEIS Bank, Netherlands Branch	LC	Netherlands
CACEIS Bank, Switzerland Branch	LC	Switzerland
CACEIS Bank, UK Branch	LC	United Kingdom
CACEIS Belgium	LC	Belgium
CACEIS Corporate Trust	LC	France
CACEIS Fund Administration	LC	France
CACEIS FUND ADMINISTRATION SPAIN S.A.U	LC	Spain
CACEIS Ireland Limited	LC	Ireland
CACEIS S.A.	LC	France
CACEIS Switzerland S.A.	LC	Switzerland
Crédit Agricole CIB (Belgique)	LC	Belgium
Crédit Agricole CIB (Abu Dhabi)	LC	United Arab Emirates
Crédit Agricole CIB (Allemagne)	LC	Germany
Crédit Agricole CIB (Canada)	LC	Canada
Crédit Agricole CIB (Corée du Sud)	LC	South Korea
Crédit Agricole CIB (Dubai DIFC)	LC	United Arab Emirates
Crédit Agricole CIB (Dubai)	LC	United Arab Emirates
Crédit Agricole CIB (Espagne)	LC	Spain
Crédit Agricole CIB (États-Unis)	LC	United States
Crédit Agricole CIB (Finlande)	LC	Finland
Crédit Agricole CIB (Hong-Kong)	LC	Hong Kong
Crédit Agricole CIB (Inde)	LC	India
Crédit Agricole CIB (Italie)	LC	Italy
Crédit Agricole CIB (Japon)	LC	Japan
Crédit Agricole CIB (Royaume-Uni)	LC	United Kingdom
Crédit Agricole CIB (Singapour)	LC	Singapore
Crédit Agricole CIB (Suède)	LC	Sweden
Crédit Agricole CIB (Taipei)	LC	Taiwan
Crédit Agricole CIB Algérie Bank Spa	LC	Algeria
Crédit Agricole CIB AO	LC	Russia
Crédit Agricole CIB Australia Ltd	LC	Australia
Crédit Agricole CIB China Ltd	LC	China
Crédit Agricole CIB China Ltd Chinese Branch	LC	China
Crédit Agricole CIB S.A.	LC	France
Crédit Agricole CIB Services Private Ltd	LC	India
ESTER FINANCE TECHNOLOGIES	LC	France
KAS Bank N.V.	LC	Netherlands
KAS Bank N.V. Frankfurt Branch	LC	Germany
KAS Bank N.V. London Branch	LC	United Kingdom
KAS Trust & Depositary Services B.V. Amsterdam	LC	Netherlands
CACEIS BANK SPAIN, S.A.U.	LC	Spain
Crédit Agricole Securities (Asia) Limited Hong Kong	LC	Hong Kong
Crédit Agricole Securities (Asia) Limited Seoul Branch	LC	South Korea
Crédit Agricole Securities (USA) Inc.	LC	United States
Crédit Agricole Securities Asia BV (Tokyo)	LC	Japan
Compagnie Française de l'Asie (CFA)	LC	France
Crédit Agricole CIB Air Finance S.A.	LC	France
Crédit Agricole CIB Holdings Ltd	LC	United Kingdom
Crédit Agricole Global Partners Inc.	LC	United States
Crédit Agricole Securities Asia BV	LC	Netherlands

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
Doumer Finance S.A.S.	LC	France
Fininvest	LC	France
Fletirec	LC	France
CAIRS Assurance S.A.	LC	France
Atlantic Asset Securitization LLC	LC	United States
Benelpart	LC	Belgium
Calixis Finance	LC	France
Calliope SRL	LC	Italy
Clifap	LC	France
Crédit Agricole America Services Inc.	LC	United States
Crédit Agricole Asia Shipfinance Ltd	LC	Hong Kong
Crédit Agricole CIB Finance (Guernesey) Ltd	LC	Guernsey
Crédit Agricole CIB Finance Luxembourg S.A.	LC	Luxembourg
Crédit Agricole CIB Financial Solutions	LC	France
Crédit Agricole CIB Global Banking	LC	France
Crédit Agricole CIB Pension Limited Partnership	LC	United Kingdom
Crédit Agricole CIB Transactions	LC	France
Crédit Agricole Leasing (USA) Corp.	LC	United States
DGAD International SARL	LC	Luxembourg
ESNI (compartiment Crédit Agricole CIB)	LC	France
Eucalyptus FCT	LC	France
FCT CFN DIH	LC	France
FIC-FIDC	LC	Brazil
Financière des Scarabées	LC	Belgium
Financière Lumis	LC	France
Fundo A De Investimento Multimercado	LC	Brazil
Héphaïstos EUR FCC	LC	France
Héphaïstos GBP FCT	LC	France
Héphaïstos Multidevises FCT	LC	France
Héphaïstos USD FCT	LC	France
Investor Service House S.A.	LC	Luxembourg
ItalAsset Finance SRL	LC	Italy
La Fayette Asset Securitization LLC	LC	United States
La Route Avance	LC	France
Lafina	LC	Belgium
LMA SA	LC	France
Merisma	LC	France
Molinier Finances	LC	France
Pacific EUR FCC	LC	France
Pacific IT FCT	LC	France
Pacific USD FCT	LC	France
Partinvest S.A.	LC	Luxembourg
Placements et réalisations immobilières (SNC)	LC	France
Sagrantino Italy SRL	LC	Italy
Shark FCC	LC	France
Sinefinair B.V.	LC	Netherlands
SNGI	LC	France
SNGI Belgium	LC	Belgium
Sococlabeq	LC	Belgium
Sofipac	LC	Belgium
Sufinair B.V.	LC	Netherlands
TCB	LC	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
Triple P FCC	LC	France
TSUBAKI OFF (FCT)	LC	France
TSUBAKI ON (FCT)	LC	France
Vulcain EUR FCT	LC	France
Vulcain Multi-Devises FCT	LC	France
Vulcain USD FCT	LC	France
CACIB Qatar Financial Center Branch	LC	Qatar
Crédit Agricole S.A.	CC	France
Succursale Crédit Agricole S.A.	CC	United Kingdom
Caisse régionale de Crédit Agricole mutuel de la Corse	CC	France
CL Développement de la Corse	CC	France
Crédit Agricole Home Loan SFH	CC	France
Foncaris	CC	France
Radian	CC	France
Crédit Agricole Capital Investissement et Finance (CACIF)	CC	France
Delfinances	CC	France
S.A.S. La Boétie	CC	France
Sacam Assurances Cautions	CC	France
Sacam Développement	CC	France
Sacam Fireca	CC	France
Sacam Immobilier	CC	France
Sacam International	CC	France
Sacam Mutualisation	CC	France
Sacam Participations	CC	France
Sodica	CC	France
AMUNDI CA 15/01/2020	CC	France
AMUNDI CA 13/01/2021	CC	France
BFT LCR	CC	France
BFT LCR NIVEAU 2	CC	France
CA Grands Crus	CC	France
Cariou Holding	CC	France
CPR EuroGov LCR	CC	France
Crédit Agricole – Group Infrastructure Platform	CC	France
Crédit Agricole Agriculture	CC	France
Crédit Agricole Immobilier	CC	France
Crédit Agricole Payment Services	CC	France
Crédit Agricole Public Sector SCF	CC	France
Crédit Agricole Régions Développement	CC	France
Crédit Agricole Technologies et Services	CC	France
DELTA	CC	France
ESNI (compartiment Crédit Agricole S.A.)	CC	France
FCT Crédit Agricole Habitat 2015 Compartiment Corse	CC	France
FCT Crédit Agricole Habitat 2017 Compartiment Corse	CC	France
FCT Crédit Agricole Habitat 2018 Compartiment Corse	CC	France
FCT Crédit Agricole Habitat 2019 Compartiment Corse	CC	France
FCT Crédit Agricole Habitat 2020 Compartiment Corse	CC	France
FIRECA	CC	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
Grands Crus Investissements (GCI)	CC	France
IDIA	CC	France
IDIA DÉVELOPPEMENT	CC	France
IDIA PARTICIPATIONS	CC	France
Paymed	CC	France
PORTOFOLIO LCR 50	CC	France
PORTFOLIO LCR 80 GREEN BONDS	CC	France
PORTFOLIO LCR CREDIT	CC	France
PORTOFOLIO LCR CREDIT JUIN 2023	CC	France
PORTFOLIO LCR GOV	CC	France
PORTFOLIO LCR GOV 4A	CC	France
S.A.S. Evergreen Montrouge	CC	France
S.A.S. Sacam Avenir	CC	France
Santeffi	CC	France
SCI D2 CAM	CC	France
SCI Quentyvel	CC	France
SNC Kalliste Assur	CC	France

Crédit Agricole Group scope of consolidation	Type of business	Geographic location
Société d'Épargne Foncière Agricole (SEFA)	CC	France
Uni-medias	CC	France
Crédit Agricole Immobilier Promotion	CC	France
Crédit Agricole Immobilier Services	CC	France
SO.GI.CO	CC	France

FRB: French Retail Banking.

AG: Asset Gathering.

IRB: International Retail Banking.

SFS: Specialised Financial Services.

LC: Large customers.

CC: Corporate Centre.

Excluded are:

- entities consolidated using the equity method, except for equity accounted Insurance entities, which contribute to revenues (financial investments);
- IFRS 5.

MATERIAL CHANGES

The financial statements for financial year 2020 were approved by the Board of Directors at its meeting of 10 February 2021. Crédit Agricole CIB has received information after the financial statements were approved by its Board of Directors, specifying the tax treatment of transactions carried

out abroad. The estimate of these uncertain tax positions will be reviewed in the first quarter of 2021. The favourable impact of this review on Crédit Agricole Group's effective tax rate in 2021 would, on a 2020 basis and all other things being equal, be around 1%.

TRANSACTIONS WITH RELATED PARTIES

The main transactions entered into with related parties are disclosed in the consolidated financial statements as at 31 December 2020 in the "General framework – Related parties" section.

In addition, in accordance with paragraph 13 of article L. 225-102-1 of the French Commercial Code (*Code de commerce*), please note that no agreements were entered into, directly or through intermediaries, between,

(i) on the one hand, the Chief Executive Officer, any one of the Deputy Chief Executive Officers or Directors or shareholders of Crédit Agricole S.A. with more than 10% of the voting rights, and (ii) on the other, another company in which Crédit Agricole S.A. has, directly or indirectly, more than a 50% share capital interest unless, where appropriate, these agreements relate to ordinary arm's length transactions.

PERSON RESPONSIBLE FOR THE UNIVERSAL REGISTRATION DOCUMENT AND ITS AMENDMENTS

Mr Philippe Brassac, Chief Executive Officer of Crédit Agricole S.A.

STATEMENT BY THE PERSON RESPONSIBLE

I hereby certify that the information contained in the present Amendment to the Universal registration document is true and accurate and contains no omission likely to affect the import thereof.

I hereby certify that, to my knowledge, the consolidated financial statements have been prepared in accordance with applicable accounting standards and give a true and fair view of the assets, liabilities, financial position and results of the Company and all entities included in the consolidated Group, and the joined management report, provides a true and fair view of the development and performance of the business, profit or loss and financial position of the Company and all entities included in the consolidated Group, and it describes the main risks and principal uncertainties they face.

Montrouge, 1st April 2021

Chief Executive Officer of Crédit Agricole S.A.

Philippe Brassac

STATUTORY AUDITORS

Statutory Auditors

Ernst & Young et Autres	PricewaterhouseCoopers Audit
Company represented by Olivier Durand	Company represented by Anik Chaumartin
1-2, place des Saisons	63, rue de Villiers
92400 Courbevoie, Paris – La Défense 1	92208 Neuilly-sur-Seine
Statutory Auditors, Member, <i>Compagnie régionale des Commissaires aux comptes de Versailles</i>	Statutory Auditors, Member, <i>Compagnie régionale des Commissaires aux comptes de Versailles</i>

Ernst & Young et Autres was appointed Statutory Auditor under the name Barbier Frinault et Autres by the Ordinary General Meeting of 31 May 1994. This term of office was renewed for a further six years at the Combined General Meeting of 16 May 2018.

Ernst & Young et Autres is represented by Olivier Durand.

PricewaterhouseCoopers Audit was appointed Statutory Auditor by the Ordinary General Meeting of 19 May 2004. This term of office was renewed for a further six years at the Combined General Meeting of 16 May 2018.

PricewaterhouseCoopers Audit is represented by Anik Chaumartin.

The Crédit Agricole S.A. Board of Statutory Auditors remained unchanged in 2011/2012/2013/2014/2015/2016/2017/2018 and 2019. The signatories remained unchanged in 2011/2012/2013 and 2014, namely Valérie Meeus for Ernst & Young et Autres and Catherine Pariset for PricewaterhouseCoopers Audit. Since 2015, the signatory for PricewaterhouseCoopers Audit has been Anik Chaumartin, replacing Catherine Pariset. Since 2017, the signatory for Ernst & Young et Autres has been Olivier Durand, replacing Valérie Meeus.

Deputy Statutory Auditors

Picarle et Associés	Jean-Baptiste Deschryver
Company represented by Marc Charles	
1-2, place des Saisons	63, rue de Villiers
92400 Courbevoie, Paris – La Défense 1	92208 Neuilly-sur-Seine
Statutory Auditors, Member, <i>Compagnie régionale des Commissaires aux comptes de Versailles</i>	Statutory Auditors, Member, <i>Compagnie régionale des Commissaires aux comptes de Versailles</i>

Picarle et Associés was appointed Alternate Statutory Auditor for Ernst & Young et Autres by the Combined General Meeting of 17 May 2006. This term of office was renewed for a further six years at the Combined General Meeting of 16 May 2018.

Jean-Baptiste Deschryver was appointed Alternate Statutory Auditor for PricewaterhouseCoopers Audit by the Combined General Meeting of 16 May 2018.

CROSS-REFERENCE TABLE

CROSS REFERENCE TABLE OF THE AMENDEMENT
TO THE UNIVERSAL REGISTRATION DOCUMENT

This cross-reference table contains the headings provided for in Annex 1 (as referred to in Annex 2) of the Commission Delegated Regulation (EU) 2019/980 of the Commission as of 14 March 2019 supplementing Regulation (EU) 2017/1129 of the European Parliament and of the Council and repealing Commission Regulation (EC) No 809/2004 (Annex I), in application of the Directive, said "Prospectus". It refers to the pages of the present document, and reflects, in addition, the pages of the Universal registration document 2020 registered with the AMF on 24 March 2021 under the number D.21-0184.

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
Section 1	Persons responsible, third party information, experts' reports and competent authority approval	680	395
1.1	Identify all persons responsible for the information or any parts of it, given in the Registration document with, in the latter case, an indication of such parts. In the case of natural persons, including members of the issuer's administrative, management or supervisory bodies, indicate the name and function of the person; in the case of legal persons indicate the name and registered office.	680	395
1.2	A declaration by those responsible for the Registration document that to the best of their knowledge, the information contained in the Registration document is in accordance with the facts and that the Registration document makes no omission likely to affect its import. Where applicable, a declaration by those responsible for certain parts of the Registration document that, to the best of their knowledge, the information contained in those parts of the Registration document for which they are responsible is in accordance with the facts and that those parts of the Registration document make no omission likely to affect their import.	680	395
1.3	Where a statement or report attributed to a person as an expert, is included in the Registration document, provide the following details for that person: (a) name; (b) business address; (c) qualifications; (d) material interest if any in the issuer. If the statement or report has been produced at the issuer's request, state that such statement or report has been included in the Registration document with the consent of the person who has authorised the contents of that part of the Registration document for the purpose of the prospectus.	N/A	N/A
1.4	Where information has been sourced from a third party, provide a confirmation that this information has been accurately reproduced and that as far as the issuer is aware and is able to ascertain from information published by that third party, no facts have been omitted which would render the reproduced information inaccurate or misleading. In addition, identify the source(s) of the information.	N/A	N/A
1.5	A statement that: (a) the [Registration document/prospectus] has been approved by the [name of the competent authority], as competent authority under Regulation (EU) 2017/1129; (b) the [name of competent authority] only approves this [Registration document/prospectus] as meeting the standards of completeness, comprehensibility and consistency imposed by Regulation (EU) 2017/1129; (c) such approval should not be considered as an endorsement of the issuer that is the subject of this [Registration document/prospectus].	N/A	N/A
Section 2	Statutory auditors	680	396
2.1	Names and addresses of the issuer's auditors for the period covered by the historical financial information (together with their membership in a professional body).	680	396
2.2	If auditors have resigned, been removed or have not been re-appointed during the period covered by the historical financial information, indicate details if material.	N/A	N/A
Section 3	Risk factors	256 to 268	43 to 55
3.1	A description of the material risks that are specific to the issuer, in a limited number of categories, in a section headed "Risk Factors". In each category, the most material risks, in the assessment undertaken by the issuer, offeror or person asking for admission to trading on a regulated market, taking into account the negative impact on the issuer and the probability of their occurrence shall be set out first. The risks shall be corroborated by the content of the Registration document.	256 to 268	43 to 55

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
Section 4	Information about the issuer	410; 650 to 657	201; 3
4.1	The legal and commercial name of the issuer.	410; 650	3
4.2	The place of registration of the issuer, its registration number and legal entity identifier ("LEI").	410; 650	N/A
4.3	The date of incorporation and the length of life of the issuer, except where the period is indefinite.	410; 650	N/A
4.4	The domicile and legal form of the issuer, the legislation under which the issuer operates, its country of incorporation, the address, telephone number of its registered office (or principal place of business if different from its registered office) and website of the issuer, if any, with a disclaimer that the information on the website does not form part of the prospectus unless that information is incorporated by reference into the prospectus.	41; 650 to 657; 692	N/A
Section 5	Business overview		
5.1	Principal activities.	14 to 28; 497 to 498	9 to 11
5.1.1	A description of, and key factors relating to, the nature of the issuer's operations and its principal activities, stating the main categories of products sold and/or services performed for each financial year for the period covered by the historical financial information.	14 to 28; 497 to 498; 230-231; 234 to 244	9 to 16; 19-21; 284 to 289
5.1.2	An indication of any significant new products and/or services that have been introduced and, to the extent the development of new products or services has been publicly disclosed, give the status of their development.	446 and 658	233
5.2	Principal markets A description of the principal markets in which the issuer competes, including a breakdown of total revenues by operating segment and geographic market for each financial year for the period covered by the historical financial information.	11; 16 to 28; 497-498; 614 to 615	6; 12 to 16; 284; 285
5.3	The important events in the development of the issuer's business.	29 to 32; 422 to 423; 448 and 449; 565 to 579; 658	210 to 211; 236 to 237; 348 to 366
5.4	Strategy and objectives A description of the issuer's business strategy and objectives, both financial and non-financial (if any). This description shall take into account the issuer's future challenges and prospects.	249 to 252	39 to 41
5.5	If material to the issuer's business or profitability, summary information regarding the extent to which the issuer is dependent, on patents or licences, industrial, commercial or financial contracts or new manufacturing processes.	315	100
5.6	The basis for any statements made by the issuer regarding its competitive position.	10	5
5.7	Investments.	29 to 31; 422 to 423; 448 and 449; 565 to 579; 658	210 to 211; 236 to 237; 348 to 366
5.7.1	A description, (including the amount) of the issuer's material investments for each financial year for the period covered by the historical financial information up to the date of the Registration document.	29 to 31; 448 and 449; 658	236 to 237
5.7.2	A description of any material investments of the issuer that are in progress or for which firm commitments have already been made, including the geographic distribution of these investments (home and abroad) and the method of financing (internal or external).	658	N/A
5.7.3	Information relating to the joint ventures and undertakings in which the issuer holds a proportion of the capital likely to have a significant effect on the assessment of its own assets and liabilities, financial position or profits and losses.	523 to 525	307 to 310
5.7.4	A description of any environmental issues that may affect the issuer's utilisation of the tangible fixed assets.	45 to 50	N/A
Section 6	Organisational structure		
6.1	If the issuer is part of a group, a brief description of the group and the issuer's position within the group. This may be in the form of, or accompanied by, a diagram of the organisational structure if this helps to clarify the structure.	5	3
6.2	A list of the issuer's significant subsidiaries, including name, country of incorporation or residence, the proportion of ownership interest held and, if different, the proportion of voting power held.	414-415; 566 to 579; 618 to 621	349 to 366

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
Section 7 Operating and financial review			
7.1	Financial condition.	416 to 423; 596 to 598	205 to 211
7.1.1	To the extent not covered elsewhere in the Registration document and to the extent necessary for an understanding of the issuer's business as a whole, a fair review of the development and performance of the issuer's business and of its position for each year and interim period for which historical financial information is required, including the causes of material changes. The review shall be a balanced and comprehensive analysis of the development and performance of the issuer's business and of its position, consistent with the size and complexity of the business. To the extent necessary for an understanding of the issuer's development, performance or position, the analysis shall include both financial and, where appropriate, non-financial Key Performance Indicators relevant to the particular business. The analysis shall, where appropriate, include references to, and additional explanations of, amounts reported in the annual financial statements.	230 to 248	21 to 37
7.1.2	To the extent not covered elsewhere in the Registration document and to the extent necessary for an understanding of the issuer's business as a whole, the review shall also give an indication of: (a) the issuer's likely future development; (b) activities in the field of research and development. The requirements set out in item 7.1 may be satisfied by the inclusion of the management report referred to in Articles 19 and 29 of Directive 2013/34/EU of the European Parliament and of the Council ⁽¹⁾ .	248 to 252	38 to 41
7.2	Operating results.	416; 598	205
7.2.1	Information regarding significant factors, including unusual or infrequent events or new developments, materially affecting the issuer's income from operations and indicate the extent to which income was so affected.	230 to 234	21 to 25
7.2.2	Where the historical financial information discloses material changes in net sales or revenues, provide a narrative discussion of the reasons for such changes.	N/A	N/A
Section 8 Capital resources			
8.1	Information concerning the issuer's capital resources (both short term and long term).	9; 33 to 40; 233; 250; 318 to 335; 419 to 421; 537 to 539; 597 and 633	3; 5 to 8; 36; 102 to 128; 207 to 209; 210 to 211; 275; 281 to 283
8.2	An explanation of the sources and amounts of and a narrative description of the issuer's cash flows.	422-423	210-211
8.3	Information on the borrowing requirements and funding structure of the issuer.	233-234; 297 to 302; 478 to 480	24; 84 to 89; 265 to 267
8.4	Information regarding any restrictions on the use of capital resources that have materially affected, or could materially affect, directly or indirectly, the issuer's operations.	318 to 324; 448; 565	102 to 121; 348 to 370
8.5	Information regarding the anticipated sources of funds needed to fulfil commitments referred to in item 5.7.2.	658 to 660	N/A
Section 9 Regulatory environment			
9.1	A description of the regulatory environment that the issuer operates in and that may materially affect its business, together with information regarding any governmental, economic, fiscal, monetary or political policies or factors that have materially affected, or could materially affect, directly or indirectly, the issuer's operations.	425 to 442; 446 to 448	213 to 230; 233 to 235
Section 10 Trend information			
10.1	A description of: (a) the most significant recent trends in production, sales and inventory, and costs and selling prices since the end of the last financial year to the date of the Registration document; (b) any significant change in the financial performance of the group since the end of the last financial period for which financial information has been published to the date of the Registration document, or provide an appropriate negative statement.	248-252; 659	38 to 41
10.2	Information on any known trends, uncertainties, demands, commitments or events that are reasonably likely to have a material effect on the issuer's prospects for at least the current financial year.	248-252; 659	38 to 41

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
Section 11			
11.1	Where an issuer has published a profit forecast or a profit estimate (which is still outstanding and valid) that forecast or estimate shall be included in the Registration document. If a profit forecast or profit estimate has been published and is still outstanding, but no longer valid, then provide a statement to that effect and an explanation of why such forecast or estimate is no longer valid. Such an invalid forecast or estimate is not subject to the requirements in items 11.2 and 11.3.	N/A	N/A
11.2	Where an issuer chooses to include a new profit forecast or a new profit estimate, or a previously published profit forecast or a previously published profit estimate pursuant to item 11.1, the profit forecast or estimate shall be clear and unambiguous and contain a statement setting out the principal assumptions upon which the issuer has based its forecast, or estimate. The forecast or estimate shall comply with the following principles: (a) there must be a clear distinction between assumptions about factors which the members of the administrative, management or supervisory bodies can influence and assumptions about factors which are exclusively outside the influence of the members of the administrative, management or supervisory bodies; (b) the assumptions must be reasonable, readily understandable by investors, specific and precise and not relate to the general accuracy of the estimates underlying the forecast; (c) in the case of a forecast, the assumptions shall draw the investor's attention to those uncertain factors which could materially change the outcome of the forecast.	N/A	N/A
11.3	The prospectus shall include a statement that the profit forecast or estimate has been compiled and prepared on a basis which is both: (a) comparable with the historical financial information; (b) consistent with the issuer's accounting policies.	N/A	N/A
Section 12 Administrative, management and supervisory bodies and senior management			
12.1	Names, business addresses and functions within the issuer of the following persons and an indication of the principal activities performed by them outside of that issuer where these are significant with respect to that issuer: (a) members of the administrative, management or supervisory bodies; (b) partners with unlimited liability, in the case of a limited partnership with a share capital; (c) founders, if the issuer has been established for fewer than five years; (d) any senior manager who is relevant to establishing that the issuer has the appropriate expertise and experience for the management of the issuer's business. Details of the nature of any family relationship between any of the persons referred to in points (a) to (d). In the case of each member of the administrative, management or supervisory bodies of the issuer and of each person referred to in points (b) and (d) of the first subparagraph, details of that person's relevant management expertise and experience and the following information: (a) the names of all companies and partnerships where those persons have been a member of the administrative, management or supervisory bodies or partner at any time in the previous five years, indicating whether or not the individual is still a member of the administrative, management or supervisory bodies or partner. It is not necessary to list all the subsidiaries of an issuer of which the person is also a member of the administrative, management or supervisory bodies; (b) details of any convictions in relation to fraudulent offences for at least the previous five years; (c) details of any bankruptcies, receiverships, liquidations or companies put into administration in respect of those persons described in points (a) and (d) of the first subparagraph who acted in one or more of those capacities for at least the previous five years; (d) details of any official public incrimination and/or sanctions involving such persons by statutory or regulatory authorities (including designated professional bodies) and whether they have ever been disqualified by a court from acting as a member of the administrative, management or supervisory bodies of an issuer or from acting in the management or conduct of the affairs of any issuer for at least the previous five years. If there is no such information required to be disclosed, a statement to that effect is to be made.	115 to 129; 148 to 176	N/A
12.2	Administrative, management and supervisory bodies and senior management conflicts of interests. Potential conflicts of interests between any duties to the issuer, of the persons referred to in item 12.1, and their private interests and or other duties must be clearly stated. In the event that there are no such conflicts, a statement to that effect must be made. Any arrangement or understanding with major shareholders, customers, suppliers or others, pursuant to which any person referred to in item 12.1 was selected as a member of the administrative, management or supervisory bodies or member of senior management. Details of any restrictions agreed by the persons referred to in item 12.1 on the disposal within a certain period of time of their holdings in the issuer's securities.	125 to 127; 177	N/A

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
Section 13 Remuneration and benefits			
In relation to the last full financial year for those persons referred to in points (a) and (d) of the first subparagraph of item 12.1:			
13.1	The amount of remuneration paid (including any contingent or deferred compensation), and benefits in kind granted to such persons by the issuer and its subsidiaries for services in all capacities to the issuer and its subsidiaries by any person. That information must be provided on an individual basis unless individual disclosure is not required in the issuer's home country and is not otherwise publicly disclosed by the issuer.	119 to 121; 136 to 137; 178 to 218; 542 to 545; 641	325-328
13.2	The total amounts set aside or accrued by the issuer or its subsidiaries to provide for pension, retirement or similar benefits.	136-137; 191-193; 203; 207-216; 542 to 545; 612	325-328
Section 14 Board practices			
In relation to the issuer's last completed financial year, and unless otherwise specified, with respect to those persons referred to in point (a) of the first subparagraph of item 12.1:			
14.1	Date of expiration of the current term of office, if applicable, and the period during which the person has served in that office.	148-176	N/A
14.2	Information about members of the administrative, management or supervisory bodies' service contracts with the issuer or any of its subsidiaries providing for benefits upon termination of employment, or an appropriate statement to the effect that no such benefits exist.	177	N/A
14.3	Information about the issuer's audit committee and remuneration committee, including the names of committee members and a summary of the terms of reference under which the committee operates.	134 to 137	N/A
14.4	A statement as to whether or not the issuer complies with the corporate governance regime(s) applicable to the issuer. In the event that the issuer does not comply with such a regime, a statement to that effect must be included together with an explanation regarding why the issuer does not comply with such regime.	116 to 147; 219 to 225	N/A
14.5	Potential material impacts on the corporate governance, including future changes in the board and committees composition (in so far as this has been already decided by the board and/or shareholders meeting).	N/A	N/A
Section 15 Employees			
15.1	Either the number of employees at the end of the period or the average for each financial year for the period covered by the historical financial information up to the date of the Registration document (and changes in such numbers, if material) and, if possible and material, a breakdown of persons employed by main category of activity and geographic location. If the issuer employs a significant number of temporary employees, include disclosure of the number of temporary employees on average during the most recent financial year.	2; 14; 98; 99; 100; 101; 102; 542; 641	10-11; 325
15.2	Shareholdings and stock options With respect to each person referred to in points (a) and (d) of the first subparagraph of item 12.1 provide information as to their share ownership and any options over such shares in the issuer as of the most recent practicable date.	151; 174; 203 to 216; 545; 631	328
15.3	Description of any arrangements for involving the employees in the capital of the issuer.	37-38; 612-613	N/A
Section 16 Major shareholders			
16.1	In so far as is known to the issuer, the name of any person other than a member of the administrative, management or supervisory bodies who, directly or indirectly, has an interest in the issuer's capital or voting rights which is notifiable under the issuer's national law, together with the amount of each such person's interest, as at the date of the Registration document or, if there are no such persons, an appropriate statement to that effect that no such person exists.	33-34; 151-174	N/A
16.2	Whether the issuer's major shareholders have different voting rights, or an appropriate statement to the effect that no such voting rights exist.	33; 34	N/A
16.3	To the extent known to the issuer, state whether the issuer is directly or indirectly owned or controlled and by whom and describe the nature of such control and describe the measures in place to ensure that such control is not abused.	7; 33; 34	9
16.4	A description of any arrangements, known to the issuer, the operation of which may at a subsequent date result in a change in control of the issuer.	N/A	N/A

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
Section 17 Related party transactions			
17.1	Details of related party transactions that the issuer has entered into during the period covered by the historical financial information and up to the date of the Registration document, must be disclosed in accordance with the respective standard adopted under Regulation (EC) No 1606/2002 if applicable. If such standards do not apply to the issuer the following information must be disclosed: (a) the nature and extent of any transactions which are, as a single transaction or in their entirety, material to the issuer. Where such related party transactions are not concluded at arm's length provide an explanation of why these transactions were not concluded at arm's length. In the case of outstanding loans including guarantees of any kind indicate the amount outstanding; (b) the amount or the percentage to which related party transactions form part of the turnover of the issuer.	410-413; 523-525; 600-602; 634	201-204; 307-310; 394
Section 18 Financial information concerning the issuer's assets and liabilities, financial position and profits and losses			
18.1	Historical financial information.		
18.1.1	Audited historical financial information covering the latest three financial years (or such shorter period as the issuer has been in operation) and the audit report in respect of each year.	253; 408-592; 596-647	200-378
18.1.2	Change of accounting reference date If the issuer has changed its accounting reference date during the period for which historical financial information is required, the audited historical information shall cover at least 36 months, or the entire period for which the issuer has been in operation, whichever is shorter.	N/A	N/A
18.1.3	Accounting standards the financial information must be prepared according to International Financial Reporting Standards as endorsed in the Union based on Regulation (EC) No 1606/2002. If Regulation (EC) No 1606/2002 is not applicable, the financial information must be prepared in accordance with: (a) a Member State's national accounting standards for issuers from the EEA, as required by Directive 2013/34/EU; (b) a third country's national accounting standards equivalent to Regulation (EC) No 1606/2002 for third country issuers. If such third country's national accounting standards are not equivalent to Regulation (EC) No 1606/2002 the financial statements shall be restated in compliance with that Regulation.	425-445; 604-613	213-233
18.1.4	Change of accounting framework The last audited historical financial information, containing comparative information for the previous year, must be presented and prepared in a form consistent with the accounting standards framework that will be adopted in the issuer's next published annual financial statements having regard to accounting standards and policies and legislation applicable to such annual financial statements. Changes within the accounting framework applicable to an issuer do not require the audited financial statements to be restated solely for the purposes of the prospectus. However, if the issuer intends to adopt a new accounting standards framework in its next published financial statements, at least one complete set of financial statements (as defined by IAS 1 Presentation of Financial Statements as set out in Regulation (EC) No 1606/2002), including comparatives, must be presented in a form consistent with that which will be adopted in the issuer's next published annual financial statements, having regard to accounting standards and policies and legislation applicable to such annual financial statements.	N/A	N/A
18.1.5	Where the audited financial information is prepared according to national accounting standards, it must include at least the following: (a) the balance sheet; (b) the income statement; (c) a statement showing either all changes in equity or changes in equity other than those arising from capital transactions with owners and distributions to owners; (d) the cash flow statement; (e) the accounting policies and explanatory notes.	596-643	N/A
18.1.6	Consolidated financial statements If the issuer prepares both stand-alone and consolidated financial statements, include at least the consolidated financial statements in the Registration document.	408-584	200-370
18.1.7	Age of financial information The balance sheet date of the last year of audited financial information may not be older than one of the following: (a) 18 months from the date of the Registration document if the issuer includes audited interim financial statements in the Registration document; (b) 16 months from the date of the Registration document if the issuer includes unaudited interim financial statements in the Registration document.	11; 416-423; 596-598	6-7; 205-211

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
18.2	Interim and other financial information.		
18.2.1	If the issuer has published quarterly or half-yearly financial information since the date of its last audited financial statements, these must be included in the Registration document. If the quarterly or half-yearly financial information has been audited or reviewed, the audit or review report must also be included. If the quarterly or half-yearly financial information is not audited or has not been reviewed, state that fact. If the Registration document is dated more than nine months after the date of the last audited financial statements, it must contain interim financial information, which may be unaudited (in which case that fact must be stated) covering at least the first six months of the financial year. Interim financial information prepared in accordance with the requirements of Regulation (EC) No 1606/2002. For issuers not subject to Regulation (EC) No 1606/2002, the interim financial information must include comparative statements for the same period in the prior financial year, except that the requirement for comparative balance sheet information may be satisfied by presenting the year's end balance sheet in accordance with the applicable financial reporting framework.	N/A	N/A
18.3	Auditing of historical annual financial information.		
18.3.1	The historical annual financial information must be independently audited. The audit report shall be prepared in accordance with the Directive 2014/56/EU of the European Parliament and Council and Regulation (EU) No 537/2014 of the European Parliament and of the Council. Where Directive 2014/56/EU and Regulation (EU) No 537/2014 do not apply: (a) the historical annual financial information must be audited or reported on as to whether or not, for the purposes of the Registration document, it gives a true and fair view in accordance with auditing standards applicable in a Member State or an equivalent standard; (b) If audit reports on the historical financial information have been refused by the statutory auditors or if they contain qualifications, modifications of opinion, disclaimers or an emphasis of matter, such qualifications, modifications, disclaimers or emphasis of matter must be reproduced in full and the reasons given.	587-592; 644-647	371-378
18.3.2	Indication of other information in the Registration document that has been audited by the auditors.	N/A	N/A
18.3.3	Where financial information in the Registration document is not extracted from the issuer's audited financial statements state the source of the information and state that the information is not audited.	N/A	N/A
18.4	Pro forma financial information.		
18.4.1	In the case of a significant gross change, a description of how the transaction might have affected the assets, liabilities and earnings of the issuer, had the transaction been undertaken at the commencement of the period being reported on or at the date reported. This requirement will normally be satisfied by the inclusion of pro forma financial information. This pro forma financial information is to be presented as set out in Annex 20 and must include the information indicated therein. Pro forma financial information must be accompanied by a report prepared by independent accountants or auditors.	N/A	N/A
18.5	Dividend policy.	9; 35-36	N/A
18.5.1	A description of the issuer's policy on dividend distributions and any restrictions thereon. If the issuer has no such policy, include an appropriate negative statement.	35; 537-538	N/A
18.5.2	The amount of the dividend per share for each financial year for the period covered by the historical financial information adjusted, where the number of shares in the issuer has changed, to make it comparable.	35; 253; 537-538	N/A
18.6	Legal and arbitration proceedings.		
18.6.1	Information on any governmental, legal or arbitration proceedings (including any such proceedings which are pending or threatened of which the issuer is aware), during a period covering at least the previous 12 months which may have, or have had in the recent past significant effects on the issuer and/or group's financial position or profitability, or provide an appropriate negative statement.	312-315; 530-534; 628-629	305; 315-319
18.7	Significant change in the issuer's financial position.		
18.7.1	A description of any significant change in the financial position of the group which has occurred since the end of the last financial period for which either audited financial statements or interim financial information have been published, or provide an appropriate negative statement.	228 to 252; 659	18-41; 394
Section 19 Additional information			
19.1	Share capital the information in items 19.1.1 to 19.1.7 in the historical financial information as of the date of the most recent balance sheet.		

		Page number of this Universal registration document	Page number of this Amendment to the Universal registration document
19.1.1	The amount of issued capital, and for each class of share capital: (a) the total of the issuer's authorised share capital; (b) the number of shares issued and fully paid and issued but not fully paid; (c) the par value per share, or that the shares have no par value; and (d) a reconciliation of the number of shares outstanding at the beginning and end of the year. If more than 10 % of capital has been paid for with assets other than cash within the period covered by the historical financial information, state that fact.	33-34; 36; 537; 633; 650-652	N/A
19.1.2	If there are shares not representing capital, state the number and main characteristics of such shares.	N/A	N/A
19.1.3	The number, book value and face value of shares in the issuer held by or on behalf of the issuer itself or by subsidiaries of the issuer.	33-34; 37; 38 and 39	N/A
19.1.4	The amount of any convertible securities, exchangeable securities or securities with warrants, with an indication of the conditions governing and the procedures for conversion, exchange or subscription.	N/A	N/A
19.1.5	Information about and terms of any acquisition rights and or obligations over authorised but unissued capital or an undertaking to increase the capital.	N/A	N/A
19.1.6	Information about any capital of any member of the group which is under option or agreed conditionally or unconditionally to be put under option and details of such options including those persons to whom such options relate.	N/A	N/A
19.1.7	A history of share capital, highlighting information about any changes, for the period covered by the historical financial information.	33-34; 537; 633	N/A
19.2	Memorandum and Articles of Association.		
19.2.1	The register and the entry number therein, if applicable, and a brief description of the issuer's objects and purposes and where they can be found in the up to date memorandum and articles of association.	650-657	N/A
19.2.2	Where there is more than one class of existing shares, a description of the rights, preferences and restrictions attaching to each class.	N/A	N/A
19.2.3	A brief description of any provision of the issuer's articles of association, statutes, charter or bylaws that would have an effect of delaying, deferring or preventing a change in control of the issuer.	34; 650-657	N/A
Section 20 Material contracts			
20.1	A summary of each material contract, other than contracts entered into in the ordinary course of business, to which the issuer or any member of the group is a party, for the two years immediately preceding publication of the Registration document. A summary of any other contract (not being a contract entered into in the ordinary course of business) entered into by any member of the group which contains any provision under which any member of the group has any obligation or entitlement which is material to the group as at the date of the Registration document.	410-413; 600-602; 659; 671-679	394; 200-204
Section 21 Documents available			
21.1	A statement that for the term of the Registration document the following documents, where applicable, can be inspected: (a) the up to date memorandum and articles of association of the issuer; (b) all reports, letters, and other documents, valuations and statements prepared by any expert at the issuer's request any part of which is included or referred to in the Registration document. An indication of the website on which the documents may be inspected.	659	N/A

N/A: not applicable.

(1) In accordance with Annex I of European Regulation 2017/1129 the following are incorporated by reference:

- the annual and consolidated financial statements for the year ended 31 December 2018 and the corresponding Statutory Auditors' Reports, as well as the Group's management report, appearing respectively on 518 to 559 and 346 to 510, on pages 560 to 563 and 511 to 517 and on pages 178 to 203 of the Crédit Agricole S.A. Registration document 2018 registered by the AMF on 26 March 2019 under number D.19-0198. The information is available via the following link: <https://www.credit-agricole.com/en/pdfPreview/173593>;
- the annual and consolidated financial statements for the year ended 31 December 2019 and the corresponding Statutory Auditors' Reports, as well as the Group's management report, appearing respectively on pages 566 to 614 and 388 to 556, on pages 612 to 615 and 557 to 564 and on pages 216 to 239 of the Crédit Agricole S.A. Registration document 2019 registered by the AMF on 25 March 2020 under number D.20-0168. The information is available via the following link: <https://www.credit-agricole.com/en/pdfPreview/180684>.

The sections of the Registration documents number D.19-0198 and number D.20-0168 not referred to above are either not applicable to investors or are covered in another part of this Universal registration document.

All these documents incorporated by reference in the present document have been filed with the French Financial Markets Authority (Autorité des marchés financiers) and can be obtained on request free of charge during the usual office opening hours at the headquarters of the issuer as indicated at the end of the present document. These documents are available on the

website of the issuer (<https://www.credit-agricole.com/en/finance/finance/financial-publications>) and on the website of the AMF (www.amf-france.org).

The information incorporated by reference has to be read according to the following cross-reference table. Any information not indicated in the cross-reference table but included in the documents incorporated by reference is only given for information.

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